

PRIVATE COPY · EDITION AS OF 25 SEPTEMBER 2026

HKDA Brief

Hong Kong digital-asset rules for a bank's head of compliance

The regulators and regimes; what they mean for a bank; capital, anti-money laundering, the Travel Rule, sanctions, technology and tax; every official project; and the business side: where the money is, sixteen business lines, case studies and the path to chief operating officer.

For general information only. Not legal or regulatory advice. Always check the official source.

Official sources: Hong Kong Monetary Authority (HKMA), Securities and Futures Commission (SFC), Financial Services and the Treasury Bureau (FSTB), the Legislative Council and other Hong Kong government bodies.

How to read this book

This is a printed copy of HKDA Brief, a private learning site. It covers official publications up to **25 September 2026**. Market events appear only where an official source records them. The book does not update. Before you rely on any point, check the official source and the live site.

Notes

Every fact carries a small number. All notes are listed together at the very end of the book. A note gives the publisher, the document, its date, the exact paragraph or page, and the web address.

The words that carry legal weight

must / required	The law or a binding rule requires it.
should / expects	The regulator expects it. It is usually guidance rather than law. Exception: in the HKMA's anti-money laundering (AML) Guideline, "should" is mandatory, just like "must" (para 1.6 of that Guideline).
may	It is allowed, not required.
proposes / would	A proposal. It is not law yet.
stated target	A plan or date the government or a regulator has announced. It is not a forecast by this book.

Status labels

In force	The rule applies now.
Issued, not yet in force	Published, but it starts later.
Consultation	The regulator is asking for views. Nothing is final.
Conclusions published	The consultation is finished and the policy is set, but the law may not be made yet.
Bill	A draft law is before the Legislative Council (LegCo).
Pilot	A trial with selected firms.
Exploratory	Regulators are studying the idea. No rule or live service yet.
Stated target	An announced plan or date.
Superseded	Replaced by a newer document. Kept for history.

Non-official sources

A note that starts with **[Industry estimate]**, **[Company filing]**, **[International official]** or **[Foreign regulator]** is not an official Hong Kong source. Industry figures are estimates, not facts. Company figures are quoted without comment.

Other marks

CONCEPT	A plain explanation of how a business works in general. It is not a fact about Hong Kong.
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(illustrative)	A round, made-up number used to show how something works. It is not an estimate.
Analysis — not official	A shaded box that gives a way to think about a question. It asks one question, explains how to think about it, lists what the answer depends on and the official signposts to watch, and says what it is not. It is not a forecast and not advice.
Commercial and customer benefits	A green box on each project and on the technology modules: what customers and the bank gain, the evidence so far and its limits. Benefits come from official sources (often stated as aims) or labelled industry estimates.
Check yourself	Five recall questions at the end of each module. Answer from memory, then check the answer key at the back.

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Start here: the map and reading order

This page is your way into the book. The map lists the digital-asset activities a Hong Kong bank may run. For each, it gives the regulator, legal basis, status and module. The reading order then gives a short core path.

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The map

Terms used in the table: HKMA = Hong Kong Monetary Authority. SFC = Securities and Futures Commission. VA = virtual asset. RI = registered institution, a bank registered with the SFC. FSTB = Financial Services and the Treasury Bureau. IRD = Inland Revenue Department. For an RI, the SFC keeps final responsibility and the HKMA is the day-to-day supervisor. ¹

Activity	Lead regulator(s) for a bank	Legal basis today	Status as of 25 Sep 2026	Module(s)
Dealing in virtual assets (VAs) for clients	SFC rules; HKMA supervises	Joint SFC–HKMA circular of 22 Dec 2023: deal only through SFC-licensed platforms, for Type 1 (securities dealing) clients. ² Under the new VA dealing regime, the SFC would lead and the HKMA would be the frontline regulator for banks. ³	In force (circular). ⁴ Conclusions published (new regime). ⁵	C1, B1, C7

Activity	Lead regulator(s) for a bank	Legal basis today	Status as of 25 Sep 2026	Module(s)
Advising on VAs	SFC rules; HKMA supervises	Joint circular: give VA advice only to Type 1 or Type 4 (securities advice) clients. ⁶ Under the new regime, only banks could register for VA advice. ⁷	In force (circular). ⁴ Conclusions published (new regime). ⁸	C1, B1
Managing VA portfolios	SFC rules; HKMA supervises	Joint circular: extra terms for portfolios with a VA aim or 10% or more in VAs. ⁹ Under the new regime, only banks could register for VA management. ¹⁰	In force (circular). ⁴ Conclusions published (new regime). ⁸	C1, B1

Activity	Lead regulator(s) for a bank	Legal basis today	Status as of 25 Sep 2026	Module(s)
VA custody	HKMA now. New regime: SFC leads, HKMA supervises banks ¹¹	HKMA custody guidance, updated 27 May 2026. ¹² The new custodian regime would cover banks that hold client keys. ¹³	In force (guidance). ¹² Conclusions published (new regime). ¹⁴	C3
Stablecoin issuing	HKMA	Stablecoins Ordinance (Cap. 656) and HKMA guidelines for licensed issuers. ^{15,16}	In force from 1 Aug 2025. ¹⁵	C4

Activity	Lead regulator(s) for a bank	Legal basis today	Status as of 25 Sep 2026	Module(s)
Stablecoin distribution and offering	HKMA; SFC rules for VA services	Only regulated entities named in the Ordinance may offer stablecoins to the public. ¹⁷ An HKMA circular of 27 May 2026 covers RI services in licensed stablecoins. ¹⁸	In force. ¹⁸	C4, C1
VA funds and exchange-traded funds (ETFs)	SFC authorises funds; HKMA supervises bank sales	SFC circular on SFC- authorised VA funds. ¹⁹ Joint circular rules on selling VA products. ²⁰	In force. ²¹	C2

Activity	Lead regulator(s) for a bank	Legal basis today	Status as of 25 Sep 2026	Module(s)
Tokenised products and digital bonds	HKMA for bank sales; SFC for tokenised securities	HKMA circular on selling tokenised products. ²² SFC circular on tokenised securities. ²³	In force (circulars). ²² Stated target: next phase of the bond law review, second half of 2026. ²⁴	C5
Tokenised deposits	HKMA	The HKMA tokenised-products circular also covers customers placing tokenised deposits. ²⁵	Pilot: EnsembleTX (the HKMA's tokenised-deposit pilot) runs throughout 2026. ²⁶	C5, E2

Activity	Lead regulator(s) for a bank	Legal basis today	Status as of 25 Sep 2026	Module(s)
Anti-money laundering (AML), Travel Rule and sanctions	HKMA	HKMA AML Guideline for banks. ²⁷ Travel Rule: section 13A of Schedule 2 to the AML Ordinance. ²⁸ United Nations sanctions law and HKMA screening expectations. ²⁹	In force. ²⁷	D3, D6, D7
Bank capital for cryptoassets	HKMA	Banking (Capital) and related Amendment Rules 2025, plus the HKMA manual module on cryptoasset capital. ^{30,31}	In force from 1 Jan 2026. ³¹	D1

Activity	Lead regulator(s) for a bank	Legal basis today	Status as of 25 Sep 2026	Module(s)
Tax reporting under the Crypto-Asset Reporting Framework (CARF)	FSTB and IRD	No CARF law yet. A 2026 bill would amend the Inland Revenue Ordinance (Cap. 112). ³²	Bill: before the Legislative Council since 3 Jun 2026. ³³ The CARF part would start on 1 Jan 2027. ³⁴	D5

"Conclusions published" means the government has set out its final policy, but no bill has been introduced yet. The government and the SFC aim to introduce one bill for the four new regimes in 2026 (stated target).¹⁷ The new regimes would replace the joint circular terms used today.⁸

Reading order

In module titles, CFT means countering terrorist financing. Virtual asset service providers (VASPs) are firms such as crypto exchanges.

1. **A1 The Hong Kong digital-asset map.** The regulators and what is in force.
2. **B1 Your bank's legal status for digital assets.** How SFC registration shapes what the bank may do.

3. **C1 Selling, dealing and advising on virtual assets.**
The joint circular rules.
4. **C4 Stablecoins.** Issuers, and bank services in licensed stablecoins.
5. **D3 AML/CFT for digital assets at a bank.** Customer checks and monitoring for crypto flows.
6. **D6 Travel Rule, counterparty VASPs and unhosted wallets.** Sender and recipient details, other firms and private wallets.
7. **D7 Sanctions, wallet screening, blockchain analytics and fraud.** Screening names and wallets, and scams.
8. **C3 Custody of digital assets and key management.**
Holding client assets and keys.
9. **D1 Capital and prudential treatment of cryptoassets.** Capital held against crypto exposures.

When you need them:

- **Other A to E modules:** reference, such as C2 on funds and E1 on the pipeline.
- **Project profiles:** one per official initiative, such as digital bonds.
- **Part F:** the business view.
- **E3 Glossary and timeline:** terms and dates.

How to use the book

- Read one module at a time.
- Answer its "Check yourself" questions from memory.
- Check your answers in the answer key. Reread what you missed.
- Use the notes to open the official source at the cited paragraph.

Since the last edition

The most recent changes to the content, newest first.
The full list is in the live site's change log.

26 Sep 2026 (review, study layer and benefits)

- **Stablecoins:** the first regulated stablecoin in Hong Kong launched in August 2026. A Government spokesman said so on 16 September 2026, without naming the issuer. The site no longer implies that no coin is live.
- **mBridge:** the Bank for International Settlements (BIS) handed the project to the partner central banks in October 2024. Its General Manager said mBridge is not a "BRICS bridge" and that BIS products cannot be used by sanctioned countries. The FSTB's December 2025 list of members no longer includes the BIS.
- **New modules:** D6 covers the Travel Rule, counterparty VASP checks and unhosted wallets. D7 covers sanctions, wallet screening, blockchain analytics and fraud and money mules at the bank-platform interface.
- **New case study:** Case 7, "The single admin key", on stablecoin token-contract controls.

- **Commercial and customer benefits:** a green box on every project profile and on modules C1–C7 and E2. Each box shows what customers and the bank gain, the evidence so far and its limits, with sources.
- **Study aids:**
 - a one-page map of regulator by activity by status, with a core reading order;
 - five "Check yourself" recall questions per module, with the answers hidden behind a toggle (answer key at the back of the printed book).
- **Corrections from an external review:**
 - The legend now explains that "should" is mandatory in the HKMA AML Guideline.
 - CARF bill: the stages now match LegCo's notice (First and Second Readings on 3 June 2026; Second Reading debate adjourned).
 - A1 now gives the 1,250% risk weight for Group 2b.
 - The C1 retail omnibus point is clearer.
- **Seven new official sources from July to September 2026:** the Five-Year Plan, the SFC's strategic action plan, the HKEX–HKMA e-HKD after-hours margin pilot, e-HKD scam warnings and the HKMA Chief Executive's 23 September keynote.
- **Printed edition:** one book instead of two volumes. Body text is 13 pt for 2-up printing. All notes are

collected at the back, and the book has PDF bookmarks.

26 Sep 2026 (reader test)

- A reader test of the Business section, done as a busy compliance head reading on a phone. Metaphors and vague lines were replaced, and about 20 more terms are explained on first use. No fact changed.
- Clearer labels: the "Intl" button now reads "International", and the Documents toggle is now "Non-official sources". Each non-official source now says what kind it is: a foreign regulator, a company filing, an international body or an industry estimate. The help page now also explains Foreign, (illustrative) and Exploratory.
- Timeline, 9 Jul 2026: the SFC's phishing-resistant login measures are now described as a 12-month deadline, citing both the press release and the circular. Module D1 and the glossary now show the arithmetic behind "capital equal to the whole exposure": $1,250\% \times \text{the } 8\% \text{ minimum ratio} = 100\%$.
- Analysis boxes: each labelled part now starts on its own line.

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PART A

Orientation

PART A · MODULE A1

A1 The Hong Kong digital-asset map

This module is for the bank's Head of Compliance (digital assets). After it, you can name who regulates each digital-asset activity in Hong Kong. You can also say which regimes are live and which are still coming.

In 60 seconds

Hong Kong splits digital-asset regulation among several bodies. Each body covers particular activities. The Hong Kong Monetary Authority (HKMA) supervises banks, known in law as Authorized Institutions (AIs).³⁵ The HKMA also licenses stablecoin issuers (firms that issue tokens designed to hold a steady value against a currency).³⁶ Virtual assets (VAs) are digital tokens such as cryptocurrencies. The Securities and Futures Commission (SFC) licenses virtual-asset (VA) trading platforms (VATPs).³⁷ The SFC also sets codes of conduct for regulated securities activities.³⁸ The Financial Services and the Treasury Bureau (FSTB) sets policy.³⁹ The FSTB and the SFC consult the public on new laws.⁴⁰ The Legislative Council (LegCo) passes bills.⁴¹

A bank that carries on SFC-regulated activities must register with the SFC as a Registered Institution (RI).⁴² Even so, the HKMA is the bank's day-to-day, frontline supervisor.⁴²

Live today (see Status board):

- the VA trading-platform regime
- the Stablecoins Ordinance
- the joint SFC–HKMA circulars
- HKMA guidance on custody (holding assets for clients) and on tokenisation (recording assets as tokens on a blockchain)
- the Basel cryptoasset capital standard (global rules on how much capital banks hold against cryptoassets)

Coming:

- statutory licensing (licensing set by law) for VA dealing, custody, advisory and management^{43,8}
- crypto-asset tax reporting under the Crypto-Asset Reporting Framework (CARF)⁴⁴

Where things stand

As of 25 Sep 2026.

Instrument	Issuer	Date	Status	Applies to	Src
Anti-Money Laundering and Counter-Terrorist Financing Ordinance (AMLO) Part 5B VA trading platform (VATP) licensing + VATP Guidelines	LegCo / SFC	1 Jun 2023	In force	VATPs. Banks and other intermediaries (SFC-licensed or SFC-registered firms) may deal in VAs only through SFC-licensed VATPs.	45, 46, 47
Stablecoins Ordinance (Cap. 656)	LegCo / HKMA	1 Aug 2025	In force	Stablecoin issuers. Only regulated entities specified in the Ordinance may offer stablecoins to the public.	15, 17
Joint circular on intermediaries' VA-related activities (Dec 2023) + supplement (Sep 2025)	SFC + HKMA	22 Dec 2023; 30 Sep 2025	In force	Licensed corporations (LCs), the non-bank firms the SFC licenses. RIs (banks), with the HKMA as frontline supervisor.	48, 49
RI circular on Relevant Stablecoins	HKMA (with SFC)	27 May 2026	In force	RIs	18

Instrument	Issuer	Date	Status	Applies to	Src
Banks' interface with VAs and VA service providers (VASPs)	HKMA	28 Jan 2022	In force	All AIs	50
Updated custody guidance (replaces the Feb 2024 version)	HKMA	27 May 2026	In force	AIs + subsidiaries of locally incorporated AIs	12
Sale and distribution of tokenised products	HKMA	20 Feb 2024	In force	AIs	22
Risk-management considerations for distributed ledger technology (blockchain-type systems)	HKMA	16 Apr 2024	In force	AIs (non-binding considerations)	51
Basel cryptoasset standard (amendment rules + HKMA manual module CRP-1)	HKMA / LegCo	1 Jan 2026	In force	All AIs	52, 31

Instrument	Issuer	Date	Status	Applies to	Src
VA dealing + VA custodian licensing	FSTB + SFC	24 Dec 2025	Conclusions published	Banks would register with the SFC. HKMA proposed as frontline regulator.	43, 53, 54, 11
VA advisory + VA management licensing	FSTB + SFC	26 May 2026	Conclusions published	Only banks could register for these services, rather than be licensed. Current RIs would need to register.	55,8
CARF / amended Common Reporting Standard (CRS) bill	FSTB / Inland Revenue Department (IRD) / LegCo	22 May 2026	Bill before LegCo	Reporting crypto-asset service providers	33
Ensemble TX (tokenised deposits: bank deposits recorded as tokens)	HKMA	13 Nov 2025	Pilot	Participating banks	56

Key facts

- The HKMA does not currently plan to stop banks taking on VA exposures, as long as controls and senior-management oversight are adequate.⁵⁷

- A bank intending any VA activity should discuss it with the HKMA before launch, and get feedback on its risk controls.⁵⁸
- A bank carrying on regulated activities (securities business the SFC regulates) must register with the SFC as an RI.⁴² The SFC keeps ultimate responsibility, but the HKMA supervises the RI day to day.⁴² The SFC may rely on that HKMA supervision.⁴²
- Banks follow the joint circular in their role as RIs, with the HKMA as frontline supervisor.¹ The circular reminds intermediaries to tell the SFC, and the HKMA where applicable, before they start or change VA-related activities.⁵⁹
- The SFC and HKMA require intermediaries to offer VA dealing services only by partnering with SFC-licensed VATPs.⁴⁷
- The Stablecoins Ordinance came into force on 1 August 2025.¹⁵
- The HKMA register lists two licensed stablecoin issuers.⁶⁰ They are Anchorpoint Financial Limited (FRS01) and The Hongkong and Shanghai Banking Corporation Limited (FRS02).⁶⁰ Both licences took effect on 10 April 2026.⁶⁰
- The Secretary for Financial Services and the Treasury (SFST) told LegCo that the HKMA received

36 applications in the initial application period.⁶¹

The SFST also said any further licences would keep the overall number very limited.⁶¹

- The SFC's online list showed 13 licensed VATPs at its 29 May 2026 update.⁶² Being on the applicant list is not the same as being licensed.⁶²
- The HKMA's 2026 custody annex expects banks to keep 98% of client VAs in cold storage (offline).⁶³ The annex also expects banks to create, store and back up seeds and private keys in Hong Kong.⁶³ Private keys are the secret codes that control the assets, and seeds are used to generate them.
- The Basel cryptoasset rules on capital, disclosure and exposure limits came into force on 1 January 2026.⁵²
- CRP-1 is the HKMA's Supervisory Policy Manual (SPM) module on classifying cryptoassets.⁶⁴ Under it, a bank that acquires a new type of cryptoasset must notify the HKMA.⁶⁴ The bank must treat the asset as Group 2b until the HKMA agrees the bank's own classification.⁶⁴ Group 2b is the capital category where the bank gets no credit for hedging. Group 2b exposures take a 1,250% risk weight.⁶⁵ With the 8% minimum total capital ratio, $1,250\% \times 8\% = 100\%$, so the bank holds capital equal to the whole exposure.

- For the coming VA dealing and custody regimes, the Government proposed that the SFC lead licensing and standard-setting. The HKMA would be the frontline regulator for banks. ⁶⁷
- Under the proposed dealing regime, banks would need to register with the SFC to deal in VAs. The SFC would register banks in consultation with the HKMA. ⁵⁴
- No arrangement is planned to let existing providers carry on while they apply once the VA dealing and custody regimes start. ^{68,69} SFC-licensed VATPs, LCs, RIs and banks already providing these services are to get a faster (expedited) approval process. ^{68,69}
- The CARF bill was published in the Gazette (the Government's official record) on 22 May 2026. ⁴⁴ LegCo's notice set its First and Second Readings (the first formal stages of a bill) for 3 June 2026, with the Second Reading debate adjourned. ⁷⁰ If the bill passes, CARF duties start on 1 January 2027. ^{44,34}
- The IRD plans a dedicated CARF portal. ⁷¹ The bill proposes that every in-scope reporting crypto-asset service provider register an account on it. ⁷¹

What your bank must or should do

Obligations

- ☐ Discuss any planned VA activity with the HKMA before launch. ⁵⁰
- ☐ As an RI, notify the SFC and HKMA when the bank intends to start or change VA dealing, advice or asset management. This includes a change of client type. ⁷²
- ☐ From 1 January 2026, classify cryptoasset exposures under Part 12 of the Banking (Capital) Rules. Read CRP-1 alongside Part 12. ⁷³

Controls & monitoring

- ☐ Set prudent limits on VA exposures. Set conservative loan-to-value ratios (loan size compared with collateral value) when VAs are used as collateral. ⁷⁴
- ☐ Keep client digital assets held in custody separate (segregated) from the bank's own assets. ⁷⁵

Notify / consult HKMA or SFC

- ☐ Notify the HKMA when the bank acquires any new type of cryptoasset. ⁶⁴
- ☐ Discuss custody plans with the HKMA before offering custody. ⁷⁶

Counterparty due diligence

- ☐ For VA dealing, route business only through SFC-licensed VATPs. ⁴⁷
- ☐ Check a VATP's status on the SFC's licensed list, not the applicant list. ⁷⁷
- ☐ Check a stablecoin issuer against the HKMA register. The HKMA says the register holds the latest list of licensees. ⁷⁸

Talking points

To the chief compliance officer (CCO)

- The bank's VA conduct duties (rules on how it treats clients) apply to the bank as an RI. The HKMA supervises the bank day to day, not the SFC directly. ¹
- The bank must comply with the HKMA's anti-money laundering (AML) and counter-financing of terrorism (CFT) Guideline. ⁷⁹ As an RI, it must also take into account the SFC's AML/CFT Guideline, including its Chapter 12 on VAs. ⁷⁹

To business heads

- Any new VA product needs an HKMA discussion before launch. ⁵⁰ RIs must also tell the SFC and HKMA in advance. ⁷²

- Only two stablecoin issuers are licensed.⁶⁰ The Government says any further licences would keep the total very limited.⁸⁰

To the CEO

- The Government proposed that the SFC lead licensing for VA dealing and custody. The HKMA would be the banks' frontline regulator.⁶⁷
- No arrangement is planned to let existing firms carry on while they apply when these regimes start.

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To Risk / chief risk officer (CRO)

- The Basel cryptoasset standard applies from 1 January 2026.⁸² Until the HKMA agrees the bank's classification, two things stay in Group 2b: exposures held before that date and any new cryptoasset type.⁸²
- The HKMA's custody annex expects banks to keep 98% of client VAs in cold storage.⁸³

Common misunderstandings

- **Myth:** "The SFC supervises our VA business directly."
Fact: The SFC holds ultimate responsibility. But the HKMA is the RI's day-to-day supervisor.¹

- **Myth:** "The 50%/100% insurance rule applies to our custody." **Fact:** That rule is an SFC expectation for VATPs.⁸⁴ It calls for an SFC-approved compensation arrangement covering 50% of client VAs in cold storage and 100% in hot (online) and other storage.⁸⁴ The HKMA's 2026 annex takes a different approach. It makes the bank liable to clients for losses from incidents the bank is responsible for.⁸⁵ It also expects the bank to hold adequate financial resources to cover such losses.⁸⁵
- **Myth:** "A platform on the SFC's applicant list is licensed." **Fact:** Applicants are not licensed, even those allowed to keep operating while they apply. Only the licensed list shows licensed platforms.⁷⁷
- **Myth:** "The 2022 joint circular still applies." **Fact:** The December 2023 joint circular replaced the January 2022 and October 2023 versions.⁸⁶
- **Myth:** "The dealing and custody bills are law." **Fact:** They are at the consultation-conclusions stage.⁸¹ The Government's stated target was to introduce a bill in 2026.⁸⁷

Official documents to read first

1. **Regulatory approaches to AIs' interface with VAs and VASPs** — HKMA, 28 Jan 2022. Read pp.3-5 on prudential rules (bank safety and soundness), anti-

money laundering, investor protection and prior discussion. This document sets out the HKMA's base position on banks and VAs.

<https://brdr.hkma.gov.hk/eng/doc-ldg/docId/20220128-1-EN>

2. SPM SB-1 Supervision of Regulated Activities of SFC-Registered AIs (V.4) — HKMA, 12 Sep 2025.

Read paras 2.1.3, 2.2.4, 4.16.1 and 5.6. This module explains why the HKMA, not the SFC, supervises your RI business day to day.

<https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20250909-3-EN/SB-1.PDF>

3. Policy Statement 2.0 on the Development of Digital Assets in Hong Kong — FSTB, 26 Jun 2025. Read paras 4-6 and 16. This statement sets out the LEAP framework. LEAP stands for Legal and regulatory streamlining, Expanding tokenised products, Advancing use cases and collaboration, and People and partnership development. The statement also proposes that the SFC lead the new regimes, with the HKMA as frontline regulator for banks.

https://gia.info.gov.hk/general/202506/26/P2025062600269_500089_1_1750909574183.pdf

Open questions

- The VA dealing, custodian, advisory and management bill: the SFST said on 24 June 2026 that it would be introduced this year.¹⁷ As of 25 Sep 2026, no bill text or Gazette notice appears in the documents reviewed for this guide.
- CARF bill: LegCo's notice set its First and Second Readings for 3 June 2026, with the Second Reading debate adjourned.⁷⁰ No document reviewed for this guide records its passage.
- No Insurance Authority rulebook on digital assets is in the documents reviewed for this guide. Rules for insurers are a gap.
- The VATP list is live and changes over time. The 13-platform count is a snapshot from 29 May 2026.⁸⁸

Check yourself

Answer from memory, then check the answer key at the back of the book.

1. Which regulator is your bank's day-to-day supervisor once it registers with the SFC as an RI?
2. What share of client virtual assets does the HKMA's 2026 custody annex expect a bank to keep in cold storage?

3. Is the coming VA dealing and custody licensing regime already in force?
4. What does the HKMA expect your bank to do before launching any new virtual-asset activity?
5. Does being on the SFC's VATP applicant list mean a platform is licensed?

Related modules

A2, A3, B1, B2, B3

PART A · MODULE A2

A2 How Hong Kong rules are made and how to read them

This module is for the bank's Head of Compliance (digital assets). After it, you can place any document on the law-making path. You can also tell how binding it is and cite it to the paragraph.

In 60 seconds

Hong Kong's stablecoin regime shows the path a digital-asset rule can take.^{89,90,91,92} The path has five steps:

- A consultation paper lays out the proposals.⁸⁹
- The Government publishes its conclusions on the consultation.⁸⁹
- A bill is gazetted (published in the Government Gazette) and passed by the Legislative Council (LegCo).^{90,91}
- A notice in the Gazette sets the date the law starts.⁹²
- A transition period follows.⁹¹

Below Ordinances (the main laws) sit other documents with different legal force.⁹³ They include:

- rules made as subsidiary legislation (detailed law made under an Ordinance)⁹³

- Supervisory Policy Manual (SPM) modules, the supervisory guidance chapters of the Hong Kong Monetary Authority (HKMA) ^{94,95}
- guidelines
- circulars.

Each SPM module states its own classification on its cover, so check it. ^{94,95}

For a bank, one key reading rule sits in the HKMA's anti-money-laundering (AML) Guideline. In that Guideline, both *must* and *should* mark a mandatory requirement. ⁹⁶

Where to find the documents:

- The HKMA publishes its circulars and SPM modules in its Banking Regulatory Document Repository (BRDR). ⁹⁷
- Circulars of the Securities and Futures Commission (SFC) open from its e-Distribution site. ⁴
- Conclusions of the Financial Services and the Treasury Bureau (FSTB) record the legislative milestones. ⁹⁸
- Government press releases record them too. ¹⁵

Where things stand

As of 25 September 2026. Each row is a worked example of one stage.

- AI = authorized institution (a bank). AIs = authorized institutions.
- RIs = registered institutions (banks registered with the SFC).
- LCs = licensed corporations (firms licensed by the SFC).
- VA = virtual asset. VATP = VA trading platform.
VATPs = VA trading platforms.

Instrument	Issuer	Date	Status	Applies to	Src
Stablecoin issuer regime: consultation paper, then conclusions (July 2024)	FSTB + HKMA	27 December 2023	Superseded	Future issuers	99
Stablecoins Bill gazetted; First Reading (formal start in LegCo) set for 18 December 2024	Government / LegCo	6 December 2024	Superseded	Issuers	90

Instrument	Issuer	Date	Status	Applies to	Src
Notice setting the start date of the Stablecoins Ordinance (Cap. 656), made by the Secretary for Financial Services and the Treasury (SFST)	SFST	Gazetted 6 June 2025; started 1 August 2025	In force	Issuers, offerors	100
Banking (Capital) (Amendment) Rules 2025, plus matching amendment rules on Disclosure and Exposure Limits	HKMA / LegCo	HKMA letter on gazettal 11 July 2025; applies from 1 January 2026	In force	All AIs	101
HKMA letter clarifying para 2.6.4 of CRP-1 (the SPM module on classifying cryptoassets)	HKMA	3 June 2026	In force	All AIs	102
VA dealing and VA custodian regimes	FSTB + SFC	24 December 2025	Conclusions published	VA dealing and custodian service providers, including LCs and RIs	103, 53

Instrument	Issuer	Date	Status	Applies to	Src
VA advisory and VA management regimes	FSTB + SFC	May 2026	Conclusions published	Advisory and management providers, including SFC-licensed or registered intermediaries	104
Bill for the Crypto-Asset Reporting Framework (CARF) and the amended Common Reporting Standard (CRS), both tax reporting standards	FSTB / LegCo	Gazetted 22 May 2026; First and Second Readings set for 3 June 2026	Bill before LegCo	Reporting crypto-asset service providers	33

Key facts

- The July 2024 stablecoin conclusions said a bill was being prepared for LegCo later that year.¹⁰⁵
- The Stablecoins Bill was gazetted on 6 December 2024. Its First Reading in LegCo was set for 18 December 2024.⁹⁰
- LegCo passed the bill on 21 May 2025. The government release refers to a six-month grace period.⁹¹
- The SFST made a notice setting 1 August 2025 as the start date. It was gazetted on 6 June 2025.¹⁰⁶ The notices were due to go to LegCo on 11 June 2025 for

negative vetting.¹⁰⁶ Under negative vetting, a notice stands unless LegCo amends or repeals it within a set period.

- The Banking (Capital), (Disclosure) and (Exposure Limits) (Amendment) Rules 2025 went through 28 days of negative vetting in LegCo. That period expired without extension.⁹³
- LegCo passed amendments to the Anti-Money Laundering and Counter-Terrorist Financing Ordinance (AMLO) on 7 December 2022.¹⁰⁷ The HKMA said the changes relevant to banks would start on 1 June 2023. It said the gap allowed time to prepare.¹⁰⁷
- Transition periods can end in a hard stop.¹⁰⁸ VATPs operating before 1 June 2023 could carry on for 12 months, to 31 May 2024, without breaching the licensing rules.¹⁰⁸ Only applications made by 29 February 2024 could qualify for the transitional arrangement that treated existing platforms as licensed. The SFC had no power to extend that deadline.¹⁰⁸
- Under current plans, the conclusions on the coming VA dealing and custodian regimes offer existing providers no arrangement that treats them as licensed while they apply.^{81,53}

- The HKMA issues its AML Guideline under section 7 of AMLO and section 7(3) of the Banking Ordinance. Compliance is enforced through both Ordinances.¹⁰⁹
- In that Guideline, both *must* and *should* mean a mandatory requirement.⁹⁶
- Each SPM module states its own force on its cover.^{94, 95}
- SB-1 (the module on supervising banks' SFC-regulated activities) is a statutory guideline under section 7(3) of the Banking Ordinance.⁹⁴ CRP-1 is a non-statutory guideline, issued as a guidance note.⁹⁵
- Where CRP-1 and the Banking (Capital) Rules (BCR) differ, the BCR take priority.¹¹⁰
- Some HKMA papers say they are not binding.¹¹¹ One example is the April 2024 paper on distributed ledger technology (DLT), such as blockchain.¹¹¹ That paper is non-binding and does not cover every case. The HKMA discusses its detailed expectations with each AI one to one.¹¹¹
- A circular can change how a module applies at once.¹⁰² The HKMA's letter of 3 June 2026 clarified the condition in CRP-1 para 2.6.4.¹⁰² The condition may also be met where a financial market regulator supervises the business activities of the tokenised asset.¹⁰² A tokenised asset is a traditional asset recorded as a token on a blockchain. The change

took effect immediately, and the module's wording is to be updated later. ¹⁰²

- The SFC issues its Guidelines for VATP operators under two laws. ¹¹² These are section 399 of the Securities and Futures Ordinance (SFO) and section 53ZTK of AMLO. ¹¹²
- A later circular can replace earlier ones outright. ¹¹³ The December 2023 joint circular replaced the January 2022 and October 2023 versions. ¹¹³
- The HKMA's custody letter of 27 May 2026 replaces its custody circular of 20 February 2024. ⁷⁶
- Budget speeches announce plans, not rules. ¹¹⁴ The 2026-27 Budget said a bill would be introduced in 2026 for VA dealing and custodian licensing. ¹¹⁴ It gave the first half of 2026 as the timing for a CARF amendment bill. ¹¹⁴

What your bank must or should do

Obligations

- ☐ Treat *should* in the HKMA AML Guideline as mandatory, not optional. ⁹⁶
- ☐ Follow the BCR where CRP-1 and the BCR differ. Part 12 of the BCR sets the classification principles.

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- ☐ Apply the 3 June 2026 clarification of CRP-1 para 2.6.4. It took effect immediately. ¹⁰²

Controls & monitoring

- ☐ Keep a register of regulatory documents. Record each document's classification and whether a later document replaced it. ⁷⁶ For example, the 2026 letter replaced the 2024 custody circular. ⁷⁶
- ☐ Track start dates separately from passage dates. ¹⁰⁷ For example, LegCo passed the AMLO amendments in December 2022. The relevant changes applied from 1 June 2023. ¹⁰⁷

Notify / consult HKMA or SFC

- ☐ Note that the dealing conclusions encourage firms that provide, or plan, VA dealing to contact the SFC or HKMA (as applicable) early. ¹¹⁵ One example is to start pre-application (early talks before a formal licence application). ¹¹⁵ The conclusions say dealing providers that do not make contact for pre-application will have to stop operating when the regime starts. ¹¹⁵

Counterparty due diligence

- ☐ Tell a formally licensed VATP apart from two kinds of applicant: an ordinary applicant, and an applicant that the law treats as licensed while its

application is pending.¹¹⁶ The SFC keeps them on separate lists, last updated 29 May 2026.¹¹⁶

Talking points

To the CCO (Chief Compliance Officer)

- Our AML Guideline says *should* is mandatory, the same as *must*.⁹⁶
- Check each SPM module's classification. SB-1 is statutory; CRP-1 is a guidance note that gives way to the BCR.^{94,110}

To business heads

- Conclusions papers are not law. The FSTB and SFC aim to put a dealing bill into LegCo in 2026.⁹⁸
- The Budget said the same for the dealing and custodian regimes.⁸⁷
- The conclusions state no plan to treat existing firms as licensed while they apply. They encourage early talks with the SFC or HKMA.¹¹⁷

To the CEO

- Hong Kong rules move from consultation to conclusions, bill, start date and transition.^{89,15} For stablecoins, consultation began on 27 December 2023.⁸⁹ The Ordinance started on 1 August 2025, about 19 months later.¹⁵

- Planned bills in the Budget are stated intentions, not obligations. ¹¹⁴

To Risk / CRO (Chief Risk Officer)

- LegCo's negative-vetting period for the cryptoasset capital rules expired without extension. The rules apply from 1 January 2026. ¹¹⁸
- HKMA letters can change how capital guidance applies with immediate effect, as one did in June 2026. ¹⁰²

Common misunderstandings

- **Myth:** "*Should* in HKMA guidance means best practice." **Fact:** In the AML Guideline, *should* is mandatory. ⁹⁶
- **Myth:** "All SPM modules have the same force." **Fact:** SB-1 is statutory. CRP-1 is non-statutory and gives way to the BCR. ^{94,110}
- **Myth:** "The June 2026 CRP-1 letter tightened the Group 1 tests." **Fact:** It widened the ways to meet para 2.6.4. ¹¹⁹ Group 1 is the class of cryptoassets that meets the CRP-1 classification conditions.
- **Myth:** "Once LegCo passes a law, it is in force." **Fact:** LegCo passed the AMLO amendments in December 2022. The HKMA said the relevant changes would start in June 2023. ¹⁰⁷

- **Myth:** "Existing firms can carry on under the new VA regimes while they apply." **Fact:** The dealing conclusions state no plan for that.⁸¹

Official documents to read first

1. **Guideline on AML/CFT (For Authorized Institutions), revised May 2023** — HKMA, 25 May 2023. This is the HKMA's guideline for banks on anti-money laundering and counter-financing of terrorism. Read Chapter 1, paras 1.1-1.8 and footnote 1. These parts set out how binding the text is and whom it binds.
<https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20230525-4-EN/AML-2.pdf>
2. **SPM CRP-1 Classification of Cryptoassets** — HKMA, 27 November 2025 (V.1, applies from 1 January 2026). Read the cover page and paras 1.1.4 and 1.4.1-1.4.2. They show how a guidance note sits under statutory rules. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20251125-15-EN/CRP-1.pdf>
3. **Rules on cryptoassets standard and other updates** — HKMA, 15 August 2025. Read paras 1-2 of the letter. They give a short view of negative vetting and start dates. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/20250815-1-EN>

How to use paragraph references. Cite HKMA SPM modules and guidelines by paragraph, for example CRP-1 para 2.1.2. HKMA circulars often have no numbered paragraphs. Cite them by heading and page, for example Implementation, p.2.⁷⁶ SFC circulars number their paragraphs, for example joint circular para 31.⁵⁹ BRDR landing pages (brdr.hkma.gov.hk/eng/doc-ldg/docId/..) link to the PDF and related documents. SFC circulars open from apps.sfc.hk/edistributionWeb by reference number, for example 23EC66.

Open questions

- The documents reviewed for this guide do not show how SFO section 399 guidelines are weighed in proceedings. They include no FAQ, code of practice or SFC Code of Conduct text on this point. This module does not state their legal effect beyond what the documents say.
- The CRP-1 text itself had not yet been updated for the June 2026 clarification at the date of the letter.¹²⁰
- When the conclusions came out, the Government and the SFC had still to decide start dates for the VA dealing, custodian, advisory and management regimes.^{121,122,123}

- LegCo's notice set the CARF bill's First and Second Readings for 3 June 2026.⁷⁰ The notice said the Second Reading debate (the debate on the bill's general principles) would be adjourned.⁷⁰ The documents reviewed for this guide do not record its passage.

Check yourself

Answer from memory, then check the answer key at the back of the book.

1. Who issues the notice that sets the Stablecoins Ordinance's start date?
2. Using the stablecoin regime as the example, what are the five steps from proposal to a rule in force?
3. Does the word should in the HKMA's AML/CFT Guideline mean a requirement is optional?
4. Which text prevails when CRP-1 and the Banking (Capital) Rules (BCR) differ?
5. Do the dealing conclusions let existing VA firms be treated as licensed while they apply under the planned regime?

Related modules

A1, A3, B1, B2

PART A · MODULE A3

A3 Where policy is heading

For the bank's Head of Compliance (digital assets). After this module, you can say what each body has officially said it will do next, and by when. The bodies are the government, the Securities and Futures Commission (SFC) and the Hong Kong Monetary Authority (HKMA). This module uses only their own words and dates.

In 60 seconds

A short set of official strategy papers sets Hong Kong's direction on digital assets. The Financial Services and the Treasury Bureau (FSTB) issued a Policy Statement in 2022.¹²⁴ It set out the government's founding principle for regulation (quoted in Key facts below).¹²⁴ The FSTB's 2025 Policy Statement 2.0 added a framework called LEAP (four policy areas, spelled out in Key facts below).¹²⁵ It also proposed the SFC as the lead licensing authority for digital-asset dealing and custody (holding assets for clients).¹²⁵ The HKMA's role in that model is frontline regulator for banks, meaning the regulator that supervises them directly.¹²⁵ ASPIRe (the SFC's roadmap for the digital-asset market, issued in Feb 2025) lists 12 initiatives.¹²⁶ Half

of them are framed as things the SFC will explore or consider.¹²⁶ The HKMA closed its Fintech 2025 strategy and launched Fintech 2030.¹²⁷ It then published a Fintech Promotion Blueprint (Feb 2026).¹²⁸ It also asked bank boards to endorse a plan for their business model.¹²⁹ The 2026-27 Budget and the 16 Sep 2026 Policy Address add dated targets.^{130,131} These targets include a digital-asset licensing bill in 2026.¹³⁰ They also include upgrades to EnsembleTX (the HKMA's live pilot for settling tokenised money between banks).^{130,}¹³¹ The targets also cover tests of tokenised Exchange Fund Bills (short-term HKMA debt issued as digital tokens).¹³¹

Where things stand

As of 25 Sep 2026.

Instrument	Issuer	Date	Status	Applies to	Src
Policy Statement on Development of Virtual Assets in Hong Kong	FSTB	31 Oct 2022	Superseded	Whole market (Policy Statement 2.0 is the next phase)	132, 133

Instrument	Issuer	Date	Status	Applies to	Src
Fintech 2025	HKMA	8 Jun 2021	Superseded	Banks (ended when the HKMA unveiled Fintech 2030)	134, 127
ASPIRe roadmap	SFC	19 Feb 2025	Exploratory	Virtual-asset service providers and SFC-regulated firms. Only the custody law timeline has a date.	135
Policy Statement 2.0 (LEAP)	FSTB	26 Jun 2025	Stated target	Whole market; banks through the HKMA	125
Fintech 2030 (DART)	HKMA	3 Nov 2025	Stated target	Banks	136
Fintech Promotion Blueprint	HKMA	3 Feb 2026	Stated target	Banks, fintech providers	137
Strategic Review of Business Models circular	HKMA	9 Mar 2026	In force	All authorized institutions	129

Instrument	Issuer	Date	Status	Applies to	Src
2026-27 Budget	Financial Secretary	25 Feb 2026	Stated target	Whole market	138
Chief Executive's 2026 Policy Address	Chief Executive	16 Sep 2026	Stated target	Whole market	139
First Five-Year Plan (2026-2030)	Government	16 Sep 2026	Stated target	Whole market	140
SFC strategic action plan for the Five-Year Plan and 2026 Policy Address	SFC	23 Sep 2026	Stated target	SFC-regulated firms	141

Authorized institution: a bank or other deposit-taker authorized by the HKMA. Virtual asset: the legal term for crypto-type assets. Chip meanings: Superseded means a later document replaced it. Exploratory means ideas the regulator will study. Stated target means an official goal, not yet law. In force means it applies now.

Key facts

- The 2022 Policy Statement said the government would follow the principle of "same activity, same risks, same regulation".¹⁴² It said its next step was a

licensing regime for virtual-asset service providers.

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- The 2022 Policy Statement also named stablecoins (tokens designed to hold a steady value) as another key area of focus.¹⁴³ It listed three pilots: issuing non-fungible tokens, tokenised government green bonds, and e-HKD (a possible central bank digital currency for public use).¹⁴³
- Policy Statement 2.0 says the government will use the term *digital assets* instead of *virtual assets*.¹⁴⁴ The anti-money-laundering law still uses the legal term *virtual asset*.¹⁴⁵ That law is the Anti-Money Laundering and Counter-Terrorist Financing Ordinance (AMLO), section 53ZRA.¹⁴⁵
- LEAP stands for: Legal and regulatory streamlining; Expanding the suite of tokenised products; Advancing use cases and cross-sectoral collaboration; People and partnership development.¹⁴⁶
- Policy Statement 2.0 proposes the SFC as the lead authority for licensing and registering digital-asset dealers and custodians.⁶⁷ For banks, it names the HKMA as frontline regulator of their dealing and custody activities.⁶⁷
- Policy Statement 2.0 also said the government would propose laws on profits tax concessions (tax breaks).

¹⁴⁷ Privately offered funds and family-owned investment holding vehicles already get these breaks. ¹⁴⁷ The change is to extend them to cover specified digital assets. ¹⁴⁷ The start date is the 2025/26 tax year, if the Legislative Council (LegCo) approves. ¹⁴⁷

- ASPIRe has five pillars and 12 initiatives. ¹⁴⁸ The pillars are Access, Safeguards, Products, Infrastructure and Relationships. ¹⁴⁸ ASPIRe says the government-led work to prepare laws for a custodian licensing regime aimed to finish by end-2025. ¹⁴⁹
- ASPIRe says the SFC will explore new custody standards. ¹⁵⁰ The idea is standards that focus on outcomes and suit any technology, instead of fixed hardware and cold-storage ratios. ¹⁵⁰ Cold storage means keeping the keys to client assets offline.
- Fintech 2030 has four pillars, known as DART, and over 40 initiatives. ¹⁵¹ DART stands for Data and payment infrastructure, Artificial intelligence, Resilience and Tokenisation. ¹⁵¹ The initiatives include regular issuance of tokenised government bonds and the Project Ensemble pilot. ¹⁵¹
- The Fintech Promotion Blueprint announced four flagship projects. ¹⁵² One is a Quantum Preparedness Index. ¹⁵² Another is a Fintech Cybersecurity

Baseline for fintech firms using artificial intelligence and distributed ledger technology (DLT).¹⁵² DLT is the shared-ledger technology behind blockchains.

- The HKMA expects each authorized institution's board to oversee and endorse a formal strategic business plan covering DLT and other technology change.¹²⁹ The board has six months from the 9 March 2026 circular.¹²⁹
- The 2025 Policy Address set a target: a bill in LegCo in 2026 to license digital-asset dealing and custody service providers.¹⁵³
- The 2026-27 Budget repeated the plan for a licensing bill in 2026.⁸⁷ It said the government would change the Inland Revenue Ordinance over the coming two years.¹⁵⁴ The change puts into effect two international tax-reporting standards.¹⁵⁴ They are the amended Common Reporting Standard (CRS) and the Crypto-Asset Reporting Framework (CARF).¹⁵⁴ Both help tax authorities share information across borders. The bill was due in the first half of 2026.¹⁵⁴
- CMU OmniClear: the company that runs the HKMA's Central Moneymarkets Unit (CMU), a system for holding and settling bonds. The Budget said CMU OmniClear would set up a digital asset platform in

2026.¹⁵⁵ The platform is for issuing and settling digital bonds.¹⁵⁵

- The 2026 Policy Address says the HKMA will test tokenised Exchange Fund Bills by year-end.¹⁵⁶ The tests are meant to help banks use more than HK\$1.3 trillion of these bills more efficiently.¹⁵⁶ Banks could then use them around the clock.¹⁵⁶
- The HKMA plans to add two features to EnsembleTX by around end-2026.¹⁵⁷ One is settlement in central bank digital currency (CBDC). The other is round-the-clock operation.¹⁵⁷ The HKMA will also keep exploring uses for tokenised deposits (bank deposits in digital token form).¹⁵⁷
- The Policy Address lists three SFC steps:¹⁵⁸
 - improve its virtual-asset licensing regimes;¹⁵⁸
 - promote trading of regulated stablecoins on licensed platforms;¹⁵⁸
 - start running its digital-asset custody monitoring system in the second half of 2026.¹⁵⁸
- The Customs and Excise Department aims to launch a Digital Asset Transaction Analytics System by 2029.¹⁵⁹
- Hong Kong's First Five-Year Plan covers 2026 to 2030. It says the government will set up a world-leading regime to license and regulate digital assets.¹⁶⁰ It

keeps the 'same activity, same risks, same regulation' approach.¹⁶⁰

- The plan's finance table makes tokenisation of finance one of four fintech pillars.¹⁶¹ It names CBDC, stablecoins, tokenised deposits, tokenised bonds and tokenised securities products as digital assets to develop rigorously.¹⁶¹ It also backs wider use of Project Ensemble.¹⁶¹ These are stated targets, not rules.
- On 23 September 2026 the SFC published a strategic action plan for the Five-Year Plan and the 2026 Policy Address.¹⁶² In the short term it lists new digital-asset licensing regimes.¹⁶³ It also lists surveillance of digital-asset custody, market surveillance under CrypTech (an SFC technology initiative) and anti-money laundering capabilities.¹⁶⁴ For the medium to long term it lists rules for tokenised investment products, such as tokenised gold.¹⁶⁵ The plan gives no dates for these items.¹⁶⁶

What your bank must or should do

Obligations

- ☐ Have the board oversee and endorse a formal strategic business plan covering DLT and related technology. The deadline is six months after 9 March 2026.¹²⁹

Controls & monitoring

- ☐ Track the 2026 target for a bill to license digital-asset dealing and custody.⁸⁷ Policy Statement 2.0 proposes the SFC as lead licensing and registration authority, with the HKMA as frontline regulator for banks.⁶⁷
- ☐ Track the start dates proposed in the CARF bill. These are 1 Jan 2027 for the CARF part and 1 Jan 2028 for the amended CRS part.¹⁶⁷

Notify / consult HKMA or SFC

- ☐ Discuss any new digital-asset activity with the HKMA before launch. The March 2026 circular restates this.¹²⁹
- ☐ Be ready to submit the business plan through the HKMA Survey Tool if invited.¹²⁹

Counterparty due diligence

- ☐ None set by the policy documents in this module. See B2 and B3 for the current rules.

Talking points

To the CCO (Chief Compliance Officer)

- The 2026 licensing regime is still only a target. The bill has yet to go to LegCo.¹⁵³ By contrast, the

business-model circular already sets a board expectation for every authorized institution.¹²⁹

- The government now says *digital assets*, but AMLO still says *virtual asset*.^{144,145}

To business heads

- The SFC will promote trading of regulated stablecoins on licensed platforms.¹⁶⁸ It will also promote their use to settle tokenised money market funds.¹⁶⁸
- EnsembleTX is to add CBDC settlement and 24/7 operation by around end-2026.¹⁵⁷

To the CEO

- The HKMA sees a chance for banks to link traditional finance and digital assets as a key intermediary.¹⁶⁹ It expects a board-endorsed plan.¹⁶⁹
- The government's stated 2026 target is a bill to license digital-asset dealing and custody.¹⁵³

To Risk / CRO (Chief Risk Officer)

- The Blueprint's Quantum Preparedness Index measures how ready banks are for post-quantum cryptography.¹⁷⁰ Post-quantum cryptography is encryption built to resist future quantum

computers. The first index reading was 2.3 out of 10.
¹⁷¹

- ASPIRe may shift custody rules toward outcome-based standards. That idea is still exploratory. ¹⁵⁰

Common misunderstandings

- **Myth:** "Policy Statement 2.0 changed the law." **Fact:** It sets directions. The tax breaks, for example, need LegCo approval. ¹⁴⁷
- **Myth:** "ASPIRe items are rules." **Fact:** Half of the 12 initiatives are framed as things the SFC will explore or consider. ¹⁷²
- **Myth:** "The first stablecoin licences came in March 2026, as the Budget said." **Fact:** The Budget (25 Feb 2026) said the first licences would come the next month. ¹⁷³ The HKMA granted them on 10 April 2026. ¹⁷⁴
- **Myth:** "The business-model circular is about crypto only." **Fact:** It covers DLT, agentic AI (systems that act on their own) and cloud computing. ¹⁶⁹ It also reminds banks to discuss new digital-asset activities before launch. ¹⁶⁹

Official documents to read first

1. Policy Statement 2.0 on the Development of Digital Assets in Hong Kong — FSTB, 26 Jun 2025. Read

paras 3-6, 9-11, 15-16. It sets out the current government framework (LEAP) and each regulator's role.

https://gia.info.gov.hk/general/202506/26/P2025062600269_500089_1_1750909574183.pdf

2. **Strategic Review of Business Models amid Digital Transformation** — HKMA, 9 Mar 2026. Read both pages. It is the one policy document here that asks something of your board.

<https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20260309-1-EN/20260309-1-EN.pdf>

3. **The Chief Executive's 2026 Policy Address** — 16 Sep 2026. Read paras 35, 49-51 and 99 (PDF pp.22-23, 26-27, 33). It has the latest dated targets for the HKMA, the SFC and CMU OmniClear.

https://www.policyaddress.gov.hk/2026/public/pdf/policy/policy-full_en.pdf

Open questions

- The 2026 virtual-asset licensing bill was not in the documents reviewed for this guide by 25 Sep 2026. In June 2026 the government said it and the SFC would introduce the bill this year.¹⁷ The bill is to cover providers of virtual-asset dealing, custody, advisory and management services.¹⁷

- The detailed documents for the Blueprint's Fintech Cybersecurity Baseline and Quantum Preparedness Index are not in the documents reviewed for this guide.
- The 2023 Policy Address does not mention virtual assets. Its nearest items are blockchain-based e-licences and a green fintech subsidy scheme.¹⁷⁵
- Locator correction: the 2026 Policy Address digital-bond items are in para 35(ii)-(iv) on p.23. One entry in our internal source notes says para 34. This module follows the Policy Address text.

Check yourself

Answer from memory, then check the answer key at the back of the book.

1. Which body does Policy Statement 2.0 propose as lead licensing authority for digital-asset dealing and custody?
2. How long does the March 2026 business-model circular give each board to endorse its strategic business plan?
3. Is the 2026 digital-asset licensing bill already law?
4. What does the March 2026 business-model circular restate about launching a new digital-asset activity at your bank?

5. Does Policy Statement 2.0's use of the term digital assets mean the law changed the legal term too?

Related modules

A1, A2, B2, B3

PART B

Your bank as a regulated entity

PART B · MODULE B1

B1 Your bank's legal status for digital assets

For the bank's Head of Compliance (digital assets). After this module you can explain the bank's legal role in each digital-asset activity. You can also say who supervises each activity and which rules bind which company in the group.

In 60 seconds

A bank in Hong Kong is an Authorized Institution (AI). The Banking Ordinance governs how it is authorized and supervised.³⁵ Some banks carry on "regulated activities", a term the Securities and Futures Ordinance (SFO) defines. A bank doing so must register with the Securities and Futures Commission (SFC) as a Registered Institution (RI).⁴² The Hong Kong Monetary Authority (HKMA) is the RI's front-line (day-to-day) supervisor. Its Supervisory Policy Manual (SPM) module SB-1 explains how.⁴² A company the SFC licenses under SFO section 116 or 117 is a Licensed Corporation (LC).¹⁷⁶ The joint SFC–HKMA circulars on virtual-asset (VA) activities address "intermediaries". That term covers both licensed corporations (LCs) and registered institutions (RIs).^{176,59} Under the proposed

VA dealing and custody regimes, banks would register with the SFC, with the HKMA as their frontline regulator.^{177,178} VA custodians owned by locally incorporated banks would be regulated by the SFC instead.^{177,178} Some May 2026 HKMA circulars go to all authorized institutions (AIs), and others only to RIs. So always check which firms a circular covers.^{179,18}

Where things stand

As of 25 September 2026.

Instrument	Issuer	Date	Status	Applies to	Src
SPM SB-1 (V.4) Supervision of SFC-registered AIs	HKMA	12 Sep 2025	In force	RIs	180
Guideline on Anti-Money Laundering (AML) and Counter-Financing of Terrorism (CFT) for AIs	HKMA	25 May 2023	In force	All AIs, including RIs	27
Joint circular on VA-related activities, plus supplement	SFC + HKMA	22 Dec 2023; 30 Sep 2025	In force (changed for Relevant Stablecoins by the 27 May 2026 RI circular)	LCs; RIs	59, 181, 182

Instrument	Issuer	Date	Status	Applies to	Src
RI circular: Relevant Stablecoins	HKMA (formulated jointly with SFC)	27 May 2026	In force	RIs only	183
AI letter: Relevant Stablecoin-related activities	HKMA	27 May 2026	In force	All AIs	179
RI circular: VA financing, shared order book, withdrawals	HKMA	27 May 2026	In force	RIs only	184
Custody guidance (updated)	HKMA	27 May 2026	In force	AIs, plus subsidiaries of locally incorporated AIs	12
VA dealing regime (banks register; HKMA is frontline regulator)	Financial Services and the Treasury Bureau (FSTB) + SFC	24 Dec 2025	Conclusions published	Banks and stored value facilities register. LCs, RIs and SFC-licensed VA trading platforms (VATPs) get fast-track approval	177, 185
VA custodian regime	FSTB + SFC	24 Dec 2025	Conclusions published	Banks, bank subsidiaries, custodians	186, 187
VA advisory and management regimes	FSTB + SFC	24 Dec 2025 (proposal); 26 May 2026 (conclusions)	Conclusions published	Proposal: only banks could register (others licensed)	188, 189

Key facts

- An AI that carries on business in regulated activities is required to register with the SFC as an RI. The SFC registers AIs under SFO section 119.¹⁹⁰
- The SFC holds ultimate responsibility for RIs. The HKMA is the RI's front-line supervisor. Under SFO section 5(3), the SFC may rely on the HKMA's supervision.¹
- Each RI needs at least two executive officers for each regulated activity. Executive officers are the senior staff who directly supervise that activity.¹⁹¹
- Each executive officer needs the written consent of the Monetary Authority (MA). At least one of them must be available at all times.¹⁹¹
- Only people entered on the HKMA Register (the HKMA's public list of RI staff) may perform a regulated function for an RI. So the RI should submit their details before they start.¹⁹²
- An associated entity is a company linked to an RI through control that receives or holds the RI's client assets in Hong Kong.¹⁷⁶
- An RI should tell the SFC and HKMA if it plans to start any VA activity. It should also tell them before changing one, including the type of clients it serves.

- The HKMA AML/CFT Guideline applies to all AIs, including RIs. ¹⁹³
- RIs, and associated entities that are AIs, must also take into account the SFC's AML/CFT guideline. That includes its Chapter 12 on virtual assets. ¹⁹³
- The joint circular addresses intermediaries, meaning LCs and RIs. ^{59,176}
- The joint circular reminds intermediaries to tell the SFC (and the HKMA, where relevant) before starting or changing VA activities. ^{59,176}
- The September 2025 supplement lets LCs and RIs offer staking to clients they deal in virtual assets for. Staking means locking up clients' tokens to help run a blockchain, in return for rewards. ¹⁹⁴
- Firms may offer staking only through segregated (ring-fenced) accounts. Those accounts are held with an SFC-licensed platform, an AI, or a subsidiary of a locally incorporated AI. ¹⁹⁴
- The May 2026 Relevant Stablecoin circular is addressed to RIs. Relevant Stablecoins are stablecoins issued by HKMA-licensed issuers. ¹⁸³
- That circular's VA dealing, advisory and asset management rules do not apply to AIs that are not RIs. The same goes for the joint circulars' rules. ¹⁸³

- Those rules also do not apply to an HKMA-licensed issuer for the coin it issues itself. The HKMA expects these firms to meet similar standards that it issues separately.¹⁸³
- A separate HKMA letter covers all AIs that deal in, advise on or manage portfolios of Relevant Stablecoins. They should follow the RI standards.¹⁹⁵
- The same letter reminds these AIs to discuss their plans with the HKMA in advance.¹⁹⁵
- Under the Stablecoins Ordinance, only specified licensed institutions may offer a fiat-referenced stablecoin (one tied to an official currency) in Hong Kong.¹⁹⁶
- The HKMA register of licensed stablecoin issuers lists The Hongkong and Shanghai Banking Corporation Limited. Its licence is FRS02, effective 10 Apr 2026.⁶⁰
- The HKMA's guideline for licensed stablecoin issuers sets board expectations in para 7.1.3. These include having at least one-third independent non-executive directors. Those expectations do not apply to a licensed issuer that is an AI.¹⁹⁷
- Such an issuer should follow the Banking Ordinance and related guidance instead.¹⁹⁷
- The June 2025 VA dealing proposal said banks would have to register with the SFC. The SFC would

register them in consultation with the HKMA.⁵⁴

- The proposal also said the HKMA would be the frontline regulator for banks' VA dealing, with powers to inspect premises and investigate suspected breaches.¹⁹⁸
- For VA custody, the proposal made the HKMA the frontline regulator for banks. VA custodians owned by locally incorporated banks would be regulated by the SFC.¹⁷⁸
- The December 2025 custody conclusions describe a minimum capital level (a floor) for custodians: HK\$10m paid-up capital and HK\$3m liquid capital.¹⁹⁹
- The conclusions exempt banks from that floor because existing HKMA capital requirements already apply to them.¹⁹⁹
- The December 2025 further consultation proposed that only banks could register with the SFC, rather than be licensed, for VA advisory or VA management services.¹⁸⁸

What your bank must or should do

Obligations

- ☐ Hold SFC registration for each regulated activity the bank carries on.²⁰⁰

- ☐ Have at least two executive officers per activity, each with HKMA consent. ²⁰⁰
- ☐ Register relevant individuals (staff who carry out the RI's regulated activities) on the HKMA Register before they start. ¹⁹²
- ☐ Apply the HKMA AML/CFT Guideline across the whole bank. ²⁰¹
- ☐ For the RI and any associated entities that are AIs, also take into account Chapter 12 of the SFC AML/CFT guideline. ²⁰¹
- ☐ If the bank is locally incorporated, check that its subsidiaries meet the HKMA standards when they provide digital-asset custody or staking from custody. ^{12,202}

Controls & monitoring

- ☐ Before applying a circular, map each digital-asset activity to the company and role doing it: AI, RI, LC subsidiary or associated entity. ²⁰³
- ☐ Keep the relevant-individual database up to date. ²⁰⁴
- ☐ Report Register changes and specified fitness information within 7 business days. ²⁰⁴

Notify / consult HKMA or SFC

- ☐ Tell the SFC and HKMA before starting or changing VA activities. ⁷²
- ☐ Tell the HKMA in advance before applying to the SFC for registration. ²⁰⁵
- ☐ Consider early contact with the SFC or HKMA before applying under the coming dealing regime. The conclusions encourage this. ²⁰⁶

Counterparty due diligence

- ☐ Check that any stablecoin issuer you deal with is on the HKMA register. ²⁰⁷
- ☐ Check that VA dealing partners are SFC-licensed VATPs. ^{47,208}
- ☐ For Relevant Stablecoins only, treat the HKMA-licensed issuer of that coin as an allowed dealing partner too. ^{47,208}

Talking points

To the Chief Compliance Officer (CCO)

- Our VA conduct rules apply to us because we are an RI. The HKMA supervises us; the SFC keeps ultimate responsibility. ¹
- Check who each paper covers. The May 2026 Relevant Stablecoin circular is addressed to RIs. The

separate stablecoin letter covers all AIs. ^{183,179}

To business heads

- As an RI, we should tell the SFC and HKMA when we plan to start or change VA services. ⁷²
- Under the proposed custodian regime, the SFC would regulate a custody subsidiary. The HKMA would be frontline regulator for the bank itself. ¹⁷⁸

To the CEO

- Under the proposed dealing and custody regimes, the SFC would license and register providers. The HKMA would be frontline regulator for banks. ⁶⁷
- The MA can withdraw or suspend an executive officer's consent for misconduct. Each regulated activity must always have at least one executive officer available. ²⁰⁹

To Risk / Chief Risk Officer (CRO)

- A bank VA custodian would use existing HKMA capital rules, not the custodian capital floor. ¹⁸⁷
- The RI financing circular requires loans secured only by virtual assets to be treated as clean (unsecured) loans for capital purposes. ²¹⁰

Common misunderstandings

- **Myth:** "SFC AML Chapter 12 binds the whole bank."
Fact: It reaches only RIs, and associated entities that are AIs. They must take it into account, but it does not bind the rest of the bank. ²⁰¹
- **Myth:** "The joint circular is an SFC rule for brokers, not us." **Fact:** It addresses RIs too. It reaches banks through HKMA frontline supervision. ^{59,211}
- **Myth:** "The May 2026 RI stablecoin circular covers all AIs." **Fact:** It is addressed to RIs. A separate HKMA letter covers AIs that are not RIs. ^{183,179}
- **Myth:** "A custodian owned by a bank is supervised like the bank." **Fact:** Under the proposal, the SFC would regulate it. ¹⁷⁸
- **Myth:** "VA financing rules apply to every AI." **Fact:** The May 2026 financing circular is addressed to RIs. ²¹²

Official documents to read first

1. SPM SB-1 Supervision of Regulated Activities of SFC-Registered AIs (V.4) — HKMA, 12 Sep 2025.
Read paras 1.1.1, 2.1-2.2, 4.3, 4.16.1 and 5.6. This is the rulebook for your RI status.
<https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20250909-3-EN/SB-1.PDF>

2. **Public Consultation on Legislative Proposal to Regulate Dealing in Virtual Assets** — FSTB/SFC, 27 Jun 2025. Read paras 1.10 and 2.36. They show how banks would be registered and supervised.
https://www.fstb.gov.hk/fsb/en/publication/consult/doc/VADEALING_consultation_paper_en.pdf
3. **Virtual asset-related activities in relation to relevant stablecoins** — HKMA, 27 May 2026. Read footnote 3 (p.2), paras (1)-(4) and Implementation (p.9). It is a worked example of a circular that covers RIs only. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20260527-2-EN/20260527-2-EN.pdf>

Open questions

- On 24 Jun 2026 the Government said it would put a bill to the Legislative Council this year. The bill would cover the VA dealing, custodian, advisory and management regimes.¹⁷
- The documents reviewed hold no bill text. So the final rules on how banks register are not yet in law.¹⁷
- The HKMA and SFC documents reviewed do not say how registration under the new VA regimes will fit with an RI's existing SFO registration. They mention only fast-track approval.^{185,213}

- The documents reviewed do not include the Banking Ordinance or SFO text on executive officers. SB-1 is the only source used here.

Check yourself

Answer from memory, then check the answer key at the back of the book.

1. Which regulator is the front-line, day-to-day supervisor of a bank that is a Registered Institution (RI)?
2. How many executive officers must an RI have for each regulated activity?
3. Does the May 2026 Relevant Stablecoin circular bind every authorized institution (AI)?
4. What should your RI do before starting or changing a VA dealing, advice or asset-management activity?
5. Under the proposed custodian regime, would a VA custodian owned by a locally incorporated bank be regulated like the bank?

Related modules

A1, A2, B2, B3

PART B · MODULE B2

B2 Engaging the HKMA and SFC

For the bank's Head of Compliance (digital assets): the HKMA (Hong Kong Monetary Authority) and the SFC (Securities and Futures Commission) are your two regulators. After this module you can list the main duties to talk to a regulator before acting on digital-asset plans. You can also explain the HKMA's engagement channels: the Supervisory Incubator, the 2026 business-model review and the superseded (replaced) stablecoin issuer sandbox.

In 60 seconds

In HKMA rules, banks are called authorized institutions (AIs). Virtual assets (VAs) are crypto tokens and similar digital assets. Since January 2022, the HKMA has expected any bank planning a virtual-asset (VA) activity to discuss it with the HKMA first.²¹⁴ The bank should get the HKMA's feedback on its risk controls before launch.²¹⁴

Later HKMA circulars (formal letters to banks) repeat this discuss-first step for:

- tokenised products (assets recorded as digital tokens on a blockchain)²¹⁵
- custody (holding digital assets for clients)⁷⁶

- staking (locking up tokens to help run a blockchain, in return for rewards) ²¹⁶
- services in Relevant Stablecoins (stablecoins issued under an HKMA licence) ²¹⁷

Some banks are also registered with the Securities and Futures Commission (SFC) for securities business.

These banks are called registered institutions (RIs). A bank acting as a registered institution (RI) should tell both regulators before it starts or changes VA dealing, advice or asset management. ⁷²

The capital rules (rules on how much capital a bank holds against its risks) add a separate trigger. A bank must notify the HKMA when it acquires a new type of cryptoasset. ⁶⁴

For distributed ledger technology (DLT) projects, the HKMA runs a Supervisory Incubator. ²¹⁸ DLT means shared digital records, such as blockchains. The Incubator offers a dedicated HKMA team and optional live trials. ²¹⁸

In March 2026 the HKMA said it expects every bank's board to endorse a strategic business plan on digital change within six months. ²¹⁹

Where things stand

As of 25 Sep 2026.

Instrument	Issuer	Date	Status	Applies to	Src
AIs' interface with VAs and VA service providers (VASPs)	HKMA	28 Jan 2022	In force	All Authorized Institutions (AIs)	50
Joint circular on intermediaries' VA-related activities	SFC + HKMA	22 Dec 2023	In force	Licensed corporations (LCs); RIs via HKMA	59
Sale and distribution of tokenised products	HKMA	20 Feb 2024	In force	AIs	215
Custody circular (first version)	HKMA	20 Feb 2024	Superseded	AIs	76
Updated custody guidance and Annex	HKMA	27 May 2026	In force	AIs and subsidiaries of local AIs	76
Staking from custodial services	HKMA	7 Apr 2025	In force	AIs and subsidiaries of local AIs	216
Supervisory Incubator for DLT	HKMA	8 Jan 2025	Pilot	AIs	220
Supervisory Policy Manual (SPM) SB-1 (V.4)	HKMA	12 Sep 2025	In force	RIs	72

Instrument	Issuer	Date	Status	Applies to	Src
Supplemental joint circular	SFC + HKMA	30 Sep 2025	In force	LCs; RIs	221
SPM CRP-1 Classification of Cryptoassets	HKMA	27 Nov 2025 (applies from 1 Jan 2026)	In force	All AIs	64
SPM CR-L-5 Major Acquisitions (V.3)	HKMA	27 Nov 2025	In force	Locally incorporated AIs	222
Strategic Review of Business Models	HKMA	9 Mar 2026	In force	All AIs	219
RI circular and AI letter on Relevant Stablecoins	HKMA (with SFC)	27 May 2026	In force	RIs; all AIs	223, 217
SFC circular 26EC26 on Relevant Stablecoin services	SFC	27 May 2026	In force	VA trading platforms (VATPs); LCs	224
Stablecoin issuer sandbox	HKMA	12 Mar 2024	Superseded	Would-be issuers	225

Key facts

- A bank planning any VA activity should discuss it with the HKMA, and with other regulators where relevant, before launch. ²¹⁴ The bank should get feedback on its risk controls before launch. ²¹⁴
- Before selling or issuing tokenised products, a bank should have policies and controls in place and discuss its plans with the HKMA in advance. ²¹⁵
- A bank, or a local bank's subsidiary, that intends to offer digital-asset custody should first discuss it with the HKMA. ⁷⁶ It should also satisfy the HKMA that it meets the custody standards in the guidance's Annex. ⁷⁶
- The February 2024 custody circular asked existing custodians to confirm compliance to the HKMA within six months. ²²⁶ The May 2026 letter supersedes (replaces) that circular. ⁷⁶ The new letter simply asks existing custodians to review and revise their controls. ⁷⁶
- Before offering staking from custody, a bank should have adequate policies and controls and discuss its plans with the HKMA in advance. ²¹⁶
- Intermediaries (firms licensed or registered with the SFC, including RIs) should give the SFC advance notice before starting or changing VA activities. ⁵⁹

Where relevant, they should also give the HKMA advance notice.⁵⁹ A change in client type counts as a change.⁵⁹

- The September 2025 supplementary joint circular lists changes that need prior notice:²²¹
 - a change in client type
 - first VA deposits or withdrawals
 - first staking service
 - first subscriptions or redemptions (buying into or cashing out of a product) paid in VAs
 - other material changes
- SB-1 is the Supervisory Policy Manual (SPM) chapter on supervising RIs. It expects an RI to tell the SFC and the HKMA when it plans to start or change VA activities.⁷²
- An RI needs at least two executive officers (senior staff who directly supervise the business) for each regulated activity.²²⁷ Each executive officer needs written consent from the Monetary Authority (MA), applied for through the HKMA.²²⁷
- RIs should give the HKMA and SFC advance notice before they do any of these:²²³
 - distribute products linked to Relevant Stablecoins
 - deal in, advise on or manage Relevant Stablecoins
 - materially change those arrangements

- All AIs, not only RIs, should discuss Relevant Stablecoin dealing, advice or portfolio management with the HKMA before starting.²¹⁷
- CRP-1 is the SPM chapter on classifying cryptoassets. Under CRP-1, a bank that acquires a new type of cryptoasset must notify the HKMA.⁶⁴ It must treat the asset as Group 2b (the group with the strictest capital treatment) until the HKMA agrees to the bank's own classification.⁶⁴
- A locally incorporated AI (one set up in Hong Kong) needs the MA's written consent for some share purchases.²²² Consent is needed when the shares bought are worth at least 5% of the bank's own Tier 1 capital (its core capital).²²² Equity-like cryptoassets (tokens that act like shares) count as shares for this test.²²²
- The HKMA launched the Supervisory Incubator on 8 January 2025.²²⁰ The Incubator gives banks one supervisory contact point to confirm DLT risk controls before a full launch.²²⁰ Live trials are optional.²²⁰ Tokenised deposits (bank deposits recorded as digital tokens) were an initial focus.²²⁰
- Incubator participants may get some supervisory flexibility, decided case by case.²²⁸
- The HKMA expects each bank's board to oversee and endorse a formal strategic business plan for

these technology changes.²¹⁹ The deadline is six months from 9 March 2026.²¹⁹

- The same March 2026 circular repeats that banks should discuss new digital-asset activities with the HKMA before launch.²²⁹
- The stablecoin issuer sandbox (March 2024) let would-be issuers test their plans on a limited scale.²³⁰ Admission did not mean HKMA endorsement or regulation.²³⁰ A licence would need a separate application.²³⁰
- The HKMA later said sandbox participation is not a condition for a licence and does not guarantee one.²³¹

What your bank must or should do

Obligations

- ☐ Discuss each new VA product or service with the HKMA before launch, and get its feedback on risk controls.⁵⁰
- ☐ Have the board oversee and endorse the strategic business plan that the March 2026 circular asks for.²¹⁹
- ☐ Get the MA's written consent for each RI executive officer, applying through the HKMA.²³²

Controls & monitoring

- ☐ Track the changes that trigger prior notice: new client type, first VA deposits or withdrawals, first staking, first VA-funded subscriptions and other material changes. ²²¹
- ☐ If the bank already offers custody, review and revise its controls against the 2026 Annex. ⁷⁶
- ☐ If a cryptoasset stops meeting the conditions for its HKMA-agreed group (1a, 1b or 2a), move it to Group 2b at once. ²³³ Any later move to another group needs the HKMA's agreement. ²³³

Notify / consult HKMA or SFC

- ☐ Discuss tokenised products, custody and staking with the HKMA in advance. ^{234,12,235}
- ☐ Notify the SFC and the HKMA in advance of RI VA activities and of changes to them. ^{72,59}
- ☐ Relevant Stablecoin activities: if the bank is an RI, notify the HKMA and SFC. ²³⁶ Every bank: discuss them with the HKMA. ²³⁷
- ☐ Notify the HKMA when the bank acquires a new type of cryptoasset. ⁶⁴
- ☐ Seek consent before taking a stake in equity-like tokens worth 5% or more of Tier 1 capital. ²³⁸ Give the MA at least one month's notice of other significant acquisitions. ²³⁸

Counterparty due diligence

- ☐ Do not treat a firm's sandbox status as a licence.
²³⁹ Check the HKMA's Register of Licensed Stablecoin Issuers instead. ⁷⁸

Talking points

To the CCO

- Every new VA, tokenisation, custody, staking or stablecoin launch starts with an HKMA discussion.
⁵⁰ For RI activities, the SFC and HKMA also expect advance notice. ⁷²
- The 2026 custody letter dropped the six-month confirmation. ⁷⁶ Existing custodians should review and revise their controls instead. ⁷⁶

To business heads

- We talk to the HKMA before go-live on any new digital-asset activity. The March 2026 circular restates that step. ²²⁹
- We should flag a new client type to the SFC in advance, and to the HKMA where relevant. ²²¹ The same goes for our first VA deposits, staking or VA-funded subscriptions. ²²¹

To the CEO

- The HKMA asked each board to endorse a digital-transformation business plan within six months of 9 March 2026. ²¹⁹
- The Supervisory Incubator gives us a dedicated HKMA team for feedback before a full DLT launch. ²¹⁸ Live trials there are optional. ²¹⁸

To Risk / CRO

- We must notify the HKMA when we acquire a new type of cryptoasset. ⁶⁴ The asset sits in Group 2b until the HKMA agrees with our classification. ⁶⁴
- Equity-like tokens count as shares for the 5%-of-Tier-1 consent test. ²⁴⁰

Common misunderstandings

- **Myth:** Telling the SFC is enough. **Fact:** SB-1 expects RIs to tell both regulators. ⁷² The HKMA's own circulars add a discuss-first step. ⁵⁰
- **Myth:** The advance-notice rule in SFC circular 26EC26, on admitting Relevant Stablecoins, binds us. **Fact:** That circular is addressed to VATPs and LCs. ²²⁴ For RIs, the HKMA's RI circular sets the advance-notice duty. ²²³
- **Myth:** Every crypto trade needs a CRP-1 notice. **Fact:** Only a new type of cryptoasset does. ²⁴¹ A first

Bitcoin position triggers a notice.²⁴¹ Bitcoin futures after existing spot (direct) holdings do not.²⁴¹

- **Myth:** The six-month custody confirmation still applies. **Fact:** It belonged to the 2024 circular.²²⁶ That circular has been superseded.⁷⁶
- **Myth:** Incubator or sandbox entry means approval. **Fact:** Incubator flexibility is case by case.²⁴² Sandbox admission was not an endorsement.²³⁹

Official documents to read first

1. **Regulatory approaches to AIs' interface with VAs and VASPs**, HKMA, 28 Jan 2022. Read pp.3-5, ending with the AIs' VA-related proposals section. This is where the discuss-first expectation starts.
<https://brdr.hkma.gov.hk/eng/doc-ldg/docId/20220128-1-EN>
2. **SPM SB-1 Supervision of Regulated Activities of SFC-Registered AIs (V.4)**, HKMA, 12 Sep 2025. Read paras 2.1.3, 2.2.4, 4.3 and 5.6. It sets the RI duties to notify regulators and to get consent for executive officers. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20250909-3-EN/SB-1.PDF>
3. **HKMA circular to RIs on VA-related activities involving Relevant Stablecoins**, HKMA, 27 May 2026. Read Background (pp.1-2) and Implementation (p.9). It sets the newest advance-

notice duty. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20260527-2-EN/20260527-2-EN.pdf>

Open questions

- The documents reviewed for this guide contain no HKMA form, template or response timeline for the discuss-first step.
- The six-month window in the March 2026 business-model circular ran to about 9 September 2026.²¹⁹ No document reviewed for this guide shows any HKMA follow-up on these plans.
- No document reviewed for this guide has a public list of Supervisory Incubator participants.
- The December 2025 consultation conclusions on VA custodian services cover banks that safekeep private keys (the secret codes that control crypto) for client VAs.²⁴³ They also cover subsidiaries of locally incorporated banks that do so.²⁴³ These firms would need a licence or registration under the proposed regime.²⁴³ The stated aim is to introduce a bill into the Legislative Council in 2026.²⁴³ No bill text is in the documents reviewed for this guide (see A1).

Check yourself

Answer from memory, then check the answer key at the back of the book.

1. Which regulator does the HKMA expect a bank to talk to before launching any virtual-asset activity?
2. How long did the March 2026 circular give each bank's board to endorse its strategic business plan?
3. Did admission to the HKMA's stablecoin issuer sandbox (now superseded) mean the HKMA had endorsed the firm?
4. What must your bank do when it acquires a new type of cryptoasset?
5. Does Supervisory Incubator participation guarantee supervisory flexibility?

Related modules

A1, B1, B3, C1, C3, C4

PART B · MODULE B3

B3 Governance, risk and technology expectations

This module is for the bank's Head of Compliance (digital assets). After it, you can explain what the Hong Kong Monetary Authority (HKMA) expects in four areas. You can also point to the paragraph for each:

- the board's role;
- risk assessment of new products;
- distributed ledger technology (DLT), the shared-database technology behind crypto, and vendor risk;
- control of private keys (the secret codes that move digital assets).

In 60 seconds

The HKMA's Supervisory Policy Manual (SPM) has a Pillar 2 module, CA-G-5.²⁴⁴ Pillar 2 is the HKMA's review of whether a bank holds enough capital for all its risks.²⁴⁴ CA-G-5 applies to locally incorporated authorized institutions (AIs), meaning banks and deposit-takers set up as companies in Hong Kong.²⁴⁴ CA-G-5 says the board and senior management should understand the risks of new or complex activities.²⁴⁴ It names cryptoasset activities as an example.²⁴⁴

The HKMA has a guideline on anti-money laundering (AML) and counter-financing of terrorism (CFT).²⁴⁵

Before any new product, business practice or technology goes live, that guideline requires a risk assessment.²⁴⁵ The assessment covers money laundering (ML) and terrorist financing (TF) risks.²⁴⁵

For DLT, the HKMA published ten risk considerations in April 2024, and they are not binding.²⁴⁶ It followed with a longer research study in March 2025.²⁴⁷

Circulars on custody (holding assets for clients), staking and tokenised products add concrete expectations. They cover vendor due diligence (checks on suppliers) and key management.^{248,249,250} The main key-management expectations are:

- keys held in tamper-resistant devices;²⁵¹
- keys generated and backed up in Hong Kong;²⁵¹
- no "single point of failure" (one part whose loss stops everything);²⁵¹
- 98% of client virtual assets (VA) in cold storage, with keys kept offline.⁸³

If a bank's capital or risk management around cryptoassets falls short, the HKMA may consider extra measures.²⁵² These include capital add-ons (extra capital), provisioning (money set aside for losses), limits or other measures.²⁵²

Where things stand

As of 25 September 2026.

Instrument	Issuer	Date	Status	Applies to	Src
SPM CA-G-5 Supervisory Review Process (V.7)	HKMA	19 December 2025	In force	Locally incorporated AIs	253
AML/CFT Guideline for AIs (revised May 2023)	HKMA	25 May 2023	In force	AIs, including Registered Institutions (RIs)	254
DLT risk-management considerations (cover letter + Annex)	HKMA	16 April 2024	In force	AIs (non-binding considerations)	246, 255
DLT in the Financial Sector: study	HKMA	19 March 2025	Exploratory	AIs (research, not a rule)	247
Sale and distribution of tokenised products	HKMA	20 February 2024	In force	AIs (tokenised products not regulated under the Securities and Futures Ordinance)	256
Staking from custodial services	HKMA	7 April 2025	In force	AIs and subsidiaries of locally incorporated AIs	202
Updated custody guidance Annex	HKMA	27 May 2026	In force	AIs and subsidiaries of locally incorporated AIs	257

Instrument	Issuer	Date	Status	Applies to	Src
SPM CRP-1 Classification of Cryptoassets	HKMA	1 January 2026	In force	All AIs	258
Strategic Review of Business Models	HKMA	9 March 2026	In force	All AIs	259

Key facts

- Directors and senior managers of a locally incorporated AI should understand the firm-wide risks of new or complex products and activities.²⁶⁰ CA-G-5 names cryptoasset activities as an example.²⁶⁰
- CA-G-5 notes: "Cryptoasset activities and associated risks are relatively new and evolving."²⁶¹ For related gaps in capital adequacy (having enough capital) or risk management, the HKMA may consider these measures:²⁶¹
 - capital add-ons (extra capital on top of the minimum);
 - provisioning (setting money aside) for foreseeable and estimable cryptoasset losses;
 - limits;
 - other measures.

- The HKMA expects each AI's board to oversee and endorse a formal strategic business plan.²⁵⁹ The board has six months from the 9 March 2026 circular.²⁵⁹ The plan looks at adapting products, revenue models, customer engagement, risk management and operations.²⁵⁹
- A bank should identify and weigh the ML/TF risks of:²⁶²
 - new products;
 - new business practices, including delivery mechanisms (how the product reaches customers);
 - new or developing technologies.

It should do this assessment before launch. It should then take measures to manage and reduce the risks it finds.²⁶²

- In the HKMA AML/CFT Guideline, the word "should" signals a mandatory requirement, just as "must" does.⁹⁶
- The April 2024 DLT considerations are non-binding and non-exhaustive (not a complete list).²⁶³ The HKMA supervises on a risk-based, technology-

neutral basis.²⁶³ It checks whether a bank has adequate systems and controls for the extra risks DLT may bring.²⁶³

- The board and senior management carry full responsibility for DLT adoption.²⁶⁴ The bank should update its technology-risk, business-continuity and outsourcing policies for DLT factors as needed, and have enough staff with DLT expertise.²⁶⁴
- A bank should choose a DLT network type that suits the application's nature and risks.²⁶⁵ It should also consider whether the node operators (the parties that validate and confirm changes to the ledger) are trustworthy, reliable and diverse.²⁶⁵ A permissionless network (one anyone can join) would likely be inappropriate for highly critical or sensitive functions without adequate compensating controls.²⁶⁵
- Where a bank uses DLT for critical functions, its business continuity plans should include DLT test scenarios such as:²⁶⁶
 - cyberattacks;
 - loss or theft of private keys;
 - forks (splits of a blockchain into two versions).

- The March 2025 study drew on input from three other regulators.²⁶⁷ They are the Insurance Authority, the Mandatory Provident Fund Schemes Authority and the Securities and Futures Commission (SFC).²⁶⁷ It surveyed 113 financial institutions and builds on the 2024 circular.²⁶⁷ The study is research, not a new rule.²⁶⁷
- For outsourced DLT work, the study suggests three steps:²⁶⁸
 - assess vendors at every stage;
 - set contract terms on performance and data security;
 - line up backup vendors or failover plans (switching to a backup) in advance.
- Before launching custody, a bank should complete a comprehensive risk assessment, with effective oversight by the board and senior management before and after launch.²⁶⁹
- As a general principle, a bank may delegate or outsource VA custody only to one of three types of firm:²⁷⁰
 - another AI, or a subsidiary of an AI that is itself incorporated in Hong Kong;
 - a VA trading platform licensed by the SFC;

- an HKMA-licensed stablecoin issuer that has HKMA consent to hold the stablecoins it issues.
- Due diligence on a custody delegate covers, among other things, independent code reviews and the provider's software release process.²⁷¹ After that, the bank keeps reviewing the provider's security controls and disaster-recovery testing.²⁷¹ Ultimate responsibility stays with the bank.²⁷¹
- The HKMA sets these key-management expectations for client VAs:²⁵¹
 - Keep keys in tamper-resistant devices such as hardware security modules (HSM), and do due diligence on the HSM vendor.
 - Generate, store and back up seeds (master secrets that create keys) and keys in Hong Kong.
 - Use key sharding (splitting a key into parts held separately) or similar, so no single point of failure exists.
 - Show signers the transaction details in human-readable form.
- If the client assets in custody are VAs, 98% should sit in cold storage.⁸³
- Some tokenised products (assets recorded as tokens on a DLT network) fall outside the Securities and Futures Ordinance.²⁷² For these, due diligence on

issuers and their technology vendors should cover:

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- key management;
- safeguards against theft and hacking;
- smart-contract audits (checks of the code that runs on the blockchain);
- contingency plans for DLT failures.
- For staking (locking up tokens to help run a blockchain, for rewards), the bank should do three things: ²⁷³
 - Keep possession or control of the means to unstake client VAs, such as the private keys of withdrawal addresses.
 - Do due diligence on each blockchain protocol.
 - Vet and monitor any third-party staking provider.
- CRP-1 says AIs must have policies, governance, staff and information technology able to assess cryptoasset risk. ²⁷⁴ They must document the basis for each classification and make it available to the HKMA on request. ²⁷⁴

What your bank must or should do

Obligations

- ☐ Run the ML/TF risk assessment before launching any new product, new business practice or new technology. Examples of new products are a VA, tokenisation or stablecoin service. ²⁶²
- ☐ Brief the board so it understands cryptoasset risks firm-wide and can set limits. Those limits sit within the bank's risk appetite (the level of risk it is willing to accept). ²⁷⁵
- ☐ Complete a comprehensive risk assessment before custody launch, under board oversight. ²⁶⁹

Controls & monitoring

- ☐ Update technology-risk, continuity and outsourcing policies for DLT factors. ²⁶⁴
- ☐ Apply the para 11 key controls to client VAs, including 98% cold storage. ²⁷⁶
- ☐ Monitor custody security 24/7, test system changes before deployment and monitor dependencies. ²⁷⁷
- ☐ Keep documented classification evidence for each cryptoasset exposure. ²⁷⁴

Notify / consult HKMA or SFC

- ☐ Take the DLT considerations into account when preparing DLT-related submissions. The HKMA encourages this. ²⁴⁶
- ☐ Obtain HKMA consent before appointing an HKMA-licensed stablecoin issuer to hold the stablecoins it issues. ²⁷⁸ The issuer's keys must be kept in Hong Kong or a location the HKMA accepts. ²⁷⁸

Counterparty due diligence

- ☐ Document due diligence on custody delegates and HSM vendors, and review them regularly. ²⁷⁹
- ☐ Vet tokenisation platforms and staking providers before use, and monitor them afterwards. ^{250,280}
- ☐ Consider whether DLT node operators are trustworthy, reliable and diverse. ²⁸¹

Talking points

To the CCO

- The HKMA AML/CFT Guideline requires an ML/TF risk assessment before any new product, practice or technology launch. In that guideline, "should" is mandatory. ²⁴⁵

- The DLT considerations are non-binding. Even so, the HKMA encourages banks to take them into account in DLT-related submissions.²⁴⁶

To business heads

- As a general principle, we can outsource VA custody only to another AI, an SFC-licensed platform, or a licensed stablecoin issuer. A stablecoin issuer qualifies only for the coins it issues, and only with HKMA consent.²⁷⁰
- Before we offer tokenised products to customers, we need due diligence on the issuer and its technology vendors.²⁵⁰

To the CEO

- The HKMA expects the board to understand cryptoasset risks.²⁸² It also expects the board to endorse a digital-transformation business plan within six months of 9 March 2026.²⁵⁹
- If our capital or risk management for crypto falls short, the HKMA may consider capital add-ons, provisioning or limits.²⁵²

To Risk / CRO

- For custody keys, the HKMA looks for HSM devices, a Hong Kong location and sharding.²⁷⁶ It also looks

for no blind signing (approving unseen details) and 98% of client VAs in cold storage. ²⁷⁶

- DLT continuity plans should test key loss, cyberattacks and forks. ²⁶⁶

Common misunderstandings

- **Myth:** "The DLT considerations are rules with deadlines." **Fact:** They are non-binding and set no deadline. ²⁴⁶ The firm numbers sit in the custody Annex. ²⁸³
- **Myth:** "The March 2025 DLT study sets new rules." **Fact:** It is a research study. It builds on the 2024 circular. ²⁸⁴
- **Myth:** "Outsourcing custody moves the risk away." **Fact:** Ultimate responsibility stays with the bank. ²⁸⁵
- **Myth:** "Insurance must cover 100% of hot-wallet assets." **Fact:** That fixed cover came from the February 2024 guidance. ²⁸⁶ It set 50% cover for cold storage, and 100% for hot storage (keys kept online) and other storage. ²⁸⁶ The May 2026 circular replaced that guidance. ¹² The 2026 Annex instead makes the bank liable for losses attributable to it. ⁸⁵ It also requires adequate financial resources, which may include insurance. ⁸⁵
- **Myth:** "The SFC's VA chapter on money laundering sets our new-product rule." **Fact:** For a bank, the

HKMA guideline governs.²⁸⁷ RIs must also take into account the SFC guideline, including its VA chapter.

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Official documents to read first

- 1. Risk management considerations related to the use of DLT (Annex), HKMA, 16 April 2024.** Read all ten items. This is the HKMA's DLT checklist.
<https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20240416-2-EN/20240416-2-EN.pdf>
- 2. Updated Guidance on Expected Standards on Custodial Services (Annex), HKMA, 27 May 2026.** Read paras 1, 10-11, 14-19 and 23-25. It covers governance, keys and outsourcing in one place.
<https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20260527-7-EN/20260527-7-EN.pdf>
- 3. SPM CA-G-5 Supervisory Review Process (V.7), HKMA, 19 December 2025.** Read paras 3.6.6 (p.53) and 4.2.8 (pp.63-64). These hold the board-understanding and Pillar 2 hooks.
<https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20251217-2-EN/CA-G-5.pdf>

Open questions

- The HKMA AML/CFT Guideline for AIs has no provisions on stablecoins, unhosted wallets (wallets held without a service provider) or VA red flags (warning signs).²⁸⁸ The guideline mentions VAs only in passing, in two places:²⁸⁸
 - VA transfers as occasional transactions (one-off dealings outside an ongoing relationship);
 - VA service providers in correspondent-type relationships (a bank providing services similar to correspondent banking to another firm).

See D3 for how the gap is handled.

- No general HKMA outsourcing or technology-risk module is among the documents reviewed for this guide. Only DLT- and custody-specific outsourcing text is covered.
- Two copies of CA-G-5 V.7 exist. One is dated 27 November 2025 and has a placeholder header date (xx.12.2025). The other is the 19 December 2025 version.^{289,290} This module cites the 19 December 2025 text, and the crypto paragraphs match.^{289,290}

Check yourself

Answer from memory, then check the answer key at the back of the book.

1. Which HKMA guideline requires a money-laundering and terrorist-financing risk assessment before a new VA product launches?
2. What percentage of client virtual assets should sit in cold storage under the custody Annex?
3. Are the HKMA's April 2024 DLT risk considerations binding rules?
4. As a general principle, to which three types of firm may your bank delegate or outsource VA custody?
5. Does outsourcing VA custody move ultimate responsibility away from the bank?

Related modules

B2, C3, C5, D3, D4

PART C

Activities

PART C · MODULE C1

C1 Selling, dealing and advising on virtual assets

This module is for the Head of Compliance at a bank that is also a Registered Institution (RI). An RI is a bank registered with the Securities and Futures Commission (SFC) for securities business. After this module you can explain what the bank can do with virtual assets (VAs), such as bitcoin. That covers selling, dealing, advising and staking. You can also explain what the bank must check first. The rules come from a joint regime of the SFC and the Hong Kong Monetary Authority (HKMA).

In 60 seconds

Since January 2022, the SFC and the HKMA have set out their expectations in a joint circular on virtual-asset (VA) activities ²⁹¹. The circular covers intermediaries, including banks registered with the SFC ²⁹¹. The current base text is dated 22 December 2023. It replaced the two earlier versions ²⁹². A supplemental circular of 30 September 2025 added refinements and relaxations ²⁹³. HKMA guidance of 27 May 2026 eased the rules for licensed stablecoins ²⁹⁴. Licensed stablecoins are tokens pegged to one or more

official currencies ²⁹⁴. The same guidance allowed VA financing, meaning credit for VA dealing ²⁹⁵. The regulators say VA-related products are very likely complex ²⁹⁶. Complex ones should generally go only to professional investors (PIs), who meet set wealth or institutional tests ²⁹⁷. Firms should test the VA knowledge of clients other than institutional and qualified corporate PIs ²⁹⁸. Dealing should go through SFC-licensed platforms ²⁹⁸. For licensed stablecoins, dealing can also go through the licensed issuer ²⁹⁹. The SFC imposes the detailed conduct rules as conditions on the bank's SFC registration ³⁰⁰. The bank should tell the SFC in advance of new VA activities or changes, and the HKMA where applicable ³⁰⁰.

➤ COMMERCIAL AND CUSTOMER BENEFITS

For customers:

- Since 30 September 2025, banks and brokers may offer staking (locking tokens to help run a blockchain, for rewards) to VA dealing clients. ³⁰¹
- The HKMA's May 2026 circular cites the SFC: VA financing would let margin clients with strong credit and collateral trade more VAs. ²⁹⁵
- The SFC says linking platforms to global liquidity aims to tighten spreads (the gap between buying and selling prices). ³⁰²

For the bank:

- The September 2025 relaxations aim to help the market grow while keeping investor protection.²⁹³
- Banks may serve retail clients via omnibus accounts at platforms serving only PIs, which the regulators call efficient intermediation.²⁰⁸
- Each client trade can earn a commission or a spread, and advice can earn a fee. CONCEPT

Evidence so far:

- The SFC listed 13 licensed VA trading platforms at its 29 May 2026 update.³⁰³
- In its 2025 annual results, HashKey Holdings Limited (HashKey) reported HK\$86.4 billion of omnibus client trading in 2025, against HK\$11.7 billion in 2024.³⁰⁴ Omnibus clients are licensed firms trading for their clients through one pooled account. The figures are the firm's own, covering Hong Kong and other markets.³⁰⁵

Limits:

- The regulators say VA-related products are very likely complex, so sellers should check suitability even without a recommendation.²⁹⁶
- Only the bank's securities margin clients may get VA financing.³⁰⁶

Business lines: Virtual-asset distribution and brokerage; Virtual-asset dealing; Virtual-asset financing and margin; Staking services

Where things stand

As of 25 September 2026.

LCs = licensed corporations (firms licensed by the SFC). RIs = registered institutions (banks registered with the SFC). AIs = authorized institutions (banks licensed under the Banking Ordinance). VATPs = VA trading platforms licensed by the SFC. PI = professional investor. FSTB = Financial Services and the Treasury Bureau. T&Cs = terms and conditions.

Instrument	Issuer	Date	Status	Applies to	Src
Joint circular on intermediaries' VA-related activities	SFC + HKMA	28 Jan 2022	Superseded	LCs, RIs	291
Joint circular (revised)	SFC + HKMA	20 Oct 2023	Superseded	LCs, RIs	307, 292
Joint circular (current base) + Appendices 1–7	SFC + HKMA	22 Dec 2023	In force	LCs, RIs	4, 308

Instrument	Issuer	Date	Status	Applies to	Src
Supplemental joint circular (staking, off-platform trades, in-kind flows)	SFC + HKMA	30 Sep 2025	In force	LCs, RIs	309
HKMA circular on Relevant Stablecoin activities + Appendix A1 (dealing and advice T&Cs) and A2 (portfolio management T&Cs)	HKMA (with SFC)	27 May 2026	In force	RIs	310, 311
Letter on Relevant Stablecoin-related activities	HKMA	27 May 2026	In force	All AIs	179
Circular on Relevant Stablecoin services (26EC26)	SFC	27 May 2026	In force	VATPs, LCs (bank's counterparties)	312
Guidance on VA financing, shared order book and client VA withdrawals	HKMA	27 May 2026	In force	RIs	184

Instrument	Issuer	Date	Status	Applies to	Src
Standalone licensing regimes for VA dealing, advisory and management	FSTB + SFC	Dec 2025 / May 2026	Conclusions published	Banks would register with the SFC for VA advisory and management	³¹³ , ⁸

Key facts

- The 22 December 2023 circular fully replaced both earlier joint circulars ²⁹².
- VA-related products mainly invest in VAs, get their value mainly from VAs, or track VA returns ²⁹⁶. The regulators say such products are very likely complex ²⁹⁶. So suitability checks (does the product fit the client?) apply even without a solicitation or recommendation ²⁹⁶. The exception is the exchange-traded products in paras 7 and 9 ²⁹⁶.
- Complex VA-related products should be offered only to PIs, apart from a limited set of products ³¹⁴. The set covers certain VA derivatives traded on exchanges the SFC specifies, plus SFC-authorised VA funds ³¹⁵. For the funds, the exchange is the Stock Exchange of Hong Kong (SEHK). For these exchange-traded products, a firm can execute a client's order without a suitability check if it made

no solicitation or recommendation ³¹⁵. The knowledge test still applies ³¹⁵.

- Firms should assess the VA knowledge of every client except institutional PIs and qualified corporate PIs ³¹⁶. A one-off test is acceptable ³¹⁶. A client without the knowledge may trade only after the firm has trained them ³¹⁶.
- Firms should partner only with SFC-licensed platforms for VA dealing ². They can introduce clients to the platform or use an omnibus account (one account holding many clients' assets) ². They should offer VA dealing only to clients of their Type 1 (dealing in securities) business ².
- Before serving retail dealing clients, a firm should set an exposure limit for each client ³¹⁷. The limit should reflect the client's financial situation, including net worth ³¹⁷. The firm should also restrict these clients to tokens the platform offers to retail investors ³¹⁷.
- Advice on VAs is limited to Type 1 or Type 4 (advising on securities) clients ³¹⁸. Any VA recommended to a retail client should appear in at least two acceptable indices ³¹⁸. Those indices should come from at least two different index providers ³¹⁸.

- Appendix 7 sets extra terms for managing some portfolios that invest in VAs (RA9: Type 9 regulated activity, asset management) ³¹⁹. A portfolio triggers these terms if it has a stated VA objective ³¹⁹. It also triggers them if it plans to put 10% or more of gross asset value (GAV) into VAs ³¹⁹. Discretionary VA dealing that is only incidental to Type 1 business should stay below 10% of GAV ³¹⁹.
- The September 2025 supplement allows staking for clients the firm already deals VAs for ³²⁰. Staking means locking up tokens to help run a blockchain in return for rewards. Staking should go only through segregated accounts at an SFC-licensed platform or an AI ³²⁰. Segregated accounts keep client assets apart from the firm's own.
- The same supplement allows trades through a licensed platform's off-platform trading services ³²¹. These are services the platform runs outside its main trading venue. The regulators do not treat a client's subscription for, or redemption of, products using VAs as providing VA dealing services ³²¹. The same applies to in-kind fund flows (paying in or taking out VAs instead of cash) ³²¹.
- The net-worth check and the VA-futures risk disclosure do not apply to institutional or qualified corporate PIs ³²².

- From May 2026, RIs may partner with the licensed issuer of a Relevant Stablecoin as well as with VATPs³²³. A Relevant Stablecoin is a specified stablecoin issued under a Stablecoins Ordinance licence³²³. The same guidance removes paragraph 20(a)(iii)³²³. So retail omnibus dealing may now go through a VA trading platform (VATP) that serves PIs only³²³. The condition is that retail clients trade only tokens that VATP has admitted for retail trading³²³.
- Some clients have accounts clearly marked as Relevant-Stablecoin-only. For them, no knowledge test or exposure limit is needed^{324,325}. For any client, Relevant Stablecoin holdings need not count towards the exposure limit^{324,325}.
- RIs providing VA dealing may now offer VA financing, but only to their securities margin clients³²⁶. Where the RI relies on VA collateral, only bitcoin, ether and Relevant Stablecoins are eligible³²⁶. Bitcoin and ether get a haircut of at least 60%³²⁶. A haircut is a cut to the value the lender counts.
- In January 2026 the SFC reprimanded and fined a licensed broker HK\$4 million³²⁷. Between November 2018 and November 2022, the broker let retail clients trade VA products that the 2018 and 2022 circulars limited to PIs³²⁷. The 1,446 trades involved 32 VA products³²⁷. The broker did not

assess VA knowledge or give VA-specific warnings³²⁷. It had no specific product due diligence procedures for VA products³²⁷.

What your bank must or should do

Obligations

- Classify every VA-linked product³²⁸. Then apply the PI-only, suitability and knowledge-test rules that follow from that classification³²⁸.
- Carry out extra due diligence, using Appendix 4, on any VA fund the SFC has not authorised³²⁹.
- Give VA risk disclosures and warning statements to clients other than institutional or qualified corporate PIs³³⁰.
- Receive or withdraw client VAs only through segregated accounts³³¹. Use accounts held at the partner platform or at an AI that meets HKMA custody standards³³¹.
- For Relevant Stablecoins, disclose material information on how the coin keeps its value and how redemption works³³². Commission rebates or other benefits should not be the main basis for soliciting or recommending a coin³³².

Controls & monitoring

- Have adequate policies, procedures and controls for Relevant Stablecoin activities, and train staff ²²³.
- Keep Relevant-Stablecoin-only clients to Relevant Stablecoins ³³³. Apply the full rules, including the knowledge test, before dealing in any other VA for them ³³³.
- Keep the listed records on client VAs, staking and VA financing for at least seven years ³³⁴. Keep records of orders and instructions on client VAs for at least two years ³³⁴.
- Get a signed staking-risk acknowledgement before staking for clients other than institutional or qualified corporate PIs ³³⁵.
- Monitor the volatility of VA collateral in real time when relying on it ³³⁶. Treat loans secured only by VAs as clean loans, meaning unsecured for capital purposes ³³⁶. The reason is that the Banking (Capital) Rules do not recognise VA collateral ³³⁶.

Notify / consult HKMA or SFC

- Tell the SFC in advance, and the HKMA where applicable, about any new VA activity or change to one ⁵⁹. That includes a change in the type of client served ⁵⁹.

- Notify before the first client VA deposit or withdrawal, the first staking service, or the first VA-funded subscription or redemption ³³⁷.
- A bank that is an AI but not an RI should follow the same standards ³³⁸. It should discuss any Relevant Stablecoin dealing, advice or portfolio management with the HKMA before starting ³³⁸.
- Report any actual or suspected material breach of the terms to the SFC and the HKMA as soon as practicable ³³⁹.

Counterparty due diligence

- Confirm that the platform holds an actual SFC licence ³⁴⁰. Some platforms are only treated as licensed under Schedule 3G of the Anti-Money Laundering and Counter-Terrorist Financing Ordinance (AMLO). Those platforms do not count ³⁴⁰.
- Use only an SFC-licensed platform or an AI as the staking service provider ³⁴¹. Confirm it has SFC approval or has discussed the service with the HKMA ³⁴¹.
- For in-kind or VA-funded subscriptions, hold the VAs only at SFC-licensed platforms or AIs ³⁴². For those transfers, comply with the VA chapter (Chapter 12) of the SFC's anti-money-laundering (AML) guideline ³⁴².

Talking points

To the CCO

- The regime reaches us as an RI through conditions the SFC puts on our registration, consulting the HKMA where applicable ^{343,1}. The HKMA is our frontline, day-to-day supervisor ^{343,1}.
- Our AML baseline is the HKMA AML Guideline ³⁴⁴. As an RI we are also required to take into account the VA chapter (Chapter 12) of the SFC guideline ³⁴⁴.

To business heads

- SFC-authorized VA funds are not PI-only, and retail clients can buy listed ones on SEHK ³⁴⁵. We should still assess VA knowledge first. Overseas VA exchange-traded products that are not derivatives remain PI-only ³⁴⁵.
- Since May 2026, clearly ring-fenced Relevant-Stablecoin-only accounts need no knowledge test and no exposure limit ³⁴⁶. The coin must come from an HKMA-licensed issuer ³⁴⁶.

To the CEO

- The regulators relaxed parts of the regime in December 2023, September 2025 and May 2026 ^{347,293,294}. Complex-product rules, knowledge tests and licensed venues remain ³⁴⁸.

- In January 2026 the SFC fined a broker HK\$4 million for VA distribution failures from 2018 to 2022 ³⁴⁹.

To Risk / CRO

- Margin clients can get VA financing ³⁵⁰. Only bitcoin, ether and Relevant Stablecoins count as VA collateral, with at least a 60% haircut on bitcoin and ether ³⁵⁰. VA collateral gets no capital recognition ³⁵⁰.
- Discretionary VA exposure under Type 1 should stay below 10% of the client account's GAV ³⁵¹.

Common misunderstandings

- **Myth:** All VA products are PI-only. **Fact:** SFC- authorised VA funds are not PI-only ³⁵². Certain VA derivatives traded on specified exchanges are also exempt. A knowledge test is still needed ³⁵².
- **Myth:** VA financing is banned. **Fact:** For RIs, that was true until May 2026 ³⁵³. RIs providing VA dealing may now offer it to their securities margin clients under HKMA conditions ³⁵³.
- **Myth:** The 2026 stablecoin relief covers any stablecoin and any bank. **Fact:** It covers only Relevant Stablecoins and only RIs ³⁵⁴. It does not cover a licensed issuer for its own coin ³⁵⁴. A separate letter tells AIs that are not RIs to follow the same standards ¹⁷⁹.

- **Myth:** Deleting para 20(a)(iii) only matters for stablecoins. **Fact:** The deletion lets RIs serve retail clients through omnibus accounts at VATPs that may serve only professional investors (PIs) ²⁹⁹. It covers Relevant Stablecoins and other VAs, but the retail clients may trade only the tokens that VATP has admitted for retail trading ²⁹⁹. The SFC made the same change for licensed corporations ³⁵⁵.
- **Myth:** The 2022 circular still sets the rules. **Fact:** The December 2023 circular replaced the 2022 and October 2023 circulars ²⁹². Firms could keep serving existing clients found to have VA knowledge by tests done before 22 December 2023 ³⁵⁶.

Official documents to read first

1. **Joint circular on intermediaries' VA-related activities**, SFC + HKMA, 22 Dec 2023. Read paras 5–15 (distribution), 16–22 (dealing), 23–29 (management and advice) and 30–31 (implementation). This is the base rulebook.
<https://apps.sfc.hk/edistributionWeb/api/circular/openFile?lang=EN&refNo=23EC66>
2. **Supplemental joint circular**, SFC + HKMA, 30 Sep 2025. Read paras 4–10. They cover staking, off-platform trades, in-kind flows, carve-outs for PIs and notifications.

<https://apps.sfc.hk/edistributionWeb/api/circular/openFile?lang=EN&refNo=25EC50>

3. **VA-related activities in relation to relevant stablecoins**, HKMA to RIs, 27 May 2026. Read Sections I–IV, paras (1)–(17), fn 3–4 and Implementation (p.9). This is the current relief for banks that are RIs. It removes para 20(a)(iii).
<https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20260527-2-EN/20260527-2-EN.pdf>

Open questions

- The standalone licensing regimes for VA dealing, advisory and management are at the conclusions stage ⁸. The conclusions state that they will replace the current approach of putting terms and conditions on SFC registrations ⁸.
- No arrangement is planned to let existing VA advisory or management providers carry on while they apply for a licence ³⁵⁷. Instead, a faster approval process is planned for LCs and RIs already providing those services ³⁵⁷. The sources reviewed contain no bill text or start date.
- A June 2026 reply to a Legislative Council (LegCo) question covered a bill for VA dealing, custodian, advisory and management regimes ¹⁷. The reply said the bill would go to LegCo within 2026 ¹⁷. The

sources reviewed do not show that it has been introduced.

- The SFC press release on the January 2026 fine refers to a Statement of Disciplinary Action ³⁵⁸. We have not reviewed that statement here.
- Footnote 25 of the 2023 circular says firms should not provide financial accommodation (credit) for clients to acquire VAs ³⁵⁹. For RIs, the May 2026 terms now allow it where the firm engages in securities margin financing ^{360,361}. Registry summaries of the 2023 circular that still describe financing as prohibited are out of date.

Check yourself

Answer from memory, then check the answer key at the back of the book.

1. Which two regulators jointly set expectations for banks on selling, dealing in and advising on VAs?
2. Since May 2026, what haircut applies to bitcoin and ether when an RI relies on them as VA financing collateral?
3. Is partnering only with SFC-licensed platforms for VA dealing just best practice for an RI?
4. Who should your bank tell before it starts or changes a VA activity?

5. Are all virtual-asset-related products restricted to professional investors only?

Related modules

C2 (VA funds and exchange-traded funds), C3 (Custody and key management) and C4 (Stablecoins). Also see the modules on AML and counter-terrorist financing, and on VATPs.

Business angle: Virtual-asset distribution and brokerage and Virtual-asset financing and margin in the Business tab.

PART C · MODULE C2

C2 VA funds and ETFs

This module covers virtual asset (VA) funds and exchange-traded funds (ETFs). It is for the Head of Compliance at a bank that sells funds or acts as a participating dealer. A participating dealer is a firm allowed to create and redeem units in an exchange-traded fund. Tokenised funds are funds whose units are recorded as digital tokens. After this module, you can explain which crypto funds and tokenised funds may be sold in Hong Kong, and on what terms. You can also explain what the bank checks before it sells, creates or redeems units.

In 60 seconds

In October 2022 the Securities and Futures Commission (SFC) began taking applications to authorise VA ETFs ^{362,363}. These ETFs got their exposure to virtual assets (VAs) mainly through futures (contracts to buy or sell at a set price on a future date) ^{362,363}. A December 2023 circular let authorised funds invest directly in spot VAs (the crypto itself, not contracts on it) ³⁶⁴. An April 2025 revision added staking (locking up tokens to help run a blockchain in return for rewards) and other VA-related activities ³⁶⁵.

A new version, reference 26EC31, replaced the April 2025 revision on 27 May 2026 ³⁶⁶. A fund that wants more than 10% of its net asset value (NAV) in VAs needs to consult the SFC and get its approval first ³⁶⁷. Such a fund should invest only in tokens that the Hong Kong public can trade on SFC-licensed virtual asset trading platforms (VATPs) ³⁶⁸. The fund should not use leverage (borrowing or derivatives that magnify exposure) to increase its VA exposure at fund level ³⁶⁸. The fund's trustee may delegate VA custody (safekeeping) only to three types of firm ³⁶⁹. These are licensed VATPs, qualifying authorized institutions (AIs), and other firms the SFC accepts ³⁶⁹. A qualifying AI is a bank or other AI that meets the Hong Kong Monetary Authority (HKMA) custody standards ³⁶⁹. Separate SFC circulars allow tokenised versions of authorised products, including tokenised fund classes ³⁷⁰. Since the 20 April 2026 revision, investors may also trade these tokenised products with each other on licensed VATPs ^{371,372}. When a bank sells SFC-authorized VA funds, the joint SFC–HKMA circular sets the selling rules ^{373,347}. Participating dealers (PDs) for spot VA ETFs should be SFC-licensed corporations (LCs) or registered institutions (RIs), meaning banks registered with the SFC ³⁷⁴. The SFC may add extra terms for these PDs ³⁷⁴.

➤ COMMERCIAL AND CUSTOMER BENEFITS

For customers:

- The SFC says its April 2026 framework aims to broaden retail access to regulated trading of tokenised funds. ³⁷⁵
- The SFC says the pilot lets tokenised products trade in the evening and at weekends. ³⁷⁶

For the bank:

- Participating dealers for spot VA ETFs should be LCs or RIs, so a bank can take the role. ³⁷⁷
- The SFC may let VA funds stake through licensed platforms or AIs, with its prior approval. ³⁷⁸
- A fund manager can share part of its fee with the selling bank. CONCEPT

Evidence so far:

- At end-2025, 11 VA spot ETFs listed in Hong Kong were worth over HK\$5.4 billion, up 142% since launch. ³⁷⁹
- SFC-authorised tokenised retail money market funds held HK\$8.66 billion at end-2025. ³⁸⁰
- Coinbase, a crypto company with a commercial interest in the topic, surveyed 352 institutional investors with EY-Parthenon, a unit of Ernst & Young (EY), in January 2025. ³⁸¹ In it, 60% of

respondents said they preferred exchange-traded products such as ETFs.³⁸² This is a global survey estimate, mostly US and European, not a Hong Kong fact.³⁸¹

Limits:

- The SFC expects to start with tokenised money market funds and review them before widening the range.³⁸³
- Platforms and brokers should warn clients of thin trading and large gaps to net asset value, especially outside market hours.³⁸⁴

Business lines: Roles in virtual-asset ETFs; Tokenised funds and money market fund settlement; Virtual-asset distribution and brokerage; Virtual-asset custody

Where things stand

As of 25 Sep 2026.

Instrument	Issuer	Date	Status	Applies to	Src
Circular on VA futures ETFs (22EC60)	SFC	31 Oct 2022	Superseded	Fund managers, distributors	385
Circular on SFC- authorised funds with VA exposure (23EC65)	SFC	22 Dec 2023	Superseded	Funds, LCs, RIs	386

Instrument	Issuer	Date	Status	Applies to	Src
Same circular, revised to add staking (25EC21)	SFC	7 Apr 2025	Superseded	Funds	387
Same circular, revised (26EC31)	SFC	27 May 2026	In force	Funds, managers, PDs, custodians	21
Tokenisation of SFC-authorized products (26EC22, revising 23EC53 of 2 Nov 2023)	SFC	20 Apr 2026	In force	Product providers, distributors	388 , 389
Secondary trading of tokenised SFC-authorized products (26EC23)	SFC	20 Apr 2026	In force	VATPs, LCs, RIs, product providers	390
Sale and distribution of tokenised products	HKMA	20 Feb 2024	In force	AIs	22
Joint circular (distribution rules) + Sep 2025 supplement	SFC + HKMA	22 Dec 2023 / 30 Sep 2025	In force	LCs, RIs	4 , 309

Key facts

- The first VA ETFs that the SFC allowed were based on futures ³⁹¹. At first, the only futures allowed were bitcoin and ether futures traded on the Chicago Mercantile Exchange ³⁹¹. The fund manager needed at least three years of experience managing ETFs ³⁹¹.
- The 2022 circular also capped each fund's net derivative exposure (its overall derivatives position after offsets) at 100% of NAV ³⁹². It also required intermediaries to run a VA-knowledge test (a check that the client understands VAs) when serving clients in these ETFs ³⁹².
- Under the December 2023 circular, funds could invest directly in spot VAs ³⁹³. The first spot VA ETFs listed on the Hong Kong stock exchange on 30 April 2024 ³⁹⁴.
- The current circular, 26EC31, covers public funds with more than 10% of NAV in VAs ³⁹⁵. It replaced the April 2025 version ³⁹⁵.
- Circular 26EC31 does not cover a fund's exposure to Relevant Stablecoins or tokenised deposits ³⁹⁶. Relevant Stablecoins are stablecoins tied to one or more official currencies and issued under a licence under the Stablecoins Ordinance ³⁹⁶. Tokenised deposits are bank deposits recorded as digital tokens. For fund exposure to either of them, the SFC

points to question 20G of its FAQs on the Code on Unit Trusts and Mutual Funds ³⁹⁶.

- Eligible VAs are limited to tokens that the Hong Kong public can trade on SFC-licensed VATPs ³⁹⁷. VA futures must trade on conventional regulated futures exchanges ³⁹⁷. Funds should not use leverage to increase their VA exposure at fund level ³⁹⁷.
- Funds should buy and sell spot VAs through one of two routes ³⁹⁸. The first is SFC-licensed VATPs, either on the platform or over the counter (a direct deal off the platform) ³⁹⁸. The second is AIs, or subsidiaries of locally incorporated AIs, that comply with HKMA requirements ³⁹⁸.
- Spot VA ETFs may create and redeem units in cash or in kind (paying with the VAs themselves) ³⁹⁹. For in-kind creations, PDs are expected to move VAs into the fund's custody accounts at VATPs or AIs ³⁹⁹. The VAs may have been held in Hong Kong or overseas ³⁹⁹.
- PDs for spot VA ETFs should be LCs or RIs ³⁷⁴. The SFC's Intermediaries Division may impose extra terms on them ³⁷⁴. Appendix 6 of the joint circular sets out these terms ³⁷⁴.
- The trustee may delegate VA custody only to SFC-licensed VATPs, qualifying AIs, or other firms the SFC accepts ⁴⁰⁰. Qualifying AIs are AIs, or

subsidiaries of locally incorporated AIs, that meet HKMA custody standards ⁴⁰⁰. Custodians should keep most VA holdings in cold wallets (storage kept offline) ⁴⁰⁰. They should store seeds and private keys (the secret codes that control the VAs) securely in Hong Kong ⁴⁰⁰.

- The SFC may allow VA funds to stake through licensed VATPs or, where applicable, AIs ⁴⁰¹. The conditions include disclosing how much of the fund may be staked, and reporting on staking in interim and annual reports ⁴⁰¹. The fund also needs to consult the SFC and get its approval first ⁴⁰¹. In April 2025, the SFC said it caps fund staking to manage liquidity risk (the risk of running short of cash for redemptions) ⁴⁰².
- SFC-authorised VA funds are not restricted to professional investors (PIs) ⁴⁰³. For units listed on the Stock Exchange of Hong Kong (SEHK), an intermediary can execute on-exchange orders without a suitability check or warning statements ⁴⁰³. This applies only where the intermediary did not solicit or recommend the trade ⁴⁰³. A VA-knowledge test still applies ⁴⁰³. Unlisted classes, and trades off exchange, need a suitability check, warnings and the knowledge test ⁴⁰³.

- The tokenisation circular looks through the token to the product underneath (a see-through approach)⁴⁰⁴. It permits primary dealing (buying units from, and selling them back to, the product provider) in tokenised authorised products⁴⁰⁴. Product providers should use public permissionless blockchains (open networks anyone can join) only if they add proper controls⁴⁰⁴.
- Retail investors may be offered secondary trading (buying and selling between investors) in tokenised products⁴⁰⁵. This trading runs through on-screen order matching on SFC-licensed VATPs⁴⁰⁵. One control is an alert when the price moves away from the indicative NAV (a live estimate of the fund's value)⁴⁰⁵.
- In March 2026, the Hong Kong public could buy 13 tokenised products⁴⁰⁶. Their tokenised classes held about \$10.7 billion in assets⁴⁰⁶. The SFC expects the first products offered for secondary trading to be mainly tokenised money market funds⁴⁰⁶.

What your bank must or should do

Obligations

- Apply the joint circular's selling rules when you sell any SFC-authorised VA fund^{373,407}. These rules

include the VA-knowledge test for all clients except institutional and qualified corporate PIs ^{373,407}.

- Offer complex VA-related products (products whose terms and risks a retail investor is unlikely to understand) only to PIs ⁴⁰⁸. VA funds not authorised by the SFC are one example ⁴⁰⁸. Before offering such a fund, do the Appendix 4 due diligence on the fund and its manager ⁴⁰⁹. Cover the firms the fund uses for trading and custody too ⁴⁰⁹.
- Be a licensed corporation or registered institution to distribute tokenised authorised products ⁴¹⁰. Apply the usual onboarding and suitability rules ⁴¹⁰.
- Apply the underlying product's selling rules to tokenised products that the Securities and Futures Ordinance does not cover ⁴¹¹. The HKMA expects this, and expects the same for tokenised deposits placed by customers ⁴¹¹. The HKMA also expects AIs to understand and control the extra risks that tokenisation brings ⁴¹¹. RIs that sell tokenised products other than tokenised securities should follow this HKMA guidance ⁴¹².

Controls & monitoring

- Show clients the price-deviation alert if the bank acts as a Connecting Broker ⁴¹³. A Connecting Broker is a licensed corporation or registered institution

that routes clients' trades to VATPs ⁴¹³. Tell clients they can subscribe or redeem at NAV instead ⁴¹³. Get clients to confirm the risks before onboarding them ⁴¹³.

- Keep an online screen that shows the indicative NAV and the last NAV ⁴¹⁴. The indicative NAV is usually refreshed at least every 15 seconds while trading is open ⁴¹⁴.
- Build access rights and controls into any online platform that sells VA-related products, so the platform enforces selling restrictions ⁴¹⁵.

Notify / consult HKMA or SFC

- Give the SFC advance notice before first letting clients subscribe or redeem with VAs, including in-kind flows ⁴¹⁶. Tell the HKMA too, where relevant ⁴¹⁶.
- Notify the SFC before first taking part in secondary trading of tokenised products ⁴¹⁷. The SFC reminds RIs to notify the HKMA too ⁴¹⁷.
- Discuss with the HKMA before starting any activity covered by its tokenised-products circular ²¹⁵.

Counterparty due diligence

- Hold VAs for in-kind flows only in accounts with SFC-licensed platforms or AIs ⁴¹⁸. For these VA transfers, the supplemental joint circular also points to the SFC's anti-money laundering (AML) guideline

- ⁴¹⁹. The relevant part is Chapter 12 of the guideline for LCs and SFC-licensed VA service providers ⁴¹⁹.
- Do product due diligence on each VA-related product ³²⁹. Cover its risks and features, its target investors and selling restrictions, and its regulatory status ³²⁹.
 - Do due diligence on the issuer and its technology vendors for tokenised products under the HKMA circular ⁴²⁰. Cover smart-contract audits (independent reviews of the token's code) and private key management ⁴²⁰. Also cover contingency plans for the distributed ledger (the shared record behind the tokens) ⁴²⁰.

Talking points

To the CCO

- The VA fund circular is written for product providers ⁴²¹. Our duties as distributor or participating dealer come from the joint circular and any extra SFC terms for PDs ⁴²¹.
- For secondary trading of tokenised products, intermediaries notify the SFC first ⁴¹⁷. RIs are reminded to notify the HKMA as well ⁴¹⁷.

To business heads

- Retail clients can trade SEHK-listed VA ETFs on exchange without a suitability check if we did not solicit or recommend the trade ⁴²². They still need a knowledge test ⁴²². Unlisted classes of the same fund need a full suitability check ⁴²².
- In-kind creation is allowed, and the VAs may come from overseas holdings ³⁹⁹. PDs are expected to move the VAs into custody at VATPs or AIs ³⁹⁹.

To the CEO

- Hong Kong allowed futures-only VA ETFs in 2022 and spot VA funds in 2023 ^{423,393}. Fund staking followed in 2025 ⁴²⁴. In 2026 came a pilot of 24/7 secondary trading of tokenised funds ⁴²⁵.
- As of March 2026, 13 tokenised products held about \$10.7 billion in their tokenised classes ⁴²⁶.

To Risk / CRO

- VA funds should not use leverage for VA exposure at fund level ⁴²⁷. Custody can go only to VATPs, qualifying AIs, or firms the SFC accepts ⁴²⁷.
- Staking by funds needs SFC consultation and approval first ⁴²⁸. Interim and annual reports should show staked holdings as a share of NAV, along with revenue and costs ⁴²⁸.

Common misunderstandings

- **Myth:** Hong Kong only has futures VA ETFs. **Fact:** Funds have been allowed to hold spot VAs directly since the December 2023 circular ³⁹³.
- **Myth:** A fund holding licensed stablecoins is a VA fund. **Fact:** Circular 26EC31 excludes Relevant Stablecoins and tokenised deposits ⁴²⁹.
- **Myth:** The 2023 or 2025 fund circular still applies. **Fact:** Each was replaced, most recently by 26EC31 on 27 May 2026 ^{430,366}.
- **Myth:** Tokenised funds only allow subscription and redemption. **Fact:** The 20 April 2026 revision allows secondary trading on VATPs ³⁷¹. The 2023 version had called for more caution ⁴³¹.
- **Myth:** In-kind subscription makes the bank a VA dealer. **Fact:** The regulators say in-kind subscription is not treated as VA dealing ⁴³². Notification, custody and AML conditions still apply ⁴³².

Official documents to read first

1. **Circular on SFC-authorised funds with exposure to virtual assets (26EC31), SFC, revised 27 May 2026.** Read paras 2, 11–22 and 27–31. They cover eligible VAs, PDs, custody, staking and SFC consultation.

<https://apps.sfc.hk/edistributionWeb/api/circular/openFile?lang=EN&refNo=26EC31>

2. **Circular on secondary trading of tokenised SFC-
authorised investment products (26EC23)**, SFC, 20
Apr 2026. Read paras 8–16, 19–27 and fn 13. They
cover trading channels, Connecting Broker duties,
and when RIs notify the HKMA.

<https://apps.sfc.hk/edistributionWeb/api/circular/openFile?lang=EN&refNo=26EC23>

3. **Joint circular on intermediaries' VA-related
activities**, SFC + HKMA, 22 Dec 2023. Read paras 5–
15 and Appendix 4. They set out the selling rules for
distributors and the due diligence on funds.

<https://apps.sfc.hk/edistributionWeb/api/circular/openFile?lang=EN&refNo=23EC66>

Open questions

- Question 20F of the FAQs on the Code on Unit Trusts and Mutual Funds holds the detailed staking requirements for VA funds ⁴³³. Question 20G covers exposure to stablecoins and tokenised deposits ⁴³³. Neither question is in the documents reviewed for this guide.
- For in-kind VA transfers, the supplemental joint circular cites the SFC's AML guideline for LCs and VA service providers ⁴¹⁹. The circular does not say

how this fits with the HKMA's own AML guideline for AIs.

- The SFC says it will review the first products offered for secondary trading ³⁸³. It will then consider widening the product range in due course ³⁸³. The SFC has given no timeline ³⁸³.
- The 2026 Policy Address (the Chief Executive's yearly policy speech) says the SFC will promote trading of regulated stablecoins on licensed VATPs ¹⁶⁸. It will also promote their use in settling tokenised money market funds ¹⁶⁸.

Check yourself

Answer from memory, then check the answer key at the back of the book.

1. Which circular sets the selling rules a bank follows when it sells SFC-authorised VA funds?
2. Above what share of its net asset value (NAV) in VAs must a public fund consult the SFC first?
3. Is the December 2023 VA fund circular still current, or has it been superseded?
4. What should a bank do before first letting clients subscribe or redeem fund units with VAs?
5. Does a fund holding licensed stablecoins count as a VA fund under circular 26EC31?

Related modules

C1 (Selling, dealing and advising), C3 (Custody and key management), C4 (Stablecoins), plus the tokenisation and Project Ensemble modules.

Business angle: Roles in virtual-asset ETFs and Tokenised funds and money market fund settlement in the Business tab.

PART C · MODULE C3

C3 Custody of digital assets and key management

This module is for the Head of Compliance at a bank that holds, or plans to hold, clients' crypto or tokenised assets. After reading it, you can explain what the Hong Kong Monetary Authority (HKMA) expects in its May 2026 custody standards. You can also explain what changed from 2024 and how staking fits in. Finally, you can explain how rules from the Securities and Futures Commission (SFC) and for stablecoins set the benchmark for counterparties.

In 60 seconds

Custody means safekeeping assets for clients. In virtual asset (VA) custody, the core risk sits with whoever safekeeps the private keys, or similar tools, that can move the assets ⁴³⁴. A private key is the secret code that authorises a transfer. So much of the rulebook is about key management ⁴³⁵. The HKMA set custody standards for banks, which it calls authorized institutions (AIs), in February 2024 ⁷⁶. On 27 May 2026 it replaced them with an updated annex (a set of detailed standards) of 26 paragraphs ^{76,436}. The new annex keeps the rule that 98% of client virtual assets

(VAs) sit in cold storage, meaning their keys are kept offline ⁴³⁷. It also keeps the rule that keys stay in Hong Kong ⁴³⁷. It adds detailed controls on how wallets, the tools that hold keys, are run ^{438,286}. It drops the fixed insurance percentages ^{438,286}. With HKMA consent, a bank can now appoint a licensed stablecoin issuer to hold that issuer's own coins ^{438,286}. A stablecoin is a token designed to keep a steady value against a currency. The SFC sets custody rules for licensed crypto exchanges, known as virtual asset trading platforms (VATPs) ⁴³⁹. These rules are in Part X of the SFC's guidelines for VATP operators, called the VATP Guidelines ⁴³⁹. The SFC says the standards in its August 2025 custody circular will also be core expectations for future VA custodians ⁴⁴⁰. A circular is a formal notice to regulated firms. In December 2025, the Financial Services and the Treasury Bureau (FSTB) and the SFC published consultation conclusions on licensing custodians ⁴⁴¹. Consultation conclusions are the final response to public comments. The conclusions stated an aim to put a bill, or draft law, before the Legislative Council (LegCo) in 2026 ⁴⁴¹.

➤ COMMERCIAL AND CUSTOMER BENEFITS

For customers:

- The HKMA says its May 2026 guidance aims to keep client digital assets safe. ⁴⁴²
- The HKMA expects banks to keep 98% of client VAs in cold storage (keys kept offline). ⁴⁴³
- The HKMA expects a bank to be liable to clients for losses from incidents attributable to it. ⁸⁵

For the bank:

- The HKMA says demand for digital-asset custody is growing. ⁴⁴²
- The updated standards let banks match arrangements to each asset's nature and risks. ⁴⁴²
- Under the proposed licensing regime, banks already assessed for VA custody would get faster approval. ⁴⁴⁴
- Holding client assets can lead to other income, such as dealing and lending. CONCEPT

Evidence so far:

- In its 2025 annual report, OSL Group Limited (OSL) reported custodian income of about HK\$16.1 million for 2025, against about HK\$9.6 million in 2024. ⁴⁴⁵ These are group figures, covering Hong Kong and global business. ⁴⁴⁵

- China Asset Management (Hong Kong) Limited's April 2026 key facts for its Hong Kong-listed ether exchange-traded fund set a custodian and administrator fee of up to 1% of net asset value a year.⁴⁴⁶

Limits:

- The HKMA also expects the bank to hold enough resources, possibly including insurance, to cover such losses.⁸⁵
- Under the proposals, banks safekeeping client VA keys would need a new licence or registration, with no interim status.⁴⁴⁷

Business lines: Virtual-asset custody; Staking services

Where things stand

As of 25 Sep 2026.

Instrument	Issuer	Date	Status	Applies to	Src
Provision of Custodial Services for Digital Assets + Annex	HKMA	20 Feb 2024	Superseded	AIs and subsidiaries of local AIs	448, 449

Instrument	Issuer	Date	Status	Applies to	Src
Updated Guidance on Custodial Services + Annex	HKMA	27 May 2026	In force	AIs and subsidiaries of local AIs	12, 450
Staking services for VAs from custodial services	HKMA	7 Apr 2025	In force	AIs and subsidiaries of local AIs	202
Staking services by VATPs + terms and conditions	SFC	7 Apr 2025	In force	VATPs and their associated entities	451
VATP Guidelines, Part X (custody)	SFC	Jun 2023	In force	VATPs	452
Circular on custody of VAs (25EC44)	SFC	15 Aug 2025	In force	VATPs and associated entities	453
Guideline on Supervision of Licensed Stablecoin Issuers, para 6.5.7 (keys)	HKMA	Aug 2025	In force	Licensed stablecoin issuers	454

Instrument	Issuer	Date	Status	Applies to	Src
VA custodian services licensing regime	FSTB + SFC	24 Dec 2025	Conclusions published	VA custodians, including banks that safekeep keys (licence or registration)	455

Key facts

- The 2026 annex covers client digital assets held by AIs ⁴⁵⁶. It also covers those held by subsidiaries of locally incorporated AIs (AIs set up as companies in Hong Kong) ⁴⁵⁶. Digital assets here include VAs, tokenised securities and other tokenised assets ⁴⁵⁶. Tokenised means ownership is recorded on a blockchain or similar ledger. Two groups fall outside the annex: limited purpose digital tokens, and assets the bank or its group holds for itself ⁴⁵⁶.
- The 2026 letter replaces the February 2024 circular ⁷⁶. Banks already offering custody should review and revise their systems and controls to meet the latest standards ⁷⁶. The 2024 circular set a six-month deadline to notify the HKMA and confirm compliance ²²⁶. The 2026 letter sets no such deadline ⁷⁶.
- For client VAs, the annex's key controls are generally required ⁴⁵⁷. For other digital assets, the bank may

take a risk-based approach, matching controls to the risk ⁴⁵⁷. Tokens on public permissionless chains, which anyone can join, call for extra caution ⁴⁵⁷.

- The rule to keep 98% of client VAs in cold storage has not changed ^{83,458}.
- **Compensation changed.** The 2024 annex asked banks for insurance or compensation cover ²⁸⁶. The cover was 50% of client VAs in cold storage and 100% in hot and other storage ²⁸⁶. The 2026 annex drops these figures ⁸⁵. Instead, the HKMA expects the bank to be liable for losses from incidents attributable to the bank ⁸⁵. Adequate financial resources, which may include insurance, back that liability ⁸⁵. The 50%/100% figures still apply to VATPs under an SFC rule ⁸⁴. For VATPs, the cover takes the form of a compensation arrangement the SFC approves ⁸⁴.
- **Key location.** Seeds and private keys should still be generated, stored and backed up in Hong Kong ⁴⁵⁹. A seed is the master secret from which keys are made. There is one new exception ⁴⁵⁹. With HKMA consent, a bank may appoint an HKMA-licensed stablecoin issuer to hold that issuer's own coins ⁴⁵⁹. The issuer's keys can then be in Hong Kong or in another location the HKMA accepts ⁴⁵⁹.

- **New operating controls.** The annex adds cold-wallet whitelists, lists of approved addresses, with a system check on every transfer ⁴⁶⁰. It also adds detection of intrusions into vaults, signing devices and code repositories, where software code is stored ⁴⁶⁰. The annex also sets out these controls ⁴⁶¹:
 - due diligence on hardware security module (HSM) vendors, who supply secure devices that store keys;
 - no smart contracts, or self-running blockchain programs, in cold wallets on public chains;
 - segregation of duties over wallet code, so no one person controls it alone;
 - dedicated devices for approving transactions;
 - integrity checks on critical transaction data, using devices kept off networks (air-gapped);
 - measures to prevent blind signing.
- Security monitoring should run 24/7 ⁴⁶².
- **Anti-money laundering section removed.** The 2024 annex had a separate paragraph on anti-money laundering (AML) and counter-financing of terrorism (CFT), or AML/CFT ⁴⁶³. The 2026 annex has none. The cover letter reminds AIs that every other law and rule that applies to them still applies ¹².

- Transfers to third parties are now allowed if effective controls are in place ⁴⁶⁴. They can support payment services or carry out client settlement instructions ⁴⁶⁴. The definition of client now also covers clients of SFC-licensed VATPs ⁴⁶⁴.
- For staking from custody, the annex points to the HKMA's April 2025 staking guidance ⁴⁶⁵. Staking means locking up tokens to help run a blockchain in return for rewards. The annex asks banks to have due regard to the SFC's staking terms for VATPs ⁴⁶⁵. Under the HKMA guidance, the bank should keep control of everything needed to unstake, or withdraw staked tokens ⁴⁶⁶. It should disclose staking risks such as slashing, a penalty that takes away staked tokens ⁴⁶⁶. It should also discuss its plans with the HKMA before launch ⁴⁶⁶. VATPs may not use third-party custody for staked assets ⁴⁶⁷.
- The SFC's August 2025 circular took effect immediately ⁴⁶⁸. It describes security incidents at overseas platforms. The SFC says these incidents point to potential weaknesses in any custody solution ⁴⁶⁸. That includes an HSM, multi-party computation (MPC) or multi-signature set-up ⁴⁶⁸. Its standards will also be core expectations for future VA custodians ⁴⁶⁸.

- Under the custodian regime conclusions, the licence will cover custodians that safekeep private keys or similar tools that let VAs be transferred ⁴⁶⁹. Custodians of tokenised securities that do not hold VAs fall outside the regime ⁴⁶⁹.
- The SFC will set a baseline of HK\$10 million paid-up share capital, the money owners have put in ⁴⁷⁰. It will also set HK\$3 million liquid capital, meaning assets that can quickly be turned into cash ⁴⁷⁰. Banks remain subject to HKMA capital requirements ⁴⁷⁰.
- The FSTB and SFC do not plan to let existing providers carry on while they apply for a licence ⁶⁹. But banks already assessed by the HKMA and already providing VA custody get a faster licensing process ⁶⁹.
- The consultation paper proposed that the SFC license and register VA custodians and set standards ¹⁷⁸. It also proposed that the HKMA act as frontline regulator, supervising banks' VA custodian activities ¹⁷⁸. The conclusions list banks that safekeep keys among those needing a licence or registration ¹³. The list also covers subsidiaries of locally incorporated banks that safekeep keys ¹³.

Key-management terms, as the documents use them

- **Hot and cold wallets.** In a hot wallet the private keys sit online, which makes them easier to attack. In a cold wallet they are kept offline ⁴⁷¹.
- **HSM (hardware security module).** A secure, tamper-resistant device that creates and stores seeds and keys. Banks should check that the vendor keeps up patching and re-certification ⁴⁷².
- **Key sharding and multi-signature.** Sharding splits a key among several authorised staff, so no one person holds all of it ⁴⁷³. A set number of shard-holders must act together to sign ⁴⁷³. Multi-signature uses several keys to approve one transaction. For stablecoin issuers, those keys should be stored in separate, isolated environments ⁴⁷⁴.
- **MPC (multi-party computation).** Another way to spread signing power across parties. For licensing, a key question is whether the provider can move client assets on its own ⁴⁷⁵.
- **Blind signing.** Approving a transaction without reviewing its contents. Banks should show signers every detail in human-readable form before they sign ^{476,473}.
- **Whitelisting.** Deposits and withdrawals go only to approved addresses shown to belong to the client ⁴⁷⁷.

The bank can check this, for example, by message signing or by a micropayment test (a tiny trial transfer) ⁴⁷⁷. The third-party transfer exception still applies ⁴⁷⁷. Changes to a cold-wallet whitelist are tightly controlled ⁴⁷⁷.

- **Air-gapped devices.** Devices kept off networks, stored in a cold vault and changed only with physical access. Banks should use them to check that critical transaction data is intact ⁴⁷⁸. Stablecoin issuers should generate, and use, their most significant keys in air-gapped environments ⁴⁷⁹.

What your bank must or should do

Obligations

- Keep client assets and wallet addresses separate from the bank's own ⁴⁸⁰.
- Do not lend, pledge or otherwise use client assets as security ⁴⁸⁰. Three exceptions apply: settling transactions or fees the client owes the bank, explicit written client consent given in advance, or where the law requires it ⁴⁸⁰.
- Be liable for losses attributable to the bank, and hold adequate financial resources to cover them ⁸⁵.
- Disclose the custody arrangements to clients fully and fairly ⁴⁸¹. Cover rights on insolvency,

segregation, insurance or compensation, and commingling, which means mixing assets together⁴⁸¹. Also explain how forks and airdrops are handled⁴⁸¹. A fork splits a blockchain in two; an airdrop is a free token handout.

Controls & monitoring

- Keep 98% of client VAs in cold storage, and keep seeds, keys and backups in Hong Kong⁴³⁷.
- Train transaction signers in depth and run drills of the business continuity plan⁴⁸².
- Reconcile, or match, each client's holdings regularly against both on-chain records (on the blockchain) and off-chain records (kept outside it)⁴⁸³. Escalate any discrepancies to senior management⁴⁸³.
- Monitor security 24/7⁴⁸⁴. Cover outside dependencies such as vendors, blockchain protocols, encryption methods and shared code libraries⁴⁸⁴.

Notify / consult HKMA or SFC

- Discuss plans with the HKMA before launching custody, and show that the bank meets the standards⁷⁶.
- Discuss staking plans with the HKMA before launch⁴⁸⁵.

- Provide custody records to the HKMA promptly when asked ⁴⁸⁶.

Counterparty due diligence

- As a general principle, delegate VA custody only to one of three types of firm ²⁷⁰:
 - another AI, or a subsidiary of an AI that is itself incorporated in Hong Kong;
 - an SFC-licensed VATP;
 - a licensed stablecoin issuer for the coins it issues, with HKMA consent.
- Before taking on a custodian, get independent reviews of its code ⁴⁸⁷. Also understand how it builds and releases software ⁴⁸⁷.
- After taking on a custodian, check its security controls regularly ⁴⁸⁷. Require it to report incidents promptly, and test its disaster recovery ⁴⁸⁷.
- For a VATP counterparty, the SFC's own custody standards are in the VATP Guidelines ^{488,489}. Paras 10.6–10.8 cover cold storage, approved addresses and key management ⁴⁸⁸. Para 10.22 covers the compensation arrangement ⁴⁸⁸. The SFC circular 25EC44 adds detail to these ⁴⁸⁹. The HKMA annex points to the VATP Guidelines for reference on delegation ⁴⁹⁰.

Talking points

To the CCO (chief compliance officer)

- The 2026 annex replaced the 2024 one. Existing services should review and revise their systems and controls to meet the latest standards. The letter sets no transition period ⁷⁶.
- The custody annex no longer has an AML/CFT section ¹². But the cover letter reminds AIs to comply with all applicable requirements ¹². The HKMA's AML/CFT Guideline sets the standards AIs should meet ²⁷.

To business heads

- With HKMA consent, a bank may now delegate custody of a licensed stablecoin to its issuer ⁴⁹¹.
- Transfers to third parties for payments and settlement are now allowed if effective controls are in place ⁴⁹².

To the CEO

- Fixed insurance percentages are gone ^{85,286}. In their place, the bank is liable for losses attributable to it, backed by adequate financial resources ^{85,286}.
- The FSTB and SFC conclusions propose a custodian licence set by law ⁶⁹. The conclusions give existing providers no right to carry on while they apply.

Banks the HKMA has already assessed get a faster process ⁶⁹.

To Risk / CRO (chief risk officer)

- The SFC says weaknesses shown by overseas cybersecurity incidents can arise whichever custody solution is used: HSM, MPC or multi-signature ⁴⁵³.
- The HKMA lists slashing, lock-up periods and validator inactivity among staking risks to disclose ⁴⁹³. A validator is a node that checks blockchain transactions. The bank should keep control of the means to unstake ⁴⁹³.

Common misunderstandings

- "Banks need 50%/100% insurance cover." That was the 2024 rule for banks ²⁸⁶. It remains the rule for VATPs ⁸⁴. It is not the rule for banks from 2026 ⁸⁵.
- "The February 2024 annex is still current." It was superseded on 27 May 2026 ⁷⁶.
- "Keys may never leave Hong Kong." The general rule stands ⁴⁹⁴. But an issuer appointed to hold its own coins may keep keys elsewhere if the HKMA accepts the location ⁴⁹⁴.
- "The custodian regime covers tokenised securities." It does not, because the legal definition of VA excludes securities ⁴⁹⁵.

- "MPC or HSM equals compliance." The SFC says weaknesses can exist in any custody solution ⁴⁵³.

Official documents to read first

1. **Updated Guidance on Expected Standards on Provision of Custodial Services for Digital Assets by Authorized Institutions (Annex)**, HKMA, 27 May 2026. Read paras 6–13 on segregation and safeguarding. Read paras 14–19 on delegation. Read paras 23–26 on monitoring and staking. These are the HKMA's current custody standards for AIs.
<https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20260527-7-EN/20260527-7-EN.pdf>
2. **Circular to licensed virtual asset trading platform operators on custody of virtual assets (25EC44)**, SFC, 15 Aug 2025. Read Sections I–VI (paras 1–28) and the good-practice boxes. The SFC says these standards will be core expectations for future VA custodians.
<https://apps.sfc.hk/edistributionWeb/api/circular/openFile?lang=EN&refNo=25EC44>
3. **Consultation Conclusions: Legislative Proposal to Regulate Virtual Asset Custodian Services**, FSTB + SFC, December 2025. Read paras 5–16 on scope and paras 25–26 on individuals. Read para 35 on who needs a licence. Read paras 41–52 on capital and

transition.

https://www.fstb.gov.hk/fsb/en/publication/consult/doc/Custodian_consultation_conclusion_e.pdf

Open questions

- The FSTB and SFC stated an aim to put the custodian bill before LegCo in 2026 ⁴⁴¹. The documents reviewed do not show that it has been introduced. No start date for the regime is set ¹²².
- The SFC said it would consult on custody for private funds, in a separate paper issued the same day ⁴⁹⁶. The question is whether firms providing VA management services must use SFC-regulated custodians for private funds' VAs ⁴⁹⁶.
- The 2024 annex referred to AML/CFT guidance from the HKMA on custody of digital assets ⁴⁶³. The documents reviewed do not show whether such separate guidance exists.

Check yourself

Answer from memory, then check the answer key at the back of the book.

1. Which regulator sets the custody standards for a bank that safekeeps clients' VAs?

2. What share of client virtual assets does the HKMA's 2026 annex expect a bank to keep in cold storage?
3. Is the February 2024 custody circular still in force?
4. What does the HKMA expect a bank to do before launching digital-asset custody services?
5. Do the old 50%/100% insurance percentages still apply to banks' custody of client VAs?

Related modules

C1 (Selling, dealing and advising), C2 (VA funds and exchange-traded funds (ETFs)), C4 (Stablecoins). Also see the cyber and technology risk module and the AML/CFT module.

Business angle: Virtual-asset custody and Staking services in the Business tab.

PART C · MODULE C4

C4 Stablecoins

For the bank's Head of Compliance (digital assets). After this module you can explain Hong Kong's stablecoin law and what a licensed issuer must do. You can also explain each role a bank can play:

- issuer of its own coins;
- offeror (a firm that sells or offers coins to the public);
- dealer or adviser;
- custodian (a firm that keeps coins safe for clients);
- holder of coins on its own balance sheet.

In 60 seconds

A stablecoin is a digital token designed to keep a steady value against a currency or other asset. The Stablecoins Ordinance (Cap. 656) took effect on 1 August 2025.¹⁵ It covers the fiat-referenced stablecoin (FRS), meaning a stablecoin tied to one or more official currencies. A business needs a licence from the Hong Kong Monetary Authority (HKMA) to issue an FRS in Hong Kong.⁴⁹⁷ It also needs one to issue a Hong Kong dollar FRS, whether in or outside Hong Kong.⁴⁹⁷

Licensed issuers must back each type of coin in full with reserves kept apart from their own assets.⁴⁹⁸ They must not pay interest.⁴⁹⁹ The HKMA expects them to pay out valid redemptions at face value (par), normally within one business day.⁴⁹⁸ Its expectations also cover strict control of private keys, the secret codes that move the coins.⁴⁹⁸

Only permitted offerors may offer these coins.⁵⁰⁰ Authorized institutions (AIs), the HKMA's term for banks and other deposit-takers, are permitted offerors.⁵⁰⁰ Retail investors may only be offered coins from licensed issuers.⁵⁰¹

The first two licences took effect on 10 April 2026.⁶⁰ The HKMA says that if it grants more, the total will remain very limited.⁵⁰² On 16 September 2026 a Government spokesman said the first regulated stablecoin in Hong Kong had launched in August 2026.⁵⁰³ The official sources reviewed do not name the issuer.

On 27 May 2026 the HKMA and the Securities and Futures Commission (SFC) eased some conduct rules for these coins.^{504,312} The circulars call them Relevant Stablecoins. The eased rules are those for virtual asset (VA) services, such as dealing and advice. The HKMA circular covers registered institutions (RIs), meaning

banks registered with the SFC for securities business.

⁵⁰⁴ Both regulators kept the duty to notify them in advance. ^{504,312}

For coins a bank holds itself, the bank sorts them into a risk group under CRP-1, the HKMA's capital module on cryptoassets. ⁵⁰⁵ It treats them under LM-1, the HKMA's liquidity module (rules on managing liquidity risk). ⁵⁰⁶

↗ COMMERCIAL AND CUSTOMER BENEFITS

For customers:

- The Hong Kong Monetary Authority (HKMA) says both issuers plan efficient, low-cost cross-border payments. ⁵⁰⁷
- They also plan fast, secure local payments for people and shops. ⁵⁰⁷
- Issuers must give holders a right to redeem at face value (par). ⁵⁰⁸

For the bank:

- Banks are permitted offerors, so a licensed issuer may engage a bank to offer its coins. ⁵⁰⁰
- In June 2026 the Government said HKMA requirements have issuers place reserve assets with banks in Hong Kong. ⁵⁰⁹

- A bank can earn a margin on reserve deposits it holds **CONCEPT**.
- The issuers plan to use licensed coins to settle tokenised asset trades. ⁵⁰⁷

Evidence so far:

- The HKMA licensed two issuers on 10 April 2026, out of 36 first-batch applicants. ⁵¹⁰
- On 28 April 2026 neither licensee had issued coins. ⁵¹¹ In June 2026 the Government expected a launch between mid-2026 and the second half of 2026. ⁵¹²
- On 16 September 2026 a Government spokesman said the first regulated stablecoin in Hong Kong had launched in August 2026. ⁵⁰³ The official sources reviewed do not name the issuer. ⁵⁰³
- A 2026 Bank for International Settlements (BIS) report put global stablecoin value at about US\$320 billion at end-May 2026 (reported market data, an estimate). ⁵¹³

Limits:

- The BIS (2026, global) says stablecoins perform unevenly for cross-border payments once fees, spreads and conversion costs are counted. ⁵¹³
- A large (category 1) bank issuing a stablecoin redeemable within the liquidity coverage ratio

(LCR) period must generally assume a 100% outflow.⁵¹⁴

Business lines: Stablecoin roles for banks;
Tokenised deposits and payments

Where things stand

As of 25 September 2026. Abbreviations used below:

- FSTB = Financial Services and the Treasury Bureau (the Government's policy bureau).
- LegCo = Legislative Council.
- AML/CFT = anti-money laundering (AML) and counter-financing of terrorism (CFT).
- RI = registered institution (a bank registered with the SFC).
- LCs = corporations licensed by the SFC.
- VATPs = virtual asset trading platforms licensed by the SFC.

Instrument	Issuer	Date	Status	Applies to	Src
Discussion Paper on Crypto-assets and Stablecoins	HKMA	12 Jan 2022	Superseded	Public; AIs	515
Consultation paper on stablecoin issuer regime	FSTB + HKMA	27 Dec 2023	Superseded	Public	516

Instrument	Issuer	Date	Status	Applies to	Src
Consultation conclusions	FSTB + HKMA	17 Jul 2024	Superseded	Public	517
Stablecoin issuer sandbox (a supervised testing scheme)	HKMA	12 Mar 2024	Superseded	Would-be issuers	518
Stablecoins Ordinance (Cap. 656)	LegCo / HKMA	1 Aug 2025	In force	Issuers; offerors incl. AIs	15
Supervisory Guideline and AML/CFT Guideline for licensed issuers	HKMA	1 Aug 2025	In force	Licensed issuers, incl. an AI licensee	16
Explanatory Note on Licensing	HKMA	Jul 2025	In force	Applicants	519
Stablecoin Review Tribunal (current membership)	FSTB	1 Nov 2025	In force	People aggrieved by HKMA decisions	520
Register of licensed issuers	HKMA	10 Apr 2026	In force	Public; counterparties	60
Supervisory Policy Manual (SPM) CRP-1 and LM-1 (V.5) cryptoasset treatment	HKMA	1 Jan 2026; 19 Dec 2025	In force	All AIs	31, 521

Instrument	Issuer	Date	Status	Applies to	Src
RI circular and AI letter on Relevant Stablecoins	HKMA (with SFC)	27 May 2026	In force	RIs; all AIs	18, 179
SFC circular 26EC26	SFC	27 May 2026	In force	VATPs; LCs	522

Key facts

- History: the HKMA issued a discussion paper in January 2022. Its conclusions, in January 2023, reported 58 responses.⁵²³ The FSTB and HKMA then consulted the public from 27 December 2023 to 29 February 2024.⁵¹⁶ They published consultation conclusions on 17 July 2024, after 108 responses.⁵²⁴
- The Government published the Bill in the Gazette on 6 December 2024.⁵²⁵ LegCo passed it on 21 May 2025.⁵²⁶ The Ordinance took effect on 1 August 2025.
- A licence is required to issue an FRS in Hong Kong as a business.⁴⁹⁷ A licence is also needed to issue a Hong Kong dollar FRS, in or outside Hong Kong.⁴⁹⁷
- For now, only FRS count as specified stablecoins (the coins the law covers). Bank deposits are outside the definition. So is stored value facility (SVF) float,

the money customers hold in e-wallets. Securities are outside it too.⁵²⁷

- Permitted offerors are licensed issuers, AIs and SVF licensees.⁵⁰⁰ Virtual asset trading platforms licensed by the SFC also qualify.⁵⁰⁰ So do corporations licensed by the SFC for Type 1 regulated activity (dealing in securities).⁵⁰⁰
- Permitted offerors may offer licensed issuers' coins to anyone. They may offer other specified stablecoins only to professional investors (investors who meet legal wealth or institution tests). Over-the-counter virtual asset shops are not permitted offerors.⁵²⁸
- Only advertisements for licensed FRS issuance may be published. This rule also applied during the six-month grace period for existing issuers.⁵²⁹
- An AI incorporated outside Hong Kong may apply without setting up a local subsidiary. The criteria on financial resources and business activity do not apply to AI applicants. No one needs HKMA consent to become an AI applicant's controller, chief executive or director.⁵³⁰
- A licensed issuer must keep paid-up capital (money shareholders have paid in) of at least HK\$25 million. An AI that holds a licence is exempt. The Banking Ordinance sets its capital instead.⁵³¹

- Reserves must be worth at least the face value of all coins in circulation, at all times. Reserves must be kept segregated, meaning separate from the issuer's own assets. The HKMA expects an effective trust arrangement and a qualified custodian. Reserve deposits should have a term of three months or less. Debt securities should have one year or less left to run. ⁵³²
- Issuers must honour valid redemptions at face value. They cannot charge unreasonable fees or set unduly burdensome conditions. They should process each redemption within one business day, unless the HKMA approves otherwise. ⁵³³
- Licensees may not pay interest or any yield linked to holding a coin. ⁴⁹⁹
- Private-key controls should cover every stage of a key's life. Significant keys should be created offline, on equipment never linked to a network (air-gapped). Keys should be stored in Hong Kong or another place the HKMA accepts. ⁵³⁴
- The issuer AML/CFT Guideline sets a HK\$8,000 threshold for two things. One is customer due diligence (identity and risk checks) on one-off transactions. The other is the fuller data set sent with stablecoin transfers. ⁵³⁵

- Each holder's identity should be verified. The licensee, a supervised institution or a reliable third party can do this. The exception is where a licensee shows the HKMA that its risk controls are effective.⁵³⁵
- An issuer already operating before the law had to apply by 31 October 2025 if it wanted a licence. If it applied, it could keep operating until 31 January 2026. The exception was an issuer that had entered a closing-down period.⁵³⁶
- The HKMA received 36 applications in the first batch.⁵³⁷ It licensed two issuers, effective 10 April 2026 (register numbers in brackets): Anchorpoint Financial Limited (FRS01) and The Hongkong and Shanghai Banking Corporation Limited (FRS02).^{537,60}
- In June 2026 the Government said that if more licences are granted, the total will remain very limited. It expected the first regulated stablecoin launch as early as mid-2026.⁵³⁸
- Complaints: the issuer should acknowledge a complaint within 7 calendar days. It should give a full or interim response within 30 calendar days. It should generally give a full response within 60 calendar days.⁵³⁹ The HKMA may take up complaints the issuer has not handled properly. It generally does not order compensation.⁵⁴⁰

- The current Stablecoin Review Tribunal panel serves a three-year term ending 31 October 2028.⁵²⁰ A person aggrieved by (adversely affected by) an HKMA decision may refer it to the Tribunal in writing. The deadline is 30 days after the HKMA makes the decision, or another period the Tribunal permits.⁵²⁰
- On 28 April 2026 the HKMA warned about tokens using the tickers (trading symbols) HKDAP or HSBC. The HKMA said the licensed issuers did not issue these tokens and had no link to them. Both licensees had confirmed they had not yet issued any regulated stablecoins.⁵⁴¹
- On 16 September 2026 a Government spokesman said the first regulated stablecoin in Hong Kong had launched in August 2026.⁵⁰³ The official sources reviewed do not name the issuer.

What your bank must or should do

Obligations

- ☐ Offer only licensed issuers' coins to retail clients when acting as an offeror. Offer other specified stablecoins only to professional investors.^{501,542}
- ☐ Follow the RI standards when dealing, advising or managing portfolios in Relevant Stablecoins.

Follow the terms in Appendices A1 and A2 too. The HKMA expects this of all AIs. ¹⁷⁹

- ☐ Disclose material information on each Relevant Stablecoin when dealing or advising. Cover its stabilisation arrangements (how it keeps its value) and its redemption arrangements (how holders get money back). ⁵⁴³

Controls & monitoring

- ☐ Mark clearly the accounts of clients who trade only Relevant Stablecoins, to use the lighter rules for them. Deal in no other virtual assets for those clients. ⁵⁴⁴ Dealing in other virtual assets for a client brings back the full virtual asset rules. These include the knowledge assessment, a check of the client's understanding of virtual assets. ⁵⁴⁴
- ☐ Base advice on the client's use case (what the client needs the coin for), not on commission rebates. ⁵⁴⁵
- ☐ Classify stablecoin holdings under CRP-1. A coin is Group 1b (a lower-risk stablecoin group) only if it meets classification conditions 1-4. Here, full redeemability means redemption within five calendar days. ⁵⁴⁶
- ☐ Treat held stablecoins as debt securities outside high-quality liquid assets (HQLA), if your bank is a

category 1 institution for liquidity.⁵⁰⁶ Under the liquidity coverage ratio (LCR), a short-term cash stress test, the usual inflow is 0%. The bank counts no cash coming in from them.⁵⁰⁶ Under the net stable funding ratio (NSFR), a longer-term funding test, the required stable funding factor is 85%.⁵⁰⁶ An issuing bank must apply a 100% LCR outflow if the coin is redeemable within the LCR period. In effect, it assumes holders cash in every such coin. Lower rates are possible where the backing assets qualify as HQLA.⁵⁰⁶

Notify / consult HKMA or SFC

- ☐ RIs: notify the HKMA and SFC before any Relevant Stablecoin activity or material change.²²³
- ☐ All AIs: discuss Relevant Stablecoin services with the HKMA first.²¹⁷
- ☐ Notify the HKMA when you acquire a new type of cryptoasset. Treat it as Group 2b (the highest-risk group) until the HKMA agrees its classification.⁶⁴

Counterparty due diligence

- ☐ Check any claimed issuer against the HKMA Register of licensed issuers.⁶⁰ The HKMA points the public to the Register to verify licensees.⁷⁸
- ☐ Hand custody (safekeeping) of stablecoins to a licensed issuer only for that issuer's own coins. An

AI may do so only if the issuer has HKMA consent to provide that custody. ⁵⁴⁷

Talking points

To the Chief Compliance Officer (CCO)

- Banks are permitted offerors. Only licensed issuers' coins may be offered to retail investors. ^{500,501}
- RIs notify the HKMA and SFC before Relevant Stablecoin activity. Other AIs discuss it with the HKMA first. ^{236,237}

To business heads

- Two issuers hold licences, effective 10 April 2026. The HKMA says any further licences would keep the total very limited. ^{60,502}
- Relevant-Stablecoin-only dealing is not limited to RIs registered for Type 1 (dealing in securities). Clearly marked Relevant-Stablecoin-only accounts need no virtual asset knowledge test. The Appendix A1 conditions still apply. ⁵⁴⁸

To the Chief Executive Officer (CEO)

- A bank can apply to issue stablecoins. The minimum criteria on financial resources and business activities do not apply to AI applicants. ⁵⁴⁹

- In June 2026 the Government expected the first regulated stablecoin launch as early as mid-2026.⁵⁵⁰ On 16 September 2026 a Government spokesman said the first regulated stablecoin in Hong Kong had launched in August 2026.⁵⁰³ The official sources reviewed do not name the issuer.

To Risk / Chief Risk Officer (CRO)

- For liquidity, a held stablecoin counts as a debt security that is not HQLA.⁵¹⁴ An issuing bank must apply a 100% LCR outflow if the coin is redeemable within the LCR period. Lower rates are possible with HQLA-eligible backing.⁵¹⁴
- HKMA-licensed coins can be treated as meeting CRP-1's extra measures for permissionless blockchains (public networks anyone can join). They still need conditions 1-4 to reach Group 1.⁵⁵¹

Common misunderstandings

- **Myth:** "A Relevant Stablecoin is an investment product." **Fact:** The HKMA letter says its guidance should not be read that way.¹⁷⁹
- **Myth:** "Sandbox firms are licensed." **Fact:** Joining the sandbox was not a licence.²³⁹ The HKMA later said the sandbox is neither a precondition nor a guarantee of a licence.²³¹

- **Myth:** "A licence means coins are live." **Fact:** A licence and a launch are separate steps. On 28 April 2026 both licensees confirmed they had not yet issued any coins.⁵¹¹ On 16 September 2026 a Government spokesman said the first regulated stablecoin in Hong Kong had launched in August 2026.⁵⁰³ The official sources reviewed do not name the issuer.
- **Myth:** "The SFC's circular 26EC26 governs our bank." **Fact:** It covers VATPs and LCs.⁵⁵² For RIs, it points to the HKMA RI circular.¹⁸
- **Myth:** "Only Hong Kong firms are caught." **Fact:** A business that issues Hong Kong dollar coins needs a licence wherever it issues them.⁴⁹⁷
- **Myth:** "The HKMA will get my client compensated." **Fact:** The HKMA generally does not order issuers to pay compensation.⁵⁴⁰

Official documents to read first

1. **Explanatory Note on Licensing of Stablecoin Issuers**, HKMA, July 2025. Read Chapter 2 and Chapter 3, especially 3.2-3.5 and 3.13. It covers scope, offerors, licensing criteria and the exceptions for AIs.
<https://www.hkma.gov.hk/media/eng/doc/key-functions/ifc/stablecoin->

issuers/Explanatory_Notes_on_Licensing_of_Stablecoin_Issuers_eng.pdf

2. **Guideline on Supervision of Licensed Stablecoin Issuers**, HKMA, 1 August 2025. Read sections 2-3, 6.5 and 8.4. They cover reserves, redemption, keys and complaints.

https://www.hkma.gov.hk/media/eng/doc/key-functions/ifc/stablecoin-issuers/Guideline_on_supervision_of_licensed_stablecoin_issuers_eng.pdf

3. **Circular on virtual asset activities involving Relevant Stablecoins (RI circular)**, HKMA, 27 May 2026. Read all nine pages. It shows how a bank deals, advises and distributes.

<https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20260527-2-EN/20260527-2-EN.pdf>

Open questions

- The official sources reviewed do not name the issuer of the first regulated stablecoin. A Government spokesman said it launched in August 2026.⁵⁰³ They also do not say whether a second regulated stablecoin has launched.
- The HKMA has told applicants it has no settled view on the direction and timing of further licensing.⁸⁰

- On 3 June 2026 the HKMA loosened CRP-1 para 2.6.4 for tokenised traditional assets, not stablecoins.⁵⁵³ Tokenised traditional assets are ordinary assets, such as bonds, recorded as digital tokens. The change took effect at once. The HKMA said it will update the CRP-1 wording in due course.⁵⁵³ No document reviewed for this guide has the updated CRP-1 text.
- The 2026 Policy Address says the SFC will promote the trading of regulated stablecoins on licensed trading platforms for virtual assets. It will also promote their use to settle tokenised money market funds.¹⁶⁸ The documents reviewed for this guide contain no detailed measures.
- This guide has not reviewed the text of Cap. 656 on e-Legislation, the official online database of Hong Kong laws. Section numbers here come from HKMA documents.

Check yourself

Answer from memory, then check the answer key at the back of the book.

1. Which regulator licenses firms that issue fiat-referenced stablecoins in Hong Kong?
2. What minimum paid-up capital must a licensed stablecoin issuer hold?

3. Is the Stablecoins Ordinance binding law or only guidance?
4. What should an RI do before offering Relevant Stablecoin dealing, advice or portfolio management?
5. Can retail clients be offered any specified stablecoin, or only licensed issuers' coins?

Related modules

B2, C1, C3, C5, D3

Business angle: Stablecoin roles for banks and Tokenised deposits and payments in the Business tab.

PART C · MODULE C5

C5 Tokenisation: tokenised products, deposits and bonds

This module is for a bank's Head of Compliance (digital assets). After reading it, you can explain which tokenisation rules bind the bank today. You can also explain which Hong Kong Monetary Authority (HKMA) projects the bank may join, and what is still only a stated plan.

In 60 seconds

Tokenisation records a claim on an asset, such as a bond, fund unit, gold or a bank deposit.^{554,555} The claim is recorded on distributed ledger technology (DLT) or similar technology.^{554,555} A distributed ledger is a shared digital record kept in step across many computers.

Hong Kong regulators apply the rules for the underlying product to its tokenised form. They also add expectations on technology, ownership and custody risks.^{556,557}

For authorized institutions (AIs), meaning banks, the HKMA set these expectations in a February 2024 circular.²² A circular is a formal notice a regulator sends to the firms it supervises.

The Securities and Futures Commission (SFC) has circulars on tokenised securities. It also has circulars on tokenised SFC-authorized investment products, such as funds the SFC has authorised for sale to the public.^{558,410} These circulars reach SFC licensed corporations (LCs). They also reach banks acting as registered institutions (RIs), meaning banks registered with the SFC for securities business.^{558,410}

The HKMA's Project Ensemble entered a real-value pilot, EnsembleTX (live transactions with real money), in November 2025.^{56,559} Seven named Tokenised Deposit Banks are to offer tokenised deposits through it. They are also to settle payments between banks through it.^{56,559}

The Hong Kong Special Administrative Region (HKSAR) Government has made three tokenised bond issues, in 2023, 2024 and 2025.⁵⁶⁰ The Hong Kong Mortgage Corporation (HKMC) priced its first digital bond in June 2026.⁵⁶¹

The 2026 Policy Address, the Chief Executive's yearly policy speech, lists these next steps. They are stated targets, not rules.⁵⁶²

- Settlement in central bank digital currency (CBDC) for EnsembleTX, and round-the-clock (24/7) operation.

- A digital asset platform at CMU OmniClear, the operator of the Central Moneymarkets Unit (CMU). The CMU is Hong Kong's central system for holding and settling bonds.
- Tests of tokenised Exchange Fund Bills (short-term debt papers the HKMA issues).
- A second-phase legal review with the Financial Services and the Treasury Bureau (FSTB). ⁵⁶²

➤ COMMERCIAL AND CUSTOMER BENEFITS

For customers:

- The HKMA says its EnsembleTX pilot aims to make settling tokenised deals faster. ⁵⁶³
- Its first focus is tokenised deposits for tokenised money market fund deals and real-time cash management. ⁵⁶³
- The Hong Kong Mortgage Corporation said its June 2026 digital bonds cut settlement from five business days to three. ⁵⁶⁴

For the bank:

- A bank can earn arranging and custody fees on digital bonds, as on ordinary bonds CONCEPT.
- The HKMA's Digital Bond Grant Scheme pays issuers 50% of eligible costs, up to HK\$2.5 million per issue if all conditions are met. ⁵⁶⁵

- The HKMA said settlement in tokenised central bank money helped cut time, cost and counterparty risk for the Government's November 2025 green bonds.⁵⁶⁶

Evidence so far:

- A 2023 HKMA research memorandum compared 28 tokenised bonds with similar ordinary bonds from the same issuers.⁵⁶⁷
- Underwriting fees were on average 0.22 percentage point of face value lower.⁵⁶⁸ Borrowing costs were on average 0.78 percentage point lower.⁵⁶⁸
- The 2026 Policy Address says Hong Kong took nearly 50% of global digital bond issuance from 2025 to mid-2026.⁵⁶⁹

Limits:

- The authors call their sample small and urge caution.⁵⁷⁰ The views are theirs, not necessarily the HKMA's.⁵⁷⁰
- A large (category 1) bank cannot count its own tokenised deposits as stable retail deposits in its liquidity coverage ratio (LCR).⁵⁷¹

Business lines: Digital bonds: arranging and custody; Tokenised funds and money market fund settlement; Tokenised deposits and payments

Where things stand

As of 25 September 2026.

Instrument	Issuer	Date	Status	Applies to	Src
Sale and distribution of tokenised products (circular)	HKMA	20 Feb 2024	In force	All AIs (also covers customers placing tokenised deposits)	555
Circular on intermediaries engaging in tokenised securities-related activities	SFC	2 Nov 2023	In force	LCs; RIs (who also notify the HKMA)	558
Circular on tokenisation of SFC-authorised investment products (original)	SFC	2 Nov 2023	Superseded	Product providers, distributors	572
Circular on tokenisation of SFC-authorised investment products (revised)	SFC	20 Apr 2026	In force	Product providers; distributors that are LCs or RIs	573

Instrument	Issuer	Date	Status	Applies to	Src
Circular on secondary trading of tokenised SFC- authorised investment products	SFC	20 Apr 2026	In force	SFC-licensed virtual asset trading platforms (VATPs); product providers; distributors that are LCs or RIs; connecting brokers	574
Project Ensemble launch (Mar 2024), Architecture Community (May 2024), Sandbox (Aug 2024)	HKMA	7 Mar- 28 Aug 2024	Historical (the Sandbox phase led to the EnsembleTX pilot)	Architecture Community members; Sandbox participants	575, 576, 577, 578
EnsembleTX (real-value pilot)	HKMA	13 Nov 2025	Pilot (to operate throughout 2026)	7 Tokenised Deposit Banks and 13 other industry pioneers	56, 579
CBDC settlement and 24/7 operation under EnsembleTX	HKMA (through the Policy Address)	16 Sep 2026	Stated target (around end-2026)	EnsembleTX participants	157

Instrument	Issuer	Date	Status	Applies to	Src
Government tokenised green bond (HK\$800m, 365-day)	Hong Kong Government / HKMA	16 Feb 2023	Issued (one-off)	Investors, syndicate banks	580
Government digital green bonds: about HK\$6bn (Feb 2024) and about HK\$10bn (Nov 2025). The Nov 2025 issue gave its Hong Kong dollar and renminbi parts the option to settle in e-HKD (digital Hong Kong dollar) or e-CNY (digital renminbi).	Hong Kong Government / HKMA	7 Feb 2024; priced 10 Nov 2025	Issued (Feb 2024); priced (Nov 2025)	Investors	581, 582
HKMC's first digital bond (about HK\$12bn)	HKMC	priced 10 Jun 2026; issued 15 Jun 2026	Issued (one-off)	Investors; 16 arranging financial institutions	583
Digital Bond Grant Scheme (DBGS)	HKMA	28 Nov 2024	Open for applications (initial 3-year period)	Issuers of digital bonds (lead arrangers or DLT platform providers can also apply)	584

Instrument	Issuer	Date	Status	Applies to	Src
Tokenised Bond Expert Group (TBEG)	HKMA	5 Jun 2026	Exploratory	Industry members	585
FSTB and HKMA review of DLT for bonds, phase 1 (includes Companies Registry FAQs on DLT registers of debenture holders)	FSTB + HKMA	29 Jun 2026	Conclusions published	Bond issuers, arrangers	586
Phase 2 legal review (electronic signing; holding and transferring tokenised instruments)	FSTB + HKMA (TBEG involved)	H2 2026	Stated target	Market	24, 587
CMU OmniClear digital asset platform	CMU OmniClear (through the Policy Address)	16 Sep 2026	Stated target (this year)	Digital bond issuance and settlement	588
Tokenised Exchange Fund Bills tests	HKMA (through the Policy Address)	16 Sep 2026	Stated target (by year-end)	Banks	156

Note: 'Issued' on a bond row marks a completed one-off deal, not a rule.

Key facts

- The HKMA circular covers tokenised real-world assets. Examples are spot precious metal and structured investment products outside the Securities and Futures Ordinance (SFO).⁵⁸⁹ It excludes stablecoins (tokens built to hold a steady value) and products covered by the SFO.⁵⁸⁹ AIs should also meet its standards when customers place tokenised deposits.⁵⁸⁹ The circular expects:⁵⁸⁹
 - checks on issuers and vendors (due diligence)
 - plain-language risk disclosure
 - HKMA custody standards, where relevant
 - discussion with the HKMA in advance.
- Existing selling and investor-protection rules for a product also apply to its tokenised form.⁵⁹⁰ AIs should still assess whether tokenisation changes what the product is.⁵⁹⁰ For example, selling small fractions of an asset could turn it into a collective investment scheme (a pooled investment, like a fund).⁵⁹⁰
- The SFC treats tokenised securities as traditional securities in a tokenisation wrapper.⁵⁹¹ Whether one is a complex product is judged by looking at the underlying security. This holds as long as the technology risks are well managed.⁵⁹¹ A complex

product is one whose risks are hard for retail investors to understand. The SFC no longer imposes its mandatory 2019 restriction that tokenised securities go to professional investors only. Public-offering rules still apply.⁵⁹¹

- RIs that plan activity in digital securities should notify the SFC and the HKMA in advance.⁵⁵⁸
- The SFC allows primary dealing (buying new units and cashing them in) in tokenised SFC-authorised investment products.⁵⁹² Product providers stay responsible for the tokenisation arrangement.⁵⁹² They should not use public-permissionless chains (open networks anyone can join) without extra controls. One such control is a permissioned token, which only approved holders can hold.⁵⁹²
- Since 20 April 2026, the SFC allows secondary trading of these products on SFC-licensed VATPs. Secondary trading means investors buying and selling among themselves after issue.⁵⁹³ The trading is subject to fair-pricing and other controls. RIs taking part should also notify the HKMA.⁵⁹³
- Project Ensemble first focused on tokenised deposits, meaning commercial bank deposits held in digital token form.⁵⁹⁴ EnsembleTX moved Ensemble from proof-of-concept (a trial to show an idea works) to real-value transactions.⁵⁹⁶ It starts

with tokenised money market funds and treasury (cash management) uses.⁵⁶ Payments between banks first settle on the Hong Kong dollar Real Time Gross Settlement system. That system settles each payment in full, one by one, as it happens.⁵⁶

- The HKMA lists seven Tokenised Deposit Banks for EnsembleTX:⁵⁵⁹
 - Bank of China (Hong Kong)
 - China Construction Bank (Asia)
 - Fubon Bank (Hong Kong)
 - Fusion Bank
 - Standard Chartered Bank (Hong Kong)
 - The Bank of East Asia
 - The Hongkong and Shanghai Banking Corporation
- The HKMA's liquidity guideline LM-1 (V.5, Dec 2025) covers tokenised deposits that a bank issues.⁵⁹⁵ Here, a tokenised deposit is a legally binding claim on the bank, redeemable at face value (par) in ordinary currency (fiat).⁵⁹⁵ A category 1 bank may treat them as deposits or unsecured funding for the liquidity coverage ratio (LCR).⁵⁹⁵ The LCR tests whether a bank holds enough easy-to-sell assets to meet cash outflows under stress. The deposits get no stable-deposit or stable-funding treatment, even

when retail or small business customers hold them.

⁵⁹⁵ That treatment is for money the rules assume is less likely to leave the bank.

- The DBGS pays 50% of eligible expenses, up to a cap.

⁵⁶⁵ The cap is HK\$1.25m for a Half Grant and HK\$2.5m for a Full Grant. ⁵⁶⁵ An issuer and its associates (related companies) can get grants for at most two issuances. ⁵⁶⁵

- For a Full Grant, all of these conditions must hold:

⁵⁹⁶

- The DLT platform provider is not an associate of the issuer.
- The issue is at least HK\$1bn.
- The issue goes to five or more investors not associated with the issuer or platform provider.
- The issue is listed on the Stock Exchange of Hong Kong or on one of the SFC-licensed VATPs.

- The FSTB and HKMA phase-1 review found Hong Kong's legal and regulatory framework already flexible enough for tokenised bond issues. ⁵⁹⁷ A debenture is a company's written promise to repay a debt, such as a bond. The Companies Registry's FAQs confirm that a DLT register of debenture holders can be treated as meeting the record-

keeping rules of the Companies Ordinance (Cap. 622).⁵⁹⁷

- On 23 September 2026 the HKMA Chief Executive spoke about CMU OmniClear's digital asset platform.⁵⁹⁸ He said it is being built for round-the-clock atomic settlement on a blockchain.⁵⁹⁸ Atomic settlement means both sides of a deal settle together or not at all. He said deals on the platform will be able to settle against central bank digital currency.⁵⁹⁸ The platform will also explore links with tokenised deposits and regulated stablecoins.⁵⁹⁸ He also said the HKMA will test how tokenised Exchange Fund Bills operate.⁵⁹⁸

What your bank must or should do

Obligations

- Apply existing product-selling rules to tokenised products. Add the HKMA's tokenisation-specific expectations on top.⁵⁵⁶
- Apply the circular's standards when customers place tokenised deposits.⁵⁹⁹
- As a distributor of tokenised SFC-authorised products, the bank should be a regulated intermediary, such as a registered institution (RI).⁴¹⁰ It should also follow existing onboarding and

suitability rules (checking a product fits the customer). ⁴¹⁰

Controls & monitoring

- Carry out due diligence on the product, its issuer and third-party vendors. Do it before offering the product and at intervals after. ²⁷² Cover key management (how the keys that control tokens are kept safe) and audits. ²⁷²
- Give customers plain-language disclosures on tokenisation risks. ⁶⁰⁰
- Meet the HKMA's digital asset custody standards if the bank holds tokenised products for customers (custody). ⁶⁰¹

Notify / consult HKMA or SFC

- Discuss plans for tokenised products with the HKMA in advance. ⁶⁰²
- Notify the SFC and the HKMA before starting digital-securities activity as an RI. ⁵⁵⁸
- Notify the HKMA as well when taking part, as an RI, in secondary trading of tokenised SFC-authorised products. ⁴¹⁷
- Consider the HKMA's Supervisory Incubator for DLT (optional). Banks can use it to reaffirm their risk controls before a full launch. ²¹⁸

Counterparty due diligence

- Assess the track record of the issuer and the tokenisation platform. Also assess their controls over keys and ownership records.²⁷²
- Consider, for tokenised bonds, the product's legal status and whether settlement is final.⁶⁰³ Final settlement means a completed transfer is legally fixed and stays in place. For example, the HKMA states that a law protects the finality of CMU settlement for the Government digital green bonds.

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Talking points

To the CCO

- Existing product rules apply to tokenised products. The HKMA adds expectations on due diligence, disclosure and early discussion with it.⁶⁰⁵
- As an RI, the bank should tell the SFC and the HKMA before digital-securities work.⁶⁰⁶ It should also notify the HKMA before secondary trading of tokenised SFC-authorized products.⁶⁰⁷

To business heads

- EnsembleTX is to run throughout 2026 with real-value tokenised-deposit settlement.⁶⁰⁸ The HKMA

invites parties with real-value tokenised-deposit use cases to take part.⁶⁰⁸

- The DBGS Full Grant pays up to HK\$2.5m per issue. It is not available if the DLT platform provider is an associate of the issuer.⁶⁰⁹ A Half Grant of up to HK\$1.25m may still apply.⁶⁰⁹

To the CEO

- The Government has made three tokenised bond issues.⁵⁶⁰ The latest raised about HK\$10bn.⁶¹⁰ The HKMC priced a digital bond of about HK\$12bn in June 2026.⁵⁶¹
- The Policy Address targets CBDC settlement and 24/7 operation for EnsembleTX around end-2026. It also targets a CMU OmniClear digital asset platform this year.⁶¹¹

To Risk / CRO

- Tokenised deposits the bank issues cannot get stable-deposit treatment in the LCR.⁵⁹⁵ If the bank cannot always identify the holders, it must treat them as "other unsecured wholesale funding".⁵⁹⁵
- The HKMA's April 2024 DLT risk considerations are not binding. They cover network choice, smart contracts (code that runs by itself on a ledger), legal risks such as settlement finality, and third parties.

They also cover interoperability (systems working together), cybersecurity and private-key security.⁶¹²

Common misunderstandings

- **Myth:** Tokenised securities are automatically complex or for professional investors only. **Fact:** The SFC looks through to the underlying security. It no longer imposes a mandatory professional-investor-only restriction.⁶¹³
- **Myth:** The HKMA tokenised-products circular covers stablecoins. **Fact:** The circular expressly excludes them.⁵⁹⁹
- **Myth:** Secondary trading of tokenised SFC-authorized products is still barred. **Fact:** That was the 2023 position.⁶¹⁴ The revised April 2026 framework allows it on SFC-licensed VATPs, subject to conditions.³⁷¹
- **Myth:** EnsembleTX is not an official name. **Fact:** The HKMA uses the name in its own November 2025 announcement and annex.^{615,559}

Official documents to read first

1. **Sale and distribution of tokenised products, HKMA, 20 Feb 2024.** Read the whole circular (6 pages), especially Sections A-D and 'Implementation'. It is the bank's baseline for tokenised products.

<https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20240220-10-EN/20240220-10-EN.pdf>

2. **Circular on secondary trading of tokenised SFC-authorised investment products**, SFC, 20 Apr 2026. Read paragraphs 8-27 and footnotes 13-14. They set out duties for connecting brokers, distributors and RIs.

<https://apps.sfc.hk/edistributionWeb/api/circular/openFile?lang=EN&refNo=26EC23>

3. **EnsembleTX announcement and Annexes A/B**, HKMA, 13 Nov 2025. Read the full release and both annexes. They show the pilot's scope and participants. <https://www.hkma.gov.hk/eng/news-and-media/press-releases/2025/11/20251113-3/> and <https://www.hkma.gov.hk/media/eng/doc/key-information/press-release/2025/20251113e3a1.pdf>

Open questions

- The sources reviewed contain no dedicated HKMA framework for issuing tokenised deposits. For now, the anchors are the February 2024 circular and the LM-1 liquidity treatment.^{599,595} A third anchor is the Supervisory Incubator, which has tokenised deposits as a core focus.⁶¹⁶

- The HKMA said it would soon publish an Ensemble Use Case Report and an Ensemble Taxonomy (a shared set of terms). Neither appears in the sources reviewed as of 25 Sep 2026.⁶¹⁷
- The findings of the phase-2 legal review are not yet published. That review covers electronic signing, and holding and transferring tokenised instruments.

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Check yourself

Answer from memory, then check the answer key at the back of the book.

1. Which regulator set expectations for banks selling tokenised products that fall outside the Securities and Futures Ordinance?
2. How many Tokenised Deposit Banks does the HKMA list for the EnsembleTX pilot?
3. Is CBDC settlement for EnsembleTX already in place, or only a stated target?
4. What does the HKMA expect a bank to do before offering a tokenised product to customers?
5. Are tokenised securities automatically treated as complex, professional-investor-only products?

Related modules

C6, C7, D1, D2

Business angle: Digital bonds: arranging and custody and Tokenised funds and money market fund settlement in the Business tab.

PART C · MODULE C6

C6 Financing, shared order books and client withdrawals

For a bank's Head of Compliance (digital assets) whose bank is a registered institution (RI). An RI is a bank registered with the Securities and Futures Commission (SFC) to do securities business. This module suits RIs that offer, or plan to offer, virtual asset (VA) dealing. VA dealing means buying and selling virtual assets (VAs), such as bitcoin, for clients. The module explains what the SFC changed in February 2026. It shows how the Hong Kong Monetary Authority (HKMA) applied the change to banks in May 2026. It also sets out which controls the regulators expect.

In 60 seconds

An omnibus account holds many clients' assets together in one account at a trading platform. SFC-licensed firms are called licensed corporations (LCs). Under the omnibus-account terms and conditions, LCs and RIs that dealt in VAs for clients could not lend clients money to buy VAs.⁶¹⁸ On 11 February 2026 the SFC changed this for VA brokers that already offer securities margin financing. Margin financing means lending clients money to buy assets, secured on their

holdings. Those brokers can now lend to their securities margin clients to buy VAs.⁶¹⁹ If a broker relies on VA collateral, the SFC expects only bitcoin and ether to count.⁶²⁰ The broker should apply a haircut (a cut to the value it counts) of 60% or more.⁶²⁰ On 27 May 2026 the HKMA let RIs offer VA financing if they observe similar standards.²⁹⁵ The HKMA also accepts stablecoins from HKMA-licensed issuers as collateral.⁶²¹ It says loans secured only by VA must be treated as clean (unsecured) loans when the bank works out its capital.⁶²¹ The same circulars let brokers and RIs trade for clients on a shared order book. A shared order book lets a virtual asset trading platform (VATP) pool its orders with affiliated platforms abroad.^{622,623} Retail clients get access only after a clear risk explanation and after they expressly opt in.^{622,623} The circulars also set anti-fraud standards for firms that let clients withdraw VAs.⁶²⁴ The SFC circular is addressed to LCs.⁶²⁵ The HKMA applies the standards to RIs.⁶²⁶

➤ COMMERCIAL AND CUSTOMER BENEFITS

For customers:

- The SFC says VA financing would let margin clients with strong credit and collateral take a bigger part in VA trading.⁶²⁷

- The SFC says shared order books aim to give Hong Kong investors deeper global liquidity and tighter price spreads (the gap between buy and sell prices). ⁶²⁸
- The SFC expects brokers that allow VA withdrawals to guard clients against fake withdrawal instructions. ⁶²⁹

For the bank:

- The HKMA says banks registered with the SFC that deal in VAs may offer VA financing to their securities margin clients. ⁶³⁰
- A bank can earn interest on a margin loan above its own funding cost CONCEPT.
- More client trading can add dealing commission for the same bank CONCEPT.

Evidence so far:

- The SFC counted 13 licensed VA trading platforms at 30 June 2026. ⁶³¹
- HashKey Holdings, a Hong Kong-listed platform group, reported HK\$251.7 billion of trading on its Hong Kong platform in the six months to 30 June 2026. ⁶³² This is the firm's own reported figure for that one platform, from its 2026 interim results filing. ⁶³²

Limits:

- Loans secured only by VA must count as clean (unsecured) loans in the bank's capital sums.⁶³³
- Where a bank relies on bitcoin or ether as collateral, the HKMA expects a haircut of 60% or more.⁶³⁴

Business lines: Virtual-asset financing and margin; Virtual-asset dealing

Where things stand

As of 25 September 2026.

Instrument	Issuer	Date	Status	Applies to	Src
Circular on shared liquidity by virtual asset trading platforms (VATPs) (25EC56), plus the Shared Order Book terms and conditions	SFC	3 November 2025	In force	SFC-licensed VATPs (they need written SFC approval first)	635, 636

Instrument	Issuer	Date	Status	Applies to	Src
Circular on VA brokers: financing, shared order book, client VA withdrawals (26EC5)	SFC	11 February 2026	In force	LCs that deal in VA through omnibus accounts	625
Circular letting VATPs accept affiliated market makers (26EC6)	SFC	11 February 2026	In force	SFC-licensed VATPs	637
Guidance on offering of financing for VA dealing, shared order book and client VA withdrawals	HKMA	27 May 2026	In force	All RIs; the financing part covers RIs that provide VA dealing	638
Circular on VA-related activities involving relevant stablecoins (with revised terms and conditions, Appendices A1 and A2)	HKMA (written jointly with the SFC)	27 May 2026	In force	RIs	639, 18

Instrument	Issuer	Date	Status	Applies to	Src
SFC consultation on capital requirements for VA activities, including VA financing	SFC	not dated	Stated target ('in due course')	LCs	640

Key facts

- Before the SFC's circular of 11 February 2026, LCs and RIs could not give clients credit to buy VA.⁶¹⁸ The omnibus-account terms and conditions set this ban.⁶¹⁸
- The revised terms of 27 May 2026 keep the ban, with one exception.⁶⁴¹ A licensed corporation or RI may give such financing only if it does securities margin financing.⁶⁴¹ It also needs a Type 1 licence or registration (dealing in securities) with these terms attached as conditions.⁶⁴¹
- The SFC calls VA financing a first step under Pillar P (Product) of ASPIRe — the SFC's roadmap for the VA market.⁶⁴² Only VA brokers that already provide securities margin financing can offer it.⁶⁴²
- The HKMA allows RIs that provide VA dealing to offer VA financing if they observe standards similar to the SFC's.⁶³⁰ The HKMA lists the standards for RIs

as items (1)-(9). ⁶³⁰

- Only the RI's securities margin financing clients can borrow. ⁶⁴³ The HKMA does not expect an RI to raise a client's credit limit just because VA financing is available. ⁶⁴³
- An RI may take a client's VA holdings into account when it judges the client's financial capability. If it does, its assessment should cover seven risk factors. ⁶⁴⁴ These include price-gap risk (sudden jumps in price), too much exposure to the digital-asset sector, and shares and digital assets falling together in a crisis. ⁶⁴⁴
- An RI can choose to rely on VA collateral. If it does, only bitcoin, ether and stablecoins from HKMA-licensed issuers ('Relevant Stablecoins') should count as eligible collateral, with a prudent haircut. ⁶⁴⁵
- The haircut for bitcoin and ether should be 60% or more. ⁶³⁴ The HKMA may revise the haircut after giving advance notice. ⁶³⁴ The HKMA sets no numeric haircut for Relevant Stablecoins. ⁶³⁴
- The HKMA generally expects an RI to value VA collateral at prices on the VATP where the client's orders are carried out. ⁶⁴⁶ For Relevant Stablecoins,

the RI may use the licensed issuer's prices instead.

⁶⁴⁶ RIs should keep a contingency plan for when the VATP goes down. ⁶⁴⁶

- VA financing counts as part of the client's margin loan. ⁶⁴⁷ Concentration controls (limits on holding too much of one kind of collateral) should cover VA collateral too. ⁶⁴⁷ The RI should not repledge (pledge again to someone else) or reuse VA collateral. The only exception is enforcing it when a client defaults. ⁶⁴⁷
- Two cases call for action. One is when the loan is larger than the collateral value. The other is when a client has an unpaid margin call and a poor record of meeting margin calls. ⁶⁴⁸ In either case the RI should stop new advances, stop VA purchases on margin, and review the client's credit and trading limits. ⁶⁴⁸
- The Banking (Capital) Rules do not recognise VA as collateral. ⁶³³ So loans secured solely by VA must be treated as clean loans to the client. ⁶³³
- Until the SFC revises capital requirements, LCs follow the Securities and Futures (Financial Resources) Rules (FRR). ⁶⁴⁰ The FRR apply a 100% haircut to VA collateral that LCs hold. In effect, that collateral counts for nothing in the capital sums. ⁶⁴⁰

- The HKMA circular does not cover tokenised products, because the financing ban does not apply to buying them.⁶⁴⁹ For selling and distributing tokenised products, RIs should refer to HKMA guidance. One example is its circular of 20 February 2024 on tokenised products.⁶⁴⁹
- A shared order book lets an SFC-licensed VATP combine its order book (its list of buy and sell orders) with those of affiliated platforms abroad.⁶⁵⁰ The overseas platform should be in a member jurisdiction of the Financial Action Task Force (FATF) or of a FATF-style regional body.⁶⁵⁰ Its regulation should be substantially aligned with international standards.⁶⁵⁰
- A shared order book should accept only fully pre-funded orders, where the client has the cash or assets before trading.⁶⁵¹ Delivery-versus-payment is central to settlement: both sides' assets change hands at the same time.⁶⁵¹ The VATP is required to hold a client-compensation reserve on trust in Hong Kong. The reserve must be no smaller than the Unsettled Trade Limit (a set cap on trades not yet settled).⁶⁵¹

- Some RIs trade for clients (as their agent) on a shared order book and also give retail clients access to it. Such RIs should follow SFC circular 26EC5, paras 15-17.⁶⁵² Before trading, a broker should assess these points:⁶⁵³
 - conflicts of interest
 - settlement
 - default handling
 - reserve funds and insurance
 - client recourse (how clients can claim if something goes wrong).

Retail access needs a prominent risk explanation and the client's express choice to take part.⁶⁵³

- Client VAs sometimes stay in custody (safekeeping) at the VATP. In that case, a broker's withdrawal function adds cyber and operational risk.⁶⁵⁴ If a broker's system is hacked, an impostor could send fake withdrawal instructions.⁶⁵⁴
- SFC 26EC5 paras 18-20 also apply to RIs that let clients withdraw VAs.⁶⁵⁵ They apply on top of HKMA requirements, such as those on e-banking and technology risk management.⁶⁵⁵ The paragraphs expect:⁶⁵⁶

- robust authentication (checking who gives an instruction)
- continuous monitoring
- the power to suspend withdrawals inside and outside office hours
- working with VATPs on withdrawal limits.
- SFC circular 26EC6 lets a VATP accept an affiliated market maker, subject to conditions. A market maker is a firm that keeps quoting prices to buy and sell.⁶⁵⁷ The conditions include:⁶⁵⁷
 - the market maker works independently of the platform
 - client orders at the same price go first
 - the market maker's trades are identified after execution
 - disclosure.

The VATP must notify the SFC first, with a report from an independent firm.⁶⁵⁷

What your bank must or should do

Obligations

- Offer VA financing only to securities margin financing clients.⁶⁵⁸ Base it on the client's financial capability and the collateral the client posts.⁶⁵⁸

- Treat loans secured solely by VA as clean (unsecured) loans for capital. ⁶³³
- Do not repledge, reuse or pledge VA collateral as security for anything else. The only exception is enforcing it when a client defaults. ⁶⁵⁹

Controls & monitoring

- If relying on VA collateral, write down in the margin lending policy how the bank assesses VA risks. ⁶⁶⁰
Monitor vulnerable VA exposures on an ongoing basis. ⁶⁶⁰
- If relying on VA collateral, keep the ability to watch its price swings in real time and act promptly. ⁶⁶¹
- Set prudent triggers for margin calls and for stopping new advances. Act on them. ⁶⁴⁸
- Monitor withdrawals continuously. Be able to escalate and suspend withdrawals outside office hours too. ^{623,662}

Notify / consult HKMA or SFC

- The HKMA circular sets no separate notification step. For new digital-asset activity, the HKMA's existing expectation is that banks discuss plans with it before launch. ⁶⁶³
- The circular names contacts for queries, by topic. ⁶²³

Counterparty due diligence

- Before trading on a shared order book, assess these points about the platform operators: ^{623,664}
 - conflicts of interest
 - the settlement mechanism
 - failure and default processes
 - reserve fund and insurance
 - client recourse.
- Work with the partner VATP as needed on withdrawal limits and on blocking suspicious withdrawals. ^{623,665}
- Keep a contingency plan for outages at the VATP whose prices the bank uses to value collateral. ⁶⁶⁶

Talking points

To the Chief Compliance Officer (CCO)

- Under the HKMA's circular of 27 May 2026, our bank, as an RI, can offer VA margin financing. The condition is that we observe standards similar to the SFC's. ⁶⁶⁷ If we rely on VA collateral, it should be only bitcoin, ether or stablecoins from HKMA-licensed issuers. ⁶⁶⁷
- The withdrawal and shared-order-book standards come from SFC circular 26EC5, paras 15-20. The

HKMA applies them to RIs. ⁶²³

To business heads

- Only securities margin financing clients qualify. Their limits are not expected to rise just because VA financing exists. ⁶⁴³
- Retail clients can use a shared order book only after a prominent explanation of the overseas risks and their express opt-in. ^{623,668}

To the Chief Executive Officer (CEO)

- The SFC calls this a first step to bring margin trading into VA. The aim is more liquidity in a risk-controlled setting. ⁶²⁷
- The Banking (Capital) Rules give VA collateral no recognition. So loans secured solely by VA are treated as clean loans. ⁶³³

To Risk / Chief Risk Officer (CRO)

- Bitcoin and ether collateral should get a haircut of 60% or more. For stablecoins, the HKMA asks only for a prudent haircut. ⁶⁶⁹
- The HKMA notes that VAs have a short track record in major market-wide shocks. ⁶⁷⁰ Even the most traded VA has fallen sharply within a day and over several days. ⁶⁷⁰

Common misunderstandings

- **Myth:** The SFC circular binds banks directly. **Fact:** It is addressed to LCs. ⁶²⁵ The HKMA's circular of 27 May 2026 brings in banks, as RIs. ²⁹⁵
- **Myth:** Bank collateral rules are the same as the SFC's. **Fact:** The HKMA adds Relevant Stablecoins as eligible collateral. ⁶²¹ Banks treat VA-only loans as clean loans under the Banking (Capital) Rules. ⁶²¹ LCs instead apply the FRR 100% haircut. ⁶⁷¹
- **Myth:** The financing ban covered tokenised products. **Fact:** The HKMA says the ban does not apply to buying tokenised products. ⁶⁴⁹
- **Myth:** A shared order book can link to any overseas exchange. **Fact:** As a first step, it is limited to platforms in the same group. ⁶²⁸

Official documents to read first

1. **Guidance on Offering of Financing for VA Dealing, Shared Order Book, and Client VA Withdrawals**, HKMA, 27 May 2026. Read all six pages, especially items (1)-(9) and page 6. This is the text addressed to RIs. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20260527-1-EN/20260527-1-EN.pdf>
2. **Circular on licensed corporations providing VA dealing services (26EC5)**, SFC, 11 February 2026.

Read paras 4-11, which the HKMA restates. Read paras 15-20, which the HKMA applies to RIs.

<https://apps.sfc.hk/edistributionWeb/api/circular/openFile?lang=EN&refNo=26EC5>

3. **Circular on shared liquidity by VATPs (25EC56)**, SFC, 3 November 2025. Read paras 3-18 and 25-26 to understand the partner platform's settlement risk.
<https://apps.sfc.hk/edistributionWeb/api/circular/openFile?lang=EN&refNo=25EC56>

Open questions

- Paragraph numbers differ. SFC 26EC5 cites the financing ban as para 4.4 of the omnibus terms and conditions.⁶⁷² The HKMA cites para 4.3 'as renumbered on 30 September 2025'.⁶⁷³ The revised terms of 27 May 2026 also number it 4.3.⁶⁴¹
- Dates differ. The HKMA's footnote 4 dates the joint circular 23 December 2023.⁶⁷⁴ The SFC's version gives 22 December 2023.⁴ So does the HKMA's own stablecoin circular of 27 May 2026.¹⁸
- The SFC has not published a date for its consultation on capital requirements for VA activities.⁶⁴⁰
- The revised terms and conditions are Appendices A1 and A2 to the HKMA's stablecoin circular of 27 May 2026.⁶³⁹ This module reviewed only para 4.3 of Appendix A1.⁶³⁹

- The HKMA specifies no numeric haircut for Relevant Stablecoin collateral.⁶³⁴

Check yourself

Answer from memory, then check the answer key at the back of the book.

1. Which regulator first allowed VA brokers to offer margin financing for buying virtual assets?
2. What haircut does the HKMA expect an RI to apply to bitcoin and ether relied on as VA financing collateral?
3. Does the HKMA expect an RI to raise a client's credit limit because VA financing exists?
4. Which clients can an RI that provides VA dealing offer VA financing to?
5. Does the SFC's VA broker circular of 11 February 2026 bind banks directly?

Related modules

C5, C7, D1, D2

Business angle: Virtual-asset dealing and Virtual-asset financing and margin in the Business tab.

PART C · MODULE C7

C7 VATP counterparties and the SFC platform regime

VATP stands for virtual asset trading platform. SFC stands for the Securities and Futures Commission. This module is for the bank's Head of Compliance (digital assets). After it, you can explain how the SFC licenses these platforms and what its rulebook requires of them. You can also use that rulebook to check a platform that is your bank's partner, customer or counterparty.

In 60 seconds

Since 1 June 2023, a platform needs an SFC licence to run a virtual asset (VA) exchange in Hong Kong.⁶⁷⁵ A VA is a digital token, such as a cryptocurrency. The same applies to a platform that actively markets such an exchange to Hong Kong investors.⁶⁷⁵ The licence comes under the Anti-Money Laundering and Counter-Terrorist Financing Ordinance (AMLO), a Hong Kong law.⁶⁷⁵ Before that date, licensing was opt-in. The SFC could only license platforms that offered at least one security token (a token that counts as a security).⁶⁷⁶ The SFC's Guidelines for VATP Operators (the Guidelines) are the platforms' rulebook. They cover

which tokens a platform lists and which tokens retail clients can buy. They also cover 98% cold storage (keys kept offline), compensation cover and key bans. The Guidelines apply to platform operators, not to banks.

⁶⁷⁷ But the SFC and the Hong Kong Monetary Authority (HKMA) require banks and other intermediaries to partner only with SFC-licensed platforms for VA dealing. ⁴⁷ So the Guidelines become your benchmark for due diligence (the checks you run on a partner). ⁴⁷ Since November 2025, the SFC has widened what licensed platforms may do. ^{678,628} In May 2026, the HKMA told registered institutions (RIs) which of these SFC standards it expects them to follow. ⁶⁷⁹ RIs are banks registered with the SFC to carry on securities business.

➤ COMMERCIAL AND CUSTOMER BENEFITS

For customers:

- To protect investors, the SFC and the HKMA require intermediaries, including banks, to deal in virtual assets only through SFC-licensed platforms. ⁴⁷
- A licensed platform should hold 98% of its clients' virtual assets in cold storage (keys kept offline). ⁶⁸⁰
- It should hold SFC-approved cover for 50% of client assets in cold storage and 100% of those

held elsewhere.⁸⁴

- The SFC says shared order books aim to give Hong Kong investors deeper global liquidity and tighter price spreads.⁶²⁸

For the bank:

- Banks may introduce clients to licensed platforms or trade for them through an omnibus account (one account for many clients).⁴⁷
- In November 2025 the SFC widened what licensed platforms may offer, including distributing tokenised securities.⁶⁷⁸
- A bank can earn commission when it routes client orders to a platform CONCEPT.

Evidence so far:

- The SFC counted 13 licensed VA trading platforms at 30 June 2026.⁶³¹
- HashKey Holdings, a Hong Kong-listed platform group, reported omnibus customer trading of HK\$86.4 billion in 2025.⁶⁸¹ Its filing gave HK\$11.7 billion for 2024; both are the firm's own reported group figures, from its 2025 annual results.⁶⁸¹

Limits:

- The platform Guidelines apply to platform operators, not banks.⁴⁶

- The SFC says shared order books create settlement exposure, because overseas orders are pre-funded outside Hong Kong. ⁶⁸²

Business lines: Virtual-asset dealing; Virtual-asset distribution and brokerage; Banking the digital-asset industry

Where things stand

As of 25 September 2026.

Instrument	Issuer	Date	Status	Applies to	Src
Position paper: opt-in regulation of VA trading platforms	SFC	6 Nov 2019	Superseded	Platforms listing a security token	683
AMLO licensing regime for VA trading platforms	AMLO (statute); SFC licenses	1 Jun 2023	In force	All VA trading platforms in or marketing to Hong Kong	675
Guidelines for VATP Operators	SFC	Jun 2023	In force	Licensed platforms; bank uses as benchmark	46

Instrument	Issuer	Date	Status	Applies to	Src
Lists of VA trading platforms (licensed, applicants, removed, closing down)	SFC	live; update 29 May 2026	In force	Public; counterparty checks	37
Inspection findings on applicants treated as licensed (circular 25EC3)	SFC	16 Jan 2025	In force	Platform operators and applicants	684
Custody circular for licensed platforms	SFC	15 Aug 2025	In force	Licensed platforms	685
More products and services; shared liquidity	SFC	3 Nov 2025	In force	Licensed platforms	686, 687
Affiliated market makers (AFMM)	SFC	11 Feb 2026	In force	Licensed platforms	637
High-level framework for perpetual contracts	SFC	11 Feb 2026	Issued (initial framework; SFC invites proposals)	Licensed platforms; professional investors only	688

Instrument	Issuer	Date	Status	Applies to	Src
HKMA guidance to RIs on VA financing, shared order book and VA withdrawals	HKMA	27 May 2026	In force	RIs (banks)	689
Circular on phishing-resistant login	SFC	9 Jul 2026	Issued; phishing-resistant authentication due by 8 Jul 2027	Internet brokers and SFC-licensed virtual asset service providers (VASPs)	690

Key facts

- In 2018, the SFC chose to watch selected platforms in its Regulatory Sandbox (a supervised test setting).
⁶⁹¹ The SFC would then decide whether to license any of them. ⁶⁹¹
- Under its 2019 position paper, the SFC could only license a centralised Hong Kong platform. ⁶⁷⁶
Centralised means the platform trades, clears and settles for clients and controls their assets. That platform also had to trade at least one security token. ⁶⁷⁶ Platforms that traded only non-security tokens were outside the SFC's powers. ⁶⁷⁶
- The SFC granted the first VATP licence in December 2020. ⁶⁹² The licence covered Type 1 (dealing in

securities) and Type 7 (automated trading services) regulated activities.⁶⁹² The platform could serve professional investors only.⁶⁹²

- The AMLO licensing regime started on 1 June 2023.⁶⁷⁵ The AMLO requires every platform that runs a VA exchange in Hong Kong to hold an SFC licence.⁶⁷⁵ This also covers platforms that actively market a VA exchange to Hong Kong investors.⁶⁷⁵
- Platforms already operating before the regime could carry on until 31 May 2024.⁶⁹³ A platform that applied by 29 February 2024 and met set conditions could be treated as licensed from 1 June 2024.⁶⁹³ This let existing platforms keep operating while they waited for a licence decision.⁶⁹³
- Being treated as licensed is not the same as holding a licence.⁶⁹⁴ The SFC warns investors that such platforms are not formally licensed.⁶⁹⁴ The SFC does not expect them to take on new retail clients until they prove their controls work and are formally licensed.⁶⁹⁴
- The SFC publishes lists of licensed platforms and of applicants.⁶⁹⁵ It also lists removed applicants and platforms that are closing down.⁶⁹⁵ At 29 May 2026, the licensed list showed 13 platforms.⁶⁹⁵ Being on a list does not mean a platform is creditworthy.⁶⁹⁵

- **Token admission:** a platform should have a token admission and review committee.⁶⁹⁶ The platform should also do documented due diligence before listing any token.⁶⁹⁶
- **Retail access:** a token offered to retail clients should be highly liquid (easy to buy and sell).⁶⁹⁷ At a minimum, it should be in at least two acceptable indices from at least two different index providers.⁶⁹⁷
- **Custody:** a platform and its Associated Entity (the group company that holds client assets) should keep 98% of client virtual assets in cold storage.⁶⁹⁸ They should also hold an SFC-approved compensation arrangement (cover that pays clients if assets are lost).⁶⁹⁸ That cover is 50% of client virtual assets in cold storage.⁶⁹⁸ It is 100% of those in hot storage (keys kept online) and other storage.⁶⁹⁸
- **Prohibitions:** outside narrow exceptions, the June 2023 Guidelines say platforms should not do six things.⁶⁹⁹ Three are lending clients money to buy virtual assets, dealing in VA futures or derivatives, and offering clients algorithmic (computer-run) trading.⁶⁹⁹ The other three are earning returns on client virtual assets, trading for their own account, and market making (quoting prices) with their own money.⁶⁹⁹ Two later SFC documents open limited

routes.^{700,701} The February 2026 perpetuals framework invites platforms to propose perpetual contracts (futures-style contracts with no end date).

⁷⁰⁰ A February 2026 circular lets a company in the platform's group make markets on the platform, under conditions.⁷⁰¹

- The SFC inspected all applicants treated as licensed.⁶⁸⁴ It checked three areas: cybersecurity, the safety of client assets, and know-your-client (KYC) checks on client identity.⁶⁸⁴ The SFC then told every platform operator to review its systems and fix gaps at once.⁶⁸⁴
- In November 2025, the SFC dropped the 12-month track record rule for some tokens.⁶⁸⁶ Under that rule, a token needed a 12-month history before a platform offered it.⁶⁸⁶ The rule no longer covers tokens offered to professional investors.⁶⁸⁶ Nor does it cover stablecoins (tokens meant to hold a steady value) from licensed issuers offered to retail clients.⁶⁸⁶ It still applies to other tokens offered to retail clients.⁶⁸⁶
- Shared liquidity: licensed platforms may share an order book (the list of waiting buy and sell orders) with affiliated overseas platforms.⁷⁰² They need prior written SFC approval.⁷⁰² The first step allows only liquidity from within the same group.⁷⁰²

- Since February 2026, a platform may let an affiliated market maker (a group company that quotes buy and sell prices) trade on it.⁶³⁷ The platform first notifies the SFC and files a report from an independent firm.⁶³⁷ Client orders keep priority over the market maker's orders at the same price.⁶³⁷
- The SFC's perpetual contracts framework says these products should go to professional investors only.⁷⁰³ It says margin collateral (assets posted to back a trade) should take one of three forms.⁷⁰³ These are fiat money (ordinary currency), or stablecoins or tokenised deposits (bank deposits recorded as tokens) regulated by the HKMA.⁷⁰³
- The SFC said JPEX (which presented itself as a VA trading platform) was unregulated.⁷⁰⁴ The SFC said it put JPEX on its Alert List (a public warning list) in July 2022.⁷⁰⁴ It said JPEX never applied for a licence.⁷⁰⁴ The SFC referred the matter to the Police on suspicion of fraud.⁷⁰⁴
- The SFC expects SFC-licensed VASPs to adopt phishing-resistant login by 8 July 2027.⁷⁰⁵ Phishing-resistant means fake websites cannot trick users into handing over login details. The same deadline covers device binding (tying an account to a trusted device).⁷⁰⁵ The SFC does not treat a one-time password (OTP) as phishing-resistant.⁷⁰⁵

What your bank must or should do

Obligations

- ☐ Partner only with SFC-licensed platforms if the bank offers VA dealing.⁴⁷ Either introduce clients to the platform, or trade through an omnibus account (one account that pools many clients' orders).⁴⁷
- ☐ Offer VA dealing only to clients of the bank's Type 1 (dealing in securities) business.⁷⁰⁶
- ☐ Follow the SFC's guidance for VA brokers if the bank trades for clients on a shared order book and also gives retail clients access to it.⁶⁵² The HKMA expects this of RIs.⁶⁵²
- ☐ Apply the SFC's safeguards for client VA withdrawals if the bank, as an RI, lets clients withdraw virtual assets.⁶⁵⁵ These safeguards apply on top of the HKMA's e-banking and technology rules for RIs.⁶⁵⁵

Controls & monitoring

- ☐ Re-check a platform's status on the live SFC lists before onboarding it and at each review. The lists can lag between updates.^{707,708}

Notify / consult HKMA or SFC

- ☐ Tell the SFC in advance before the bank starts or changes VA activities.⁵⁹ Tell the HKMA too, where

relevant.⁵⁹

Counterparty due diligence

- ☐ Run a risk-based anti-money laundering (AML) and counter-financing of terrorism (CFT) assessment when the bank takes VASPs as customers.⁷⁰⁹ The HKMA says extra checks may be needed, depending on the relationship.⁷⁰⁹ These are like the checks used in correspondent banking (where one bank provides accounts to another).⁷⁰⁹ They include understanding the customer's business, licensing status and AML/CFT controls.⁷⁰⁹
- ☐ Find out, for VASPs based outside Hong Kong, whether each account is for the firm's own use or for its clients.⁷¹⁰ If the account serves clients, apply the correspondent-banking measures.⁷¹⁰
- ☐ Benchmark a partner platform against the VATP Guidelines.⁷¹¹ Check its token committee and its retail index test.⁷¹¹ Check its 98% cold storage and its compensation cover.⁷¹¹
- ☐ Ask whether the platform has fixed the gaps listed in the SFC's inspection findings.⁷¹²

Talking points

To the chief compliance officer (CCO)

- The VATP Guidelines bind platforms, not the bank.⁴⁶ We use them as a due diligence benchmark, because our VA dealing must run through SFC-licensed platforms.⁴⁷
- For customers that are VASPs, we follow the HKMA's AML/CFT Guideline.⁷¹⁰ That includes correspondent-banking-style checks on overseas VASPs.⁷¹⁰

To business heads

- Platforms can now share order books with SFC approval.⁶⁸⁷ They can also use affiliated market makers after notifying the SFC.⁷¹³ The SFC's framework says perpetual contracts should go to professional investors only.⁷¹⁴
- If we trade for clients on a platform's shared order book and give retail clients access to it, the HKMA expects us to follow the SFC's broker guidance.⁶⁵²

To the CEO

- From 2019 to 2020, Hong Kong platform licensing was opt-in and for professional investors only.^{715,716} Since June 2023, every platform in or marketing to Hong Kong has needed a licence.⁶⁷⁵

- The SFC's licensed list showed 13 platforms at 29 May 2026.³⁷

To Risk / chief risk officer (CRO)

- The Guidelines say licensed platforms should keep 98% of client virtual assets in cold storage.⁶⁹⁸ Their compensation cover should equal 50% of cold-stored and 100% of hot-stored client assets.⁶⁹⁸
- The SFC's inspections of applicants treated as licensed covered cybersecurity, client assets and KYC.⁶⁸⁴ The SFC said platforms should fix gaps at once.⁶⁸⁴

Common misunderstandings

- **Myth:** A platform treated as licensed has been vetted. **Fact:** In 2023, the SFC said it had not vetted whether these platforms were fit and proper (suitable to hold a licence).⁷¹⁷ The SFC also said they may never get a licence.⁷¹⁷
- **Myth:** The 50%/100% compensation rule applies to our custody. **Fact:** That rule is for licensed trading platforms.⁸⁴ The HKMA's May 2026 custody guidance for banks takes a different approach.⁸⁵ It expects the bank to be liable for losses caused by the bank, and to hold enough financial resources.⁸⁵

- **Myth:** A one-time password sent by text message (SMS) is enough. **Fact:** The SFC does not treat an OTP as phishing-resistant for login or device binding. ⁷¹⁸

Official documents to read first

1. **Guidelines for Virtual Asset Trading Platform Operators** — SFC, June 2023. Read paragraphs 7.1-7.8 (token admission and the retail test). Also read 7.24-7.26, 10.6, 10.11, 10.22 and 13.2-13.4. Use this as your benchmark for any platform counterparty.
<https://www.sfc.hk/-/media/EN/assets/components/codes/files-current/web/guidelines/Guidelines-for-Virtual-Asset-Trading-Platform-Operators/Guidelines-for-Virtual-Asset-Trading-Platform-Operators.pdf>
2. **Joint circular on intermediaries' VA-related activities** — SFC and HKMA, 22 December 2023. Read paragraphs 17-18 and 31. The circular explains why a bank's VA dealing must go through licensed platforms.
<https://apps.sfc.hk/edistributionWeb/api/circular/openFile?lang=EN&refNo=23EC66>
3. **Lists of virtual asset trading platforms** — SFC, live page (29 May 2026 update reviewed). Read the licensed table and the notes on the applicant list.

This page is the SFC's own record of each platform's status. <https://www.sfc.hk/en/Welcome-to-the-Fintech-Contact-Point/Virtual-assets/Virtual-asset-trading-platforms-operators/Lists-of-virtual-asset-trading-platforms>

Open questions

- The SFC calls its perpetuals framework an initial approach that may be refined.⁷¹⁹ The documents reviewed for this guide show no approvals of specific perpetual products.⁷¹⁹
- The SFC press release on the first licence is dated 16 December 2020.⁷²⁰ The SFC's licensed list gives 15 December 2020 as the earliest platform's licence date.³⁷ The documents reviewed do not explain the one-day gap.
- The SFC's VATP lists are a live page. The counts here are a snapshot from 29 May 2026.

Check yourself

Answer from memory, then check the answer key at the back of the book.

1. Which regulator licenses virtual-asset trading platforms operating in or marketing to Hong Kong?

2. What share of client virtual assets do the SFC's VATP Guidelines say a licensed platform should keep in cold storage?
3. Do the VATP Guidelines bind banks directly, or only platform operators?
4. What should a bank do before onboarding a VA trading platform as a partner?
5. Does being "treated as licensed" mean the SFC has fully vetted a platform?

Related modules

A1, B1, C1, C2, C5, C6, D1

Business angle: Banking the digital-asset industry and Virtual-asset dealing in the Business tab.

PART D

Risk and control

PART D · MODULE D1

D1 Capital and prudential treatment of cryptoassets

This module is for the bank's Head of Compliance (digital assets). After it, you can explain three things. First, how Hong Kong turned the global Basel standard on cryptoassets into binding rules on capital, liquidity and exposure limits. Second, how a cryptoasset gets sorted into a group. Third, what the bank must tell the Hong Kong Monetary Authority (HKMA).

In 60 seconds

The Basel Committee on Banking Supervision (BCBS) sets global standards for banks. It published a standard on banks' cryptoasset exposures in December 2022. It amended that standard in July 2024.⁷²¹ The HKMA consulted on the standard in February 2024, in consultation paper (CP) 24.01.⁷²² In January 2025, the HKMA sent draft rules to the banking industry associations.⁷²³ In July 2025, the government published three sets of amendment rules in the Gazette (the government's official record).⁷²⁴ These rules took effect on 1 January 2026.⁷²⁵ On the same date, the HKMA brought in a new guidance module, CRP-1 (Classification of Cryptoassets). It also revised

nine modules of its Supervisory Policy Manual (SPM), the HKMA's set of guidance modules for banks.⁷²⁶ Every cryptoasset a bank is exposed to falls into one of four groups.⁷²⁷ Group 1a is tokenised traditional assets, such as bonds recorded as digital tokens.⁷²⁷ Group 1b is stablecoins (tokens built to hold a steady value) with an effective stabilisation mechanism.⁷²⁷ Group 2a is Group 2 assets that meet hedging criteria, so limited hedging (offsetting one position with another) is recognised.⁷²⁷ Group 2b is everything else, at a 1,250% risk weight.⁶⁵ A risk weight scales how much capital a bank holds against an asset. At 1,250%, the bank in effect holds capital equal to the whole exposure. A bank must tell the HKMA before acquiring each new type of cryptoasset.⁶⁴ The asset stays in Group 2b until the HKMA agrees with the bank's assessment.⁶⁴ In June 2026, the HKMA clarified one Group 1 condition. It covers tokenised traditional assets on permissionless blockchains (open networks anyone can join). A bank can also meet that condition another way.⁵⁵³

Where things stand

As of 25 September 2026.

Instrument	Issuer	Date	Status	Applies to	Src
BCBS standard (December 2022) and amendments (July 2024)	BCBS, put into effect by the HKMA	December 2022; July 2024	Implemented in Hong Kong rules	All authorized institutions (AIs: banks and deposit-taking companies authorized by the HKMA) from 1 January 2026	728
CP 24.01 Cryptoasset Exposures	HKMA	7 February 2024	Superseded	AIs	729
Informal industry consultation ("soft consultation") on draft rule amendments	HKMA	13 January 2025	Closed (comments were due 20 February 2025; rules since published in the Gazette)	AIs, through the Hong Kong Association of Banks and The DTC Association (DTC = deposit-taking company)	730
Banking (Capital), (Disclosure) and (Exposure Limits) (Amendment) Rules 2025	Government; laid before the Legislative Council	Published in the Gazette 11 July 2025	In force (from 1 Jan 2026)	All AIs	731

Instrument	Issuer	Date	Status	Applies to	Src
SPM CRP-1 plus nine revised modules and a code of practice	HKMA	Finalised 27 November 2025. Eight revised modules and the code published in the Gazette 19 December 2025	In force (from 1 Jan 2026)	All AIs	726, 732
CRP-1 para 2.6.4 clarification	HKMA	3 June 2026	In force	All AIs	553
Guidance for registered institutions (RIs) on virtual asset financing (clean-loan treatment, meaning unsecured). RIs are banks registered with the Securities and Futures Commission (SFC) for securities business.	HKMA	27 May 2026	In force	RIs	210

Instrument	Issuer	Date	Status	Applies to	Src
Proposed Banking (Capital) Rules amendments	HKMA	30 April 2026	Consultation closed 1 Jun 2026; no final rules seen	AIs	733, 734

Key facts

- CP 24.01 proposed bringing the December 2022 Basel standard into Hong Kong rules no earlier than 1 July 2025. Comments were due by 6 May 2024.⁷³⁵
- In January 2025, the HKMA sent draft rule amendments to the industry. It asked for comments by 20 February 2025. It aimed for a 1 January 2026 start, in line with the Basel timetable.⁷²³
- The government published the three amendment rules in the Gazette on 11 July 2025. They were due to be laid before the Legislative Council on 16 July 2025. They took effect on 1 January 2026.⁷³¹
- On 27 November 2025, the HKMA finalised CRP-1. It also finalised changes to nine other modules and a code of practice. All took effect on 1 January 2026.⁷²⁶
- CRP-1 is guidance. The binding classification rules sit in Part 12 of the Banking (Capital) Rules (BCR). If the two differ, the BCR prevails.¹¹⁰
- A cryptoasset reaches Group 1 only if it meets all four classification conditions.⁷³⁶ Condition 1: the

token carries the same rights and risks as the traditional asset, or has an effective stabilisation mechanism.⁷³⁶ Condition 2: its rights are clearly defined and legally enforceable, and settlement is final.⁷³⁶ Condition 3: its network risks are sufficiently reduced and managed.⁷³⁶ Condition 4: the entities doing key functions are regulated and supervised, or follow suitable risk management standards.⁷³⁶

- Group 1a is tokenised traditional assets. Group 1b is stablecoins with an effective stabilisation mechanism. Anything else is Group 2.⁵⁰⁵
- A Group 2 asset reaches Group 2a only if it meets three hedging criteria.⁷³⁷ One is an average market capitalisation (total market value) of at least HK\$78 billion. Another is 100 or more real price observations.⁷³⁷
- Group 2b exposures take a 1,250% risk weight.⁶⁵ It also covers their credit valuation adjustment risk (the risk that a derivative loses value as the other party's credit weakens).⁷³⁸
- Before acquiring a new type of cryptoasset, a bank must notify the HKMA. The bank then treats the asset as Group 2b until the HKMA agrees with the bank's own classification.⁶⁴

- Exposures held before 1 January 2026 must sit in Group 2b until the HKMA agrees the bank's assessment.⁷³⁹
- If the HKMA disagrees with a bank's classification, the HKMA will override it.⁷⁴⁰
- Stablecoins issued under the HKMA's licensing regime can be treated as meeting the extra safeguards for permissionless blockchains.⁷⁴¹ Other stablecoins on those blockchains must be under a regime the HKMA considers comparable to the Stablecoins Ordinance.⁷⁴¹
- The June 2026 letter covers the approval condition for tokenised traditional assets on permissionless blockchains.⁵⁵³ That condition calls for approval of the tokenised instrument by a financial market regulator.⁵⁵³ A bank can also meet it where a financial market regulator supervises the tokenisation business. The letter took effect immediately.⁵⁵³
- CA-G-1 section 8.7 covers the banking book (positions a bank holds rather than trades).⁷⁴² Group 1a exposures there generally follow the rules for the underlying asset.⁷⁴² For Group 1b, the bank calculates capital separately for the reference asset and for the redeemer (the party that pays holders back).⁷⁴²

- Group 2 exposure limit: this applies to a systemically important bank. That is a global or domestic bank whose failure could harm the wider system.⁷⁴³ Such a bank faces a capital add-on (extra capital charge) if its Group 2 exposure exceeds 1% of Tier 1 capital.⁷⁴³ Tier 1 capital is a bank's core capital, such as ordinary shares and retained earnings. Above 2%, a different and heavier treatment applies.⁷⁴⁴
- LM-1 Annex 3 covers liquidity.⁷⁴⁵ High-quality liquid assets (HQLA) are assets a bank can turn into cash quickly in a crisis. The liquidity coverage ratio (LCR) checks that a bank holds enough HQLA to cover 30 days of stressed cash outflows. A category 1 institution is a bank the HKMA has designated to follow the LCR. Such an institution may count a cryptoasset as HQLA only if it passes two tests.⁷⁴⁵ It is a Group 1a token of an asset class that qualifies as HQLA, and it meets the HQLA requirements.⁷⁴⁵ The issuer of a stablecoin that holders can redeem within the LCR period must generally apply a 100% outflow.⁷⁴⁵ In other words, it assumes all such stablecoins are paid out.
- Market risk rules change in three ways.⁷⁴⁶ Any cryptoasset exposure removes the small-amount exception from market risk capital rules.⁷⁴⁶ The internal models approach (a bank's own approved

risk models) cannot be used for instruments referencing Group 2 cryptoassets.⁷⁴⁶ For Group 2a, position risk (capital for price risk on a holding) is 100% of the net position.⁷⁴⁶

- CR-G-8 values crypto exposures under new Division 5A of the Banking (Exposure Limits) Rules.⁷⁴⁷ Some exposures are not linked to a counterparty's credit or default risk. The bank leaves those out when measuring large exposures (big concentrations of risk) to that counterparty or its group.⁷⁴⁷
- CR-L-5 covers the rules on HKMA consent for major acquisitions. Under it, a token that carries the economics of equity (the returns and risks of owning shares) counts as share capital.⁷⁴⁸
- CA-G-5 says the HKMA may respond to crypto-related weaknesses in several ways. These include capital add-ons, provisions (money set aside for losses) and limits.²⁵²

What your bank must or should do

Obligations

- ☐ Classify every cryptoasset exposure under BCR Part 12 and CRP-1. Keep reassessing it on an ongoing basis.⁷⁴⁹

- ☐ Move an asset to Group 2b at once if it stops meeting its conditions or criteria. This covers any asset the HKMA agreed as Group 1a, 1b or 2a. ⁷⁵⁰
- ☐ As a registered institution (RI), treat loans secured only by virtual asset collateral as clean (unsecured) loans for capital purposes. ²¹⁰

Controls & monitoring

- ☐ Keep policies, staff and technology systems able to assess cryptoasset risk. Document the evidence behind each classification. ²⁷⁴
- ☐ For stablecoins, keep a monitoring framework that checks the stabilisation mechanism works as intended. ⁷⁵¹
- ☐ If the bank is systemically important, track its Group 2 exposure ratio. Compare it with the 1% and 2% thresholds used in disclosure. ⁷⁴⁴

Notify / consult HKMA or SFC

- ☐ Notify the HKMA before acquiring any new type of cryptoasset. ⁶⁴
- ☐ Give the HKMA classification evidence when it asks. ²⁷⁴

Counterparty due diligence

- ☐ For Group 1 assets, check each entity with a key role. ⁷⁵² These roles are redemption, transfer, storage

or settlement of the asset, and management of its reserves.⁷⁵² Confirm each entity is regulated and supervised, or meets suitable risk standards.⁷⁵² Confirm it also discloses a governance framework (its rules for oversight and decisions).⁷⁵²

Talking points

To the CCO

- The capital rules are law from 1 January 2026. CRP-1 is guidance, and the BCR wins if they differ.⁷³
- We need to tell the HKMA before we acquire any new type of cryptoasset.⁶⁴

To business heads

- A new cryptoasset sits in Group 2b until the HKMA agrees its classification.⁶⁴ That means a 1,250% risk weight.⁶⁵ With the 8% minimum total capital ratio, $1,250\% \times 8\% = 100\%$, so the bank holds capital equal to the whole exposure.⁶⁶
- Stablecoins under the HKMA licensing regime can be treated as meeting the permissionless-blockchain safeguards. The four classification conditions still apply.⁵⁵¹

To the CEO

- Hong Kong's rules started on 1 January 2026, matching the Basel timetable.⁷²⁵
- The HKMA can override our classifications.⁷⁴⁰ It can also add capital or limits if it sees weaknesses.²⁵²

To Risk / CRO

- Any crypto exposure ends our small-amount exception from the market risk capital rules.⁷⁵³
- For a category 1 institution, a stablecoin it holds is generally not HQLA. It counts as a 0% inflow under the LCR.⁷⁵⁴ The net stable funding ratio tests that long-term assets have stable funding. Under it, the stablecoin has an 85% required stable funding factor.⁷⁵⁴

Common misunderstandings

- **Myth:** The June 2026 CRP-1 letter tightened the rules. **Fact:** The letter clarified the approval condition in para 2.6.4. A bank can also meet it where a financial market regulator supervises the tokenisation business.⁵⁵³
- **Myth:** Internal models are barred only for Group 2a. **Fact:** Market risk module MR-1 bars them for all instruments referencing Group 2 cryptoassets.⁷⁵⁵

- **Myth:** The 1%/2% Group 2 limit applies to every bank. **Fact:** Only systemically important banks face the add-on.⁷⁴³ The HKMA's instructions for its regulatory return (a report banks file) have all Hong Kong-incorporated AIs report the ratio.⁷⁵⁶
- **Myth:** Legacy holdings keep their old treatment. **Fact:** Holdings from before 1 January 2026 sit in Group 2b until the HKMA agrees the assessment.⁷³⁹
- **Myth:** Central bank digital currencies are cryptoassets. **Fact:** They sit outside the standard. They are generally treated like the central bank's ordinary currency.⁷⁵⁷

Official documents to read first

1. **SPM CRP-1 Classification of Cryptoassets — HKMA**, version 1, in effect from 1 January 2026. Read paras 1.1.4, 1.4, 2.1, 2.6 and 3.1.1. It sets out how each cryptoasset is grouped.
<https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20251125-15-EN/CRP-1.pdf>
2. **SPM CRP-1: update on cryptoassets classification conditions — HKMA**, 3 June 2026. Read page 1. It adds another way to meet para 2.6.4.
<https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20260603-1-EN/20260603-1-EN.pdf>

3. Cryptoassets standard: SPM modules, code of practice, disclosure templates and returns – HKMA, 27 November 2025. Read pages 1-4. It lists every changed module and the move to the new reporting returns.

[https://brdr.hkma.gov.hk/eng/doc-](https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20251127-1-EN/20251127-1-EN.pdf)

[ldg/docId/getPdf/20251127-1-EN/20251127-1-EN.pdf](https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20251127-1-EN/20251127-1-EN.pdf)

Open questions

- The April 2026 BCR proposals closed for comment on 1 June 2026.⁷³³ One of these proposals is to remove cryptoassets from the Part 6 "cash item" definition.⁷⁵⁸ Another is a set of new rules on hedging counterparty credit risk (the risk the other side of a deal defaults).⁷⁵⁸ Those rules cover netting sets (groups of trades that can be offset) holding Group 2b cryptoasset derivatives.⁷⁵⁸ The documents reviewed for this guide hold no final rules.⁷³³
- The June 2026 letter says CRP-1's wording will reflect the clarification in due course. The documents reviewed hold no updated CRP-1 text.⁵⁵³
- The documents reviewed for this guide do not include the Gazette text of Banking (Capital) Rules Part 12. Section references come from HKMA modules and templates.

- For two sets of HKMA letters, only catalogue pages were reviewed. One is the December 2022 letter passing on the BCBS standard. The others are the July and August 2025 letters on the Gazette publication.

Check yourself

Answer from memory, then check the answer key at the back of the book.

1. Who can override the bank's own classification of a cryptoasset?
2. What risk weight applies to Group 2b cryptoasset exposures?
3. If CRP-1 guidance and the Banking (Capital) Rules (BCR) differ, which one wins?
4. What must the bank do before it acquires a new type of cryptoasset?
5. Do central bank digital currencies (CBDCs) count as cryptoassets under this standard?

Related modules

A1, C7, D2, D3, D4

PART D · MODULE D2

D2 Regulatory reporting and disclosure

For the bank's Head of Compliance (digital assets). After this module, you can name the Hong Kong Monetary Authority (HKMA) reports that now carry cryptoasset data. You can say when each change applied. You can also say which banks could use the six-month transition.

In 60 seconds

New amendment rules bring the Basel cryptoasset standard into Hong Kong law. The Basel standard is the global rule set for how banks treat cryptoassets. The new rules took effect on 1 January 2026.⁷⁵⁹

For reporting, the HKMA changed seven returns. A return is a regular data report that a bank files with the HKMA. Each return got new or revised templates (the forms) and completion instructions (the guide to filling them in).^{760,761} The HKMA names its returns with codes such as MA(BS)3. The seven returns are:

- MA(BS)1E: liquidity (whether the bank has enough cash and easy-to-sell assets).
- MA(BS)1F: compliance certificate.

- MA(BS)3: capital. It has a new Part IIIf (a form for extra crypto risk-weighted amounts). A risk-weighted amount is an exposure scaled up or down for its risk. It drives how much capital the bank holds.
- MA(BS)3A: capital for market risk and credit valuation adjustment (CVA) risk. CVA risk is the risk of loss when a trading counterparty's credit quality worsens.
- MA(BS)26: stable funding.
- MA(BS)27: leverage (capital against total exposures, without risk weights).
- MA(BS)28: large exposures (big exposures to a single counterparty).

760,761

Authorized institutions (AIs) are banks and other deposit-takers authorized by the HKMA. Some AIs had no cryptoasset exposure on 1 January 2026. The HKMA calls these 'Transition AIs'. They could keep using the old templates for four of the seven returns until 30 June 2026.⁷⁶⁰

For disclosure, Pillar 3 is the public report in which a bank publishes data on its capital and risks. A new Part XII (the crypto section) adds four items to the Pillar 3 package.⁷⁶² They are:

- Table CAEA (a written description of crypto activities and risks).
- Template CAE1 (crypto exposures and risk-weighted amounts).
- Template CAE2 (accounting classification).
- Template CAE3 (liquidity).

⁷⁶² These items apply to AIs with cryptoasset exposures. ⁷⁶² CAE1 needs extra rows for each material single holding. ⁷⁶²

The Supervisory Policy Manual (SPM) is the HKMA's book of supervisory guidance. SPM module CA-D-1 (the disclosure guideline) helps AIs understand the HKMA's approach to applying the Banking (Disclosure) Rules (BDR). ⁷⁶³

Where things stand

As of 25 September 2026.

Instrument	Issuer	Date	Status	Applies to	Src
Banking (Disclosure) (Amendment) Rules 2025	Government / Legislative Council	Gazetted 11 July 2025. In effect 1 January 2026.	In force	All AIs	⁷⁶⁴

Instrument	Issuer	Date	Status	Applies to	Src
Consultation on return templates	HKMA	13 June 2025 (closed 11 July 2025)	Closed; finalised 27 Nov 2025	AIs	765, 760
Consultation on revised completion instructions	HKMA	4 September 2025 (closed 3 October 2025)	Closed; finalised 27 Nov 2025	AIs	766, 760
Final returns package and transition for Transition AIs	HKMA	27 November 2025	In force	All AIs. Transition AIs could use old templates until 30 June 2026.	767
Standard disclosure templates, new Part XII (CAEA, CAE1-CAE3)	HKMA	27 November 2025	In force	AIs with cryptoasset exposures	768, 760
SPM CA-D-1 (version 5)	HKMA	1 January 2026	In force	All AIs	769

Chip meanings: In force means it applies now. Closed means the consultation has ended. Gazetted means published in the official Government Gazette.

Key facts

- The HKMA listed seven returns with new templates or instructions.⁷⁷⁰ The list covers MA(BS)1E, MA(BS)1F(a) and (b), MA(BS)3, 3A, 26, 27 and 28.⁷⁷⁰
- The HKMA said the final templates would not differ materially from the consultation versions. The only exceptions were wording, formatting and changes agreed with the industry.⁷⁶⁰
- A Transition AI is an AI with no cryptoasset exposure on 1 January 2026.⁷⁶⁰ It could keep filing four returns on the old templates until 30 June 2026. These are MA(BS)26, MA(BS)1E, MA(BS)3 and MA(BS)3A.⁷⁶⁰
- Even Transition AIs were expected to use some revised MA(BS)3 instructions from 1 January 2026.⁷⁷¹ These cover Part II (capital base) and paragraph 6 of Part I. They deal with other changes unrelated to crypto.⁷⁷¹
- A bank with crypto exposure could agree a temporary alternative arrangement with the HKMA if its systems were not ready.⁷⁷² So could a Transition AI that later acquired crypto exposure. The arrangement covered positions from 31 January to 30 June 2026.⁷⁷²

- The points below come from the September 2025 consultation versions of the completion instructions.⁷⁶⁰ The final versions went to AIs for download in December 2025. The HKMA said they would not differ materially.⁷⁶⁰
- MA(BS)3 Part IIIf is new.⁷⁶¹ Its instructions say every Hong Kong-incorporated AI should complete it. The form works out extra risk-weighted amounts for cryptoassets.⁷⁶¹
- The Basel standard sorts cryptoassets into groups. Group 1 assets meet four classification conditions. Group 1b is the stablecoin part of Group 1. Group 2 assets do not meet the conditions. Group 2a assets also meet certain hedging criteria. Group 2b is the rest of Group 2. Part IIIf covers four items:⁷⁷³
 - An infrastructure add-on for Group 1 exposures in the banking book (assets not held for trading). The add-on is extra capital for risks in the underlying blockchain infrastructure. The HKMA sets it by written notice.⁷⁷³
 - Redemption-related credit risk. This is the risk that whoever redeems the tokens fails to pay. It covers Group 1b exposures in the trading book (assets held for trading) and Group 2a stablecoins.⁷⁷³
 - Each Group 2b cryptoasset.⁷⁷³

- The Group 2 exposure ratio (Group 2 exposures measured against the bank's capital). All Hong Kong-incorporated AIs report it. Only global and domestic systemically important banks report its add-on. ⁷⁷³
- The consultation version of the Part IIIf instructions carries a March 2026 version stamp (03/2026). ⁷⁷⁴
- Part IIIa (basic approach) and Part IIIb (standardized approach) are credit-risk forms. Each gains a separate Division A2 for cryptoasset exposures. ^{775,776} Both also ask for the top five Group 1 cryptoassets by risk-weighted amount. ^{775,776}
- Part IIIc (a credit-risk form) covers the internal ratings-based approach (where a bank uses its own approved models for credit risk). ⁷⁷⁷ It adds a memorandum form, IRB_CRYPTO, for Group 1 exposures in the banking book. ⁷⁷⁷
- MA(BS)1E is due no later than 14 days after each month-end. ⁷⁷⁸ Category 1 institutions are AIs the HKMA designates to meet its main liquidity ratio. They report new memo items 1.7(a)-(b). One covers cryptoassets counted as high-quality liquid assets (assets easy to sell for cash in stress). The other covers tokenised claims on customers or counterparties. ⁷⁷⁸

- Tokenised deposits are bank deposits recorded as digital tokens. In MA(BS)1E, some tokenised deposits may be treated like ordinary deposits.⁷⁷⁹ This covers those that meet the criteria in SPM LM-1 (the liquidity risk module).⁷⁷⁹ But they do not get the 3% or 5% stable-deposit outflow rate. That rate is the low run-off assumed for stable deposits in a stress.⁷⁷⁹
- MA(BS)26 is quarterly and due within one month.⁷⁸⁰ Category 1 institutions add items 3(a)-(b) on tokenised claims and cryptoassets. These feed the net stable funding ratio. This ratio checks that long-term assets have stable funding.⁷⁸⁰
- MA(BS)27 includes cryptoassets in the leverage exposure measure. It values them at their financial-reporting value (the value in the bank's accounts).⁷⁸¹
- MA(BS)28 is quarterly and due within one month of quarter-end.⁷⁸² Some crypto exposures are not tied to a counterparty's credit or default risk. A bank need not include them when it reports exempted exposures.⁷⁸²
- Pillar 3: the revised disclosure package applies to any reporting period ending after 1 January 2026.⁷⁶⁰
- Table CAEA is annual. It covers crypto activities and risks.⁷⁸³ It also covers how the bank assessed each Group 1 classification condition. The bank includes

public information it used, but not confidential or proprietary information. ⁷⁸³

- Hong Kong-incorporated banks with crypto exposures publish two templates twice a year. ⁷⁸⁴
CAE1 shows exposures and risk-weighted amounts by Group. CAE2 shows accounting classification. ⁷⁸⁴
- CAE1 needs extra rows for each material stablecoin or unbacked cryptoasset. ⁷⁸⁵ A Group 2 exposure is material if two tests are met. The Group 2 ratio is at least 0.3%, and the single asset exceeds 5% of total Group 2 exposure. ⁷⁸⁵
- The CAE1 narrative must state the market value of cryptoassets the bank holds in custody for clients, split by type. ⁷⁸⁶
- CAE3 (liquidity) is published twice a year in a fixed format. ^{787,788} It applies to category 1 institutions with crypto exposures, whether incorporated locally or overseas. ^{787,788}

What your bank must or should do

Obligations

- ☐ File the revised crypto items in MA(BS)1E, 3, 3A, 26, 27 and 28 on the stated schedules. ^{760,789,790,791}
- ☐ Complete MA(BS)3 Part II if the bank is incorporated in Hong Kong. Include the Group 2

exposure ratio.⁷⁹²

- ☐ Publish Table CAEA and Templates CAE1-CAE3 as they apply to the bank.^{793,762}

Controls & monitoring

- ☐ Use daily averages over the period for certain CAE1 columns.⁷⁹⁴ These are the Group 2a long and short columns, and the Group 2b total, long and short columns.⁷⁹⁴
- ☐ Run the 0.3% / 5% materiality test at each period end. The test decides which Group 2 assets need their own CAE1 row.⁷⁸⁵
- ☐ Use the HKMA's explanatory notes, alongside the BDR, when filling in each standard template and table.⁷⁶³

Notify / consult HKMA or SFC

- ☐ Agree a temporary arrangement with the HKMA if your systems are not ready for the revised returns.⁷⁷²

Counterparty due diligence

- ☐ Be ready to describe, for each Group 1 asset, how the bank assessed the four classification conditions. Include the public information used. Table CAEA asks for this.⁷⁹⁵

Talking points

To the CCO

- Crypto reporting started on 1 January 2026. The transition window for banks with no crypto ended on 30 June 2026. ⁷⁶⁰
- CA-D-1 is general guidance on the HKMA's approach. If it conflicts with the Disclosure Rules, the Rules prevail. ⁷⁶³

To business heads

- A Transition AI that picked up crypto exposure after 1 January 2026 was grouped with exposed banks. ⁷⁶⁷
If its systems were not ready, it could agree a temporary arrangement with the HKMA. ⁷⁶⁷
- The public CAE1 narrative shows the total market value of crypto we hold in custody for clients, split by type. ⁷⁸⁶

To the CEO

- If we have crypto exposures, our public Pillar 3 report has a crypto section. It has a yearly narrative plus numbers twice a year. ⁷⁹³
- Seven HKMA returns changed at once for the cryptoasset standard. ⁷⁶⁰

To Risk / CRO

- Every Hong Kong-incorporated AI reports its Group 2 exposure ratio in Part IIIf. Only global and domestic systemically important banks report the add-on. ⁷⁵⁶
- Tokenised deposits do not get stable-deposit outflow rates in the liquidity return. ⁷⁷⁹

Common misunderstandings

- **Myth:** "No crypto, no reporting change." **Fact:** Transition AIs were still expected to apply some revised MA(BS)3 instructions. ⁷⁷¹ These cover non-crypto items and applied from 1 January 2026. ⁷⁷¹
- **Myth:** "The transition covered all seven returns." **Fact:** It covered only four: MA(BS)26, 1E, 3 and 3A. ⁷⁶⁰
- **Myth:** "Part IIIf redemption risk is a banking-book item." **Fact:** It sits in the trading book. ⁷⁹⁶ The instructions place Group 1b redemption-related credit risk on trading-book exposures. ⁷⁹⁶ The legal basis is section 376 of the Banking (Capital) Rules. ⁷⁹⁷
- **Myth:** "Banks incorporated overseas disclose nothing." **Fact:** Two items apply to them too. ⁷⁹⁸ CAEA covers their crypto activities that create liquidity risk. CAE3 applies if they are category 1. ⁷⁹⁸

- **Myth:** "Every stablecoin needs its own row." **Fact:** Group 2 rows follow the 0.3% / 5% test.⁷⁹⁹ Group 1b follows the general materiality test in the Disclosure Rules.⁷⁹⁹

Official documents to read first

1. **Cryptoassets standard: SPM modules, code of practice, disclosure templates and tables, and banking returns** — HKMA, 27 Nov 2025. Read pp.3-4. It gives the returns list and the transition rules.
<https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20251127-1-EN/20251127-1-EN.pdf>
2. **Standard Disclosure Templates and Tables (Annex 4), Part XII** — HKMA, 27 Nov 2025. Read pp.210-219. It holds the crypto Pillar 3 templates and their notes.
<https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20251027-8-EN/20251027-8-EN.pdf>
3. **Completion Instructions, MA(BS)3 Part III** — HKMA, consultation version stamped March 2026. Read paras 1-12. It explains the new crypto capital add-on form. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20250903-22-EN/20250903-22-EN.pdf>

Open questions

- The documents reviewed hold the consultation versions of the completion instructions. They do not hold the December 2025 finals. The HKMA said there would be no material changes. ⁷⁶⁰
- The documents reviewed for this guide do not include the gazetted text of the BDR amendment. BDR section numbers (such as 16ZQH-16ZQK) come from the templates and CA-D-1. ^{800,769}
- No HKMA statement in the documents reviewed for this guide says whether any bank used the temporary alternative reporting arrangement.

Check yourself

Answer from memory, then check the answer key at the back of the book.

1. Which regulator changed the seven returns that now carry cryptoasset data?
2. What is a Transition AI, and until when could it use old return templates?
3. If SPM CA-D-1 conflicts with the Banking (Disclosure) Rules (BDR), which one wins?
4. Which part of the capital return MA(BS)3 do the instructions say every Hong Kong-incorporated AI should complete?

5. Did Transition AIs face any reporting change on 1 January 2026?

Related modules

A1, D1, D3, D4

PART D · MODULE D3

D3 AML/CFT for digital assets at a bank

AML (anti-money laundering) and CFT (countering the financing of terrorism) rules exist to stop criminals using a bank to move or hide money. This module is for the Head of Compliance (digital assets) at a Hong Kong bank. After it, you can name the AML and CFT texts that actually bind the bank for virtual asset (VA) business. A virtual asset is a digital token such as a cryptocurrency. You can also point to where the rules written for virtual assets (VAs) sit. And you can tell which Securities and Futures Commission (SFC) material is only background. The same goes for Financial Action Task Force (FATF) material. Some of this material only sets expectations for the bank's counterparties. The FATF is the global standard-setter for anti-money laundering.

In 60 seconds

The bank's AML rulebook for digital assets is the Hong Kong Monetary Authority (HKMA) AML/CFT Guideline for Authorized Institutions (AIs).^{27,801} Authorized institutions are the banks and deposit-takers the HKMA supervises. The HKMA revised the Guideline in

May 2023, and it took effect on 1 June 2023.^{27,801} The bank follows this HKMA Guideline, not the SFC's guideline.^{27,801}

The Guideline says little about VAs. It covers four points:⁸⁰²

- A HK\$8,000 trigger for customer due diligence (CDD) on one-off VA transfers. CDD means checking who a customer is and what they do. The trigger applies to people with no business relationship with the bank.⁸⁰²
- A footnote pointing to Schedule 2, section 13A of the Anti-Money Laundering and Counter-Terrorist Financing Ordinance (AMLO).⁸⁰²
- Record keeping for five years.⁸⁰²
- Correspondent-style checks on virtual asset service providers (VASPs) located outside Hong Kong. A VASP (such as a crypto exchange) offers VA services to others. Correspondent-style checks are the due diligence a bank does before serving another financial firm.⁸⁰²

Other HKMA and SFC guidance calls the section 13A requirements the travel rule.^{803,28} The travel rule means sender and recipient details go along with each VA transfer.

The HKMA's January 2022 circular sets further expectations.⁸⁰⁴ It asks banks to:

- watch customers' flows to and from VA platforms;⁸⁰⁴
- assess the risk of each VASP customer;⁸⁰⁴
- talk to the HKMA before launching VA products or services.⁸⁰⁴

The SFC's AML guideline applies to licensed corporations (LCs) and SFC-licensed VASPs.⁸⁰⁵ LCs are firms licensed by the SFC. Chapter 12 of that guideline covers VAs.⁸⁰⁵ The bank's SFC-registered business is a registered institution (RI). An RI is a bank registered with the SFC to do securities business. The RI must take the SFC guideline into account.⁸⁰⁶ The RI must comply with Chapter 12 when it handles client VA deposits or withdrawals.³³¹

Recent SFC circulars describe current money laundering patterns.^{807,808} One is scam money layered through brokers and platforms.⁸⁰⁷ Layering means moving money through many transactions to hide where it came from. Another is misuse of simplified Electronic Direct Debit Authorisation (eDDA) deposits.⁸⁰⁸ eDDA lets a customer approve direct debits from a bank account online. The SFC also passed on a March 2026 FATF report on stablecoins and unhosted wallets.⁸⁰⁹ A stablecoin is a token designed to keep a steady

value, for example against a currency. An unhosted wallet is a crypto wallet the owner controls directly, not through a service provider.

Where things stand

As of 25 September 2026. Registered institutions (RIs) are banks registered with the SFC. The Legislative Council (LegCo) is Hong Kong's law-making body.

Instrument	Issuer	Date	Status	Applies to	Src
AML/CFT Guideline (For AIs), revised May 2023	HKMA	25 May 2023 (effective 1 Jun 2023)	In force	All AIs, including RIs	810, 801
AMLO (Amendment) Bill 2022, creating VASP licensing	LegCo, passed on by the HKMA	Passed 7 Dec 2022. Banking-sector changes in force from 1 Jun 2023	In force	VASPs. AIs through CDD changes	811, 812
Circular on managing money laundering and terrorist financing risks from VAs and VASPs	HKMA	16 Dec 2019	In force (shown as current on the HKMA site; updated by the 2022 guidance)	AIs	813, 814

Instrument	Issuer	Date	Status	Applies to	Src
Circular on how AIs deal with VAs and VASPs	HKMA	28 Jan 2022	In force	AIs	804
SB-1 (supervision of RIs), AML cross-reference	HKMA	12 Sep 2025	In force	RIs	815
AML/CFT Guideline for LCs and SFC-licensed VASPs (Chapter 12)	SFC	1 Jun 2023	In force	LCs and SFC-licensed VASPs. RIs take it into account	805, 806
Joint circular on intermediaries' VA activities, para 20(b)	SFC + HKMA	22 Dec 2023	In force	LCs and RIs	331
Supplemental joint circular, para 7(c)	SFC + HKMA	30 Sep 2025	In force	LCs and RIs	816
AML/CFT Guideline for Licensed Stablecoin Issuers	HKMA	Aug 2025	In force	Licensed stablecoin issuers	817
Circular on layering activities (25EC62)	SFC	17 Nov 2025	In force	LCs, SFC-licensed VASPs, associated entities	818

Instrument	Issuer	Date	Status	Applies to	Src
Circular passing on FATF news, including a report on stablecoins and unhosted wallets (26EC13)	SFC	13 Mar 2026	In force	LCs, SFC-licensed VASPs, associated entities	819
Circular on simplified eDDA deposits (26EC51)	SFC	20 Aug 2026	In force	LCs, SFC-licensed VASPs, associated entities	820

Key facts

- The HKMA Guideline is the AML rulebook for every AI, including AIs registered with the SFC.⁸²¹ The Guideline treats both "must" and "should" as signalling a mandatory requirement.⁸²¹
- One-off VA transfers: an AI should complete CDD before carrying out an occasional VA transfer worth HK\$8,000 or more.⁸²² It should also watch for linked smaller transfers that together reach that amount, and carry out CDD if they do.⁸²²
- For VA transfers, the Guideline points readers to AMLO Schedule 2, section 13A (footnote 15).⁸²³ Chapter 10 of the Guideline, on wire transfers, does not mention VAs.⁸²³

- The HKMA has stated that the AMLO does not stop AIs making VA transfers for customers if they meet the section 13A requirements.⁸²⁴
- The bank should keep records of occasional VA transfers of HK\$8,000 or more for at least five years after the transaction.⁸²⁵ For relationship records, the period is the life of the relationship plus at least five years after it ends.⁸²⁵
- This point covers a bank that gives correspondent-like services to financial institutions (FIs) or VASPs located outside Hong Kong.⁸²⁶ That bank should apply the cross-border correspondent measures in paras 11.6 and 11.13 (where they apply).⁸²⁶ FIs as defined in the AMLO are left out of this rule.⁸²⁶
- For an overseas VASP customer, the bank should find out whether the account is for the VASP's own use or for serving its clients.⁸²⁷ The bank could consider encouraging or requiring separate accounts for the two.⁸²⁷
- RIs are required to take the SFC's AML Guideline into account, including Chapter 12 on VAs.^{828,815} The same applies to AIs that are associated entities of SFC licensees. An associated entity is a company linked to an SFC licensee that holds client assets for it.^{828,815}

- The HKMA expects AIs to watch for customers who often send money to or receive money from VA platforms.⁸²⁹ AIs should understand those flows and, where there are grounds, file suspicious transaction reports (STRs).⁸²⁹
- For VASP customers, the bank's risk assessments should tell individual VASPs apart.⁸³⁰ Depending on the relationship, extra CDD may be needed.⁸³⁰
Examples:⁸³⁰
 - understand the VASP's business model;
 - check its licensing, and whether the overseas rules are comparable;
 - assess the VASP's own AML controls.
- An AI planning VA activity should discuss it with the HKMA before launch.⁸³¹ It should also get the HKMA's feedback on its risk controls before launch.⁸³¹
- Intermediaries are LCs and RIs. Those that let clients deposit or withdraw VAs should comply with SFC Chapter 12 for those movements.^{331,816} The same applies when clients use VAs to subscribe for or redeem investment products.^{331,816}
- SFC Chapter 12 requires the ordering firm to get, record and pass on sender (originator) and recipient details for VA transfers.⁸³² The ordering firm is the

one that sends the transfer for its customer. The full set of details applies at HK\$8,000 or more, and a shorter set below that.⁸³² For unhosted wallets, the firm should collect similar details from its own customer.⁸³²

- Licensed stablecoin issuers that send transfers must collect full sender and recipient details for transfers of HK\$8,000 or more. Fewer details apply below that.⁸³³ The HKMA expects every holder's identity to be checked, unless an issuer shows the HKMA its controls work.⁸³³
- The SFC, citing police intelligence, reports scam money being layered through licensed firms.⁸³⁴ Some of it was turned into VAs and withdrawn to unhosted wallets.⁸³⁴
- A Government reply to LegCo on 21 Feb 2024 gave the number of VA-related criminal cases:⁸³⁵
 - 2021: 1,397 cases, with HK\$824 million involved;
 - 2022: 2,336 cases, with HK\$1,704 million involved;
 - 2023: 3,415 cases, with HK\$4,398 million involved.
- An HKMA speaker said Hong Kong recorded over 44,000 deception cases in 2024. That was a rise of close to 12% on the year before.⁸³⁶

What your bank must or should do

Obligations

- Complete CDD before any occasional VA transfer of HK\$8,000 or more. Watch for linked transfers. ⁸³⁷
- Meet AMLO Schedule 2, section 13A for VA transfers the bank carries out. ^{838,824}
- Assess money laundering and terrorist financing risk before launching any VA-related product, service or new technology. Put controls in place to reduce that risk. ^{839,840}
- Keep VA transfer and relationship records for the periods in para 8.4. ⁸²⁵

Controls & monitoring

- Monitor customers' flows to and from VA platforms, and look into what they are for. ⁸²⁹
- Write down the settings and thresholds that trigger transaction-monitoring alerts. Review them regularly and have them checked independently. ⁸⁴¹
- In the RI business, apply SFC Chapter 12 when handling client VA deposits and withdrawals. ³³¹

Notify / consult HKMA or SFC

- Discuss any planned VA activity with the HKMA before launch. ⁸³¹

- For the RI: tell the SFC and HKMA before it starts VA activities or changes them.⁷² This covers dealing, advice and asset management, and changes to the type of clients served.⁷²
- File STRs with the Joint Financial Intelligence Unit (JFIU) where the bank finds grounds for suspicion. The JFIU is the unit that receives these reports.⁸⁴²

Counterparty due diligence

- For overseas VASPs that get correspondent-like services, do the following:⁸⁴³
 - understand the business;
 - check its reputation and how it is supervised;
 - assess its AML controls;
 - get senior management approval.
- Confirm with each VASP customer that its operations do not break the laws that apply in Hong Kong or elsewhere.⁸³⁰
- Note that the SFC expects licensed firms to register the client bank accounts used for deposits and withdrawals.⁸⁴⁴ It also expects them to whitelist client wallet addresses, meaning they keep a list of approved addresses.⁸⁴⁴

Talking points

To the CCO

- Our main AML text for VAs is the HKMA Guideline for AIs.⁸⁴⁵ Our RI business must take SFC Chapter 12 into account, and comply with it for client VA deposits or withdrawals.^{845,331}
- For our own VA transfers, the Guideline points to AMLO Schedule 2, section 13A, not the wire-transfer chapter.⁸³⁸

To business heads

- Any VA product needs a written money laundering and terrorist financing risk assessment.⁸⁴⁶ It also needs a conversation with the HKMA before launch.⁵⁰
- If we serve an overseas VASP like a correspondent bank, we need correspondent-style checks and senior management approval.⁸⁴³

To the CEO

- The HKMA has said the AMLO does not prohibit AIs from making VA transfers for customers if they meet the section 13A requirements.⁸²⁴
- The Government told LegCo that money involved in VA-related crime reached HK\$4,398 million in 2023. That was up from HK\$824 million in 2021.⁸³⁵

To Risk / CRO

- The SFC's red flags for licensed firms include deposits and withdrawals with little or no trading.⁸⁴⁷ Another is a new eDDA setup followed by whitelisting a new wallet address.⁸⁴⁸
- An SFC circular notes that the FATF published a report on stablecoin and unhosted wallet risks on 3 March 2026.⁸⁴⁹

Common misunderstandings

- **Myth:** SFC Chapter 12 binds the bank. **Fact:** It applies to LCs and SFC-licensed VASPs.⁸⁰⁵ The HKMA said AIs, including RIs, should keep complying with its own Guideline. RIs take the SFC text into account.⁸⁵⁰
- **Myth:** Chapter 10 of the HKMA Guideline is our crypto travel rule. **Fact:** Chapter 10 covers wire transfers. The link to VA transfers is footnote 15, which points to section 13A.⁸⁵¹
- **Myth:** All VASP customers need correspondent banking measures. **Fact:** Para 11.23 targets VASPs located outside Hong Kong.⁸⁵² For other VASP customers, the HKMA expects a risk-based assessment, with extra CDD depending on the relationship.⁸³⁰

- **Myth:** VASPs are automatically high-risk. **Fact:** The HKMA asks banks to assess each VASP's risks separately. There is no single approach.⁸³⁰
- **Myth:** The 2026 custody guidance removed AML duties. **Fact:** The 2024 annex had its own AML paragraph, and the 2026 text does not.^{463,853} But the AML Guideline still applies to all AIs.²⁷

Official documents to read first

1. **Guideline on AML/CFT (For Authorized Institutions), revised May 2023** — HKMA, 25 May 2023. Read footnote 1 (printed p.1) and paras 2.10–2.11. Then read paras 4.2.1–4.2.5 with footnotes 14–15. Then read paras 8.4, 11.6 and 11.23–11.25. Why: this is the text that binds the bank.
<https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20230525-4-EN/AML-2.pdf>
2. **Regulatory approaches to AIs' interface with VAs and VASPs** — HKMA, 28 Jan 2022. Read pp.3–5. Why: it sets out what the HKMA expects on VA flows, VASP customers and talks before launch.
<https://brdr.hkma.gov.hk/eng/doc-ldg/docId/20220128-1-EN>
3. **AML/CFT Guideline for LCs and SFC-licensed VASPs, Chapter 12** — SFC, 1 Jun 2023. Read 12.1, 12.11, 12.13–12.14. Why: it shows what the RI

business must take into account, and what counterparties must do.

https://www.sfc.hk/-/media/EN/assets/components/codes/files-current/web/guidelines/guideline-on-anti-money-laundering-and-counter-financing-of-terrorism-for-licensed-corporations/AML-Guideline-for-LCs-and-SFC-licensed-VASPs_Eng_1-Jun-2023.pdf

Open questions

- The 2023 consultation conclusions cite an HKMA circular of 27 April 2023.⁸²⁴ That circular is not in the documents reviewed for this guide, so its content is unverified here.
- The text of AMLO Schedule 2, section 13A is not in the documents reviewed. So this guide does not restate the data fields it sets for banks.
- In May 2025, the HKMA said it was writing an extra AML/CFT guideline for digital asset activities.⁸⁵⁴ It was to cover AIs and stablecoin licensees. The HKMA said it would consult later in 2025.⁸⁵⁴ No consultation or final version appears in the documents reviewed.
- The HKMA's document page still lists the 16 Dec 2019 circular as current.⁸¹³ The AML guidance in the 28 Jan 2022 circular follows it, updated for the FATF guidance of October 2021.⁸¹⁴

- The documents reviewed contain no official VA crime statistics after 2023. The FATF report on stablecoins and unhosted wallets is also not among them.
- The SFC eDDA and layering circulars go to LCs, SFC-licensed VASPs and associated entities. The documents reviewed contain no matching HKMA circular for banks as payer banks. A payer bank is the bank that holds the customer's account being debited.

Check yourself

Answer from memory, then check the answer key at the back of the book.

1. Which AML/CFT guideline actually binds the bank on virtual asset (VA) business?
2. At what value should the bank complete customer due diligence (CDD) before a one-off VA transfer?
3. Does the HKMA Guideline's use of "should" mean the requirement is optional?
4. What should the bank do with the HKMA before launching any VA-related product or service?
5. Does SFC AML Guideline Chapter 12 bind the bank directly?

Related modules

B-series (HKMA supervision of VA activity), C-series (RI conduct and custody), D4, D5, E1, E3.

PART D · MODULE D4

D4 Cyber, fraud and technology risk

This module is for the Head of Compliance (digital assets) at a Hong Kong bank. After it, you can:

- Name the technology-risk expectations the Hong Kong Monetary Authority (HKMA) sets for the bank.
- Tell them apart from the rules the Securities and Futures Commission (SFC) sets for the bank's platform and broker counterparties.
- Name the dated SFC deadlines.
- Describe the scam patterns that regulators have flagged.

In 60 seconds

For a bank, the technology-risk texts on digital assets come from the HKMA.^{855,435} The first is an April 2024 list of risk points for authorized institutions (AIs). AIs are banks and other deposit-takers that the HKMA authorizes.⁸⁵⁵ It covers AIs that use distributed ledger technology (DLT), the shared record-keeping technology behind blockchains.⁸⁵⁵ The second is the HKMA custody standards. In May 2026 the HKMA added detailed controls for wallets and for managing the secret keys that control digital assets.⁴³⁵

The SFC has a parallel, more detailed set of rules. It covers licensed virtual asset trading platform (VATP) operators and internet brokers. Four SFC circulars stand out:

- An August 2025 custody circular, prompted by incidents at overseas platforms.⁴⁵³
- A January 2025 circular on what SFC inspections found.⁶⁸⁴
- A June 2026 circular on cyberattacks that use artificial intelligence.⁸⁵⁶
- A July 2026 circular on client login. It expects firms to stop relying on one-time passwords (OTPs) when clients log in or bind (register) a device.⁷⁰⁵ Firms are to move to phishing-resistant methods by 8 July 2027.⁷⁰⁵ Phishing means fake messages or websites that trick people into giving away login details. Phishing-resistant methods are logins that a fake website is unable to capture and reuse.

These SFC circulars are addressed to SFC-licensed firms, not to the bank.⁸⁵⁷ But they show what the bank's VATP and broker counterparties are expected to have.⁸⁵⁷ Also, many controls in the HKMA's 2026 custody update use the same wording as the SFC's 2025 custody circular.^{858,859}

On fraud, the HKMA has warned the public about three things:

- Crypto firms that call themselves 'banks'. ⁸⁶⁰
- Tokens falsely linked to licensed stablecoin issuers. ⁸⁶¹
- Entities that falsely claim to be part of its e-HKD (digital Hong Kong dollar) Pilot Programme. ⁸⁶²

Where things stand

As of 25 Sep 2026.

Instrument	Issuer	Date	Status	Applies to	Src
Risk management considerations related to the use of DLT	HKMA	16 Apr 2024	In force	AIs	855
Updated custody expected standards (key management, wallet controls)	HKMA	27 May 2026	In force	AIs and subsidiaries of locally incorporated AIs	863
Inspection findings on platforms treated as licensed while applying (25EC3)	SFC	16 Jan 2025	In force	VATP operators	684

Instrument	Issuer	Date	Status	Applies to	Src
Cybersecurity webinar materials (25EC11)	SFC	20 Feb 2025	Superseded	Licensed corporations (LCs), licensed virtual asset service providers (VASPs), associated entities	864
Custody of virtual assets (25EC44)	SFC	15 Aug 2025	In force	VATP operators	685
Cyberattacks enabled by artificial intelligence (26EC32)	SFC	2 Jun 2026	In force	LCs, VASPs, associated entities	856
Phishing-resistant authentication and surveillance (26EC35)	SFC	9 Jul 2026	Issued, effective 8 Jul 2027 (authentication deadline; other sections immediate or as soon as practicable)	Internet brokers, SFC-licensed VASPs	865
Alert: crypto firms misusing 'bank'	HKMA	15 Nov 2024 (updating 15 Sep 2023 alert)	In force	Public	860, 866
Alert: tokens using licensed issuers' names	HKMA	28 Apr 2026	In force	Public	861

Note: the SFC's own record lists 25EC11 as historical webinar material. 'Superseded' is the closest status chip. HKMA alerts are one-off public notices, recorded as historical. 'In force' is shown only because it is the closest chip.

Key facts

- The HKMA says an AI's board and senior management carry full responsibility for using DLT and for its risks.⁸⁶⁷ The HKMA also says the AI should update its policies on technology risk, business continuity and outsourcing for DLT as needed.⁸⁶⁷
- The HKMA expects banks to understand the types of DLT network and pick one that suits the application's risks.⁸⁶⁸ Anyone can join a permissionless network. The HKMA sees such networks as likely unsuitable for highly critical or sensitive functions.⁸⁶⁸ The exception is where adequate compensating controls (extra safeguards that offset the risk) exist.⁸⁶⁸
- A bank acting as custodian (holding assets for clients) would generally be expected to have stricter procedures for private keys.⁸⁶⁹ A private key is the secret code that controls a digital asset. The procedures cover creating, storing and backing up

keys securely.⁸⁶⁹ Examples include limited access, cold storage (keys kept offline) and offsite backups.

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- The HKMA's May 2026 custody update includes three controls:⁸⁷⁰
 - System-based whitelists (lists of pre-approved addresses) for transfers out of cold wallets. A cold wallet is one whose keys are kept offline.
 - No smart contracts in cold wallets on public blockchains. A smart contract is code on a blockchain that runs by itself.
 - Measures to prevent 'blind signing', which means approving a transaction without seeing its details.
- Keys and seeds should be created and stored in tamper-resistant devices, such as hardware security modules (HSMs).⁸⁷¹ A seed is a master secret from which keys can be rebuilt. HSMs are sealed devices built to protect keys. Keys and seeds should also be created, stored and backed up in Hong Kong.⁸⁷¹
- Where the assets in custody are virtual assets (VAs), a bank custodian should hold 98% of client VAs in cold storage.⁸⁷²
- Wallet software code must be managed with strictly enforced segregation of duties, so no single person controls the whole process.⁸⁷³ Administrator access

should follow least privilege, meaning staff get only the access their job needs.⁸⁷³ The segregation line is the annex's only 'must'.⁸⁷³

- Custody security monitoring should run 24/7, including holidays.⁴⁸⁴ It should also cover outside dependencies, such as vendors, blockchain protocols and encryption algorithms.⁴⁸⁴
- The SFC's August 2025 custody circular took effect immediately for VATP operators.⁸⁷⁴ The SFC says overseas incidents showed potential critical weaknesses, whatever custody solution was used.⁸⁷⁴ Examples of such solutions are HSMs, multi-signature wallets and multi-party computation (MPC). A multi-signature wallet needs several approvers to sign a transfer. MPC splits a key into shares held by different parties or devices.
- The SFC inspected platforms that were treated as licensed while their applications were pending.⁸⁷⁵ It found four problems:⁸⁷⁵
 - Keys for one hot wallet (a wallet connected to the internet) were kept partly outside Hong Kong.
 - One cold wallet was built as a multi-signature smart contract.
 - Some encryption algorithms were outdated.
 - Hot-wallet calculations under the 98/2 rule had errors. The rule keeps 98% of client assets in cold

storage and at most 2% in hot wallets.

- The SFC's June 2026 circular reminds firms that senior managers bear ultimate responsibility for cybersecurity risk.⁸⁷⁶ These managers include the Manager-in-Charge of information technology.⁸⁷⁶ The circular asks firms to review five areas:⁸⁷⁶
 - patching (installing security fixes);
 - access controls;
 - detection of attacks;
 - supply chain;
 - incident response.
- The Hong Kong Computer Emergency Response Team Coordination Centre (HKCERT) recorded 15,877 cybersecurity incidents in 2025.⁸⁷⁷ That was up from 12,536 in 2024, as cited by the SFC.⁸⁷⁷
- The SFC does not consider OTPs sent by text message (SMS) or email to be phishing-resistant.⁸⁷⁸ Internet brokers and VASPs are expected to adopt robust login methods no later than 8 July 2027.⁸⁷⁸ Examples include passkeys and bound devices.⁸⁷⁸ A passkey is a password-free login stored on the client's device. A bound device is a phone or computer linked to the client's account. Large internet brokers are expected to act immediately.⁸⁷⁸

- This point is about large-scale unauthorised transactions through client accounts after hacking incidents.⁸⁷⁹ If a firm lacks adequate measures to prevent, detect and halt them, the SFC will hold it accountable for clients' losses.⁸⁷⁹
- In February 2025 the SFC only strongly urged licensed corporations to drop OTPs for login and device binding.⁸⁸⁰ The July 2026 circular goes further.⁸⁸⁰
- Under the Banking Ordinance, only AIs may take deposits.⁸⁸¹ A business that is not a bank commits an offence if it uses the word 'bank' in its business name.⁸⁸¹ The exception is where the Monetary Authority has given written consent (section 97).⁸⁸¹
- In April 2026 the HKMA warned about tokens with the tickers (trading symbols) 'HKDAP' and 'HSBC'.⁸⁸² These tokens were not issued by, or linked to, licensed stablecoin issuers.⁸⁸² Both licensed issuers had confirmed they had not issued any regulated stablecoins.⁸⁸² On 16 September 2026 a Government spokesman said the first regulated stablecoin in Hong Kong had launched in August 2026.⁵⁰³ The official sources reviewed do not name the issuer.
- An HKMA presentation of 25 September 2026 gives the sector's first Quantum Preparedness Index score as 2.3 out of 10.¹⁷¹ The index tracks how ready the

sector is for risks from quantum computing. The objective is full readiness across the sector by 2030.

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What your bank must or should do

Obligations

- Keep the board and senior management in charge of DLT risk.⁸⁶⁷ Update technology-risk, continuity and outsourcing policies.⁸⁶⁷
- For custody, run a full risk assessment before launch.²⁶⁹ Make sure the board and senior management oversee the activity before and during it.²⁶⁹
- For client VAs, meet the key-management controls in para 11 of the custody annex:⁸⁸³
 - use HSMs;
 - keep keys in Hong Kong;
 - keep smart contracts out of cold wallets on public blockchains;
 - prevent blind signing;
 - hold 98% in cold storage.

Controls & monitoring

- Use system controls and whitelists to stop unauthorised transfers out of cold wallets.⁴⁶⁰ Check

each transaction through a systematic process. ⁴⁶⁰

- Run security monitoring 24/7. ⁴⁶² Test system changes thoroughly before they go live. ⁴⁶²
- Add DLT-specific scenarios to continuity plans for critical functions. ⁸⁸⁴ Examples are cyberattacks, loss or theft of keys, and forks (a split of a blockchain into two versions). ⁸⁸⁴
- An HKMA speech says banks should secure their own cyber basics and those of critical service providers. ⁸⁸⁵ It also says the risks of frontier artificial intelligence (the most advanced models) should not be underestimated. ⁸⁸⁵

Notify / consult HKMA or SFC

- Discuss virtual asset activity with the HKMA before launch, and get its feedback on risk controls. ⁵⁰
- SFC-licensed firms in the bank's group should promptly report material cyber incidents to the SFC. ⁸⁸⁶
- Internet brokers or VASPs should tell their SFC case officer at once if they expect trouble meeting the July 2027 login deadline. ⁸⁸⁷

Counterparty due diligence

- Before relying on a DLT network, check that its node operators are trustworthy, reliable and diverse. ⁸⁸⁸

Node operators are the parties that run the computers that keep the network going.

- For custody delegates (firms the bank hands custody to), check for: ⁴⁸⁷
 - independent code reviews;
 - an understanding of how software releases are made;
 - regular evaluation of security controls and disaster-recovery testing.
- A bank may delegate custody of VAs to an SFC-licensed VATP operator after due diligence. ⁸⁸⁹ The SFC's own custody standards for VATP operators show what such a platform is expected to have. ⁸⁹⁰ They include: ⁸⁹⁰
 - HSMs;
 - air-gapped signing devices (devices never connected to a network);
 - a security operations centre (a team that watches for attacks);
 - 24/7 monitoring.

Talking points

To the chief compliance officer (CCO)

- The SFC circular on OTPs is addressed to internet brokers and VASPs, not the bank. ⁸⁵⁷ Our own

custody baseline is the HKMA custody annex.⁸⁹¹

- Several wallet controls in the HKMA's 2026 custody annex use the same wording as the SFC's 2025 custody circular.^{435,892}

To business heads

- Custody keys are to be kept in Hong Kong, in tamper-resistant devices such as HSMs.⁸⁹³ Smart contracts are ruled out for cold wallets on public blockchains.⁸⁹³
- Counterparty platforms and internet brokers are expected to move client login and device binding off OTPs by 8 July 2027.⁷⁰⁵

To the CEO

- The HKMA places responsibility for DLT adoption and its risks with the board and senior management.⁸⁶⁷
- Phishing made up 57% of security incidents reported to HKCERT in 2025, as cited by the SFC.⁸⁹⁴

To Risk / chief risk officer (CRO)

- The HKMA's first quantum readiness score for the sector is 2.3 out of 10.¹⁷¹ The objective is full readiness by 2030.¹⁷¹
- The HKMA has warned about crypto firms presenting themselves as 'banks'.⁸⁹⁵ It has also

warned about tokens falsely linked to licensed stablecoin issuers. ⁸⁶¹

Common misunderstandings

- **Myth:** "MPC or multi-signature makes custody safe." **Fact:** The SFC says overseas incidents pointed to potential critical weaknesses, whatever the custody solution. ⁴⁵³
- **Myth:** "The 50%/100% compensation cover applies to bank custodians." **Fact:** That cover is an SFC requirement for VATP operators. ⁸⁹⁶ It covers potential loss of 50% of client VAs in cold wallets and 100% in hot wallets (VATP Guidelines para 10.22). ⁸⁹⁶ The 2026 HKMA annex takes a different approach. It makes the bank liable for losses from incidents attributable to the bank. ⁸⁵ It also requires adequate financial resources, which may include insurance. ⁸⁵
- **Myth:** "OTPs are fine for client login." **Fact:** Not for SFC-licensed internet brokers and VASPs. They are expected to stop using OTPs for login and device binding by 8 July 2027. ⁷⁰⁵
- **Myth:** "The HKMA DLT considerations are hard rules." **Fact:** The HKMA calls them non-binding and not a complete list. It discusses detailed expectations with each bank one to one. ²⁵⁵

- **Myth:** "A licensed issuer's name on a token means it is regulated." **Fact:** The HKMA warned these tokens were not issued by, or linked to, the licensed issuers.

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Official documents to read first

1. **Updated Guidance on Expected Standards on Provision of Custodial Services for Digital Assets by AIs** — HKMA, 27 May 2026. Read paras 10–11, 14–15, 23–25. Why: it sets the bank's own baseline for key and wallet controls.
<https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20260527-7-EN/20260527-7-EN.pdf>
2. **Risk management considerations related to the use of DLT** — HKMA, 16 Apr 2024. Read all ten items. Why: it shows how the HKMA reviews bank DLT projects. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20240416-2-EN/20240416-2-EN.pdf>
3. **Circular 26EC35 on robust authentication and surveillance** — SFC, 9 Jul 2026. Read paras 5–13, 21–25. Why: it sets the counterparty deadline and the line on liability for losses.
<https://apps.sfc.hk/edistributionWeb/api/circular/openFile?lang=EN&refNo=26EC35>

Open questions

- The documents reviewed for this guide include no HKMA circular on phishing-resistant authentication for banks. The 2026 Policy Address says the HKMA is driving the use of 'iAM Smart' step-up authentication in banks.⁸⁹⁷ The iAM Smart app is the government's digital identity tool. Step-up authentication means an extra identity check for riskier actions. First-phase testing on remote account opening is under way.⁸⁹⁷
- The SFC cybersecurity circular of 6 February 2025 is referred to, but it is not among the documents reviewed for this guide.⁸⁸⁰
- Two items are outside this module. One is the staking guidance that the HKMA custody annex cross-refers to. Staking means locking up tokens to help run a blockchain in return for rewards. The other is the SFC's November 2024 circular on generative artificial intelligence.

Check yourself

Answer from memory, then check the answer key at the back of the book.

1. Which regulator sets the bank's own technology-risk and custody expectations, versus its VATP and

broker counterparties?

2. What share of client virtual assets (VAs) should a bank custodian hold in cold storage?
3. Are the HKMA's DLT risk considerations binding rules?
4. What should the bank do with wallet keys and seeds under the HKMA's custody controls?
5. Does using multi-party computation (MPC) or multi-signature wallets make custody safe on its own?

Related modules

D3, D5, E1, E2, E3.

PART D · MODULE D5

D5 Tax and information reporting

For the bank's Head of Compliance (digital assets).

After this module you can explain three things:

- what the Crypto-Asset Reporting Framework (CARF) bill would require;
- where CARF overlaps with the bank's existing Common Reporting Standard (CRS) duties;
- what the government has said about tax concessions (tax breaks) for digital-asset funds.

CRS is the global standard under which banks and other financial institutions report accounts held by foreign tax residents to the tax authority.

In 60 seconds

CARF is a global tax standard from the Organisation for Economic Co-operation and Development (OECD).

³³ Under CARF, tax authorities exchange tax data on crypto-asset transactions once a year. ³³ Hong Kong committed to CARF in December 2024. ⁸⁹⁸ The government consulted on it in December 2025. ⁸⁹⁹

The bill is the Inland Revenue (Amendment) (CARF and Amended CRS) Bill 2026. ³³ The bill appeared in the Gazette (the government's official journal) on 22

May 2026.³³ The Legislative Council (LegCo) notice set its First and Second Readings for 3 June 2026, with the Second Reading debate adjourned.⁷⁰ The documents reviewed do not show the bill passing as of 25 September 2026.³³

If passed, CARF duties would start on 1 January 2027, and amended CRS duties on 1 January 2028.¹⁶⁷

The bill calls a business that carries out crypto exchange transactions for customers a reporting crypto-asset service provider (RCASP).⁹⁰⁰ An RCASP with a Hong Kong link would have to register, check its customers (due diligence), report and keep records.⁹⁰⁰ Failures could lead to fines.⁹⁰⁰

CRS already covers bank accounts.⁹⁰¹ The amended CRS adds crypto-linked assets and digital money products.⁹⁰¹

Separately, the government said it would extend fund and family-office tax breaks to digital assets.^{147,902} It is aiming at the 2025/26 tax year (year of assessment).^{147,}
⁹⁰²

Where things stand

As of 25 September 2026.

Abbreviations in this table:

- FSTB = Financial Services and the Treasury Bureau
- IRD = Inland Revenue Department (Hong Kong's tax authority)
- HKMA = Hong Kong Monetary Authority
- SFC = Securities and Futures Commission
- RCASPs = reporting crypto-asset service providers

Instrument	Issuer	Date	Status	Applies to	Src
Commitment to implement CARF (first exchanges from 2028)	FSTB	13 Dec 2024	Stated target	Hong Kong government	903
CARF and amended CRS consultation paper	FSTB + IRD	9 Dec 2025	Consultation closed 6 Feb 2026; followed by the bill	Proposed RCASPs; CRS financial institutions	904, 905
Inland Revenue (Amendment) (CARF and Amended CRS) Bill 2026	LegCo / FSTB / IRD	Gazetted 22 May 2026; First and Second Readings set for 3 Jun 2026	Bill before LegCo	Hong Kong RCASPs (Part 2); reporting financial institutions (Part 3)	906, 33, 907
IRD CARF web guidance	IRD	Undated (reflects bill)	Bill before LegCo	RCASPs	33

Instrument	Issuer	Date	Status	Applies to	Src
Tax concessions for funds and family-owned investment holding vehicles (FIHVs) to cover digital assets	FSTB / Financial Secretary	26 Jun 2025; 25 Feb 2026	Stated target	Privately offered funds; FIHVs; single-family offices	147, 902

Key facts

- On 13 December 2024, the government told the OECD's Global Forum on tax transparency that it would implement CARF.⁹⁰⁸ It aimed to have local law in place by 2026 and first data exchanges from 2028.⁹⁰⁸ It committed to two-way exchanges, and only with partners that protect data.⁹⁰⁸
- The December 2025 consultation paper proposed amending Hong Kong's main tax law, the Inland Revenue Ordinance (Cap. 112).⁹⁰⁹ The changes covered both CARF and the amended CRS.⁹⁰⁹ Comments closed on 6 February 2026.⁹⁰⁹
- The consultation described CARF and the amended CRS as finalised global standards.⁹¹⁰ It asked for views only on choices for putting them in place locally.⁹¹⁰

- The bill appeared in the Gazette on 22 May 2026.³³ It went to LegCo for its First and Second Readings (the formal first steps in LegCo) on 3 June 2026.⁹⁰⁷ LegCo's notice for that sitting said the Second Reading debate would be adjourned (put off to a later date).⁹⁰⁷
- If passed, Part 2 of the bill (CARF) would start on 1 January 2027, and Part 3 (amended CRS) on 1 January 2028.⁹⁰⁶ The rest would start on the day the new law is published in the Gazette.⁹⁰⁶
- The bill defines an RCASP as any individual or entity that, as a business, carries out crypto exchange transactions for customers.⁹¹¹ This covers acting as the other side of the trade, acting as a broker, or running a trading venue.⁹¹¹
- Under the bill, an RCASP with any of the following Hong Kong links would be a Hong Kong RCASP (HKRCASP):⁹¹²
 - it is tax resident in Hong Kong;
 - it is set up under Hong Kong law, and is either a legal person or a tax-return filer with the IRD;
 - it is managed from Hong Kong;
 - it has a regular place of business in Hong Kong;
 - it carries out the relevant transactions through a Hong Kong branch.

- The bill would require an HKRCASP to register with the Commissioner of Inland Revenue (the head of the IRD).⁹¹³ The deadline is 31 January of the year after it first meets a Hong Kong link test (a "nexus" test).⁹¹³
- CARF covers three kinds of reportable transaction: crypto-to-fiat exchanges (crypto for ordinary money), crypto-to-crypto exchanges, and transfers.⁹¹⁴ Central bank digital currencies (CBDCs) and specified electronic money products (certain digital forms of ordinary money) are outside CARF.⁹¹⁴
- RCASPs would have to get a tax-residence self-certification from each new customer and check that it is reasonable.⁹¹⁵ A self-certification is the customer's own statement of where they are tax resident.⁹¹⁵ For existing users, they would have 12 months after the rules start.⁹¹⁵
- The bill proposes that records be kept for six years after the related return's due date.⁹¹⁶ If a former RCASP entity is dissolved (closed down), its last directors would have to make sure the records are still kept.⁹¹⁶
- An HKRCASP would commit an offence if it failed, without reasonable excuse, to register, do due diligence or file a return.⁹¹⁷ On conviction, the fine would be at level 3 (a band on Hong Kong's standard

scale of fines).⁹¹⁷ Using a service provider would not, on its own, be a reasonable excuse.⁹¹⁷

- Extra fines would apply.⁹¹⁸ A registration, return or notice failure would cost a further HK\$500 a day while it continues after conviction.⁹¹⁸ A due-diligence breach could instead bring a fine of HK\$1,000 per affected user or controlling person.⁹¹⁸ This applies if that total is higher than the level 3 fine.⁹¹⁸ A controlling person is someone who controls a customer that is an entity.
- The bill also proposes a financial penalty, set by the Commissioner, in place of prosecution.⁹¹⁹ The firm could make its case in writing and appeal to the Board of Review (an independent tax appeals body).
^{919,920}
- Under the amended CRS, CBDCs and specified electronic money products join the "depository account" category (the CRS term for deposit-type accounts).⁹⁰¹ Derivatives that reference crypto-assets become financial assets.⁹⁰¹ Crypto-assets become eligible investments for investment entities, such as funds.⁹⁰¹
- The consultation covered entities that are both a CRS reporting financial institution and an RCASP.⁹²¹ It proposed that they report crypto sale or

redemption proceeds under both regimes, not once.

921

- The government's Policy Statement 2.0 on digital assets said it would propose a change to profits tax concessions.¹⁴⁷ The change was to add specified digital assets to the qualifying transactions for privately offered funds and FIHVs.¹⁴⁷ It was to take effect from the 2025/26 year of assessment, if LegCo approves.¹⁴⁷
- The 2026-27 Budget said a bill was due in the first half of 2026.⁹⁰² That bill would class digital assets as qualifying investments for these concessions.⁹⁰² The target is the 2025/26 year of assessment.⁹⁰²

What your bank must or should do

These duties bind only once the bill passes and takes effect. The bill is not yet law.

Obligations

- ☐ Map whether any group entity carries out crypto exchange transactions for customers as a business.⁹²² Include acting as a go-between.⁹²²
- ☐ Test each such entity, including branches, against the Hong Kong link (nexus) rules.⁹¹²
- ☐ Plan to register by 31 January of the year after the entity first meets a nexus test.⁹²³

- ☐ Plan for due diligence from 1 January 2027.³⁴
Collect self-certifications from existing users within 12 months.⁹¹⁵
- ☐ Prepare CRS systems for amended CRS due diligence from 1 January 2028.^{924,925}

Controls & monitoring

- ☐ Keep CARF due-diligence evidence and reporting records for six years after each return's due date.⁹¹⁶
- ☐ Keep oversight of any outsourced CARF work.⁹²⁶
Under the bill, using a service provider would not in itself be a reasonable excuse.⁹²⁶
- ☐ Plan to send test data files to the IRD for checking if the bank uses its own in-house software.⁹²⁷ The consultation's timetable set the fourth quarter of 2027 for this testing.⁹²⁷

Notify / consult HKMA or SFC

- ☐ Note that CARF registration and returns would go to the IRD, not to the HKMA or SFC.⁹²⁸ The IRD's planned CARF Portal is the channel for them.⁹²⁸
Watch for the portal and the data schema (the technical format for the data).⁹²⁸

Counterparty due diligence

- ☐ Note that a crypto trading platform or broker the bank partners with may itself be an RCASP with its

own reporting duties.⁹²⁹

Talking points

To the CCO

- LegCo's notice set the CARF bill's First and Second Readings for 3 June 2026.⁷⁰ If passed, CARF duties would start on 1 January 2027, and amended CRS duties on 1 January 2028.³³
- Using a vendor for CARF work is not, in itself, a reasonable excuse for failing to register, check customers or report.⁹²⁶

To business heads

- Offering crypto exchange services to customers as a business could make an entity an RCASP.⁹²² That is true even when it only acts as a go-between.⁹²²
- New crypto customers will need to give a tax-residence self-certification.⁹¹⁵ Existing customers will need to give one within 12 months of the start date.⁹¹⁵

To the CEO

- Hong Kong committed to CARF in December 2024.⁹⁰³ It targets first data exchanges from 2028.⁹⁰³
- The government linked CARF to Hong Kong's reputation as a financial centre.⁹³⁰

To Risk / CRO

- Under the bill, fines could add up.⁹¹⁸ A failure that continues after conviction could cost HK\$500 a day.⁹¹⁸ A due-diligence breach could instead cost HK\$1,000 per affected user or controlling person.⁹¹⁸
- The consultation proposed that entities in both regimes report crypto proceeds under both CARF and CRS.⁹³¹

Common misunderstandings

- **Myth:** CARF is already law. **Fact:** CARF is in a bill before LegCo. The IRD says the dates apply only if the bill passes.³³
- **Myth:** Registration is due by 31 December of the year the link is first met. **Fact:** That date was the consultation's main proposal.⁹³² The bill sets 31 January of the year after the link is first met.⁹²³
- **Myth:** Amended CRS starts in 2029. **Fact:** Its duties start on 1 January 2028.^{925,924} The first exchange of amended CRS data is in 2029.⁹²⁵
- **Myth:** CARF covers CBDCs and e-money. **Fact:** CARF leaves them out. The amended CRS brings them in instead.⁹³³
- **Myth:** The HKMA or SFC supervises CARF. **Fact:** The IRD runs registration, returns and penalties.⁹³⁴

Official documents to read first

- 1. Inland Revenue (Amendment) (CARF and Amended CRS) Bill 2026** — LegCo / IRD, gazetted 22 May 2026. Read Clause 1 (start dates). Read ss.50M-50R (definitions, Hong Kong link, registration, due diligence, returns). Read ss.80R, 82E-82F (offences, financial penalty). This is the text that would become law.

[https://www.ird.gov.hk/eng/pdf/carf/Inland%20Revenue%20\(Amendment\)%20\(Crypto-Asset%20Reporting%20Framework%20and%20Amended%20Common%20Reporting%20Standard\)%20Bill%202026\(eng\).pdf](https://www.ird.gov.hk/eng/pdf/carf/Inland%20Revenue%20(Amendment)%20(Crypto-Asset%20Reporting%20Framework%20and%20Amended%20Common%20Reporting%20Standard)%20Bill%202026(eng).pdf)

- 2. IRD: Crypto-Asset Reporting Framework page** — IRD. Read the Overview and the sections on the Hong Kong link, due diligence, registration and penalties. It sums up the bill's proposals in plain language.

https://www.ird.gov.hk/eng/tax/dta_carf.htm

- 3. FSTB/IRD consultation paper on implementing CARF and amending CRS** — FSTB/IRD, 9 Dec 2025. Read paras 4.3-4.18 (amended CRS and dual reporting). Read Chapter 6 (timeline). It sets out the CRS changes that matter to banks.

<https://www.gov.hk/en/residents/government/publication/consultation/docs/2026/crypto-framework.pdf>

Open questions

- The documents reviewed for this guide do not record the CARF bill passing as of 25 September 2026.^{33,907}
- The consultation also proposed compulsory CRS registration for all reporting financial institutions (RFIs) from January 2027.⁹³⁵ It also proposed heavier CRS penalties.⁹³⁵ The bill's list of provisions in the documents reviewed shows no registration clause for RFIs.⁹³⁶ The documents do not say whether that proposal moved to other legislation.
- The IRD page does not say whether the final bill keeps the proposed default of reporting under both regimes.
- The IRD page says two lists will come in due course: reportable jurisdictions and partner jurisdictions.⁹³⁷ The CARF Portal and the data schema will also come in due course.⁹³⁷
- Concessions for funds and FIHVs: the 2026 Policy Address says a bill easing taxes has already passed.⁹³⁸ That bill covers fund vehicles, single-family offices and people who earn carried interest (fund managers' share of profits).⁹³⁸ No document reviewed for this guide has a bill text confirming how the enacted law treats digital assets.

- The documents reviewed do not say whether tokenised deposits (bank deposits recorded as digital tokens) count as specified electronic money products for CRS.

Check yourself

Answer from memory, then check the answer key at the back of the book.

1. Which body would run CARF registration, returns and penalties, once the bill passes?
2. By when would a Hong Kong RCASP have to register under the bill?
3. Is CARF already law in Hong Kong?
4. What first checks does this module list for the bank ahead of the CARF bill?
5. Is the registration deadline 31 December of the year the Hong Kong link is first met?

Related modules

A1, A3, C1, C5, D3, E1, E3

PART D · MODULE D6

D6 Travel Rule, counterparty VASPs and unhosted wallets

Virtual asset service providers (VASPs) are firms, such as crypto exchanges, that offer virtual asset services to others. A virtual asset (VA) is a digital token such as a cryptocurrency. This module is for the Head of Compliance (digital assets) at a Hong Kong bank. After it, you can:

- Explain what the Travel Rule is and which Hong Kong texts set it out.
- Say what a bank must do before it sends or receives a VA transfer for a customer.
- Describe the checks on the firm at the other end of a transfer, and on self-custody wallets.
- Explain the sunrise issue and how the regulators have handled it.

In 60 seconds

The Travel Rule means that sender and recipient details move with each VA transfer between firms.⁹³⁹ It adapts a wire-transfer standard of the Financial Action Task Force (FATF), the global anti-money laundering (AML) standard-setter.⁹⁴⁰ In Hong Kong the legal hook

is section 13A of Schedule 2 to the AML statute (AMLO).⁹⁴¹ Its full name is the Anti-Money Laundering and Counter-Terrorist Financing Ordinance.

For the bank, the binding text is the Hong Kong Monetary Authority (HKMA) AML Guideline for authorized institutions (AIs).²⁷ AIs are the banks and deposit-takers the HKMA supervises. That Guideline sets a HK\$8,000 trigger for checks on one-off VA transfers.⁹⁴² It then points to section 13A in a footnote.

⁹⁴³

The detailed rulebook sits in Chapter 12 of the AML guideline of the Securities and Futures Commission (SFC).⁹⁴⁴ Chapter 12 binds SFC-licensed VASPs, and licensed corporations (LCs) in their VA business.⁸⁰⁵ The bank's SFC-registered business must take it into account.⁸⁰⁶ Chapter 12 also covers checks on the firm at the other end (the counterparty) and transfers with unhosted wallets.⁹⁴⁵ An unhosted wallet is one where the owner holds the private key, the secret code that moves the assets.⁹⁴⁶ The HKMA's AML guideline for licensed stablecoin issuers applies section 13A to transfers of the stablecoins they issue.⁹⁴⁷

Where things stand

As of 25 September 2026. A registered institution (RI) is a bank registered with the SFC for securities business. Registered institutions (RIs) take SFC AML rules into account.⁸⁰⁶ A licensed corporation (LC) is a firm licensed by the SFC. Licensed corporations (LCs) are bound by them.⁸⁰⁵ A VA trading platform (VATP) is a crypto exchange licensed by the SFC. CFT means counter-financing of terrorism (CFT).

Instrument	Issuer	Date	Status	Applies to	Src
AML/CFT Guideline (For AIs), revised May 2023	HKMA	25 May 2023 (effective 1 Jun 2023)	In force	All AIs, including RIs	27, 801
SFC AML/CFT Guideline, Chapter 12 (for LCs and SFC-licensed VASPs)	SFC	1 Jun 2023	In force	LCs and SFC-licensed VASPs. RIs take it into account	805, 806
Consultation paper on VATP rules (Travel Rule section)	SFC	20 Feb 2023	Superseded	VATPs (proposals)	948
Consultation conclusions on VATP rules	SFC	23 May 2023	Conclusions published	VATPs	949

Instrument	Issuer	Date	Status	Applies to	Src
Joint circular on intermediaries' VA activities, para 20(b)	SFC + HKMA	22 Dec 2023	In force	LCs and RIs	³³¹
Supplemental joint circular, para 7(c)	SFC + HKMA	30 Sep 2025	In force	LCs and RIs	⁸¹⁶
AML/CFT Guideline for Licensed Stablecoin Issuers, Chapter 6	HKMA	Aug 2025	In force	Licensed stablecoin issuers	⁹⁵⁰

Key facts

- The HKMA Guideline treats both 'must' and 'should' as mandatory. ⁹⁶ So each 'should' below from the HKMA Guideline is a requirement for the bank. ⁹⁶ The SFC and stablecoin guidelines use the same rule for the firms they bind. ^{951,952}
- An AI should carry out customer due diligence (CDD) before an occasional VA transfer of HK\$8,000 or more. ⁹⁴² CDD means checking who a customer is. An occasional transfer is one for a person with no ongoing relationship with the bank. ⁹⁵³ The AI should watch for linked smaller transfers that

together reach HK\$8,000.⁹⁵⁴ A footnote sends the reader to section 13A for VA transfers.⁸³⁸

- The HKMA stated that the AMLO does not bar AIs from making VA transfers for customers if they meet section 13A.⁸²⁴
- RIs are required to take the SFC guideline, including Chapter 12, into account.⁸⁰⁶ Some LCs and RIs with VA dealing services let clients deposit or withdraw virtual assets (VAs).³³¹ Those firms should also comply with Chapter 12 for those movements.³³¹ The same applies to VA subscriptions and redemptions of investment products.⁸¹⁶
- Chapter 12 names three roles in a transfer.⁹⁵⁵ The ordering institution sends for its customer, the originator.⁹⁵⁵ The beneficiary institution receives for the recipient.⁹⁵⁵ An intermediary institution passes the transfer along in between.⁹⁵⁵ A firm that sends or receives for itself is outside the Travel Rule for that transfer.⁹⁴¹
- For transfers of HK\$8,000 or more, Chapter 12 says the ordering institution must get and record five items.⁹⁵⁶ They are the originator's name and account number, and the recipient's name and account number.⁹⁵⁶ The fifth is one of: the originator's address, customer number or identity document

(ID) number, or, for an individual, date and place of birth.⁹⁵⁶

- Below HK\$8,000, only the two names and two account numbers are needed.⁹⁵⁷ A wallet address can serve as the account number.⁹⁵⁸
- The ordering institution must send the details to the beneficiary institution securely and immediately.⁹⁵⁹ Immediately means before the transfer or at the same time.⁹⁶⁰ The details may travel separately from the on-chain transfer.⁹⁶¹
- To send securely, the ordering institution should check the receiving firm and use tools such as data-sharing agreements and strong encryption.⁹⁶² It should not send the transfer if it cannot pass the details on securely.⁹⁶²
- For transfers of HK\$8,000 or more, the ordering institution must make sure the originator details are accurate.⁹⁶³ It should not send any transfer until all these steps are met.⁹⁶⁴ The SFC says its LCs and licensed VASPs should not carry out occasional VA transfers at all.⁹⁶⁵
- An intermediary institution must keep the details with the transfer and pass them on.⁹⁶⁶ A beneficiary institution must get and keep a record of the details it receives.⁹⁶⁷ For HK\$8,000 or more, it should check

the recipient's name and account match its own records.⁹⁶⁸

- A receiving firm must have procedures to spot transfers with missing details.⁹⁶⁹ It must seek the missing details as soon as reasonably practicable.⁹⁷⁰ If it cannot get them, it should consider limiting or ending VA transfers with the sending firm. Or it should take reasonable steps to reduce the money laundering and terrorist financing risk.⁹⁷⁰
- A firm may use any technology to exchange Travel Rule data if it meets the rule.⁹⁷¹ The firm stays responsible, and should check the tool first.⁹⁷² Factors include whether the tool works with other firms' tools and copes with high volumes.⁹⁷³
- The SFC's consultation paper of 20 February 2023, now superseded, described the sunrise issue.⁹⁷⁴ Countries bring in the Travel Rule at different times. So a firm may deal with a foreign firm not yet under the rule.⁹⁷⁴
- Some respondents asked the SFC for a 12- to 24-month transition because of the sunrise issue.⁹⁷⁵ The SFC answered that the FATF wants fast adoption, since the issue lasts until major markets comply.⁹⁷⁶ For licensed platforms, the SFC accepted sending the details as soon as practicable after the transfer. That stop-gap ran until 1 January 2024,

when the duty to send immediately took effect.⁹⁷⁷

All other Travel Rule duties, including secure sending, applied from 1 June 2023.⁹⁷⁸

- As part of counterparty checks, a firm should assess whether the counterparty faces a rule similar to the Travel Rule where it operates.⁹⁷⁹ A counterparty not yet licensed or supervised for AML is a sign of higher risk.⁹⁸⁰ The HKMA stablecoin guideline sets matching checks for licensed issuers.⁹⁸¹
- A firm should check a counterparty before sending or releasing a transfer.⁹⁸² It need not repeat the check for each transfer unless risk rises or it suspects crime.⁹⁸³ The checks draw on those used for cross-border correspondent banking.⁹⁸⁴
- A firm must not make VA transfers with a shell VASP (a VASP with no real presence where it is licensed) or shell financial institution.⁹⁸⁵ A shell VASP is incorporated and authorised in a place outside Hong Kong but has no physical presence in that place. It is also not part of a regulated financial group under effective group-wide supervision.⁹⁸⁶
- Before a transfer to or from an unhosted wallet, a firm should get and record sender and recipient details from its own customer.⁹⁸⁷ Below HK\$8,000, the address or ID item is not needed.⁹⁸⁸ The firm should also monitor these transfers more closely. It

should accept transfers only with wallets it has assessed as reliable and, where appropriate, set transaction limits.⁹⁸⁹

- To prove a customer owns a wallet, a firm can use a small test payment or a signed message.⁹⁹⁰ For whitelisted unhosted wallets, the firm should recheck ownership from time to time, based on risk.⁹⁹¹
- For overseas VASP customers that get correspondent-like services, an AI should apply its correspondent banking checks.⁸⁵² It should find out whether the account is for the VASP's own use or for its clients.⁹⁹² The AI could consider asking for two separate accounts.⁹⁹³
- Licensed stablecoin issuers face matching Travel Rule duties, the same HK\$8,000 threshold and counterparty checks, including a ban on transfers with shell VASPs.⁹⁹⁴ They should check that a customer owns or controls its wallet.⁹⁹⁵ They should screen unhosted wallets used at issue or redemption.⁹⁹⁶ They should get and record customer details before transfers to or from customers' unhosted wallets.⁹⁹⁷ Peer-to-peer transfers between non-customers are outside that duty, but still need monitoring.⁹⁹⁸

What your bank must or should do

The HKMA Guideline binds the whole bank, and the RI business takes Chapter 12 into account.⁸⁴⁵ The joint circular says intermediaries, including RIs, should comply with Chapter 12 when they handle client VA deposits and withdrawals.³³¹ Other items citing Chapter 12 state what the SFC requires of its licensees.

805

Obligations

- ☐ Complete CDD before any occasional VA transfer of HK\$8,000 or more, including linked transfers.⁸²²
- ☐ Meet AMLO Schedule 2, section 13A for VA transfers the bank carries out.^{838,824}
- ☐ In the RI business, apply Chapter 12 when clients deposit or withdraw VAs.^{331,816}
- ☐ Keep records of occasional VA transfers of HK\$8,000 or more for at least five years.⁸²⁵

Controls & monitoring

- ☐ Build procedures to find incoming transfers with missing details and decide whether to hold, return or release them.⁹⁶⁹
- ☐ Check any Travel Rule technology before use, and keep records of that check.⁹⁹⁹

- ☐ Monitor transfers with each counterparty, and review its file regularly or when risk changes. ¹⁰⁰⁰
- ☐ Test customer ownership of unhosted wallets, and apply closer monitoring or limits. ¹⁰⁰¹

Notify / consult HKMA or SFC

- ☐ Keep records that show the regulator whether and how details were sent. ¹⁰⁰²
- ☐ Approach the usual HKMA supervisory contacts in its AML and Financial Crime Risk Division with any VA transfer questions. The HKMA says AIs may do so. ⁸²⁴
- ☐ For the RI, tell the SFC in advance, and the HKMA where relevant, before clients subscribe or redeem with VAs. ¹⁰⁰³

Counterparty due diligence

- ☐ Before a transfer, find out whether the other side is a firm or an unhosted wallet, and identify the firm. ¹⁰⁰⁴
- ☐ Understand the counterparty's business, its reputation, its supervision and its AML controls. Get senior management approval. ¹⁰⁰⁵
- ☐ Assess whether the counterparty is under a similar Travel Rule and can protect personal data.

¹⁰⁰⁶

- ☐ Refuse transfers with shell VASPs or shell financial institutions. ⁹⁸⁵
- ☐ For overseas VASP customers, apply correspondent banking checks and learn how the account is used. ¹⁰⁰⁷

Talking points

To the CCO

- Our binding AML text is the HKMA Guideline, where 'should' is mandatory. ⁹⁶ It points to section 13A for VA transfers. ⁸³⁸
- Our RI business must take SFC Chapter 12 into account. ⁸⁰⁶ For client VA deposits and withdrawals, the joint circular says it should comply with Chapter 12. ³³¹

To business heads

- Under Chapter 12, the sending firm must get, record and pass on full sender and recipient details for a VA transfer of HK\$8,000 or more. ¹⁰⁰⁸ If the details cannot go securely and on time, the transfer should not go. ¹⁰⁰⁹
- Under SFC Chapter 12, a transfer with a customer's unhosted wallet needs a check that the customer controls it. ¹⁰⁰¹

To the CEO

- The HKMA has said the law allows banks to make VA transfers for customers if section 13A is met. ⁸²⁴
- Chapter 12 asks firms to check whether a counterparty is under a similar Travel Rule where it operates. ⁹⁷⁹ A counterparty not yet licensed or supervised for AML is a higher-risk sign. ⁹⁸⁰

To Risk / CRO

- Counterparty checks draw on the correspondent banking approach and need senior management approval. ¹⁰¹⁰
- Higher-risk counterparties can mean enhanced reviews, closer monitoring or limits. If risk cannot be managed, the firm should not transfer. ¹⁰¹¹

Common misunderstandings

- **Myth:** SFC Chapter 12 binds the whole bank. **Fact:** It applies to SFC-licensed VASPs, and to LCs in their VA business. ⁸⁰⁵ AIs follow the HKMA Guideline, and RIs take Chapter 12 into account. ⁸⁵⁰
- **Myth:** The Travel Rule starts at HK\$8,000. **Fact:** A shorter set of details applies below HK\$8,000. ⁹⁵⁷
- **Myth:** The details must be written into the blockchain transfer. **Fact:** They can be sent separately, if sent securely and on time. ⁹⁶¹

- **Myth:** Unhosted wallets are banned. **Fact:** Firms may deal with wallets they have assessed as reliable, with extra controls. ⁹⁸⁹
- **Myth:** The sunrise issue excuses a missing Travel Rule message. **Fact:** A receiving firm must seek missing details. If it cannot get them, it should consider limiting the relationship or take steps to reduce the risk. ⁹⁷⁰

Official documents to read first

1. **Guideline on AML/CFT (For Authorized Institutions), revised May 2023** — HKMA, 25 May 2023. Read footnote 1, para 1.6, paras 4.2.1–4.2.5 with footnote 15, and paras 11.23–11.25. Why: this is the text that binds the bank.
<https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20230525-4-EN/AML-2.pdf>
2. **SFC AML/CFT Guideline, Chapter 12 (for LCs and SFC-licensed VASPs)** — SFC, 1 Jun 2023. Read 12.1.9, 12.10.6, 12.11 to 12.14. Why: it holds the detailed Travel Rule, counterparty and unhosted wallet rules.
https://www.sfc.hk/-/media/EN/assets/components/codes/files-current/web/guidelines/guideline-on-anti-money-laundering-and-counter-financing-of-terrorism-for-licensed-corporations/AML-Guideline-for-LCs-and-SFC-licensed-VASPs_Eng_1-Jun-2023.pdf

3. AML/CFT Guideline for Licensed Stablecoin Issuers

— HKMA, Aug 2025. Read paras 4.33–4.40 and Chapter 6. Why: it shows how the HKMA applies the same rule to stablecoins.

https://www.hkma.gov.hk/media/eng/doc/key-functions/banking-stability/aml-cft/Guideline_on_Anti-Money_Laundering_and_Counter-Financing_of_Terrorism_For_Licensed_Stablecoin_Issuers_eng.pdf

Open questions

- The text of AMLO Schedule 2, section 13A is not in the documents reviewed. This module describes it only as the SFC and HKMA guidelines set it out.
- The HKMA Guideline for AIs has no Travel Rule chapter of its own. The documents reviewed show no HKMA text on how banks should handle the sunrise issue.
- The SFC said it would issue an FAQ on the interim measure.¹⁰¹² That FAQ is not in the documents reviewed.
- The HKMA circular of 27 April 2023 is cited by the HKMA but is not in the documents reviewed.⁸²⁴
- The HKMA stablecoin consultation conclusions (July 2025) also discuss the sunrise issue. They are

not yet in the source registry, so this module does not rely on them.

Check yourself

Answer from memory, then check the answer key at the back of the book.

1. Which text binds the bank on VA transfers, and which binds SFC licensees?
2. Under Chapter 12, what details must the ordering institution get for a VA transfer of HK\$8,000 or more?
3. Can an SFC-licensed platform still send Travel Rule details after the transfer under the stop-gap?
4. What should the bank do before an occasional VA transfer of HK\$8,000 or more?
5. Does the sunrise issue excuse a transfer that arrives without Travel Rule details?

Related modules

- D3 AML/CFT for digital assets at a bank
- D7 Sanctions, wallet screening, blockchain analytics and fraud
- C4 Stablecoins
- C7 VATP counterparties and the SFC platform regime

- C3 Custody of digital assets and key management

PART D · MODULE D7

D7 Sanctions, wallet screening, blockchain analytics and fraud

This module is for the Head of Compliance (digital assets) at a Hong Kong bank. After it, you can explain how Hong Kong sanctions law reaches the bank. You can also say what regulators expect when crypto moves in or out, and where scam money meets crypto platforms.

In 60 seconds

Hong Kong puts most United Nations (UN) sanctions into law under the United Nations Sanctions Ordinance (UNSO), Cap. 537.¹⁰¹³ Under the UNSO regulations, making funds available to a designated person without a licence is an offence.¹⁰¹⁴ The Hong Kong Monetary Authority (HKMA) expects every bank to keep a sanctions database and screen customers against it.¹⁰¹⁵ In the HKMA's anti-money laundering (AML) Guideline, 'should' marks a mandatory requirement, just like 'must'.⁹⁶

The Securities and Futures Commission (SFC) has its own AML Guideline for the firms it licenses. It adds rules for virtual assets (VAs), such as cryptocurrencies. Those firms should screen virtual asset (VA)

transactions and the linked wallet addresses, using tools such as blockchain analytic tools.¹⁰¹⁶ A bank's SFC-registered business that lets clients deposit or withdraw VAs should also follow those rules for those deposits and withdrawals.³³¹

Fraud is the other big risk. Police intelligence shared with the SFC shows scam money moving through bank transfers to SFC-licensed firms. Some was then turned into VAs and withdrawn to unhosted wallets.⁸³⁴ The HKMA counts cutting fraud and mule accounts among its highest priorities.¹⁰¹⁷ Mule accounts are bank accounts used to pass on criminal money.

Where things stand

As of 25 Sep 2026. Authorized institutions (AIs) are the banks and deposit-takers the HKMA supervises. Registered institutions (RIs) are AIs registered with the SFC for securities business. This module calls your bank's registered side its registered institution (RI) business. Licensed corporations (LCs) are firms licensed by the SFC. Virtual asset service providers (VASPs), such as crypto exchanges, offer VA services. AML/CFT means anti-money laundering and countering the financing of terrorism (CFT).

Instrument	Issuer	Date	Status	Applies to	Src
United Nations Sanctions Ordinance (Cap. 537) and its regulations	Hong Kong Government	Current text	In force	Everyone in Hong Kong	1018
AML/CFT Guideline (For AIs), Chapter 6	HKMA	25 May 2023	In force	All AIs, including RIs	1019
AML/CFT Guideline for LCs and SFC-licensed VASPs, paras 12.7–12.8	SFC	1 Jun 2023	In force	LCs and SFC-licensed VASPs. RIs for client VA deposits and withdrawals	1020, 331
AML/CFT Guideline for licensed stablecoin issuers	HKMA	Aug 2025	In force	Licensed stablecoin issuers	1021
Circular on layering activities (25EC62)	SFC	17 Nov 2025	In force	LCs, SFC-licensed VASPs, associated entities	818

Instrument	Issuer	Date	Status	Applies to	Src
Circular on Financial Action Task Force (FATF) statements, February 2026 plenary (26EC13)	SFC	13 Mar 2026	In force	LCs, SFC-licensed VASPs, associated entities	1022
Circular on FATF statements, June 2026 plenary (26EC39)	SFC	14 Jul 2026	In force	LCs, SFC-licensed VASPs, associated entities	1023
Circular on simplified eDDA deposits (26EC51)	SFC	20 Aug 2026	In force	LCs, SFC-licensed VASPs, associated entities	820
Banking Ordinance change letting banks share account data through set platforms such as the Financial Intelligence Evaluation Sharing Tool (FINEST)	Hong Kong legislature (reported by HKMA)	June 2025	In force	Banks	1017

Instrument	Issuer	Date	Status	Applies to	Src
Customs Digital Asset Transaction Analytics System (DATAS)	Customs and Excise Department (Customs)	By 2029	Stated target	Customs	1024

Key facts

Sanctions law and the bank

- The UNSO lets the Chief Executive make regulations that carry out UN Security Council (UNSC) sanctions.¹⁰¹⁴ These include targeted financial sanctions (TFS) against persons and entities the UNSC or its committees designate.¹⁰¹⁴ TFS means both freezing assets and banning anyone from making assets available to those named.¹⁰²⁵
- Without a licence from the Chief Executive, it is an offence to deal with the assets of a designated party.¹⁰¹⁴ It is also an offence to make funds available to them, to those acting for them, or to entities they own or control.¹⁰¹⁴ Names appear in the Gazette or on the Commerce and Economic Development Bureau website.¹⁰¹⁴
- Proliferation financing (PF) means funding the spread of weapons of mass destruction.¹⁰²⁶ Hong Kong tackles it through UNSO regulations aimed at

North Korea and Iran.¹⁰²⁷ It also uses a separate ordinance. That ordinance bans providing services that a person believes or suspects, on reasonable grounds, may be linked to PF.¹⁰²⁷

- The HKMA says banks do not normally have a Hong Kong legal duty to take account of one-sided (unilateral) sanctions set by other places.¹⁰²⁸ A bank that operates internationally will still need to know the scope and focus of those regimes.¹⁰²⁸ Where they may affect its operations, the bank should consider the implications and take suitable steps.¹⁰²⁸
- A UN listing may give grounds for knowledge or suspicion under Hong Kong's money laundering, terrorist financing and PF laws. This applies whether or not Hong Kong has legislated for it.¹⁰²⁹ Banks should add new UN names to the database as soon as practicable.¹⁰²⁹
- SFC circulars pass on statements from the FATF, the global AML standard-setter.¹⁰²³ They repeat the FATF call for all countries to apply UN TFS against North Korea firmly.¹⁰²³ The SFC reminds its firms to take extra care with higher-risk jurisdictions.^{1030,809}

What the HKMA expects on screening

- Each bank should keep a database that brings together the various terrorist and sanctions lists

made known to it.¹⁰³¹ It may subscribe to a third-party database instead. It should then take steps, such as regular sample tests, to make sure the database is complete and accurate.¹⁰³²

- The bank should screen customers and their beneficial owners when the relationship starts.¹⁰³³ It should screen them again against new designations as soon as practicable.¹⁰³³ It should screen all parties to a cross-border wire transfer before sending it.¹⁰³³ Screening applies whatever the customer's risk rating.¹⁰³⁴
- When a name may match, the bank should run enhanced checks and keep records of the results.¹⁰³⁵ If it suspects terrorist financing, PF or a sanctions breach, it should report to the Joint Financial Intelligence Unit (JFIU), the unit that receives suspicious transaction reports.¹⁰³⁵
- A bank may use an overseas office for the database or screening. Ultimate responsibility stays with the Hong Kong bank.¹⁰³⁶

Wallet screening and blockchain analytics

- The SFC expects its firms to screen every relevant party in a VA transfer before carrying it out.¹⁰³⁷ This includes the recipient when VAs go to an unhosted wallet, and the sender when VAs come from one.¹⁰³⁷

An unhosted wallet is one where the person holds their own private key.¹⁰³⁸

- If an incoming VA transfer arrives unscreened, or with missing sender or recipient details, the firm should take risk-reducing steps and write them down.¹⁰³⁹ Examples include blocking the recipient's access to the assets, or holding the receiving wallet, until screening finds no concern.¹⁰⁴⁰
- Firms should screen before a transfer, or before releasing received assets to the customer.¹⁰⁴¹ They should also re-screen afterwards on a risk basis.¹⁰⁴¹
- Blockchain analytic tools trace a token's on-chain history. They compare it with a database of wallet addresses tied to crime, and flag matches.¹⁰⁴² A firm using an outside tool stays responsible for its AML duties.¹⁰⁴³ It should check the tool's quality, data coverage and limits before use.¹⁰⁴³ The SFC gives examples of limits. A tool may have limited reach, or may not cope with mixers or privacy coins.¹⁰⁴⁴
- Mixers (also called tumblers) pool VAs from many users and pay out to new addresses, breaking the link to the source.¹⁰⁴⁵ The SFC also names privacy coins and privacy wallets as tools used to hide where VAs come from.¹⁰⁴⁶ A peel chain moves a large sum through many steps, sending a slightly smaller amount to a new address each time.¹⁰⁴⁷

- ‘Know your transaction’ (KYT) is an industry label CONCEPT for ongoing screening of wallets and transactions.
- Licensed stablecoin issuers should also screen stablecoin transfers and wallet addresses, using tools such as blockchain analytic tools.¹⁰⁴⁸ Possible measures they may use include blacklisting sanctioned wallet addresses. Another is freezing coins promptly when regulators, law enforcement or courts ask.¹⁰⁴⁹ The HKMA says these measures are not yet proven to work.¹⁰⁵⁰ Unless an issuer shows the HKMA they work, each holder's identity should be verified.¹⁰⁵⁰

Fraud and mules at the bank–platform interface

- The SFC has seen clients make many deposits, sometimes in small or odd amounts, from several bank accounts in their own names.¹⁰⁵¹ Most of the money was withdrawn soon after, with little or no trading.¹⁰⁵² Splitting large sums into small ones to avoid notice is called smurfing.¹⁰⁵³
- The SFC lists red flags that include turning money into VAs with no logical or clear reason.¹⁰⁵⁴ Another is unrelated clients using the same internet protocol (IP) address or device.¹⁰⁵⁵

- The SFC expects licensed firms to screen VA transactions and wallet addresses before acting for clients.¹⁰⁵⁶ It also expects them to register client bank accounts and whitelist client wallets.⁸⁴⁴ A firm should confirm wallet ownership, for example with a small test payment or a signed message.¹⁰⁵⁷
- Electronic Direct Debit Authorisation (eDDA) lets a payee pull money from an account in the payer's own name, once the payer has agreed.¹⁰⁵⁸ Under a 'simplified' setup, the broker or platform starts the request. The customer's bank may or may not ask the customer to confirm.¹⁰⁵⁹ The SFC says stolen details can be used to set one up without the account owner knowing.¹⁰⁶⁰
- The HKMA's Suspicious Account Alert started in November 2023. It warns a sender who pays an account that the Police 'Scameter' database flags as suspicious.¹⁰⁶¹
- In April 2025, the HKMA widened Scameter data use by retail banks and by stored value facility (SVF) licensees.¹⁰¹⁷ In June 2025, the Banking Ordinance was changed so banks can share account data through set platforms, including FINEST, to detect and prevent crime.¹⁰¹⁷ After FINEST was upgraded in mid-December 2025, shared cases rose from 120

to about 750 a month. That covers the first 1.5 months, to the end of January 2026. ¹⁰¹⁷

- The Police-led Fraud and Money Laundering Intelligence Taskforce (FMLIT) was set up in 2017. The HKMA, retail banks and SVF licensees take part. ¹⁰⁶² In 2025, 1,377 intelligence-led suspicious transaction reports reached FMLIT. These reports helped find 22,740 new suspicious accounts. They also led to HK\$306.7 million being restrained. ¹⁰¹⁷
- Customs has a stated target to launch DATAS by 2029, to collect and analyse digital asset data. ¹⁰²⁴ The Financial Services and the Treasury Bureau (FSTB) says it will consult the public later in 2026. The consultation is on widening the law so sectors such as technology and telecoms can better detect and remove fraud content. ¹⁰⁶³
- Scams also borrow the name of the e-HKD (the digital Hong Kong dollar the HKMA is studying). On 3 June 2026 the HKMA warned of a fake website posing as its own. The site used a fake press release to push an app named e-HKD and so-called e-HKD bonds. ¹⁰⁶⁴ On 20 August 2026 it warned of a forged HKMA document. The document offered a fake Exchange Fund Bills tender through an app, with proceeds paid in e-HKD. ¹⁰⁶⁵ The HKMA said it has no link to either scheme and reported both to the

Police.^{1066,1067} It also said it never contacts individuals to ask for fund transfers.¹⁰⁶⁸

What your bank must or should do

Obligations

- ☐ Keep policies, procedures and controls for terrorist financing, sanctions and PF. Train staff on them.¹⁰⁶⁹
- ☐ Do not make funds available to designated parties, or deal with their assets, without a licence.¹⁰¹⁴
- ☐ Apply in writing to the Commerce and Economic Development Bureau if the bank seeks a UNSO licence.¹⁰⁷⁰
- ☐ Consider what other places' sanctions regimes mean for the bank's operations, and take suitable steps.¹⁰²⁸

Controls & monitoring

- ☐ Keep one combined sanctions database, updated promptly and easy for staff to reach.¹⁰³¹
- ☐ Sample-test any vendor database for completeness and accuracy.¹⁰³²
- ☐ Screen customers, beneficial owners and cross-border wire parties as para 6.16 sets out. Extend screening to connected parties on a risk basis.¹⁰⁷¹

- ☐ Run enhanced checks on possible matches and keep all screening records. ¹⁰³⁵
- ☐ In the RI business, follow SFC Chapter 12 when handling client VA deposits and withdrawals. ³³¹ That covers wallet screening and blockchain analytics. ¹⁰⁷²
- ☐ In the RI business, if an incoming VA transfer cannot be screened, take and record risk-reducing steps. One example is holding the assets or the receiving wallet until screening clears. ^{1040,331}

Notify / consult HKMA or SFC

- ☐ Report suspected sanctions, terrorist financing or PF breaches to the JFIU. ¹⁰³⁵
- ☐ Add names the HKMA draws to the bank's attention to the database. ¹⁰⁷³
- ☐ For the SFC side, note that the SFC reminds its firms to consider reporting eDDA red flags to the JFIU or the Police Anti-Deception Coordination Centre. ⁸⁴⁸

Counterparty due diligence

- ☐ Note that SFC-licensed firms should check how their respondent institutions screen VA transfers and wallet addresses. ¹⁰⁷⁴

- ☐ Before the RI uses a blockchain analytics vendor for client VA flows, assess its tools, data coverage and limits. ^{1043,331}
- ☐ Note that the SFC expects its licensed firms, including platforms, to register client bank accounts and whitelist wallets. ⁸⁴⁴ They should also limit how many each client uses. ¹⁰⁷⁵

Talking points

To the CEO

- Hong Kong puts most UN sanctions into law through the UNSO. Making funds available to designated parties without a licence is an offence. ¹⁰⁷⁶
- The HKMA counts fraud and mule accounts among its highest priorities. ¹⁰¹⁷

To the CCO

- Hong Kong law does not normally require us to take account of overseas unilateral sanctions. Where those regimes may affect our operations, the HKMA expects us to consider them and act. ¹⁰²⁸
- In the HKMA Guideline, ‘should’ is mandatory. ⁹⁶ So the screening steps in Chapter 6 are requirements. ¹⁰⁷⁷

To business heads

- In our RI business, client VA transfers in or out should be screened before they go ahead.^{1037,331} If an incoming transfer cannot be screened, the assets may be held until checks clear.¹⁰⁴⁰
- The SFC flags turning money into VAs with no clear reason.¹⁰⁵⁴

To Risk / CRO

- Blockchain analytics tools have limits. They may have limited reach and may not cope with mixers. The user firm stays responsible either way.¹⁰⁴³
- Screening can move offshore to group, but the responsibility cannot.¹⁰³⁶

Common misunderstandings

- **Myth:** Hong Kong law makes the bank follow US or EU sanctions. **Fact:** The HKMA says banks do not normally have that duty under Hong Kong law. It still expects banks operating internationally to know those regimes, consider their effect and act.¹⁰²⁸
- **Myth:** Only UN names already in Hong Kong law go in the database. **Fact:** Banks should add UN names as soon as practicable, whether or not Hong Kong has legislated.¹⁰²⁹

- **Myth:** Low-risk customers can skip sanctions screening. **Fact:** Screening applies whatever the customer's risk profile. ¹⁰³⁴
- **Myth:** A good blockchain analytics vendor moves the duty to the vendor. **Fact:** The firm stays responsible and should check the tool before using it. ¹⁰⁴³
- **Myth:** Deposits from the client's own bank account are safe. **Fact:** The SFC found firms that ignored layering red flags because no third party seemed involved. ¹⁰⁷⁸

Official documents to read first

1. **Guideline on AML/CFT (For Authorized Institutions), revised May 2023** — HKMA, 25 May 2023. Read para 1.6, paras 1.26–1.27 and Chapter 6 (paras 6.7–6.19). Why: this sets the bank's own sanctions and screening duties.
<https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20230525-4-EN/AML-2.pdf>
2. **AML/CFT Guideline for LCs and SFC-licensed VASPs** — SFC, 1 Jun 2023. Read para 12.1.8 with footnotes 113–115, and paras 12.7–12.8 with footnotes 128–135. Why: the RI follows its Chapter 12 for client VA deposits and withdrawals.
<https://www.sfc.hk/-/media/EN/assets/components/c>

odes/files-current/web/guidelines/guideline-on-anti-money-laundering-and-counter-financing-of-terrorism-for-licensed-corporations/AML-Guideline-for-LCs-and-SFC-licensed-VASPs_Eng_1-Jun-2023.pdf

3. **Detection and prevention of potential layering activities in money laundering** — SFC, 17 Nov 2025. Read paras 5–11 and 16–23. Why: it lists the layering red flags the SFC found at its licensed firms.
<https://apps.sfc.hk/edistributionWeb/api/circular/openFile?lang=EN&refNo=25EC62>

Open questions

- The SFC FATF circulars go to SFC-licensed firms.¹⁰²³ No matching HKMA circular to banks appears in the documents reviewed.
- The FATF report on stablecoins and unhosted wallets was published on 3 March 2026.⁸⁴⁹ The report itself is not in the documents reviewed.
- The texts of the UNSO regulations and the Gazette sanctions notices are not in the documents reviewed.
- The documents reviewed contain no HKMA guidance for banks acting as payer banks under simplified eDDA.
- The Customs DATAS plan and the FSTB fraud-content consultation are stated plans. No details

were published in the documents reviewed.¹⁰⁷⁹

Check yourself

Answer from memory, then check the answer key at the back of the book.

1. Who can grant a licence to make funds available to a UN-designated party, and how does a bank apply?
2. When should a bank screen its customers and beneficial owners against its sanctions database?
3. How binding is 'should' in the HKMA's AML Guideline for banks?
4. What does SFC Chapter 12 mean for our RI business when clients move VAs in or out?
5. Does Hong Kong law make the bank follow US or EU sanctions?

Related modules

D3 (AML/CFT for digital assets), D4 (cyber, fraud and technology risk), C3 (custody), C4 (stablecoins), C7 (platform counterparties), E1 (pipeline).

For general information only. Not legal or regulatory advice. Always check the official source.

PART E

Horizon and reference

PART E · MODULE E1

E1 What's coming: the pipeline

This module is for the bank's Head of Compliance (digital assets). After reading it, you can list what is still coming in Hong Kong digital assets. You can say how far along each item is. You can also quote the targets that the government and regulators have stated, and only those.

In 60 seconds

Four new licensing regimes for virtual asset (VA) services are coming. They cover dealing, custody (holding assets for clients), advisory and management.

¹⁰⁸⁰ All four now have consultation conclusions (the published outcome of a public consultation). ^{1081,1082}

The government says one bill for all four will go to the Legislative Council (LegCo) in 2026. ^{1082,17}

An earlier plan proposed an over-the-counter (OTC) licence, run by Customs, for firms that trade virtual assets directly with customers. ¹⁰⁸³ That plan was revised into a wider dealing proposal under Securities and Futures Commission (SFC) licensing. ¹⁰⁸³

For trading platforms, the SFC has set out three things:

- a framework for licensed platforms to propose perpetual contracts for professional investors. ¹⁰⁸⁴

Perpetual contracts are derivatives with no expiry date. Professional investors are institutions and wealthy investors who meet legal thresholds.

- a pilot for secondary trading (buying and selling after first issue) of tokenised funds (fund units recorded as digital tokens). ¹⁰⁸⁵
- standards for platforms dealing in stablecoins from issuers licensed by the Hong Kong Monetary Authority (HKMA). ¹⁰⁸⁶ Stablecoins are tokens designed to hold a steady value against a currency.

The 2026 Policy Address sets three dated plans for market infrastructure. ¹⁰⁸⁷ The HKMA plans two upgrades to EnsembleTX (its project for settling tokenised deposits between banks) by around end-2026. ¹⁵⁷ Tokenised deposits are bank deposits recorded as digital tokens. The upgrades are settlement in central bank money (money held at the central bank) and 24/7 operation. ¹⁵⁷ The HKMA will also test tokenised Exchange Fund Bills (short-term HKMA debt) by year-end. ¹⁵⁶ CMU OmniClear (the company that runs the Central Moneymarkets Unit (CMU) bond settlement system) is to set up a digital asset platform in 2026. ⁵⁸⁸

The Crypto-Asset Reporting Framework (CARF) is a tax reporting standard for crypto-assets. A bill sets 1 January 2027 as the start date for its CARF rules.³⁴ The bill is before LegCo.⁹⁰⁷ Customs plans digital-asset analytics systems by 2029.¹⁰⁸⁸

Where things stand

As of 25 September 2026. Dates are as stated in each source. Targets are the government's or the regulator's own words. They are not forecasts.

Abbreviations and terms in this table:

- FSTB = Financial Services and the Treasury Bureau
- CCE = Commissioner of Customs and Excise
- ATMs = automated teller machines
- AIs = authorized institutions (banks under the Banking Ordinance)
- LCs = licensed corporations (firms licensed by the SFC)
- VATP = VA trading platform; VATPs = VA trading platforms
- RI = registered institution (a bank registered with the SFC); RIs = registered institutions
- Policy Address = the Chief Executive's yearly policy speech
- e-HKD = a digital form of the Hong Kong dollar

- HKEX = Hong Kong Exchanges and Clearing
- CrypTech = an SFC technology initiative with market and anti-money laundering surveillance parts
- RCASP = Reporting Crypto-Asset Service Provider (a firm with reporting duties under CARF); RCASPs = more than one RCASP
- CRS = Common Reporting Standard (the existing tax reporting standard for financial accounts)
- C&ED = Customs and Excise Department
- AML = anti-money laundering
- DATAS = Digital Asset Transaction Analytics System
- AMLAS = AML Analytics System
- FATF = Financial Action Task Force (the global standard setter against money laundering)
- VASP = VA service provider; VASPs = VA service providers
- DeFi = decentralised finance (financial services run by software on blockchains)

Instrument	Issuer	Date	Status	Applies to	Src
VA OTC licensing by CCE	FSTB	8 Feb 2024	Superseded	VA OTC shops, ATMs and online platforms (AIs, LCs, VATPs proposed exempt)	1089, 1090

Instrument	Issuer	Date	Status	Applies to	Src
VA dealing + VA custodian regimes	FSTB + SFC	Consulted 27 Jun 2025; conclusions 24 Dec 2025	Conclusions published	Dealers, custodians; banks register, HKMA is frontline regulator	1091, 1081
VA advisory + VA management regimes	FSTB + SFC	Consulted 24 Dec 2025; conclusions 26 May 2026	Conclusions published	Advisers, managers; only banks may register	1092, 55
Single bill for the four regimes	Government + SFC	This year (stated 24 Jun 2026)	Stated target	As above	17
VATP perpetual contracts framework	SFC	11 Feb 2026	Issued; VATPs submit proposals to SFC	Licensed VATPs; professional investors only	1084, 1093
Secondary trading of tokenised SFC- authorised products	SFC	20 Apr 2026	Issued (pilot framework)	Product issuers, intermediaries incl. VATPs	1094
Tokenised gold and other real-world-asset products on licensed platforms	SFC (per Policy Address)	16 Sep 2026	Stated target	VATPs, product issuers	1095
Relevant (HKMA-licensed issuer) stablecoins on VATPs	SFC	27 May 2026	Issued	VATPs, LCs (RIs via HKMA circular)	1096

Instrument	Issuer	Date	Status	Applies to	Src
Stablecoin trading and use to settle tokenised money market funds	SFC (per Policy Address)	16 Sep 2026	Stated target	VATPs, fund managers	168
EnsembleTX tokenised-deposit pilot	HKMA	13 Nov 2025, through 2026	Pilot	Participating banks	1097
EnsembleTX central bank money settlement + 24/7 operation	HKMA	Around end-2026	Stated target	Participating banks	157
Wholesale e-HKD payment solution for after-hours derivatives trading	HKEX with HKMA	Pilot announced 18 Jun 2026; real-value transactions in 2026	Stated target	HKEX after-hours derivatives trading	1098, 1099
Tokenised Exchange Fund Bills operational tests	HKMA	By end-2026	Stated target	Banks	156
CMU OmniClear digital asset platform	CMU OmniClear	2026	Stated target	Digital bond issuance and settlement	155, 588
Tokenised bond legal review, phase 2	FSTB + HKMA	Second half of 2026	Stated target	Fixed income market	24

Instrument	Issuer	Date	Status	Applies to	Src
First Five-Year Plan: a world-leading regime to license and regulate digital assets. Rigorous development of stablecoins, tokenised deposits, central bank digital currency and tokenised bonds and securities	Government	16 Sep 2026 (plan covers 2026-2030)	Stated target	Whole market; no duties set	1100
SFC strategic action plan: new digital-asset licensing regimes, custody and CrypTech surveillance, AML tools (short term); tokenised product rules (longer term)	SFC	23 Sep 2026 (no dates for these items)	Stated target	SFC-regulated firms; SFC supervisory tools	1101
SFC digital-asset custody surveillance system	SFC	Second half of 2026	Stated target	SFC supervisory tool	1102

Instrument	Issuer	Date	Status	Applies to	Src
CrypTech market and AML surveillance components	SFC	2027	Stated target	SFC supervisory tool	1102
Tokenised-deposit Mainland trade-finance pilot transactions	HKMA	By end-2026	Stated target	Not specified in source	1103
CARF (Part 2) / amended CRS (Part 3) start dates	Government bill before LegCo	1 Jan 2027 / 1 Jan 2028	Bill before LegCo	RCASPs; CRS financial institutions	167, 907
C&ED DATAS and AMLAS analytics systems	C&ED	Phase 2 by 2029	Stated target	C&ED systems	1088
FATF 7th targeted update on VA/VASP standards + DeFi report	FATF (relayed by SFC)	Approved at June 2026 Plenary	Approved; publication pending	For information of LCs and VASPs	1104

Key facts

- The February 2024 OTC proposal would have created a licence run by the CCE.¹⁰⁸⁹ The licence was for businesses offering spot trading of virtual assets (VAs), meaning buying and selling for immediate delivery.¹⁰⁸⁹ Banks and other firms regulated by the SFC or the HKMA were proposed to be exempt.¹⁰⁸⁹

- The June 2025 dealing paper widened that plan.¹¹⁰⁵ It proposed covering simple conversions (one VA for another, or for ordinary money).¹¹⁰⁵ It also proposed covering more complex services, such as brokerage and block trading (large trades arranged privately).¹¹⁰⁵ The reason was that the consultation found more varied business models.¹¹⁰⁵
- For dealing and custody, the SFC will be the standard setter (the body that writes the rules).¹¹⁰⁶ The HKMA will be the frontline regulator (day-to-day supervisor) for registered banks and stored value facilities (licensed e-wallet and prepaid card operators).¹¹⁰⁶
- The December 2025 conclusions align VA dealing with Type 1 (dealing in securities), an existing SFC licence type.¹¹⁰⁷ The SFC will require VA dealers to keep client VAs with VA custodians regulated by the SFC.¹¹⁰⁷
- No arrangement is planned to let existing dealing or custody firms carry on while they apply. Each regime takes full effect on its start date.^{68,69} A faster approval process is planned for two groups:^{68,69}
 - VATPs, LCs and RIs already providing VA dealing.
 - VATP associated entities (the platform's group company that holds client assets) and banks already assessed for VA custody.

- Start dates are not set yet.¹²¹ The government and the SFC will consider how long the market needs to adjust.¹²¹
- VA advisory will align with Type 4 (advising on securities). VA management will align with Type 9 (asset management).¹¹⁰⁸ For these two services, only banks could register with the SFC instead of getting a licence.⁵⁵
- VA management will have no small-amount exception.¹¹⁰⁹ Some Type 9 firms now manage portfolios whose VA share is below the current threshold.¹¹⁰⁹ By the start date, these firms will need a licence or registration, or should wind down that business.¹¹⁰⁹
- In June 2026, the government said the bill for all four regimes would go to LegCo that year.¹⁷ The bill is to cover stablecoins, among other VAs.¹⁷
- Under the SFC framework, VATPs should offer perpetual contracts only to professional investors.¹¹¹⁰ Margin collateral (assets a client posts to back its trades) should be one of these:¹¹¹⁰
 - fiat money (ordinary government-issued currency)
 - stablecoins regulated by the HKMA
 - tokenised deposits regulated by the HKMA

- The first products under the SFC's tokenised-fund trading framework are expected to be tokenised money market funds (funds that hold short-term debt). ³⁸³ The SFC will then assess how they work before it considers a wider range of products. ³⁸³
- Relevant Stablecoins are specified stablecoins from HKMA-licensed issuers. ¹¹¹¹ For these coins, the SFC does not require VATPs and LCs to apply the retail liquidity and index requirements. ¹¹¹² Those are the tests a token normally has to pass before retail clients can trade it. ¹¹¹² Disclosures to clients should still cover two things: ¹¹¹²
 - the stabilisation mechanism (how the coin keeps its value steady)
 - the redemption arrangements (how holders swap coins back for money)
- At first, EnsembleTX settles transfers of tokenised deposits between banks through the Hong Kong dollar (HKD) real-time gross settlement (RTGS) system. ¹¹¹³ RTGS means each payment settles in full, one by one, as it happens. Planned upgrades would move EnsembleTX to 24/7 settlement in tokenised central bank money. ¹¹¹³
- The 2026 Policy Address says the HKMA will test tokenised Exchange Fund Bills by year-end. ¹⁵⁶ The

aim is to help banks use the more than HK\$1.3 trillion of these bills round the clock. ¹⁵⁶

- The SFC plans to launch its system for monitoring digital-asset custody in the second half of 2026. ¹¹⁰² The CrypTech market and AML surveillance components are to follow in 2027. ¹¹⁰²
- C&ED plans to launch two systems by 2029: DATAS and AMLAS. ¹⁰⁸⁸
- At its June 2026 Plenary (full meeting), the FATF approved two papers for publication. ¹¹⁰⁴ One is a seventh targeted update on how countries apply its VA/VASP standards. The other is a DeFi report. ¹¹⁰⁴ Both are to be published in due course. ¹¹⁰⁴

What your bank must or should do

Obligations

- ☐ List your bank's current and planned VA dealing, custody, advisory and management activity. Firms now doing VA activities under SFC licence or registration conditions will need a licence or registration under the new regimes. ⁸
- ☐ Plan for a fixed start date with no transition. No arrangement is planned to let existing firms carry on while they apply. ¹¹¹⁴ Dealers that have not

contacted the SFC or HKMA may have to stop operating on that date. ¹¹¹⁴

- ☐ Note the marketing ban that applies once the regimes are in force. Firms without a licence or registration will be prohibited from actively marketing VA advisory or management services to the Hong Kong public. ¹¹¹⁵

Controls & monitoring

- ☐ Note the SFC's stated plan to launch its system for monitoring digital-asset custody in the second half of 2026. ¹¹⁰²
- ☐ Track the CARF start date for any group company that may be an RCASP. The bill sets that date as 1 January 2027. ³⁴

Notify / consult HKMA or SFC

- ☐ Note that the regulators encourage firms interested in VA dealing to approach the SFC early, or the HKMA where relevant. ²⁰⁶ The aim is to begin pre-application talks (informal talks before a formal application). ²⁰⁶
- ☐ Note that existing and would-be VA advisers and managers are strongly encouraged to start pre-application talks with the SFC early. ¹¹¹⁶ This matters if your bank gives VA advice or manages VAs, or plans to.

Counterparty due diligence

- ☐ Under the dealing regime, check that the VA custodians holding client assets are regulated by the SFC. ¹¹¹⁷
- ☐ Know the scope of the SFC's 27 May 2026 circular. It covers only Relevant Stablecoins. ¹¹¹¹ These are specified stablecoins issued by an HKMA-licensed issuer and authorised under its licence. ¹¹¹¹ The circular does not cover other stablecoins. ¹¹¹¹

Talking points

To the CCO

- All four VA regimes for intermediaries now have conclusions, and one bill is targeted for 2026. ¹⁷ No arrangement is planned to let existing firms carry on while they apply. ^{81,1118}
- For dealing and custody, banks register with the SFC, and the HKMA is their frontline regulator. ^{1106, 1119}

To business heads

- VA management will have no small-amount exception. A manager will need a licence or registration even if VAs are only a small share of a portfolio. ¹¹⁰⁹

- Under the SFC framework, VATP perpetual contracts may take HKMA-regulated tokenised deposits as margin collateral. ¹¹²⁰

To the CEO

- The HKMA plans central bank money settlement and 24/7 operation for EnsembleTX by around end-2026. ¹⁵⁷
- CMU OmniClear is to set up a digital asset platform in 2026 for issuing and settling digital bonds. ¹⁵⁵

To Risk / CRO

- C&ED aims to launch its digital-asset transaction analytics system, DATAS, by 2029. ¹⁰⁸⁸
- The FATF's next VA/VASP update and its DeFi report are approved but not yet published. ¹¹⁰⁴

Common misunderstandings

- **Myth:** The Customs OTC licence is still coming. **Fact:** The 2025 dealing proposal revised that plan. It put VA dealing under SFC licensing instead. ¹¹²¹
- **Myth:** Conclusions mean the regimes are law. **Fact:** A bill is still to be introduced. ¹⁷ Start dates are not set. ¹²¹
- **Myth:** Retail clients can trade VATP perpetual contracts. **Fact:** Under the SFC framework, only

professional investors should be offered them. ⁷¹⁴

- **Myth:** VA dealers will have the same custodian choice as VA managers. **Fact:** Dealers will have to use custodians regulated by the SFC. ¹¹¹⁷ Private funds managed by VA managers, by contrast, keep the flexibility to appoint qualified custodians anywhere in the world. ¹¹²²
- **Myth:** Policy Address items are rules with legal force. **Fact:** They are stated plans. The Policy Address says what the SFC and HKMA will do or are planning to do. ¹¹²³

Official documents to read first

1. **Consultation Conclusions on VA dealing and further consultation on VA advisory/management** — FSTB + SFC, 24 Dec 2025. Read paras 3-5, 26, 29-36 and footnotes 9-10. They cover the core design, the custody rule, the transition and bank registration. <https://apps.sfc.hk/edistributionWeb/gateway/EN/consultation/doc?refNo=25CP12>
2. **Consultation Conclusions: VA advisory and VA management** — FSTB + SFC, 26 May 2026. Read paras 6-12, 32, 56-57 and 62-70. They cover scope, the lack of a small-amount exception, custody choice and start dates.

https://www.fstb.gov.hk/fsb/en/publication/consult/doc/VASPVAMSP_consultation_conclusion_e.pdf

3. **The Chief Executive's 2026 Policy Address** — Hong Kong Government, 16 Sep 2026. Read paras 35-36, 49-51 and 99, and Annex (I) New Indicators, item 209. This is the latest official list of stated targets. https://www.policyaddress.gov.hk/2026/public/pdf/policy/policy-full_en.pdf

Open questions

- As of 25 September 2026, the documents reviewed for this guide include no bill text for the four VA regimes.
- Start dates for the VA regimes are not set. ^{121,123}
- The SFC intends to align custodian requirements with those now applied to SFC-licensed VATPs. ¹¹²⁴ It will look at a flexible approach to custody technology and storage ratios (how much client VA is kept offline versus online). ¹¹²⁴ The detailed requirements are not in the documents reviewed for this guide.
- The CARF bill was introduced into LegCo on 3 June 2026. ⁹⁰⁷ The Second Reading debate (where LegCo debates the bill's main principles) was adjourned. ⁹⁰⁷ The documents reviewed for this guide do not record whether the bill has passed.

- The FATF seventh targeted update and DeFi report were not yet published as of the SFC circular of 14 July 2026.¹¹⁰⁴

Check yourself

Answer from memory, then check the answer key at the back of the book.

1. Who will be the frontline regulator for registered banks under the coming VA dealing and custody regimes?
2. When did the government say one bill covering all four VA regimes would go to LegCo?
3. Do the December 2025 VA dealing conclusions already have the force of law?
4. What does the lack of a transition arrangement for VA dealing mean for your bank's planning?
5. Is the Customs OTC licence proposed in February 2024 still the plan for VA dealing?

Related modules

A1, A3, C1, C2, C3, C5, D5, E2, E3

PART E · MODULE E2

E2 Wholesale money, CBDC and cross-border projects

Central bank digital currency (CBDC) is money that a central bank issues in digital form. This module explains the CBDC work of the Hong Kong Monetary Authority (HKMA). It runs from the digital Hong Kong dollar (e-HKD) to the mBridge and Ensemble projects. The module is for the bank's Head of Compliance (digital assets). After it, you can say what compliance role the published designs give to banks.

In 60 seconds

The HKMA has worked on the e-HKD since 2017.¹¹²⁵ Its first projects looked at wholesale use: money that moves only between banks and other financial institutions.¹¹²⁵ It ran two rounds of market consultation on a retail e-HKD (one for the public) in 2021-2022.¹¹²⁶ It also ran two industry pilot phases in 2023-2025.¹¹²⁶ In October 2025 the HKMA said it would prioritise wholesale uses.¹¹²⁷ It has not yet decided whether or when to introduce a retail e-HKD.¹¹²⁸

Its cross-border work started with Project Inthanon-LionRock (a joint project with the Bank of Thailand). That project grew into mBridge, a multi-CBDC

platform. A multi-CBDC platform is one shared system where several central banks' digital currencies can move.¹¹²⁹ The mBridge platform reached minimum viable product (MVP) stage, meaning a first working version, in June 2024.¹¹³⁰

Project Ensemble explores how banks settle tokenised deposits with each other. A tokenised deposit is an ordinary bank deposit recorded as a digital token.¹¹³¹ EnsembleTX — the pilot phase — first settles these payments through Hong Kong's Real Time Gross Settlement (RTGS) system for HKD.¹¹³¹ RTGS settles each payment between banks one by one, as it happens. EnsembleTX is to move in stages to tokenised central bank money.¹¹³¹ Ensemble has tie-ups with the central banks of France, Thailand and Brazil.^{1132,1133,1134} It also has a memorandum of understanding (MoU), a formal cooperation agreement, with Shanghai bodies.¹¹³⁵

In the mBridge designs, each bank runs its own anti-money laundering (AML), know-your-customer (KYC) and sanctions checks.^{1136,1137} Each bank runs these checks off the platform, in its own systems.^{1136,1137}

➤ COMMERCIAL AND CUSTOMER BENEFITS

For customers:

- A 2023 Bank for International Settlements (BIS) paper said mBridge payments can settle within seconds, in central bank money. ¹¹³⁷
- The same 2023 paper said less settlement risk and fewer repeated steps can lower overall costs. ¹¹³⁷
- The HKMA says its EnsembleTX pilot aims to make settling tokenised deals faster and more transparent. ⁵⁶³

For the bank:

- The 2023 paper said banks on mBridge can connect directly, instead of going through correspondent banks (banks that pass payments on abroad). ¹¹³⁷
- A bank can earn a fee and a foreign exchange spread on each cross-border payment it handles CONCEPT.
- EnsembleTX first focuses on tokenised deposits for tokenised money market fund deals and real-time liquidity and treasury management. ⁵⁶³

Evidence so far:

- In a six-week pilot in 2022, 20 banks in four jurisdictions made over 160 payment and foreign

exchange (FX) deals on mBridge.¹¹³⁸ They totalled more than HK\$171 million, on behalf of corporate clients.¹¹³⁸

- A 2025 Financial Stability Board report (global, reported World Bank data) put the average cost of sending a US\$200 remittance at 6.5% of the amount sent in 2025.¹¹³⁹

Limits:

- In June 2024 the HKMA said mBridge had reached minimum viable product stage (a first working version), with further enhancements to follow.¹¹⁴⁰
- The HKMA has not yet decided whether or when to introduce an e-HKD.¹¹²⁸

Business lines: Cross-border payments, FX and mBridge; Tokenised deposits and payments

Where things stand

As of 25 September 2026.

Instrument	Issuer	Date	St at us	Applies to	Sr c
Retail e-HKD (for the public)	HKMA	Study from Jun 2021. Pilots 2023-2025.	Ex pl or at or y	Public and banks. No decision to issue.	11 41

Instrument	Issuer	Date	Status	Applies to	Src
e-HKD for financial institutions (wholesale use now the priority)	HKMA	28 Oct 2025	Stated target	Banks and financial market infrastructures (core payment and settlement systems)	1127
Project mBridge (multi-CBDC platform)	HKMA, Bank of Thailand (BoT) and Central Bank of the UAE (CBUAE). Also the People's Bank of China (PBoC) Digital Currency Institute (DCI). Saudi Central Bank joined the MVP platform. In June 2024 the team also included the Hong Kong Centre of the Bank for International Settlements (BIS) Innovation Hub (BISIH). The BIS said in October 2024 it would hand the project to the partners.	MVP 5 Jun 2024	Pilot	Participating banks	1142, 1143, 1144, 1145
Project Ensemble / EnsembleTX	HKMA	7 Mar 2024. Ensemble TX 13 Nov 2025.	Pilot	Participating banks	1146, 56

Instrument	Issuer	Date	Status	Applies to	Source
Project Inthanon-LionRock	HKMA + BoT	2019-2020. Renamed m-CBDC Bridge in Feb 2021.	Successful	Participating banks	1147, 1129
Project Aurum (test version of a retail CBDC)	HKMA + BISIH + Hong Kong Applied Science and Technology Research Institute	Report Oct 2022	Exploratory	n/a (research)	1148
Project Sela (access to a retail CBDC)	HKMA + Bank of Israel + BISIH	Report Sep 2023	Exploratory	n/a (research)	1149, 1148
Project Genesis (trial of green bonds as digital tokens; green bonds fund environmental projects)	HKMA + BISIH	2021	Exploratory	n/a (research)	1150, 1151

Instrument	Issuer	Date	St at us	Applies to	Sr c
Banque de France (BDF) tie-up under an MoU. It studies how DL3S (Distributed Ledger for Securities Settlement System) and the Ensemble Sandbox could work together.	HKMA + BDF	Anno unce d 27 Jun 2024	E x pl or at or y	n/a	11 52
Bank of Thailand trial linking Ensemble and Project San	HKMA + BoT	28 Oct 2024	E x pl or at or y	n/a	11 53
Banco Central do Brasil (BCB) link to Drex, Brazil's CBDC	HKMA + BCB	28 Oct 2024	E x pl or at or y	n/a	11 34
Cross-boundary e-CNY (digital renminbi) pilot	HKMA + People's Bank of China	Expa nded 17 May 2024	Pi lo t	Retail users. Also banks offering top-ups via the Faster Payment System (FPS).	11 54

Instrument	Issuer	Date	St at us	Applies to	Sr c
Shanghai-Hong Kong MoU on digital cargo trade and trade finance	HKMA + Shanghai Data Bureau + National Technology Innovation Center for Blockchain	2 Mar 2026	E x p l o r a t o r y	n/a	11 55

Key facts

- The HKMA's e-HKD work began in 2017 with Project LionRock.¹¹²⁵ LionRock was a proof of concept, meaning a small test of whether an idea works. It involved the three note-issuing banks (the banks that issue Hong Kong banknotes) and Hong Kong Interbank Clearing Limited.¹¹²⁵
- In October 2021 an HKMA technical paper proposed a two-tier design.¹¹⁵⁶ Under it, the central bank issues e-HKD and banks distribute it.¹¹⁵⁶ The paper said this design was not a blueprint.¹¹⁵⁶
- The April 2022 policy paper noted that full anonymity is generally not seen as workable for a CBDC.¹¹⁵⁷ The reason given was anti-money laundering and counter-financing of terrorism (AML/CFT) duties.¹¹⁵⁷ The paper pointed to tiered wallets as a common approach. Tiered wallets have

limits that rise as the user passes more identity checks.¹¹⁵⁷

- In September 2022 the HKMA set out a three-rail approach, meaning three parallel work streams.¹¹⁵⁸ It said early legal research suggested existing law was not adequate to issue a digital legal tender with enough certainty.¹¹⁵⁸ Legal tender is money the law recognises for paying debts.
- Phase 1 of the pilot had 16 firms running 14 pilots.¹¹⁵⁹ It found possible value in three features.¹¹⁵⁹
 - Programmability: rules built into the money about when and how it moves.
 - Tokenisation: recording money or assets as digital tokens.
 - Atomic settlement: both sides of a deal settle at the same instant, or neither does.
- In September 2024 the project became Project e-HKD+. It covers both e-HKD and tokenised deposits.¹¹⁶⁰ Phase 2 ran 11 pilot groups.¹¹⁶⁰
- On 28 October 2025 the HKMA made wholesale payments the priority for future e-HKD work, ahead of retail use.¹¹²⁷
- The HKMA's September 2026 CBDC page says it has not yet decided if, or when, it would introduce an e-HKD.¹¹²⁸

- Inthanon-LionRock ran in Q4 2019.¹¹⁴⁷ In February 2021 the PBoC DCI and the Central Bank of the UAE joined.¹¹⁴⁷ The project was then renamed the m-CBDC Bridge (multiple-CBDC Bridge).¹¹⁴⁷
- The HKMA page says the BISIH Hong Kong Centre gave 'strong support' as the project became mBridge.¹¹²⁹
- In the 2022 mBridge pilot, 20 banks in four jurisdictions made more than 160 payments and foreign exchange trades.¹¹⁶¹ These were worth over US\$22 million in total.¹¹⁶¹
- At MVP in June 2024, the listed project team was the HKMA, BoT, PBoC DCI, CBUAE and BISIH Hong Kong Centre.¹¹⁶² The Saudi Central Bank was welcomed as the next full participant.¹¹⁶²
- In October 2024 the BIS said it would hand mBridge over to the partner central banks.¹¹⁴⁵ Its then General Manager said on 31 October 2024 that the BIS was leaving because the partners could now run the project themselves.¹¹⁶³
- He said mBridge was not built for the BRICS countries.¹¹⁶⁴ BRICS means a group of large emerging economies whose name comes from Brazil, Russia, India, China and South Africa. He also said that countries under sanctions cannot use

BIS products.¹¹⁶⁵ See also D7 Sanctions, wallet screening, blockchain analytics and fraud.

- The December 2025 fintech page of the Financial Services and the Treasury Bureau (FSTB) lists the central banks conducting mBridge. They are the HKMA, the PBoC DCI, the BoT, the CBUAE and the Saudi Central Bank. The page does not list the BIS.
¹¹⁴⁴
- In October 2025 the Government told the Legislative Council that mBridge had become part of Hong Kong's financial market infrastructure.¹¹⁴³ It also said participating Hong Kong banks set their own fees.¹¹⁴³
- Project Aurum built a two-tier test version: a wholesale system between banks, plus retail wallets.
¹¹⁴⁸ Project Sela tested a different design. Private go-between firms, called access enablers, connect directly to the central bank's CBDC ledger.¹¹⁶⁶
- Project Ensemble explores settling tokenised money between banks, using the e-HKD as a wholesale CBDC.⁵⁹⁴ A wholesale CBDC is central bank digital money used only by banks and other financial institutions. Ensemble starts with tokenised deposits.¹¹⁶⁷
- The Government's November 2025 digital green bonds had HKD and renminbi (RMB) tranches, or

portions.¹¹⁶⁸ Those tranches had an option to settle in tokenised central bank money, alongside traditional payment systems.¹¹⁶⁸ The Government called it the world's first digital bond offering to use e-CNY and e-HKD in settlement.¹¹⁶⁸

- Tier-4 personal e-CNY wallets for Hong Kong residents cap balances at RMB 10,000.¹¹⁶⁹ They allow retail payments only, not person-to-person transfers.¹¹⁶⁹
- By end-January 2026, about 80,000 e-CNY wallets had been registered with Hong Kong mobile numbers.¹¹⁷⁰ In addition, 18 local banks let users top up these wallets through the FPS.¹¹⁷⁰

What your bank must or should do

These are pilot and research designs, not binding rules. Neither the HKMA nor the Securities and Futures Commission (SFC) has made them rules. The lines below show what the published designs expect of participating banks.

Obligations

- ☐ On mBridge, run AML, counter-terrorist financing (CTF) and sanctions checks off the platform before sending a payment.¹¹³⁶ The

receiving bank runs its own check before confirming the payment. ¹¹³⁶

- ☐ On mBridge, meet each jurisdiction's AML, CTF and sanctions laws. ¹¹⁷¹ The platform attaches a pass or fail certificate to each transaction, based on the bank's own off-platform check. ¹¹⁷¹

Controls & monitoring

- ☐ Keep KYC, AML and CTF checks in the bank's own systems, outside the mBridge platform ("off-bridge"). ¹¹³⁷
- ☐ If the bank takes a role in distributing e-HKD, note the 2022 policy paper. ¹¹⁷² It said a two-tier design could give customer-facing institutions two tasks: customer due diligence (checking who customers are) and record-keeping. ¹¹⁷²

Notify / consult HKMA or SFC

- ☐ Banks may use the HKMA Supervisory Incubator for distributed ledger technology (DLT). ²²⁰ DLT is a shared record kept in step across many parties. The Incubator lets banks reaffirm their risk controls before a full DLT launch. ²²⁰ Tokenised deposits are a core focus. ²²⁰

Counterparty due diligence

- ☐ On mBridge, foreign banks can hold and use a CBDC.¹¹⁷³ Only domestic banks can swap their reserves at the central bank for that CBDC, or swap it back.¹¹⁷³ Check which role each counterparty has.

Talking points

To the Chief Compliance Officer (CCO)

- mBridge leaves AML and sanctions screening to each bank, off the platform.¹¹³⁶
- The 2022 e-HKD policy paper said a two-tier design could task customer-facing institutions with customer due diligence.¹¹⁷²

To business heads

- The HKMA's e-HKD focus is now wholesale payments, to support tokenisation and cross-border payments.¹¹²⁷
- In Phase 2, commercial banks leaned slightly towards tokenised deposits over e-HKD.¹¹⁷⁴

To the Chief Executive Officer (CEO)

- mBridge reached MVP in June 2024.¹¹³⁰ The Government calls it part of Hong Kong's financial market infrastructure.¹¹⁴³

- The HKMA has not decided to issue a retail e-HKD.
1128

To Risk / Chief Risk Officer (CRO)

- The 2022 mBridge pilot ran on one central cloud system in Hong Kong.¹¹⁷⁵ The pilot report said holding the data in a single cloud raised privacy concerns.¹¹⁷⁵
- In Phase 2, privacy tools using zero-knowledge proofs were tested on public blockchains. A zero-knowledge proof shows a fact is true without revealing the data behind it.¹¹⁷⁶ These tools made transactions up to 320 times more costly in gas fees, the fees paid to process each transaction.¹¹⁷⁶

Common misunderstandings

- **Myth:** Hong Kong is about to launch a retail e-HKD.
Fact: The HKMA has made wholesale the priority. It has made no launch decision.^{1177,1128}
- **Myth:** mBridge screens payments for sanctions.
Fact: Each bank screens payments itself, off the platform.¹¹³⁶
- **Myth:** Any bank can create any CBDC on mBridge.
Fact: Only domestic banks can request issuance or redemption of their home CBDC.¹¹⁷⁸

- **Myth:** e-CNY wallets work like general-purpose wallets. **Fact:** They do not allow person-to-person transfers. ¹¹⁷⁹
- **Myth:** Inthanon-LionRock and mBridge are different projects. **Fact:** mBridge is the renamed later phase of the same project. ¹¹⁸⁰

Official documents to read first

1. **HKMA Central Bank Digital Currency (CBDC) page** — HKMA, updated Sep 2026. Read the policy stance, mBridge, Ensemble and Collaborative Projects sections. This is the HKMA's own current summary. <https://www.hkma.gov.hk/eng/key-functions/international-financial-centre/fintech/central-bank-digital-currency/>
2. **Project mBridge: Connecting economies through CBDC** — pilot report, Oct 2022. Read s.6.4 (privacy) and s.6.5.2 (payments). Then read s.7.1 and s.7.2 (sovereignty, legal, AML and sanctions). This report gives the clearest statement of bank compliance duties on a CBDC platform. <https://www.hkma.gov.hk/media/eng/doc/key-information/press-release/2022/20221026e3a1.pdf>
3. **e-HKD Pilot Programme Phase 2 Report** — HKMA, 28 Oct 2025. Read the Executive Summary and Section 5 ('Path Forward'). It explains why the HKMA

put wholesale use first.

<https://www.hkma.gov.hk/media/eng/doc/key-information/press-release/2025/20251028e4a1.pdf>

Open questions

- The official Hong Kong sources reviewed do not describe the BIS exit from mBridge. This module takes it from the BIS's own statements of October 2024.¹¹⁴⁵ The sources reviewed do not describe mBridge's work after December 2025.
- In October 2025 the HKMA said groundwork for a retail e-HKD would be finished in the first half of 2026.¹¹⁸¹ Its September 2026 page says this preparation work is completed.¹¹⁸² The page gives no launch decision.¹¹⁸²
- The e-HKD Industry Forum's planned common token standards (shared technical rules for tokens) are not yet in the documents reviewed for this guide.¹¹⁸³
- The HKMA and the PBoC have been working on upgrading e-CNY wallets and raising their limits.^{1184,}¹¹⁸⁵ As of March 2026, this work had no finalised proposals or timetable.^{1184,1185}
- None of the documents reviewed for this guide gives outcomes of the BDF, BoT, BCB and Shanghai collaborations.

Check yourself

Answer from memory, then check the answer key at the back of the book.

1. Who runs the AML, KYC and sanctions checks for a payment sent over the mBridge platform?
2. When did the mBridge platform reach minimum viable product (MVP) stage?
3. Has the HKMA decided whether or when to introduce a retail e-HKD?
4. If your bank distributes e-HKD under a two-tier design, what two tasks could it get?
5. Can any bank on mBridge request issuance or redemption of any CBDC?

Related modules

A1, C5, E1, E3. See also D7 (sanctions).

PART E · MODULE E3

E3 Glossary and timeline

This page is a quick reference for the bank's Head of Compliance (digital assets). Look up a term in plain English. Or see where any document sits in the 2017–2026 sequence. Every line gives its official source. As of 25 Sep 2026.

How to use this page

Abbreviations used on this page:

- AI (AIs) = authorized institution(s)
- AML = anti-money laundering
- AMLO = Anti-Money Laundering and Counter-Terrorist Financing Ordinance
- BIS = Bank for International Settlements
- CBDC = central bank digital currency
- CFT = counter-financing of terrorism
- CMU = Central Moneymarkets Unit
- CP = consultation paper
- DLT = distributed ledger technology (shared databases, such as blockchains)
- e-CNY = the digital renminbi
- e-HKD = a possible digital Hong Kong dollar
- FATF = Financial Action Task Force

- FSTB = Financial Services and the Treasury Bureau
- HKMA = Hong Kong Monetary Authority
- IRD = Inland Revenue Department
- KYC = know your customer (identity checks)
- LC (LCs) = licensed corporation(s)
- LegCo = Legislative Council
- ML/TF: ML = money laundering; TF = terrorist financing
- MoU = memorandum of understanding (a formal agreement to work together)
- OECD = Organisation for Economic Co-operation and Development
- OTC = over the counter (trading directly with a dealer, not on an exchange)
- RI (RIs) = registered institution(s)
- SFC = Securities and Futures Commission
- SFO = Securities and Futures Ordinance
- VA (VAs) = virtual asset(s)
- VASP (VASPs) = virtual asset service provider(s)
- VATP (VATPs) = virtual asset trading platform(s)

How the page works:

- Part A defines about 80 terms. Each one points to the official document and paragraph that sets out the idea.

- Part B lists about 100 dated events from 2017 to September 2026. Each event is a fact about what was published or done. Targets appear only as the source states them.
- Dates are as the source gives them. If a source gives only a month or a year, so does this page.

Part A: Glossary

Institutions and legal status

Term	Plain definition	Src
Authorized Institution (AI)	A bank or other institution that the HKMA has authorised. The HKMA's anti-money laundering guideline (its AML/CFT Guideline) sets the standards AIs should meet, including AIs that are also RIs. The HKMA issues that guideline under s.7 of the AMLO and s.7(3) of the Banking Ordinance.	109
Registered Institution (RI)	An AI that the SFC has registered to carry on one or more regulated activities (types of securities business, such as dealing or advising). The HKMA supervises RIs day to day, as frontline supervisor. Ultimate responsibility stays with the SFC.	1186
Licensed corporation (LC)	A firm that the SFC has licensed to carry on regulated activities. The joint circulars cover LCs and RIs together, calling both 'intermediaries'.	1187

Term	Plain definition	Src
HKMA	The Hong Kong Monetary Authority, Hong Kong's banking regulator. Among its other roles, it grants licences to stablecoin issuers under the Stablecoins Ordinance.	1188, 174
SFC	The Securities and Futures Commission, Hong Kong's securities regulator. It licenses VA trading platforms. The Government proposes that the SFC lead licensing and standard-setting for VA dealing and VA custody (safekeeping).	675, 67
FSTB	The Financial Services and the Treasury Bureau, the government bureau for financial policy. It issued Policy Statement 2.0. It runs the VA licensing consultations jointly with the SFC.	39, 1189
Frontline regulator	The body that supervises a firm day to day. This is the HKMA's proposed role for banks under the coming VA dealing and custody regimes. Under these regimes, the HKMA would supervise banks, while the SFC sets the standards.	1106
SB-1	A chapter of the HKMA's Supervisory Policy Manual (its supervision handbook). It covers how the HKMA supervises RIs' regulated activities. It is a statutory guideline, issued under s.7(3) of the Banking Ordinance.	1190
Executive officer	A person who directly supervises a regulated activity at an RI. The RI appoints this person with the HKMA's written consent. Each activity needs at least two.	1191

Virtual assets and platforms

Term	Plain definition	Src
Virtual asset (VA)	The legal term for crypto and similar digital tokens. The AMLO defines it in s.53ZRA. Policy Statement 2.0 (June 2025) says the Government will now say 'digital assets' instead.	1192, 144
Digital asset (HKMA custody usage)	A broad term in the HKMA's custody guidance. It covers VAs, tokenised securities and other tokenised assets (assets recorded as digital tokens). It also covers the keys, seeds and backups (the secret codes that give access) used to reach those assets.	1193
VASP	A business that provides VA services, such as trading or transfers, to customers. The HKMA expects banks to assess each VASP customer's ML/TF risk on its own facts. That assessment includes extra due diligence (deeper checks) where needed.	1194
VATP	An online platform where people buy and sell VAs. In SFC usage, it is a company licensed under the SFO for Types 1 and 7 (dealing in securities, and automated trading services). A company holding an AMLO VA service licence also counts.	1195
Deemed-to-be-licensed	A platform that may keep operating while the SFC decides its licence application. It was operating before 1 June 2023 and met the conditions for this status. It is not licensed and may never be.	1196

Term	Plain definition	Src
Non-contravention period	A grace period of 12 months, from 1 June 2023 to 31 May 2024. VATPs already running, with a genuine Hong Kong presence, could operate during it. Doing so did not breach the AMLO licensing rule.	1197
Associated Entity	A company that holds a VATP's client assets on trust (for the clients, not for itself). It is a Hong Kong subsidiary wholly owned by the VATP. It does no other business.	1198
Cold storage	Keeping the keys to VAs offline, away from the internet. The SFC expects VATPs to keep 98% of client VAs in cold storage.	680
Compensation arrangement	Cover that repays clients if their VAs are lost. A VATP should hold an SFC-approved arrangement of this kind. It should cover potential loss of 50% of client VAs in cold storage. It should also cover 100% of those in hot storage (kept online) and other storage. For bank custody, the HKMA's May 2026 guidance instead expects the bank to be liable to clients and to have adequate financial resources.	84,85
Professional investor	An institution, or a wealthy person or firm, that meets a legal test. The SFO defines the term in Schedule 1, Part 1, s.1. Any other person is a 'retail client'.	1199

Term	Plain definition	Src
Complex product	An investment product whose terms and risks are hard for a typical investor to understand. It triggers the SFC's complex-product rules. These include a suitability check (whether the product fits the client), even if the firm did not solicit (actively offer) the sale. The joint circular says VA-related products are very likely complex.	1200
Joint circular	A notice from the SFC and HKMA together on intermediaries' VA activities. The December 2023 version replaced the January 2022 and October 2023 versions. A supplement followed in September 2025.	86, 1201
Staking	Locking a client's VAs into a proof-of-stake network to earn rewards. In such a network, holders who lock up tokens help check and confirm transactions.	181
Shared order book	One pool of buy and sell orders shared by an SFC-licensed VATP and an overseas platform in its group. Every order is fully pre-funded (paid for up front). Trades settle delivery-versus-payment: the asset and the payment change hands together.	1202
Perpetual contract	A contract that tracks a VA's price, uses leverage (borrowed exposure) and has no end date. Under the SFC's February 2026 framework, licensed VATPs may propose to offer them. They should be offered to professional investors only.	1203

Term	Plain definition	Src
Funding rate	Regular payments between the two sides of a perpetual contract. One side gains if the price rises (long) and the other if it falls (short). The payments keep the contract's price near the spot (current market) price. The SFC expects settlement at least once every 24 hours.	1204
Travel Rule (VA transfers)	The rule that sender and recipient details travel with a transfer. For banks, the HKMA Guideline sets customer due diligence (checks on the customer) for one-off VA transfers of HK\$8,000 or more. It points to AMLO Schedule 2 s.13A. RIs must also take into account the VA parts of Chapter 12 of the SFC AML Guideline.	1205
Unhosted wallet	A VA wallet (software or hardware) through which the owner holds and moves VAs, keeping the private key (the secret code that moves the VAs). The HKMA's May 2025 consultation proposed a check by licensed stablecoin issuers. They would check whether each customer's wallet is custodial (run by a provider) or unhosted.	1206
Suspicious VATPs list	A public SFC list of suspicious trading platforms. It helps the public spot suspicious platforms doing business in Hong Kong.	1207, 1208

Coming VA regimes

Term	Plain definition	Src
VA dealing service	Dealing in VAs (buying and selling them) as a business. The June 2025 proposal covers this business in Hong Kong. It runs from simple conversion (swapping one asset for another) to brokerage and block trades (very large deals). Banks would register with the SFC, with the HKMA as frontline regulator.	1119
VA custodian service	Keeping VAs safe for others as a business. Under the December 2025 conclusions, it means holding, for others, the private keys or similar tools that can move VAs. Trustees or managers that only hand custody to someone else are out of scope.	1209
VA advisory / VA management	Advising clients on VAs, and managing VA portfolios for them. Both are proposed licensing regimes. Their scope will match the SFO regimes for advising on securities (Type 4) and asset management (Type 9).	1108
Deeming / grandfathering	Letting firms already in business carry on under a new regime, as if licensed, while they apply. None is planned for the VA dealing or VA custodian regimes.	81,53
Expedited approval	A faster route to approval. It is promised for SFC-licensed VATPs. It is also promised for LCs and RIs that already provide VA dealing services.	185

Term	Plain definition	Src
MPC (multi-party computation) provider	A technology firm that splits control of a private key among several parties. Whether it needs a custodian licence depends on the facts of each case. The main tests are whether it can move client VAs on its own, and whether clients can always reach their assets independently.	475
VA OTC regime	A scheme to license OTC VA trading businesses. The February 2024 proposal was for the Commissioner of Customs and Excise to license spot VA trading (buying and selling for immediate delivery). The proposal also covered shops and crypto cash machines. The June 2025 dealing proposal revised the scheme.	1210, 1211

Stablecoins and bank capital

Term	Plain definition	Src
Stablecoins Ordinance (Cap. 656)	Hong Kong's stablecoin law. Stablecoins are tokens designed to hold a steady value. The law set up licensing for regulated stablecoin activities and came into force on 1 August 2025.	1212
Fiat-referenced stablecoin (FRS)	A stablecoin whose value is tied to one or more fiat currencies (ordinary government-issued money). An HKMA licence is needed to issue one in Hong Kong as a business. A licence is also needed to issue one tied to the Hong Kong dollar as a business, in or outside Hong Kong.	1213, 1188

Term	Plain definition	Src
Relevant Stablecoin	A stablecoin issued by an HKMA-licensed issuer under its licence. It is a 'specified stablecoin', a category set out in law.	1214
Register of licensed stablecoin issuers	The HKMA's public list of licensed stablecoin issuers. The HKMA keeps it under s.21 of Cap. 656.	1215
Stablecoin issuer sandbox	A controlled space where would-be stablecoin issuers could test their plans with the HKMA. The HKMA launched it in March 2024 to share its supervisory expectations. Admission was not an HKMA endorsement. Participants had to apply separately for a licence.	1216
Cryptoasset (capital rules)	In the bank capital rules, a digital form of value. It relies mainly on cryptography (code-based security) and DLT or similar technology. It can be used to pay, to invest, or to access goods or services.	1217
Group 1a / 1b	Classes of cryptoasset treated like the traditional asset behind them. Group 1a is tokenised traditional assets. Group 1b is stablecoins with effective stabilisation mechanisms (ways to keep the price steady). Both carry the same capital requirements as the underlying traditional asset. An infrastructure add-on (an extra charge for technology risk) may apply on top.	1218

Term	Plain definition	Src
Group 2a / 2b	Cryptoassets with the toughest capital treatment. They are unbacked cryptoassets, and tokenised assets or stablecoins that fail the classification conditions. They are fully capitalised: a 1,250% risk weight times the 8% minimum total capital ratio means the bank holds capital equal to the whole exposure ⁶⁶ . Limited hedging (offsetting positions) is recognised for 2a, and none for 2b.	1219
CRP-1	The HKMA's guidance on sorting cryptoassets into these groups. It is non-statutory (not issued under a law). If it differs from the Banking (Capital) Rules, the Rules prevail.	1220
Negative vetting	LegCo's 28-day review of subsidiary legislation (detailed rules made under an existing law). The amendment rules on cryptoasset capital, disclosure and exposure limits completed this review in August 2025.	52

Tokenisation and digital money

Term	Plain definition	Src
Tokenised deposit	A commercial bank deposit in digital token form. The bank itself issues it.	594, 1221
Tokenised product (HKMA)	A digital token version of a real-world investment product, recorded on DLT. In HKMA usage, it covers products not regulated under the SFO, and excludes stablecoins. The sales rules for the underlying product generally apply to its tokenised form too.	1222

Term	Plain definition	Src
Tokenised security (SFC)	A traditional security, such as a share or bond, wrapped in a digital token. The SFC judges whether it is complex by looking through to the underlying security.	1223
Cash token	A digital token that stands in for cash. In Project Evergreen, the CMU minted (created) each token as a claim on the HKMA for one Hong Kong dollar.	1224
Non-native issuance	A bond issued first in the normal way, then turned into tokens on a DLT platform. In Project Evergreen, the CMU made its book entries first. The investors' beneficial interests (ownership rights) were then recorded on the ledger.	1225
CMU / CMU OmniClear	CMU: the Central Moneymarkets Unit, a bond settlement system. CMU OmniClear: the company that runs it for the HKMA. The HKMA owns the CMU. CMU OmniClear Limited is a wholly owned subsidiary of the Exchange Fund (Hong Kong's official reserves), set up in October 2024.	1226
Digital Bond Grant Scheme	An HKMA grant for issuing digital bonds in Hong Kong. It pays up to HK\$2.5 million per eligible digital bond issue. It is open for an initial three years from November 2024.	1227
Supervisory Incubator	An HKMA arrangement that lets banks check their DLT risk controls before a full launch. Banks can choose to run live trials.	1228

Term	Plain definition	Src
DLT	Distributed ledger technology: a database shared and copied across many computers, such as a blockchain. The HKMA's non-binding considerations expect an AI's board and senior management to take full responsibility for DLT risks.	1229
CBDC / e-HKD	CBDC: central bank digital currency, meaning money a central bank issues in digital form. The e-HKD is the HKMA's possible digital Hong Kong dollar, for wholesale and retail uses. The HKMA currently gives priority to wholesale use (between banks and other financial institutions).	1230
Wholesale CBDC (wCBDC)	Central bank digital money used for settlement between banks. It is the basis of Project Ensemble.	575
Project e-HKD+	The new name for Project e-HKD from September 2024. The project widened from the e-HKD alone to new forms of digital money, including tokenised deposits.	1231
Three-rail approach	The HKMA's three-part path for the e-HKD. Rail 1 lays the foundations. Rail 2 covers use cases and pilots. Rail 3 covers implementation planning.	1232
Project Ensemble / EnsembleTX	Project Ensemble: HKMA work on settling deals in tokenised money. EnsembleTX: its pilot phase using real money, from November 2025.	578

Term	Plain definition	Src
Ensemble Architecture Community	A group the HKMA formed in May 2024. Its members are regulators, banks and technology firms. It develops industry standards so that systems can work together (interoperability).	1233
mBridge	A shared platform for cross-border payments in several central banks' digital currencies. It settles payment-versus-payment (both currencies swap at once), in real time, 24/7.	1234
Off-bridge compliance	Doing compliance checks outside the mBridge platform. Banks meet each jurisdiction's KYC and AML/CFT rules off the platform.	1137
PvP / DvP	PvP: payment-versus-payment. DvP: delivery-versus-payment. In PvP, two payments in different currencies settle together. In DvP, an asset and its payment settle together. The Ensemble Sandbox was built to test both for settlement between banks. The SFC describes DvP as a simultaneous exchange of assets that lowers the risk of one side not delivering.	1235, 1236
Atomic settlement	Settling both sides of a deal at the same instant. Each side depends on the other.	1237

Term	Plain definition	Src
Purpose-bound money	Money with rules attached about how it can be used. It works as a 'wrapper' that sets conditions while leaving the underlying value intact. Phase 2 pilots examined it as an alternative to a natively programmable e-HKD (one with rules built into the money itself). A natively programmable e-HKD could weaken fungibility (every unit being interchangeable).	1238
Access Enabler	In Project Sela, a new type of go-between that serves retail CBDC users directly. It handles tasks such as onboarding and KYC. It does not hold users' CBDC or its own liquidity (cash reserves).	1239
e-CNY tier-4 wallet	A basic personal wallet for the digital renminbi. It is opened with a Hong Kong mobile number, without real-name checks. The balance is capped at 10,000 renminbi. It allows retail payments only, not person-to-person transfers.	1169

Tax and financial-crime data

Term	Plain definition	Src
CARF	Crypto-Asset Reporting Framework (CARF): an OECD standard for tax authorities to swap crypto-asset tax data automatically each year.	1240
RCASP / HKRCASP	RCASP: a reporting crypto-asset service provider. HKRCASP: an RCASP that meets a test of its link to Hong Kong. Under the 2026 Bill, an RCASP is a business that carries out crypto exchange transactions for customers.	1241

Term	Plain definition	Src
CRS / AEOI	CRS: the Common Reporting Standard. AEOI: automatic exchange of information. The CRS is the OECD model for swapping financial account information automatically each year. Hong Kong has run it since 2018.	1242
RFI	Reporting financial institution (RFI): a financial institution that reports account data under the CRS. Under the amended CRS, these institutions report gross proceeds (total sale amounts) from sales of relevant crypto-assets by default.	1243
SEMP	Specified electronic money product (SEMP): a type of e-money product. CARF leaves it out, but the amended CRS brings it in.	933
Board of Review	An independent appeal body. Under the 2026 Bill, an RCASP could appeal to it against a CARF financial penalty assessment.	919
DATAS / AMLAS	DATAS: the Digital Asset Transaction Analytics System. AMLAS: the Anti-Money Laundering Analytics System. Both are data-analysis systems the Customs and Excise Department has planned (by 2029).	1244
CrypTech	An SFC technology initiative. Its big-data tools for watching markets and for AML surveillance are to switch on in 2027.	1102
FATF targeted update	A regular FATF report on how countries apply its standards for VAs and VASPs. The sixth was published on 26 June 2025.	1245

Policy frameworks

Term	Plain definition	Src
'Same activity, same risks, same regulation'	Activities with the same risks get the same rules, whatever form they take. The Government has applied this principle to VA activity since 2022.	124
LEAP	The four focus areas of Policy Statement 2.0. LEAP stands for Legal streamlining, Expanding tokenised products, Advancing use cases, and People and partnerships.	146
ASPIRe	The SFC's 2025 roadmap, with 12 initiatives. ASPIRe stands for its five pillars: Access, Safeguards, Products, Infrastructure and Relationships.	148
Fintech 2030	The HKMA's financial technology strategy, with over 40 initiatives. Its four pillars are data and payments, artificial intelligence, resilience, and tokenisation.	136

Part B: Master timeline 2017–2026

Date	Event	Issuer	Src
2017	The HKMA starts its e-HKD work with Project LionRock: a wholesale test with Hong Kong's three note-issuing banks.	HKMA	1246
5 Sep 2017	The SFC says tokens sold in an initial coin offering (a crypto fundraising) may be securities under the SFO.	SFC	1247

Date	Event	Issuer	Src
2017	The HKMA publishes its second whitepaper on DLT, after the first in 2016.	HKMA	1248
21 Sep 2018	An HKMA keynote speech argues that crypto-currencies such as Bitcoin do not do the job of money, and calls them crypto-assets.	HKMA	1249
1 Nov 2018	The SFC sets standards for VA portfolio managers and fund distributors, covering portfolios aiming to put 10% or more in VAs.	SFC	1250
Sep 2019	The HKMA and the Bank of Thailand start Project Inthanon-LionRock with ten banks.	HKMA + Bank of Thailand	1251
6 Nov 2019	The SFC, in a position paper, offers opt-in licensing to platforms that trade security tokens, with 98% held in cold storage.	SFC	1252
16 Dec 2019	The HKMA issues a circular on the ML/TF risks of VAs and VASPs, replacing its 2014 letters.	HKMA	1253
Jan 2020	The HKMA and the Bank of Thailand publish the Inthanon-LionRock report.	HKMA + Bank of Thailand	1129
3 Nov 2020	The FSTB opens an AML consultation proposing licensing for VASPs, which closes on 31 Jan 2021.	FSTB	1254
16 Dec 2020	The SFC licenses the first VATP, for professional investors only.	SFC	1255

Date	Event	Issuer	Src
23 Feb 2021	The People's Bank of China Digital Currency Institute and the Central Bank of the UAE join, and the project becomes m-CBDC Bridge.	HKMA and partners	1256
May 2021	The FSTB concludes that VA exchanges are to be SFC-licensed and, at first, serve professional investors only.	FSTB	1257
8 Jun 2021	The HKMA launches Fintech 2025, which includes a study of the e-HKD.	HKMA	1258
Jun 2021	The HKMA begins its study of a retail e-HKD (one for the public).	HKMA	1259
2021	The HKMA and the BIS Innovation Hub run Project Genesis, a test of tokenised green bonds.	HKMA + BIS Innovation Hub	1260, 1261
28 Sep 2021	The HKMA and its mBridge partners publish an interim report on faster, cheaper cross-border payments.	HKMA and partners	1262
4 Oct 2021	The HKMA's e-HKD technical whitepaper explores a two-tier design (central bank plus banks), and the HKMA says it is not a blueprint.	HKMA	1156
12 Jan 2022	The HKMA issues a discussion paper on crypto-assets and stablecoins, with comments due by 31 Mar 2022.	HKMA	515

Date	Event	Issuer	Src
28 Jan 2022	The HKMA sets out its approach to AIs' dealings with VAs and VASPs.	HKMA	1263
28 Jan 2022	The SFC and HKMA issue their first joint circular on VA activities.	SFC + HKMA	1264
27 Apr 2022	The HKMA publishes an e-HKD policy and design paper, with comments due by 27 May 2022.	HKMA	1265
15 Aug 2022	The mBridge partners begin a six-week pilot with real money, running to 23 Sep 2022.	HKMA and partners	1266
Sep 2022	The HKMA's paper 'e-HKD: Charting the Next Steps' sets out the three-rail approach.	HKMA	1128
26 Oct 2022	The mBridge pilot report shows 20 banks in four jurisdictions, over 160 transactions and more than HK\$171 million.	HKMA and partners	1267
Oct 2022	The HKMA and the BIS Innovation Hub publish the Project Aurum report on a two-tier retail CBDC prototype.	HKMA + BIS Innovation Hub	1148
31 Oct 2022	The FSTB's Policy Statement on VAs adopts the principle 'same activity, same risks, same regulation'.	FSTB	124
Nov 2022	The HKMA launches the e-HKD Pilot Programme.	HKMA	1268
7 Dec 2022	LegCo passes changes to the AMLO that create VASP licensing, in force from 1 June 2023.	LegCo / HKMA	1269, 675

Date	Event	Issuer	Src
20 Dec 2022	The HKMA circulates the Basel prudential standard (global bank safety rules) for cryptoasset exposures.	HKMA	1270
31 Jan 2023	The HKMA's stablecoin consultation conclusion proposes compulsory licensing for key stablecoin activities.	HKMA	1271
16 Feb 2023	The Government offers a HK\$800 million tokenised green bond.	HKMA	1272
20 Feb 2023	The SFC consults on rules for VATPs, including access for retail investors.	SFC	1273
18 May 2023	The HKMA starts e-HKD pilots with 16 firms.	HKMA	1274
23 May 2023	The SFC's VATP conclusions allow retail investors in, with safeguards.	SFC	1275
25 May 2023	The HKMA revises its AML/CFT Guideline for AIs, setting a HK\$8,000 threshold for VA transfers.	HKMA	942
1 Jun 2023	The AMLO licensing regime for VATPs and the SFC's VATP Guidelines take effect.	SFC	675, 145
24 Aug 2023	The HKMA reports on bond tokenisation in Project Evergreen.	HKMA	1276

Date	Event	Issuer	Src
12 Sep 2023	The HKMA, the Bank of Israel and the BIS Innovation Hub publish the Project Sela report.	HKMA + Bank of Israel + BIS Innovation Hub	1277
13 Sep 2023	The SFC states that no JPEX group entity is licensed by it or has applied for a licence.	SFC	1278
29 Sep 2023	The SFC publishes lists of VATPs, including applicants, and a list of suspicious VATPs.	SFC	1279
20 Oct 2023	The SFC and HKMA revise the joint circular, and the HKMA forms a CBDC Expert Group.	SFC + HKMA	1280, 1281
30 Oct 2023	The HKMA publishes the e-HKD Phase 1 report and an mBridge update.	HKMA	1282, 1283
2 Nov 2023	The SFC's circular on tokenised securities replaces its 2019 statement on security token offerings.	SFC	1284
22 Dec 2023	The SFC and HKMA issue the current joint circular, and the SFC issues a circular on VA funds.	SFC + HKMA	1285, 1286
27 Dec 2023	The FSTB and HKMA consult on rules for stablecoin issuers, until 29 Feb 2024.	FSTB + HKMA	1287
7 Feb 2024	The HKMA issues CP 24.01 on banks' cryptoasset exposures, with comments due by 6 May 2024.	HKMA	722
7 Feb 2024	The Government offers about HK\$6 billion of digital green bonds in several currencies.	HKMA	1288

Date	Event	Issuer	Src
8 Feb 2024	The FSTB consults on licensing OTC VA dealers, with Customs as the licensing body.	FSTB	1210
20 Feb 2024	The HKMA issues circulars on custody standards and on tokenised products; the custody guidance was replaced on 27 May 2026.	HKMA	1289, 22,12
29 Feb 2024	Deadline for VATPs already operating to apply for a licence if they want to be treated as licensed while the SFC decides.	SFC	1290
7 Mar 2024	The HKMA unveils Project Ensemble.	HKMA	1291
12 Mar 2024	The HKMA launches its stablecoin issuer sandbox.	HKMA	1292
14 Mar 2024	The HKMA announces e-HKD Phase 2.	HKMA	1293
16 Apr 2024	The HKMA sets out risk-management considerations for DLT.	HKMA	867
7 May 2024	The HKMA forms the Ensemble Architecture Community.	HKMA	1294
17 May 2024	The HKMA expands the cross-boundary e-CNY pilot.	HKMA	1295

Date	Event	Issuer	Src
1 Jun 2024	From this date, VATPs in Hong Kong must be SFC-licensed or treated as licensed while they apply, as the grace period is over.	SFC	1296
5 Jun 2024	mBridge reaches minimum viable product stage (a first working version), and the Saudi Central Bank joins as a full participant.	HKMA	1297
27 Jun 2024	The Banque de France and HKMA announce wholesale CBDC work under a new MoU, linking the Banque de France's platform (DL3S) to the Ensemble Sandbox.	HKMA + Banque de France	1298
17 Jul 2024	The FSTB and HKMA publish stablecoin consultation conclusions, after 108 submissions.	FSTB + HKMA	1299
28 Aug 2024	The HKMA launches the Ensemble Sandbox.	HKMA	577
23 Sep 2024	The HKMA starts e-HKD Phase 2 and renames the project e-HKD+.	HKMA	1160
18 Oct 2024	The HKMA sets up CMU OmniClear Limited.	HKMA	1300
28 Oct 2024	The HKMA announces tie-ups with Banco Central do Brasil (Drex) and the Bank of Thailand (Project San).	HKMA	1134, 1301

Date	Event	Issuer	Src
Oct 2024	The BIS says it is handing mBridge over to the partner central banks. Its General Manager confirms the BIS is leaving on 31 Oct 2024.	BIS (international source)	1145, 1163
28 Nov 2024	The HKMA launches the Digital Bond Grant Scheme.	HKMA	1302
6 Dec 2024	The Government publishes the Stablecoins Bill in the Gazette, and the Bill gets its First Reading in LegCo on 18 Dec 2024.	Government	1303
13 Dec 2024	Hong Kong commits to CARF, the crypto tax data-sharing standard.	FSTB	908
18 Dec 2024	The SFC revamps VATP licensing, using conditional licences.	SFC	1304
8 Jan 2025	The HKMA launches its Supervisory Incubator for DLT.	HKMA	1305
13 Jan 2025	The HKMA informally consults the banking associations on cryptoasset capital rules, intending them to apply from 1 Jan 2026.	HKMA	723
19 Feb 2025	The SFC publishes the ASPIRe roadmap.	SFC	148
7 Apr 2025	The HKMA and SFC each issue circulars on staking.	HKMA; SFC	1306, 1307

Date	Event	Issuer	Src
21 May 2025	LegCo passes the Stablecoins Bill.	Government	526
26 Jun 2025	The FSTB issues Policy Statement 2.0, built around LEAP.	FSTB	1308
27 Jun 2025	The FSTB and SFC consult on VA dealing and custodian licensing, until 29 Aug 2025.	FSTB + SFC	1189
11 Jul 2025	The HKMA's cryptoasset rules on capital, disclosure and exposure limits are published in the Gazette.	HKMA	1309
1 Aug 2025	The Stablecoins Ordinance and the HKMA's stablecoin guidelines take effect.	Government / HKMA	15,16
12 Sep 2025	The HKMA issues version 4 of SB-1.	HKMA	1310
30 Sep 2025	The SFC and HKMA's supplemental joint circular lets LCs and RIs offer staking and trade through SFC-licensed platforms' off-platform services.	SFC + HKMA	1187
8 Oct 2025	The Government says mBridge is part of Hong Kong's financial market infrastructure.	Government	1143
28 Oct 2025	The HKMA publishes the e-HKD Phase 2 report and gives priority to wholesale uses.	HKMA	1311

Date	Event	Issuer	Src
3 Nov 2025	The SFC issues circulars on shared liquidity and wider product offerings, and the HKMA launches Fintech 2030.	SFC; HKMA	1312, 1313, 1314
11 Nov 2025	The Government offers about HK\$10 billion of digital green bonds, the first digital bond offering to settle using e-HKD and e-CNY.	HKMA	1315
13 Nov 2025	The HKMA launches the EnsembleTX pilot.	HKMA	56
27 Nov 2025	The HKMA issues CRP-1, effective from 1 Jan 2026.	HKMA	31
9 Dec 2025	The FSTB and IRD consult on CARF and the amended CRS, until 6 Feb 2026.	FSTB + IRD	899, 1316
24 Dec 2025	The FSTB and SFC publish conclusions on VA dealing and custodian licensing, and consult on VA advisory and management.	FSTB + SFC	1317
1 Jan 2026	The Basel cryptoasset rules and CRP-1 take effect.	HKMA	52,31
11 Feb 2026	The SFC lets VA brokers offer VA margin financing and permits affiliated market makers. It also sets a framework for VATP perpetual contracts for professional investors.	SFC	1318

Date	Event	Issuer	Src
25 Feb 2026	The Budget plans a 2026 bill on VA dealing and custodian licensing, and a CARF amendment bill in the first half of 2026. It also plans a CMU OmniClear digital asset platform.	Government	1319
2 Mar 2026	The HKMA, the Shanghai Data Bureau and the National Technology Innovation Center for Blockchain sign an MoU on digitised cargo trade and finance.	HKMA	1155
9 Mar 2026	The HKMA expects each AI's board to endorse, within six months, a strategic business plan for digital transformation.	HKMA	1320
10 Apr 2026	The HKMA grants the first two stablecoin issuer licences.	HKMA	174
20 Apr 2026	The SFC sets a framework to pilot secondary trading (resale after issue) of tokenised SFC-authorised products.	SFC	1085
22 May 2026	The Government publishes the CARF bill in the Gazette, and introduces it into LegCo on 3 Jun 2026.	Government / IRD	33
26 May 2026	The FSTB and SFC publish conclusions on VA advisory and VA management.	FSTB + SFC	1092

Date	Event	Issuer	Src
27 May 2026	The HKMA issues updated custody guidance, VA financing guidance and a Relevant Stablecoin circular for RIs, and the SFC issues its own Relevant Stablecoin circular.	HKMA; SFC	1321, 18, 638, 312
29 May 2026	The SFC's list shows 13 licensed VATPs.	SFC	1322
3 Jun 2026	The HKMA clarifies para 2.6.4 of CRP-1, with immediate effect.	HKMA	553
5 Jun 2026	The HKMA convenes a Tokenised Bond Expert Group.	HKMA	1323
29 Jun 2026	The FSTB and HKMA's first-phase review finds the law flexible enough for tokenised bond issuance. The next phase is to start in the second half of 2026.	FSTB + HKMA	1324
9 Jul 2026	The SFC gives VATPs and internet brokers 12 months to bring in phishing-resistant login and device binding (tying accounts to known devices). Its circular states this as an expectation.	SFC	1325, 857
Aug 2026	The first regulated stablecoin in Hong Kong launches, a Government spokesman says on 16 Sep 2026. The official sources reviewed do not name the issuer.	Government	503

Date	Event	Issuer	Src
16 Sep 2026	The Policy Address says the HKMA is to test tokenised Exchange Fund Bills by year-end. The HKMA also plans to bring CBDC settlement and round-the-clock operation to EnsembleTX by around end-2026.	Government	131

Notes on sources

- Where a draft and a final text differ, this page uses the final. The January 2025 capital draft said permissionless-chain tokens (tokens on public blockchains that anyone can join) could not be Group 1. The final CRP-1 lets them qualify if extra measures are in place.^{1326,1327}
- Policy Address references use the source's own paragraph numbers. For example, the Exchange Fund Bills item is para 35.

Check yourself

Answer from memory, then check the answer key at the back of the book.

1. Who supervises Registered Institutions (RIs) day to day, and who holds ultimate responsibility for them?
2. What HK\$ threshold triggers customer due diligence for a one-off VA transfer under the HKMA's AML/CFT Guideline?

3. Is deeming or grandfathering planned for the coming VA dealing or VA custodian regimes?
4. When did the AMLO licensing regime for VATPs and the SFC's VATP Guidelines take effect?
5. Are Project Inthanon-LionRock and mBridge two separate projects?

Related modules

A1, A2, A3, B1, C1, C2, C3, C5, C6, D3, D4, D5, E1, E2

PROJECTS

Official projects and initiatives

One profile for each official initiative: what it is, where it stands, and what it means for a bank.

PROJECT PROFILE

ASPIRe: the SFC's virtual-asset roadmap

EXPLORATORY

 Run by: SFC

The Securities and Futures Commission (SFC) published ASPIRe in February 2025. It is a roadmap of five pillars and 12 initiatives for Hong Kong's virtual-asset (VA) market.¹³²⁸ Some roadmap items, such as VA financing, now reach banks through Hong Kong Monetary Authority (HKMA) guidance.¹³²⁹ ASPIRe's licensing work also led to planned regimes under which banks would register with the SFC.^{149,1106}

At a glance

Item	Detail
Run by	SFC ¹³²⁸
Status as of 25 Sep 2026	Exploratory (roadmap); several initiatives since delivered through SFC circulars and guidance ^{1330, 1331,1332}
Started	19 Feb 2025 ¹³²⁸
Next official date	H2 2026: SFC digital-asset custody surveillance system to begin operating (stated target in the Policy Address) ¹¹⁰²
Covered in	A3, C1, C3, C6, C7, E1

What it is

ASPIRe stands for five pillars: Access, Safeguards, Products, Infrastructure and Relationships. Together they hold 12 initiatives. ¹³²⁸

- **Access** covers new licensing regimes for over-the-counter (OTC) VA dealing and for VA custody. OTC deals are agreed directly between two parties, not on an exchange. ¹⁴⁹ ASPIRe says the government-led work to prepare the law for custodians aimed to finish by end-2025. ¹⁴⁹
- **Safeguards** includes exploring custody standards that focus on results and do not favour any one technology. ¹⁵⁰ It also includes a more flexible approach to cold-storage ratios, meaning the share of client assets kept offline. ¹⁵⁰
- **Products** looks at: ¹³³³
 - new token listings
 - derivatives (contracts whose value tracks another asset) for professional investors
 - margin financing (lending to clients so they can buy assets)
 - staking (locking up tokens to help run a blockchain, for a reward)
 - borrowing and lending

- **Infrastructure** covers tools for regulatory reporting and surveillance. One example is wallet tracing, which follows tokens as they move between wallets.

1334

The SFC frames many initiatives as things it will explore or consider. ¹⁷²

➤ COMMERCIAL AND CUSTOMER BENEFITS

For customers:

- The SFC says shared order books with affiliated overseas platforms could give Hong Kong investors better liquidity and keener prices. ¹³³⁵
- The SFC says VA financing would let margin clients with strong credit and collateral trade more in virtual assets. ⁶²⁷
- Registered institutions (RIs) may offer staking to their VA dealing clients, only through segregated accounts with a licensed platform or a bank. ³⁰¹
Staking earns a reward for locking tokens to help run a blockchain CONCEPT.

For the bank:

- RIs that provide VA dealing may lend to securities margin clients for VA dealing. ¹³²⁹ Such loans earn interest above funding cost CONCEPT.

- The SFC's perpetual contract framework lets platforms take HKMA-regulated tokenised deposits as margin. ¹¹²⁰

Evidence so far:

- Hong Kong had 11 VA spot exchange-traded funds at end-2025, with market value over HK\$5.4 billion. ³⁷⁹
- The SFC listed 13 licensed VA trading platforms on 29 May 2026. ³⁰³
- HashKey Holdings Limited (HashKey), a Hong Kong-listed platform group, reported average staked assets of HK\$14.8 billion in the first half of 2026, down from HK\$20.2 billion (2026 interim results, group-wide, reported). ¹³³⁶

Limits:

- The February 2025 roadmap framed many initiatives as things to explore or consider. ¹⁷² An SFC executive director called it a living blueprint. ¹³³⁷
- For capital purposes, a bank must treat loans backed only by virtual assets as unsecured. ⁶³³

Business lines: Virtual-asset financing and margin; Staking services; Virtual-asset dealing

Timeline

Date	Milestone	Status	Src
19 Feb 2025	ASPIRe roadmap published	Exploratory	1328
7 Apr 2025	Staking guidance for VA trading platforms (VATPs) and VA funds, framed under Pillar P	In force	1338
27 Jun 2025	VA dealing and custodian consultations (Pillar A); conclusions published 24 Dec 2025	Conclusions published	1189, 1339
15 Aug 2025	SFC custody circular to VATPs cites Pillar S, Initiative 3	In force	1340
3 Nov 2025	Circulars on shared order books and on a wider product range (Pillars A and P)	In force	1331
11 Feb 2026	VA financing, a framework for perpetual contracts, and platforms' own affiliates acting as market makers	Issued	1318
H2 2026	SFC digital-asset custody surveillance system to begin operating	Stated target	1102
2027	Parts of CrypTech (an SFC initiative) that use big data for market and anti-money laundering surveillance	Stated target	1102

What it means for your bank

- The SFC calls the roadmap a plan that will keep changing, not a final destination.¹³³⁷ Its initiatives take effect through separate circulars (SFC letters to

firms) and guidance. Examples include the circulars on staking and VA financing.^{1341,1332}

- VA financing now reaches banks too.¹³²⁹ Registered institutions (RIs) are banks registered with the SFC. RIs that provide VA dealing services may lend to their securities margin clients for VA dealing. Margin clients are clients who borrow from the firm to invest.¹³²⁹ The HKMA expects these RIs to observe standards similar to the SFC's.¹³²⁹
- Licensed and registered firms, including RIs, may offer staking to clients for whom they deal in virtual assets.³⁰¹ They should use only segregated accounts, kept apart from the firm's own assets.³⁰¹ Those accounts should sit at an SFC-licensed platform or at an authorized financial institution.³⁰¹
- The SFC's framework covers perpetual contracts on VATPs. These are derivatives with no expiry date. VATPs should offer them only to professional investors.¹¹¹⁰ Margin collateral is what clients post to back their trades. It should be fiat money (ordinary currency), or stablecoins or tokenised deposits regulated by the HKMA.¹¹¹⁰
- Pillar A's plans for OTC trading and custody became the proposed VA dealing and custodian regimes. Banks would register rather than be licensed, with the HKMA as frontline regulator.^{149,1106} Two further

proposed regimes cover VA advisory and VA management. Under those regimes too, only banks could register with the SFC.¹³⁴²

Talking points

- **To the CCO:** ASPIRe is a roadmap. Its initiatives take effect through separate SFC circulars and guidance, so track those.^{1337,1332}
- **To business heads:** Items delivered so far include staking, shared order books, VA financing and perpetual contracts for professional investors.^{1330, 1335,1343}
- **To the CEO:** The SFC's Executive Director of Intermediaries called the roadmap-based approach essential to scaling Hong Kong's digital asset market.¹³⁴⁴
- **To Risk:** The SFC still frames custody standards based on results as something to explore.¹⁵⁰ But its August 2025 custody circular to VATPs took effect immediately.⁶⁸⁵

Key documents

1. "A-S-P-I-Re" for a brighter future: SFC's regulatory roadmap for Hong Kong's virtual asset market — SFC — 19 Feb 2025 — read all five pillar sections — <https://www.sfc.hk/en/News-and->

announcements/Policy-statements-and-
announcements/A-S-P-I-Re-for-a-brighter-future-
SFCs-regulatory-roadmap-for-Hong-Kongs-virtual-
asset-market

2. SFC sets out new roadmap to develop Hong Kong as a global virtual asset hub — SFC — 19 Feb 2025 — read paras 1-3 —
<https://apps.sfc.hk/edistributionWeb/gateway/EN/news-and-announcements/news/doc?refNo=25PR20>
3. SFC launches trading initiatives to boost digital asset market vibrancy in Hong Kong — SFC — 11 Feb 2026 — read paras 2-4 —
<https://apps.sfc.hk/edistributionWeb/gateway/EN/news-and-announcements/news/doc?refNo=26PR24>
4. The Chief Executive's 2026 Policy Address — Hong Kong Government — 16 Sep 2026 — read paras 49 and 51(iii) —
https://www.policyaddress.gov.hk/2026/public/pdf/policy/policy-full_en.pdf

Related

Projects: va-licensing-regimes, relevant-stablecoins, policy-statements. Modules: A3, C1, C3, C6, C7, E1.

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PROJECT PROFILE

Crypto-Asset Reporting Framework (CARF) and amended CRS

BILL BEFORE LEGCO

 Run by: FSTB + IRD

A Hong Kong bill would update the Common Reporting Standard (CRS) and bring in the Crypto-Asset Reporting Framework (CARF).³³ Since 2018, Hong Kong has used the CRS to exchange financial account information with other tax authorities each year.¹³⁴⁵ CARF is a yearly crypto-asset tax reporting standard from the Organisation for Economic Co-operation and Development (OECD).³³ Why banks care: a group entity offering crypto exchange services to customers as a business can become a reporting crypto-asset service provider (RCASP).⁹²² If the bill passes, CARF duties start on 1 January 2027.³⁴

At a glance

Item	Detail
Run by	Financial Services and the Treasury Bureau (FSTB) and Inland Revenue Department (IRD) ¹³⁴⁶
Status as of 25 Sep 2026	Bill before LegCo (the Legislative Council, Hong Kong's law-making body). Gazetted (published in the official Gazette) 22 May 2026. First and Second Readings (formal introduction) set for 3 Jun 2026, with the Second Reading debate adjourned. ³³

Item	Detail
Started	Commitment to the OECD Global Forum, 13 Dec 2024 ⁸⁹⁸
Next official date	1 Jan 2027: CARF duties start, if the bill passes ³⁴
Covered in	D5, A3, E1, E3

What it is

CARF is an OECD standard. Under it, jurisdictions automatically exchange crypto-asset tax information each year.¹²⁴⁰ Hong Kong aimed to have its law in place by 2026 and to start exchanges from 2028.⁹⁰³

Under the bill, an RCASP is a person that, as a business, carries out crypto exchange transactions for customers.⁹¹¹ This includes acting as a counterparty (the other side of a trade) or an intermediary, or running a trading platform.⁹¹¹

An RCASP with a Hong Kong nexus (a close link to Hong Kong) would have to:¹³⁴⁷

- register;
- carry out due diligence (checks on its customers);
- file returns (reports to the tax authority);
- keep records.

Central bank digital currencies (CBDCs) and specified e-money products are outside CARF.⁹³³ The amended CRS brings them in instead.⁹³³ If the bill passes, CARF starts on 1 January 2027. The amended CRS starts on 1 January 2028.¹⁶⁷

➤ COMMERCIAL AND CUSTOMER BENEFITS

For customers:

- The Government says CARF serves tax transparency and the fight against cross-border tax evasion: system aims, not direct customer gains.⁸⁹⁸
- The Government plans to exchange CARF data with partners that protect data confidentiality and security.⁹⁰³

For the bank:

- The consultation paper says the amended CRS covers digital money products, for a level playing field with bank accounts.¹³⁴⁸
- The paper says CARF's ranked nexus rules stop a provider linked to several places from reporting twice.¹³⁴⁹
- The paper proposes a clear legal basis to run the same checks on all customers, which some providers may prefer to cut compliance costs.¹³⁵⁰

- The paper says a poor OECD peer-review rating on the CRS may increase Hong Kong institutions' reporting burdens abroad. ¹³⁵¹

Evidence so far:

- Hong Kong has exchanged CRS data with partner jurisdictions each year since 2018. ¹³⁵²
- The paper says the OECD named Hong Kong "immediately relevant" to CARF, given its growing crypto-asset sector. ¹³⁵³

Limits:

- The bill is not yet law: it went into LegCo on 3 June 2026, and CARF duties start on 1 January 2027 only if it passes. ³³
- The paper proposes reporting sale proceeds under both CRS and CARF, saying one report may not ease the burden for firms with separate systems. ¹³⁵⁴

Business lines: Virtual-asset dealing; Virtual-asset distribution and brokerage

Timeline

Date	Milestone	Status	Src
13 Dec 2024	Hong Kong commits to CARF; first exchanges from 2028	Stated target	908

Date	Milestone	Status	Src
9 Dec 2025	FSTB and IRD public consultation (open until 6 Feb 2026)	Superseded	1355, 1346
25 Feb 2026	Budget: amendment bill in the first half of 2026	Stated target	154
22 May 2026	Bill gazetted	Bill before LegCo	33
3 Jun 2026	First and Second Readings; Second Reading debate (on the bill's main principles) adjourned	Bill before LegCo	907,33
1 Jan 2027	Part 2 (CARF) starts, if passed	Bill before LegCo	34
1 Jan 2028	Part 3 (amended CRS) starts, if passed	Bill before LegCo	924

What it means for your bank

- Under the bill, any group entity would be an RCASP if, as a business, it carries out crypto exchange transactions for customers. Acting as an intermediary counts.⁹²²
- The Hong Kong nexus tests look at:⁹¹²
 - tax residence;
 - incorporation;
 - management;
 - a regular place of business;
 - Hong Kong branches.

- A Hong Kong RCASP would have to register by 31 January of the year after it first meets a nexus test.
913
- An RCASP would need self-certifications of tax residence (customers' own statements of where they are tax resident) from new customers.⁹¹⁵ For existing users, the same applies within 12 months of the rules taking effect.⁹¹⁵
- Under the amended CRS, crypto-linked derivatives count as financial assets.¹³⁵⁶ CBDCs and specified e-money products are added to the definition of a depository account (a deposit-type account).¹³⁵⁶
- Registration and returns would go to the IRD through its planned CARF Portal.⁹²⁸
- Hiring a service provider would not, on its own, be a reasonable excuse (a legal defence).⁹²⁶ This covers failing to register, do due diligence or file returns.⁹²⁶

Talking points

- **To the CCO:** The bill is not yet law.³³ If passed, CARF duties start on 1 January 2027 and amended CRS on 1 January 2028.¹⁶⁷
- **To business heads:** A customer crypto exchange service run as a business can make the entity an RCASP. This applies even when the entity acts as an intermediary.⁹²²

- **To the CEO:** Hong Kong committed to CARF in December 2024, with first data exchanges targeted from 2028.⁹⁰³
- **To Risk:** Proposed fines can scale.⁹¹⁸ Some continuing offences carry a further HK\$500 a day after conviction.⁹¹⁸ For due-diligence offences, the fine is the higher of two amounts: a level 3 fine, or HK\$1,000 per affected user or controlling person.⁹¹⁸ A level 3 fine is a set point on Hong Kong's scale of fines.

Key documents

1. Inland Revenue (Amendment) (CARF and Amended CRS) Bill 2026 — LegCo / IRD — gazetted 22 May 2026 — read Clause 1, ss.50M-50R, 80R and 82E-82F — [https://www.ird.gov.hk/eng/pdf/carf/Inland%20Revenue%20\(Amendment\)%20\(Crypto-Asset%20Reporting%20Framework%20and%20Amended%20Common%20Reporting%20Standard\)%20Bill%202026\(eng\).pdf](https://www.ird.gov.hk/eng/pdf/carf/Inland%20Revenue%20(Amendment)%20(Crypto-Asset%20Reporting%20Framework%20and%20Amended%20Common%20Reporting%20Standard)%20Bill%202026(eng).pdf)
2. Crypto-Asset Reporting Framework page — IRD — undated — read the Overview, due diligence, registration and penalty sections — https://www.ird.gov.hk/eng/tax/dta_carf.htm
3. Implementation of CARF and Amendments in Relation to CRS (consultation paper) — FSTB and

IRD — 9 Dec 2025 — read paras 4.3-4.18 and Chapter 6 —

<https://www.gov.hk/en/residents/government/publication/consultation/docs/2026/crypto-framework.pdf>

4. Hong Kong commits to implementing Crypto-Asset Reporting Framework — FSTB — 13 Dec 2024 — read paras 1-4 —

<https://www.info.gov.hk/gia/general/202412/13/P2024121300491.htm>

Related

Projects: policy-statements, va-licensing-regimes.

Modules: D5, A3, E1, E3.

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PROJECT PROFILE

CBDC research and cross-border digital money pilots

RESEARCH Run by: HKMA + BISIH

CBDC means central bank digital currency: money issued in digital form by a central bank. This page covers the Hong Kong Monetary Authority (HKMA) research projects on CBDC and tokenised money (money recorded as digital tokens on a shared ledger). The projects are Aurum, Sela, Genesis and Inthanon-LionRock (a joint study with the Bank of Thailand).¹³⁵⁷ The page also covers the cross-boundary pilot of e-CNY (the Mainland's digital renminbi).¹²⁹⁵ It also covers a 2026 memorandum of understanding (MoU) with Shanghai bodies.¹³⁵⁸ Why it matters to your bank: 18 local banks in Hong Kong support top-ups of pilot e-CNY wallets.¹¹⁷⁰

At a glance

Item	Detail
Run by	HKMA, with the Bank for International Settlements Innovation Hub (BISIH), other central banks and Mainland bodies ^{1148,1295,1358}
Status as of 25 Sep 2026	Research (Aurum, Sela, Genesis); Pilot (e-CNY); Exploratory (Shanghai MoU) ^{1148,1359,1155}
Started	Q4 2019 (Inthanon-LionRock) ¹³⁶⁰

Item	Detail
Next official date	None stated. The plans to upgrade e-CNY wallets and raise limits have no final timetable. ¹¹⁸⁵
Covered in	E2, C5, E3

What it is

Project Aurum built a two-tier prototype with the BISIH and a local research institute. ¹¹⁴⁸ It linked a wholesale system (for payments between banks) with retail e-wallets (for the public). ¹¹⁴⁸ Its report came out in October 2022. ¹¹⁴⁸

The HKMA ran Project Sela with the Bank of Israel. ¹³⁶¹ Sela tested whether non-bank firms, called Access Enablers, could connect directly to a central bank's CBDC ledger (the record of who holds what). ¹³⁶¹ Sela's report says it reflects no HKMA policy decision on a possible e-HKD (a digital Hong Kong dollar). ¹³⁶²

Project Genesis built test platforms with the BISIH for tokenising green bonds (issuing them as digital tokens). ¹³⁶³ Genesis ended in 2021. The Government's 2023 tokenised green bond built on its work. ¹³⁶⁴

Inthanon-LionRock studied CBDC for cross-border payments with the Bank of Thailand. It later grew into mBridge. ¹³⁶⁵

The cross-boundary e-CNY pilot lets Hong Kong residents open personal e-CNY wallets with a Hong Kong mobile number.¹³⁶⁶ They top up the wallets through the Faster Payment System (FPS), Hong Kong's instant payment system.¹³⁶⁶

➤ COMMERCIAL AND CUSTOMER BENEFITS

For customers:

- The Government says e-CNY gives residents on both sides of the boundary an extra safe and convenient way to pay.¹³⁶⁷
- Since May 2024, Hong Kong residents can open a pilot wallet with a local mobile number and top it up through FPS.¹³⁶⁶
- The HKMA says its 2023 Sela test showed that direct ledger access for private payment firms could feasibly promote competition.¹¹⁴⁸

For the bank:

- By March 2026, 18 local banks supported e-CNY top-ups, up from 17 at the start.¹¹⁷⁰ A top-up service keeps the bank in its customer's payment flow. CONCEPT
- Some banks let users top up from Hong Kong dollar accounts, converting to renminbi.¹³⁶⁸ This is a foreign exchange (FX) service. CONCEPT

- The HKMA chief executive said the 2023 tokenised green bond built on Project Genesis.¹³⁶⁴ Two of its four selling banks also acted as investor custodians.¹³⁶⁹

Evidence so far:

- Citing Mainland central bank data, the Government said about 80,000 wallets were registered by end-January 2026.¹¹⁷⁰ Local shops accepting e-CNY grew from about 300 to about 5,200.¹¹⁷⁰
- The 2023 bond's primary issue settled one business day after the trade (T+1).¹³⁷⁰

Limits:

- Pilot wallets have limits, such as 2,000 renminbi per transaction.¹³⁶⁸ Plans to raise them have no final timetable.¹¹⁸⁵
- Direct ledger access for non-bank firms means more payment competition for banks. CONCEPT

Business lines: Cross-border payments, FX and mBridge; Digital bonds: arranging and custody

Timeline

Date	Milestone	Status	Src
Q4 2019	Inthanon-LionRock starts with the Bank of Thailand	Superseded	¹³⁶⁰

Date	Milestone	Status	Src
2021	Project Genesis ends	Research	1364
Oct 2022	Project Aurum report	Research	1148
12 Sep 2023	Project Sela report	Research	1277
20 Oct 2023	HKMA sets up a CBDC Expert Group with five local universities	Research	1281
17 May 2024	Cross-boundary e-CNY pilot widened	Pilot	1295
8 Oct 2025	Government says the e-CNY wallet upgrade is still under discussion	Pilot	1184
2 Mar 2026	HKMA, Shanghai Data Bureau and a national blockchain centre sign an MoU on digital cargo trade and trade finance	Exploratory	1155
25 Mar 2026	Government reports about 80,000 e-CNY wallets and 18 top-up banks	Pilot	1170

What it means for your bank

- Sela's report says the project reflects no HKMA policy decision on a possible e-HKD. ¹³⁶²
- Pilot wallets are "tier-4" personal wallets. Their limits, in Chinese renminbi (RMB), are:
 - RMB 10,000 balance;
 - RMB 2,000 per transaction;
 - RMB 5,000 a day;

- RMB 50,000 a year. ¹³⁷¹
- Pilot wallets do not allow person-to-person transfers. Operating institutions may set lower limits. ¹³⁷¹
- 18 local banks in Hong Kong support FPS top-ups. ¹³⁵⁹ The People's Bank of China (PBoC) and the HKMA are exploring wallet upgrades to raise limits. The proposals and timing are not final. ¹³⁵⁹
- The Shanghai MoU says the parties will explore cross-border financial cooperation and electronic bills of lading (digital shipping documents) under Project Ensemble. ¹¹³⁵ They will also study trade finance that uses cargo and trade data from linked data platforms. ¹¹³⁵
- The Government says stablecoins, CBDC such as e-CNY, and tokenised deposits each have their own features and maturity. It says market forces will largely decide their future. ¹³⁷²

Talking points

- **To the CCO:** Sela and Aurum were research projects. Sela's report says it reflects no HKMA policy decision on an e-HKD. ^{1148,1362}
- **To business heads:** About 80,000 e-CNY wallets were registered by end-January 2026. 18 Hong Kong banks support FPS top-ups. ¹¹⁷⁰

- **To the CEO:** Under the 2026 Shanghai MoU, the parties will explore electronic bills of lading under Project Ensemble. ¹¹³⁵
- **To Risk:** Pilot e-CNY wallets do not allow person-to-person transfers. They cap balances at RMB 10,000. ¹³⁷¹

Key documents

1. Central Bank Digital Currency (CBDC) — HKMA — web page, updated Sep 2026 — read 'Collaborative Projects' and the Inthanon-LionRock section — <https://www.hkma.gov.hk/eng/key-functions/international-financial-centre/fintech/central-bank-digital-currency/>
2. Project Sela – An accessible and secure retail CBDC ecosystem — HKMA, Bank of Israel and BISIH — 12 Sep 2023 — read Section 1 and its footnotes — <https://www.hkma.gov.hk/media/eng/doc/key-information/press-release/2023/20230912e3a1.pdf>
3. Expanding the cross-boundary e-CNY pilot in Hong Kong — HKMA — 17 May 2024 — read paras 1-2 and Annexes 1-2 — <https://www.hkma.gov.hk/eng/news-and-media/press-releases/2024/05/20240517-3/>
4. Hong Kong Monetary Authority, Shanghai Data Bureau, and National Technology Innovation Center for Blockchain sign MoU to strengthen Shanghai-

Hong Kong cooperation in digitised cargo trade and finance — HKMA — 2 Mar 2026 — read paras 1-2 — <https://www.hkma.gov.hk/eng/news-and-media/press-releases/2026/03/20260302-3/>

5. LCQ18: Development of digital Renminbi and stablecoins — Financial Services and the Treasury Bureau (FSTB) — 25 Mar 2026 — read Replies (1)-(3)

—

<https://www.info.gov.hk/gia/general/202603/25/P2026032500231.htm>

Related

Projects: mbridge, e-hkd, ensemble, digital-bonds.

Modules: E2, C5, E3.

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PROJECT PROFILE

CMU OmniClear digital asset platform and tokenised Exchange Fund Bills

STATED TARGET Run by: CMU + HKMA

CMU OmniClear (the company that runs Hong Kong's central bond settlement system) plans a digital asset platform.¹³⁷³ That system is the Central Moneymarkets Unit (CMU), Hong Kong's central securities depository.¹³⁷⁴ A central securities depository is where bonds are held and settled. Separately, the Hong Kong Monetary Authority (HKMA) intends to test tokenised Exchange Fund Bills.¹³⁷³ "Tokenised" means recorded as digital tokens on a shared ledger. Exchange Fund Bills are short-term debt issued by the HKMA. Why banks care: the Policy Address links the bill tests to how banks manage their assets and liabilities.¹⁵⁶ The platform is meant to be a one-stop service for issuing and settling digital bonds.⁵⁸⁸

At a glance

Item	Detail
Run by	CMU OmniClear Limited runs the CMU on behalf of the HKMA. The HKMA runs the Exchange Fund Bills tests. ^{1226,156}

Item	Detail
Status as of 25 Sep 2026	Stated target ¹³⁷³
Started	CMU OmniClear set up 18 Oct 2024 ¹³⁷⁵
Next official date	Platform: "this year" (2026). Exchange Fund Bills tests: by year-end 2026. Both are stated targets. ¹³⁷³
Covered in	C5, A3, E1, E3

What it is

The HKMA set up CMU OmniClear to run the CMU under a contract with the HKMA. ¹³⁰⁰ At set-up, the Exchange Fund (Hong Kong's official reserves) wholly owned the company. ¹³⁰⁰ The HKMA stays the owner and system operator of the CMU. The HKMA also holds the legal relationships with CMU participants (the firms that use the CMU) and makes CMU policy decisions. ^{1376,1377}

Hong Kong Exchanges and Clearing (HKEX) is taking a 20% stake in the holding company, CMU OmniClear Holdings. The Exchange Fund keeps 80%. ¹³⁷⁴

The 2026-27 Budget said CMU OmniClear would set up a digital asset platform in 2026, for issuing and settling digital bonds. ¹⁵⁵ The Budget said the platform would later cover other digital assets and link to other tokenisation platforms in the region. ¹⁵⁵

The 2026 Policy Address repeats the platform target.

¹³⁷³ It also says the HKMA will test tokenising Exchange Fund Bills by year-end. ¹³⁷³ The purpose is to let banks use more than HK\$1.3 trillion of these bills at any hour. ¹³⁷³

On 23 September 2026 the HKMA Chief Executive said CMU OmniClear is building the platform for round-the-clock settlement on a blockchain. ⁵⁹⁸ He described the aim as atomic settlement, where both sides of a deal settle together or not at all. ⁵⁹⁸ He said deals on the platform will be able to settle against central bank digital currencies (CBDCs). ⁵⁹⁸ It will also explore links with tokenised deposits and regulated stablecoins. ⁵⁹⁸ He said the HKMA will test how tokenised Exchange Fund Bills operate, to help banks explore better asset and liability management. ⁵⁹⁸

The Hong Kong Mortgage Corporation (HKMC) issued digital bonds in June 2026. ¹³⁷⁸ The bonds were created on a distributed ledger technology (DLT) platform run by the CMU. DLT is a shared digital record kept in step across many computers. ¹³⁷⁸ The CMU acted as the clearing and settlement system for these bonds. ¹³⁷⁸

➤ COMMERCIAL AND CUSTOMER BENEFITS

For customers:

- The 2026 Policy Address says the platform is to offer a one-stop service for issuing and settling digital bonds.⁵⁸⁸ The 2026-27 Budget says it is to extend gradually to other digital assets and regional platforms.¹⁵⁵
- Investors in HKMC's June 2026 digital bonds could access them through the CMU and its links to Euroclear and Clearstream.⁵⁶⁴

For the bank:

- The HKMA's bill tests aim to help banks use over HK\$1.3 trillion of Exchange Fund Bills around the clock.¹⁵⁶ The aim is better asset and liability management, meaning matching funding with assets.¹⁵⁶
- The HKMA and HKEX plan to grow CMU services such as collateral management.¹³⁷⁹
- CMU settlements have statutory finality, so a participant's insolvency does not reverse them.¹³⁸⁰

Evidence so far:

- HKMC's June 2026 digital bonds shortened settlement from five business days to three.⁵⁶⁴

Orders peaked at about HK\$24 billion. ¹³⁸¹

- An August 2025 Global Financial Markets Association (GFMA) report relays a 2025 Ripple and Boston Consulting Group (BCG) study. ¹³⁸² That study models that tokenising an investment-grade bond could cut operating costs by 40–60%. ¹³⁸² This is a global modelled estimate by those firms. ¹³⁸² A BCG partner co-signed the GFMA report's foreword. ¹³⁸³

Limits:

- The platform and the bill tests are stated targets for 2026. ¹³⁷³
- Another DLT platform gets statutory settlement finality only if the HKMA designates it. ¹³⁸⁴

Business lines: Digital bonds: arranging and custody; Collateral and tokenised financing; Infrastructure as a service

Timeline

Date	Milestone	Status	Src
16 Feb 2023	First tokenised Government bond clears through the CMU with statutory finality (settlement the law treats as final)	Issued	¹³⁸⁵
18 Oct 2024	HKMA sets up CMU OmniClear Limited	In force	¹³⁷⁵

Date	Milestone	Status	Src
4 Mar 2025	CMU OmniClear and HKEX sign a memorandum of understanding (MoU) on post-trade systems	Exploratory	1386
12 Nov 2025	HKEX to take 20% of CMU OmniClear Holdings	Announced	1374
25 Feb 2026	Budget: digital asset platform to be set up in 2026	Stated target	155
10 Jun 2026	HKMC digital bonds priced; created on a DLT platform run by the CMU	Issued	1387
16 Sep 2026	Policy Address: platform this year; tokenised Exchange Fund Bills tests by year-end	Stated target	1373
23 Sep 2026	HKMA Chief Executive: platform being built for 24-hour on-chain settlement against CBDCs; tokenised Exchange Fund Bills tests	Stated target	598

What it means for your bank

- Nothing is binding yet. Both items are stated targets.
¹³⁷³ The sources reviewed show no platform rulebook and no test design. ¹³⁷³
- The Policy Address links the Exchange Fund Bills tests to how banks manage their assets and liabilities. ¹⁵⁶

- The Digital Bond Grant Scheme is an HKMA subsidy for digital bond issues. Issuing on a DLT platform run by the CMU meets one of its two alternative Basic Requirements.¹³⁸⁸ The HKMA decides case by case whether a platform counts.¹³⁸⁸
- The law treats the CMU as a designated clearing and settlement system. So its settlements have statutory finality.¹³⁸⁹ Another DLT platform gets statutory finality only if the HKMA designates it. Otherwise, the parties can agree on finality in their contract.¹³⁸⁹
- The HKMA's February 2024 circular on tokenised products does not cover products regulated under the Securities and Futures Ordinance (the main securities law).¹³⁹⁰ Those products follow the relevant Securities and Futures Commission (SFC) and HKMA requirements.¹³⁹⁰

Talking points

- **To the CCO:** No rules are out yet for the platform or the Exchange Fund Bills tests. Both are stated targets.¹³⁷³
- **To business heads:** The platform is meant to be a one-stop service for issuing and settling digital bonds.⁵⁸⁸
- **To the CEO:** The HKMA plans tests of tokenised Exchange Fund Bills by end-2026. This is to help

banks use more than HK\$1.3 trillion of these bills round the clock. ¹⁵⁶

- **To Risk:** A DLT platform has statutory finality only if the HKMA designates it. Otherwise, finality rests on contract. ¹³⁹¹

Key documents

1. The Chief Executive's 2026 Policy Address — Hong Kong Government — 16 Sep 2026 — read para 35 (pp.22-23) —
https://www.policyaddress.gov.hk/2026/public/pdf/policy/policy-full_en.pdf
2. 2026-27 Budget — Financial Secretary — 25 Feb 2026 — read paras 112-114 —
https://www.budget.gov.hk/2026/eng/pdf/e_budget_speech_2026-27.pdf
3. HKMA Establishes CMU OmniClear Limited — HKMA — 18 Oct 2024 — read paras 1-3 —
<https://www.hkma.gov.hk/eng/news-and-media/press-releases/2024/10/20241018-5/>
4. HKMA introduces HKEX as a strategic shareholder in CMU OmniClear Holdings Limited — HKMA — 12 Nov 2025 — read paras 2 and 6 —
<https://www.hkma.gov.hk/eng/news-and-media/press-releases/2025/11/20251112-3/>

Related

Projects: digital-bonds, digital-bond-grant-scheme, tokenised-bond-expert-group, ensemble. Modules: C5, A3, E1, E3.

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PROJECT PROFILE

Digital Bond Grant Scheme (DBGS)

IN FORCE

 Run by: HKMA

The Digital Bond Grant Scheme (DBGS) is a subsidy from the Hong Kong Monetary Authority (HKMA). It refunds part of the cost of issuing a digital bond in Hong Kong.¹³⁹² A digital bond is a bond whose ownership is recorded on a shared digital ledger. For a bank that arranges or issues digital bonds, the scheme's conditions affect whether a deal can qualify for a grant.

At a glance

Item	Detail
Run by	Hong Kong Monetary Authority (HKMA) ¹³⁹³
Status as of 25 Sep 2026	In force (initial three-year period) ¹³⁹³
Started	Applications opened 28 Nov 2024. Bonds issued on or after 16 Oct 2024 can apply. ^{1394,1395}
Next official date	End of the initial three years from 28 Nov 2024. The sources reviewed show no decision on renewal. ¹³⁹⁶
Covered in	C5, E3

What it is

The DBGS refunds half of the eligible costs of issuing a digital bond.¹³⁹⁷ A Half Grant pays up to HK\$1.25 million. It applies when the bond meets only the Basic Requirements (the entry conditions).¹³⁹⁷ A Full Grant pays up to HK\$2.5 million. It applies when the bond also meets all the Additional Requirements.¹³⁹⁷ Each issuer, counted together with its associates, can get grants for two issues at most.¹³⁹⁷ Associates are, broadly, firms that control the issuer, firms the issuer controls, and firms under the same control as the issuer.¹³⁹⁷ To qualify at all, half or more of the lead arrangers (the firms that organise and sell the issue) must be recognised arrangers.¹³⁹⁸ Recognised arrangers are, in general, arrangers with substantial bond market operations in Hong Kong.¹³⁹⁸ The bond also needs one of two things.¹³⁹⁸ One is a distributed ledger technology (DLT) team with a substantial Hong Kong presence.¹³⁹⁸ The other is issuance on a DLT platform run by the Central Moneymarkets Unit (CMU), the HKMA's bond settlement system.¹³⁹⁸ DLT is a shared digital record kept in step across many computers. The HKMA reserves the absolute right to decide whether a bond meets the requirements and how much to grant.¹³⁹³ The HKMA may also adjust the scheme.¹³⁹³

➤ COMMERCIAL AND CUSTOMER BENEFITS

For customers:

- Issuers can get back half of their eligible costs, up to HK\$2.5 million per issue for a full grant.¹³⁹⁷
- Eligible costs include fees to DLT platform providers and to Hong Kong-based arrangers and legal advisers, plus CMU lodging and clearing fees.¹³⁹⁹
- The HKMA says the scheme aims to grow the digital securities market and wider use of tokenisation.¹⁴⁰⁰

For the bank:

- Fees paid to a Hong Kong-based arranger are eligible, unless the arranger is the issuer's associate.¹³⁹⁹
- A lead arranger may itself apply within three months after issue.¹⁴⁰¹

Evidence so far:

- The 2026-27 Budget says the HKMA will use the scheme to encourage more issues, but gives no count of grants paid.¹⁴⁰²
- The Policy Address says Hong Kong-issued digital bonds took nearly 50% of the global market from 2025 to mid-2026.⁵⁶⁹

- A 2025 Bank for International Settlements staff bulletin (global, reported estimate) found tokenised bonds' issuance costs did not differ systematically from matched plain bonds. ¹⁴⁰³

Limits:

- The HKMA reserves the absolute right to decide eligibility and the amount. ¹³⁹³
- Each issuer, with its associates, can get grants for two issues at most. ¹³⁹⁷ The scheme's initial period is three years from 28 November 2024. ¹³⁹⁶

Business lines: Digital bonds: arranging and custody

Timeline

Date	Milestone	Status	Src
16 Oct 2024	Scheme announced in the Policy Address; bonds issued from this date can apply	Announced	¹³⁹⁵
28 Nov 2024	HKMA launches the DBGS and opens applications	In force	¹³⁹⁴
28 Nov 2024	Guideline on the DBGS issued	In force	¹³⁹³
25 Feb 2026	Budget says the HKMA will use the DBGS to encourage more digital bond issues	Stated target	¹⁴⁰²
16 Jul 2026	HKMA one-page scheme summary published	Reference	¹⁴⁰⁴

Date	Milestone	Status	Src
Nov 2027	Initial three-year period ends (three years from 28 Nov 2024)	Stated period	1396

What it means for your bank

- Arranger roles matter if the bank arranges bonds. Half or more of the lead arrangers must be recognised arrangers for the issue to qualify. ¹³⁹⁸
- The Full Grant needs a DLT platform provider that is not one of the issuer's associates. ¹⁴⁰⁵ So a bank issuing on its own group's platform would not meet that test. ¹⁴⁰⁵
- The Full Grant has three more conditions: ¹⁴⁰⁶
 - an issue size of at least HK\$1 billion; ¹⁴⁰⁶
 - five or more investors not associated with the issuer or the platform provider; and ¹⁴⁰⁶
 - a listing on the Stock Exchange of Hong Kong, or on a virtual asset (crypto) trading platform licensed by the Securities and Futures Commission. ¹⁴⁰⁶
- Two kinds of cost are not eligible expenses: ¹⁴⁰⁷
 - fees paid to DLT platform providers or arrangers that are associates of the issuer; and ¹⁴⁰⁷
 - costs covered by other grant schemes. ¹⁴⁰⁷

- A green digital bond (one that funds environmental projects) can claim general issuance costs under only one scheme.¹³⁹⁹ The choice is the DBGS or Track I of the Green and Sustainable Finance Grant Scheme.¹³⁹⁹
- The issuer, a lead arranger or the DLT platform provider may apply formally within three months after issue.¹⁴⁰¹ An optional consultation with the HKMA is available before applying, either before or after issue.¹⁴⁰¹

Talking points

- **To the CCO:** The grant is a subsidy. The HKMA reserves the absolute right to decide eligibility and the amount.¹³⁹³
- **To business heads:** Clients can recover half of eligible expenses, up to HK\$2.5 million per issue. Each issuer, with its associates, can do this for two issues at most.¹³⁹⁷
- **To the CEO:** The 2026-27 Budget says the HKMA will use the scheme to encourage more digital bond issues in Hong Kong.¹⁴⁰²
- **To Risk:** An issuer that uses a DLT platform provided by its own associate cannot get the Full Grant. The Half Grant is then the most it can get.¹⁴⁰⁶

Key documents

1. Guideline on the Digital Bond Grant Scheme — HKMA — 28 Nov 2024 — read ss.1-5 on amounts, conditions, expenses and timing — https://www.hkma.gov.hk/media/eng/doc/key-functions/ifc/bond-market-development/Guideline_on_the_Digital_Bond_Grant_Scheme.pdf
2. HKMA launches Digital Bond Grant Scheme — HKMA — 28 Nov 2024 — read paras 1-3 — <https://www.hkma.gov.hk/eng/news-and-media/press-releases/2024/11/20241128-3/>
3. Digital Bond Grant Scheme (summary sheet) — HKMA — Jul 2026 — a one-page checklist of conditions — https://www.hkma.gov.hk/media/eng/doc/key-functions/ifc/bond-market-development/DBGS_Eng.pdf

Related

Projects: digital-bonds, tokenised-bond-expert-group, cmu-omniclear. Modules: C5, E3.

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PROJECT PROFILE

Digital bonds: Genesis, Evergreen and the public-sector issues

ISSUED Run by: HKMA + HKMC

Digital bonds (also called tokenised bonds) are bonds whose ownership is recorded as digital tokens on a shared ledger. Hong Kong's work on them began with a 2021 test called Project Genesis.^{560,1408} Since then, the Government has issued three green bonds in digital form, and the Hong Kong Mortgage Corporation (HKMC) issued its own digital bond in 2026.^{560,1408,561} For banks, the section below on what it means for your bank covers the custody, settlement and licensing points.

At a glance

Item	Detail
Run by	Hong Kong Monetary Authority (HKMA), acting for the Hong Kong Government on its bonds; HKMC for its own issue ^{1409,561} . Official titles say HKSAR (Hong Kong Special Administrative Region) Government.
Status as of 25 Sep 2026	Issued (latest issue dated 15 Jun 2026). The Policy Address says digital bond issuance will be made regular. ^{1410,1411}
Started	2021 (Project Genesis proof of concept, a small test of whether the idea works) ^{560,1408}

Item	Detail
Next official date	No date given. The Budget says tokenised bonds will keep being issued on a regular basis. ¹⁴⁰²
Covered in	C5, E2, A3, E3

What it is

The HKMA started work on bond tokenisation in 2021.⁵⁶⁰ That first step was a proof of concept run with the Bank for International Settlements (BIS) Innovation Hub Hong Kong Centre.⁵⁶⁰ Under Project Evergreen, the HKMA then helped the Government issue tokenised green bonds (bonds that raise money for environmental projects).¹⁴¹² The first was a HK\$800 million bond in February 2023.¹²⁷² It was described as the first tokenised green bond issued by any government.¹²⁷² It settled on a T+1 basis, meaning one business day after the trade date.¹⁴¹³ Settlement ran through the Central Moneymarkets Unit (CMU), the HKMA's bond settlement system.¹⁴¹³ Settlements in the CMU carry statutory settlement finality: the law treats them as final.¹⁴¹³ The HKMA's August 2023 report reviewed Hong Kong statutes.¹⁴¹⁴ It found none that sets the form debt securities (such as bonds) must take when issued.¹⁴¹⁴ A multi-currency issue (one sold in several currencies) of about HK\$6 billion followed in February 2024.¹²⁸⁸ In November 2025, a HK\$10 billion

issue became the first digital bond to offer settlement in tokenised central bank money.¹⁴¹⁵ The two options were e-HKD (a digital form of the Hong Kong dollar) and e-CNY (a digital form of China's renminbi).¹⁴¹⁵ In June 2026, the HKMC priced about HK\$12 billion of digital bonds.¹³⁸⁷ The bonds were created on a distributed ledger technology (DLT) platform run by the CMU.¹³⁸⁷ DLT is a shared digital record kept in step across many computers.

➤ COMMERCIAL AND CUSTOMER BENEFITS

For customers:

- International investors could reach the February 2024 bonds through existing Euroclear or Clearstream accounts, which the Government said widens the investor base.¹⁴¹⁶
- The HKMA reports that settling bond and cash together on one ledger cut settlement delay and risk in its Project Evergreen pilot.¹⁴¹⁷
- For the November 2025 issue, the Government said optional settlement in tokenised central bank money helped cut settlement time, cost and counterparty risk.¹⁴¹⁸

For the bank:

- The HKMA's report says paperless creation in the pilot saved staff hours and removed manual-error risk. ¹⁴¹⁷
- Using the ledger for a bond's whole life can lower servicing time and cost, the report says. ¹⁴¹⁷

Evidence so far:

- The November 2025 Government issue raised about HK\$10 billion from over HK\$130 billion of orders. ¹⁴¹⁹
- The HKMC's June 2026 issue cut settlement from five business days to three. ⁵⁶⁴
- A 2025 Bank for International Settlements staff bulletin (global, reported estimate) found, in early data, average bid-ask spreads of about 19 basis points (hundredths of a percentage point) for tokenised bonds, against 30 for matched plain bonds. ¹⁴⁰³

Limits:

- The HKMA says such gains could apply more widely, depending on each bond's design and how far market systems adapt. ¹⁴²⁰
- New DLT platform features remain largely untested in financial markets, the report notes. ¹⁴²¹

Business lines: Digital bonds: arranging and custody; Tokenised deposits and payments

Timeline

Date	Milestone	Status	Src
2021	Project Genesis proof of concept with the BIS Innovation Hub	Research	560, 1408
31 Oct 2022	Policy Statement names a tokenised green bond pilot	Historical	1422
16 Feb 2023	HK\$800m tokenised Government green bond settles	Issued	1423
24 Aug 2023	HKMA report "Bond Tokenisation in Hong Kong" released	Research	1424
7 Feb 2024	About HK\$6bn multi-currency digital green bonds offered	Issued	1288
By 28 Nov 2024	EvergreenHub (HKMA digital bond knowledge library) launched	Launched	1425
10 Nov 2025	HK\$10bn digital green bonds priced, with an option to settle in e-HKD or e-CNY	Issued	1426
10 Jun 2026	HKMC prices about HK\$12bn digital bonds (issue date 15 Jun 2026)	Issued	1427
16 Sep 2026	Policy Address: digital bond issuance to be made regular	Stated target	1411

What it means for your bank

- In Evergreen, only custodians (firms that hold securities for clients) could open token accounts on the platform.¹⁴²⁸ Each custodian had to be a CMU participant and be onboarded (signed up and approved) to the platform.¹⁴²⁸ Other investors held the bonds through those custodians. The custodians recorded those investors' interests in their own books.¹⁴²⁸
- The report also covers platforms where investors are onboarded themselves.¹⁴²⁹ There, the report's starting point is for the platform operator to run know-your-customer checks (confirming who each client is). Custodians share this role, as appropriate.¹⁴²⁹ The same starting point applies to the steps that help clients meet anti-money laundering and counter-terrorist financing rules.¹⁴²⁹
- By law, the CMU is treated as a designated clearing and settlement system (a system the HKMA formally oversees).¹³⁸⁹ So its settlements have statutory finality.¹³⁸⁹ Another DLT platform gets that legal finality only if the HKMA designates it. Otherwise, the parties can agree finality in their contracts.¹³⁸⁹
- The report says existing securities licensing and offering rules also apply to issuing or distributing digital bonds.¹⁴³⁰ These rules sit in the Securities

and Futures Ordinance (SFO), Hong Kong's main securities law.¹⁴³⁰

- The HKMA's February 2024 circular (formal notice to banks) on tokenised products does not cover products regulated under the SFO.¹³⁹⁰ Those products follow the relevant requirements of the Securities and Futures Commission (SFC) and the HKMA.¹³⁹⁰ One example is the SFC's November 2023 circular on tokenised securities.¹³⁹⁰

Talking points

- **To the CCO:** The Evergreen report says existing SFO licensing and offering rules also apply to digital bonds.¹⁴³⁰
- **To business heads:** Sixteen financial institutions arranged the HKMC deal, and settlement fell from T+5 to T+3 (five business days to three). Investors could use existing CMU links to Euroclear and Clearstream, two international settlement systems.¹⁴³¹
- **To the CEO:** The Policy Address says Hong Kong-issued digital bonds took nearly half the global market from 2025 to mid-2026.⁵⁶⁹
- **To Risk:** The Evergreen report notes that the new capabilities of DLT platforms are largely untested in

financial markets. It suggests continuity plans, including for a move to another platform.¹⁴²¹

Key documents

1. Bond Tokenisation in Hong Kong (Project Evergreen report) — HKMA — 24 Aug 2023 — read paras 23-47 on law, custody and settlement — <https://www.hkma.gov.hk/media/eng/doc/key-information/press-release/2023/20230824e3a1.pdf>
2. HKSAR Government's Third Digital Green Bonds Offering — HKMA — 11 Nov 2025 — read paras 1-10 and key features — <https://www.hkma.gov.hk/eng/news-and-media/press-releases/2025/11/20251111-6/>
3. HKMC's HK\$12 billion inaugural public digital bond issuance — HKMC (via HKMA) — 11 Jun 2026 — read paras 1-5 and the Annex — <https://www.hkma.gov.hk/eng/news-and-media/press-releases/2026/06/20260611-3/>
4. EvergreenHub digital bond knowledge repository — HKMA — updated Jul 2026 — use as a reference index — <https://www.hkma.gov.hk/eng/key-functions/international-financial-centre/bond-market-development/digital-bond-knowledge-repository/>

5. HKSAR Government's Digital Green Bonds Offering
— HKMA — 7 Feb 2024 — read footnotes 2-3 on
settlement and title —
<https://www.hkma.gov.hk/eng/news-and-media/press-releases/2024/02/20240207-6/>

Related

Projects: digital-bond-grant-scheme, tokenised-bond-expert-group, cmu-omniclear, ensemble, cbdc-research. Modules: C5, E2, A3, E3.

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PROJECT PROFILE

e-HKD (digital Hong Kong dollar)

RESEARCH

 Run by: HKMA

e-HKD is the Hong Kong Monetary Authority (HKMA) study of a possible Hong Kong central bank digital currency (CBDC).¹⁴³² A CBDC is digital money issued by a central bank. It matters to your bank because the work now focuses on wholesale use by financial institutions such as banks.¹⁴³² The HKMA has not decided whether to launch an e-HKD.¹¹²⁸

At a glance

Item	Detail
Run by	HKMA ¹¹²⁵
Status as of 25 Sep 2026	Research (for retail use by the public, groundwork is done but there is no launch decision); wholesale use between financial institutions is the stated priority ^{1127,1433}
Started	2017, with Project LionRock (an early wholesale test) ¹¹²⁵
Next official date	2026: real-value e-HKD payments for after-hours derivatives trading with Hong Kong Exchanges and Clearing (HKEX) (stated target) ¹⁰⁹⁸ . HKEX and the HKMA announced the pilot on 18 June 2026. ¹⁴³⁴
Covered in	E2, A3, E1, E3

What it is

The HKMA began in 2017 with Project LionRock.¹¹²⁵ It was a proof of concept (an early test that an idea works) on large-value payments and delivery-versus-payment settlement.¹¹²⁵ Delivery versus payment means an asset and its payment change hands at the same moment.

The HKMA then consulted on a retail e-HKD, meaning one for the public. It did so through a 2021 technical paper and a 2022 policy paper.¹⁴³⁵ The technical paper proposed a two-tier model, in which commercial banks distribute e-HKD.¹¹⁵⁶ The paper said its design was not a blueprint.¹¹⁵⁶

In September 2022 the HKMA set out a three-rail approach (three parallel tracks of work).¹¹⁵⁸ Its early legal research suggested existing law may not give enough certainty to issue a digital form of legal tender.¹¹⁵⁸ Legal tender is money that the law recognises for paying debts.

Industry pilots ran in two phases.¹¹⁶⁰ In September 2024 the HKMA renamed the project e-HKD+ so that it also covers tokenised deposits (digital versions of bank deposits).¹¹⁶⁰ In October 2025 the HKMA said the near-

term priority is wholesale payments rather than retail use.¹¹²⁷ The HKMA has not decided whether, or when, it will introduce an e-HKD.¹¹²⁸

On 18 June 2026 HKEX and the HKMA announced a joint pilot. It tests paying advance margin (money posted ahead to cover trades) in e-HKD for the after-hours derivatives session.¹⁴³⁴ Here e-HKD means a wholesale CBDC that runs 24/7.¹⁴³⁴ Today, clearing participants (firms that clear trades through the futures clearing house) must ask to deposit advance margin by 3:00 p.m. Only then does it count for that evening's session.¹⁴³⁶ Clearing participants may choose to join real-value trial transactions.¹⁴³⁷ The trials, and any wider use, depend on regulatory approval and market readiness.¹⁴³⁷

➤ COMMERCIAL AND CUSTOMER BENEFITS

For customers:

- The HKMA says the Phase 2 pilots showed that e-HKD and tokenised deposits can enable cost-efficient, programmable and resilient transactions.¹⁴³⁸
- Programmable money moves by itself when set conditions are met. CONCEPT

- The 2023 Phase 1 report said an e-HKD has the potential to make transactions faster, more cost-efficient and more inclusive. ¹²⁸²

For the bank:

- The HKMA says an e-HKD is free from credit risk because the HKMA issues it, so it suits large-value payments. ¹¹²⁷
- The HKMA now puts wholesale uses first, such as settling international trade. ¹¹²⁷ Such trade often needs foreign exchange (FX), meaning swapping one currency for another. CONCEPT
- HKEX and the HKMA are working on an e-HKD payment tool for after-hours derivatives trading, with real-value deals targeted for 2026. ¹⁰⁹⁸

Evidence so far:

- The Government's November 2025 digital green bonds offered settlement in e-HKD or e-CNY (the Mainland's digital renminbi) in two tranches. ¹⁴³⁹
- The HKMA said this option helped lower counterparty credit risk, settlement time and costs in the primary issue. ¹⁴³⁹

Limits:

- The Phase 1 report said many inefficiencies come from long-standing business norms, not

technology, so an e-HKD may not cure them all.
1282

- In Phase 2, a privacy tool tested on public blockchains made transactions up to 320 times more expensive in network fees. 1440

Business lines: Tokenised deposits and payments; Cross-border payments, FX and mBridge; Digital bonds: arranging and custody

Timeline

Date	Milestone	Status	Src
2017	Project LionRock wholesale proof of concept	Research	1125
4 Oct 2021	Technical paper proposes a two-tier design	Superseded	1441
27 Apr 2022	HKMA publishes a policy and design paper	Research	1442
20 Sep 2022	HKMA sets out the three-rail approach	Research	1443
18 May 2023	Phase 1 pilots start with 16 firms	Research	1274
30 Oct 2023	Phase 1 report	Research	1282
23 Sep 2024	Phase 2 starts; project renamed e-HKD+	Research	1160
28 Oct 2025	Phase 2 report; wholesale uses become the priority	Research	1127

Date	Milestone	Status	Src
11 Nov 2025	Government digital green bonds offer an option to settle in e-HKD	Issued	1439
3 Jun 2026	HKMA warns of a fake HKMA website pushing a fake 'e-HKD' app and e-HKD bonds	Issued	1064
18 Jun 2026	HKEX and HKMA announce a pilot of e-HKD advance margin payments for after-hours derivatives trading	Pilot	1444
20 Aug 2026	HKMA warns of a forged HKMA document offering a fake Exchange Fund Bills tender paid in e-HKD	Issued	1445
H1 2026	Target to finish groundwork for possible retail use. The HKMA's CBDC web page now says this work is done.	Research	1181, 1446
2026	Real-value e-HKD payments for after-hours derivatives trading with HKEX	Stated target	1098

What it means for your bank

- The HKMA has made no policy decision on whether, or when, it would introduce an e-HKD. ¹¹²⁸ The 2021 technical paper says its design is not a blueprint for e-HKD. ¹⁴⁴⁷
- The April 2022 paper said full anonymity is not a realistic option. ¹⁴⁴⁸ The reason is the requirements against money laundering and terrorist financing. ¹⁴⁴⁸ It noted that tiered wallets are a common

answer.¹⁴⁴⁸ Tiered wallets give users higher limits when they share more identity details.

- The same paper looked at a two-tier model.¹¹⁷² It said customer-facing institutions could be given the job of customer due diligence (checking who customers are) and record-keeping.¹¹⁷²
- Phase 2 found that the public sees e-HKD and tokenised deposits in a similar light, because people trust banks highly.¹⁴³⁸
- The HKMA says it will publish common token standards (shared technical rules for digital tokens) from the e-HKD Industry Forum.¹¹⁸³
- Scammers use the e-HKD name. In June 2026 the HKMA warned of a fake HKMA website. It pushed a fake app named e-HKD and so-called e-HKD bonds.¹⁰⁶⁴ In August 2026 it warned of a forged HKMA document. The document offered a fake Exchange Fund Bills tender, with proceeds paid in e-HKD.¹⁰⁶⁵ The HKMA said firms in its e-HKD Pilot Programme do not raise money from the public or sell related investment products.^{1449,1450} See also D7 (fraud).

Talking points

- **To the CCO:** No decision exists to introduce an e-HKD.¹¹²⁸ The 2022 paper saw the firms that

distribute e-HKD as the ones that could handle customer due diligence. ¹¹⁷²

- **To business heads:** The HKMA's e-HKD focus is now wholesale payments, supporting tokenisation and cross-border settlement. ¹¹²⁷
- **To the CEO:** The Government's November 2025 digital green bonds offered settlement in e-HKD and e-CNY (the Mainland's digital renminbi). No digital bond offering anywhere had offered this before. ¹⁴³⁹
- **To Risk:** In Phase 2, privacy tools called zero-knowledge proofs made transactions up to 320 times costlier in gas fees (network transaction fees). ¹⁴⁴⁰

Key documents

1. Central Bank Digital Currency (CBDC) — HKMA — web page, updated Sep 2026 — read the policy stance and e-HKD sections — <https://www.hkma.gov.hk/eng/key-functions/international-financial-centre/fintech/central-bank-digital-currency/>
2. HKMA completes e-HKD Pilot Programme and outlines future direction of e-HKD — HKMA — 28 Oct 2025 — read paras 3-6 — <https://www.hkma.gov.hk/eng/news-and-media/press-releases/2025/10/20251028-4/>

3. e-HKD Pilot Programme Phase 2 Report — HKMA — 28 Oct 2025 — read the Executive Summary and Sections 4-5 —
<https://www.hkma.gov.hk/media/eng/doc/key-information/press-release/2025/20251028e4a1.pdf>
4. e-HKD: A Policy and Design Perspective — HKMA — 27 Apr 2022 — read Sections 5.3-5.4 on privacy and intermediaries —
https://www.hkma.gov.hk/media/eng/doc/key-functions/financial-infrastructure/e-HKD_A_Policy_and_Design_Perspective.pdf

Related

Projects: mbridge, ensemble, cbdc-research, digital-bonds. Modules: E2, A3, E1, E3.

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PROJECT PROFILE

Project Ensemble

PILOT

 Run by: HKMA

Project Ensemble is a Hong Kong Monetary Authority (HKMA) project on wholesale central bank digital currency. It supports settling tokenised money (money held as digital tokens) between banks.¹¹⁴⁶ It matters to your bank because it is now a live pilot with real-value deals (EnsembleTX).⁶¹⁵ The HKMA invites parties with real-value uses for tokenised deposits to take part.¹⁴⁵¹

At a glance

Item	Detail
Run by	HKMA, advised on standards by an industry group called the Architecture Community ¹²³³
Status as of 25 Sep 2026	Pilot (EnsembleTX is to run throughout 2026) ¹⁴⁵²
Started	7 Mar 2024 ¹¹⁴⁶
Next official date	Around end-2026: 24/7 operations and settlement in central bank digital currency (CBDC) under EnsembleTX (stated target) ¹⁵⁷
Covered in	C5, E1, E2, A3, E3

What it is

Ensemble explores new market infrastructure, meaning the shared systems that banks use to settle deals.⁵⁹⁴ It tests how banks can settle tokenised money with each other using wholesale CBDC (wCBDC).^{594,1453} Wholesale CBDC is digital central bank money that only financial institutions use. Ensemble's first focus is tokenised deposits.⁵⁹⁴ These are digital versions of ordinary commercial bank deposits.

The HKMA set up the Architecture Community in May 2024 to develop shared industry standards.¹⁴⁵⁴ A Sandbox (a test environment) followed in August 2024.⁵⁷⁷ Banks in the Architecture Community connected their tokenised-deposit platforms to it.⁵⁷⁷ They were then ready to run two kinds of interbank test.⁵⁷⁷

- Payment versus payment (PvP): both sides of a currency deal pay at the same moment.
- Delivery versus payment (DvP): an asset and the payment for it change hands at the same moment.

In November 2025 the project moved to EnsembleTX, a pilot that uses real value.⁵⁷⁸ It starts with trades in tokenised money market funds and with real-time treasury and liquidity uses.⁵⁷⁸ At first, banks settle with each other through the Hong Kong dollar real-time gross settlement system.¹¹¹³ That system settles

each interbank payment in full, one by one, as it happens. The HKMA plans a gradual move to round-the-clock settlement in tokenised central bank money.

1113

↗ COMMERCIAL AND CUSTOMER BENEFITS

For customers:

- In the EnsembleTX pilot, the HKMA, banks and other participants aim to make settlement of real-value tokenised deals faster, more transparent and more efficient. ⁵⁶³
- One first focus is letting firms use tokenised deposits to handle cash and treasury needs in real time. ⁵⁶³

For the bank:

- The other first focus is paying for tokenised money market fund trades with tokenised deposits. ⁵⁶³
- When clients settle in a bank's own tokenised deposits, the cash stays with that bank as funding. CONCEPT
- In March 2024 the HKMA said Ensemble could potentially create new infrastructure linking tokenised assets with money. ¹⁴⁵⁵

Evidence so far:

- The HKMA named seven Tokenised Deposit Banks and 13 other industry pioneers for EnsembleTX. ⁵⁷⁹
- In October 2025 the HKMA said six banks had launched tokenised deposit services through its Supervisory Incubator. ¹⁴⁵⁶
- A November 2025 Bank for International Settlements (BIS) staff bulletin put tokenised money market funds at almost US\$9 billion by end-October 2025. ¹⁴⁵⁷ This is a reported global market figure. ¹⁴⁵⁷

Limits:

- EnsembleTX is a pilot set to run throughout 2026. ¹¹¹³ Banks first settle with each other through the existing Hong Kong dollar real-time gross settlement system. ¹¹¹³
- Round-the-clock running and settlement in central bank digital currency are stated targets for around end-2026. ¹⁵⁷

Business lines: Tokenised deposits and payments; Tokenised funds and money market fund settlement; Trade finance and electronic bills of lading

Timeline

Date	Milestone	Status	Src
7 Mar 2024	HKMA unveils Project Ensemble	Superseded (by EnsembleTX)	1146
7 May 2024	HKMA forms the Ensemble Architecture Community	Pilot (still a partner forum)	576, 1458
27 Jun 2024	HKMA and Banque de France (BDF) announce joint work to link DL3S (the BDF's wholesale CBDC platform) with the Ensemble Sandbox. The work falls under a recent memorandum of understanding (MoU).	Exploratory	1132
28 Aug 2024	HKMA launches the Ensemble Sandbox, with four test themes	Superseded (by EnsembleTX)	1459, 563
28 Oct 2024	Tie-ups with Brazil's central bank (Banco Central do Brasil, on its Drex project) and the Bank of Thailand (on Project San)	Exploratory	1134, 1301
13 Nov 2025	HKMA launches the EnsembleTX real-value pilot	Pilot	56
25 Feb 2026	The Budget says the HKMA will keep upgrading EnsembleTX to support 24/7 settlement	Stated target	1460

Date	Milestone	Status	Src
2 Mar 2026	The HKMA, the Shanghai Data Bureau and a national blockchain centre sign an MoU. Electronic bills of lading (digital shipping documents) are to be explored under Ensemble.	Exploratory	1155
Around end-2026	24/7 operations and CBDC settlement in EnsembleTX	Stated target	157
By end-2026	Pilot deals done for trade-finance uses of tokenised deposits, studied with the Mainland	Stated target	1103

What it means for your bank

- The HKMA lists seven Tokenised Deposit Banks.¹⁴⁶¹ These banks are going to offer tokenised deposits to Hong Kong customers.¹⁴⁶¹ They will also settle interbank tokenised-deposit deals through EnsembleTX with real value.¹⁴⁶¹ The HKMA invites others with real-value uses for tokenised deposits to take part.¹⁴⁵¹
- When customers place tokenised deposits, the HKMA says banks should also meet its circular on tokenised products.¹⁴⁶² That circular expects due diligence, disclosure, risk controls and early discussion with the HKMA.¹⁴⁶²

- The liquidity coverage ratio (LCR) tests whether a bank holds enough cash-like assets to get through a short period of stress. Under the LCR, a bank may treat qualifying tokenised deposits as deposits or unsecured funding.¹⁴⁶³ "Qualifying" means a legally binding claim on the bank that can be cashed in at full face value.¹⁴⁶³ These deposits cannot count as stable retail deposits.¹⁴⁶³
- The HKMA has a non-binding note on distributed ledger technology (shared digital record-keeping). It sets out what the HKMA would expect in four areas.¹⁴⁶⁴ These are network choice, smart contracts, private-key security, and legal risks such as settlement finality.¹⁴⁶⁴ Smart contracts are programs that run by themselves on the ledger. Settlement finality is the point at which a payment becomes final and irreversible.
- Before a full launch, a bank can use the Supervisory Incubator to check its risk controls with a dedicated HKMA team.²²⁰ Tokenised deposits are a core focus of the Incubator.²²⁰

Talking points

- **To the CCO:** EnsembleTX is a pilot, not a rulebook.⁶¹⁵ Customer tokenised deposits still fall under the

HKMA's tokenised-products circular, which expects early discussion with the HKMA. ¹⁴⁶⁵

- **To business heads:** The pilot starts with tokenised money market funds and real-time treasury uses. ¹⁴⁶⁶
The HKMA invites proposals for new real-value uses of tokenised deposits. ¹⁴⁶⁶
- **To the CEO:** The 2026 Policy Address says the HKMA plans 24/7 operations and CBDC settlement for EnsembleTX by around end-2026. ¹⁵⁷
- **To Risk:** Tokenised deposits cannot get the LCR treatment for stable retail deposits. If holders cannot always be identified, they count as other unsecured wholesale funding. ¹⁴⁶⁷

Key documents

1. HKMA announces the new phase of Project Ensemble to support real-value transactions in tokenised deposits and digital assets — HKMA — 13 Nov 2025 — read paras 1-5 —
<https://www.hkma.gov.hk/eng/news-and-media/press-releases/2025/11/20251113-3/>
2. Annex A and Annex B to the EnsembleTX release — HKMA — 13 Nov 2025 — read both for participant lists and bank roles —
<https://www.hkma.gov.hk/media/eng/doc/key-information/press-release/2025/20251113e3a1.pdf>

3. HKMA unveils Project Ensemble — HKMA — 7 Mar 2024 — read paras 1-6 for the original aims — <https://www.hkma.gov.hk/eng/news-and-media/press-releases/2024/03/20240307-5/>
4. HKMA launches Project Ensemble Sandbox — HKMA — 28 Aug 2024 — read paras 1-3 and footnote 1 for test themes — <https://www.hkma.gov.hk/eng/news-and-media/press-releases/2024/08/20240828-3/>
5. The Chief Executive's 2026 Policy Address — Hong Kong Government — 16 Sep 2026 — read paras 50 and 99 — https://www.policyaddress.gov.hk/2026/public/pdf/policy/policy-full_en.pdf
6. Supervisory Policy Manual LM-1 (V.5), on liquidity risk — HKMA — 19 Dec 2025 — read Annex 3 para 4 on tokenised claims — <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20251217-7-EN/LM-1.pdf>

Related

Projects: mbridge, e-hkd, supervisory-incubator-dlt, digital-bonds, cbdc-research, policy-statements.

Modules: C5, E1, E2, A3, E3.

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PROJECT PROFILE

Project mBridge

PILOT Run by: HKMA and partners

Project mBridge is a shared platform where several central banks each issue their own central bank digital currency (CBDC).¹⁴⁶⁸ A CBDC is digital money issued by a central bank. It matters to your bank because banks can use the platform to settle cross-border payments and foreign exchange (FX) trades directly.¹⁴⁶⁸ The Government calls it part of Hong Kong's financial market infrastructure.¹¹⁴³

At a glance

Item	Detail
Run by	Central banks. The December 2025 fintech page of the Financial Services and the Treasury Bureau names the Hong Kong Monetary Authority (HKMA), the Digital Currency Institute of the People's Bank of China (PBC), the Bank of Thailand (BoT), the Central Bank of the United Arab Emirates (CBUAE) and the Saudi Central Bank. ¹¹⁴⁴ In June 2024 the project team also included the Bank for International Settlements Innovation Hub (BISIH) Hong Kong Centre. That month the Saudi Central Bank was welcomed as the next full participant. ¹⁴⁶⁹ In October 2024 the Bank for International Settlements (BIS) said it was handing the project over to the partner central banks. ¹¹⁴⁵

Item	Detail
Status as of 25 Sep 2026	Pilot (at the minimum viable product stage, meaning a first working version). The Government calls it part of Hong Kong's financial market infrastructure. ¹¹⁴³
Started	Q4 2019 as Inthanon-LionRock (a joint study by the HKMA and the BoT); renamed in Feb 2021 ¹³⁶⁵
Next official date	None stated. The Government says wider public and private participation will come gradually. ¹¹⁴³
Covered in	E2, E3

What it is

The project began as Inthanon-LionRock, a study by the HKMA and the BoT on using CBDC for cross-border payments. ¹³⁶⁵ In February 2021 the PBC's Digital Currency Institute and the CBUAE joined. ¹²⁵⁶ The project was then renamed the m-CBDC Bridge. ¹²⁵⁶

The platform tests FX deals in which both payments settle at the same moment (payment versus payment). ¹¹³⁸ It tests these deals in real time, around the clock, across several jurisdictions. ¹¹³⁸

In the 2022 pilot, 20 banks in four jurisdictions made more than 160 payment and FX trades. ¹⁴⁶⁸ The trades were worth over US\$22 million in total. ¹⁴⁶⁸

The platform reached minimum viable product (MVP) stage in June 2024.¹⁴⁷⁰ Each founding central bank's jurisdiction hosts a validating node, meaning a computer that checks and records platform transactions.¹⁴⁷⁰ In October 2025 the Government told the Legislative Council that participating Hong Kong banks set their own fees for mBridge payments.¹¹⁴³

The BIS said in October 2024 that it would hand the project over to the partner central banks.¹¹⁴⁵ Its then General Manager said on 31 October 2024 that the BIS was leaving.¹¹⁶³ He said this was because the partners could now run the project themselves.¹¹⁶³ He said mBridge was not built for the BRICS countries.¹¹⁶⁴ BRICS means a group of large emerging economies whose name comes from Brazil, Russia, India, China and South Africa. He also said that countries under sanctions cannot use BIS products.¹¹⁶⁵ The December 2025 fintech page of the Financial Services and the Treasury Bureau lists the central banks conducting mBridge. It does not list the BIS.¹¹⁴⁴

See also D7 Sanctions, wallet screening, blockchain analytics and fraud.

➤ COMMERCIAL AND CUSTOMER BENEFITS

For customers:

- The October 2022 pilot report says mBridge offers potential gains in speed, transparency, access and cost over correspondent banking.¹⁴⁷¹
Correspondent banking sends money abroad through a chain of banks. CONCEPT
- In October 2025 the Government said payer and payee banks settle directly on mBridge, significantly reducing cross-boundary payment costs.¹¹⁴³

For the bank:

- The Government said Hong Kong banks on mBridge set their own fees, based on operating costs and commercial needs.¹¹⁴³
- The 2022 report says settling in central bank money reduces, or even removes, a key risk of correspondent banking.¹⁴⁷²
- Direct settlement can reduce the cash a bank parks in advance at banks abroad. CONCEPT

Evidence so far:

- In the August–September 2022 pilot, 20 banks in four jurisdictions made over 160 payment and FX trades worth over US\$22 million.¹⁴⁶⁸ The report

says the pilot showed faster, more efficient payments with lower settlement risk. ¹⁴⁷³

- The platform reached minimum viable product stage in June 2024. ¹¹⁴³
- In October 2025 the Financial Stability Board (FSB) put the global average cost of sending a US\$200 remittance at 6.5%. ¹⁴⁷⁴ This is a reported global figure, not an mBridge result. ¹⁴⁷⁴

Limits:

- The 2022 report says policy, legal and privacy questions remain, and some may need rule changes. ¹⁴⁶⁸
- In October 2025 the Government said participation is to widen gradually. ¹¹⁴³

Business lines: Cross-border payments, FX and mBridge; Trade finance and electronic bills of lading

Timeline

Date	Milestone	Status	Src
Q4 2019	Inthanon-LionRock starts (HKMA and BoT)	Superseded	1360
Jan 2020	Inthanon-LionRock report	Superseded	1129

Date	Milestone	Status	Src
23 Feb 2021	The PBC's Digital Currency Institute and the CBUAE join; project renamed m-CBDC Bridge	Superseded	1256
28 Sep 2021	Interim report on faster, cheaper payments	Research	1262
15 Aug 2022	Six-week real-value pilot begins	Pilot	1266
26 Oct 2022	Pilot results published	Pilot	1267
Oct 2023	mBridge update brochure	Pilot	1283
5 Jun 2024	MVP reached; Saudi Central Bank welcomed as next full participant	Pilot	1297
Oct 2024	BIS (international) says it is handing the project over to the partner central banks	Pilot	1145, 1163
8 Oct 2025	Government says mBridge is part of Hong Kong's financial market infrastructure	Pilot	1143
Dec 2025	Financial Services and the Treasury Bureau fintech page lists five central banks conducting mBridge, without the BIS	Pilot	1144

What it means for your bank

- Each bank runs its own compliance checks off the platform before it sends or confirms a payment. 1136

These include anti-money laundering (AML), counter-terrorist financing (CTF) and sanctions checks.¹¹³⁶

- Each participating bank must follow the AML, CTF and sanctions laws that apply to it.¹¹⁷¹ The platform only attaches a pass or fail certificate from the bank's own off-platform check.¹¹⁷¹
- Banks keep know-your-customer checks (confirming who customers are), AML and counter-terrorist financing compliance off the platform.¹¹³⁷ Each jurisdiction's own rules apply.¹¹³⁷
- Foreign banks can hold and use another jurisdiction's CBDC.^{1475,1178} Only that jurisdiction's domestic banks can ask its central bank to issue or redeem it.^{1475,1178}
- Private firms can propose add-on technology or new uses through a BSIH participation form.¹⁴⁷⁶

Talking points

- **To the CCO:** On mBridge, AML and sanctions checks stay with each bank, off the platform.¹⁴⁷⁷
- **To business heads:** Participating Hong Kong banks set their own fees for mBridge payments.¹¹⁴³
- **To the CEO:** Project mBridge reached MVP in June 2024.¹¹³⁰ The Government calls it part of Hong Kong's financial market infrastructure.¹¹⁴³

- **To Risk:** The 2022 pilot ran on a single central cloud in Hong Kong. The report says keeping data in one cloud raised privacy concerns. ¹¹⁷⁵

Key documents

1. Project mBridge: Connecting economies through CBDC — BISIH, HKMA and partner central banks — Oct 2022 — read sections 6.5.2, 7.1 and 7.2 — <https://www.hkma.gov.hk/media/eng/doc/key-information/press-release/2022/20221026e3a1.pdf>
2. Project mBridge reaches MVP stage — HKMA — 5 Jun 2024 — read paras 1-4 and footnote 1 — <https://www.hkma.gov.hk/eng/news-and-media/press-releases/2024/06/20240605-4/>
3. Project mBridge Update: Experimenting with a multi-CBDC platform for cross-border payments — BISIH and partners — Oct 2023 — read pages 2-3 — https://www.hkma.gov.hk/media/eng/doc/key-functions/financial-infrastructure/mBridge_publication.pdf
4. LCQ21: e-CNY (digital renminbi) wallets — Hong Kong Government reply to a Legislative Council question — 8 Oct 2025 — read Reply (4) — <https://www.info.gov.hk/gia/general/202510/08/P2025100800250.htm>

Related

Projects: e-hkd, cbdc-research, ensemble. Modules: E2, E3. See also: D7 (sanctions).

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PROJECT PROFILE

Government policy statements and Policy Address items

STATED TARGET

 Run by: FSTB

These are the Government's own strategy papers on digital assets. They include the 2022 Policy Statement, Policy Statement 2.0 in 2025, and the digital-asset targets in the 2025 and 2026 Policy Addresses.^{1478,1479} A Policy Address is the Chief Executive's yearly speech setting out Government policy. For banks, Policy Statement 2.0 proposed the Hong Kong Monetary Authority (HKMA) as frontline regulator for banks' digital-asset dealing and custody.⁶⁷

At a glance

Item	Detail
Run by	Financial Services and the Treasury Bureau (FSTB) for the policy statements; Chief Executive for Policy Addresses ^{1480,39,1481}
Status as of 25 Sep 2026	Stated target (Policy Statement 2.0 and 2026 Policy Address); 2022 statement superseded by Policy Statement 2.0, which builds on it ¹⁴⁸²
Started	31 Oct 2022 ¹⁴⁷⁸
Next official date	Bill on virtual asset (VA) dealing, custody, advisory and management to be introduced in 2026 (stated target) ¹⁷

Item	Detail
Covered in	A3, A1, E1, E3

What it is

The 2022 Policy Statement adopted a simple principle: the same activity and the same risks get the same regulation.¹⁴² It also announced work on a licensing regime for VA service providers.¹⁴² It listed three pilots:

- an issue of non-fungible tokens (unique digital tokens)¹⁴⁸³
- a tokenised Government green bond, meaning a bond recorded as digital tokens¹⁴⁸³
- e-HKD (a possible digital Hong Kong dollar)¹⁴⁸³

Policy Statement 2.0 (June 2025) set out the LEAP framework. LEAP stands for four areas of work:¹⁴⁶

- Legal and regulatory streamlining
- Expanding tokenised products
- Advancing use cases and cross-sector collaboration
- People and partnership development

Policy Statement 2.0 proposed the Securities and Futures Commission (SFC) as lead authority to license and register digital-asset dealers and custodians.⁶⁷ It proposed the HKMA as frontline regulator for banks.⁶⁷

Policy Statement 2.0 also switched the Government's term to *digital assets*.¹⁴⁴ *Virtual asset* is still the term defined in the Anti-Money Laundering and Counter-Terrorist Financing Ordinance (AMLO).¹⁴⁸⁴ The 2026 Policy Address adds targets for the HKMA and SFC, some with dates.¹⁴⁸⁵

➤ COMMERCIAL AND CUSTOMER BENEFITS

For customers:

- Policy Statement 2.0 says tokenisation could bring efficiency gains, lower costs, more transparency and wider investor participation.¹⁴⁸⁶
- The Government hopes regular tokenised bond issues can widen access and draw more investors.¹⁴⁸⁷

For the bank:

- The unified licensing approach aims to give firms clarity and support large deals.¹⁴⁸⁸
- The planned dealing and custody regimes seek to meet investor needs for liquidity, block trades and safekeeping.³
- The 2025 Policy Address said the HKMA would encourage banks to offer tokenised deposits and promote live deals using them.¹⁴⁸⁹

- The HKMA is exploring interbank settlement of tokenised deposits, to simplify processes and improve liquidity. ¹⁴⁹⁰

Evidence so far:

- Two tokenised Government green bond issues totalled around HK\$6.8 billion. ¹⁴⁸⁷
- At end-2025, 11 VA spot exchange-traded funds (ETFs) were listed in Hong Kong, worth over HK\$5.4 billion. ³⁷⁹
- By March 2026, the public could buy 13 tokenised products, whose tokenised classes held about HK\$10.7 billion. ⁴²⁶

Limits:

- Most items above are aims: in June 2026 the VA dealing and custody bill was still due to go to the Legislative Council that year. ¹⁷
- Policy Statement 2.0 says these gains need a clear, certain legal regime, and announced a legal review. ¹⁴⁸⁶

Business lines: Digital bonds: arranging and custody; Tokenised deposits and payments; Virtual-asset dealing; Virtual-asset custody

Timeline

Date	Milestone	Status	Src
31 Oct 2022	Policy Statement on Development of VA in Hong Kong	Superseded	1478, 133
26 Jun 2025	Policy Statement 2.0 (LEAP)	Stated target	125
17 Sep 2025	2025 Policy Address: bill for dealing and custodian licensing in 2026	Stated target	1491
25 Feb 2026	2026-27 Budget repeats the 2026 bill target. It plans a bill to amend the law for the Crypto-Asset Reporting Framework (global crypto tax reporting rules)	Stated target	114
16 Sep 2026	2026 Policy Address: HKMA tests of tokenised Exchange Fund Bills (short-term debt the HKMA issues) by year-end. A digital asset platform this year from CMU OmniClear, the company that runs the Central Moneymarkets Unit (CMU) for the HKMA	Stated target	1373
16 Sep 2026	2026 Policy Address: SFC to widen VA licensing, tokenised gold, trading of stablecoins (tokens meant to keep a steady value against a currency)	Stated target	1492
16 Sep 2026	First Five-Year Plan (2026-2030): a world-leading regime to license and regulate digital assets; tokenisation of finance as one of four fintech pillars	Stated target	140
23 Sep 2026	SFC strategic action plan for the Five-Year Plan and 2026 Policy Address: new digital-asset licensing regimes in the short term	Stated target	163

Date	Milestone	Status	Src
Around end-2026	EnsembleTX (the HKMA's pilot for settling tokenised money between banks): settlement in central bank digital currency and round-the-clock operation	Stated target	157
By 2029	Customs and Excise Department systems to analyse digital-asset transactions and anti-money laundering data	Stated target	1088

What it means for your bank

- Policy Statement 2.0 said the HKMA would be the frontline regulator for banks. The HKMA was to supervise banks' digital-asset dealing and custody.⁶⁷ Policy Statement 2.0 proposed the SFC as the lead authority for licensing and registration.⁶⁷
- The 2025 Policy Address said the HKMA would encourage banks to introduce tokenised deposits. These are bank deposits recorded as digital tokens.¹⁴⁸⁹ The HKMA would also promote live deals in tokenised assets, such as settling tokenised money market funds with tokenised deposits.¹⁴⁸⁹
- The same paragraph said the HKMA would encourage banks to use the supervisory sandbox to improve their risk management. The sandbox lets banks test new technology with HKMA oversight.¹⁴⁸⁹

- Separately, the HKMA expects the board of each authorized institution to oversee a strategic business plan on technology change. Authorized institutions are the banks and deposit-takers the HKMA authorizes.¹⁴⁹³ The board should sign off the plan within six months of the HKMA's 9 March 2026 circular.¹⁴⁹³

Talking points

- **To the CCO:** The Government now says *digital assets*. But *virtual asset* is still the defined term in AMLO.^{144, 1484}
- **To business heads:** The 2026 Policy Address says the SFC will promote trading of regulated stablecoins on licensed platforms. It will also promote their use to settle tokenised money market funds.¹⁶⁸
- **To the CEO:** The Government's stated 2026 target is one bill for VA dealing, custody, advisory and management licensing.¹⁷
- **To Risk:** Customs plans a system to analyse digital-asset transactions by 2029. The system is part of the Customs anti-money laundering big-data platform.¹⁰⁸⁸

Key documents

1. Policy Statement 2.0 on the Development of Digital Assets in Hong Kong — FSTB — 26 Jun 2025 — read paras 3-16 —
https://gia.info.gov.hk/general/202506/26/P2025062600269_500089_1_1750909574183.pdf
2. Policy Statement on Development of Virtual Assets in Hong Kong — FSTB — 31 Oct 2022 — read paras 4-11 —
https://gia.info.gov.hk/general/202210/31/P2022103000454_404805_1_1667173469522.pdf
3. The Chief Executive's 2026 Policy Address — Hong Kong Government — 16 Sep 2026 — read paras 35, 49-51 and 99 —
https://www.policyaddress.gov.hk/2026/public/pdf/policy/policy-full_en.pdf
4. 2025 Policy Address — Hong Kong Government — 17 Sep 2025 — read paras 103-104 and Annex item 22 —
https://www.policyaddress.gov.hk/2025/public/pdf/policy/policy-full_en.pdf
5. 2026-27 Budget — Financial Secretary — 25 Feb 2026 — read paras 97-114 —
https://www.budget.gov.hk/2026/eng/pdf/e_budget_speech_2026-27.pdf

Related

Projects: aspire, va-licensing-regimes, ensemble, cmu-omniclear, carf, stablecoin-regime. Modules: A3, A1, E1, E3.

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PROJECT PROFILE

Relevant Stablecoins: dealing, advice and trading

IN FORCE

 Run by: HKMA + SFC

Relevant Stablecoins are stablecoins issued under a Hong Kong Monetary Authority (HKMA) licence.¹⁷⁹ A stablecoin is a digital token meant to keep a steady value, usually against an official currency. In May 2026, the HKMA and the Securities and Futures Commission (SFC) eased how their virtual-asset (VA) conduct rules apply to these coins.^{18,312} This page also covers the stated plan for trading them on licensed platforms.¹⁶⁸ Why it matters to your bank: some VA rules are lighter for these coins. For example, dealing only in these coins needs no Type 1 registration (the SFC registration for dealing in securities).¹⁴⁹⁴

At a glance

Item	Detail
Run by	Hong Kong Monetary Authority (HKMA) for banks; Securities and Futures Commission (SFC) for trading platforms and licensed corporations ^{1495,1496}
Status as of 25 Sep 2026	In force (since 27 May 2026) ^{18,179}
Started	27 May 2026 ^{18,312}

Item	Detail
Next official date	None fixed. The Chief Executive's Policy Address says the SFC will promote stablecoin trading on licensed platforms (stated target) ¹⁶⁸
Covered in	C1, C4, B2, C7, E1

What it is

A Relevant Stablecoin is a specified stablecoin (a class defined in the law) issued under a licence granted under the Stablecoins Ordinance. ¹⁷⁹

After the Ordinance came into force, the HKMA and the SFC reviewed how their joint circulars on VA activities should apply to these coins. ¹⁴⁹⁷ They took into account that the coins are pegged to a currency. ¹⁴⁹⁷

The HKMA's circular to registered institutions (RIs) sets out the changes. RIs are banks that the SFC has registered for securities business. ¹⁴⁹⁸ Updated terms and conditions are in Appendices A1 and A2. ¹⁴⁹⁸

A separate HKMA letter points all authorized institutions (AIs) to the same standards. AIs are the banks and deposit-taking companies the HKMA authorizes. ¹⁷⁹

The SFC's circular 26EC26 covers virtual asset trading platforms (VATPs) and licensed corporations (LCs), meaning firms licensed by the SFC.¹⁴⁹⁹ It refers RIs to the HKMA circular.¹⁴⁹⁹

The HKMA letter says its guidance should not be read as treating these coins as investment products.¹⁷⁹

➤ COMMERCIAL AND CUSTOMER BENEFITS

For customers:

- For a coin-only client account, a registered institution (RI) need not test the client's virtual asset (VA) knowledge or set a VA exposure limit.¹⁵⁰⁰
- The RI should disclose how each coin keeps its value and how redemption works.¹⁵⁰¹
- The Policy Address says the SFC will promote trading these coins on licensed platforms and using them to settle tokenised money market funds.¹⁶⁸

For the bank:

- RIs may deal in these coins through the licensed issuer or a licensed trading platform.²⁰⁸
- An RI dealing only in these coins need not be registered for Type 1 (dealing in securities).¹⁴⁹⁴

- An RI that judges it prudent to take virtual assets as loan collateral may include these coins, after a haircut (a cut to their value). ⁶⁴⁵

Evidence so far:

- Two issuer licences took effect on 10 April 2026. ⁶⁰ On 28 April 2026 both licensees confirmed they had not yet issued any regulated stablecoin. ⁵¹¹
- On 16 September 2026 a Government spokesman said the first regulated stablecoin in Hong Kong had launched in August 2026. ⁵⁰³ The official sources reviewed do not name the issuer. ⁵⁰³
- A Bank for International Settlements 2026 report (global, reported estimate) put the market value of all stablecoins at about US\$320 billion at end-May 2026. ⁵¹³

Limits:

- In April 2026 the HKMA based its expected launch timing on the issuers' business plans. ¹⁵⁰²
- The easing covers only HKMA-licensed coins; offering any other VA to that client brings back the full rules. ⁵⁴⁴

Business lines: Stablecoin roles for banks; Virtual-asset dealing; Tokenised funds and money market fund settlement

Timeline

Date	Milestone	Status	Src
1 Aug 2025	Stablecoins Ordinance comes into force	In force	15
10 Apr 2026	First two issuer licences take effect	In force	60
27 May 2026	HKMA circular to RIs, with Appendices A1/A2	In force	18
27 May 2026	HKMA letter to all AIs	In force	179
27 May 2026	SFC circular 26EC26 to VATPs and LCs	In force	522
Aug 2026	First regulated stablecoin in Hong Kong launched, a Government spokesman said on 16 Sep 2026 (issuer not named)	In force	503
16 Sep 2026	Policy Address: SFC to promote stablecoin trading on licensed platforms, and their use to settle tokenised money market funds (cash-like funds in token form)	Stated target	168

What it means for your bank

- RIs may now deal in a Relevant Stablecoin through the licensed issuer, not only through a VA trading platform.²⁰⁸

- Dealing only in Relevant Stablecoins needs no Type 1 registration. ¹⁴⁹⁴ The conduct terms in Appendix A1 still apply. ¹⁴⁹⁴
- No VA knowledge test (a check that the client understands VA) is needed for accounts clearly ring-fenced (kept separate) for Relevant Stablecoins only. ⁵⁴⁴ If the account adds any other VA, the full rules apply again. ⁵⁴⁴
- When dealing or advising, the bank should disclose material information on how each coin keeps its value stable. It should also disclose how redemption (cashing in) of the coin works. ¹⁵⁰¹
- Advice should rest on thorough analysis, such as what the client wants to use the coin for. ⁵⁴⁵ Commission rebates or other benefits should not be the main reason to recommend a coin. ⁵⁴⁵
- The HKMA reminds RIs to give it and the SFC advance notice before they start these activities or change them materially. ²²³ The HKMA reminds all AIs to discuss these activities with it in advance. ¹⁵⁰³
- The changes do not apply to other stablecoins. ¹⁵⁰⁴ The joint-circular rules and the HKMA circular to RIs also do not apply to:
 - AIs that are not RIs;
 - a licensed issuer, for its own coin. ¹⁵⁰⁴

- The HKMA expects both of these groups to meet similar standards that it issues separately. ¹⁵⁰⁴

Talking points

- **To the CCO:** As a registered institution, we follow the HKMA circular to RIs. Circular 26EC26 sets standards for VATPs and LCs. ¹⁴⁹⁹ RIs are still reminded to notify both regulators in advance. ²²³
- **To business heads:** Clients with Relevant-Stablecoin-only accounts need no VA knowledge test. They also need no VA exposure limit (cap on a client's VA holdings). Offering those clients any other VA brings back the full rules. ¹⁵⁰⁰
- **To the CEO:** The Policy Address says the SFC will promote trading of regulated stablecoins on licensed platforms. That includes their use to settle tokenised money market funds. ¹⁶⁸
- **To Risk:** Only coins issued under an HKMA licence qualify. ¹²¹⁴ The HKMA register lists the licensees. ¹⁵⁰⁵

Key documents

1. Virtual asset-related activities in relation to relevant stablecoins (circular to RIs) — HKMA — 27 May 2026 — read all nine pages, especially paras (1)-(9) and Implementation —

[https://brdr.hkma.gov.hk/eng/doc-](https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20260527-2-EN/20260527-2-EN.pdf)

[ldg/docId/getPdf/20260527-2-EN/20260527-2-EN.pdf](https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20260527-2-EN/20260527-2-EN.pdf)

2. Relevant Stablecoin-related Activities (letter to AIs)

— HKMA — 27 May 2026 — read both pages —

[https://brdr.hkma.gov.hk/eng/doc-](https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20260527-4-EN/20260527-4-EN.pdf)

[ldg/docId/getPdf/20260527-4-EN/20260527-4-EN.pdf](https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20260527-4-EN/20260527-4-EN.pdf)

3. Circular on provision of Relevant Stablecoin service by VATPs and LCs (26EC26) — SFC — 27 May 2026 — read paras 2-12 for counterparty rules —

<https://apps.sfc.hk/edistributionWeb/api/circular/openFile?lang=EN&refNo=26EC26>

4. The Chief Executive's 2026 Policy Address — Hong Kong Government — 16 Sep 2026 — read para 49 —

https://www.policyaddress.gov.hk/2026/public/pdf/policy/policy-full_en.pdf

Related

Projects: stablecoin-regime, va-licensing-regimes, aspire, policy-statements. Modules: C1, C4, B2, C7, E1.

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PROJECT PROFILE

Stablecoin issuer regime (Stablecoins Ordinance, Cap. 656)

IN FORCE

 Run by: HKMA + FSTB

The Stablecoins Ordinance (Cap. 656, its chapter number in Hong Kong's laws) is Hong Kong's licensing law for firms that issue fiat-referenced stablecoins. These are digital tokens meant to keep a steady value against an official currency, such as the Hong Kong dollar. The Hong Kong Monetary Authority (HKMA) grants the licences.⁴⁹⁷ This page traces the regime from the 2024 sandbox (a supervised test run) to the first licences and the first coin launch. It also covers the public register, the review tribunal and complaint handling. Why it matters to your bank: authorized institutions (AIs) may offer licensed coins to customers.⁵⁰¹ AI is the legal term for banks and deposit-taking companies authorized by the HKMA. An AI can also apply to issue its own coins.¹⁵⁰⁶

At a glance

Item	Detail
Run by	HKMA, which grants licences ⁴⁹⁷ . A Stablecoin Review Tribunal reviews specified (listed) HKMA decisions. The Financial Services and the Treasury Bureau (FSTB) hosts its web page. ¹⁵⁰⁷

Item	Detail
Status as of 25 Sep 2026	In force (since 1 Aug 2025) ¹⁵
Started	HKMA discussion paper, 12 Jan 2022 ¹⁵⁰⁸
Next official date	None fixed. In June 2026 licensed coins were expected to launch between mid-2026 and the second half of 2026. That timing was based on the issuers' business plans. ¹⁵⁰⁹ On 16 September 2026 a Government spokesman said the first regulated stablecoin in Hong Kong had launched in August 2026. ⁵⁰³ The official sources reviewed do not name the issuer.
Covered in	C4, B2, C3, D1, D3, E3

What it is

The Ordinance requires any business that issues a fiat-referenced stablecoin (FRS) in Hong Kong to hold an HKMA licence. ⁴⁹⁷ The same applies to an FRS linked to the Hong Kong dollar, wherever it is issued. ⁴⁹⁷

A licensee must keep a separate reserve pool (the assets that back the coins) for each type of coin. ¹⁵¹⁰ Each pool's market value must always be at least the par value (face value) of the coins in circulation. ¹⁵¹⁰

Holderholders must have a right to redeem (cash in) their coins at par. ¹⁵¹¹ The issuer should process valid requests within one business day, unless the HKMA approves otherwise. ¹⁵¹¹

Only permitted offerors may offer these coins. An AI is one of them.⁵⁰⁰

The HKMA licensed the first two issuers with effect from 10 April 2026.¹⁷⁴ It says that if it grants more licences, the total will stay very limited.¹⁵¹²

On 16 September 2026 a Government spokesman said the first regulated stablecoin in Hong Kong had launched in August 2026.⁵⁰³ The official sources reviewed do not name the issuer.

↗ COMMERCIAL AND CUSTOMER BENEFITS

For customers:

- Issuers must give holders a right to redeem at par (face value), without an unreasonable fee.¹⁵¹¹
- Each coin type needs its own reserve pool, always worth at least the par value of coins in circulation.¹⁵¹⁰
- The HKMA says both licensees plan efficient, transparent and cost-effective cross-border payments, and fast local payments.¹⁵¹³

For the bank:

- A licensed bank can be a custodian of reserve assets.¹⁵¹⁴ Reserves may include bank deposits of up to three months.¹⁵¹⁵

- A bank holding reserve deposits earns a margin on them **CONCEPT**.
- An AI may offer licensed coins to retail and professional investors.⁵⁰¹
- An AI may apply to issue coins, and some minimum criteria do not apply to it.¹⁵⁰⁶

Evidence so far:

- The HKMA received 36 first-batch applications and licensed two issuers from 10 April 2026.¹⁵¹⁶
- On 28 April 2026 both licensees confirmed they had not yet issued any regulated stablecoin.⁵¹¹
- On 16 September 2026 a Government spokesman said the first regulated stablecoin in Hong Kong had launched in August 2026.⁵⁰³ The official sources reviewed do not name the issuer.⁵⁰³
- A Bank for International Settlements 2026 report (global, reported estimate) put the market value of all stablecoins at about US\$320 billion at end-May 2026.⁵¹³

Limits:

- One coin has launched, a Government spokesman said in September 2026.⁵⁰³ The payment benefits above are still the issuers' plans, not reported results.¹⁵¹³
- Issuers must not pay interest to holders.⁴⁹⁹

Business lines: Stablecoin roles for banks

Timeline

Date	Milestone	Status	Src
12 Jan 2022	HKMA discussion paper on crypto-assets and stablecoins	Superseded	1508
27 Dec 2023	FSTB and HKMA consult on the issuer regime (comments due by 29 Feb 2024)	Superseded	1517
12 Mar 2024	HKMA opens a sandbox for would-be stablecoin issuers	Superseded	1518
17 Jul 2024	FSTB and HKMA publish consultation conclusions	Superseded	1519
18 Jul 2024	HKMA names the first sandbox participants (three entries; one is a group of three firms)	Superseded	1520
6 Dec 2024	Stablecoins Bill published in the Government Gazette	Superseded	525
21 May 2025	Legislative Council (LegCo) passes the Bill	Superseded	526
1 Aug 2025	Ordinance and HKMA guidelines come into force	In force	15,16
1 Nov 2025	Current term of Stablecoin Review Tribunal members starts (runs to 31 Oct 2028)	In force	1521
10 Apr 2026	First two issuer licences take effect. HKMA points the public to its register	In force	60, 1522

Date	Milestone	Status	Src
24 Jun 2026	Government expects licensed coins to launch between mid-2026 and the second half of 2026	Stated target	1509
Aug 2026	First regulated stablecoin in Hong Kong launched, a Government spokesman said on 16 Sep 2026 (issuer not named)	In force	503

What it means for your bank

- As a permitted offeror, the bank may offer coins from licensed issuers to retail and professional investors.⁵⁰¹ Other specified stablecoins (a class defined in the law) may go to professional investors only.⁵⁰¹
- An AI can apply to issue coins.¹⁵⁰⁶ An AI incorporated overseas needs no local subsidiary.¹⁵⁰⁶ Some minimum criteria, such as financial resources, do not apply to AI applicants.¹⁵⁰⁶
- The HKMA keeps a public register of licensees. It tells the public to use the register to check claims about licensees.⁷⁸
- A place in the sandbox did not mean the HKMA endorsed the firm. Sandbox firms had to apply separately for a licence.¹⁵²³
- For its own holdings, the bank must notify the HKMA when it acquires a new type of cryptoasset.⁶⁴ The bank must treat the asset as Group 2b (the

crypto group with the strictest bank capital treatment) until the HKMA agrees its classification.

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- The HKMA may assess complaints about an issuer that the issuer has not handled properly.¹⁵²⁴ The HKMA generally does not order an issuer to pay compensation.¹⁵²⁴

Talking points

- **To the CCO:** Only coins from licensed issuers may be offered to retail investors. AIs are permitted offerors.⁵⁰¹ The HKMA register lists who is licensed.
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- **To business heads:** Two issuers hold licences that took effect on 10 April 2026.⁶⁰ The HKMA says any further licences will stay very limited in number.¹⁵¹²
- **To the CEO:** An AI may apply to issue coins. The financial-resources and business-activities criteria do not apply to it.⁵⁴⁹
- **To Risk:** A licensee must give holders a right to redeem at par. It should process valid requests within one business day. Reserves should be held under trust arrangements with qualified custodians (firms that safekeep assets).¹⁵²⁵

Key documents

1. Explanatory Note on Licensing of Stablecoin Issuers — HKMA — Jul 2025 — read Chapters 2 and 3 on scope, offerors and exceptions for AIs —
https://www.hkma.gov.hk/media/eng/doc/key-functions/ifc/stablecoin-issuers/Explanatory_Notes_on_Licensing_of_Stablecoin_Issuers_eng.pdf
2. Guideline on Supervision of Licensed Stablecoin Issuers — HKMA — 1 Aug 2025 — read sections 2-3 on reserves and redemption —
https://www.hkma.gov.hk/media/eng/doc/key-functions/ifc/stablecoin-issuers/Guideline_on_supervision_of_licensed_stablecoin_issuers_eng.pdf
3. Register of Licensees under the Stablecoins Ordinance — HKMA — revised 23 Apr 2026 — lists current licensees —
<https://www.hkma.gov.hk/eng/regulatory-resources/registers/register-of-licensed-stablecoin-issuers/>
4. Granting of stablecoin issuer licences — HKMA — 10 Apr 2026 — read paras 1-5 —
<https://www.hkma.gov.hk/eng/news-and-media/press-releases/2026/04/20260410-4/>

5. Stablecoin Review Tribunal — FSTB — undated page
— read paras 1-3 on reviews —
<https://www.fstb.gov.hk/fsb/en/topical/srt.html>

Related

Projects: relevant-stablecoins, va-licensing-regimes,
policy-statements. Modules: C4, B2, C3, D1, D3, E3.

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PROJECT PROFILE

Supervisory Incubator for DLT

PILOT

 Run by: HKMA

The Supervisory Incubator for distributed ledger technology (DLT) is a Hong Kong Monetary Authority (HKMA) scheme for banks. DLT is a shared digital record kept in step across many computers, such as a blockchain. A bank can use the Incubator to check the risk controls for a DLT project with a dedicated HKMA team before full launch.²¹⁸ Why banks care: the HKMA says six banks have launched tokenised deposit services through the Incubator.¹⁵²⁶ Tokenised deposits are bank deposits recorded as digital tokens.

At a glance

Item	Detail
Run by	Hong Kong Monetary Authority (HKMA) ¹³⁰⁵
Status as of 25 Sep 2026	Pilot: Authorized Institutions (AIs: banks and deposit-takers authorized by the HKMA) may apply to join. ¹⁵²⁷ The HKMA was still promoting the Incubator in March 2026. ¹⁵²⁸
Started	8 Jan 2025 ²⁴²
Next official date	None stated
Covered in	B2, B3, C5, E2, E3

What it is

The Incubator is a supervisory arrangement. It helps banks manage the risks of adopting DLT.⁶¹⁶ It pays close attention to risks in services that span DLT and older, existing systems.⁶¹⁶ Tokenised deposits were a core focus from the start.⁶¹⁶

For each bank, the Incubator offers a single contact point at the HKMA.²¹⁸ Through it, the bank can reconfirm that its risk controls are adequate before launch.²¹⁸ The bank works with a dedicated HKMA team and can choose to run live trials.²¹⁸ Trials take a hands-on, step-by-step approach.²⁴²

For the industry as a whole, the Incubator is to share good practice through guidance, sharing sessions and research.¹⁵²⁹ In an HKMA inSight article on 24 October 2025, the HKMA said six banks had launched tokenised deposit services through the Incubator.¹⁵²⁶

↗ COMMERCIAL AND CUSTOMER BENEFITS

For customers:

- The HKMA says the Incubator aims to foster DLT banking services that are safe, efficient and useful to the wider community.¹⁵³⁰
- When setting trial flexibility, the HKMA considers whether a bank can follow sandbox operating

principles, including customer protection measures. ¹⁵³¹

- Tokenised deposits were a core focus when the Incubator started. ⁶¹⁶

For the bank:

- A dedicated HKMA team gives supervisory feedback on a bank's DLT proposals before full launch. ²⁴²
- The HKMA is prepared to give some supervisory flexibility during trials, decided case by case. ²⁴²
- The HKMA's March 2026 circular says a bank's strategic plan may use small real-world Incubator trials to test new business models. ¹⁵³²
- Feedback from a supervisor before launch can lower the risk of costly redesign later. CONCEPT

Evidence so far:

- In October 2025 the HKMA said six banks had launched tokenised deposit services through the Incubator. ¹⁵²⁶
- The same HKMA article says DLT adoption rose 50% in recent years. ¹⁵²⁶
- Around 60 banks attended a March 2026 HKMA event on the Incubator and Project Ensemble. ¹⁵³³

Limits:

- The flexibility depends on the bank managing trial risks in line with the trial's scale, scope and nature.²⁴²
- The HKMA article gives the number of banks, but no client numbers, volumes or cost savings.¹⁵²⁶

Business lines: Tokenised deposits and payments; Infrastructure as a service

Timeline

Date	Milestone	Status	Src
16 Apr 2024	HKMA issues non-binding DLT risk-management considerations	In force	255
8 Jan 2025	Incubator launched at FiNETech4 (an HKMA fintech event); circular (formal HKMA letter) sent to AIs	Pilot	1534, 242
24 Oct 2025	HKMA reports six banks' tokenised deposit services launched through the Incubator	Pilot	1526
9 Mar 2026	Business-model circular says banks' plans may include small real-world trials through the Incubator	In force	219
9 Mar 2026	HKMA event on Project Ensemble and the Incubator for around 60 banks	Pilot	1533

What it means for your bank

- Joining is voluntary. AIs that want to use the Incubator contact the HKMA.¹⁵³⁵ The purpose is to

reconfirm risk controls before a full launch. ²¹⁸

- The HKMA is prepared to give AIs in the Incubator some supervisory flexibility (room in how rules apply). The HKMA decides this case by case. ¹⁵³¹ One factor is whether the bank can meet operating principles similar to those for Fintech Supervisory Sandbox trials. The Sandbox is an existing HKMA scheme for limited fintech pilots. ¹⁵³¹
- That flexibility depends on the bank managing trial risks in line with the trial's scale, scope and nature.

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- Some existing rules might not fit DLT well. Where that mismatch is unintended, the HKMA says it will consider whether rules need adapting or some flexibility is needed. ¹⁵³⁵ The HKMA will do the same where the mismatch goes against the principle of "same activity, same risk, same regulation". ¹⁵³⁵
- The HKMA's non-binding DLT considerations remain a reference. ¹⁵³⁶ They cover:
 - board responsibility;
 - network choice;
 - smart contracts (code on the ledger that runs by itself);
 - legal risks such as settlement finality (the point when a transfer is legally final);

- private key security (protecting the secret codes that control digital assets).
- The HKMA expects AIs planning new digital-asset activities to discuss them with the HKMA before launch.²²⁹

Talking points

- **To the CCO:** The HKMA decides any supervisory flexibility in the Incubator case by case. It depends on how the bank manages trial risks.¹⁵³¹
- **To business heads:** The HKMA says six banks have launched tokenised deposit services through the Incubator.¹⁵²⁶
- **To the CEO:** The HKMA's business-model circular says a bank's strategic plan may factor in small real-world trials through the Incubator.²¹⁹
- **To Risk:** The HKMA's DLT considerations say the board and senior management carry full responsibility for DLT adoption and its risks.⁸⁶⁷

Key documents

1. Supervisory Incubator for Distributed Ledger Technology (DLT) — HKMA circular — 8 Jan 2025 — read both pages, including footnote 2 — <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20250120-1-EN/20250120-1-EN.pdf>

2. HKMA launches Supervisory Incubator to foster responsible adoption of DLT — HKMA — 8 Jan 2025 — read paras 2-4 — <https://www.hkma.gov.hk/eng/news-and-media/press-releases/2025/01/20250108-3/>
3. Risk management considerations related to the use of DLT — HKMA — 16 Apr 2024 — read the Introduction and items 1-10 — <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20240416-2-EN/20240416-2-EN.pdf>
4. Strategic Review of Business Models amid Digital Transformation — HKMA — 9 Mar 2026 — read letter body paras 4-5 — <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20260309-1-EN/20260309-1-EN.pdf>

Related

Projects: ensemble, digital-bonds, policy-statements.
Modules: B2, B3, C5, E2, E3.

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PROJECT PROFILE

Tokenised Bond Expert Group and the DLT fixed-income law review

EXPLORATORY Run by: HKMA and partners

Distributed ledger technology (DLT) is a shared digital record kept in step across many computers. The Tokenised Bond Expert Group (TBEG) is a Hong Kong Monetary Authority (HKMA) panel of industry experts on tokenised bonds.¹⁵³⁷ Tokenised bonds are bonds whose ownership is recorded as digital tokens on DLT. The group works alongside a joint review by the Financial Services and the Treasury Bureau (FSTB) and the HKMA.¹⁵³⁷ The review asks whether Hong Kong's laws and rules support using DLT in the bond market.¹⁵³⁸ For a bank that issues, arranges or holds tokenised bonds, the review shows where current law already fits. It also shows which legal questions are still open. Fixed income, in the title, means bonds and similar debt.

At a glance

Item	Detail
Run by	HKMA for the TBEG; FSTB and HKMA jointly for the review ^{1323,1538}

Item	Detail
Status as of 25 Sep 2026	Exploratory (TBEG); review phase 1 conclusions published 29 Jun 2026 ^{585,1538}
Started	The 2025-26 Budget first announced the review. The TBEG held its first discussions in May 2026 and was announced on 5 Jun 2026. ^{1539,1537}
Next official date	Phase 2 legal review in H2 2026, the second half of the year (stated target) ^{1540,587}
Covered in	C5, A3, E1, E3

What it is

Policy Statement 2.0 said the FSTB and HKMA would lead a review of law and regulation on tokenisation, with bonds as the first focus. ¹⁴⁸⁶ Tokenisation means representing an asset, such as a bond, as a digital token. The 2026-27 Budget said the Government would issue guidance on registers of debenture holders (official lists of who holds a company's bonds). ¹⁵⁴¹ The guidance is to confirm that these registers may be kept on a distributed ledger. ¹⁵⁴¹ The Budget further said the Government would explore e-signatures for bond documents. ¹⁵⁴¹ It also named digitised bearer bonds (bonds owned by whoever holds the certificate) as a topic to explore. ¹⁵⁴¹ The HKMA announced the TBEG on 5 June 2026. ¹⁵⁴² Its members come from: ¹⁵⁴²

- industry bodies;
- financial institutions;

- law firms; and
- infrastructure and technology providers.

The group's discussions in May 2026 gave input to the joint review.¹⁵⁴³ Phase 1 of the review found that current law and regulation are already flexible enough for tokenised bond issues.¹⁵³⁸ On 29 June 2026, when the phase 1 findings came out, the Companies Registry published answers to frequently asked questions (FAQs).¹⁵⁴⁴ The FAQs confirm that a register of debenture holders kept on DLT can meet the record-keeping rules in the Companies Ordinance (Cap. 622).

¹⁵⁴⁴

➤ COMMERCIAL AND CUSTOMER BENEFITS

For customers:

- In June 2026 the FSTB and the HKMA said phase 1 findings suggest current rules are already flexible enough for tokenised bonds.¹⁵³⁸
- Companies Registry FAQs say a bondholder register kept on DLT can be treated as meeting company-law record rules.¹⁵⁴⁴
- Phase 2 is to explore electronic signing of issue documents, for more efficient, automated issuance.¹⁵⁴⁵

For the bank:

- The HKMA set up the group to drive wider adoption of tokenised bonds. ¹³²³
- Arranging and custody fees grow with bond issuance. CONCEPT
- The Digital Bond Grant Scheme covers 50% of an issuer's eligible costs, up to HK\$2.5 million per issue if all requirements are met. ¹³⁹⁷ Eligible costs include fees to Hong Kong-based arrangers. ¹³⁹⁹

Evidence so far:

- The 2026 Policy Address says Hong Kong-issued digital bonds took nearly 50% of the global market in 2025 and the first half of 2026. ⁵⁶⁹
- A July 2025 Bank for International Settlements (BIS) staff bulletin found a mean bid-ask spread of about 19 basis points on tokenised bonds. ¹⁴⁰³ Conventional bonds from the same issuers had about 30. ¹⁴⁰³ This is early global evidence. ¹⁴⁰³ A bid-ask spread is the gap between buying and selling prices. CONCEPT

Limits:

- The same bulletin found no systematic gap in issuance costs. ¹⁴⁰³

- The review found a few legal issues still needing clarification.¹⁵⁴⁶ Phase 2 starts in the second half of 2026.¹⁵⁴⁰

Business lines: Digital bonds: arranging and custody; Infrastructure as a service

Timeline

Date	Milestone	Status	Src
26 Jun 2025	Policy Statement 2.0 commits to a tokenisation law review, starting with bonds	Stated target	1486
25 Feb 2026	Budget sets review topics: DLT registers, e-signatures, bearer bonds	Stated target	1541, 1539
May 2026	First TBEG discussion sessions	Exploratory	1543
5 Jun 2026	HKMA announces the TBEG	Exploratory	1323
29 Jun 2026	Phase 1 findings and Companies Registry FAQs	Conclusions published	1547
H2 2026	Phase 2 law review (signing documents electronically; possession and transfer of tokens)	Stated target	1545
16 Sep 2026	Policy Address: TBEG to launch the phase 2 review with the FSTB	Stated target	587

What it means for your bank

- Phase 1 created no new obligation. It found the current legal and regulatory setting already flexible enough for tokenised bond issues. ¹⁵⁴⁸
- The Companies Registry FAQs are the reference point for DLT registers of debenture holders. ¹⁵⁴⁴ They matter if the bank keeps or relies on such a register for a Hong Kong company. ¹⁵⁴⁴
- Phase 2 will look at letting issuers sign tokenised bond issue documents electronically. One example is using electronic signatures to create trusts for tokenised bond and fund issues. ¹⁵⁴⁹ It will also look at how possession and transfer work for tokenised fixed-income instruments. ¹⁵⁴⁹
- The HKMA says it will review and update the group's membership when needed. ¹⁵⁵⁰

Talking points

- **To the CCO:** Phase 1 changed no law. It confirmed the current rules are flexible enough and added Companies Registry FAQs on DLT registers. ¹⁵⁴⁷
- **To business heads:** Phase 2 will explore signing tokenised bond issue documents electronically. The goal is a more efficient and automated issuance process. ¹⁵⁵¹

- **To the CEO:** The HKMA set up the TBEG to explore policy measures, market practices and innovations with industry. ¹⁵⁴²
- **To Risk:** Possession and transfer of tokenised instruments are topics for the phase 2 review. That review is set for H2 2026. ¹⁵⁵²

Key documents

1. FSTB and HKMA to further unlock potential of DLT in Hong Kong's fixed income market — FSTB and HKMA — 29 Jun 2026 — read the whole release, especially 'Next phase' — <https://www.hkma.gov.hk/eng/news-and-media/press-releases/2026/06/20260629-4/>
2. HKMA establishes Tokenised Bond Expert Group — HKMA — 5 Jun 2026 — read paras 1-4 and the Annex of members — <https://www.hkma.gov.hk/eng/news-and-media/press-releases/2026/06/20260605-3/>
3. 2026-27 Budget — Financial Secretary — 25 Feb 2026 — read para 107 — https://www.budget.gov.hk/2026/eng/pdf/e_budget_speech_2026-27.pdf
4. Policy Statement 2.0 on the Development of Digital Assets in Hong Kong — FSTB — 26 Jun 2025 — read para 9 —

https://gia.info.gov.hk/general/202506/26/P2025062600269_500089_1_1750909574183.pdf

Related

Projects: digital-bonds, digital-bond-grant-scheme, cmu-omniclear, policy-statements. Modules: C5, A3, E1, E3.

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PROJECT PROFILE

New VA licensing regimes: dealing, custody, advisory and management

CONCLUSIONS PUBLISHED

 Run by: FSTB and partners

VA stands for virtual asset, such as a crypto token. Hong Kong has four planned licensing regimes for firms that provide dealing, custody, advisory or management services in virtual assets (VAs). One bill under the Anti-Money Laundering and Counter-Terrorist Financing Ordinance (Cap. 615) is to bring in all four.^{17,1082} This matters to banks because a bank offering VA dealing or custody would register with the Securities and Futures Commission (SFC). The Hong Kong Monetary Authority (HKMA) is set to supervise the bank day to day.¹¹⁰⁶

At a glance

Item	Detail
Run by	Financial Services and the Treasury Bureau (FSTB) and Securities and Futures Commission (SFC); Hong Kong Monetary Authority (HKMA) as frontline regulator for banks ¹⁰⁹¹
Status as of 25 Sep 2026	Conclusions published (all four regimes) ^{1553,1554}

Item	Detail
Started	Proposal to license VA over-the-counter (OTC) trading, 8 Feb 2024; revised in the 27 Jun 2025 consultations ^{1210,1555}
Next official date	One bill to the Legislative Council (LegCo) in 2026 (stated target); start dates not set ^{17,121,123}
Covered in	E1, C1, C3, A3, B2

What it is

Today the SFC adds VA terms and conditions to the licences and registrations of firms it already oversees. The dealing, advisory and management regimes will replace that practice. ⁸ The current HKMA–SFC joint circular (a letter both regulators issued together) sets the requirements. Those requirements will become the starting point for these three regimes. ⁸

The four regimes cover different services:

- **VA dealing** will line up with Type 1 (dealing in securities). ¹⁵⁵⁶ The SFC will require dealers to keep client VAs with VA custodians the SFC regulates. ¹⁵⁵⁶
- **VA custody** means safekeeping VAs for others. The custodian licence will cover firms that keep private keys for others. Private keys are the secret codes that let someone move a VA. ¹⁵⁵⁷ The licence will also cover firms that keep other tools that let someone transfer VAs for others. ¹⁵⁵⁷ Custody of tokenised

securities alone falls outside the licence. Tokenised securities are securities recorded as digital tokens.

1557

- **VA advisory** will line up with Type 4 (advising on securities). **VA management** will line up with Type 9 (asset management). ^{1108,55}
- **Banks only:** the further consultation said only banks could register with the SFC for advisory and management, rather than be licensed. ^{1108,55}

An earlier proposal had the Commissioner of Customs and Excise license VA OTC spot trading. OTC means deals agreed directly between two parties, not on an exchange. The SFC dealing proposal replaced that approach. ^{1210,1121}

↗ COMMERCIAL AND CUSTOMER BENEFITS

For customers:

- The FSTB and SFC say the custodian regime is to focus on safekeeping private keys, to protect client assets and investors. ¹⁵⁵⁸
- Under the proposed dealing regime, the SFC will require dealers to keep client VAs with custodians it regulates. ¹¹¹⁷
- The SFC's chief executive said the advisory and management regimes will strengthen investor

protection.¹⁵⁵⁹

For the bank:

- A bank would register with the SFC, with the HKMA as its day-to-day regulator.¹¹⁰⁶
- Registered institutions already dealing in VAs, and banks already giving VA custody, are to get faster approval.^{185,444}
- The custodian proposal leaves banks out of its minimum capital rule, since HKMA capital rules already apply.¹⁸⁷
- Custody fees are charged on the value held

CONCEPT.

Evidence so far:

- The FSTB and SFC say the four regimes will increase participation in Hong Kong's digital asset market.¹⁵⁶⁰
- The consultations drew over 190 responses on dealing and custody, and 51 on advice and management.^{1561,1562}
- Private banking and private wealth management assets (not only VAs) rose 24% to HK\$12,945 billion at end-2025.¹⁵⁶³

Limits:

- The FSTB and SFC aim to put a bill to the Legislative Council in 2026; start dates are not set.

1082,121

- Dealers that skip pre-application talks would have to stop operating when the regime starts. ¹⁵⁶⁴

Business lines: Virtual-asset dealing; Virtual-asset custody; Advice and asset management under the new regimes

Timeline

Date	Milestone	Status	Src
8 Feb 2024	Consultation on licensing VA OTC trading (Customs to run it; banks exempt)	Superseded	1089
19 Feb 2025	ASPIRe (the SFC's VA roadmap) lists OTC and custody licensing	Stated target	149
27 Jun 2025	Dealing and custodian consultations (to 29 Aug 2025)	Superseded	1189
24 Dec 2025	Dealing and custodian conclusions; advisory and management consultation	Conclusions published	1317
23 Jan 2026	Advisory and management consultation closes	Superseded	1565
26 May 2026	Advisory and management conclusions	Conclusions published	1554
24 Jun 2026	Government: one bill for all four regimes this year	Stated target	17
16 Sep 2026	Policy Address: SFC to improve VA licensing regimes	Stated target	1566

What it means for your bank

- For VA dealing and custody, a bank would register with the SFC. The HKMA is set to be its frontline regulator, meaning the HKMA supervises the bank day to day. ¹¹⁰⁶
- None of the four regimes is planned to let existing firms carry on while they apply. ^{68,69,357}
- Firms the SFC or HKMA already oversee for these services will get a faster approval process. That group includes registered institutions, which are banks registered with the SFC. ^{68,69,357}
- Banks are exempt from the custodians' rule on minimum financial resources. The reason is that HKMA capital requirements already apply to banks. ¹⁸⁷
- VA management will have no small-amount exception. It covers any business of managing a VA portfolio for others where the manager makes the investment decisions. ¹⁵⁶⁷
- Advice on a portfolio that mixes VAs and securities will still need a VA advisory licence or registration for the VA part. ¹⁵⁶⁸
- Once the regimes apply, no one may actively market these services to the Hong Kong public without an SFC licence or registration. ¹¹¹⁵

- The FSTB and SFC encourage firms to talk early with the SFC, or the HKMA where relevant, before applying. ^{206,1569,1116}

Talking points

- **To the CCO:** All four regimes now have conclusions, and one bill is targeted for 2026. There are no plans to let existing firms carry on while they apply. ^{17,81,1118}
- **To business heads:** Each of the four activities will need a licence or registration once its regime starts. VA management has no small-amount exception. ¹⁵⁷⁰
- **To the CEO:** Start dates are not set yet. The Government and SFC will weigh how long the market needs to adjust. ^{121,123}
- **To Risk:** Under the dealing regime, the SFC will require client VAs to be held with custodians the SFC regulates. ¹¹¹⁷

Key documents

1. Consultation Conclusions on VA dealing and further consultation on VA advisory and management — FSTB and SFC — 24 Dec 2025 — read paras 3-5, 26, 29-36 and footnotes 9-10 — <https://apps.sfc.hk/edistributionWeb/gateway/EN/consultation/doc?refNo=25CP12>

2. Consultation Conclusions: VA Custodian Services — FSTB and SFC — 24 Dec 2025 — read paras 6-16, 41-51 —
https://www.fstb.gov.hk/fsb/en/publication/consult/doc/Custodian_consultation_conclusion_e.pdf
3. Consultation Conclusions: VA Advisory and VA Management — FSTB and SFC — 26 May 2026 — read paras 6-12, 21, 32, 56-70 —
https://www.fstb.gov.hk/fsb/en/publication/consult/doc/VASPVAMSP_consultation_conclusion_e.pdf
4. LCQ11: Management of stablecoins — Hong Kong Government — 24 Jun 2026 — read Reply part (3) on the bill —
<https://www.info.gov.hk/gia/general/202606/24/P2026062400325.htm>

Related

Projects: aspire, policy-statements, relevant-stablecoins, stablecoin-regime. Modules: E1, C1, C3, A3, B2.

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PART F

Business and opportunities

How the business works: where the money is, what regulation costs, who does what, timing, running the business and the path to chief operating officer (COO).

PART F · MODULE F1

F1 Where the money is

This module maps where a bank can earn money from digital assets in Hong Kong. After reading, you can walk a Chief Executive Officer (CEO) through the seven stages of the value chain and say who pays at each one. The value chain is the path an asset takes, from being created to being managed for a client. You can name all 16 business lines on this site, with the bank's role and the status of the rules. You can also tell an official market figure apart from an industry estimate.

In 60 seconds

Money in digital assets follows seven stages: issue, distribute, trade, hold, settle and pay, finance, and advise and manage. At each stage someone pays a fee, a spread or interest. A spread is the gap between a buying price and a selling price. CONCEPT

On this site, 11 of the 16 business lines have rules already in force. Banks registered with the Securities and Futures Commission (SFC) may offer virtual asset (VA) dealing, such as trades in bitcoin. The SFC and the Hong Kong Monetary Authority (HKMA) require them to work only with SFC-licensed platforms.⁴⁷ The HKMA expects a bank to discuss VA custody plans with

it first. It also expects the bank to show that it meets HKMA custody standards.⁷⁶ Three lines are still pilots. EnsembleTX (the HKMA's tokenised-deposit pilot) is to run throughout 2026.¹¹¹³

Official figures give a sense of scale. The 11 VA spot exchange-traded funds (ETFs) had a total market value of US\$451 million at end-June 2026.¹⁵⁷¹ An exchange-traded fund (ETF) is a fund whose units trade on a stock exchange. Hong Kong's asset and wealth management business held HK\$42,202 billion at end-2025.¹⁵⁷²

Key facts

Market signals from official sources

- The SFC's list showed 13 licensed VA trading platforms at its 29 May 2026 update.³⁰³
- A money market fund invests in short-term, low-risk debt. A tokenised fund is one whose units are recorded as digital tokens on a shared ledger. CONCEPT
- Tokenised retail money market funds authorised by the SFC held HK\$8.66 billion at end-2025.³⁸⁰
- At end-June 2026, 15 tokenised retail products held HK\$10.3 billion in their tokenised classes (the units issued as tokens), up 280% in a year.¹⁵⁷³

- The 2026 Policy Address says digital bonds issued in Hong Kong made up nearly 50% of the global market in 2025 and the first half of 2026. ⁵⁶⁹
- The Government's November 2025 digital green bond raised about HK\$10 billion. Orders passed HK\$130 billion. ¹⁵⁷⁴
- The Hong Kong Mortgage Corporation (HKMC) priced about HK\$12 billion of digital bonds in June 2026. ⁵⁶¹
- In April 2026 the HKMA licensed two stablecoin issuers from 36 first-batch applicants. ¹⁵⁷⁵ A stablecoin is a token built to hold a steady value against a currency.
- On 28 April 2026 both licensed issuers confirmed they had not yet issued regulated stablecoins. ⁵⁴¹
- On 16 September 2026 a Government spokesman said the first regulated stablecoin in Hong Kong had launched in August 2026. ⁵⁰³ The official sources reviewed do not name the issuer.
- The total assets of Hong Kong's private banking and private wealth management business rose 24% to HK\$12,945 billion at end-2025. ¹⁵⁶³
- The Central Moneymarkets Unit (CMU) is Hong Kong's central securities depository. It holds and settles securities such as bonds. Its assets under

custody were about HK\$5 trillion at end-September 2025. ¹⁵⁷⁶

- Exchange Fund Bills are short-term debt papers issued for Hong Kong's Exchange Fund. CONCEPT The Policy Address says they total more than HK\$1.3 trillion. It also says the HKMA will test tokenised versions by the end of 2026. ¹⁵⁶
- In an HKMA stock-take run in January 2025 and published in July 2025, 45% of respondents had adopted distributed ledger technology (DLT), up from 30% in 2022. ¹⁵⁷⁷ DLT is a shared digital record, such as a blockchain.

Fees the rules already touch

- Hong Kong banks on mBridge set their own payment fees. mBridge is a shared platform for cross-border payments in central bank digital money. They base them on operating costs and commercial factors. ¹¹⁴³
- The Digital Bond Grant Scheme (DBGS) covers half of an issuer's eligible costs for a digital bond issue. The cap is HK\$1.25 million, or HK\$2.5 million if all extra conditions are met. ¹³⁹⁷
- The Stablecoins Ordinance says a licensed stablecoin issuer must not pay interest to holders. ⁴⁹⁹

Capital rules

- The Basel Committee on Banking Supervision sets global bank capital standards. CONCEPT
- The HKMA put the Basel standards on banks' crypto-asset exposures into effect in Hong Kong on 1 January 2026. It did this by changing three sets of rules: the Banking (Capital), Banking (Disclosure) and Banking (Exposure Limits) Rules. ¹⁵⁷⁸

Industry view

These are estimates or firms' own reported figures. Most are global. None is an official Hong Kong statistic. The brackets after each figure give its scope (global, Hong Kong, or a firm's whole group) and its type (a reported figure or an estimate).

- **Stablecoins.** The Bank for International Settlements (BIS), a body owned by central banks, put the total market value of stablecoins at about US\$320 billion at end-May 2026. This is from its 2026 Annual Economic Report (global, reported estimate). ⁵¹³
- **Tokenised money funds.** A November 2025 BIS staff bulletin put tokenised money market funds on public blockchains at almost US\$9 billion by end-October 2025. This is a global, reported estimate. ¹⁴⁵⁷

- **Tokenised bonds.** A July 2025 BIS staff bulletin counted about US\$8 billion of tokenised bonds issued up to then (global, reported estimate).¹⁵⁷⁹
- **Trading take rates.** HashKey Holdings Limited (HashKey), a Hong Kong-listed platform group, reported 2025 revenue of HK\$522.8 million from its trading services segment (group, reported).¹⁵⁸⁰ Its 2025 trading volume for those services was HK\$590.8 billion (group, reported).¹⁵⁸⁰ A take rate is fee income as a share of trading volume. CONCEPT We worked out the take rate ourselves from those two figures: HK\$522.8 million of revenue on HK\$590.8 billion of volume is about 0.09%. HashKey does not publish this ratio. It is our own sum, not an estimate by any publisher.
- **Custody.** OSL Group Limited (OSL), also Hong Kong-listed, reported custody income of about HK\$16.1 million for 2025 in its 2025 annual report (group, reported).⁴⁴⁵
- **Fund fees.** Bosera Asset Management (International) issued a Hong Kong prospectus in March 2026. It states a current management fee of 0.60% a year for its bitcoin ETF's listed units (HK, reported).¹⁵⁸¹ China Asset Management (Hong Kong)'s April 2026 key facts document says its ether ETF pays up to 1% of net asset value (NAV) a year for

custody and administration (HK, reported). ⁴⁴⁶ NAV is the value of a fund's assets minus its debts.

- **Staking.** HashKey's 2025 results report a staking "monetization rate" of 0.2%, on average staked assets of HK\$22.4 billion (group, reported). This is HashKey's own measure. The results do not say how it is calculated. ³⁰⁴
- **Payments.** The Financial Stability Board (FSB), a global standard setter, put the 2025 global average cost of sending a US\$200 remittance at 6.5% of the amount. This is from its October 2025 progress report (global, reported estimate). ¹¹³⁹

How it works commercially

The value chain and who pays

The table is a general map of where fees arise. It gives no figures. The margin a bank earns on money is its net interest margin: the gap between what it earns on money and what it pays for it. CONCEPT

Stage	What happens	Who pays the bank	Main business lines
Issue	A token, bond or deposit is created on a ledger	The issuer pays arranging and platform fees	Digital bonds; tokenised deposits; stablecoin roles

Stage	What happens	Who pays the bank	Main business lines
Distribute	Products reach clients	The client pays a commission, or the product maker shares its fee	VA distribution; tokenised funds; ETF roles
Trade	Assets change hands	The client pays a commission or a spread	VA dealing; ETF roles
Hold	Assets and keys are kept safe	The client or fund pays a yearly fee on value held	Custody; staking
Settle and pay	Money moves between parties	The payer pays a fee or a foreign exchange (FX) spread; the bank also earns a margin on balances it holds	Cross-border payments; banking the industry
Finance	The bank lends against assets	The borrower pays interest above the bank's own cost of funds	VA financing; collateral; trade finance
Advise and manage	The bank gives advice or runs portfolios	The client pays advice, management or performance fees	Advice and asset management

Every business line in one list

Each line has its own page with facts, levers and an analysis box.

- **Virtual-asset dealing.** Stages: Trade. Role: Broker that deals for clients. Status: In force. Banks deal only through SFC-licensed platforms. ⁴⁷
- **Virtual-asset distribution and brokerage.** Stages: Distribute, Trade. Role: Distributor; broker through a licensed platform; stablecoin offeror. Status: In force. The SFC–HKMA joint circular (a notice to firms from both regulators) covers VA-related products that intermediaries sell. Intermediaries are licensed or registered firms, such as brokers and banks. ²⁹⁶
- **Roles in virtual-asset ETFs.** Stages: Distribute, Trade, Hold. Role: Participating dealer (a firm that creates and redeems ETF units); custodian or sub-custodian; distributor; trading counterparty. Status: In force. The trustee of an SFC-authorised VA fund should hand VA custody only to certain types of firm. These include a bank that meets the HKMA's custody standards. ³⁶⁹
- **Virtual-asset custody.** Stages: Hold, Settle and pay. Role: Custodian; custodian that funds and other firms appoint to hold assets for them. Status: In force. The HKMA expects a bank to discuss its custody plans with the HKMA in advance. ⁷⁶
- **Staking services.** Stages: Hold. Role: Custodian that stakes client VAs; staking provider to brokers and

funds. Status: In force. Staking means locking up tokens to help run a blockchain in return for rewards. CONCEPT In September 2025 the SFC and the HKMA said they are now prepared to let intermediaries offer staking to clients. ¹⁸¹

- **Virtual-asset financing and margin.** Stages: Finance, Trade. Role: Lender to its own dealing clients. Status: In force. A bank may lend for VA dealing based on the client's finances and the collateral the client posts. ¹⁵⁸²
- **Collateral and tokenised financing.** Stages: Finance, Hold, Settle and pay. Role: Lender; repo counterparty; collateral agent; custodian of pledged assets. Status: In force. A repo is a sale of securities with an agreement to buy them back. A haircut is a discount a lender applies to the value of collateral. CONCEPT The HKMA may revise the VA collateral haircut after giving banks notice. ⁶⁴⁵
- **Stablecoin roles for banks.** Stages: Issue, Distribute, Trade, Hold, Settle and pay, Finance. Role: Issuer; reserve bank and custodian; distributor and dealer; lender that takes coins as collateral. Status: In force. The HKMA requires licensed issuers to place their reserve assets with banks in Hong Kong. ⁵⁰⁹
- **Tokenised deposits and payments.** Stages: Issue, Settle and pay. Role: Issuer; settlement bank;

payment provider. Status: Pilot. EnsembleTX started the pilot phase in November 2025. ⁵⁶

- **Tokenised funds and money market fund settlement.** Stages: Distribute, Trade, Hold, Settle and pay. Role: Distributor; connecting broker; settlement bank; custodian. Status: In force. The SFC allows primary dealing (buying new units from the fund and selling units back to it) in tokenised SFC-authorised products. ¹⁵⁸³
- **Digital bonds: arranging and custody.** Stages: Issue, Distribute, Hold, Settle and pay. Role: Arranger; distributor; custodian for investors; investor. Status: In force. Existing securities rules continue to apply to tokenised securities. ¹⁵⁸⁴
- **Cross-border payments, FX and mBridge.** Stages: Settle and pay. Role: Payment bank; FX provider; wallet top-up bank; settlement bank. Status: Pilot. The HKMA is testing central bank digital currency (CBDC) networks, tokenised deposits and linked fast payment systems. ¹⁵⁸⁵
- **Trade finance and electronic bills of lading.** Stages: Finance, Settle and pay. Role: Trade financier; payment bank; data user; pilot participant. Status: Exploratory. The HKMA is to study trade-finance uses of tokenised deposits with the Mainland, with pilot deals by end-2026. ¹¹⁰³

- **Infrastructure as a service.** Stages: Issue, Hold, Settle and pay. Role: Platform operator; technology provider; settlement bank; custodian for other firms. Status: Pilot. EnsembleTX is to move step by step to round-the-clock settlement in tokenised central bank money. ¹¹¹³
- **Banking the digital-asset industry.** Stages: Hold, Settle and pay. Role: Account bank; client-money bank; reserve bank and custodian; payment provider. Status: In force. The HKMA expects banks to discuss new digital-asset activities before launch. ¹²⁹
- **Advice and asset management under the new regimes.** Stages: Advise and manage. Role: Adviser; discretionary portfolio manager; fund manager. Status: Conclusions published. The Government and the SFC have not yet set a start date. ¹²³ Licensed and registered firms already giving these services are to get a faster approval process. ²¹³

In total, 11 lines are In force, three are Pilot, one is Exploratory and one has Conclusions published.

ANALYSIS — NOT OFFICIAL

Question: Which stages of the value chain could our

bank serve with licences and systems it already has?

How to think about it:

- At which stages does the bank already hold the permission it needs? VA dealing through licensed platforms is one example ⁴⁷.
- At which stages does a new regime or a pilot come first? The planned bill for VA dealing and custody is one example ¹⁵⁸⁶.
- Which lines share one client group and one system? Custody, staking and ETF roles are one possible group.
- Separate fee income from balance income, since each depends on different drivers. CONCEPT

What it depends on: the bank's current licences; client demand; the start dates of new regimes; how pilots turn into live services.

Official signposts: the planned VA bill ¹⁵⁸⁶; EnsembleTX's move to 24/7 operation ¹⁵⁷; the SFC platform list ³⁷.

What this is not: Not a forecast, not advice, and not the regulator's view.

Talking points

To the CEO

- Digital bonds issued in Hong Kong made up nearly 50% of the global market from 2025 to mid-2026. ⁵⁶⁹
- Tokenised retail products held HK\$10.3 billion at end-June 2026. ¹⁵⁷³

To the CCO

- We may deal in virtual assets only through SFC-licensed platforms. ⁴⁷
- The HKMA expects talks before any new digital-asset activity starts. ¹²⁹

To business heads

- Licensed stablecoin issuers are required to place reserve assets with banks in Hong Kong. ⁵⁰⁹
- The DBGS covers half of an issuer's eligible costs, up to HK\$2.5 million per issue. ¹³⁹⁷

To Risk / CRO

- The HKMA may change the VA collateral haircut after notice. ⁶⁴⁵
- The Basel crypto-asset capital standards have applied to Hong Kong banks since 1 January 2026. ¹⁵⁷⁸

Common misunderstandings

- **Myth:** Industry market sizes are official Hong Kong data. **Fact:** Most are global estimates by firms or

international bodies. This page labels each one.

- **Myth:** A listed platform's take rate is a market price.
Fact: It is one group's revenue divided by its volume.
Scope and period differ by firm. CONCEPT
- **Myth:** Hong Kong still has no regulated stablecoin in use. **Fact:** On 28 April 2026 both licensed issuers said they had not yet issued any. ⁵⁴¹ On 16 September 2026 a Government spokesman said the first regulated stablecoin in Hong Kong had launched in August 2026. ⁵⁰³ The official sources reviewed do not name the issuer.
- **Myth:** Every line on this page is a live business today. **Fact:** Three are pilots and one is exploratory. EnsembleTX, for example, is a pilot running through 2026. ¹¹¹³

Official documents to read first

1. **Joint circular on intermediaries' virtual asset-related activities** — SFC and HKMA, 22 December 2023. Read paras 5 and 17-20.
<https://apps.sfc.hk/edistributionWeb/api/circular/openFile?lang=EN&refNo=23EC66>
2. **SFC Quarterly Report, April-June 2026** — SFC, 26 August 2026. Read the Highlights and p.31.
<https://www.sfc.hk/-/media/EN/files/COM/QR->

Reports/202604-06/E-SFC-QR4-6.pdf?
rev=182fe897bb1f4b1591f202de12feaf0d

3. **The Chief Executive's 2026 Policy Address** — Government, 16 September 2026. Read paras 35, 49-51 and 99.
https://www.policyaddress.gov.hk/2026/public/pdf/policy/policy-full_en.pdf
4. **Strategic Review of Business Models amid Digital Transformation** — HKMA, 9 March 2026.
<https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20260309-1-EN/20260309-1-EN.pdf>
5. **Robust development of the regulated stablecoin ecosystem in Hong Kong** — HKMA, 10 April 2026.
<https://www.hkma.gov.hk/eng/news-and-media/insight/2026/04/20260410/>
6. **Asset and Wealth Management Activities Survey 2025** — SFC, 2 July 2026. Read Section I.
<https://www.sfc.hk/-/media/EN/files/COM/Reports-and-surveys/AWMAS-report-English.pdf?rev=355c352ea18b409f8bef3388ae259d7f>

Open questions

- Regulators publish no figures for bank revenue, fees or client numbers in any digital-asset line.
- No official source gives fee levels for bank VA custody, dealing or staking in Hong Kong.

- The sources reviewed include no official list of banks registered with the SFC for VA dealing or distribution.
- Industry benchmarks are mostly global or group-wide. No reliable Hong Kong-only figure was found for tokenised deposits, trade finance or VA financing.
- The official sources reviewed do not name the issuer of the first regulated stablecoin, which a Government spokesman said launched in August 2026.⁵⁰³

Check yourself

Answer from memory, then check the answer key at the back of the book.

1. Which platforms must a bank use when it deals in virtual assets for clients?
2. What was the total market value of Hong Kong's 11 VA spot ETFs at end-June 2026?
3. Is EnsembleTX, the HKMA's tokenised-deposit line, already in force or still a pilot?
4. What does the HKMA expect a bank to do before starting a new VA custody arrangement?
5. What do the official sources say about whether regulated stablecoins are live in Hong Kong?

Related modules

F2, F3, F4, F5a, C1, C2, C3, C4, C5, C6, E2

PART F · MODULE F2

F2 How regulation writes the P&L

A P&L (profit and loss statement) shows what a business earns and what it spends. After reading, you can trace the main cost lines of a digital-asset business back to the rule that sets them. You can explain to a Chief Financial Officer (CFO) why the same client asset can cost very different amounts of capital, liquidity and staff time.

In 60 seconds

Capital comes first. The Basel Committee on Banking Supervision (BCBS) is the global body that writes bank capital standards. The Hong Kong Monetary Authority (HKMA) brought the Basel cryptoasset standard into force in Hong Kong on 1 January 2026. It amended its capital, disclosure and exposure-limits rules to do so.

¹⁵⁷⁸ Group 2b, the group for cryptoassets that fail the other tests, carries a 1,250% risk weight. ¹⁵⁸⁷ A risk weight scales how much capital a bank holds against an asset. The minimum total capital ratio is 8%. ⁶⁶ So 1,250% times 8% is 100%: at the minimum, the bank holds capital equal to the whole exposure.

Liquidity comes second. The HKMA sets how tokenised deposits and stablecoins count in its liquidity tests.¹⁵⁸⁸ A stablecoin is a token built to keep a steady value against a currency. A bank that issues a stablecoin redeemable within the 30-day test period must generally assume all of it flows out.⁵¹⁴

Custody brings liability. The HKMA expects a bank custodian to be liable to clients for loss of their digital assets from an incident attributable to the bank.⁸⁵

Licences bring fixed costs. Non-bank firms face minimum capital.^{1589,199} There are licence fees.¹⁵⁹⁰ A registered bank needs named senior managers for each activity.²³² A bill for the Crypto-Asset Reporting Framework (CARF), a global tax-reporting standard, was introduced into the Legislative Council (LegCo) on 3 June 2026.⁴⁴

Key facts

Capital

- Every cryptoasset exposure sits in Group 1a (tokenised traditional assets), Group 1b (stablecoins with an effective stabilisation mechanism) or Group 2 (the rest).¹⁵⁹¹ A stabilisation mechanism is the way a coin keeps its value steady.

- Group 1a exposures in the banking book generally follow the capital rules for the underlying traditional asset.¹⁵⁹²
- A Group 2 asset moves to Group 2a only if it meets all three tests for recognising hedges (offsetting positions). In Group 2a, limited hedging counts towards capital.⁷³⁷ One test is an average market capitalisation of at least HK\$78 billion over the previous year.⁷³⁷ Group 2 assets that get no hedging recognition are Group 2b.¹²¹⁹
- Group 2b exposures take a 1,250% risk weight.¹⁵⁸⁷ This conservative treatment generally also covers credit valuation adjustment (CVA) risk, the risk of loss from a trading counterparty's weaker credit.⁷³⁸
- A bank must notify the HKMA before acquiring a new type of cryptoasset. It treats the asset as Group 2b until the HKMA agrees the bank's classification.⁶⁴
- The HKMA's disclosure notes describe a Group 2 exposure limit of 1% of Tier 1 capital (a bank's core capital).¹⁵⁹³ A systemically important bank is one whose failure would harm the wider financial system. Only a bank designated as globally or domestically systemically important faces a capital add-on when its Group 2 exposure ratio exceeds the set limits.⁷⁴³ For such a bank, the add-on covers Group 2 exposure between 1% and 2% of Tier 1

capital.¹⁵⁹⁴ Above 2%, such a bank reports a single risk-weighted amount that covers all its Group 2 exposures.¹⁵⁹⁵

- A registered institution (RI) is a bank that the Securities and Futures Commission (SFC) has registered for securities business. The HKMA says an RI must treat a loan backed only by virtual asset (VA) collateral as a clean (unsecured) loan for capital.⁶³³

Liquidity

- The liquidity coverage ratio (LCR) tests whether a bank holds enough easy-to-sell assets for 30 days of stressed outflows. The net stable funding ratio (NSFR) tests whether long-term assets have stable funding. CONCEPT
- The HKMA's liquidity rules for cryptoassets below apply to category 1 institutions, the banks that the LCR applies to.¹⁵⁹⁶
- High-quality liquid assets (HQLA) are assets a bank can sell fast in a crisis. A cryptoasset counts as HQLA only if it is a Group 1a token of an eligible asset.¹⁵⁹⁷ It must also pass the usual HQLA tests.¹⁵⁹⁷
- A bank that issues tokenised deposits meeting set conditions may treat them as deposits or unsecured funding. Even then, they cannot count as stable

retail deposits.⁵⁷¹ If the bank cannot always identify the holders, it must treat them as other unsecured wholesale funding.⁵⁷¹

- A bank holding another bank's tokenised deposits treats them like unsecured loans to financial institutions.¹⁵⁹⁸
- A bank holding a stablecoin generally counts no LCR inflow (0%) from it. Under the NSFR, it generally needs stable funding for 85% of the coin's value (an 85% required stable funding factor).⁵¹⁴ A bank issuing one must apply a 100% LCR outflow if holders can redeem within the LCR period. Lower rates may apply if the backing assets would qualify as HQLA.⁵¹⁴
- The HKMA may apply stricter liquidity treatment to a cryptoasset.¹⁵⁹⁹ The HKMA gives an example. A bank that issues a stablecoin, or is a major service provider to one, may need to pay for redemptions. It may need to do so even without a contract, to protect its reputation and business.¹⁶⁰⁰
- Stablecoin reserves may include bank deposits with terms of up to three months.¹⁵¹⁵ In June 2026 the Government said HKMA rules have issuers place reserve assets with banks in Hong Kong.⁵⁰⁹
- The HKMA expects an issuer to manage the reserves' intraday liquidity, taking into account

trading hours and early-withdrawal terms on deposits.¹⁶⁰¹

- The 2026 Policy Address says the HKMA plans 24/7 operations for EnsembleTX (its tokenisation pilot) by around end-2026.¹⁵⁷ It also plans settlement in central bank digital currency by then.¹⁵⁷ The HKMA also plans tests of tokenised Exchange Fund Bills (short-term HKMA debt) by end-2026, to help banks use them round the clock.¹⁵⁶

Custody liability and insurance

- The HKMA expects a bank custodian to keep adequate financial resources for potential losses, which may include insurance.⁸⁵ The May 2026 circular replaced the HKMA's February 2024 custody circular.¹²
- The HKMA expects 98% of client VA holdings in cold storage, meaning keys kept offline.⁸³ It also expects security monitoring to run 24/7.⁴⁶²
- For licensed trading platforms, the SFC expects an approved compensation arrangement covering 50% of client VA holdings in cold storage and 100% elsewhere.⁸⁴

Licence capital and fees

- A licensed trading platform must always hold HK\$5 million or more in paid-up capital.¹⁵⁸⁹ Its required

liquid capital is at least HK\$3 million.¹⁶⁰²

- Under the planned custodian regime, the SFC is to set baseline minimums for non-bank VA custodians only. These are HK\$10 million paid-up capital and HK\$3 million liquid capital.¹⁹⁹ Banks are left out because HKMA capital requirements already apply to them.¹⁸⁷
- A licensed stablecoin issuer needs paid-up capital of at least HK\$25 million.¹⁶⁰³ A bank licensee follows the Banking Ordinance instead.¹⁶⁰⁴
- Licence fees for VA dealing are to be set by reference to fees for Type 1 (securities dealing) under the securities law.¹⁶⁰⁵ For VA advice and management, the May 2026 conclusions set fees by reference to Types 4 and 9 (securities advice and asset management).¹⁶⁰⁶ As at December 2025, each of those types cost an RI HK\$23,500 to apply and HK\$35,000 a year.¹⁵⁹⁰
- An RI needs at least two executive officers for each regulated activity, each approved in writing by the Monetary Authority (the HKMA's head, in the law's terms).²³²
- Banks already assessed by the HKMA for VA custody, and already providing it, are to get faster licensing under the custodian regime.⁴⁴⁴

Compliance and technology

- The HKMA requires registered institutions to take into account the SFC's anti-money laundering (AML) guideline for VA matters.¹⁶⁰⁷ Under that guideline, for a VA transfer of HK\$8,000 or more, the sending firm must obtain fuller sender and recipient details. It must pass them to the receiving firm securely and immediately.¹⁶⁰⁸ This is known as the travel rule.
- The SFC expects internet brokers and SFC-licensed VA trading platforms to adopt phishing-resistant login and device binding by 8 July 2027.¹⁶⁰⁹
- The HKMA doubled its AML on-site examinations of banks, from 14 in 2024 to 28 in 2025.¹⁶¹⁰
- On 9 March 2026 the HKMA said it expects every bank's board to oversee and endorse a strategic business plan within six months. The plan responds to distributed ledger technology (DLT) and other technology change.¹²⁹ The HKMA expects banks to discuss new digital-asset activities with it before launch.¹²⁹

Tax and accounting

- The Inland Revenue Department (IRD) says profits from selling digital assets held as long-term investments are not chargeable to profits tax.

Whether an asset is capital or trading stock depends on the facts.¹⁶¹¹

- Hong Kong-sourced profits from trading or exchanging cryptocurrency as a business are chargeable to profits tax.¹⁶¹²
- The 2026-27 Budget said the Government would classify digital assets as qualifying investments for fund and family-office tax concessions.⁹⁰² A bill widening those regimes was gazetted on 12 June 2026. It is a bill, not yet law.¹⁶¹³ In August 2026 it was still before a LegCo Bills Committee. If passed, it would apply from the 2025/26 year of assessment.¹⁶¹⁴
- The SFC reports that the Government confirmed the stamp duty waiver for transfers of Hong Kong-listed exchange-traded funds (ETFs) also covers tokenised ETFs.¹⁶¹⁵
- If passed, the CARF bill would start on 1 January 2027.¹⁶⁷ A Hong Kong reporting crypto-asset service provider would have to register with the Commissioner of Inland Revenue. The deadline would be 31 January of the year after it first meets the tests for a link to Hong Kong.⁹¹³ Failing to comply without reasonable excuse would be an offence punishable by a fine.¹⁶¹⁶

- Hong Kong-incorporated banks with cryptoasset exposures must publish a template every six months. It shows how their accounts classify and measure those exposures. ¹⁶¹⁷

Industry view

- KPMG (an accounting and advisory firm) published its Hong Kong Banking Report 2026, with reported figures for surveyed Hong Kong banks. It found their average cost-to-income ratio fell from 42.1% to 41.9% in 2025. ¹⁶¹⁸ The same report found staff costs rose 6.7%. ¹⁶¹⁸ A cost-to-income ratio is operating costs divided by operating income.
- Morgan McKinley (a recruitment firm) publishes a salary guide. Its 2026 Hong Kong guide (reported pay ranges) puts a head of compliance at a median of HK\$180,000 a month. ¹⁶¹⁹ Its range runs from HK\$130,000 to HK\$250,000. ¹⁶¹⁹
- A 2022 BCBS study (global, reported, 19 banks) found about half of banks' reported crypto exposures came from custody, wallet, insurance and similar services. ¹⁶²⁰
- Two 2026 Hong Kong fund documents are the source here (reported figures). One is from China Asset Management (Hong Kong), the other from Bosera Asset Management (International). Each sets the

custodian and administrator fee at up to 1% a year of net asset value. That fee includes the VA sub-custodian.^{446,1621} The Boseria prospectus says its sub-custodian will have cover at 50% for cold-storage client assets and 100% for hot-storage ones.¹⁶²²

- The International Financial Reporting Standards (IFRS) Interpretations Committee (global standard-setter, 2019 agenda decision) said a cryptocurrency holding is not cash or a financial asset.¹⁶²³ Such holdings fall under the inventory standard when held for sale in ordinary business, and otherwise under the intangible-asset standard.¹⁶²⁴

How it works commercially

- **Capital cost.** A business line uses capital. The bank expects a return on it, often called a hurdle rate (the minimum return a project must beat). A higher risk weight means more capital, so the line must earn more to clear the hurdle. CONCEPT
- **Balance-sheet or fee business.** Holding a coin on the bank's own books uses capital. Holding it for a client in segregated custody mainly uses operations and liability cover. CONCEPT The HKMA expects client assets to be kept apart from the bank's own.¹⁶²⁵
- **Funding value.** Funding that liquidity rules treat as stable is worth more to a bank than wholesale

funding. CONCEPT

- **Net interest margin.** Net interest margin is the gap between what a bank earns on assets and pays on funding. Reserve deposits from a stablecoin issuer earn this gap for the bank that holds them. CONCEPT
- **Fixed and variable costs.** Key management, monitoring and licences cost roughly the same at low and high volume. Fees on trades or assets grow with volume. So scale decides whether a line covers its costs. CONCEPT

The business lines show these levers one by one. See Virtual-asset custody, Stablecoin roles for banks, Tokenised deposits and payments, Virtual-asset dealing and Virtual-asset financing and margin.

ANALYSIS — NOT OFFICIAL

Question: For a new digital-asset product, what does one extra unit of client business add to profit, after the costs the rules create?

How to think about it:

- Start with income per unit: a fee on assets held, a spread on trades, or a margin on deposits.
- Take off variable costs per unit: collecting and sending travel-rule data, blockchain monitoring, and any insurance priced on value held.

- Add the cost of the capital the unit uses, at the bank's hurdle rate. A unit on the bank's own books in Group 2b carries a 1,250% risk weight ¹⁵⁸⁷. The HKMA expects a unit held for a client in custody to be kept apart from the bank's own assets ⁷⁵.
- Add the liquidity cost: funding that counts as wholesale is worth less than stable retail funding ⁵⁷¹.
- Then compare the total contribution with the fixed cost of keys, staff, licences and named managers. A line with a small contribution per unit needs high volume to break even.

What it depends on: the asset's capital group; whether the bank owns the asset or only safekeeps it; volumes and fee levels; the hurdle rate; the final licensing rules.

Official signposts: HKMA classification decisions on new asset types ⁶⁴; the custodian bill and its start date ¹⁶²⁶; EnsembleTX moving to 24/7 ¹⁵⁷; progress of the CARF bill ⁴⁴.

What this is not: Not a forecast, not advice, and not the regulator's view.

Talking points

To the CEO

- Basel crypto capital rules have been in force in Hong Kong since 1 January 2026.¹⁵⁷⁸
- The HKMA expected each board to endorse a strategic business plan within six months of 9 March 2026.¹²⁹

To the CCO

- We must notify the HKMA before we acquire any new type of cryptoasset.⁶⁴
- Under the SFC's AML guideline, VA transfers of HK\$8,000 or more must carry fuller sender and recipient details.¹⁶⁰⁸

To business heads

- Group 2b cryptoassets on our own books take a 1,250% risk weight.¹⁵⁸⁷ The minimum total capital ratio is 8%.⁶⁶ So $1,250\% \times 8\% = 100\%$: capital equals the exposure.
- The HKMA expects us, as custodian, to be liable for client asset losses from incidents attributable to us.

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To Risk / CRO

- An issued stablecoin redeemable within the LCR period means a 100% assumed outflow.⁵¹⁴
- Tokenised deposits with unknown holders count as other unsecured wholesale funding.⁵⁷¹

Common misunderstandings

- **Myth:** Custody of client coins costs the same as holding coins ourselves. **Fact:** The 1,250% weight applies to Group 2b cryptoasset exposures.¹⁵⁸⁷ For custody, the HKMA expects segregation, and liability backed by adequate financial resources.¹⁶²⁷
- **Myth:** Tokenised deposits are just deposits for liquidity. **Fact:** They cannot count as stable retail deposits. If the holders are unknown, they count as wholesale funding.⁵⁷¹
- **Myth:** Banks need the 50%/100% insurance cover. **Fact:** That is the SFC's expectation for trading platforms.⁸⁴ The HKMA's 2026 guidance for banks instead expects liability for losses, backed by adequate financial resources.⁸⁵
- **Myth:** Crypto gains are always tax-free in Hong Kong. **Fact:** Gains on long-term investments are not chargeable to profits tax.¹⁶¹¹ Hong Kong-sourced profits from a crypto trading business are taxed.¹⁶¹²
- **Myth:** The fund tax concession for digital assets is already law. **Fact:** It is in a bill gazetted in June 2026.¹⁶²⁸ In August 2026 LegCo was still scrutinising it.¹⁶¹⁴

Official documents to read first

- 1. Supervisory Policy Manual (SPM) module on liquidity risk, Annex 3 — HKMA, V.5, 19 December 2025.** Read paras 1-9 for how tokens and stablecoins count in the LCR and NSFR.
<https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20251217-7-EN/LM-1.pdf>
- 2. Updated Guidance on Expected Standards on Provision of Custodial Services for Digital Assets — HKMA, 27 May 2026.** Read paras 6, 11, 14, 19 and 21-23 for liability, storage and monitoring.
<https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20260527-7-EN/20260527-7-EN.pdf>
- 3. Consultation Conclusions on VA custodian services — Financial Services and the Treasury Bureau (FSTB) and SFC, 24 December 2025.** Read paras 41-42 and 51 for capital baselines and faster licensing.
https://www.fstb.gov.hk/fsb/en/publication/consult/doc/Custodian_consultation_conclusion_e.pdf
- 4. Guideline on Supervision of Licensed Stablecoin Issuers — HKMA, 1 August 2025.** Read paras 2.2-2.3, 5.1 and 6.4 for reserves, capital and liquidity.
https://www.hkma.gov.hk/media/eng/doc/key-functions/ifc/stablecoin-issuers/Guideline_on_supervision_of_licensed_stablecoin_issuers_eng.pdf

5. Departmental Interpretation and Practice Notes (DIPN) No. 39, on profits tax and digital assets — IRD, March 2020. Read paras 41-52.

<https://www.ird.gov.hk/eng/pdf/dipn39.pdf>

6. CARF and Amended Common Reporting Standard (CRS) Bill 2026 — IRD, 22 May 2026. Read Clause 1 and ss.50M-50Q and 80R.

[https://www.ird.gov.hk/eng/pdf/carf/Inland%20Revenue%20\(Amendment\)%20\(Crypto-Asset%20Reporting%20Framework%20and%20Amended%20Common%20Reporting%20Standard\)%20Bill%202026\(eng\).pdf](https://www.ird.gov.hk/eng/pdf/carf/Inland%20Revenue%20(Amendment)%20(Crypto-Asset%20Reporting%20Framework%20and%20Amended%20Common%20Reporting%20Standard)%20Bill%202026(eng).pdf)

Open questions

- The sources reviewed hold no final rules on the April 2026 Banking (Capital) Rules proposals.⁷³³
- No official source gives the cost of insurance for VA custody in Hong Kong.
- The fund tax bill and the CARF bill had not passed as of 25 September 2026 in the sources reviewed.
- Final fee levels and start dates for the VA dealing, custodian, advisory and management regimes were not set in the sources reviewed. The Government and SFC said they would consider the dealing start date.¹²¹

- No HKMA guidance on intraday liquidity for 24/7 tokenised settlement was found in the sources reviewed.

Check yourself

Answer from memory, then check the answer key at the back of the book.

1. Who sets the global bank capital standards that the HKMA brought into force in Hong Kong?
2. What risk weight applies to Group 2b cryptoassets, and what is a bank's minimum total capital ratio?
3. Must a bank notify the HKMA before acquiring a new type of cryptoasset?
4. How many executive officers does a registered institution (RI) need for each regulated activity it carries on?
5. Do banks need the 50%/100% compensation cover the SFC expects of licensed trading platforms?

Related modules

D1, D2, D3, D5, C3, C4, C5, F1, F3, F5a

PART F · MODULE F3

F3 Market structure: who does what

A P&L (profit and loss statement) shows what a business earns and spends. This module maps the regulated firms in Hong Kong's digital-asset market and how each type earns money. After reading, you can name each firm type and say how many hold a licence, using official registers. You can explain where a bank can compete, supply or partner. You can also read listed firms' published figures without mistaking them for market shares.

In 60 seconds

Hong Kong licenses digital-asset firms by activity, such as running a trading platform or issuing stablecoins.

¹⁶²⁹ The Securities and Futures Commission (SFC) licenses virtual asset trading platforms (VATPs), which are exchanges for crypto tokens. It listed 13 licensed platforms at end-June 2026, with six applications under review. ¹⁶³⁰ The Hong Kong Monetary Authority (HKMA) licenses stablecoin issuers. A stablecoin is a token built to keep a steady value against a currency. The HKMA register, dated 23 April 2026, lists two licensed issuers. ⁶⁰ The HKMA granted those two

licences from 36 first-batch applicants.¹⁶³¹ A digital bank serves clients mainly online.¹⁶³² The HKMA listed eight digital banks at 31 August 2026.¹⁶³³

Other firm types are still waiting for their own licence. Planned regimes for virtual asset (VA) dealers and custodians are at the conclusions stage: the final policy is published, but the law is not yet made.^{1634,1626} So are regimes for VA advisers and managers.¹⁵⁵⁴ On 24 June 2026 the Government said it will put one bill covering all four to the Legislative Council (LegCo) in 2026.¹⁵⁸⁶ Some licensed firms are joint ventures. The HKMA names one licensed stablecoin issuer as a joint venture of three firms, one of them a bank.¹⁶³⁵

Key facts

Virtual asset trading platforms

- The SFC's list showed 13 licensed platforms and six applicants at its 29 May 2026 update.³⁰³ The SFC stresses that applicants are not licensed.¹⁶³⁶
- At 30 June 2026 the SFC counted 159 licensees under Hong Kong's anti-money laundering ordinance (AMLO), Cap. 615, the law that licenses platforms. That is 13 licensed providers plus 146 licensed individuals.¹⁶³⁷

- The first platform licence was granted in December 2020, for professional investors only. ⁶⁹²
- Since November 2025, licensed platforms may pool orders with overseas affiliates in a shared order book. ¹⁶³⁸ Affiliates may also act as market makers, meaning firms that quote buy and sell prices. ¹⁶³⁸
- A bank offering VA dealing may partner only with SFC-licensed platforms. It either introduces clients to the platform or uses an omnibus account (one pooled account for many clients). ⁴⁷
- A licensed platform must keep at least HK\$5 million of paid-up capital. ¹⁵⁸⁹

Stablecoin issuers

- The register of 23 April 2026 lists Anchorpoint Financial Limited (FRS01) and The Hongkong and Shanghai Banking Corporation Limited (FRS02). Both licences took effect on 10 April 2026. ⁶⁰
- The HKMA received first-batch applications from 36 entities by 30 September 2025. ¹⁶³⁹ It granted licences to two of them. ¹⁶⁴⁰
- On 10 June 2026 the Government said that if more licences are granted, the total number will stay very limited. ⁸⁰
- On 28 April 2026 both licensees confirmed they had not yet issued regulated stablecoins. ⁵⁴¹

- On 16 September 2026 a Government spokesman said the first regulated stablecoin in Hong Kong had launched in August 2026.⁵⁰³ The official sources reviewed do not name the issuer.
- An issuer must not pay interest to holders.⁴⁹⁹ A licensed issuer needs paid-up capital of at least HK\$25 million.¹⁶⁰³ A bank licensee follows the Banking Ordinance instead.¹⁶⁰⁴

VA custodians

- Under the planned regime, platform-linked firms, banks and local banks' subsidiaries that safekeep client keys would need a licence or registration.¹⁶⁴¹ The FSTB (Financial Services and the Treasury Bureau) and the SFC aim to put a bill to LegCo in 2026.¹⁶²⁶
- Under the planned dealing regime, the SFC is to require VA dealers to use SFC-regulated custodians.¹¹¹⁷
- The SFC expects the trustee of an SFC-authorised VA fund to delegate custody only to three kinds of firm. These are a licensed platform, a bank (or a local bank's subsidiary) meeting HKMA custody standards, or another firm the SFC accepts.³⁶⁹

Tokenisation platforms

- The Central Moneymarkets Unit (CMU) is Hong Kong's central securities depository, a system that holds securities and settles trades in them. CMU OmniClear (CMU OmniClear Limited) runs it for the HKMA. It sits under a holding company, CMU OmniClear Holdings Limited.¹³⁷⁴ On 12 November 2025 the HKMA said Hong Kong Exchanges and Clearing Limited (HKEX) would buy newly issued shares for a 20% stake.¹³⁷⁴ Once the deal completed, the HKMA said, the Exchange Fund would own 80% of the holding company and HKEX 20%.¹³⁷⁴ The HKMA called the deal a joint venture.¹³⁷⁴
- The 2026 Policy Address says CMU OmniClear is to set up a digital asset platform in 2026 for issuing and settling digital bonds.⁵⁸⁸ It also says HKEX is building a multi-asset tokenisation platform on a blockchain.¹⁶⁴²
- It says digital bonds issued in Hong Kong took nearly 50% of the global market over 2025 and the first half of 2026.⁵⁶⁹
- At end-June 2026, the SFC counted 15 tokenised retail products. Their tokenised classes had assets under management of HK\$10.3 billion.¹⁶⁴³

VA fund managers and advisers

- The SFC's terms and conditions for VA fund managers apply in two cases. One is a fund with a stated VA objective. The other is a fund that plans to put 10% or more of its gross assets into them. ¹⁶⁴⁴
- The SFC counted 2,358 firms holding a Type 9 licence (asset management) at end-2025. The count covers all asset classes. ¹⁶⁴⁵ It gives no separate count for VA managers.
- The 11 VA spot exchange-traded funds (ETFs) had a combined market value of US\$451 million at end-June 2026. ¹⁵⁷¹ Three of these ETFs may stake through licensed platforms. ¹⁵⁷¹
- The Government and the SFC have yet to set a start date for the advisory and management regimes. ¹²³

OTC dealers

- An over-the-counter (OTC) dealer trades directly with clients rather than on an exchange. CONCEPT
- The dealing regime is to cover anyone who, as a business, makes or offers deals to buy or sell virtual assets, in line with securities dealing. ¹⁶⁴⁶ Payment firms offering conversion into or out of virtual assets may need a licence. ¹⁶⁴⁷
- The Government and the SFC do not plan to treat existing VA dealers as licensed while they apply. ⁸¹

The regime takes full effect on its start date.⁸¹

Licensed platforms, and SFC-licensed or SFC-registered firms that already deal in virtual assets, are to get faster approval.¹⁸⁵

Digital banks

- The HKMA listed eight digital banks at 31 August 2026, all incorporated in Hong Kong.¹⁶³³
- A person holding more than 50% of a local bank should normally be a supervised bank or financial institution. Otherwise the HKMA expects the owner to hold the bank through a Hong Kong holding company that accepts supervisory conditions.¹⁶⁴⁸
Banks may apply to own a digital bank. So may technology companies and other non-financial firms.¹⁶⁴⁸
- The HKMA would be concerned by a digital bank chasing market share with heavy early losses and no credible plan for profit.¹⁶⁴⁹
- By end-July 2024, six of the eight digital banks (then called virtual banks) were registered with the SFC for securities business.¹⁶⁵⁰ In August 2024 the HKMA said it would remove the rule that they mainly serve retail clients. It pointed to their growing links with digital-asset and Web3 firms.¹⁶⁵¹

Joint ventures and partnerships

- On 10 April 2026 the HKMA described Anchorpoint as a joint venture.¹⁶³⁵ It named the three partners in this order: Standard Chartered Bank (Hong Kong) Limited, HKT (HKT Limited) and Animoca Brands Limited.¹⁶³⁵ The HKMA does not state the shareholdings.¹⁶³⁵
- EnsembleTX (the HKMA's pilot for settling tokenised deposits between banks) has annexes dated November 2025. They name seven Tokenised Deposit Banks and 13 other industry pioneers.⁵⁷⁹ The seven banks include Fusion Bank Limited⁵⁵⁹, which is on the HKMA's digital bank list.¹⁶³³
- The Ensemble Sandbox list revised on 7 April 2025 shows banks in its trade theme. Technology firms there include Ant Digital Technologies and Microsoft Hong Kong Limited.¹⁶⁵²
- Project mBridge is a shared platform for cross-border payments in central bank digital currency. In June 2024 the HKMA was one of its project team members.¹⁶⁵³

Industry view

Each figure below is a firm's own reported number from its filing. The firms differ in scope and period, so the figures are not market shares.

- **HashKey Holdings Limited (HashKey)** (Hong Kong-listed; 2025 annual results, reported): group revenue of HK\$723.1 million.¹⁵⁸⁰ The segment HashKey calls "transaction facilitation services" brought HK\$522.8 million, asset management HK\$117.1 million and on-chain services HK\$83.2 million.¹⁵⁸⁰ Group trading volume was HK\$590.8 billion.¹⁵⁸⁰ The group also reports business outside Hong Kong.¹⁵⁸⁰
- **HashKey** (interim results to 30 June 2026, reported): revenue of HK\$342.5 million and trading volume of HK\$282.2 billion.¹⁶⁵⁴
- **OSL Group Limited (OSL)** (Hong Kong-listed; 2025 annual report, reported): digital asset transaction services income of HK\$326.8 million.¹⁶⁵⁵ Software-as-a-service income was HK\$133.1 million and custody income HK\$16.1 million.⁴⁴⁵ Transaction volume was HK\$201.2 billion.¹⁶⁵⁶ These are group figures. OSL reports income from Asia Pacific and Europe.¹⁶⁵⁷
- **Circle Internet Group** (US-listed stablecoin issuer, not on the HKMA register⁶⁰; fourth quarter of 2025, global, reported): reserve income of US\$733 million.¹⁶⁵⁸ Distribution, transaction and other costs were US\$461 million.¹⁶⁵⁸

How it works commercially

- **Trading platforms** earn a fee on each trade. The take rate is fee income divided by trading volume. Platforms may also earn from listing, custody and staking. CONCEPT
- **Stablecoin issuers** earn the return on the reserve assets behind their coins. They pay distributors and run costs out of that return. Income moves with interest rates and the value of coins in circulation. CONCEPT
- **Custodians** charge a yearly fee on the value of assets they hold. Their main costs are key security, monitoring, audit and liability cover. CONCEPT
- **Tokenisation platforms** charge issuers to create tokens and charge users to settle and service them. CONCEPT
- **Fund managers** charge a management fee on assets under management (AUM), the value of client money they run. Some funds also pay a performance fee. CONCEPT
- **OTC dealers** earn the spread, the gap between the price they buy at and the price they sell at. CONCEPT
- **Digital banks** earn net interest margin, the gap between what they earn on loans and pay on deposits, plus fees. CONCEPT

- A bank can meet each firm type in three roles: competitor, supplier or joint-venture partner. As a supplier, it offers accounts, custody or credit. CONCEPT
The business lines Banking the digital-asset industry and Infrastructure as a service cover the supplier role.

ANALYSIS — NOT OFFICIAL

Question: For each firm type, is it a rival, a customer or a partner for our bank?

How to think about it:

- List each firm type and ask what it buys from banks: accounts, reserve deposits, custody, credit or settlement.
- Mark where rules create demand a bank could serve, such as dealers needing regulated custodians ¹¹¹⁷ or issuers placing reserve assets with Hong Kong banks ⁵⁰⁹.
- Mark where the bank needs a licensed partner, such as a licensed platform for VA dealing ⁴⁷.
- Compare building a unit, partnering, or holding a stake through a joint venture. Use the joint ventures and partnerships that regulators have already described as examples.

What it depends on: how many firms hold each licence; when the new regimes start; the bank's own licences; how much risk from partners it accepts.

Official signposts: the SFC platform list ³⁷; the HKMA issuer register ⁶⁰; the combined VA bill ¹⁵⁸⁶; the CMU OmniClear platform ⁵⁸⁸.

What this is not: Not a forecast, not advice, and not the regulator's view.

Talking points

To the CEO

- Hong Kong had 13 licensed trading platforms at end-June 2026. ¹⁶³⁰ The HKMA register of 23 April 2026 lists two stablecoin issuers. ⁶⁰
- One licensed issuer is a joint venture that includes Standard Chartered Bank (Hong Kong) Limited. ¹⁶³⁵

To the CCO

- For VA dealing we may partner only with SFC-licensed platforms. ⁴⁷
- The SFC says applicants on its list are not licensed.

¹⁶³⁶

To business heads

- Planned rules would make VA dealers use SFC-regulated custodians. ¹¹¹⁷
- The HKMA requires licensed stablecoin issuers to place reserve assets with banks in Hong Kong. ⁵⁰⁹

To Risk / CRO

- Licensed platforms may now pool orders with overseas affiliates. ¹⁶³⁸
- Neither licensed issuer had issued a regulated stablecoin as of 28 April 2026. ⁵⁴¹ On 16 September 2026 a Government spokesman said the first regulated stablecoin in Hong Kong had launched in August 2026. ⁵⁰³ The official sources reviewed do not name the issuer.

Common misunderstandings

- **Myth:** Every name on the SFC platform list is licensed. **Fact:** The list has a separate section for applicants. The SFC says applicants are not licensed. ¹⁶³⁶
- **Myth:** VA custodians and OTC dealers already have their own licence. **Fact:** Both regimes are at the conclusions stage (policy final, law not yet made), with a bill targeted for 2026. ^{1626,1634}

- **Myth:** Only banks can own a digital bank. **Fact:** Technology companies and other non-financial firms may apply to own one. ¹⁶⁴⁸
- **Myth:** A listed platform's revenue shows its market share. **Fact:** Each filing covers its own firm, scope and period. Its revenue is not a share of a market.

CONCEPT

Official documents to read first

1. **Lists of virtual asset trading platforms** — SFC, last updated 29 May 2026. Read the licensed table and the applicant notes.
<https://www.sfc.hk/en/Welcome-to-the-Fintech-Contact-Point/Virtual-assets/Virtual-asset-trading-platforms-operators/Lists-of-virtual-asset-trading-platforms>
2. **Register of licensed stablecoin issuers** — HKMA, 23 April 2026.
<https://www.hkma.gov.hk/eng/regulatory-resources/registers/register-of-licensed-stablecoin-issuers/>
3. **SFC Quarterly Report, April-June 2026** — SFC, 26 August 2026. Read pp.30-33 for counts of platforms, funds and tokenised products.
<https://www.sfc.hk/-/media/EN/files/COM/QR->

Reports/202604-06/E-SFC-QR4-6.pdf?
rev=182fe897bb1f4b1591f202de12feaf0d

4. **List of digital banks** — HKMA, as at 31 August 2026.
https://www.hkma.gov.hk/media/eng/doc/key-functions/banking-stability/banking-policy-and-supervision/list_of_digital_banks.xls
5. **HKEX as a strategic shareholder in CMU OmniClear Holdings** — HKMA, 12 November 2025.
<https://www.hkma.gov.hk/eng/news-and-media/press-releases/2025/11/20251112-3/>
6. **Consultation conclusions on VA dealing** — FSTB and SFC, 24 December 2025. Read paras 3-4, 26, 31-36 and 49.
<https://apps.sfc.hk/edistributionWeb/gateway/EN/consultation/doc?refNo=25CP12>

Open questions

- The sources reviewed give no official count of firms holding SFC terms to manage VA portfolios.
- The sources reviewed include no list of the banks registered with the SFC for VA dealing, advice or distribution.
- Counts here are snapshots at the dates shown, such as 29 May, 30 June and 31 August 2026. Registers can change after those dates.

- The sources reviewed give no market shares, revenues or client numbers for individual platforms, issuers or banks.
- The official sources reviewed do not name the issuer of the first regulated stablecoin, which a Government spokesman said launched in August 2026.⁵⁰³

Check yourself

Answer from memory, then check the answer key at the back of the book.

1. Which regulator licenses virtual asset trading platforms, and which licenses stablecoin issuers?
2. What paid-up capital must a licensed virtual asset trading platform hold?
3. What is the status of the planned VA custodian and dealer regimes?
4. Which platforms can a bank partner with when offering VA dealing?
5. Why can't a bank treat every name on the SFC platform list as licensed?

Related modules

A1, C1, C3, C4, C5, C7, E2, F1, F2, F4

PART F · MODULE F4

F4 Timing and scenarios

This module sets out what Hong Kong's regulators and Government have scheduled up to 2029. After reading, you can brief a board on the official pipeline with a source for every date. You can explain why industry market-size forecasts disagree, without backing any of them. You can also test a plan against three scenarios for 2030–35, and name the signposts to watch for each.

In 60 seconds

Most dated items in the official pipeline below fall in 2026. Fewer fall in 2027–29. The Government said it and the Securities and Futures Commission (SFC) would put one bill to the Legislative Council (LegCo) in 2026. It would cover virtual asset (VA) dealing, custody, advice and management.¹⁵⁸⁶ The start dates of those regimes are not yet set.^{121,122,123} The Hong Kong Monetary Authority (HKMA) plans central bank digital currency settlement and 24/7 operation for EnsembleTX (its tokenised-deposit pilot) by around end-2026.¹⁵⁷

Dates after 2026 are fewer, and about half of them are stated targets rather than law. The SFC plans to switch on market and anti-money laundering (AML)

surveillance tools in 2027.¹¹⁰² A tax-reporting bill would bring in new crypto tax reporting from 1 January 2027, if LegCo passes it.¹⁶⁷

Industry forecasts of market size differ widely; the forecasts box below shows the spread. The official sources reviewed give no market-size forecast. The three scenarios below have no probabilities, and none is treated as the expected one.

Key facts

The official pipeline to 2029

Status words in the table:

- *Stated target*: a Government or regulator aim.
- *Bill*: a bill before LegCo, not yet law.
- *Expectation*: supervisory guidance.
- *Requirement*: binds the firms named.
- *Reported as done*: the Government says the step has happened.
- *Scheme term*: the period set in a scheme's own guideline.

Names in the table: HKEX means Hong Kong Exchanges and Clearing. CMU OmniClear operates the Central Moneymarkets Unit (CMU), Hong Kong's bond

settlement system. FSTB means the Financial Services and the Treasury Bureau.

When	What is scheduled	Who	Status	Src
By 9 Sep 2026	Each bank's board endorses a strategic plan on digital change, within six months of 9 Mar 2026	HKMA	Expectation	129
Aug 2026	First regulated stablecoin in Hong Kong launched, a Government spokesman said on 16 Sep 2026. The issuer is not named. In June 2026 the Government had expected launches from mid-2026 to the second half of 2026	Government	Reported as done	503, 512
2026	One bill for VA dealing, custody, advice and management goes to LegCo	Government + SFC	Stated target	1586
2026	CMU OmniClear sets up a digital asset platform for digital bonds	CMU OmniClear	Stated target	155, 588
2026	Real-money trades using e-HKD (a digital Hong Kong dollar) to pay for after-hours derivatives trading	HKEX with HKMA	Stated target	1098

When	What is scheduled	Who	Status	Src
Second half of 2026	Next phase of the tokenised-bond legal review starts	FSTB + HKMA	Stated target	1659, 587
Second half of 2026	SFC starts its digital-asset custody surveillance system	SFC	Stated target	1102
Fourth quarter of 2026	SFC revises its codes to encourage new fund products	SFC	Stated target	1660
By end-2026	Tests of tokenised Exchange Fund Bills	HKMA	Stated target	156
Around end-2026	EnsembleTX adds central bank money settlement and runs 24/7	HKMA	Stated target	157
By end-2026	Pilot trade-finance deals using tokenised deposits, with the Mainland	HKMA	Stated target	1103
1 Jan 2027	Crypto-Asset Reporting Framework (CARF) duties start, if the bill passes	Government	Bill	167, 907
2027	SFC activates market and AML surveillance under CrypTech (its data project)	SFC	Stated target	1102

When	What is scheduled	Who	Status	Src
2027	Pilot of loans backed by tokenised warehouse receipts (records of goods held in a warehouse), with designated banks	HKEX	Stated target	1661
Mid-2027	The Trade Single Window (the Government's online platform for trade documents) links to the Commercial Data Interchange (CDI), so banks can use trade data	Government + HKMA	Stated target	1662
By 8 Jul 2027	Internet brokers and SFC-licensed VA trading platforms adopt phishing-resistant login and device binding (tying an account to a known device), within 12 months of the SFC's 9 Jul 2026 circular	SFC	Expectation	1609
Nov 2027	The Digital Bond Grant Scheme's initial three-year period, which opened on 28 Nov 2024, ends	HKMA	Scheme term	1393

When	What is scheduled	Who	Status	Src
1 Jan 2028	Amended Common Reporting Standard (CRS) duties start, if the bill passes	Government	Bill	167, 907
By 2029	Customs and Excise Department launches its digital-asset and AML analytics systems (phase 2 of its AML data platform)	Customs	Stated target	1088

What is still undated

- The Government and the SFC do not plan to treat existing VA dealers as licensed while they apply.⁸¹ The regime takes full effect on its start date.⁸¹
- The start date is still to be decided. The Government and the SFC are to weigh its effect on existing dealers.¹²¹
- The same two points apply to the custody regime¹⁶⁶³ and to the advisory and management regimes.¹⁶⁶⁴
- The Government said that if more stablecoin licences are granted, the total number will remain very limited.⁸⁰

Industry view

This section holds the site's only forecasts. Read the box before quoting any number.

How to read market-size forecasts

Today's size depends on the definition. Real-world assets (RWA) are traditional assets, such as bonds or funds, recorded as tokens. On 26 September 2026 the data firm RWA.xyz showed US\$38.62 billion of freely transferable tokenised assets (global, reported).¹⁶⁶⁵ It showed a separate US\$358.07 billion of assets recorded on a ledger but not freely transferable as tokens (global, reported).¹⁶⁶⁶ Citi Institute, the research arm of the bank Citigroup, put the tokenised asset market at about US\$17 billion in 2026 (global, reported).¹⁶⁶⁷ That figure uses April 2026 data from DefiLlama (another data firm).¹⁶⁶⁸

Forecasts for tokenised assets (global).

- McKinsey (a consultancy), June 2024: about US\$2 trillion of tokenised market value by 2030 (forecast).¹⁶⁶⁹ The International Organization of Securities Commissions (IOSCO) repeated this figure in a 2025 report.¹⁶⁶⁹ McKinsey's range is US\$1–4 trillion, and it leaves out cryptocurrencies and stablecoins.¹⁶⁶⁹
- Citi Institute (a bank's research arm), June 2026: US\$5.5 trillion of tokenised financial assets by 2030 in its central (base) case (forecast).¹⁶⁶⁷ Its low (bear) case is US\$2.7 trillion and its high (bull) case US\$8.2 trillion.¹⁶⁶⁷ Citi adds up five market

segments, such as public bonds, public shares and private credit. For each segment, it assumes what share is tokenised. ¹⁶⁷⁰

- Ripple (a crypto firm) and Boston Consulting Group (BCG), a consultancy, April 2025: tokenised real-world assets grow from about US\$0.6 trillion in 2025 to US\$18.9 trillion by 2033 (forecast). ¹⁶⁷¹ The study's other scenarios give US\$12.5 trillion and US\$23.4 trillion. ¹⁶⁷¹ The Global Financial Markets Association (GFMA), a trade body, repeated these figures in 2025. ¹⁶⁷¹
- Citi also lists other firms' 2030 forecasts. They run from US\$1.0–4.0 trillion (McKinsey) to US\$16.1 trillion (BCG with ADDX, a digital securities exchange). ¹⁶⁷²
- Deloitte (a consultancy), April 2025: US\$4 trillion of tokenised real estate by 2035 (global forecast, real estate only). ¹⁶⁷³

Forecasts for stablecoins (global).

- Citi Institute (a bank's research arm), September 2025: US\$1.9 trillion of stablecoins outstanding by 2030 in its central case (forecast). ¹⁶⁷⁴ Its low case is US\$0.9 trillion and its high case US\$4.0 trillion. ¹⁶⁷⁴
- J.P. Morgan Global Research (a bank's research arm), 2025: a stablecoin market of US\$500–750

billion in the coming years (forecast, no year given).¹⁶⁷⁵

- The Bank for International Settlements (BIS), 2026, cites in a footnote some industry forecasts of US\$2–4 trillion by 2030. It does not make its own forecast there.¹⁶⁷⁶

Why they differ.

- *Scope.* McKinsey's figure leaves out cryptocurrencies and stablecoins.¹⁶⁶⁹ Citi's covers five segments.¹⁶⁷⁰ Deloitte's covers real estate only.¹⁶⁷³
- *Definition.* Counting only transferable tokens, or also assets recorded on a ledger, gives very different totals.¹⁶⁷⁷
- *Method.* Citi multiplies each market's size by an assumed tokenised share.¹⁶⁷⁰ Ripple and BCG's figures imply growth of over 50% a year.¹⁶⁷¹ Deloitte's imply 27% a year.¹⁶⁷³
- *Sponsor.* Citi's report quotes the head of digital assets in its own Citi Services unit.¹⁶⁷⁸ Its disclosures say the firm may have interests different from the reader's.¹⁶⁷⁹ The GFMA figures come from a study co-written by Ripple, a crypto firm.¹⁶⁷¹ Deloitte's figure is part of its own yearly predictions series.¹⁶⁸⁰

What official bodies say about them. The Financial Stability Board (FSB) said in 2024 that industry growth estimates vary widely and are poorly supported.¹⁶⁸¹ IOSCO says estimates vary across studies. It also says its report does not aim to encourage or endorse tokenisation.¹⁶⁸²

How to use this box. A range from several sources tells you more than any single number. Each figure above names its publisher, year, scope and definition. This site does not endorse any forecast.

CONCEPT

How it works commercially

A scenario is a story about the future used to test a plan. It is not a prediction. CONCEPT Each scenario below is named after the main force that shapes it. Each gets the same structure and the same weight. None is a base case, and none carries a probability.

ANALYSIS — NOT OFFICIAL

Question: Scenario 1, *Settlement moves onto ledgers*: what if tokenised deposits and central bank money become common for settlement by 2030–35?

How to think about it:

- Picture payments, fund trades and bond settlement running 24/7 on shared ledgers.
- A bank's income would rely more on deposit balances, settlement fees and running infrastructure for others. CONCEPT
- The skills in demand would be ledger operations, liquidity management around the clock and resilient systems. CONCEPT

What it depends on: pilot results turning into live services; links between platforms; clients' treasury needs; capital treatment of tokenised assets.

Official signposts: EnsembleTX's move to 24/7 and central bank money settlement ¹⁵⁷; the CMU OmniClear digital asset platform ¹⁵⁵; tokenised Exchange Fund Bill tests ¹⁵⁶.

What this is not: Not a forecast, not advice, and not the regulator's view.

ANALYSIS — NOT OFFICIAL

Question: Scenario 2, *Investor products grow through licensed firms*: what if client demand for VA and tokenised products grows by 2030–35, with settlement mostly traditional?

How to think about it:

- Picture more clients buying VA funds, tokenised funds and stablecoins through licensed firms.
- A bank's income would rely more on distribution, dealing, custody and financing fees. CONCEPT
- The skills in demand would be suitability controls (checking a product fits the client), custody security and partner due diligence. CONCEPT

What it depends on: start dates of the new VA regimes; the product range regulators allow; client interest; fee pressure among providers.

Official signposts: the combined VA bill ¹⁵⁸⁶; tokenised gold and other real-world asset products on licensed platforms ¹⁰⁹⁵; stablecoin trading on licensed platforms ¹⁶⁸.

What this is not: Not a forecast, not advice, and not the regulator's view.

ANALYSIS — NOT OFFICIAL

Question: Scenario 3, *Demand stays narrow*: what if client use stays small and concentrated in a few services by 2030–35?

How to think about it:

- Picture a few specialist firms serving most clients, with banks as suppliers of accounts, reserves and

custody.

- A bank's income would rely more on serving other firms, such as holding stablecoin reserves. CONCEPT
- The skills in demand would be cost control, outsourcing oversight and clear decisions on when to scale down. CONCEPT

What it depends on: client demand; capital costs; incidents or fraud that reduce trust; how many licences regulators grant.

Official signposts: the small number of stablecoin licences ⁸⁰; how the cryptoasset capital rules in force since 1 January 2026 affect costs ¹⁵⁷⁸; the number of licensed trading platforms ³⁷.

What this is not: Not a forecast, not advice, and not the regulator's view.

ANALYSIS — NOT OFFICIAL

Question: Which capabilities appear in all three scenarios, and which official rule or plan does each connect to?

How to think about it:

- Secure key custody. Link: the HKMA sets expected standards for banks that hold client digital assets

¹⁶⁸³.

- Monitoring blockchain transactions for money laundering. Link: the SFC plans its own AML surveillance tools for 2027 ¹¹⁰².
- Strong client login and device controls. Link: the SFC expects them of internet brokers and SFC-licensed VA trading platforms ¹⁶⁰⁹.
- A board-level plan for digital change. Link: the HKMA expects each bank's board to endorse one ¹²⁹.
- A way to track rule changes by date, such as the pipeline table above. CONCEPT

What it depends on: the bank's size and client mix; which lines it runs; its partners; its budget.

Official signposts: the combined VA bill ¹⁵⁸⁶; the CryptTech timetable ¹¹⁰²; the phishing-resistant login deadline ¹⁶⁰⁹.

What this is not: Not a forecast, not advice, and not the regulator's view.

Talking points

To the CEO

- The Government aims to put one bill for four VA regimes to LegCo in 2026. ¹⁵⁸⁶
- The HKMA plans to run EnsembleTX 24/7, with settlement in central bank money, by around end-

2026.¹⁵⁷

To the CCO

- The Government and the SFC do not plan to treat existing VA dealers as licensed while they apply.⁸¹ The regime takes full effect on its start date.⁸¹
- The SFC expects internet brokers and SFC-licensed VA trading platforms to adopt phishing-resistant login and device binding by 8 July 2027.¹⁶⁰⁹

To business heads

- In June 2026 the Government said the first regulated stablecoins were expected to launch between mid-2026 and the second half of 2026, based on the issuers' plans.⁵¹² On 16 September 2026 a Government spokesman said the first regulated stablecoin in Hong Kong had launched in August 2026.⁵⁰³ The official sources reviewed do not name the issuer.
- HKEX aims to pilot tokenised warehouse-receipt financing with designated banks in 2027.¹⁶⁶¹

To Risk / CRO

- The SFC plans AML surveillance under CryptTech in 2027.¹¹⁰²
- Crypto tax reporting would start on 1 January 2027 if the bill passes.¹⁶⁷

Common misunderstandings

- **Myth:** A Policy Address target is a legal deadline.
Fact: Most items in the pipeline are stated targets. Only law or a regulator's requirement binds firms.
CONCEPT
- **Myth:** The new dealing regime starts when the bill passes. **Fact:** The Government and the SFC will first consider when the regime should start. ¹²¹
- **Myth:** Industry forecasts agree on the market size. **Fact:** Published forecasts differ widely. The forecasts box in Industry view shows the spread and the reasons. CONCEPT
- **Myth:** One scenario here is the expected one. **Fact:** All three get equal weight. They are tools for testing plans. CONCEPT

Official documents to read first

1. **The Chief Executive's 2026 Policy Address** — Government, 16 September 2026. Read paras 35-36, 46, 49-51 and 97-99, and Annex item 209.
https://www.policyaddress.gov.hk/2026/public/pdf/policy/policy-full_en.pdf
2. **LCQ11: Management of stablecoins** — Government, 24 June 2026. Read the opening and part (3).

<https://www.info.gov.hk/gia/general/202606/24/P2026062400325.htm>

3. **Consultation conclusions on VA dealing** — FSTB and SFC, 24 December 2025. Read paras 31-36.

<https://apps.sfc.hk/edistributionWeb/gateway/EN/consultation/doc?refNo=25CP12>

4. **The 2026-27 Budget speech** — Financial Secretary, 25 February 2026. Read paras 104-114.

https://www.budget.gov.hk/2026/eng/pdf/e_budget_speech_2026-27.pdf

5. **CARF and amended CRS bill 2026** — Inland Revenue Department, 22 May 2026. Read clause 1.

[https://www.ird.gov.hk/eng/pdf/carf/Inland%20Revenue%20\(Amendment\)%20\(Crypto-Asset%20Reporting%20Framework%20and%20Amended%20Common%20Reporting%20Standard\)%20Bill%202026\(eng\).pdf](https://www.ird.gov.hk/eng/pdf/carf/Inland%20Revenue%20(Amendment)%20(Crypto-Asset%20Reporting%20Framework%20and%20Amended%20Common%20Reporting%20Standard)%20Bill%202026(eng).pdf)

6. **FSTB and HKMA to further unlock potential of distributed ledger technology** — HKMA, 29 June 2026. <https://www.hkma.gov.hk/eng/news-and-media/press-releases/2026/06/20260629-4/>

Open questions

- The sources reviewed give no start dates for the VA dealing, custody, advisory or management regimes.

- The sources reviewed give no official forecast of the size of Hong Kong's digital-asset or tokenisation market.
- Official targets after 2027 are few. The sources reviewed give no bank-relevant dates for 2030–35.
- The official sources reviewed do not name the issuer of the first regulated stablecoin, which a Government spokesman said launched in August 2026.⁵⁰³
- Whether the board strategic plans were endorsed on time is not public.

Check yourself

Answer from memory, then check the answer key at the back of the book.

1. Who said they would put one bill covering VA dealing, custody, advice and management to LegCo in 2026?
2. By when did the HKMA expect each bank's board to endorse a strategic plan on digital change?
3. Is a Policy Address date for a digital-asset project a binding legal deadline?
4. Is one of the three scenarios in this module the expected or base case?

5. Which capabilities does the module's analysis find in all three scenarios, and what official link does key custody have?

Related modules

E1, E3, F1, F2, F3, F5a, C4, C5, D1

PART F · MODULE F5A

F5a Running the business: strategy and P&L

This module is about the top-level choices: which businesses to be in, how to price, where to put capital and when to stop. A P&L (profit and loss statement) shows what a business earns and spends. After reading, you can build a business case that a Chief Financial Officer (CFO) can test and a supervisor can follow. You can also name the approvals on the path of a launch, a partnership or an acquisition. Two regulators matter most: the Securities and Futures Commission (SFC) and the Hong Kong Monetary Authority (HKMA).

In 60 seconds

Strategy is now on the HKMA's agenda. On 9 March 2026 the HKMA asked every bank's board to oversee and endorse a formal strategic business plan within six months.¹²⁹ The plan responds to distributed ledger technology (DLT), the shared-database technology behind tokens, and other technology change.¹²⁹

Capital rules make it costly for a bank to own crypto itself. Cryptoassets in Group 2b, the group with the strictest capital treatment, take a 1,250% risk weight

on the bank's own books.¹⁵⁸⁷ The HKMA brought these global crypto capital rules, set by the Basel Committee on Banking Supervision, into force on 1 January 2026.

¹⁵⁷⁸ Holding assets for clients is treated differently.

Client assets sit in separate accounts, and the HKMA expects the bank to be liable for losses from incidents it causes.¹⁶²⁷

A launch starts with a talk with the HKMA. The HKMA has expected banks to discuss a planned virtual-asset (VA) activity before launch since January 2022.²¹⁴

Buying a firm can need consent too.¹⁶⁸⁴ A new controller of a Hong Kong-incorporated bank needs the Monetary Authority's approval.¹⁶⁸⁵

The working relationship with regulators also matters.

The Supervisory Incubator for DLT gives banks a dedicated HKMA team and optional live trials.²¹⁸

Banks already assessed for VA custody are to get a faster licensing path under the planned custodian regime.⁴⁴⁴

Key facts

The board plan (9 March 2026 circular)

- The HKMA expects each bank's board to oversee and endorse a formal strategic business plan within six months of 9 March 2026.¹²⁹

- The plan should look for chances to adapt products, revenue models, customer engagement, risk management and operations.¹²⁹
- The plan may include small real-world trials through the Supervisory Incubator to test new business models.¹²⁹

Launching a product

- Before launch, a bank should discuss any VA activity with the HKMA and get feedback on its risk controls.²¹⁴
- A registered institution (RI) is a bank the SFC has registered for securities business. An RI should tell the SFC and the HKMA before it starts or changes any VA activity.⁷² That includes changes in the types of clients it serves.⁷²
- A bank should assess money-laundering and terrorist-financing risks before launching a new product, practice or technology.²⁶²
- A bank should not launch new products unless it is satisfied that its staff understand them and the rules that apply.¹⁶⁸⁶
- A bank must notify the HKMA before acquiring a new type of cryptoasset.⁶⁴ It treats the asset as Group 2b, the group with the 1,250% risk weight, until the HKMA agrees another classification.⁶⁴

- If crypto risk management or capital falls short, the HKMA may consider capital add-ons, provisions or limits.²⁵²

Stopping a product

- Under section 135 of the Securities and Futures Ordinance (SFO), an RI must give the SFC and the HKMA at least seven business days' notice before it stops a regulated activity.¹⁶⁸⁷
- A licensed stablecoin issuer must have systems to wind down in an orderly way and honour redemptions.¹⁶⁸⁸ Its business exit plan should cover how to sell reserve assets and pay holders.¹⁶⁸⁸
- Anyone applying for a digital bank licence must give the HKMA an exit plan, for use if the business model fails.¹⁶⁸⁹ The plan covers the triggers (events that start the exit), who can set them off and how depositors get repaid.¹⁶⁸⁹

Growth and profitability

- The HKMA says it does not interfere with a digital bank's commercial decisions.¹⁶⁴⁹ It would be concerned by heavy early losses taken to win market share without a credible path to profit.¹⁶⁴⁹
- An HKMA study suggests taking DLT plans to the board with business cases, early budgets and milestones.¹⁶⁹⁰ The study is research, not a rule.¹⁶⁹⁰

- The same study says return calculations should count indirect costs, such as training. ¹⁶⁹¹

Buying, partnering and owners

- A Hong Kong-incorporated bank should not buy shares in a company worth 5% or more of its Tier 1 (core) capital without the Monetary Authority's written consent. ¹⁶⁸⁴ This 5% rule comes from Rule 23 of the Banking (Exposure Limits) Rules. ¹⁶⁸⁴ The same applies to setting up a company. ¹⁶⁸⁴
- Tokens that in substance give the economic benefits of owning shares count as shares for this test. ²⁴⁰
- For deals caught by that 5% rule, the HKMA expects banks to make contact early and send written notice with details of the deal. ¹⁶⁹²
- It also expects at least one month's notice of other acquisitions with a significant effect. ¹⁶⁹³ Examples include a significant move into a new line of business, or a fall in the capital ratio of about 0.5% or more. ¹⁶⁹⁴
- A controller includes anyone who controls 10% or more of a bank's voting power. ¹⁶⁹⁵ Under section 70 of the Banking Ordinance, the Monetary Authority approves controllers of a Hong Kong-incorporated bank. ¹⁶⁸⁵

- A would-be majority controller must set out clear, detailed plans for the bank.¹⁶⁹⁶ The HKMA looks for a long-term commitment and the ability to add capital.¹⁶⁹⁷
- A person needs the SFC's approval before becoming a substantial shareholder of a licensed corporation (LC), an SFC-licensed firm.¹⁶⁹⁸ A substantial shareholder generally holds more than 10% of shares or voting power.¹⁶⁹⁹
- Nobody may become a controller of a licensed stablecoin issuer except in the ways the Stablecoins Ordinance allows.¹⁷⁰⁰ The issuer should track its controllers and seek the Monetary Authority's consent as the Ordinance requires.¹⁷⁰⁰

The regulator relationship

- The Supervisory Incubator launched on 8 January 2025.¹³⁰⁵ It offers one supervisory contact point, a dedicated HKMA team and optional live trials before full launch.²¹⁸
- The HKMA may give some supervisory flexibility to banks in the Incubator, judged case by case.²²⁸ The bank must manage trial risks in line with the trial's scale and nature.²²⁸
- Where current rules get in the way of DLT without meaning to, the HKMA says it will consider adapting

them.¹⁵³⁵

- The Financial Services and the Treasury Bureau (FSTB) names the Insurance Authority, the HKMA and the SFC among regulators that run sandboxes.¹⁷⁰¹ These let firms test tokenisation and other uses and get feedback.¹⁷⁰¹
- Taking part in the HKMA's stablecoin issuer sandbox was neither needed for a licence nor a promise of one.¹⁷⁰²
- EnsembleTX (the HKMA's pilot for real-value tokenised deposit settlement) runs throughout 2026.¹¹¹³ Its first uses are tokenised money market fund deals and real-time treasury management.⁵⁶³
- The HKMA plans settlement in central bank digital currency and 24/7 operation for EnsembleTX by around end-2026.¹⁵⁷
- Under the planned VA dealing regime, licensed platforms, licensed corporations and registered institutions already dealing in virtual assets are to get a faster approval process.¹⁸⁵ Banks already assessed for VA custody are to get the same under the custodian regime.⁴⁴⁴
- The Government and the SFC do not plan to treat existing VA dealers, custodians, advisers or managers as licensed while they apply.^{81,53,1118} Each regime takes full effect on its start date.^{81,53,1118} The

Government and the SFC encourage early contact with the SFC or the HKMA before applying.²⁰⁶

Industry view

- KPMG (an accounting and advisory firm) published its Hong Kong Banking Report in 2026. It reported that the average cost-to-income ratio of the Hong Kong banks it surveyed was 41.9% in 2025, down from 42.1% in 2024, based on their published results.¹⁶¹⁸ A cost-to-income ratio is operating costs divided by operating income.
- In the same report's commentary (opinion, not a measured figure), KPMG said many local and regional banks remain in wait-and-see mode on digital assets.¹⁷⁰³ It said capability spending can look like cost before it shows value.¹⁷⁰³
- The same commentary says many banks start digital-asset projects from the ground up, in innovation or product teams, not from the top.¹⁷⁰⁴ KPMG sells advisory services to banks.
- KPMG LLP (US), another KPMG firm, published a qualitative case study on bitcoin custodians in 2024 (global, US focus). It gives no figures. It says custodian pricing varies widely. Models include set-up, transaction and maintenance fees, and fixed or asset-based annual fees.¹⁷⁰⁵

- **OSL Group Limited (OSL)**, a Hong Kong-listed platform group, explains its fee bases in its 2025 annual report. It says its white-label platform fees are typically a base fee plus a charge based on the client platform's trading volume.¹⁷⁰⁶ A white-label platform is one that OSL runs and another firm offers under its own brand. OSL also earns custody and account maintenance fees, recorded month by month.¹⁷⁰⁶

How it works commercially

- **Business case.** A business case compares expected income with the full cost of running a line. That cost includes the capital and funding the line uses. It names the risks and the conditions for stopping.

CONCEPT

- **Pricing.** Banks charge a fee on assets held, a spread on trades, a flat subscription, or a bundle. An asset-based fee grows with client balances. A flat fee is steady but may not keep up with rising volume.

CONCEPT

- **Capital allocation.** Capital is scarce, so each line competes for it. A hurdle rate is the minimum return on capital a project must beat to get funded. Lines that use more capital must earn more to clear the same hurdle. CONCEPT

- **Contribution.** Contribution is income minus the costs that rise with volume. It pays for fixed costs such as key management, 24/7 monitoring and named managers. A line breaks even only when total contribution covers those fixed costs. CONCEPT
- **Stopping.** Money already spent (a sunk cost) cannot be recovered. So the standard finance test compares only future income with future costs, including the cost of an orderly exit. CONCEPT
- **Build, partner or buy.** Building gives control but takes time and fixed cost. Partnering is faster but adds vendor risk, and the bank shares the margin. Buying can add scale quickly but needs approvals and brings integration risk. CONCEPT

ANALYSIS — NOT OFFICIAL

Question: For VA custody, when does building in-house, partnering or buying make commercial sense for a bank?

How to think about it:

- **Build:** the bank owns the keys, controls and client relationship. It carries the full fixed cost of 24/7 monitoring and cold storage ¹⁷⁰⁷.
- **Partner:** as a general principle, the bank may outsource VA custody only to three kinds of firm ²⁷⁰. They are another bank or a local bank's

subsidiary, an SFC-licensed platform, or an HKMA-licensed stablecoin issuer for its own coins with HKMA consent ²⁷⁰. Responsibility stays with the bank ²⁸⁵.

- Buy: a stake worth 5% or more of Tier 1 capital needs HKMA consent ¹⁶⁸⁴. Buying into an SFC-licensed firm above 10% needs SFC approval ¹⁶⁹⁸.
- The routes differ on time to launch, fixed cost, margin kept and control.

What it depends on: expected client balances; launch timing; in-house key skills; partner quality; the approvals a stake needs.

Official signposts: the planned custodian legislation and its faster path for assessed banks ⁴⁴⁴; HKMA outsourcing limits for custody ²⁷⁰; board plans under the March 2026 circular ¹²⁹.

What this is not: Not a forecast, not advice, and not the regulator's view.

ANALYSIS — NOT OFFICIAL

Question: What evidence would tell a bank to stop, pause or fix a digital-asset product?

How to think about it:

- Which stop tests were agreed at launch?
Examples: client balances by a date, contribution

per client, incident count (illustrative).

- How do future income and future costs compare, including exit costs and leaving aside money already spent?
- What does the exit involve? An RI must give seven business days' notice before it stops a regulated activity ¹⁶⁸⁷. How would client assets be returned or moved?
- Would a smaller scope keep most of the value?

What it depends on: client demand; fixed-cost base; the capital group of any assets held; partner contracts; reputational effects of exiting.

Official signposts: RI notice duties ¹⁷⁰⁸; HKMA views on exit plans for new business models ¹⁶⁸⁹.

What this is not: Not a forecast, not advice, and not the regulator's view.

ANALYSIS — NOT OFFICIAL

Question: How can a bank treat its regulator relationship as a business asset without confusing access with approval?

How to think about it:

- Early contact is already an expectation: the HKMA expects discussion before any VA launch ²¹⁴.

- The Incubator lets a bank test controls in a live trial before scaling ²¹⁸. Any flexibility is case by case ²²⁸.
- Taking part in a sandbox is not a promise of a licence ¹⁷⁰².
- The planned regimes offer faster approval to firms already assessed for custody or already dealing ^{444, 185}.

What it depends on: the quality of risk controls; how clearly the bank explains its model; final laws.

Official signposts: start dates of the planned VA regimes ^{121,122}; EnsembleTX's move to 24/7 ¹⁵⁷.

What this is not: Not a forecast, not advice, and not the regulator's view.

Talking points

To the CEO

- The HKMA expected our board to endorse a strategic plan within six months of 9 March 2026. ¹²⁹
- Under the planned custodian regime, banks already assessed for VA custody and already providing it are to get faster licensing. ⁴⁴⁴

To the CCO

- We should discuss any new VA activity with the HKMA before launch. ²¹⁴
- As an RI, we give seven business days' notice before stopping a regulated activity. ¹⁶⁸⁷

To business heads

- Group 2b cryptoassets on our own books take a 1,250% risk weight. ¹⁵⁸⁷
- Buying a stake worth 5% or more of Tier 1 capital needs HKMA written consent. ¹⁶⁸⁴

To Risk / CRO

- A new type of cryptoasset stays in Group 2b until the HKMA agrees otherwise. ⁶⁴
- The HKMA may consider capital add-ons or limits if our crypto risk management falls short. ²⁵²

Common misunderstandings

- **Myth:** The Incubator is a licence shortcut. **Fact:** It gives supervisory feedback and optional live trials before full launch. ²¹⁸ Any flexibility is decided case by case. ²²⁸
- **Myth:** Existing VA firms count as licensed while they apply under the planned regimes. **Fact:** The Government and the SFC do not plan this for dealers

or custodians.^{81,53} Some firms are to get a faster approval process instead.¹⁸⁵

- **Myth:** Only buying a bank needs HKMA consent. **Fact:** A Hong Kong-incorporated bank needs consent to buy a stake in a company worth 5% or more of its Tier 1 capital.¹⁶⁸⁴
- **Myth:** The March 2026 circular replaced the discuss-first expectation. **Fact:** The circular repeats it: banks should discuss new digital-asset activities before launch.¹²⁹
- **Myth:** Stopping a product is a purely internal decision. **Fact:** An RI must give advance notice before it stops a regulated activity.¹⁶⁸⁷

Official documents to read first

1. **Strategic Review of Business Models amid Digital Transformation** — HKMA, 9 March 2026. Read page 2. Its footnote 3 links the Incubator circular.
<https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20260309-1-EN/20260309-1-EN.pdf>
2. **Supervisory Policy Manual module on Major Acquisitions and Investments** — HKMA, November 2025. Read paras 1.1, 2.5 and 2.9.
<https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20251125-5-EN/CR-L-5.pdf>

3. **Guideline on Minimum Criteria for Authorization** — HKMA, 27 February 2026. Read paras 9 and 28-36 on controllers. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20260226-1-EN/20260227-1-EN.pdf>
4. **Consultation Conclusions on regulating VA dealing** — FSTB and SFC, 24 December 2025. Read paras 31-36.
<https://apps.sfc.hk/edistributionWeb/gateway/EN/consultation/doc?refNo=25CP12>
5. **Supervisory Policy Manual module on Classification of Cryptoassets** — HKMA, 27 November 2025. Read para 2.1.2 on new types of cryptoasset. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20251125-15-EN/CRP-1.pdf>

Open questions

- The HKMA has not published a follow-up on the board plans due around 9 September 2026 in the sources reviewed.
- No official source gives hurdle rates, fee levels or margins for bank digital-asset lines in Hong Kong.
- No public list of Supervisory Incubator participants exists in the sources reviewed.
- Start dates for the planned VA dealing and custodian regimes are not set. ^{121,122}

- No HKMA form or response time for pre-launch discussions was found.

Check yourself

Answer from memory, then check the answer key at the back of the book.

1. Which two regulators does a registered institution notify before starting or changing any VA activity?
2. What stake in a company needs the Monetary Authority's written consent before a Hong Kong bank buys it?
3. What force does the HKMA's 9 March 2026 board-plan instruction carry?
4. What must a bank do before acquiring a new type of cryptoasset?
5. Does joining the Supervisory Incubator or applying under a planned regime count as already being licensed?

Related modules

B2, B3, D1, C3, E2, F2, F3, F5b, F6. Business lines: Virtual-asset custody; Staking services; Tokenised deposits and payments. Projects: Supervisory Incubator for DLT; Project Ensemble. Cases: Case 5: The board's strategic plan; Case 6: Stopping a product.

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PART F · MODULE F5B

F5b Running the business: operations and control

This module is about day-to-day running: people, vendors, systems, incidents and exits. After reading, you can sketch a target operating model for a digital-asset line. A target operating model is the planned mix of teams, processes, systems and partners that delivers a service. You can also tie each part of it to the official rule that shapes it. The Hong Kong Monetary Authority (HKMA) supervises banks. The Securities and Futures Commission (SFC) sets conduct rules for securities and virtual-asset (VA) business.

In 60 seconds

Accountability comes first. A registered institution (RI) is a bank the SFC has registered for securities business. It needs at least two executive officers (EOs) for each regulated activity, each with HKMA consent.

²³² At least one must be available at all times. ¹⁷⁰⁹

Vendors do not take the risk away. As a general principle, a bank may outsource VA custody only to certain regulated firms. ²⁷⁰ Ultimate responsibility for outsourced custody stays with the bank. ²⁸⁵

Custody runs around the clock. The HKMA expects security monitoring 24/7, including holidays.⁴⁶² It also expects drills for emergency and business continuity scenarios.¹⁷¹⁰

Incidents have reporting duties. An RI should tell the SFC and the HKMA about a material failure of systems and controls.⁷² The HKMA expects a custody bank to be liable to clients for losses from incidents it causes.
85

Exits need planning. An RI must give at least seven business days' notice before it stops a regulated activity.¹⁶⁸⁷

Key facts

Target operating model and accountability

- A bank offering custody should set written roles, responsibilities and reporting lines.¹⁷¹¹ It should also manage conflicts of interest across its activities and affiliates.¹⁷¹¹
- It should give custody enough people and expertise for governance, operations and risk management.
1712
- An RI should name the person principally responsible for its whole business and for each key

business or function.¹⁷¹³ Changes should reach both regulators within 14 days.¹⁷¹⁴

- Where a function is outsourced, a member of the RI's own management should be named as responsible for it, not the outside provider.¹⁷¹⁵
- Under the Banking Ordinance, the people in charge of computer systems, compliance and internal audit count as managers.¹⁷¹⁶ A bank must notify the HKMA when it appoints them.¹⁷¹³
- Under the planned custodian regime, staff with direct access to private keys or authority to approve transfers are expected to need a licence, or to be registered as relevant individuals in a bank.¹⁷¹⁷ Private keys are the secret codes that move digital assets.

Vendors and outsourcing

- As a general principle, a bank may outsource VA custody only to three kinds of firm.²⁷⁰ They are another bank or a local bank's subsidiary, an SFC-licensed platform, or an HKMA-licensed stablecoin issuer for its own coins with HKMA consent.²⁷⁰
- Due diligence on a custody provider includes independent code review and the provider's software release process.⁴⁸⁷ Ongoing reviews test its security, incident reporting and disaster recovery.⁴⁸⁷

- The bank should have the technical skill to judge a provider's solution and spot any single point of failure.¹⁷¹⁸ A single point of failure is one part whose loss stops everything.
- Continuity plans should cover disruption at the custody provider, with regular end-to-end rehearsals.¹⁷¹⁹ The usual controls for traditional outsourcing still apply.¹⁷²⁰
- A bank should check that an outsourced provider is competent enough to meet the agreed service levels.¹⁷²¹ It should monitor the provider using staff with the right expertise.¹⁷²¹
- The HKMA has an outsourcing module in its Supervisory Policy Manual (SPM). It expects digital banks to discuss material outsourcing in advance and show they meet that module.¹⁷²²
- For outsourced distributed ledger technology (DLT) work, an HKMA study suggests vetting vendors at every stage and lining up backup vendors.²⁶⁸ The study is research, not a rule.
- A licensed stablecoin issuer should notify the HKMA promptly before starting a material third-party arrangement.¹⁷²³ Examples include reserve custody, coin distribution and critical technology services.

¹⁷²³

- The SFC expects its licensed firms to strengthen oversight of third-party providers against cyberattacks that use artificial intelligence.¹⁷²⁴ This affects a bank if its group includes an SFC-licensed firm.

24/7 resilience

- A custody bank should test system changes before deployment.⁴⁶² Its monitoring should cover vendors, blockchain protocols, encryption and common software libraries.¹⁷²⁵
- Monitoring should also track major industry incidents and publicly known security weaknesses.¹⁷²⁶
- Where DLT supports critical functions, continuity plans should test cyberattacks, key loss or theft, and forks (splits of a blockchain).²⁶⁶
- A licensed stablecoin issuer should set the minimum service it must keep during a disruption.¹⁷²⁷ It should also set a maximum tolerable downtime and recovery targets for systems and data.¹⁷²⁷
- The issuer should avoid relying too heavily on third parties for continuity support.¹⁷²⁸
- The HKMA plans 24/7 operation for EnsembleTX (its tokenised deposit settlement pilot) by around end-

2026.¹⁵⁷

Incidents and crisis

- A custody bank should have written procedures to handle security alerts and incidents by severity level.⁴⁶⁰
- An RI should tell both the SFC and the HKMA about any event caused by a material failure in its systems and controls.⁷² This applies even if the failure happened at a group entity outside Hong Kong.⁷²
- Under the SFC Code of Conduct, an RI is expected to report any actual or suspected material breach to both regulators immediately.⁷²
- SFC-licensed firms should promptly notify the SFC of material cyber incidents and attacks.⁸⁸⁶ This matters if the bank's group has such a firm.
- For SFC-licensed internet brokers and VA service providers (not banks directly), the SFC expects hacking incidents to be reported to it immediately, with a root-cause review.¹⁷²⁹ The SFC says it will hold such a firm accountable for client losses if it fails to stop large-scale unauthorised trades after hacking.⁸⁷⁹
- A licensed stablecoin issuer should keep forensic evidence and review root causes after an incident.

¹⁷³⁰ Delaying redemptions beyond one business day needs the Monetary Authority's written consent. ¹⁷³¹

- If staff incompetence causes significant losses or bad publicity, a bank should tell the HKMA in good time. ¹⁷³²

Product approval

- A bank should assess money-laundering and terrorist-financing risks before launching a new product, practice or technology. ²⁶²
- A bank should not launch a new product unless staff understand it, its market and its rules. ¹⁶⁸⁶
- Before launching custody, a bank should complete a full risk assessment under board and senior management oversight. ²⁶⁹
- Before offering staking, a bank should have policies, systems and controls in place and discuss them with the HKMA. ¹⁷³³ Staking means locking up tokens to help run a blockchain, for rewards.

Key performance indicators (KPIs) and board reporting

- A key performance indicator is a measure used to track results. The HKMA's DLT study suggests metrics such as task completion time, productivity and cost savings. ¹⁶⁹¹

- The board and senior management should understand firm-wide risks, especially from new or complex activities such as crypto.²⁸²
- Manager appraisals should not give undue weight to profit or market share.¹⁷³⁴ They should also weigh compliance with internal rules.¹⁷³⁴
- A licensed stablecoin issuer's board should approve its incident, continuity and exit plans.¹⁷³⁵ Test results should go to the board and senior management.¹⁷³⁶
- A custody bank should run independent audits of its systems, controls and compliance.⁴⁶²
- The HKMA finalised revised banking return templates for cryptoasset exposures in November 2025.¹⁷³⁷

Wind-down

- An RI must give the SFC and the HKMA at least seven business days' notice before it stops a regulated activity.¹⁶⁸⁷
- A custody bank should hold client assets in separate accounts, beyond the reach of its creditors in insolvency.¹⁶²⁵
- A bank offering staking should keep control of the means to unstack client assets, such as withdrawal keys.¹⁷³⁸

- A licensed stablecoin issuer's exit plan should cover selling reserve assets, taking redemption claims and paying holders.¹⁶⁸⁸ It should also cover arrangements with third parties.¹⁶⁸⁸

Organisation and talent

- The board should set the direction for staff development.¹⁷³⁹ Senior management should propose talent plans with measurable targets, which the board reviews at least once a year.¹⁷³⁹
- Banks should assess how technology changes job roles and keep a long-term reskilling plan.¹⁷⁴⁰
- Custody staff need training at the start and on an ongoing basis.¹⁷⁴¹ Staff who sign transactions need in-depth training on checks and exceptions.¹⁷⁴¹
- The HKMA's DLT study says firms may consider a dedicated central DLT team mixing technology and business staff.¹⁷⁴²
- In SFC-licensed firms, cyber risk rests in the end with senior management. That includes the manager in charge of information technology.¹⁷⁴³

Industry view

- Morgan McKinley (a recruitment firm) publishes a salary survey. Its 2026 Hong Kong guide estimates a median of HK\$120,000 a month for a head of middle

and back office in banking.¹⁷⁴⁴ The same guide gives a median of HK\$35,000 a month for a custody role in operations. It does not say whether this covers digital-asset custody.¹⁷⁴⁵

- KPMG (an accounting and advisory firm) published its Hong Kong Banking Report in 2026. Based on the published results of the Hong Kong banks it surveyed, it reported that their total staff costs rose 6.7% in 2025.¹⁶¹⁸
- In the same report's commentary (opinion, not a measured figure), KPMG lists the risks digital assets add. They include custody, cyber, legal, financial crime and governance risk.¹⁷⁴⁶
- In a section on artificial intelligence, the same commentary says banks have focused on what they outsource, less on what their vendors outsource in turn.¹⁷⁴⁷ KPMG sells advisory services to banks.

How it works commercially

- **Operating model layers.** A service needs a front office, operations, technology, control functions and partners. Each layer has an owner and a cost. CONCEPT
- **Fixed cost of round-the-clock service.** A 24/7 service needs shift cover, on-call engineers and weekend controls. Much of this cost stays the same at low and high volume. CONCEPT

- **Vendor economics.** Outsourcing turns fixed cost into a fee, but it adds oversight cost, exit cost and concentration risk. Concentration risk is the danger of many services relying on one provider. CONCEPT
- **Cost of incidents.** An incident costs client compensation, staff time, remediation, regulatory attention and lost business. Prevention spending is easier to justify when these costs are counted. CONCEPT
- **Leading and lagging measures.** Lagging measures show results after the fact, such as revenue or losses. Leading measures warn early, such as open audit issues or failed reconciliations. CONCEPT

ANALYSIS — NOT OFFICIAL

Question: For a 24/7 custody service, which parts could a bank run in-house and which could a partner run?

How to think about it:

- Which functions are critical? Examples: key management, transaction signing, monitoring, reconciliation and client service.
- For each, who holds the keys and who can move assets? Outsourcing of VA custody is, as a general principle, limited to certain regulated firms²⁷⁰.

- What does oversight cost? It includes provider reviews, rehearsals and skilled monitoring staff ¹⁷⁴⁸.
- What does exit cost? That covers moving client assets if the provider fails or the contract ends.
- A round example: if shift cover needs six people per role (illustrative), fixed cost is most of the total at low volume.

What it depends on: client balances; the hours when clients trade; available talent; provider quality and concentration; final custodian rules.

Official signposts: licensing of key staff under the custodian regime ¹⁷¹⁷; EnsembleTX 24/7 operation ¹⁵⁷; HKMA expectations for 24/7 security monitoring ⁴⁶².

What this is not: Not a forecast, not advice, and not the regulator's view.

ANALYSIS — NOT OFFICIAL

Question: What could a one-page board report for a digital-asset line show?

How to think about it:

- Results: client balances, revenue, contribution and capital used.
- Risk: incidents by severity ⁴⁶⁰, reconciliation breaks (records that do not match), open audit

points, vendor issues.

- **Readiness:** continuity drill results ¹⁷¹⁰, staff training ¹⁷⁴¹, regulatory notices due.
- **Balance:** pair each profit measure with a control measure, in line with HKMA views on appraisals ¹⁷³⁴.

What it depends on: the line's size; how much risk the board accepts; data quality; how often the board meets.

Official signposts: the board plan circular of 9 March 2026 ¹²⁹; board understanding of crypto risk ²⁸².

What this is not: Not a forecast, not advice, and not the regulator's view.

Talking points

To the CEO

- Outsourced custody still leaves ultimate responsibility with us. ²⁸⁵
- The HKMA expects custody security monitoring 24/7, holidays included. ⁴⁶²

To the CCO

- A material failure of systems and controls triggers notice to both the SFC and the HKMA. ⁷²

- We need at least two EOs for each regulated activity, with one always available. ¹¹⁹¹

To business heads

- The HKMA expects us not to launch until staff understand the product, its market and its rules. ¹⁶⁸⁶
- Stopping a regulated activity needs at least seven business days' notice. ¹⁶⁸⁷

To Risk / CRO

- The HKMA expects us, as custodian, to be liable for client losses from incidents we cause. ⁸⁵
- Where DLT supports critical functions, continuity plans should test key loss, cyberattacks and forks. ²⁶⁶

Common misunderstandings

- **Myth:** A vendor can be named as responsible for an outsourced function. **Fact:** The HKMA expects a member of the RI's management to be named instead. ¹⁷¹⁵
- **Myth:** Any reputable custody provider will do. **Fact:** As a general principle, VA custody can go only to three kinds of firm. ²⁷⁰ They are another bank or a local bank's subsidiary, an SFC-licensed platform, or an HKMA-licensed stablecoin issuer for its own coins with HKMA consent. ²⁷⁰

- **Myth:** Continuity plans can ignore the provider.
Fact: The HKMA expects plans to cover provider disruption, with end-to-end rehearsals. ¹⁷¹⁹
- **Myth:** Only cyber incidents need reporting. **Fact:** An RI also notifies regulators of material failures of systems and controls, even at overseas group entities. ⁷²
- **Myth:** Profit is the main test of a good manager.
Fact: The HKMA says appraisals should also weigh compliance. ¹⁷³⁴

Official documents to read first

1. **Updated Guidance on Expected Standards on Provision of Custodial Services for Digital Assets** — HKMA, 27 May 2026. Read paras 1-5, 10, 14-19 and 23-25. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20260527-7-EN/20260527-7-EN.pdf>
2. **SPM SB-1 Supervision of Regulated Activities of SFC-Registered AIs** (SB = supervision of banks' securities business; AIs = authorized institutions) — HKMA, 12 September 2025. Read paras 2.2.4, 4.3.9, 5.1 and 5.6. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20250909-3-EN/SB-1.PDF>
3. **Management Accountability at Registered Institutions – FAQs** — HKMA, 16 October 2017. Read

Q1, Q9 and Q14. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20171016-2-EN/20171016-2-EN.pdf>

4. **SPM CG-6 Competence and Ethical Behaviour** (CG = corporate governance) — HKMA, 23 May 2024. Read paras 2.4, 2.9, 3.7.4 and 4.1-4.2.

[https://brdr.hkma.gov.hk/eng/doc-](https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20240523-2-EN/20240523-2-EN.pdf)

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5. **Guideline on Supervision of Licensed Stablecoin Issuers** — HKMA, 1 August 2025. Read paras 6.6.11 and 6.8.8-6.8.21 as a model for continuity and exit planning.

[https://www.hkma.gov.hk/media/eng/doc/key-](https://www.hkma.gov.hk/media/eng/doc/key-functions/ifc/stablecoin-issuers/Guideline_on_supervision_of_licensed_stabl)

[functions/ifc/stablecoin-issuers/Guideline_on_supervision_of_licensed_stabl](https://www.hkma.gov.hk/media/eng/doc/key-functions/ifc/stablecoin-issuers/Guideline_on_supervision_of_licensed_stabl)
[ecoin_issuers_eng.pdf](https://www.hkma.gov.hk/media/eng/doc/key-functions/ifc/stablecoin-issuers/Guideline_on_supervision_of_licensed_stabl)

Open questions

- The HKMA's general modules on outsourcing, operational resilience and technology risk are not among the sources reviewed. Only DLT-, custody- and stablecoin-specific text is covered here.
- No HKMA-wide incident reporting timeline for bank digital-asset incidents was found in the sources reviewed.
- No official source gives staffing levels or costs for a 24/7 digital-asset operation.

- The custodian regime's staff licensing rules are conclusions, not yet law. ¹⁷¹⁷

Check yourself

Answer from memory, then check the answer key at the back of the book.

1. Which two regulators should a registered institution tell about a material failure of systems and controls?
2. How many executive officers does a registered institution need for each regulated activity?
3. Is 24/7 custody security monitoring an HKMA expectation or a stated legal requirement?
4. Who stays responsible if a bank outsources VA custody to a regulated provider?
5. Can a vendor be named as the person responsible for an outsourced function?

Related modules

B2, B3, C3, D2, D4, F2, F5a, F6. Business lines: Virtual-asset custody; Infrastructure as a service; Staking services. Project: Project Ensemble. Cases: Case 1: Virtual-asset custody for private banking; Case 4: The night the hot wallet emptied; Case 6: Stopping a product.

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PART F · MODULE F6

F6 Your path to COO

This module is for a head of compliance aiming to be chief operating officer (COO) of a digital-assets business. After reading it, you can name the approvals you may need on the way to COO, and map the skills the role needs. As of 25 Sep 2026.

In 60 seconds

The Banking Ordinance requires the Hong Kong Monetary Authority (HKMA) to approve the directors and chief executive of a locally incorporated bank.¹⁷⁴⁹ A bank registered with the Securities and Futures Commission (SFC) needs at least two executive officers (EOs) for each regulated activity.¹⁷⁵⁰ Each EO directly supervises that activity and needs HKMA consent.¹⁷⁵¹

The SFC expects each firm it licenses to name a Manager-In-Charge (MIC), a senior manager accountable for a function, for each of eight core functions.¹⁷⁵² A bank licensed to issue stablecoins needs HKMA consent before it appoints its stablecoin manager.¹⁷⁵³

For an EO, the HKMA must be satisfied the person is fit and proper and has enough authority.¹⁷⁵¹ A responsible officer (RO) is a senior licensed person

who supervises a regulated activity. The SFC's standard route for an RO asks for qualifications, industry experience, management experience and a regulatory exam.¹⁷⁵⁴ An EO must meet the same standard, and the HKMA takes the SFC's guidelines into account.¹⁷⁵⁵

Key facts

At a bank (HKMA gates)

- The Banking Ordinance (BO) requires HKMA approval, under section 71, of each director and chief executive (including alternates) of a bank incorporated in Hong Kong.¹⁷⁴⁹
- Under the BO, a manager is someone, other than a director or chief executive, who is principally responsible for a listed business or function.¹⁷⁵⁶
- The listed functions include accounts, risk controls, anti-money laundering (AML) controls, computer systems, internal audit and compliance.¹⁷¹⁶
- The HKMA expects banks to notify it of new managers, departures and changed duties within 14 days.¹⁷⁵⁷
- No one may act as an EO before the HKMA gives written consent.¹⁷⁵⁸
- The HKMA expects an EO to be the most senior person in the regulated activity. An EO should sit no

more than one rank below a chief executive, director or manager notified under BO section 72B (a section 72B manager).¹⁷⁵⁹

- For each regulated activity, at least one EO should be a chief executive, alternate chief executive, director or section 72B manager.¹⁷⁶⁰
- The HKMA expects a registered bank to name the senior person responsible for each listed business or function that touches regulated activities.¹⁷¹³ The HKMA treats compliance, risk and internal audit as no less important than front-office roles here.¹⁷⁶¹

At an SFC-licensed firm

- Senior management of a licensed corporation includes its directors, responsible officers (ROs) and Managers-In-Charge (MICs). One person can hold all three roles.¹⁷⁶²
- Four of the eight core functions are overall management oversight, key business lines, operational control and review, and risk.¹⁷⁶³ The others are finance and accounting, information technology (IT), compliance, and AML and counter-terrorist financing.¹⁷⁶³
- The SFC generally expects the MICs for overall oversight and key business lines to be ROs. It does not expect other MICs to be ROs.¹⁷⁶⁴

- The SFC may approve a long-serving head of compliance, risk, finance or operations as an RO for overall oversight, even without direct regulated-activity experience. A typical condition is to work alongside a fully competent RO. ¹⁷⁶⁵
- MICs are regulated persons. The SFC can hold them to account for the firm's misconduct if it happens with their consent, with their secret approval (connivance), or through their neglect. ¹⁷⁶⁶

At a licensed stablecoin issuer

- The Stablecoins Ordinance requires each chief executive, director and stablecoin manager of a licensee to be fit and proper. ¹⁷⁶⁷
- A licensee that is a bank must not appoint a stablecoin manager without HKMA consent. ¹⁷⁵³ A non-bank licensee needs HKMA consent for its chief executive and directors. ¹⁷⁵³
- A person may become a controller (broadly, a major shareholder or someone whose instructions the firm follows) only in the circumstances section 37(1) of the Ordinance allows. The licensee should track its controllers and seek HKMA consent under section 38. ¹⁷⁰⁰
- A licensee must tell the HKMA within 14 days when a manager is appointed, leaves or takes on new

areas.¹⁷⁶⁸

What the regulators test

- For directors and chief executives, the standard depends on the post. A person may suit one post but not another with different duties.¹⁷⁶⁹
- The HKMA may meet a candidate for director, chief executive or EO face to face. It uses the meeting to understand their knowledge of Hong Kong banking, the bank's business and key rules.¹⁷⁷⁰
- Under most options, an RO or EO needs at least three years of relevant industry experience in the past six. They also need two years of management experience and a pass in the local regulatory framework paper (LRP).¹⁷⁵⁴

Industry view

These are estimates from commercial sources, not official facts.

- A 2026 Hong Kong salary survey by Morgan McKinley (a recruitment firm) gives a head of compliance a median monthly pay of about HK\$180,000. The range is HK\$130,000 to HK\$250,000. The guide does not publish its method or sample, and it lists no digital-asset title.¹⁷⁷¹

- The 2026 Hong Kong Banking Report by KPMG China (an audit and advisory firm) found total staff costs at the Hong Kong banks it surveyed rose 6.7% in 2025. KPMG reported this from bank accounts and linked it to hiring and retention pressure. ¹⁶¹⁸
- KPMG's commentary in the same report (an opinion, not an estimate) says most digital-asset work is still small next to traditional banking. It adds that building the capability can look like cost, not value, in the short term. ¹⁷⁷²

How it works commercially

A competency map

A COO turns strategy into the daily running of the business, within the rules CONCEPT.

Competency	What it covers	Where the rules touch it
Permissions and approvals	Knowing which licence, registration and personal consent each activity needs	The SFC application fee to add a regulated activity to a bank's registration is HK\$23,500 per activity. ¹⁷⁷³
Governance and accountability	Clear owners, reporting lines and board papers	The HKMA expects each registered bank to name its principally responsible people. ¹⁷¹³

Competency	What it covers	Where the rules touch it
Operations and technology	Accounts, systems, controls and outsourcing	These are listed functions; the person principally responsible for each counts as a manager under the BO. ¹⁷¹⁶
People and competence	Hiring, training and supervising staff	The HKMA expects banks not to launch new products until staff understand them and the rules. ¹⁶⁸⁶
Commercial judgement	Revenue, cost, capital and the profit and loss account (P&L) of a business line	No official test applies; this is a general management skill CONCEPT .
Regulator engagement	Explaining plans and controls before launch	The HKMA expects banks to discuss new digital-asset activities with it before launch. ¹²⁹
Integrity and track record	A clean personal and firm history	For stablecoin licensees, fitness checks look at any firm the person helped run that was disciplined or wound up. ¹⁷⁷⁴

Moving from second line to first line

The three lines of defence is a common model of risk control. The first line runs the business and owns its risks **CONCEPT**. The second line, such as compliance, sets

standards and challenges the first line. Internal audit, the third line, checks both CONCEPT.

The rules keep these roles apart. For a stablecoin licensee, the HKMA expects compliance and internal audit to be independent functions.¹⁷⁷⁵ It also expects pay for control staff to be set independently of front-line units.¹⁷⁷⁶

The SFC judges experience by whether its substance is directly relevant to the activity and the role.¹⁷⁷⁷

ANALYSIS — NOT OFFICIAL

Question: In years 1–3, what evidence of hands-on first-line work could a compliance head build?

How to think about it: The competence tests for ROs and EOs count hands-on management of regulated functions and their staff. Purely administrative supervision normally does not count¹⁷⁷⁸. One framing: list each regulated activity the bank runs. For each, ask whether you supervised people doing it or only reviewed their work. Which roles sit close to delivery, such as leading a launch workstream or chairing a new-product review?

What it depends on: the bank's structure; whether a sponsor offers a delivery role; how the regulators judge relevant experience for your case.

Official signposts: the HKMA expectation to discuss new digital-asset activities before launch ¹²⁹; the Supervisory Incubator's offer of live trials with an HKMA team ²¹⁸.

What this is not: not career advice, and not a statement of what any regulator would accept.

ANALYSIS — NOT OFFICIAL

Question: In years 3–6, what experience would show a move from owning controls to owning a business?

How to think about it: The HKMA's signs that a person is principally responsible include owning targets, decision rights, budget authority and representing the unit ¹⁷⁷⁹. Which roles show several of these signs, such as head of operations for a digital-asset line or head of a small line with its own P&L? Under the management-accountability guidance, the HKMA expects the people named as principally responsible to be chief executives, directors or section 72B managers ¹⁷⁶¹.

What it depends on: whether the move keeps you within regulated activity; the size of the line; whether the bank moves people between roles.

Official signposts: manager notifications to the HKMA ¹⁷⁵⁷; the HKMA view that appraisals of managers also weigh compliance, not only profit ¹⁷³⁴.

What this is not: not a forecast of any bank's hiring and not advice to change roles.

ANALYSIS — NOT OFFICIAL

Question: In years 6–10, what might your track record contain when a COO-level post needs regulatory approval?

How to think about it: A COO title alone triggers no approval. Approval or consent is needed for posts such as director, chief executive, EO or stablecoin manager. Managers a bank notifies to the HKMA are judged by function, whatever it is called ¹⁷⁸⁰. For directors and chief executives, fitness is judged against the specific post ¹⁷⁶⁹. One self-test draws on the HKMA's face-to-face meeting: could you explain the bank's business, capital, liquidity and risk practices plainly ¹⁷⁷⁰? The HKMA also looks at firms a candidate helped run ^{1781,1774}.

What it depends on: the type of firm (bank unit, licensed corporation or stablecoin issuer); which consent each post needs.

Official signposts: section 71 approvals for directors and chief executives ¹⁷⁴⁹; stablecoin manager consent ¹⁷⁵³; MIC and RO expectations ¹⁷⁶⁴.

What this is not: not a promise that any profile gains approval; the regulator decides case by case.

Compliance as a commercial enabler

The HKMA expects every bank's board to endorse a strategic plan within six months of 9 March 2026. ¹²⁹

The plan responds to distributed ledger technology (DLT) and other tech change. ¹²⁹ The plan should look for ways to adapt products, revenue models, risk management and operations. ¹²⁹ The Supervisory Incubator gives banks a dedicated HKMA team for supervisory feedback, so they can check their risk controls before a full DLT launch. ²¹⁸ Intermediaries (licensed and registered firms) must notify the SFC when they offer virtual asset (VA) trading or asset management services. The SFC advises them to discuss such plans with it first. ¹⁷⁸²

ANALYSIS — NOT OFFICIAL

Question: How could a compliance head measure whether compliance work speeds launches up or slows them down?

How to think about it: One framework treats each approval as a dated step on the launch plan, with an owner. Simple measures include weeks from idea to regulator discussion, rounds of rework, and conditions attached. These can sit beside revenue and cost rather than in a separate risk report. One question for past launches: did those that began with an early regulator discussion need fewer late changes?

What it depends on: early access to product plans; a business sponsor who shares product papers early; data on past launch times.

Official signposts: the board strategic plan expectation ¹²⁹; the staff competence expectation before launch ¹⁶⁸⁶.

What this is not: not a view on any product's profit and not the HKMA's or SFC's view.

Talking points

To the CEO

- The HKMA expects our board to endorse, within six months of 9 March 2026, a strategic plan for DLT and related tech change. ¹²⁹
- The HKMA expects us to discuss any new digital-asset activity with it before launch. ¹²⁹

To the CCO

- Each regulated activity needs at least two EOs, each with HKMA consent. ¹⁷⁸³
- The HKMA treats compliance as no less important than front-office roles when naming responsible people. ¹⁷⁶¹

To business heads

- The HKMA expects us not to launch a product until staff understand it and its rules. ¹⁶⁸⁶
- The SFC fee to add a regulated activity to our registration is HK\$23,500 per activity. ¹⁷⁷³

To Risk / CRO

- The HKMA says manager appraisals should not give undue weight to profit; they should also weigh compliance. ¹⁷³⁴
- Anyone involved in managing our regulated-activity business is subject to the SFC's disciplinary powers. ¹⁷⁸⁴

Common misunderstandings

- **Myth:** Only licensed or approved people carry personal regulatory risk. **Fact:** SFC-licensed firms' MICs are regulated persons even if unlicensed. ¹⁷⁸⁵
The same applies to anyone involved in managing a bank's regulated-activity business. ¹⁷⁸⁴
- **Myth:** A senior title is enough to be an EO. **Fact:** The HKMA also checks sufficient authority, including rank and reporting line. ¹⁷⁵⁹
- **Myth:** HKMA consent covers only directors and chief executives. **Fact:** EOs also need HKMA consent. ¹⁷⁵¹ A bank licensed to issue stablecoins also needs consent for its stablecoin manager. ¹⁷⁵³

Official documents to read first

1. **Guideline on Minimum Criteria for Authorization** — HKMA, 27 Feb 2026. Read paras 12-18 and 23-32.

<https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20260226-1-EN/20260227-1-EN.pdf>

2. Annex 1 – Guidance on registration related matters

— HKMA, 27 Oct 2025. Read the part on executive officers. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20251027-2-EN/20251027-2-EN.pdf>

3. CG-2 Systems of Control for the Appointment of Managers (CG = corporate governance) — HKMA, 24 May 2002. Read sections 2 and 4.

<https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20020524-2-EN/CG-2.pdf>

4. Management Accountability at Registered Institutions – FAQs — HKMA, 16 Oct 2017. Read Q1 to Q4. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20171016-2-EN/20171016-2-EN.pdf>

5. Guideline on Supervision of Licensed Stablecoin Issuers — HKMA, 1 Aug 2025. Read section 7.2. https://www.hkma.gov.hk/media/eng/doc/key-functions/ifc/stablecoin-issuers/Guideline_on_supervision_of_licensed_stablecoin_issuers_eng.pdf

6. Circular to Licensed Corporations Regarding Measures for Augmenting the Accountability of Senior Management — SFC, 16 Dec 2016. Read paras 5-33.

<https://apps.sfc.hk/edistributionWeb/api/circular/openFile?lang=EN&refNo=16EC68>

7. Guidelines on Competence — SFC, Oct 2024. Read paras 2.2, 4.1.9-4.1.13 and 4.2.1.

https://www.sfc.hk/-/media/EN/assets/components/codes/files-current/web/guidelines/guidelines-on-competence/Guidelines-on-Competence_EN_Oct-2024.pdf?rev=63f04816d15545c2955435a864f3af40

Open questions

- The sources reviewed do not say whether years spent in a bank's compliance function count as relevant industry experience for an EO application.
- The SFC's route for a long-serving control head to become an RO is written for licensed corporations. No matching HKMA text for EOs was found.
- The sources reviewed set no COO licence and no COO-specific competence standard. Under CG-2, what counts is the underlying business or function, not what the bank calls it. ¹⁷⁸⁰
- Senior-management rules for the planned virtual asset dealing, custody, advisory and management regimes are not final. On 24 June 2026 the Government said it and the SFC would introduce a bill to the Legislative Council in 2026 (a stated target). ¹⁵⁸⁶

Check yourself

Answer from memory, then check the answer key at the back of the book.

1. Who approves each director and chief executive of a Hong Kong-incorporated bank?
2. How many executive officers must a bank registered with the SFC have for each regulated activity?
3. Does the SFC require or only expect a Manager-In-Charge for each core function?
4. What must a bank licensed to issue stablecoins get before appointing its stablecoin manager?
5. Does a senior job title alone make someone an executive officer?

Related modules

B1, B2, B3, C4, D3, F5a, F5b. Business line: Stablecoin roles for banks. Case: Case 5: The board's strategic plan.

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BUSINESS LINES

Sixteen business lines open to a Hong Kong bank

Each line gives the bank's role, who pays, cost and capital drivers, the regulatory gate, official signals and industry benchmarks.

BUSINESS LINE · ADVISE AND MANAGE

Advice and asset management under the new regimes

CONCLUSIONS PUBLISHED

A bank can advise clients on virtual assets (VAs) and manage funds or client accounts that hold them, for a fee. CONCEPT

At a glance

Item	Detail
Bank role	Adviser; discretionary portfolio manager; fund manager
Client segments	Private banking, retail, institutional
Value chain	Advise and manage
Regulatory gate	Today: registration with the Securities and Futures Commission (SFC) for advice or asset management, plus SFC terms for VA (virtual asset) work. Next: registration under new VA advisory and management regimes ^{6,1644,55}
Status as of 25 Sep 2026	Conclusions published ¹⁷⁸⁶
Related modules	C1, C2, B1, E1
Related cases	Case 5: The board's strategic plan

What the bank does

- Intermediaries, including banks, should give VA advice only to clients of their securities dealing (Type 1) or securities advice (Type 4) business.⁶ This limit does not apply to a bank that advises only on stablecoins licensed by the Hong Kong Monetary Authority (HKMA).¹⁷⁸⁷
- Before recommending a VA to a retail client, the adviser should check that it is a large, liquid token.¹⁷⁸⁸ That means it is in at least two acceptable indices (published lists that track major tokens) from two different index providers.¹⁷⁸⁸
- SFC terms for VA fund managers apply in two cases. A fund states a VA aim, or it plans to hold at least 10% of its total assets in VAs. Total assets here means gross asset value (GAV).¹⁷⁸⁹
- For retail discretionary accounts (where the manager decides the trades), the manager should trade only large-cap VAs (tokens with a large total market value).¹⁷⁹⁰ Stablecoins issued by HKMA licensees are exempt from that liquidity test.¹⁷⁹⁰
- A registered institution (RI) is a bank registered with the SFC. Holding HKMA-licensed stablecoins, and no other VAs, in the portfolios it manages does not on its own make an RI need an asset management

registration.¹⁷⁹¹ If a portfolio meets the 10% test above, the SFC's VA manager terms still apply.¹⁷⁹¹

- Under the proposed new regimes, only banks could register with the SFC instead of taking a licence.⁵⁵

Revenue levers

- A management fee is a yearly charge on the value of assets under management (AUM). CONCEPT
- A performance fee is a share of gains above an agreed level. CONCEPT
- An advice fee is paid by the client. A commission or rebate is paid by the product provider, and can create a conflict of interest. CONCEPT
- For HKMA-licensed stablecoins, a bank should base advice on thorough analysis.⁵⁴⁵ It should not use commission rebates as the main reason to recommend one.⁵⁴⁵
- A licensed VA manager that deals in VAs only to run its portfolios would not need a separate VA dealing licence.¹⁷⁹² For example, it could accept VAs as fund subscriptions and convert them.¹⁷⁹²

Cost and capital drivers

- A VA fund manager should place fund assets with a separate, independent custodian and keep them

- segregated.¹⁷⁹³ It should disclose plans to keep over 10% of GAV with one custodian or in self-custody.¹⁷⁹⁴
- A VA fund manager should tell the SFC, and the HKMA for an RI, at least 7 business days before any significant business change.¹⁷⁹⁵
 - The new VA management regime is to have no small-amount exception.¹⁷⁹⁶ So managing even a small VA portfolio for others would need a licence or registration.¹⁷⁹⁶ Advice on a mixed portfolio of VAs and securities would still need VA advisory licensing or registration for the VA part.¹⁵⁶⁸
 - Under current SFC fees, an RI pays HK\$23,500 to apply and HK\$35,000 a year for each of advice and asset management.¹⁵⁹⁰ The May 2026 conclusions tie the new VA fees to those fees.¹⁶⁰⁶
 - Non-bank licensees holding client assets would need HK\$5 million paid-up capital and HK\$3 million liquid capital.¹⁷⁹⁷ Those figures exclude banks.¹⁷⁹⁷
 - Every RI must appoint at least two executive officers (EOs) to supervise each regulated activity directly.²³²

Official signals

- Hong Kong's asset and wealth management AUM rose 20% to HK\$42,202 billion at end-2025.¹⁵⁷²
- Assets in private banking and private wealth management rose 24% to HK\$12,945 billion at end-

2025.¹⁵⁶³ Forty-seven registered institutions (RIs) reported doing that business.¹⁷⁹⁸

- The SFC survey cites a study commissioned by Invest Hong Kong, the Government's investment promotion agency.¹⁷⁹⁹ It counts over 3,380 single-family offices (firms that manage one family's wealth) in Hong Kong at end-2025.¹⁷⁹⁹ It notes strong interest in digital assets among their alternative investments.¹⁸⁰⁰
- The consultation on the VA advisory and management regimes drew 51 responses.¹⁸⁰¹
- SFC-licensed firms and registered banks that already give VA advice or management are to get a faster approval process.²¹³ The start date is not set yet.¹²³
- The Government and the SFC do not plan to treat existing VA advisers or managers as licensed while they apply.¹¹¹⁸ The regimes take full effect on their start date.¹¹¹⁸
- The Government said one bill covering VA dealing, custody, advisory and management would go to the Legislative Council (LegCo) in 2026.¹⁵⁸⁶

Industry benchmarks

- HashKey Holdings Limited (HashKey), a Hong Kong-listed platform group, reported 2025 asset management revenue of HK\$117.1 million, up from

HK\$78.2 million.¹⁸⁰² It said the rise came mainly from carried interest, a share of fund profits.¹⁸⁰²

- HashKey's 2025 annual results reported asset management AUM of HK\$7.2 billion at end-2025.¹⁸⁰³ These are group figures and include markets outside Hong Kong.
- Boser Asset Management (International) published a Hong Kong prospectus in March 2026 (reported figures). It sets a current management fee of 0.60% a year for the listed shares of its bitcoin exchange-traded fund (ETF).¹⁵⁸¹

Analysis

ANALYSIS — NOT OFFICIAL

Question: Is VA advice and management a new fee line, or a way to keep private-banking wealth inside the bank?

How to think about it:

- Fee income is roughly AUM times the fee rate. AUM moves with VA prices, so income moves too.
- Costs include registration, independent custody, staff with VA skills and extra suitability checks.
- Once the new regime applies, the VA rules cover even a small VA part of a mixed portfolio.

- A question to test: do clients who want VA exposure move assets elsewhere when the bank offers none?

What it depends on: client demand; VA prices; the start date; the speed of approval; custody costs.

Official signposts:

- Faster approval for firms already in the business.
213
- No small-amount exception for VA management.
1796
- The bill planned for 2026. ¹⁵⁸⁶

What this is not: not a forecast, not advice and not the regulator's view.

Read next

- Module C1 Selling, dealing and advising on virtual assets
- Module C2 VA funds and ETFs (ETFs: exchange-traded funds)
- Module B1 Your bank's legal status for digital assets
- Module E1 What's coming: the pipeline
- Project profile: New VA licensing regimes: dealing, custody, advisory and management

- Project profile: Relevant Stablecoins: dealing, advice and trading
- Case 5: The board's strategic plan

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BUSINESS LINE · HOLD · SETTLE AND PAY

Banking the digital-asset industry

IN FORCE

In this line a bank provides accounts, payments and safekeeping to firms that work with digital assets, such as trading platforms and stablecoin issuers CONCEPT.

At a glance

Item	Detail
Bank role	Account bank; client-money bank; reserve bank and custodian; payment provider
Client segments	Institutional, fintechs
Value chain	Hold, Settle and pay
Regulatory gate	The bank's existing authorisation plus adequate risk controls ⁵⁷ . The Hong Kong Monetary Authority (HKMA) expects banks to discuss virtual-asset (VA) plans with it, and get its feedback, before launch ²¹⁴
Status as of 25 Sep 2026	In force ⁵⁷
Related modules	D3, C7, C4, B2
Related cases	Case 3: The reserve bank that also sells the coin, Case 4: The night the hot wallet emptied

What the bank does

- Holds client money for trading platforms. The Securities and Futures Commission (SFC) expects each licensed VA trading platform (VATP) to keep client money in separate accounts ¹⁸⁰⁴. The platform's associated entity (the linked company that holds client assets) should open these accounts ¹⁸⁰⁴. They sit with a Hong Kong authorized financial institution, or an overseas bank the SFC agrees to ¹⁸⁰⁴. Within one business day, client money received should be paid into such an account or paid out as the client directs ¹⁸⁰⁵.
- Holds stablecoin reserves. The HKMA expects a licensed stablecoin issuer to appoint qualified custodians for its reserves ¹⁵¹⁴. The issuer should use a licensed bank, or another custodian set-up that the HKMA accepts ¹⁵¹⁴. Reserves may include bank deposits with a term of up to three months ¹⁵¹⁵.
- Runs payments for customers who buy virtual assets (VAs). In January 2022 the HKMA said it did not then intend to stop this ⁵⁷. The condition is adequate risk controls with senior management oversight ⁵⁷.
- Moves VAs for customers. The HKMA says the anti-money-laundering (AML) law allows this if the transfer rules in section 13A of its Schedule 2 are met ¹⁸⁰⁶.

Revenue levers

- Account and payment fees are charged per transaction or per month on operating accounts CONCEPT.
- Deposit balances earn the bank net interest margin: the gap between what it earns on the money and what it pays the depositor CONCEPT.
- Reserve custody earns a fee, usually a small yearly share of the assets held CONCEPT.
- Foreign-exchange conversion on payments in and out of platforms adds a spread, the gap between buying and selling rates CONCEPT.

Cost and capital drivers

- Customer due diligence (CDD): the HKMA expects a risk assessment of each client that is a VA service provider (VASP) ⁸³⁰. Checks may cover its business model, its licence status and its AML controls ⁸³⁰.
- Overseas clients: for a VASP outside Hong Kong, the bank should apply its correspondent-banking checks (extra checks used for banks that serve other banks) ⁸⁵². It should find out whether the account serves the VASP itself or the VASP's own customers ⁹⁹². It could consider asking for separate accounts for the two ⁹⁹³.

- **Monitoring:** the HKMA expects banks to watch for frequent transfers to or from VA platforms ¹⁸⁰⁷. Where there are grounds for suspicion, banks should file a report ¹⁸⁰⁷.
- **Scam money:** the SFC cites police intelligence on scam money moved by bank transfer to licensed firms ⁸³⁴. Some is turned into VAs and withdrawn to unhosted wallets (wallets not held by a regulated firm) ⁸³⁴.
- **Direct debits:** the SFC has flagged risks in simplified electronic Direct Debit Authorisation (eDDA) set-ups used by licensed firms to collect client deposits ¹⁸⁰⁸.

Official signals

- The SFC listed 13 licensed trading platforms at its 29 May 2026 update ³⁰³.
- The HKMA licensed two stablecoin issuers from a first batch of 36 applicants ¹⁶³¹.
- The Government told the Legislative Council in February 2024 that VA-related crime cases rose from 1,397 in 2021 to 3,415 in 2023 ¹⁸⁰⁹. Money involved rose from HK\$824 million to HK\$4,398 million ¹⁸⁰⁹.
- The HKMA warned in November 2024 that some overseas crypto firms called themselves banks without a Hong Kong licence ¹⁸¹⁰.

- The SFC plans to switch on the AML surveillance part of its crypto data initiative (CrypTech) in 2027¹¹⁰².
- The Customs and Excise Department plans a Digital Asset Transaction Analytics System by 2029¹⁰⁸⁸.

Industry benchmarks

- OSL Group Limited (OSL), a listed digital-asset firm, reported in its interim results for the first half of 2026 (Hong Kong and global, reported figures)¹⁸¹¹. Its payment volume was about HK\$61.0 billion, against HK\$36.9 billion a year earlier¹⁸¹¹.
- The accounting firm KPMG (China, Hong Kong office) reviewed Hong Kong banks' 2025 accounts in its Hong Kong Banking Report 2026 (reported figures)¹⁸¹². Surveyed banks spent on average 41.9% of their income on running costs (the cost-to-income ratio)¹⁸¹². Staff costs rose 6.7%¹⁸¹².
- The same KPMG report (a consultancy view) says many local and regional banks are waiting before building digital-asset capability¹⁸¹³. It notes that, in the short term, spending on technology, people and compliance can look like cost rather than value¹⁸¹³.

Analysis

ANALYSIS — NOT OFFICIAL

Question: Does banking digital-asset firms pay for the extra checks it needs?

How to think about it:

- Income side: deposit balances, payment fees and reserve custody fees from a small number of large clients.
- Cost side: enhanced due diligence, transaction monitoring and reporting for every client, much of it fixed.
- Concentration: a few clients can bring most of the balances, so losing one client moves the whole result.
- Example (illustrative): if 2 of 10 platform clients hold most of the deposits, one exit changes the whole result.

What it depends on: the number of licensed platforms and issuers; how much client money and reserves each keeps at banks; fraud and scam trends; monitoring tools.

Official signposts: the SFC platform list ³⁷; the HKMA's stance on further stablecoin licences ¹⁸¹⁴; SFC AML surveillance plans ¹¹⁰².

What this is not: Not a forecast, not advice, and not the regulator's view.

Read next

- Module D3 AML/CFT for digital assets at a bank (AML/CFT: anti-money laundering and counter-terrorist financing)
- Module C7 VATP counterparties and the SFC platform regime
- Module C4 Stablecoins
- Module B2 Engaging the HKMA and SFC
- Project profile: Stablecoin issuer regime (Stablecoins Ordinance, Cap. 656)
- Case 3: The reserve bank that also sells the coin
- Case 4: The night the hot wallet emptied

BUSINESS LINE · FINANCE · HOLD · SETTLE AND PAY

Collateral and tokenised financing

IN FORCE

In this line a bank lends against digital or tokenised assets, or helps clients use such assets as collateral (security for a loan or trade).

CONCEPT

At a glance

Item	Detail
Bank role	Lender; repo counterparty; collateral agent; custodian of pledged assets
Client segments	Private banking, corporate, institutional
Value chain	Finance, Hold, Settle and pay
Regulatory gate	A bank registered with the Securities and Futures Commission (SFC) for virtual-asset (VA) dealing may offer VA financing. It is expected to meet the standards in a Hong Kong Monetary Authority (HKMA) circular ²⁹⁵
Status as of 25 Sep 2026	In force ²⁹⁵
Related modules	C6, D1, C5, C3, E2
Related cases	none

What the bank does

- Lends to its securities margin clients for VA trading⁶⁵⁸. If it relies on VA collateral, the HKMA says it should accept only bitcoin, ether and stablecoins from HKMA-licensed issuers⁶⁴⁵.
- Applies a haircut (a cut to the collateral's value before lending against it). The HKMA says the haircut on bitcoin and ether should be 60% or more¹⁸¹⁵.
- Values VA collateral at prices on the platform that executes the client's orders, as the HKMA generally expects⁶⁶⁶.
- Keeps pledged virtual assets (VAs) untouched. The bank should not reuse or repledge VA collateral, except to enforce it on default⁶⁵⁹.
- Holds or lends against tokenised traditional assets, such as tokenised bonds. CONCEPT In the banking book, these Group 1a (tokenised traditional) exposures generally follow the capital rules for the underlying asset¹⁵⁹².
- Handles tokens used as margin (collateral for trading positions). The SFC's February 2026 high-level framework covers perpetual contracts (futures with no expiry date) on trading platforms. It says

their margin should be fiat money, or stablecoins or tokenised deposits regulated by the HKMA ¹⁸¹⁶.

Revenue levers

- A lender earns interest on the loan above its own funding cost. This gap is called the net interest margin. CONCEPT
- A repo (a sale and agreed buy-back of securities that works like a secured loan) earns a small spread for the cash lender. CONCEPT
- A collateral agent earns fees for holding, valuing and moving pledged assets between parties. CONCEPT

Cost and capital drivers

- Capital: the Banking (Capital) Rules do not recognise VA collateral. So a loan secured only by VAs must be treated as a clean (unsecured) loan ⁶³³.
- Capital: Group 2b cryptoassets take a 1,250% risk weight ¹⁵⁸⁷. The minimum total capital ratio is 8% ⁶⁶. So $1,250\% \times 8\% = 100\%$: at the minimum, the bank holds capital equal to the whole exposure.
- Classification: a bank taking on a new type of cryptoasset must notify the HKMA ⁶⁴. It must treat the asset as Group 2b until the HKMA agrees its class ⁶⁴.

- **Liquidity:** the HKMA says fiat loans secured on cryptoassets should be treated like similar deals under the liquidity rules ¹⁸¹⁷.
- **Liquidity:** a category 1 bank must keep a minimum liquidity coverage ratio, a short-term liquidity test ¹⁸¹⁸. It may count a tokenised asset as a high-quality liquid asset only if it is an eligible Group 1a token ¹⁵⁹⁷.
- **Controls:** the bank should monitor VA collateral volatility in real time and act promptly ⁶⁶¹.

Official signals

- The 2026 Policy Address states that the HKMA will test tokenised Exchange Fund Bills by the end of 2026 ¹⁵⁶. These are short-term debt papers the HKMA issues. The stated aim is to help banks use more than HK\$1.3 trillion of these bills efficiently, round the clock ¹⁵⁶.
- The Central Moneymarkets Unit (CMU), the Hong Kong system where bonds are held and settled, held about HK\$5 trillion at end-September 2025 ¹⁵⁷⁶. Its operator is CMU OmniClear (set up in October 2024). CMU OmniClear offers collateral management among its services ¹⁵⁷⁶.
- The Project Ensemble Sandbox listed repo and treasury management under its liquidity theme ¹⁸¹⁹.

- In April 2026 the HKMA licensed two stablecoin issuers. Its summary of their plans lists collateral management in tokenised asset trading as one use of their coins ¹⁸²⁰.
- Hong Kong Exchanges and Clearing (HKEX) aims to pilot tokenised warehouse-receipt financing with chosen banks in 2027 ¹⁶⁶¹.
- In June 2026 the HKMA clarified a Group 1 condition for tokenised traditional assets on public blockchains. The condition can now also be met where a financial market regulator supervises the tokenisation business ⁵⁵³.

Industry benchmarks

- A 2025 report by the Global Financial Markets Association (GFMA) and other trade bodies (global, modelled) cites a study by Boston Consulting Group (BCG) and Ripple ¹³⁸². That modelled estimate says a bank running about US\$100 billion of daily repo could save US\$150–300 million a year ¹³⁸².
- The GFMA's 2025 case studies (global, operator-reported) put one ledger-based repo platform at about US\$1.5 trillion a month in late 2024 ¹⁸²¹.
- The International Organization of Securities Commissions (IOSCO) published a report in 2025 (global, survey). In its 2024 survey of members, 91%

of respondents reported nil or very limited commercial tokenisation use in their markets ¹⁸²².

Analysis

ANALYSIS — NOT OFFICIAL

Question: Where does tokenised collateral create value for a bank: in new lending, or in cheaper use of assets it already holds?

How to think about it:

- Lending view: VA-backed loans carry no capital relief for the collateral ⁶³³. The income then has to cover the full capital charge on an unsecured loan.
- Balance-sheet view: tokenised high-quality assets could move faster between the bank's own teams and its counterparties. In this view, value would come from holding less spare collateral, not from new fees.
- Service view: holding and valuing collateral for others earns fees without the bank lending its own money.

What it depends on: how the tokenised bill tests are designed; whether counterparties accept tokens; legal certainty on pledges; capital treatment.

Official signposts: tokenised Exchange Fund Bill tests ¹⁵⁶; the HKEX warehouse-receipt pilot ¹⁶⁶¹; the April 2026 capital-rule proposal on cryptoassets and cash items ¹⁸²³.

What this is not: Not a forecast, not advice, and not the regulator's view.

Read next

- Module C6 Financing, shared order books and client withdrawals
- Module D1 Capital and prudential treatment of cryptoassets
- Module C5 Tokenisation: tokenised products, deposits and bonds
- Module C3 Custody of digital assets and key management
- Module E2 Wholesale money, CBDC and cross-border projects (CBDC: central bank digital currency)
- Project profile: CMU OmniClear digital asset platform and tokenised Exchange Fund Bills
- Project profile: Project Ensemble

- **Business line: Virtual-asset financing and margin**

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BUSINESS LINE · SETTLE AND PAY

Cross-border payments, FX and mBridge

PILOT

A bank can do foreign exchange (FX) and send money abroad through new systems, such as shared digital-currency platforms, tokenised deposits and licensed stablecoins. CONCEPT

At a glance

Item	Detail
Bank role	Payment bank; FX provider; wallet top-up bank; settlement bank
Client segments	Retail, corporate, institutional, fintechs
Value chain	Settle and pay
Regulatory gate	A banking licence; the Hong Kong Monetary Authority (HKMA) also expects banks to discuss new digital-asset activities with it before launch ¹²⁹
Status as of 25 Sep 2026	Pilot ¹⁵⁸⁵
Related modules	E2, C4, C5, D3
Related cases	Case 2: Tokenised deposits for corporate treasury

What the bank does

- Project mBridge studies how central bank digital currency (CBDC) can solve problems in cross-border payments.¹⁸²⁴
- mBridge reached its minimum viable product (MVP) stage in June 2024.¹¹⁴³ The Government says it now forms part of Hong Kong's financial market infrastructure.¹¹⁴³ On mBridge, the payer's bank and the payee's bank settle with each other directly.¹¹⁴³
- In the 2022 pilot, foreign banks could hold and use another place's CBDC.¹⁴⁷⁵ Only that place's own banks could get it issued, or swap it back for central bank reserves.¹⁴⁷⁵
- The 2022 pilot report says each bank on mBridge stays bound by its own anti-money laundering (AML), counter-terrorist financing (CFT) and sanctions laws.¹¹⁷¹ The bank checks each payment off the platform and attaches a pass or fail result.¹¹⁷¹
- Eighteen local banks let users top up e-CNY (the digital renminbi) wallets through the Faster Payment System (FPS).¹¹⁷⁰
- HKMA custody guidance allows transfers of client digital assets to third parties to support payment services, with effective risk controls in place.⁴⁹²

Revenue levers

- Hong Kong banks on mBridge set their own cross-border payment fees.¹¹⁴³ They base the fees on their operating costs and commercial needs.¹¹⁴³
- An FX spread is the gap between the rate a bank gets in the market and the rate it gives the client. CONCEPT
- Money waiting to be paid out sits with the bank as a balance it can earn on. CONCEPT
- The HKMA lists cross-border payments for companies and individuals among the key use cases of both licensed stablecoin issuers.⁵⁰⁷ A bank serving stablecoin users can charge for converting, holding and paying out coins. CONCEPT
- The HKMA now puts wholesale uses of the e-HKD (a digital Hong Kong dollar) first. Wholesale uses are those between banks and other large institutions.¹¹²⁷ Those uses include cross-border payments such as settling international trade.¹¹²⁷

Cost and capital drivers

- A bank should complete customer due diligence (CDD) before a one-off (occasional) wire or virtual-asset transfer of HK\$8,000 or more.¹⁸²⁵ It should also watch for linked smaller transfers that reach that level together.⁹⁵⁴

- The "travel rule" means sending payer and payee details along with a transfer. CONCEPT The HKMA has an AML guideline for licensed stablecoin issuers.¹⁸²⁶ Under it, a sending issuer must record payer and payee details before a stablecoin transfer of HK\$8,000 or more.¹⁸²⁶
- The HKMA's liquidity guidance keeps CBDC out of its cryptoasset annex.¹⁸²⁷ CBDC may generally be treated like the issuing place's notes and coins, subject to each CBDC's features and legal status.¹⁸²⁷
- The mBridge team is helping banks link their systems to the platform's application programming interface (API).¹¹⁴³ Each link is a build and running cost for the bank. CONCEPT
- In correspondent banking, a bank parks cash in advance in accounts at banks abroad. Direct settlement can cut the cash parked this way. CONCEPT

Official signals

- In the 2022 mBridge pilot, 20 banks from four places made over 160 payment and FX deals worth over US\$22 million.¹⁴⁶⁸
- By end-January 2026, about 80,000 e-CNY wallets had been set up with Hong Kong mobile numbers.¹¹⁷⁰ About 5,200 local shops accepted e-CNY.¹¹⁷⁰

- In June 2025 the HKMA and the People's Bank of China (PBoC) launched Payment Connect.¹⁸²⁸ It links the FPS with a Mainland online banking payment system for real-time remittances.¹⁸²⁸
- The Government's November 2025 digital green bond offered settlement in tokenised central bank money (e-CNY and e-HKD).¹⁸²⁹ This option sat alongside traditional settlement.¹⁸²⁹ The Government said it was the world's first digital bond offering to do so.¹⁸²⁹
- Hong Kong Exchanges and Clearing (HKEX) and the HKMA are working together on an e-HKD payment tool for after-hours derivatives trading.¹⁰⁹⁸ Real-value deals are targeted for 2026.¹⁰⁹⁸
- The HKMA is testing CBDC networks, tokenised deposits and links between fast payment systems.¹⁵⁸⁵ Both licensed stablecoin issuers take part.¹⁵⁸⁵

Industry benchmarks

- The Financial Stability Board (FSB) published a global progress report in 2025, using reported data. It put the global average cost of sending a US\$200 remittance at 6.5%.¹¹³⁹
- The same FSB report (reported, Asia-Pacific scope) said only 25.6% of wholesale cross-border payments into the region arrived within one hour.¹⁸³⁰

- The same report said person-to-person payments sent from East Asia and the Pacific cost 3% on average.¹⁸³¹ It gives no Hong Kong-only figure.

Analysis

ANALYSIS — NOT OFFICIAL

Question: If new systems make each cross-border payment faster and cheaper, where does a bank still earn?

How to think about it:

- Split income into three parts: the fee per payment, the FX spread, and balances held along the way.
- Faster systems can cut the fee per payment but can raise the number of payments.
- A bank can join as a direct participant, or serve smaller banks and fintechs that connect through it.
- Compliance cost per payment stays, because each bank runs its own checks.

What it depends on: which currency routes clients use; how many central banks and banks connect; stablecoin use; the cost of AML checks per payment.

Official signposts:

- Fees on mBridge are set by each bank.¹¹⁴³

- The e-HKD tool for after-hours derivatives.¹⁰⁹⁸
- The HKMA's testing of new payment options with the stablecoin licensees.¹⁵⁸⁵

What this is not: not a forecast, not advice and not the regulator's view.

Read next

- Module E2 Wholesale money, CBDC and cross-border projects
- Module C4 Stablecoins
- Module C5 Tokenisation: tokenised products, deposits and bonds
- Module D3 AML/CFT for digital assets at a bank
- Project profile: Project mBridge
- Project profile: e-HKD (digital Hong Kong dollar)
- Project profile: CBDC research and cross-border digital money pilots
- Case 2: Tokenised deposits for corporate treasury

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BUSINESS LINE · HOLD · SETTLE AND PAY

Virtual-asset custody

IN FORCE

In this line a bank safekeeps clients' digital assets, such as virtual assets (VAs) and tokenised securities (securities recorded as digital tokens) ¹⁸³². It also guards the private keys (the secret codes that control the assets) ¹⁸³².

At a glance

Item	Detail
Bank role	Custodian; custodian that funds and other firms appoint to hold assets for them
Client segments	Retail, private banking, institutional, fintechs
Value chain	Hold, Settle and pay
Regulatory gate	The Hong Kong Monetary Authority (HKMA) expects the bank to discuss plans with it first and show it meets the HKMA custody standards ⁷⁶
Status as of 25 Sep 2026	In force ⁷⁶
Related modules	C3, C2, C1, D1, D4
Related cases	Case 1: Virtual-asset custody for private banking

What the bank does

- Keeps client assets and wallet addresses separate from its own, as the HKMA expects, so they stay out of reach of the bank's creditors ¹⁶²⁵.
- Keeps 98% of client VAs in cold storage (keys held offline), as the HKMA expects ⁸³.
- Creates, stores and backs up private keys for client VAs in Hong Kong, a control the HKMA generally requires ¹⁸³³.
- Holds assets for funds. The Securities and Futures Commission (SFC) lets the trustee of a VA fund it authorises hand VA custody to a bank that meets HKMA standards ³⁶⁹.
- Acts as custodian for other banks, SFC-licensed firms and licensed platforms that keep their clients' assets in an account with the bank ¹⁸³⁴.
- Sends client assets to other parties to make payments or settle client trades, if effective controls are in place ⁴⁹².

Revenue levers

- A custody fee is usually a yearly percentage of the value held, sometimes with a monthly minimum.

CONCEPT

- Fund custody fees may be bundled with administration fees. The sub-custodian (a second custodian holding the assets for the main one) is then paid from that bundle. CONCEPT
- Staking (locking client VAs so they help run a blockchain, for a reward) is a further lever. The HKMA has issued staking guidance that is separate from its custody guidance ⁴⁶⁵.
- Holding a client's assets also opens the way to other income from the same client, such as dealing, fund servicing and lending. CONCEPT

Cost and capital drivers

- **Liability:** the HKMA expects the bank to be liable for losses from incidents it causes ⁸⁵. The bank should hold adequate financial resources, which may include insurance ⁸⁵.
- **Operations:** security monitoring should run around the clock ⁴⁶². Holdings should be checked client by client against records on the blockchain and in the bank's own books ⁴⁸³.
- **Outsourcing:** as a general principle, a bank may delegate VA custody only to three kinds of firm ²⁷⁰. They are another bank or a local bank's subsidiary, an SFC-licensed platform, or an HKMA-licensed stablecoin issuer for its own coins with HKMA

consent²⁷⁰. Final responsibility stays with the bank²⁸⁵.

- New licence: banks that safekeep client VA keys would need a licence or registration under the planned regime¹³. The Government and the SFC do not plan to treat existing VA custodians as licensed while they apply⁵³. The regime takes full effect on its start date⁵³.
- Capital: the planned minimum of HK\$10 million paid-up capital (money put in by shareholders) does not apply to banks¹⁹⁹. The reason is that HKMA capital rules already cover them¹⁹⁹.
- Technology: the SFC says its August 2025 custody standards for trading platforms will be core expectations for future custodians⁴⁴⁰.

Official signals

- The SFC listed 13 licensed VA trading platforms at its 29 May 2026 update³⁰³.
- Hong Kong had 11 VA spot exchange-traded funds (ETFs) at end-2025, with a total market value of over HK\$5.4 billion³⁷⁹.
- The SFC and the Financial Services and the Treasury Bureau aim to put a custodian bill to the Legislative Council in 2026¹⁶²⁶.

- Banks the HKMA has already assessed, and that already provide VA custody, are to get faster approval ⁴⁴⁴.
- Under the planned dealing regime, the SFC will require VA dealers to use SFC-regulated custodians ¹¹¹⁷.
- The SFC plans to begin running a system to watch digital-asset custody in the second half of 2026 ¹¹⁰².

Industry benchmarks

- China Asset Management (Hong Kong) gives a fee in its April 2026 key facts statement, a short summary of a fund (Hong Kong scope) ⁴⁴⁶. Its ether fund pays up to 1% a year for custody and administration ⁴⁴⁶. That fee also pays the sub-custodian ⁴⁴⁶.
- Bosera Asset Management (International) describes how its sub-custodian covers losses, in a March 2026 Hong Kong fund prospectus ¹⁶²². Compensation or insurance covers 50% of client VAs in cold storage ¹⁶²². The cover is 100% for VAs in hot storage (keys online) and other storage ¹⁶²².
- OSL Group Limited (OSL) reported custody income in its 2025 annual report (Hong Kong and global scope) ⁴⁴⁵. It was about HK\$16.1 million in 2025, up from about HK\$9.6 million in 2024 ⁴⁴⁵.

Analysis

ANALYSIS — NOT OFFICIAL

Question: Is VA custody a fee business on its own, or mainly the base that lets other lines run?

How to think about it:

- Standalone view: income equals assets held times the fee rate. Costs for keys, monitoring, audit and insurance start before any assets arrive, and are largely fixed.
- Enabler view: count the dealing, fund, staking and settlement income that needs a custodian in place.
- Build or delegate: the bank can run its own key systems, or hand custody to a licensed platform. If it hands custody over, responsibility still stays with the bank ²⁸⁵.

What it depends on: client asset levels; fee pressure from fund issuers; insurance cost; the final custodian rules and their start date.

Official signposts: the custodian bill target ¹⁶²⁶; SFC work on more flexible custody technology and on how much is kept offline ¹¹²⁴; custodian use under the dealing regime ¹¹¹⁷.

What this is not: Not a forecast, not advice, and not the regulator's view.

Read next

- Module C3 Custody of digital assets and key management
- Module C2 VA funds and ETFs
- Module D1 Capital and prudential treatment of cryptoassets
- Project profile: New VA licensing regimes: dealing, custody, advisory and management
- Case 1: Virtual-asset custody for private banking

BUSINESS LINE · ISSUE · DISTRIBUTE · HOLD · SETTLE AND PAY

Digital bonds: arranging and custody

IN FORCE

In this line a bank arranges, sells, holds or invests in bonds recorded on distributed ledger technology (DLT), a shared digital record CONCEPT.

At a glance

Item	Detail
Bank role	Arranger; distributor; custodian for investors; investor
Client segments	Corporate, institutional, private banking
Value chain	Issue, Distribute, Hold, Settle and pay
Regulatory gate	Existing securities licences and offering rules apply to digital bonds ¹⁴³⁰ . A bank should notify the Securities and Futures Commission (SFC) and the Hong Kong Monetary Authority (HKMA) in advance ⁵⁵⁸
Status as of 25 Sep 2026	In force ¹⁵⁸⁴
Related modules	C5, B2, E2
Related cases	Case 5: The board's strategic plan

What the bank does

- Arranges issues. For the HKMA's Digital Bond Grant Scheme (DBGS), at least half the lead arrangers need to be recognised arrangers¹³⁹⁸. These are generally arrangers with substantial Hong Kong bond operations¹⁸³⁵.
- Sells to investors. The Government's first tokenised green bond was sold by a group of four banks¹³⁶⁹. Two of them also acted as custodians for investors¹³⁶⁹.
- Holds bonds for clients. Project Evergreen was the Government's 2023 tokenised bond. In it, only custodians that were members of the Central Moneymarkets Unit (CMU), the HKMA's bond settlement system, could open token accounts¹⁴²⁸. Other investors held through those custodians¹⁴²⁸.
- Checks the product. The SFC reminds intermediaries to do due diligence on the issuer and on the vendors that run the token set-up¹⁸³⁶.
- Judges complexity. The SFC expects an intermediary to judge whether a tokenised bond is complex by looking at the plain bond underneath¹⁸³⁷.
- Sells beyond professional investors. The SFC sees no need for a blanket professional-investor-only limit

on tokenised securities ¹⁸³⁸. Public offering rules still apply ¹⁸³⁹.

Revenue levers

- Arranging fees are usually a small share of the amount raised, paid by the issuer CONCEPT.
- Custody fees are usually a small yearly share of the bonds held for the client CONCEPT.
- The DBGS pays back half of an issuer's eligible costs, up to HK\$2.5 million per issue ¹³⁹⁷. Eligible costs include fees to Hong Kong-based arrangers and to ledger platform providers ¹³⁹⁹.

Cost and capital drivers

- Settlement finality: trades settled through the CMU are final by law, so a participant's insolvency cannot reverse them ¹³⁸⁰. Another ledger platform gets this only if the HKMA designates it ¹³⁸⁴. Otherwise the parties rely on their contracts ¹⁸⁴⁰.
- Grant conditions: among other things, the full grant needs an issue of at least HK\$1 billion and five or more unrelated investors ¹⁴⁰⁶. It also needs a listing on the Hong Kong stock exchange or an SFC-licensed virtual asset trading platform ¹⁴⁰⁶.
- Technology: the bank builds its own ledger links or pays a platform provider CONCEPT.

- Risk controls: the SFC expects intermediaries to manage ownership and technology risks on top of normal bond rules ¹⁸⁴¹.

Official signals

- The 2026 Policy Address says digital bonds issued in Hong Kong took nearly 50% of the global market over 2025 and the first half of 2026 ⁵⁶⁹.
- The Government's November 2025 digital green bond raised about HK\$10 billion, with over HK\$130 billion of orders ¹⁸⁴². The Government said it was the first digital bond in the world to offer settlement in tokenised central bank money (digital cash issued by a central bank) ⁵⁶⁶.
- In June 2026 the Hong Kong Mortgage Corporation (HKMC) priced about HK\$12 billion of digital bonds ⁵⁶¹. Settlement fell from five business days to three ⁵⁶⁴.
- In the 2026-27 Budget, the Financial Secretary said the Government will keep issuing tokenised bonds regularly ¹⁴⁰².
- CMU OmniClear (the HKMA's bond-settlement company) is to set up a digital asset platform for bond issuance and settlement in 2026 ⁵⁸⁸.
- The Companies Registry confirmed that a register of debenture holders (bond investors) kept on a ledger

can meet company-law record rules ¹⁸⁴³.

Industry benchmarks

- The Bank for International Settlements (BIS), 2025 staff bulletin (global, reported): about US\$8 billion of tokenised bonds had been issued by July 2025 ¹⁵⁷⁹. The authors call their evidence suggestive; their matched sample has 39 bonds ¹⁵⁷⁹.
- The same BIS bulletin found average bid-ask spreads of about 19 basis points for tokenised bonds, against 30 for matched plain bonds ¹⁴⁰³. A bid-ask spread is the gap between buying and selling prices; a basis point is one hundredth of a percentage point.
- The Global Financial Markets Association (GFMA) 2025 report (global) relays a modelled estimate by Ripple and Boston Consulting Group ¹³⁸². That estimate says tokenising an investment-grade bond can cut operating costs by 40–60% against a traditional issue ¹³⁸².

Analysis

ANALYSIS — NOT OFFICIAL

Question: Is a digital bond desk a new source of fees, or the same arranging and custody fees earned

through new technology?

How to think about it:

- Same-fee view: the issuer pays for arranging, selling and custody as with a plain bond. The ledger changes how the bond is recorded and settled, not the price.
- Share view: the grant's Hong Kong test counts recognised arrangers¹³⁹⁸. Do arranging jobs then go mainly to banks already on that list that are also CMU custodians?
- Cost view: faster settlement and fewer manual steps can lower the bank's own running cost per issue.
- Example (illustrative): if a desk arranges 4 issues a year at an unchanged fee rate, any gain comes from less staff time per deal.

What it depends on: the number of issuers beyond the public sector; how many issuers use the grant; investor demand to trade after issue; platform and custody fees.

Official signposts: regular Government issuance¹⁴⁰²; the CMU OmniClear platform⁵⁸⁸; the second-phase legal review¹⁶⁵⁹.

What this is not: Not a forecast, not advice, and not the regulator's view.

Read next

- Module C5 Tokenisation: tokenised products, deposits and bonds
- Module B2 Engaging the HKMA and SFC
- Module E2 Wholesale money, CBDC and cross-border projects (CBDC: central bank digital currency)
- Project profile: Digital bonds: Genesis, Evergreen and the public-sector issues
- Project profile: Digital Bond Grant Scheme (DBGS)
- Project profile: CMU OmniClear digital asset platform and tokenised Exchange Fund Bills
- Project profile: Tokenised Bond Expert Group and the DLT fixed-income law review
- Case 5: The board's strategic plan

BUSINESS LINE · ISSUE · HOLD · SETTLE AND PAY

Infrastructure as a service

PILOT

A bank can run, or sell access to, the technology behind digital assets: shared ledgers, token-issuing tools, custody systems and settlement links.

CONCEPT

At a glance

Item	Detail
Bank role	Platform operator; technology provider; settlement bank; custodian for other firms
Client segments	Corporate, institutional, fintechs
Value chain	Issue, Hold, Settle and pay
Regulatory gate	Hong Kong Monetary Authority (HKMA) expectations on distributed ledger technology (DLT) and custody. The HKMA also expects banks to discuss new digital-asset activities with it before launch ^{1844,129}
Status as of 25 Sep 2026	Pilot ¹¹¹³
Related modules	B3, C3, C5, D4, E2
Related cases	Case 4: The night the hot wallet emptied

What the bank does

- A bank can test DLT projects with a dedicated HKMA team in the Supervisory Incubator.²⁴² The HKMA may give some supervisory flexibility, decided case by case.²²⁸
- In the Ensemble Sandbox, banks connected their own tokenised deposit platforms to an HKMA settlement set-up.¹²³⁵ A tokenised deposit is a bank deposit recorded as a token on a shared ledger.

CONCEPT

- As a general principle, a bank may hand virtual-asset (VA) custody to only three kinds of firm.²⁷⁰ The first is another bank, or a subsidiary of a locally incorporated bank.²⁷⁰ The second is a VA trading platform holding a Securities and Futures Commission (SFC) licence.²⁷⁰ The third is an HKMA-licensed stablecoin issuer, for its own coins and with HKMA consent.²⁷⁰
- Issuing on a DLT platform run by the Central Moneymarkets Unit (CMU) is one route into the Digital Bond Grant Scheme (DBGS).¹³⁸⁸
- The HKMA formed the Ensemble Architecture Community in May 2024 to write industry standards.¹⁴⁵⁴ The standards aim to link wholesale central bank digital currency (CBDC), tokenised money and tokenised assets.¹⁸⁴⁵

Revenue levers

- Software as a service (SaaS) means a client rents a platform instead of building its own, often for a base fee plus a usage fee. **CONCEPT**
- Other banks can outsource VA custody to a bank, which makes custody a service one bank can sell to another. ²⁷⁰
- DBGS grants can repay issuers' fees to DLT platform providers that are not the issuer's associates (firms linked to the issuer). ¹⁸⁴⁶ The full grant, up to HK\$2.5 million per issue, needs such an outside platform, among other conditions. ¹⁸⁴⁷
- A settlement bank can charge for moving tokenised money between parties, or keep the balances that clients hold with it. **CONCEPT**

Cost and capital drivers

- The HKMA's DLT note puts responsibility on the board and senior management. ¹⁸⁴⁴ It covers network choice, smart contracts, settlement finality and key security. ¹⁸⁴⁴
- A hardware security module (HSM) is a tamper-resistant device that stores keys. **CONCEPT** Banks should check HSM vendors before onboarding and review them regularly. ⁴⁷² A bank's custody

monitoring should cover vendors, blockchain protocols, encryption methods and shared code libraries.¹⁷²⁵

- For tokenised products, banks should check issuers' technology, including smart-contract audits, key management and plans for ledger failure.²⁷²
- For SFC-authorised tokenised products, the product provider stays responsible for the token set-up even if it outsources it.¹⁸⁴⁸ On SFC request, it should get an outside audit of the set-up and its smart contracts.¹⁸⁴⁹
- The HKMA has launched a Quantum Preparedness Index to guide the industry on upgrading encryption.¹⁸⁵⁰
- The HKMA plans a Fintech Cybersecurity Baseline for technology firms that serve banks with DLT and artificial intelligence tools.¹⁸⁵¹

Official signals

- EnsembleTX (the live pilot of the HKMA's Project Ensemble) is to run throughout 2026.¹¹¹³ It is to move step by step to round-the-clock settlement in tokenised central bank money.¹¹¹³
- EnsembleTX named 13 other industry pioneers besides its banks, including asset managers,

technology firms and Hong Kong Exchanges and Clearing (HKEX). ¹⁸⁵²

- In November 2025 the HKMA announced that HKEX would take a 20% stake in the holding company of CMU OmniClear (the CMU's operator). ¹³⁷⁴ The Exchange Fund would hold 80%. ¹³⁷⁴ Assets held in the CMU were about HK\$5 trillion at end-September 2025. ¹⁸⁵³
- CMU OmniClear is to set up a digital asset platform in 2026 for issuing and settling digital bonds. ¹⁵⁵ It is to be widened to other digital assets and linked to other platforms in the region. ¹⁵⁵
- HKEX is building a blockchain-based tokenisation platform for many asset types, which already holds carbon credits. ¹⁶⁴²
- In an HKMA stock-take run in January 2025 and published in July 2025, 45% of respondents had adopted DLT, up from 30% in 2022. ¹⁵⁷⁷

Industry benchmarks

- OSL Group Limited (OSL) is a Hong Kong-listed platform group. It reported 2025 SaaS and related income of HK\$133.1 million, against HK\$91.6 million in 2024. ⁴⁴⁵ These are group figures, not Hong Kong only.

- OSL's 2025 annual report says its SaaS fees are typically based on a base fee plus the trading volume of the client's platform.¹⁷⁰⁶
- KPMG (a professional services firm) published a 2026 Hong Kong banking report through KPMG China.¹⁷⁰³ Its commentary says spending on technology, talent and cybersecurity can look like cost rather than value in the short term.¹⁷⁰³ KPMG sells advisory services to banks.

Analysis

ANALYSIS — NOT OFFICIAL

Question: When does running shared digital-asset infrastructure pay back for a bank, compared with renting it?

How to think about it:

- Building a platform has a high fixed cost and a low cost per extra client. So the number of clients decides whether it pays back.
- Public platforms, such as the planned CMU OmniClear platform, can compete with a bank platform or connect to it.
- Clients that rent the platform stay answerable to their own regulators. How much due diligence and audit work then comes with each sale?

- Renting avoids the build cost but leaves the bank reliant on a vendor that then needs close monitoring.

What it depends on: the number of client firms; standards that let platforms connect; vendor and audit costs; how liability for failures is shared.

Official signposts:

- The CMU OmniClear digital asset platform. ¹⁵⁵
- Round-the-clock settlement in EnsembleTX. ¹¹¹³
- Standards from the Ensemble Architecture Community that let platforms connect (interoperability). ¹⁸⁵⁴

What this is not: not a forecast, not advice and not the regulator's view.

Read next

- Module B3 Governance, risk and technology expectations
- Module C3 Custody of digital assets and key management
- Module C5 Tokenisation: tokenised products, deposits and bonds
- Module D4 Cyber, fraud and technology risk

- Module E2 Wholesale money, CBDC and cross-border projects
- Project profile: Project Ensemble
- Project profile: CMU OmniClear digital asset platform and tokenised Exchange Fund Bills
- Project profile: Supervisory Incubator for DLT
- Project profile: Digital Bond Grant Scheme (DBGS)
- Case 4: The night the hot wallet emptied

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BUSINESS LINE · ISSUE · DISTRIBUTE · TRADE · HOLD · SETTLE AND PAY · FINANCE

Stablecoin roles for banks

IN FORCE

A bank can issue a stablecoin, hold the issuer's reserves, sell or trade the coin, or lend against it

CONCEPT.

At a glance

Item	Detail
Bank role	Issuer; reserve bank and custodian; distributor and dealer; lender that takes coins as collateral
Client segments	Retail, private banking, corporate, institutional, fintechs
Value chain	Issue, Distribute, Trade, Hold, Settle and pay, Finance
Regulatory gate	Issuing needs a stablecoin issuer licence from the Hong Kong Monetary Authority (HKMA). ¹⁸⁵⁵ Banks may offer licensed coins to investors as 'permitted offerors' (firms the law allows to offer stablecoins). ¹⁸⁵⁶
Status as of 25 Sep 2026	In force ⁵¹²
Related modules	C4, C1, C6, D1, D3
Related cases	Case 3: The reserve bank that also sells the coin

What the bank does

A stablecoin is a token meant to keep a steady value against a currency CONCEPT.

- **Issue.** A bank may apply for an issuer licence. A bank incorporated overseas does not need a Hong Kong subsidiary. ¹⁸⁵⁷
- **Hold reserves.** The HKMA says issuers should appoint qualified custodians (firms that safekeep assets) for reserves. A licensed bank is one eligible custodian. ¹⁵¹⁴
- **Take reserve deposits.** Reserves may include bank deposits with terms of up to three months. ¹⁵¹⁵ In June 2026 the Government said that, under HKMA rules, issuers place reserve assets with banks in Hong Kong. ⁵⁰⁹
- **Sell.** Banks are one of five types of permitted offeror. They may offer licensed coins to retail and professional investors. ¹⁸⁵⁶
- **Deal.** A bank registered with the Securities and Futures Commission (SFC) is a registered institution (RI). An RI may deal in licensed coins through the issuer or a licensed virtual asset trading platform (VATP). ¹⁸⁵⁸
- **Lend.** An RI may choose to accept crypto as collateral for loans. If so, the HKMA says eligible

collateral should be only bitcoin, ether and licensed coins.⁶⁴⁵ The RI should apply a prudent haircut (a discount on the collateral's value).⁶⁴⁵

Revenue levers

- **Reserve deposits.** A bank holding reserve deposits earns the gap between what it earns on the money and what it pays for it CONCEPT.
- **Issuer income.** An issuer that pays holders nothing keeps the return on its reserves, less its costs CONCEPT. The Stablecoins Ordinance bars issuers from paying interest to holders.⁴⁹⁹
- **Custody and sales fees.** A custodian charges fees on the value it holds, and a seller earns a commission or a price spread CONCEPT.
- **Payments.** A bank can charge fees for moving money into and out of coins CONCEPT. Both licensed issuers plan cross-border payments, local payments and settling tokenised asset trades.⁵⁰⁷

Cost and capital drivers

- **Issuer capital.** A licensed issuer must keep paid-up capital of at least HK\$25 million, or other approved resources of the same amount.¹⁶⁰³ A bank licensee is exempt and follows the Banking Ordinance instead.

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- **Redemption.** Issuers must let holders redeem at par (face value).⁵⁰⁸ Valid requests should be processed within one business day unless the HKMA approves otherwise.¹⁸⁵⁹
- **Liquidity.** The liquidity coverage ratio (LCR) tests whether a bank has enough liquid assets for a short stress period. A category 1 bank (one that must meet the LCR) that issues a coin redeemable in that period must generally assume that the whole amount flows out.⁵⁰⁶ A category 1 bank holding such a coin generally counts no cash inflow from it.⁵¹⁴
- **Capital.** HKMA guidance puts stablecoins with effective stabilisation (a working way to keep their value steady) in Group 1b, one of the capital groups for cryptoassets. Group 1 assets generally need the same capital as the traditional assets they are linked to.¹²¹⁸
- **Anti-money laundering (AML).** An issuer should check customers before a one-off (occasional) transaction of HK\$8,000 or more.¹⁸⁶⁰ For transfers at or above that amount, the sending firm must obtain and record fuller sender and recipient data.¹⁸⁶¹

Official signals

- The HKMA received 36 first-batch applications by 30 September 2025. It licensed two issuers on 10 April

2026.¹⁶³¹

- The register lists two licensees from 10 April 2026: Anchorpoint Financial Limited (FRS01) and The Hongkong and Shanghai Banking Corporation Limited (FRS02).⁶⁰
- Both issuers plan Hong Kong dollar coins first.⁵⁰⁷
- On 28 April 2026 both licensees confirmed they had not yet issued regulated stablecoins.⁵⁴¹
- In April 2026 the HKMA expected launch between mid-2026 and the second half of 2026, based on the issuers' plans.¹⁸⁶²
- On 16 September 2026 a Government spokesman said the first regulated stablecoin in Hong Kong had launched in August 2026.⁵⁰³ The official sources reviewed do not name the issuer.
- The Government said any further licences will stay very limited in number.⁸⁰

Industry benchmarks

- The Bank for International Settlements (BIS) gave a global, reported market figure in its 2026 Annual Economic Report. It put stablecoin value at about US\$320 billion at end-May 2026.⁵¹³
- A 2025 BIS Bulletin, also global in scope, reported that two issuers held about 90% of stablecoin value

in mid-2025. ¹⁸⁶³

- Circle Internet Group, a US-listed issuer, reported in its own results filing US\$733 million of reserve income for the fourth quarter of 2025. It reported US\$461 million of distribution, transaction and other costs for the same quarter. ¹⁶⁵⁸
- These are global reported figures, not Hong Kong figures.

Analysis

ANALYSIS — NOT OFFICIAL

Question: Which stablecoin role could suit a bank that does not issue a coin?

How to think about it: List each role by what it earns and what it uses up. Reserve banking earns a deposit margin, but the money can leave fast when holders redeem. Selling and dealing earn fees per trade.

They need conduct controls (fair treatment of clients) and AML controls. Lending earns interest and uses capital.

What it depends on: How widely licensed coins circulate after the first launch. How reserve deposit terms fit liquidity limits. Client demand for payment uses. The cost of monitoring transfers.

Official signposts: News of further launches, which the HKMA tied to the issuers' plans.¹⁸⁶² Any further licences.⁸⁰ SFC steps to promote trading of licensed coins on licensed platforms and their use to settle tokenised money market funds.¹⁶⁸

What this is not: Not a forecast, not advice, and not the HKMA's or SFC's view.

Read next

- Module C4 Stablecoins
- Module C1 Selling, dealing and advising on virtual assets
- Module C6 Financing, shared order books and client withdrawals
- Module D1 Capital and prudential treatment of cryptoassets
- Module D3 AML/CFT for digital assets at a bank (AML/CFT: anti-money laundering and counter-

terrorist financing)

- Project profile: Stablecoin issuer regime (Stablecoins Ordinance, Cap. 656)
- Project profile: Relevant Stablecoins: dealing, advice and trading
- Case 3: The reserve bank that also sells the coin

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BUSINESS LINE · HOLD

Staking services

IN FORCE

A bank that holds virtual assets (VAs) for clients may lock them up to help confirm transactions on a blockchain, and pass the rewards to those clients. ²⁰²

At a glance

Item	Detail
Bank role	Custodian that stakes client VAs; staking provider to brokers and funds
Client segments	Retail, private banking, institutional
Value chain	Hold
Regulatory gate	Meet the Hong Kong Monetary Authority (HKMA) staking standards and discuss plans with the HKMA before launch ⁴⁸⁵
Status as of 25 Sep 2026	In force ²⁰²
Related modules	C3, C1, C2, B2, B3
Related cases	Case 6: Stopping a product

What the bank does

- Banks, and subsidiaries of locally incorporated banks, may offer staking from their custody services under HKMA standards dated 7 April 2025. ²⁰²

- Staking means locking tokens so a validator can take part in a proof-of-stake network and earn rewards.
²⁰² A validator runs the computers that confirm new blocks, and puts up tokens as a stake to earn that role. CONCEPT
- The HKMA says a bank must do all reasonable due diligence on a blockchain before it offers staking on it. ¹⁸⁶⁴ The bank must also make sure its controls and systems can support staking on that chain. ¹⁸⁶⁴
- A bank may outsource staking work to a third party. ¹⁸⁶⁵ It should check that provider first and then keep monitoring it. ¹⁸⁶⁵
- Other firms can use a bank as their staking provider. ¹⁸⁶⁶ The Securities and Futures Commission (SFC) sets terms for licensed corporations, such as brokers, and for registered institutions, which are banks registered with it. ¹⁸⁶⁶ Under those terms, they should stake client assets only through an SFC-licensed platform or a bank. ¹⁸⁶⁶
- The SFC may let the virtual-asset funds it authorises stake through licensed platforms or banks. ³⁷⁸ Such funds need prior consultation with, and approval from, the SFC. ³⁷⁸

Revenue levers

- A staking provider can keep a share of the network rewards and pass the rest to the client. It can also charge a fee on staked assets instead. CONCEPT
- The HKMA expects a bank to disclose its staking fees and charges.¹⁸⁶⁷ It should also disclose lock-up and unstaking periods.¹⁸⁶⁷
- Licensed corporations and registered institutions should tell clients the fees agreed with their staking provider and how those fees are worked out.¹⁸⁶⁸
- An SFC-authorised fund that stakes should report the revenue and the direct and indirect costs of its staking.¹⁸⁶⁹
- Staking gives clients a return on assets that would otherwise sit idle in custody. That can help a bank keep custody balances. CONCEPT

Cost and capital drivers

- The HKMA expects a bank to control everything needed to take client assets out of staking.¹⁸⁷⁰ Examples are the withdrawal keys and exit messages signed in advance.¹⁸⁷⁰
- A bank should explain the extra risks of staking.¹⁸⁶⁷ The circular lists slashing risk, lock-up risk, software bugs and hacking among them.¹⁸⁶⁷

Slashing is a network penalty that takes away part of a validator's staked tokens. CONCEPT

- The bank should also say how such losses would be dealt with. ¹⁸⁶⁷ Who bears a slashing loss depends on the contracts between client, bank and validator.

CONCEPT

- Licensed corporations and registered institutions should get a signed risk acknowledgement from most clients. ¹⁸⁷¹ Institutional and qualified corporate professional investors are the exception. ¹⁸⁷¹
- Checking an outside staking provider covers its track record, technology, risk measures and security controls. ¹⁸⁶⁵
- A firm that stops staking should take due account of clients' best interests. ¹⁸⁷² It should explain their options, such as unstaking. ¹⁸⁷²

Official signals

- In April 2025 the SFC set out staking guidance for platforms and funds under the Products pillar of its roadmap. ¹³³⁰
- That SFC roadmap, called ASPIRe, listed staking as something to consider under clear custody and operating rules. ¹⁸⁷³

- In September 2025 the SFC and HKMA said they are now prepared to let intermediaries offer staking.¹⁸¹
- Intermediaries should tell the regulators before they offer staking for the first time.¹⁸⁷⁴
- The HKMA's May 2026 custody guidance asks banks to take account of the SFC's staking terms for platforms.⁴⁶⁵
- In April 2025 the SFC said the virtual-asset funds it authorises are required to stake only through licensed platforms and banks. It added that a cap applies, to manage liquidity risk.⁴⁰²

Industry benchmarks

- HashKey Holdings (HashKey), a Hong Kong-listed platform group, reported group-wide figures in its 2025 annual results. It gave its own measure, a staking "monetization rate", of 0.2%, down from 0.3% in 2024.³⁰⁴ The results do not give its formula. The same report gave average staked assets of about HK\$22.4 billion.³⁰⁴
- HashKey's 2026 interim results, also a company filing, reported average staked assets of HK\$14.8 billion in the first half.¹³³⁶ The same report gave HK\$20.2 billion a year earlier.¹³³⁶
- Coinbase Global's 2025 annual report, global in scope, reported US\$677.4 million of blockchain

rewards revenue for 2025.¹⁸⁷⁵ The same report showed US\$427.5 million of blockchain rewards fees as a cost.¹⁸⁷⁶

- China Asset Management (Hong Kong) published a key facts statement for its Hong Kong-listed ether exchange-traded fund (ETF) in April 2026. It said the fund intends to stake up to 30% of its ether.¹⁸⁷⁷

Analysis

ANALYSIS — NOT OFFICIAL

Question: Is staking a profit line in its own right, or a feature that keeps custody clients?

How to think about it:

- Staking income is roughly staked assets times the network reward rate times the bank's share.

CONCEPT

- Costs include validator fees, key-control systems, disclosure work and handling losses.
- A small share of rewards on a large pool of custody assets can earn more than a large share on a small pool.

What it depends on: network reward rates; token prices; client interest; the share the bank keeps; who bears slashing losses; vendor costs.

Official signposts:

- The SFC staking terms that banks take account of.
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- Notice to regulators before a firm first offers staking.¹⁸⁷⁴
- Faster licensing for banks already assessed for custody.⁴⁴⁴

What this is not: not a forecast, not advice and not the regulator's view.

Read next

- Module C3 Custody of digital assets and key management
- Module C1 Selling, dealing and advising on virtual assets
- Module C2 VA funds and ETFs (VA: virtual asset; ETFs: exchange-traded funds)
- Module B2 Engaging the HKMA and SFC
- Module B3 Governance, risk and technology expectations

- Project profile: ASPIRe: the SFC's virtual-asset roadmap
- Case 6: Stopping a product

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BUSINESS LINE · ISSUE · SETTLE AND PAY

Tokenised deposits and payments

PILOT

A bank can record customer deposits as tokens on a shared digital ledger and use them to pay and settle around the clock.

CONCEPT

At a glance

Item	Detail
Bank role	Issuer; settlement bank; payment provider
Client segments	Corporate, institutional, fintechs
Value chain	Issue, Settle and pay
Regulatory gate	Hong Kong Monetary Authority (HKMA) standards for tokenised products, and talks with the HKMA before launch ¹⁸⁷⁸
Status as of 25 Sep 2026	Pilot ⁵⁶
Related modules	C5, E2, D1, B2
Related cases	Case 2: Tokenised deposits for corporate treasury

What the bank does

- The HKMA's liquidity guidance covers tokens a bank issues that are a legally binding claim on that bank.

⁵⁷¹ To fall in this group, the tokens must be redeemable in cash at face value. ⁵⁷¹

- The HKMA expects a bank to apply its tokenised-products standards when customers place tokenised deposits. ²⁵
- A "Tokenised Deposit Bank" in the HKMA pilot offers tokenised deposits to Hong Kong customers. ¹⁴⁶¹ It also settles tokenised-deposit deals with other banks using real money. ¹⁴⁶¹
- That pilot, EnsembleTX (the live phase of the HKMA's Project Ensemble), started on 13 November 2025. ⁶¹⁵
- Its first uses are paying for tokenised money market fund (MMF) trades and managing liquidity and treasury needs in real time. ⁵⁶³
- Before a full launch, a bank can test its controls in the HKMA's Supervisory Incubator for distributed ledger technology (DLT). ²²⁰ Tokenised deposits were a core focus from its launch. ²²⁰

Revenue levers

- Deposits fund a bank's lending and investing. The gap between what the bank earns on that money and what it pays depositors is its net interest margin. CONCEPT

- Corporate clients can pay fees for services built on tokens, such as automatic sweeps (moving cash between accounts by set rules) and payments that run at set times. CONCEPT
- Tokenised deposits can pay for tokenised fund trades, which is an initial EnsembleTX focus. ⁵⁶³
- The Securities and Futures Commission (SFC) has set out a pilot for 24/7 (round-the-clock) secondary trading of tokenised products. ⁴²⁵ The SFC said trading could use regulated stablecoins and tokenised deposits. ⁴²⁵
- In February 2026 the SFC set out a high-level framework for platforms to offer perpetual contracts (futures with no expiry date). ¹⁸¹⁶ It says margin should be cash, or stablecoins or tokenised deposits regulated by the HKMA. ¹⁸¹⁶

Cost and capital drivers

- The HKMA's liquidity guidance lets a bank that must meet the liquidity coverage ratio (LCR) treat qualifying tokens it issues as deposits or unsecured funding. ⁵⁷¹
- The LCR checks that a bank holds enough easy-to-sell assets to meet cash outflows during a short period of stress. CONCEPT

- The same guidance says these tokens cannot count as stable retail or small business deposits.⁵⁷¹
- If the bank cannot always identify the holders, it must treat the tokens as other unsecured wholesale funding.⁵⁷¹
- If tokens mainly serve payments for wholesale clients with an operational relationship, the guidance says the rules for operational deposits should be followed.⁵⁷¹ Operational deposits are cash that clients keep with a bank for day-to-day clearing and cash management. CONCEPT
- A bank that holds another bank's tokens must treat them like unsecured loans to financial institutions for liquidity purposes.¹⁵⁹⁸
- The HKMA's non-binding DLT note puts full responsibility on the board and senior management.¹⁸⁴⁴ It covers network choice, smart contracts, settlement finality and key security.¹⁸⁴⁴
- Settlement finality is the point where a payment can no longer be reversed. CONCEPT

Official signals

- The HKMA named seven Tokenised Deposit Banks and 13 other industry pioneers for EnsembleTX.⁵⁷⁹
- In October 2025 the HKMA Chief Executive said six banks had launched tokenised deposit services

through the Supervisory Incubator.¹⁸⁷⁹

- EnsembleTX is to run throughout 2026.¹¹¹³ Banks settle with each other first through the Hong Kong dollar Real Time Gross Settlement (RTGS) system.¹¹¹³
- The HKMA plans a step-by-step upgrade to round-the-clock settlement in tokenised central bank money.¹¹¹³
- The 2026 Policy Address says the HKMA plans to add settlement in central bank digital currency (CBDC) by around end-2026.¹⁵⁷ It also plans to run EnsembleTX 24/7 by then.¹⁵⁷
- The HKMA is to study trade-finance uses of tokenised deposits with the Mainland, with pilot deals to be done by end-2026.¹¹⁰³
- In June 2026 an HKMA seminar for corporate treasurers drew over 150 people, including staff of about 50 corporates and 30 financial institutions.¹⁸⁸⁰

Industry benchmarks

- KPMG China (KPMG), an accounting and advisory firm that sells services to banks, published its Hong Kong Banking Report in 2026. In the report's commentary (an opinion, not a measured figure), it said most digital-asset work is still small beside traditional banking.¹⁸⁸¹

- The same 2026 KPMG commentary says many local and regional Hong Kong banks are waiting to see how the market develops.¹⁷⁰³ It notes that spending on technology, talent and compliance can look like cost, not value, in the short term.¹⁷⁰³
- No reliable industry figure for tokenised-deposit volumes or fees in Hong Kong was found.

Analysis

ANALYSIS — NOT OFFICIAL

Question: Do tokenised deposits earn new money, or mainly protect deposits and payment business the bank already has?

How to think about it:

- Split the value into three parts: deposit balances kept or won, fees for treasury services, and a role in settling tokenised assets.
- Set that against build costs, links to other banks, and the liquidity treatment of the tokens.
- Ask how much of the value is defensive: balances the bank keeps that might otherwise leave, even if the product's own fee income is small.

What it depends on: corporate demand for round-the-clock payments; how many banks connect; whether holders can be identified; the pace of

stablecoin use.

Official signposts:

- Plans for CBDC settlement and 24/7 running of EnsembleTX. ¹⁵⁷
- The trade-finance pilot with the Mainland. ¹¹⁰³
- The SFC's round-the-clock trading pilot for tokenised products. ⁴²⁵

What this is not: not a forecast, not advice and not the regulator's view.

Read next

- Module C5 Tokenisation: tokenised products, deposits and bonds
- Module E2 Wholesale money, CBDC and cross-border projects
- Module D1 Capital and prudential treatment of cryptoassets
- Module B2 Engaging the HKMA and SFC
- Project profile: Project Ensemble
- Project profile: Supervisory Incubator for DLT
- Project profile: e-HKD (digital Hong Kong dollar)
- Case 2: Tokenised deposits for corporate treasury

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BUSINESS LINE · DISTRIBUTE · TRADE · HOLD · SETTLE AND PAY

Tokenised funds and money market fund settlement

IN FORCE

In this line a bank sells, trades, settles or holds fund units kept as tokens on a shared ledger, such as a tokenised money market fund (MMF) CONCEPT.

At a glance

Item	Detail
Bank role	Distributor; connecting broker; settlement bank; custodian
Client segments	Retail, private banking, corporate, institutional
Value chain	Distribute, Trade, Hold, Settle and pay
Regulatory gate	Sellers should be firms that the Securities and Futures Commission (SFC) has licensed or registered, applying normal suitability checks ⁴¹⁰ . A bank should tell both the SFC and the Hong Kong Monetary Authority (HKMA) in advance ⁵⁵⁸
Status as of 25 Sep 2026	In force ¹⁵⁸³
Related modules	C5, C2, C7, E2
Related cases	Case 5: The board's strategic plan

What the bank does

- Sells tokenised funds. The SFC expects sellers of tokenised SFC-authorised products to be licensed or registered firms ⁴¹⁰. They apply the usual client checks and suitability tests ⁴¹⁰.
- Passes client orders to a licensed trading platform, as a "Connecting Broker" ¹⁸⁸². It should show a warning when the trade price strays far from the fund's value per unit, its net asset value (NAV) ¹⁸⁸³. It should also tell those clients they can subscribe or redeem directly with the fund at NAV instead ¹⁸⁸⁴.
- Settles fund trades with tokenised deposits (bank deposits recorded as tokens). The first focus of EnsembleTX (the HKMA's live tokenisation pilot) is tokenised deposits used in tokenised MMF trades ⁵⁶³.
- Accepts virtual assets (VAs) as payment for fund units. The SFC and HKMA do not treat this as a virtual-asset dealing service ¹⁸⁸⁵. The bank should notify the SFC and the HKMA in advance ¹⁰⁰³.
- Lends against the units. The HKMA says the rule barring client financing for virtual-asset (VA) purchases does not apply to buying tokenised products ¹⁸⁸⁶.

Revenue levers

- **Distribution fees:** the fund manager often shares part of its yearly management fee with the selling bank **CONCEPT**.
- **Brokerage:** the bank can charge a commission on each secondary trade it passes to a platform **CONCEPT**.
- **Market making:** the SFC expects product providers to try to have at least one market maker per product¹⁸⁸⁷. A market maker earns the gap between its buying and selling prices **CONCEPT**.
- **Settlement balances:** cash held as tokenised deposits for fund trades can add to the bank's deposit base **CONCEPT**.
- **Custody:** a bank can charge a yearly fee for holding tokens for clients **CONCEPT**.

Cost and capital drivers

- **Price data:** platforms and Connecting Brokers should show an indicative NAV, typically updated at least every 15 seconds in trading hours⁴¹⁴.
- **Risk disclosure:** they should explain liquidity and price-gap risks and get client confirmation³⁸⁴.
- **Notifications:** a bank planning over-the-counter (off-platform) secondary trading should notify and

discuss its plan with the SFC before it starts ¹⁸⁸⁸. It should also notify the HKMA ⁶⁰⁷.

- **Product oversight:** the fund manager stays responsible for the token set-up, even if it outsources parts ¹⁸⁴⁸. It should not use public blockchains that anyone can join without extra controls ¹⁸⁸⁹.
- **Systems:** linking token wallets to fund records, payment systems and client reports is a fixed build cost CONCEPT.

Official signals

- SFC-authorised tokenised retail money market funds (MMFs) held HK\$8.66 billion at end-2025, up 14% on the quarter ³⁸⁰.
- In March 2026 the public in Hong Kong could buy 13 tokenised products ⁴²⁶. Their tokenised classes held about HK\$10.7 billion ⁴²⁶. That was about seven times the level a year earlier ⁴²⁶.
- The SFC authorised three retail tokenised MMFs in early 2025 ¹⁸⁹⁰. The Government called them the first in Asia-Pacific ¹⁸⁹⁰.
- The SFC stated that the first products under its April 2026 trading framework are expected to be tokenised MMFs ³⁸³. It will review how they operate before it considers a wider product range ³⁸³.

- The 2026 Policy Address says the SFC will promote regulated stablecoins for settling tokenised MMFs¹⁶⁸.
- The same Policy Address says the HKMA plans central bank digital currency settlement and round-the-clock operation under EnsembleTX by around end-2026¹⁵⁷.

Industry benchmarks

- The Bank for International Settlements (BIS), 2025 staff bulletin (global, reported): tokenised MMFs on public blockchains held almost US\$9 billion by end-October 2025¹⁴⁵⁷. That was up from about US\$770 million at end-2023¹⁴⁵⁷.
- The same BIS bulletin notes that some institutional-only funds set a minimum investment of US\$5 million¹⁴⁵⁷.
- RWA.xyz, a data provider for real-world assets (RWA), showed about US\$14.94 billion of tokenised US Treasury products on 26 September 2026 (global, reported, live data)¹⁸⁹¹. This covers tokenised Treasury bills, notes and bonds as well as MMFs.

Analysis

ANALYSIS — NOT OFFICIAL

Question: Is tokenised MMF work a distribution business, or a way to win settlement cash and deposits?

How to think about it:

- **Distribution view:** the bank gets a share of the fund's fees, as with ordinary units, plus brokerage on platform trades.
- **Settlement view:** each subscription and redemption moves cash; tokenised deposits can keep that cash inside the bank.
- **Cost view:** NAV price feeds, price-gap warnings and client confirmations are fixed costs spread over trading volume.
- **Example (illustrative):** if the same client moves HK\$10 million a month through the fund, the settlement cash can matter more than the fee share.

What it depends on: growth of tokenised fund assets; whether stablecoins or tokenised deposits settle the trades; secondary trading volumes; fee sharing with fund managers.

Official signposts: the SFC's review before widening the product range ³⁸³; stablecoin settlement of tokenised MMFs ¹⁶⁸; EnsembleTX round-the-clock operation ¹⁵⁷.

What this is not: Not a forecast, not advice, and not the regulator's view.

Read next

- Module C5 Tokenisation: tokenised products, deposits and bonds
- Module C2 VA funds and ETFs (ETFs: exchange-traded funds)
- Module C7 VATP counterparties and the SFC platform regime (VATP: virtual asset trading platform)
- Module E2 Wholesale money, CBDC and cross-border projects (CBDC: central bank digital currency)
- Project profile: Project Ensemble
- Case 5: The board's strategic plan

BUSINESS LINE · FINANCE · SETTLE AND PAY

Trade finance and electronic bills of lading

EXPLORATORY

In this line a bank finances trade using digital records, such as shared cargo data, electronic trade documents and tokenised money. CONCEPT

At a glance

Item	Detail
Bank role	Trade financier; payment bank; data user; pilot participant
Client segments	Corporate, small and medium-sized firms, institutional
Value chain	Finance, Settle and pay
Regulatory gate	Banks placing customer tokenised deposits should follow the Hong Kong Monetary Authority (HKMA) tokenised-products circular ¹⁸⁹² . They should discuss plans with the HKMA first ²¹⁵
Status as of 25 Sep 2026	Exploratory ¹¹³⁵
Related modules	E2, C5, C4, B2
Related cases	none

What the bank does

- Tests trade use cases in Project Ensemble, the HKMA's tokenisation project. Its sandbox has a trade theme covering supply chain finance and trade payments ¹⁶⁵².
- Draws on cargo data through Project Cargo x, an HKMA trial with private firms ¹⁸⁹³. The trial uses the Commercial Data Interchange (CDI), an HKMA data-sharing system ¹⁸⁹⁴. It aims to cut the credit costs and handling time that banks and small firms face ¹⁸⁹⁴.
- Explores electronic bills of lading (eBL), the shipping documents that give control of goods. Under a March 2026 agreement with Shanghai bodies, the HKMA is to explore eBL use under Project Ensemble ¹¹³⁵.
- Pays in tokenised deposits for corporate clients. For the issuing bank, the HKMA says such deposits should get the operational-deposit liquidity treatment. This applies where they are mainly a means of payment within an operational relationship with wholesale clients ⁵⁷¹.

Revenue levers

- A trade financier earns interest on the funds it advances and fees for handling documents. CONCEPT

- Trusted shipment data can let a bank lend with less manual checking, which lowers cost per deal.
CONCEPT
- Payment and foreign exchange fees come with the trade flow the bank finances. **CONCEPT**
- Programmable payments release money when agreed conditions are met, such as proof of delivery.
CONCEPT

Cost and capital drivers

- Controls: for tokenised products, the HKMA expects due diligence, disclosure and risk management ¹⁸⁹⁵.
- Compliance: in the 2022 mBridge report, each bank ran its own anti-money laundering and sanctions checks off the cross-border platform ¹¹³⁶. Each bank did so before sending or confirming a payment ¹¹³⁶.
- Technology: links to the CDI, the Port Community System and partner ledgers need building and testing. **CONCEPT**
- Legal: a lender needs the law to treat a digital document like the paper one. **CONCEPT** The 2026 Policy Address states the Government will introduce a bill on digital business-to-business trade documents in 2026 ¹⁸⁹⁶.

Official signals

- The Port Community System (a shared logistics data platform) had over 8,000 registered firms in 2026 ¹⁸⁹⁷. Firms had made more than 20 successful trade-finance applications using its cargo-flow data ¹⁸⁹⁷.
- The HKMA is to study trade-finance uses of tokenised deposits with the Mainland, with pilot deals done by end-2026 ¹¹⁰³.
- The Trade Single Window is to connect with the CDI in mid-2027, so banks can refer to trade data on finance applications ¹⁶⁶².
- The HKMA and Banco Central do Brasil agreed in 2024 to link their pilot platforms to test settlement uses, including trade finance ¹¹³⁴.
- The 2025 Policy Address said the HKMA and Banco Central do Brasil would test eBL and tokenised deposits for commodity trade ¹⁸⁹⁸.
- In 2024 the HKMA and the Bank of Thailand agreed to explore cross-border tokenisation uses, including trade payments ¹⁸⁹⁹.

Industry benchmarks

No reliable industry benchmark was found for Hong Kong.

Analysis

ANALYSIS — NOT OFFICIAL

Question: Does digital trade finance mainly cut a bank's cost per deal, or does it open lending to firms the bank could not serve before?

How to think about it:

- **Cost view:** data and digital documents replace manual checks. Savings depend on how many deals move off paper.
- **Reach view:** trusted cargo data may let the bank judge small firms creditworthy, using evidence it did not have before.
- **Settlement view:** tokenised deposits and conditional payments can release money when a shipment reaches an agreed point. In this view, the bank earns on payment flow as well as on credit.

What it depends on: legal recognition of electronic documents; how many shippers and banks join shared data systems; links with Mainland and overseas platforms.

Official signposts: the trade-documents bill ¹⁸⁹⁶; tokenised-deposit trade pilots ¹¹⁰³; the Trade Single Window link to the CDI ¹⁶⁶².

What this is not: Not a forecast, not advice, and not the regulator's view.

Read next

- Module E2 Wholesale money, CBDC and cross-border projects (CBDC: central bank digital currency)
- Module C5 Tokenisation: tokenised products, deposits and bonds
- Module C4 Stablecoins
- Module B2 Engaging the HKMA and SFC (SFC: Securities and Futures Commission)
- Project profile: Project Ensemble
- Project profile: Project mBridge
- Project profile: Government policy statements and Policy Address items
- Business line: Tokenised deposits and payments

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BUSINESS LINE · TRADE

Virtual-asset dealing

IN FORCE

A bank buys and sells virtual assets for clients through platforms that hold a Securities and Futures Commission (SFC) licence.⁴⁷

At a glance

Item	Detail
Bank role	Broker that deals for clients
Client segments	Retail, private banking, institutional
Value chain	Trade
Regulatory gate	Registration for Type 1 (dealing in securities), plus SFC conditions for virtual asset (VA) dealing ¹⁹⁰⁰
Status as of 25 Sep 2026	In force ⁴⁷
Related modules	C1, C7, C6, D1, D3, B2, E1
Related cases	Case 4: The night the hot wallet emptied

What the bank does

- A bank registered with the SFC is a registered institution (RI). An RI can introduce clients to a licensed virtual asset trading platform (VATP), or

trade for them through one pooled (omnibus) account there. ⁴⁷

- The RI should offer the service only to clients of its Type 1 business. ⁷⁰⁶ An RI dealing only in Relevant Stablecoins is not limited in this way. ¹⁴⁹⁴ These are stablecoins issued under a licence from the Hong Kong Monetary Authority (HKMA). ¹⁸
- When it only introduces clients (as an introducing agent), the bank should not pass client orders to the platform or hold client money or tokens. ¹⁹⁰¹
- Since May 2026, an RI may deal in a Relevant Stablecoin with its licensed issuer. It may also serve retail clients through a VATP licensed only for professional investors, if those clients trade only tokens the platform admitted for retail. ²⁰⁸
- An RI may trade for clients on a shared order book, which links a platform's order book with those of its global affiliates. ¹⁹⁰² Retail clients may join only after a clear risk explanation and their express choice. ⁶⁶⁸ The HKMA applies this SFC guidance to registered institutions. ¹⁹⁰³

Revenue levers

- Clients pay a commission, or a spread (the gap between the buying and selling price), on each trade. CONCEPT

- Dealing income equals client trading volume times the fee rate the bank keeps after the platform's own charge. CONCEPT
- Client token deposits and withdrawals should go only through segregated accounts at the partner platform or at a bank meeting HKMA custody standards.³³¹ A bank that also offers custody can charge a holding fee on the same client assets.

CONCEPT

Cost and capital drivers

- Before serving retail clients, the bank should check each client's VA knowledge and risk tolerance. It should also set an exposure limit based on the client's finances, including net worth.¹⁹⁰⁴
- Every RI needs at least two executive officers for each regulated activity, each with the Monetary Authority's written consent.²³²
- Where clients move tokens in or out, the bank should follow Chapter 12 of the SFC's anti-money laundering (AML) guideline.³³¹ SFC withdrawal safeguards then apply on top of HKMA e-banking and technology risk rules.¹⁹⁰⁵
- Group 2b cryptoassets (the riskiest capital class) take a 1,250% risk weight.¹⁵⁸⁷ The minimum total capital ratio is 8%.⁶⁶ So $1,250\% \times 8\% = 100\%$: at the

minimum, the bank holds capital equal to the whole exposure. A capital charge is set against assets the bank itself holds, so it matters most when a bank trades on its own account. CONCEPT

- Under the planned regime, licence and annual fees for VA dealing would be set by reference to Type 1 fees.¹⁶⁰⁵ The conclusions also state that the SFC plans to require VA dealers to keep client tokens with SFC-regulated custodians.¹¹¹⁷

Official signals

- The SFC's list showed 13 licensed platforms at its 29 May 2026 update.³⁰³
- Firms already providing VA dealing, including registered institutions, are to get a faster approval process when the new dealing regime starts.¹⁸⁵
- The Government and the SFC do not plan to treat existing VA dealers as licensed while they apply.⁸¹ The regime takes full effect on its start date.⁸¹ Providers that do not contact the SFC or HKMA for pre-application would have to stop when the regime starts.¹⁹⁰⁶
- In June 2026 the Government said it and the SFC would bring a bill before the Legislative Council during 2026. It would cover VA dealing, custody,

advice and management.¹⁵⁸⁶ The start date of the dealing regime is not set.¹²¹

- Under the June 2025 consultation proposals, the SFC would set the standards and the HKMA would be the frontline regulator for registered banks.¹¹⁰⁶
- The 2026 Policy Address says the SFC will enhance VA licensing regimes and issue guidelines that set out a clear path to compliance.¹⁵⁶⁶

Industry benchmarks

- HashKey Holdings Limited (HashKey) runs an SFC-licensed platform. It reported 2025 omnibus client volume of about HK\$86.4 billion, against HK\$11.7 billion in 2024.¹⁹⁰⁷ This is a reported group figure covering Hong Kong and other markets.¹⁹⁰⁷
- HashKey's 2025 annual results (group, reported) give HK\$522.8 million of revenue from its trading services segment.¹⁵⁸⁰ The same results give HK\$590.8 billion of trading volume for those services.¹⁵⁸⁰ We worked out the ratio ourselves from those two figures: HK\$522.8 million of revenue on HK\$590.8 billion of volume is about 0.09%. HashKey does not publish this ratio. It is our own sum, not an estimate by any publisher.
- Coinbase Global's 2025 annual report covers a mainly US business (global scope, reported).¹⁹⁰⁸ It

gives US\$3,322.8 million of net consumer transaction revenue on US\$239 billion of consumer volume.¹⁹⁰⁸ It gives US\$479.7 million of net institutional transaction revenue on US\$982 billion of institutional volume.¹⁹⁰⁸ Our own sums from those figures give about 1.39% for consumer trades and about 0.049% for institutional trades. Coinbase does not publish these ratios, and they are not Hong Kong benchmarks.

Analysis

ANALYSIS — NOT OFFICIAL

Question: How much client trading does an omnibus dealing service need to cover its fixed compliance costs?

How to think about it: Split costs into fixed and variable parts. Fixed costs include executive officers, platform due diligence, AML checks on token movements and record keeping. Income is client volume times the fee rate the bank keeps after the

platform's charge. For example, keeping 0.5% on HK\$1 billion of yearly volume gives HK\$5 million before costs (illustrative).

What it depends on: The mix of retail and professional clients. The partner platform's charges. The share of clients who trade only Relevant Stablecoins. The final costs of the new dealing regime.

Official signposts: The dealing regime's start date.¹²¹ The bill promised for 2026.¹⁵⁸⁶ New SFC guidelines for VA firms.¹⁵⁶⁶ The SFC's list of licensed platforms.¹⁹⁰⁹

What this is not: Not a forecast, not advice and not the regulators' view.

Read next

- Module C1 Selling, dealing and advising on virtual assets
- Module C7 VATP counterparties and the SFC platform regime
- Module C6 Financing, shared order books and client withdrawals
- Module D3 AML/CFT for digital assets at a bank (AML/CFT: anti-money laundering and counter-terrorist financing)

- Project profile: New VA licensing regimes: dealing, custody, advisory and management
- Project profile: Relevant Stablecoins: dealing, advice and trading
- Case 4: The night the hot wallet emptied
- Business line: Virtual-asset financing and margin

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BUSINESS LINE · DISTRIBUTE · TRADE

Virtual-asset distribution and brokerage

IN FORCE

In this line a bank sells clients products linked to virtual assets (VAs), such as funds that invest in them²⁹⁶. It may also buy and sell VAs for clients through a licensed trading platform⁴⁷.

At a glance

Item	Detail
Bank role	Distributor; broker through a licensed platform; stablecoin offeror
Client segments	Retail, private banking, corporate, institutional
Value chain	Distribute, Trade
Regulatory gate	Registration with the Securities and Futures Commission (SFC) for dealing in securities, plus SFC conditions for virtual asset (VA) dealing ¹⁹¹⁰
Status as of 25 Sep 2026	In force ¹⁹¹¹
Related modules	C1, C2, C4, C5, C7, D3
Related cases	Case 1: Virtual-asset custody for private banking

What the bank does

- Sells SFC-authorized VA funds to retail clients as well as to professional investors (PIs) ³⁴⁷.
- Offers other complex VA products to PIs only, as the regulators expect, apart from a small set of listed funds and derivatives ³¹⁴.
- Deals in VAs through a licensed platform, either by introducing clients or through an omnibus account (one pooled account in the bank's name) ⁴⁷.
- Since May 2026, may serve retail clients through its omnibus account on a platform licensed only for PIs, if they trade only tokens admitted for retail trading ²⁹⁹.
- May execute client trades through a licensed platform's over-the-counter (off-exchange) service ¹⁹¹².
- May offer stablecoins from issuers licensed by the Hong Kong Monetary Authority (HKMA) to retail clients and PIs. Banks are one of five kinds of permitted offeror ¹⁹¹³.
- Distributes tokenised SFC-authorized investment products, a role the SFC expects regulated firms such as banks to fill ⁴¹⁰. It can also route client trades in them to a licensed platform as a "Connecting Broker" ¹⁸⁸³.

Revenue levers

- A fund distributor may receive part of the manager's management fee, often called a trailer fee. CONCEPT
- A broker earns commission or a price spread on each trade. Its take rate is that income as a share of trading value. CONCEPT
- The bank's margin on brokerage is its client fee minus what the platform charges it. CONCEPT
- The 2023 joint circular expects client orders to be pre-funded, meaning paid for before the trade ³⁵⁹. Since 27 May 2026, the HKMA lets banks that deal in VAs lend to their securities margin clients for VA trades, under set standards ¹⁹¹⁴. Cash held for trades can bring deposit and currency conversion income.

CONCEPT

Cost and capital drivers

- Suitability: regulators treat VA products as very likely complex, so suitability checks apply even without a recommendation ²⁹⁶. Some exchange-traded products are exceptions ²⁹⁶.
- Knowledge test: apart from institutional and qualified corporate PIs, clients should be checked for VA knowledge first ¹⁹¹⁵. Those without it may trade only after training ¹⁹¹⁵.

- **Retail limits:** before VA dealing for retail clients, the bank should set a reasonable exposure limit for each one ¹⁹¹⁶.
- **Product checks:** distributors should do due diligence on each VA product, with extra checks for funds the SFC has not authorised ³²⁹.
- **Enforcement:** in January 2026 the SFC fined a licensed broker HK\$4 million over VA product sales ¹⁹¹⁷. Between 2018 and 2022, retail clients had traded products meant for PIs only, without a knowledge check ¹⁹¹⁸.
- **Stablecoins:** for coins from HKMA-licensed issuers, the bank should disclose how each coin keeps its value and how redemption works ¹⁹¹⁹. Commission rebates should not be the main reason to recommend one ¹⁹²⁰.
- **Notice:** the bank should tell the SFC and the HKMA before it changes its VA activities, such as serving new client types ²²¹.
- **People:** the bank needs at least two executive officers for each regulated activity, each approved in writing by the HKMA ²³².

Official signals

- Hong Kong had 11 VA spot exchange-traded funds (ETFs) at end-2025, worth over HK\$5.4 billion ³⁷⁹.

- In March 2026 the public in Hong Kong could buy 13 tokenised products ⁴²⁶. Their tokenised classes held about HK\$10.7 billion ⁴²⁶.
- The SFC listed 13 licensed VA trading platforms at its 29 May 2026 update ³⁰³.
- In June 2026 the Government said regulated stablecoins were expected to launch between mid-2026 and the second half of 2026 ⁵¹². It based this on the two licensed issuers' business plans ⁵¹². On 16 September 2026 a Government spokesman said the first regulated stablecoin in Hong Kong had launched in August 2026 ⁵⁰³. The official sources reviewed do not name the issuer.
- The 2026 Policy Address says the SFC will improve its rules so tokenised gold can trade on licensed platforms ¹⁰⁹⁵.
- Banks already dealing in VAs are to get faster approval under the planned dealing regime ¹⁸⁵.

Industry benchmarks

- HashKey Holdings Limited (HashKey), 2025 annual results (Hong Kong and other markets, reported): trading by omnibus clients rose to HK\$86.4 billion in 2025 ³⁰⁴. That was up from HK\$11.7 billion in 2024 ³⁰⁴.

- Bosera Asset Management (International) reported a fee in its March 2026 Hong Kong fund prospectus¹⁵⁸¹. Its bitcoin fund currently charges a 0.60% yearly management fee¹⁵⁸¹.
- The same prospectus says the manager may pay distributors a fee out of that management fee¹⁹²¹.

Analysis

ANALYSIS — NOT OFFICIAL

Question: How do selling VA funds and running a VA brokerage service differ as ways to earn from client demand?

How to think about it:

- Fund sales earn a share of recurring fees. They reuse existing sales, suitability and custody set-ups.
- Brokerage earns per trade. It needs a platform link, pre-funding, per-client limits and VA custody.
- Both need VA knowledge checks for most clients other than institutional investors¹⁹¹⁵.

What it depends on: client mix; how often clients trade; platform charges; the number of products the bank offers.

Official signposts: further regulated stablecoin launches after the first in August 2026 ⁵⁰³; the tokenised product framework ¹⁰⁹⁵; faster approval under the dealing regime ¹⁸⁵.

What this is not: Not a forecast, not advice, and not the regulator's view.

Read next

- Module C1 Selling, dealing and advising on virtual assets
- Module C2 VA funds and ETFs
- Module C7 VATP counterparties and the SFC platform regime (VATP: virtual asset trading platform)
- Project profile: Relevant Stablecoins: dealing, advice and trading
- Case 1: Virtual-asset custody for private banking

BUSINESS LINE · DISTRIBUTE · TRADE · HOLD

Roles in virtual-asset ETFs

IN FORCE

In this line a bank serves exchange-traded funds (ETFs) that hold virtual assets (VAs), such as bitcoin, as a dealer, custodian or seller ¹⁹²².

At a glance

Item	Detail
Bank role	Participating dealer; custodian or sub-custodian; distributor; trading counterparty
Client segments	Retail, private banking, institutional
Value chain	Distribute, Trade, Hold
Regulatory gate	A dealer should hold a Securities and Futures Commission (SFC) licence or registration. A custodian bank should meet Hong Kong Monetary Authority (HKMA) custody standards ¹⁹²³
Status as of 25 Sep 2026	In force ¹⁹²⁴
Related modules	C2, C1, C3, D1, B1
Related cases	none

What the bank does

- Acts as a participating dealer (PD), the firm that creates and redeems units of an exchange-traded

fund (ETF). The SFC says PDs of a spot virtual asset (VA) ETF should be SFC-licensed corporations or registered institutions (banks registered with the SFC) ³⁷⁷.

- Moves VAs into the fund for in-kind creations (new units issued in return for VAs rather than cash). PDs are expected to transfer spot VAs, held in Hong Kong or overseas, to the fund's custody account ¹⁹²⁵.
- Handles cash creations too: spot VA ETFs may create and redeem units in cash or in kind ¹⁹²⁶.
- Trades spot VAs with the fund. VA funds should buy and sell through SFC-licensed trading platforms or through banks that follow HKMA rules ¹⁹²⁷.
- Holds the fund's VAs as the custodian the trustee appoints. A fund trustee may delegate VA custody to a bank that meets HKMA custody standards ³⁶⁹.
- Sells ETF units. For listed VA funds traded on exchange with no solicitation or recommendation, the bank need not run a suitability check ¹⁹²⁸. The bank should still test the client's VA knowledge ¹⁹²⁹.

Revenue levers

- A PD earns fees from clients who create or redeem through it, and may earn a spread on the VAs it delivers. CONCEPT

- A custodian earns a yearly fee on the fund's net asset value (NAV), the value of its assets minus its liabilities. **CONCEPT**
- A distributor earns brokerage on ETF trades and may share in fund fees. **CONCEPT**
- Staking may add a further source of revenue. The SFC may let VA funds stake through licensed platforms or banks, with its prior approval ³⁷⁸.
- Fund reports should disclose staking revenue and the direct and indirect costs of staking ¹⁸⁶⁹.

Cost and capital drivers

- Custody controls: custodians should keep most fund VAs in cold wallets (keys held offline) ¹⁹³⁰. Seeds and private keys (the secrets that control the assets) should be stored securely in Hong Kong ¹⁹³¹.
- Anti-money laundering (AML): firms handling in-kind VA subscriptions should hold the VAs only at licensed platforms or banks ¹⁹³². They should follow Chapter 12 of the SFC AML guideline on those transfers ⁸¹⁶.
- Notice: firms should tell the regulators before first letting clients subscribe or redeem with VAs ¹⁹³³.
- Capital: a bank's own spot bitcoin position is a cryptoasset exposure. A bank taking its first position in a new type of cryptoasset must notify the HKMA

²⁴¹. Group 2b cryptoassets take a 1,250% risk weight ¹⁵⁸⁷. The minimum total capital ratio is 8% ⁶⁶. So $1,250\% \times 8\% = 100\%$: at the minimum, the bank holds capital equal to the whole exposure.

- Product limits: eligible VAs are only those the Hong Kong public can trade on licensed platforms ¹⁹³⁴. Funds should not take leveraged VA exposure at fund level ¹⁹³⁵.

Official signals

- The SFC began taking applications for VA futures ETFs in October 2022 ³⁶³.
- Three VA futures ETFs listed in early 2023 ¹⁹³⁶. The first six spot VA ETFs, from three fund companies, followed within months of the December 2023 circular ¹⁹³⁶.
- At end-2025, 11 VA spot ETFs were listed in Hong Kong ³⁷⁹. Their market value was over HK\$5.4 billion, up 142% since launch ³⁷⁹.
- The 2026 Policy Address states that the SFC will revise its codes in late 2026, in the fourth quarter, to encourage new fund products ¹⁶⁶⁰.

Industry benchmarks

- China Asset Management (Hong Kong) published key facts for its ether ETF in April 2026 (Hong Kong,

reported). They show ongoing charges of 1.68% a year, based on 2025 costs ¹⁹³⁷. Its management fee is 0.99% a year ⁴⁴⁶.

- The same document caps the custody and admin fee at 1% of NAV a year, with a monthly minimum of up to US\$5,000 ⁴⁴⁶.
- Boserá Asset Management (International) filed a prospectus in March 2026 for its Hong Kong bitcoin ETF (Hong Kong, reported). In that filing, the fund sets a transaction fee of up to US\$350 per creation or redemption application ¹⁹³⁸. The filing says the PD pays that fee to the fund's custodian ¹⁹³⁸.
- Coinbase, a crypto firm, ran a survey of 352 institutional investors in January 2025 (global, mostly US and Europe) ³⁸¹. Coinbase ran it with EY-Parthenon, part of Ernst & Young (EY) ³⁸¹. In that 2025 survey, 60% said they prefer crypto exposure through registered vehicles, such as exchange-traded products including ETFs ³⁸².

Analysis

ANALYSIS — NOT OFFICIAL

Question: Which ETF role gives a bank the steadiest

income for the capital and controls it needs?

How to think about it:

- List each role: PD, custodian, trading counterparty and distributor. Each has a different income source and cost base.
- Custody income grows with fund size, while PD income grows with creation and redemption activity.
- In-kind dealing means holding VAs, which brings the Group 2b capital charge¹⁵⁸⁷. Dealing only in cash avoids holding VAs, but the bank then misses in-kind business.

What it depends on: fund flows; fee pressure from fund managers; the capital cost of holding VAs; custody readiness under HKMA standards.

Official signposts: SFC rules on who may act as PD³⁷⁷; the staking approval route for funds³⁷⁸; the product code revision planned for late 2026¹⁶⁶⁰.

What this is not: Not a forecast, not advice, and not the regulator's view.

Read next

- Module C2 VA funds and ETFs
- Module C1 Selling, dealing and advising on virtual assets

- Module C3 Custody of digital assets and key management
- Module D1 Capital and prudential treatment of cryptoassets
- Module B1 Your bank's legal status for digital assets
- Project profile: ASPIRe: the SFC's virtual-asset roadmap
- Business line: Virtual-asset custody

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BUSINESS LINE · FINANCE · TRADE

Virtual-asset financing and margin

IN FORCE

A bank lends to its margin clients so they can buy virtual assets, and may accept some virtual assets as collateral.¹⁹³⁹

At a glance

Item	Detail
Bank role	Lender to its own dealing clients
Client segments	Private banking, retail, corporate
Value chain	Finance, Trade
Regulatory gate	A registered institution (RI) that already offers virtual asset (VA) dealing and securities margin financing ⁶⁵⁸
Status as of 25 Sep 2026	In force ¹⁹⁴⁰
Related modules	C6, C1, D1, C7, B3
Related cases	Case 6: Stopping a product

What the bank does

- Since 27 May 2026, the Hong Kong Monetary Authority (HKMA) allows registered institutions that provide VA dealing to offer VA financing. They are

expected to meet standards similar to those of the Securities and Futures Commission (SFC). ¹⁹⁴⁰

- Before this change, intermediaries could not lend clients money to buy virtual assets. ⁶⁷²
- The bank lends based on the client's financial capability and the securities or VA collateral the client posts. ¹⁵⁸²
- Only the bank's existing securities margin clients can borrow. ¹⁹⁴¹
- The bank should first weigh carefully whether relying on VA collateral is prudent. ¹⁹⁴² If it does, it should accept only bitcoin, ether and Relevant Stablecoins. These are stablecoins issued under an HKMA licence. ⁶⁴⁵
- Since 2022 the HKMA has said it does not, for now, intend to stop banks lending against virtual assets. This rests on adequate risk controls being in place. ⁵⁷

Revenue levers

- Clients pay interest on the loan, usually set as a margin above the bank's own funding cost. CONCEPT
- Borrowed money lets clients trade more, which can add dealing commission for the same bank. CONCEPT
- The SFC says financing lets margin clients with strong credit and collateral trade more, which can

improve market liquidity.⁶²⁷

- The bank is not expected to raise a client's credit limit just because VA financing is now available.¹⁹⁴³

Cost and capital drivers

- The haircut on bitcoin and ether collateral should be 60% or more. A haircut is a cut to the collateral's value for lending.¹⁹⁴⁴ So HK\$100 of bitcoin counts as no more than HK\$40 of collateral value.¹⁸¹⁵
- Loans backed only by virtual assets must be treated as clean (unsecured) loans. This is because the Banking (Capital) Rules do not recognise VA collateral.⁶³³
- The bank should not repledge or reuse VA collateral, except to enforce it when a client defaults.⁶⁵⁹
Repledging means a lender reuses collateral to raise its own funding. CONCEPT
- If the bank counts a client's VA holdings as wealth, its review should cover seven risk factors. These include sudden price gaps, and prices moving closely with share prices in stressed markets.⁶⁴⁴
- The bank should track VA collateral prices in real time. It should also keep a plan for a platform outage.¹⁹⁴⁵
- HKMA liquidity rules treat cash loans secured on cryptoassets in line with similar transactions.¹⁹⁴⁶

Official signals

- The SFC called VA financing a first step under Pillar P (Products) of its virtual-asset roadmap (ASPIRe). ⁶²⁷
- The roadmap lists margin financing and VA borrowing and lending among ideas the SFC plans to explore or consider. ¹⁹⁴⁷
- The SFC plans to consult on capital rules for VA activities, including financing, and gives no date. Until then, SFC-licensed brokers give VA collateral a 100% haircut in their capital calculations. ⁶⁴⁰
- The HKMA may revise the haircut with prior notice. It sets no number for Relevant Stablecoins. ¹⁹⁴⁴
- The SFC's framework for perpetual contracts (futures with no end date) on trading platforms says they should be offered only to professional investors. ¹⁹⁴⁸ Margin should be cash, or HKMA-regulated stablecoins or tokenised deposits. ¹⁸¹⁶

Industry benchmarks

- A September 2022 study by the Basel Committee on Banking Supervision (BCBS), a global standard setter, covered 19 banks at end-2021. ¹⁹⁴⁹ Its "holdings and lending" category, which includes lending to crypto firms, made up about 4% of their reported crypto exposures. ¹⁹⁴⁹ This is reported data

from a small global sample, with no Hong Kong split.

No reliable industry benchmark was found for Hong Kong.

Analysis

ANALYSIS — NOT OFFICIAL

Question: How much lending does a client's bitcoin support, and what does that lending cost the bank in capital?

How to think about it: Look at two tests side by side. The collateral test sets how much the bank can lend after the haircut. The capital test asks how much capital each loan uses. A loan backed only by virtual assets counts as unsecured for capital.⁶³³ So the mix of securities and VA collateral in each account shapes the return on capital. For example, HK\$10 million of bitcoin would count as at most HK\$4 million of collateral, and a loan against it alone counts as unsecured (illustrative).

What it depends on: Demand among existing margin clients. The share of VA collateral against securities. How fast prices move and margin calls are met. Any change to the haircut or to capital rules.

Official signposts: Any HKMA revision of the haircut.¹⁹⁵⁰ The SFC's capital consultation.⁶⁴⁰ The SFC's work on VA borrowing and lending.¹⁸⁷³

What this is not: Not a forecast, not advice and not the regulators' view.

Read next

- Module C6 Financing, shared order books and client withdrawals
- Module D1 Capital and prudential treatment of cryptoassets
- Module C1 Selling, dealing and advising on virtual assets
- Project profile: ASPIRe: the SFC's virtual-asset roadmap
- Case 6: Stopping a product
- Business line: Virtual-asset dealing

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CASE STUDIES

Case studies

Fictional cases. All people and firms are invented.
Facts about Hong Kong rules are real and cited.

CASE STUDY · FICTIONAL

Case 1: Virtual-asset custody for private banking

Fictional case. All people and firms are invented. Facts about Hong Kong rules are real and cited.

The situation

Harbourlight Bank is a fictional Hong Kong bank with a private bank for wealthy clients. Several clients already hold bitcoin and ether, two kinds of virtual asset (VA), with outside firms. They ask Harbourlight to hold these assets for them, next to their other investments. The head of private banking wants to launch a custody service within a year.

You lead digital-asset compliance. The chief executive asks you to bring three decisions to the executive committee: how to run the service, how to price it, and how to cover losses. Harbourlight is also a registered institution (RI), a bank registered with the Securities and Futures Commission (SFC) for securities business.

Cast

- **You:** head of compliance, digital assets.
- **Ines Quaymark:** chief executive (CEO). She wants a clear yes or no by year end.

- **Tobias Lanternwick:** chief financial officer (CFO). He owns the profit and loss account (P&L), the record of income and costs.
- **Priya Harbourfen:** chief risk officer (CRO). She sets how much risk the bank is willing to take (its risk appetite).
- **Declan Tidemere:** head of private banking. His clients are asking for the service.
- **Kestrel Custody Tech:** a fictional vendor selling key-management systems.
- **The supervisor:** the bank's Hong Kong Monetary Authority (HKMA) case team. It acts only as the HKMA's published expectations describe.

Exhibit A: the rules that apply

- A bank that plans to offer digital-asset custody should discuss it with the HKMA first. It should show the HKMA that it meets the expected standards ⁷⁶.
- The bank should keep client assets, and the wallet addresses that hold them, apart from its own. This protects them from the bank's creditors ¹⁶²⁵.
- For client virtual assets, the HKMA expects 98% to sit in cold storage, meaning with keys kept offline ⁸³.

- The bank should generate, store and back up private keys (the secret codes that move assets) in Hong Kong¹⁸³³.
- The bank is expected to be liable for client losses from incidents it causes. It should hold adequate financial resources, which may include insurance⁸⁵.
- The bank should disclose its fees, and any insurance or compensation cover, clearly to clients⁴⁸¹.
- As a general principle, the bank may delegate VA custody only to three kinds of firm²⁷⁰. They are another bank or a local bank's subsidiary, an SFC-licensed platform, or an HKMA-licensed stablecoin issuer for its own coins with HKMA consent²⁷⁰. Final responsibility stays with the bank²⁸⁵.
- Under a planned law, banks that safekeep client VA keys would need a custody licence or registration¹³. The Government and the SFC do not plan to treat existing VA custodians as licensed while they apply⁵³. The regime takes full effect on its start date⁵³.

Act 1: Build, delegate or wait?

Kestrel offers a full key-management system with hardware in Hong Kong. Declan prefers speed and suggests using a licensed trading platform as custodian. Priya asks whether the bank is ready for either.

Decision 1: How does Harbourlight run custody?

- **A. Build:** run its own key systems and cold storage, using Kestrel's technology.
- **B. Delegate:** appoint an SFC-licensed platform or another bank to hold the assets, with Harbourlight as the client-facing custodian.
- **C. Wait:** offer VA exposure only through exchange-traded funds (ETFs) for now, and revisit custody once the new licensing law is clearer.

Discussion notes

- **Trade-offs.** Option A gives control of the client experience and the key controls, at a high fixed cost. Option B is faster and needs less upfront spending, but makes the bank depend on another firm. Option C avoids new custody risk and leaves client demand unmet.
- **What the rules require.** Delegation of VA custody is limited to three kinds of firm ²⁷⁰. The bank keeps ultimate responsibility for anything it delegates ²⁸⁵. Before choosing a delegate, the bank is expected to check its finances, skills, technology and ability to meet the standards ⁴⁸⁷. Under the planned licence, faster approval is to go to banks that the HKMA has already assessed for custody and that already provide it ⁴⁴⁴.

- **What a strong answer covers.** It compares the fixed cost of Option A with the fee paid to a delegate in Option B. It asks who holds the keys in each option, because the planned licence depends on who safekeeps client keys. It sets out the timing risk for Option C if the licence starts before the bank is ready.
- **Traps.** Treating delegation as handing over the risk. Assuming existing custodians are treated as licensed while they apply. The Government and the SFC do not plan to treat them that way ⁵³. Forgetting that providers who do not contact the regulators before applying may face business disruption ¹⁹⁵¹.

Act 2: What to charge

Tobias asks for a pricing model before any spending. Declan fears that a visible fee may send clients back to outside firms. Kestrel's pricing is a yearly licence plus a charge per wallet.

Decision 2: How does Harbourlight price custody?

- **A.** A yearly fee as a percentage of assets held, with a monthly minimum per client.
- **B.** No custody fee. The bank earns from dealing, lending and other services to the same clients.

- **C.** A lower percentage fee, plus separate charges for each withdrawal or transfer out.

Discussion notes

- **Trade-offs.** Option A matches income to the value held and to the cost of safekeeping. Option B makes custody a feature, not a profit line, and depends on other income from the same clients. Option C keeps the advertised fee low and charges for the actions that cost the bank most.
- **What the rules require.** Fees and costs of custody belong in the client disclosure ⁴⁸¹. Before a client buys VA-related products, such as VA funds, the bank should check the client's knowledge of virtual assets ¹⁹¹⁵. Institutional and qualified corporate professional investors are exempt from this test ¹⁹¹⁵. Each regulated activity needs at least two executive officers (senior staff who supervise the activity), approved in writing by the HKMA ²³².
- **What a strong answer covers.** It sets the fee against a full cost base: keys, monitoring, audit and insurance. It tests Option B by listing the other income that custody makes possible. It checks whether charges in Option C are clear enough for clients to compare.

- **Traps.** Pricing only against fund fees. China Asset Management (Hong Kong) published a key facts statement in April 2026 for its Hong Kong ether fund⁴⁴⁶. It reported that the fund pays up to 1% of fund value a year for custody and administration together⁴⁴⁶. That fee covers fund services as well, so it is not a private-bank price⁴⁴⁶. Another trap is ignoring the round-the-clock security monitoring the HKMA expects⁴⁶².

Act 3: Covering losses

Priya asks what happens if a hacker drains a wallet. Tobias asks how much capital the service uses. Kestrel says insurers will quote only after a security review.

Decision 3: How does Harbourlight cover potential losses?

- **A.** Buy insurance to cover a set share of client assets, higher for online (hot) wallets than for cold storage.
- **B.** Self-insure: set aside the bank's own financial resources to cover losses, with no outside policy.
- **C.** Mix: insurance for hot wallets, and the bank's own resources for cold storage.

Discussion notes

- **Trade-offs.** Option A moves part of the loss to an insurer, for a yearly premium. Option B avoids premiums but keeps the whole loss with the bank. Option C spends premiums where the risk of theft is higher.
- **What the rules require.** The bank is expected to be liable for losses it causes and to have adequate financial resources, which may include insurance ⁸⁵. That paragraph sets no fixed share of cover ⁸⁵. The planned minimum capital for new custodians does not apply to banks, because HKMA capital rules already apply ¹⁹⁹. Rules applying the Basel standard (the global bank capital standard) for banks' cryptoasset exposures have been in force in Hong Kong since 1 January 2026 ¹⁵⁷⁸. They amended the banking capital, disclosure and exposure-limits rules ¹⁵⁷⁸.
- **What a strong answer covers.** It separates client assets from the bank's own positions, because custody standards cover assets held for clients, not the bank's own ¹⁸³². It checks whether the bank ends up holding VAs of its own, for example while settling trades. It explains the cover levels to clients, as the disclosure standard expects ⁴⁸¹.

- **Traps.** Copying a fund's cover level without checking the source. A Bosera Asset Management (International) prospectus for two Hong Kong funds, from March 2026, reported the cover its sub-custodian must keep ¹⁶²². The cover is 50% of client virtual assets kept offline (cold) and 100% of those held online or elsewhere ¹⁶²². That is one firm's contract, not an HKMA standard.

Exhibit B: illustrative P&L

Harbourlight's custody service in its third year, under each Act 1 option, in HK\$ millions. The numbers are invented to show the shape of each P&L. They are not estimates of any market or firm. Net contribution is income minus the costs of running the service.

Line (HK\$ million, year 3)	A: Build	B: Delegate	C: Wait (ETFs only)
Custody fees from clients	10	10	0
Other income from the same clients	5	5	2
Fee paid to the delegated custodian	0	-5	0
Technology, keys and monitoring	-6	-1	0
Insurance and loss provisions	-2	-1	0
Compliance and control staff	-3	-2	-1
Net contribution	4	6	1

(illustrative)

What this case teaches

- Custody is mainly about controls. In Exhibit B, most costs come from key safety, monitoring and loss cover.
- Delegation changes costs, not responsibility. The bank still answers for the delegate ²⁸⁵.
- A custody fee either covers the full cost of the service, or the bank relies on other income from the same clients.
- Loss cover is a choice about who bears a hack: the insurer, the bank or both.
- The timing of the planned custody licence affects every option ⁴⁴⁷.

Modules to revisit

- Business line: Virtual-asset custody
- Business line: Virtual-asset distribution and brokerage
- Module C3 Custody of digital assets and key management
- Module C1 Selling, dealing and advising on virtual assets

- Module D1 Capital and prudential treatment of cryptoassets
- Module F2 How regulation writes the P&L
- Module F5b Running the business: operations and control

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CASE STUDY · FICTIONAL

Case 2: Tokenised deposits for corporate treasury

Fictional case. All people and firms are invented. Facts about Hong Kong rules are real and cited.

The situation

A tokenised deposit is an ordinary bank deposit recorded as a token on a shared digital ledger. CONCEPT The Hong Kong Monetary Authority (HKMA) started EnsembleTX (the real-value pilot of Project Ensemble) on 13 November 2025.⁶¹⁵ Its first uses include managing liquidity and treasury needs in real time.⁵⁶³ The HKMA invites anyone with a real-value use for tokenised deposits to take part.¹⁴⁵¹

In June 2026 the HKMA held a seminar on tokenisation for corporate treasurers.¹⁸⁸⁰ It said it would follow up with corporate treasury centres (CTCs) that showed interest.¹⁹⁵² Each of these centres is a company unit that manages cash for a whole group. CONCEPT

Saltmarsh Harbour Bank is a fictional, mid-sized Hong Kong bank. It does not yet offer tokenised deposits. Its largest corporate client, the fictional Pemberwick Tidewater Group, runs its Asian cash from a treasury centre in Hong Kong. The group wants to move cash

between its companies at any hour. It asks whether Saltmarsh can do this with tokens. You are head of compliance for digital assets. The chief executive asks you to steer the proposal.

Cast

- **You:** head of compliance (digital assets).
- **Imogen Quillbrook:** chief executive (CEO). She wants to keep Pemberwick's business.
- **Barnaby Saltglen:** chief financial officer (CFO). He owns the profit and loss account (P&L), the record of income and costs.
- **Petra Tidewhistle:** treasurer. She runs asset-liability management (ALM): matching the bank's funding to its loans and investments.
- **Gideon Harrowmere:** chief risk officer (CRO).
- **Nadia Lanternby:** head of corporate banking. She owns the client relationship.
- **Brightspar Ledger Works:** a fictional vendor selling a ready-made token platform.
- **The supervisor:** the bank's HKMA case team. It acts only as the HKMA's published expectations describe.

Exhibit A: the rules that apply

- When customers place tokenised deposits, the HKMA says banks should also meet its standards for tokenised products. ²⁵
- Those standards expect due diligence on vendors, such as tokenisation platform providers. ¹⁹⁵³
- They expect clear disclosure of risks, including doubt about when settlement becomes final. ¹⁹⁵⁴
- Before starting, a bank is expected to have controls in place and discuss the plan with the HKMA. ²¹⁵
- The HKMA's liquidity guidance says when a bank that issues qualifying tokens may count them as deposits or unsecured funding. ⁵⁷¹
- The HKMA's note on distributed ledger technology (DLT) expects the board and senior management to own DLT risks in full. ¹⁹⁵⁵ The note is non-binding. ¹⁹⁵⁶
- The Supervisory Incubator for DLT lets a bank check its risk controls with a dedicated HKMA team before a full launch. ²¹⁸

Act 1: Is there real client demand?

Nadia says Pemberwick is keen. Barnaby asks whether one client makes a product. Petra notes that Pemberwick already sweeps cash each evening

through normal accounts.

Decision 1: Which first use does the proposal put forward?

- **A. Round-the-clock cash moves between** Pemberwick's own companies, all banking with Saltmarsh.
- **B. Paying for tokenised money market fund (MMF) trades, where corporate cash sits between uses.** An MMF invests in short-term, low-risk debt. CONCEPT
- **C. No product yet: join the HKMA's follow-up with** CTCs and survey ten corporate clients first.

Discussion notes

- **Trade-offs.** Option A serves a named client fast, but only inside one bank. Option B matches an initial EnsembleTX focus, but needs fund partners. Option C builds evidence and delays income.
- **What the rules require.** EnsembleTX's first focus covers both tokenised MMF deals and real-time treasury uses. ⁵⁶³ Interbank settlement of these deals first runs through the Hong Kong dollar Real Time Gross Settlement (RTGS) system. ¹¹¹³ The HKMA plans settlement in central bank digital currency (CBDC) and 24/7 running of EnsembleTX by around end-2026. ¹⁵⁷ The HKMA has noted bank views that

tokens usable only in one bank's network add less value for clients.¹⁹⁵⁷

- **What a strong answer covers.** It asks what Pemberwick cannot do today, and what that gap costs the client. It separates one client's request from a segment's demand. It checks which uses need other banks to connect.
- **Traps.** Treating a seminar audience as signed clients. Treating the pilot as a finished rulebook. Pricing only for Pemberwick.

Act 2: What happens to the balance sheet?

Barnaby hopes tokenised balances count as sticky funding. Petra warns that the liquidity treatment depends on the design. The liquidity coverage ratio (LCR) checks that a bank holds enough easy-to-sell assets to cover a short stress. CONCEPT

Decision 2: How does the token design treat holders?

- **A. Closed design:** only checked Saltmarsh clients can hold tokens, and the bank knows every holder at all times.
- **B. Open design:** tokens can pass to parties the bank cannot always identify, to reach more users.
- **C. Payments design:** tokens exist mainly to make payments within a client's operating account

relationship.

Discussion notes

- **Trade-offs.** Option A keeps control and limits reach. Option B widens reach and loosens knowledge of who holds the tokens. Option C fits treasury use and ties balances to day-to-day payments.
- **What the rules require.** The guidance covers tokens issued by a bank that is subject to the LCR (a "category 1 institution").⁵⁷¹ The tokens are a legally binding claim on the bank, and holders can redeem them in fiat money (ordinary government-issued currency) at face value.⁵⁷¹ Their value is kept stable by the bank's own credit, not by a separate pool of assets.⁵⁷¹ Such a bank may treat the tokens as deposits or unsecured funding, subject to conditions.⁵⁷¹ It must set their maturity by the date holders first gain the right to redeem.⁵⁷¹ If the bank can identify holders at all times, outflow rates must follow the earliest redemption date and the holders' type.⁵⁷¹ Even then, the bank must not count the tokens as stable funding from retail or small business customers.⁵⁷¹ If the bank cannot identify holders at all times, it must treat the tokens as other unsecured wholesale funding.⁵⁷¹ For tokens used mainly for payments within an operational

relationship with wholesale clients, the guidance says the operational deposit rules should be followed.⁵⁷¹ A bank holding another bank's qualifying tokens must treat them like unsecured loans to financial institutions.¹⁵⁹⁸

- **What a strong answer covers.** It models each design's outflow treatment with Petra before pricing. It checks whether balances are new money or moved from existing accounts. It asks how net interest margin changes: the gap between what the bank earns on funds and what it pays depositors.
CONCEPT It links identity checks to the liquidity result.
- **Traps.** Assuming tokens count as retail deposits. Counting moved balances as new funding. Forgetting the bank's own holdings of other banks' tokens.

Act 3: Build, buy or partner?

Brightspar offers its platform with a discount for a signature this quarter. Gideon asks who controls changes to the ledger. Imogen asks how fast the bank can go live. The supervisor expects a discussion before any launch, as the HKMA's circular sets out.²¹⁵

Decision 3: How does Saltmarsh deliver the service?

- **A.** Build its own platform and connect it to EnsembleTX.
- **B.** License Brightspar's platform and run it under the bank's name.
- **C.** Partner with a larger fictional bank, Corvid Point Bank, that already issues tokenised deposits, and refer clients there for now.

Discussion notes

- **Trade-offs.** Option A gives most control and costs most time and money. Option B is faster and adds reliance on one vendor. Option C costs least, and the deposits sit with another bank.
- **What the rules require.** The tokenised-products circular expects checks on vendors' track record, systems and controls.¹⁹⁵³ A bank issuing tokens itself should take those vendor checks into account.¹⁹⁵⁸ The DLT note expects the bank to update technology risk, continuity and outsourcing policies.¹⁹⁵⁵ It says shared ownership of a solution could affect a bank's control over changes.¹⁹⁵⁹ It expects the bank to judge whether node operators, the firms that confirm ledger entries, are reliable.¹⁹⁶⁰ It advises banks to consider widely accepted technical standards so systems can link to others.¹⁹⁵⁷

The Incubator offers optional live trials, and the HKMA judges any supervisory flexibility case by case.²⁴²

- **What a strong answer covers.** It compares control, speed and cost for each option. It names who fixes the platform in an outage, at any hour. It tests the vendor's deadline against the board and supervisor timetable. It sets an exit plan for each option.
- **Traps.** Letting a discount set the timetable. Treating a vendor's controls as the bank's own. Reading Incubator entry as approval to launch.

Exhibit B: illustrative P&L

Year-three view of each Act 3 option, in HK\$ millions. The numbers are invented to show the shape of each P&L. They are not estimates of any market or firm.

Line (HK\$ million, year 3)	A: Build	B: License vendor	C: Partner
Net interest income on token balances	20	20	0
Less: income on balances moved from old accounts	-10	-10	0
Treasury service fees	10	10	2
Referral fees from partner	0	0	3
Technology build, run and licences	-12	-8	-1
Compliance and control staff	-4	-4	-1

Line (HK\$ million, year 3)	A: Build	B: License vendor	C: Partner
Net contribution	4	8	3

(illustrative)

What this case teaches

- EnsembleTX is a pilot with stated plans, not a finished rulebook. ⁵⁶
- The token's design sets its liquidity treatment. ⁵⁷¹
- Vendor checks stay with the bank that serves the customer. ¹⁹⁵³
- Balances moved from old accounts are not new income. CONCEPT
- Control, speed and cost pull in different directions in build, buy and partner choices. CONCEPT

Modules to revisit

Some of these pages also cover the Securities and Futures Commission (SFC) and foreign exchange (FX).

- Module B2 Engaging the HKMA and SFC
- Module B3 Governance, risk and technology expectations
- Module C5 Tokenisation: tokenised products, deposits and bonds

- Module D1 Capital and prudential treatment of cryptoassets
- Module E2 Wholesale money, CBDC and cross-border projects
- Module F2 How regulation writes the P&L
- Business line: Tokenised deposits and payments
- Business line: Cross-border payments, FX and mBridge
- Project profile: Project Ensemble
- Project profile: Supervisory Incubator for DLT

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CASE STUDY · FICTIONAL

Case 3: The reserve bank that also sells the coin

Fictional case. All people and firms are invented. Facts about Hong Kong rules are real and cited.

The situation

Gullstone Quay Bank is a fictional, mid-sized Hong Kong bank. It is a registered institution (RI), meaning a bank registered with the Securities and Futures Commission (SFC) for securities business. Driftmoth Digital Money Limited is a fictional stablecoin issuer licensed by the Hong Kong Monetary Authority (HKMA). A stablecoin is a token meant to keep a steady value against a currency. Driftmoth plans a Hong Kong dollar coin.

Driftmoth asks Gullstone for two things. First, hold a large part of its reserves (the assets that back every coin) as deposits. Second, sell the coin to Gullstone's clients. You are head of compliance (digital assets). The chief executive (CEO) wants one joined-up answer by the next board meeting.

Cast

- **Marisol Mistlecove, CEO.** Sees a new deposit source and a new product in one deal.
- **Arlo Quayburrow, chief financial officer (CFO).** Owns the funding plan and the profit and loss (P&L) account.
- **Greta Gullwick, chief risk officer (CRO).** Owns liquidity and concentration limits.
- **Dorian Driftholme, head of wealth.** Wants to offer the coin to retail and private banking clients.
- **Driftmoth Digital Money Limited.** The fictional licensed issuer and prospective client.
- **Brightkeel Analytics.** A fictional vendor selling blockchain monitoring tools.
- **The supervisor.** The HKMA case team. It acts only as its published guidance says.
- **You.** Head of compliance (digital assets).

Exhibit A: the rules that apply

As of 25 Sep 2026.

- Reserve assets should be held in listed forms.¹⁵¹⁵ These include cash, bank deposits with a term of up to three months and certain short-dated public-sector debt.¹⁵¹⁵

- An issuer should appoint qualified custodians for its reserves. Each custodian should be either a licensed bank or another custodian that the HKMA accepts.
1514
- Reserves should sit under trust arrangements that keep them apart from the issuer's own assets. ¹⁹⁶¹
- In June 2026 the Government said HKMA rules have issuers place eligible reserve assets with banks in Hong Kong. ⁵⁰⁹
- Holders must be able to redeem at par (face value).
⁵⁰⁸ Valid requests should be processed within one business day unless the HKMA approves otherwise.
1859
- An issuer should set internal limits on its credit exposure to each counterparty, including banks holding its reserves. ¹⁹⁶² Its liquidity planning should weigh deposit terms, early withdrawal options and concentration. ¹⁶⁰¹
- Authorized institutions (banks) are one of five kinds of "permitted offerors". They may offer licensed coins to retail and professional investors. ¹⁸⁵⁶
- An issuer using outside distributors should check they are permitted offerors and should assess their governance and controls. ¹⁹⁶³
- For a bank's customers that are virtual asset service providers (VASPs), the HKMA expects a risk

assessment of each one.⁸³⁰ Depending on the relationship, a bank may need extra checks on the firm's business, its licence status and its anti-money laundering (AML) controls.⁸³⁰

- The HKMA asks banks to discuss virtual asset plans with it before launch.²¹⁴

Act 1: How much of the reserve to take

Driftmoth wants to place most of its reserve with Gullstone as call deposits (money it can withdraw on demand). Arlo likes the balance. Greta notes that one client would then be the bank's largest depositor. Every redemption pulls money out of the same account.

Decision 1: On what terms does Gullstone take the reserve deposits?

- A. Take the whole amount on call, at a low rate, and hold matching liquid assets.
- B. Take a capped share, split between call money and term deposits of up to three months.
- C. Decline the deposits and offer only the distribution service.

Discussion notes

- Trade-offs. Option A brings the largest balance but the most run risk. Option B earns less on paper but

may be steadier. Option C avoids concentration but may weaken the case for the distribution deal.

- What the rules require. Reserve deposits should have a term of no more than three months ¹⁵¹⁵. Driftmoth itself should set and enforce limits on its credit exposure to each bank ¹⁹⁶². Those limits could rule out placing the whole reserve with one bank.
- Redemption pace matters. The HKMA expects Driftmoth to process valid requests within one business day, unless it approves otherwise ¹⁸⁵⁹. A strong answer asks whether Gullstone's liquidity plan can match that pace.
- A strong answer covers the trust structure. The reserve belongs under a trust for holders, not in Driftmoth's own account ¹⁹⁶¹.
- A strong answer also tests a stress day, such as a large redemption wave alongside a market shock CONCEPT.
- Trap: treating the reserve as sticky retail money. It behaves more like wholesale funding from one client CONCEPT.

Act 2: Driftmoth as a client

Brightkeel pitches a monitoring tool that traces coin transfers on the blockchain. Dorian says onboarding is a formality because Driftmoth is licensed. You are less

sure.

Decision 2: How does Gullstone onboard Driftmoth?

- A. Onboard with standard corporate checks, relying on the HKMA licence.
- B. Onboard with the extra checks used for VASPs, plus blockchain monitoring from Brightkeel.
- C. Onboard for the reserve account only, and keep payment flows out until controls are tested.

Discussion notes

- Trade-offs. Option A is fast and cheap. Option B costs more but gives a fuller picture. Option C limits risk but also limits income.
- What the rules require. The HKMA expects a risk-based assessment for VASPs that bank with it ⁸³⁰. Depending on the relationship, extra checks may cover the firm's business model, licence status and AML controls ⁸³⁰.
- Driftmoth has its own duties. The HKMA expects it to check customers before an occasional transaction of HK\$8,000 or more, such as an issue or redemption ¹⁸⁶⁰. When it sends a stablecoin transfer of HK\$8,000 or more, it must first obtain and record the required details on the sender and recipient ¹⁸²⁶.

- Ongoing monitoring counts too. The HKMA expects banks to watch for frequent transfers to or from virtual asset platforms ¹⁸⁰⁷. Where there are grounds for suspicion, banks should file a suspicious transaction report ¹⁸⁰⁷.
- A strong answer asks what a licence proves and what it does not. A licence shows the issuer met the licensing tests. It does not replace the bank's own view of risk **CONCEPT**.
- A strong answer also tests the vendor. The questions cover data coverage, false alerts and exit terms **CONCEPT**.
- Trap: letting the value of the deal set the risk appetite.

Act 3: Selling the coin

Dorian wants to sell the coin to all wealth clients at launch. In April 2026 the HKMA linked launch timing to the issuers' own business plans. ¹⁸⁶² The supervisor has asked banks to discuss virtual asset plans with it before launch. ²¹⁴ Gullstone books a meeting to hear the supervisor's feedback on its controls.

Decision 3: How does Gullstone launch distribution?

- A. Launch to retail and private banking clients at once, using stablecoin-only accounts.

- **B.** Launch to professional investors first, then widen after a review.
- **C.** Offer the coin only through an omnibus account (one pooled account) at a licensed trading platform.

Discussion notes

- Trade-offs. Option A reaches the most clients and brings the most conduct risk. Option B is slower but lets controls settle. Option C uses the platform's systems but shares the fee.
- What the rules allow. An RI need not test the virtual asset knowledge of clients in accounts limited to licensed coins ¹⁹⁶⁴. It should still consider each such client's reason for trading ¹⁹⁶⁴.
- An RI can partner with the coin's issuer or with an SFC-licensed trading platform to offer dealing in a licensed coin ²⁰⁸. It should disclose how the coin keeps its value and how redemption works ¹⁹⁶⁵.
- Timing with regulators. Intermediaries are to tell the SFC in advance, and the HKMA where relevant, before starting virtual asset activities ⁵⁹. The same applies to later changes, including the type of clients served ⁵⁹.
- A strong answer names the conflict. The bank earns on reserve deposits and on sales of the same coin.

The sales team may push volume that also swells the deposit CONCEPT.

- A strong answer checks the issuer's side. The HKMA expects Driftmoth to confirm that Gullstone is a permitted offeror and to review its controls ¹⁹⁶³.
- Trap: forgetting that clients who redeem pull money from the reserve that Gullstone holds CONCEPT.

Exhibit B: illustrative P&L

Figures in HK\$ million a year. All numbers are invented to show the shape, not real prices.
(illustrative)

Line	Full deposits, retail launch	Capped deposits, professional launch
Net interest on reserve deposits	40	25
Distribution fees	10	4
Cost of liquid assets held against deposits	-15	-8
Compliance, monitoring and vendor	-12	-9
Technology and operations	-8	-6
Profit before tax	15	6

(illustrative) Round numbers only. Net interest here is the gap between what the bank earns on the money and what it pays for it.

What this case teaches

- A reserve deposit is funding with a direct link to redemptions. Redemptions can pull such money out quickly **CONCEPT**.
- The issuer's own limits shape the deal. Drifmoth should set limits on its exposure to each bank. ¹⁹⁶²
- A licence does not end the bank's due diligence. The HKMA expects a risk assessment for VASPs that bank with it. ⁸³⁰
- Two roles with one client create a conflict of interest **CONCEPT**.

Modules to revisit

Module D3 covers anti-money laundering (AML) and counter-financing of terrorism (CFT) rules.

- Module C4 Stablecoins
- Module C1 Selling, dealing and advising on virtual assets
- Module D3 AML/CFT for digital assets at a bank
- Module D1 Capital and prudential treatment of cryptoassets

- Business line: Stablecoin roles for banks
- Business line: Banking the digital-asset industry

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CASE STUDY · FICTIONAL

Case 4: The night the hot wallet emptied

Fictional case. All people and firms are invented. Facts about Hong Kong rules are real and cited.

The situation

Lanternway Exchange Limited is a fictional virtual asset trading platform (VATP) licensed by the Securities and Futures Commission (SFC). A virtual asset is a digital token, such as a cryptocurrency. You joined Lanternway as chief operating officer (COO) a year ago.

At 3am on a Saturday, monitoring flags large transfers out of one hot wallet (a wallet whose keys are online). Within 40 minutes the wallet is empty. The loss is tokens worth about HK\$80 million (illustrative). Early signs point to malicious code in wallet software supplied by a vendor. The cold wallets (keys kept offline) look untouched. Clients wake up to the news in a few hours.

Cast

- **Silas Emberquay, chief executive (CEO).** Wants to protect clients and the licence, in that order.

- **Oriel Saltmarch, chief financial officer (CFO).** Holds the cash, the insurance policy and the set-aside funds.
- **Kit Larkquay, Manager-in-Charge of information technology.** The senior manager in charge of technology. Leads the technical response.
- **Rhona Kelpwick, head of compliance.** Owns contact with the SFC case team.
- **Quillgate Wallet Systems.** The fictional vendor whose software was compromised.
- **Seawhistle Bank.** The fictional Hong Kong bank that holds Lanternway's client money.
- **The supervisor.** The SFC case team. It acts only as its published guidelines and circulars say.
- **You.** COO, running the response.

Exhibit A: the rules that apply

As of 25 Sep 2026. "The Guidelines" means the SFC's Guidelines for VATP operators.

- A platform should hold 98% of clients' virtual assets offline, to limit losses from hacking.⁶⁸⁰ The SFC may allow limited exceptions case by case.⁶⁸⁰
- A platform should hold an SFC-approved compensation arrangement.⁸⁴ It should cover potential loss of 50% of client assets in cold storage

and 100% of those in hot and other storage.⁸⁴ The cover can be insurance, set-aside funds or assets, or a bank guarantee.⁸⁴

- A platform should tell clients how it will compensate them if assets are lost through hacking.¹⁹⁶⁶
- If a material system failure occurs, a platform should fix it promptly.¹⁹⁶⁷ It should also tell clients, as soon as it can, what happens to their open orders, deposits and withdrawals.¹⁹⁶⁷
- A platform should notify the SFC immediately of material failures in its custody and other core systems.¹⁹⁶⁸ It should send an incident report without undue delay.¹⁹⁶⁹
- Licensed firms should promptly tell the SFC about material cybersecurity incidents.⁸⁸⁶
- The Manager-in-Charge of information technology and other senior managers bear ultimate responsibility for cyber risk.¹⁷⁴³
- A platform should have controls and resources that can reasonably protect clients and assets from losses through theft, fraud and other dishonesty.¹⁹⁷⁰
- Client money should sit in segregated accounts at a Hong Kong authorized institution (a bank) or an approved overseas bank.¹⁸⁰⁴

Act 1: The first three hours

Kit has isolated the affected wallet. He is not yet sure whether other hot wallets are safe. Silas asks whether to keep the platform open while the facts come in.

Decision 1: What does Lanternway do with its services before markets open?

- A. Suspend all deposits and withdrawals for every token, but keep trading open.
- B. Suspend only the affected blockchain's wallet and keep everything else running.
- C. Suspend trading, deposits and withdrawals until the root cause is known.

Discussion notes

- Trade-offs. Option A limits outflows but traps client assets on the platform. Option B keeps the business running if the attack is truly contained. Option C is the most cautious and the most costly to clients who need to trade.
- What the rules require. The SFC says firms should consider pre-planned ways to block malicious activity, isolate systems and restrict access fast ¹⁹⁷¹. The Guidelines expect immediate notice to the SFC of material custody system failures ¹⁹⁶⁸.

- The Guidelines expect clients to hear what happens to their open orders, deposits and withdrawals ¹⁹⁶⁷. The contingency plan is to include trained staff to answer clients and regulators ¹⁹⁷².
- A strong answer separates what is known from what is not. It names who approves each step and when the next update goes out **CONCEPT**.
- A strong answer also calls Seawhistle Bank early. A withdrawal wave hits the client money accounts first **CONCEPT**.
- Trap: waiting for full facts before telling the supervisor. The SFC expects prompt notice of material cyber incidents ⁸⁸⁶.
- Trap: a client message that promises an outcome the firm cannot yet confirm **CONCEPT**.

Act 2: Making clients whole

By Sunday the loss is confirmed at one hot wallet. The cold wallets are intact. Oriel has three funding sources: the insurance policy, funds set aside on trust, and Lanternway's own liquid assets. The insurer says its assessment will take weeks.

Decision 2: How does Lanternway restore affected client balances?

- A. Restore every affected balance now from set-aside funds and own assets, then claim from the insurer.
- B. Restore balances in stages as the insurer pays each part of the claim.
- C. Restore balances now, and refill hot wallets from cold storage so withdrawals can restart the same day.

Discussion notes

- Trade-offs. Option A settles clients fast but drains the company's liquid assets. Option B protects cash but leaves clients waiting. Option C restores service fastest but moves more assets out of cold storage.
- What the rules require. The compensation arrangement should cover potential loss of 100% of client assets in hot storage ⁸⁴. The Guidelines expect a platform to have told clients how it will compensate them for hacking losses ¹⁹⁶⁶.
- Cash matters too. A platform should keep liquid assets in Hong Kong equal to at least 12 months of operating costs ¹⁹⁷³. Paying out from own funds reduces that buffer CONCEPT.

- Cover after the payout. The Guidelines expect a platform to check daily that its cover still matches client assets ¹⁹⁷⁴. If a shortfall looks set to persist, the Guidelines expect it to notify the SFC and fix it promptly ¹⁹⁷⁵.
- Cold storage. The Guidelines expect a platform to keep moves out of the main cold wallet to a minimum ¹⁹⁷⁶.
- A strong answer ties the choice to the Guidelines' expectation that controls protect clients from losses caused by theft and fraud ¹⁹⁷⁰.
- Trap: counting the insurance claim as cash before the insurer agrees to pay CONCEPT.

Act 3: Rebuilding with the supervisor

Two weeks on, the root cause is clear. An attacker placed malicious code in Quillgate's software, which changed what signers saw on screen. The SFC had warned about this pattern at overseas platforms. ⁴⁵³ The supervisor is now reviewing Lanternway's report. Silas asks you to set the path back to normal.

Decision 3: How does Lanternway rebuild its wallet set-up?

- A. Keep Quillgate, with patched code and an independent review.

- B. Replace Quillgate with a new vendor.
- C. Build transaction signing in-house.

Discussion notes

- Trade-offs. Option A is quickest but keeps the same supplier risk. Option B brings new integration risk. Option C gives the most control but needs scarce staff and time.
- What the rules require. The Guidelines expect a strict independent cyber assessment before any platform change goes live ¹⁹⁷⁷. It covers wallet security and a source code review of the custody system ¹⁹⁷⁷.
- Change notice. The Guidelines expect a platform to tell the SFC before making technology changes that might affect operations ¹⁹⁷⁸.
- Supplier risk. The SFC asks firms to strengthen reviews of the third parties that support critical systems ¹⁷²⁴.
- The incident report. The Guidelines list what it covers, including root cause, clients affected and steps to prevent a repeat ¹⁹⁷⁹.
- Ownership. The Guidelines expect senior management to take full responsibility for the platform's controls ¹⁹⁸⁰.

- A strong answer shows the supervisor a dated plan, named owners and evidence of testing CONCEPT.
- Trap: blaming the vendor in public. Responsibility for the controls stays with Lanternway's own senior managers ¹⁷⁴³.

Exhibit B: illustrative P&L

Lanternway's year, in HK\$ million. All numbers are invented to show the shape. (illustrative)

Line	Plan before the incident	Year with the incident
Trading fees	300	240
Custody and other fees	40	35
Staff and technology	-180	-200
Insurance premium	-20	-30
Incident costs (forensics, legal, client support)	0	-25
Client losses paid, net of insurance recovery	0	-10
Profit before tax	140	10

(illustrative) Round numbers only. Profit and loss (P&L) shows income less costs for the year.

What this case teaches

- Speed with regulators is part of the response. The SFC expects prompt notice of material cyber

incidents.⁸⁸⁶

- The 98% cold storage standard limits the damage, but not to zero.⁶⁸⁰
- Compensation cover is a real funding plan. The order in which each source pays out shapes the response CONCEPT.
- Vendor risk sits with the platform. The SFC listed a compromised third-party wallet solution among the weaknesses behind overseas losses.⁴⁵³

Modules to revisit

- Module C7 VATP counterparties and the SFC platform regime
- Module D4 Cyber, fraud and technology risk
- Module C6 Financing, shared order books and client withdrawals
- Module C1 Selling, dealing and advising on virtual assets
- Business line: Virtual-asset dealing
- Business line: Banking the digital-asset industry

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CASE STUDY · FICTIONAL

Case 5: The board's strategic plan

Fictional case. All people and firms are invented. Facts about Hong Kong rules are real and cited.

The situation

On 9 March 2026 the Hong Kong Monetary Authority (HKMA) wrote to every authorized institution (a licensed bank or deposit-taker).¹⁹⁸¹ It expects each board to oversee and endorse a formal strategic business plan within six months.¹²⁹ The plan answers technology change, including distributed ledger technology (DLT), a shared digital record kept across many computers.¹⁶⁹

Lanternfield Bank is a fictional, mid-sized Hong Kong bank. It is also a registered institution (RI): a bank registered with the Securities and Futures Commission (SFC) to carry on securities business. You are its head of digital assets. The chief executive asks you to write the plan. The board meets in August, before the six-month mark.

Cast

- **You:** head of digital assets, formerly head of compliance for digital assets.

- **Ada Quillhaven:** chief executive (CEO). She wants a plan the board can act on.
- **Ravi Ledgerfen:** chief financial officer (CFO). He owns the budget and the profit and loss account (P&L), the record of income and costs.
- **Mona Brackenquay:** chief risk officer (CRO). She owns the risk appetite, the amount of risk the bank is willing to accept.
- **Leo Tidequill:** head of wealth and markets. He wants new products this year.
- **Tidewell Ledger Systems:** a fictional vendor selling a ready-made token platform.
- **The supervisor:** the bank's HKMA case team. It acts only as the HKMA's published expectations describe.

Exhibit A: the rules that apply

- The plan should look for chances to change products, revenue models, customer engagement, risk management and operations.¹²⁹
- The bank may build in small, real-world trials through the HKMA's Supervisory Incubator for DLT.¹²⁹
- The HKMA says it will invite some banks to send their plans through its Survey Tool.¹²⁹

- A bank adding new digital-asset activities is still expected to discuss them with the HKMA before launch.¹²⁹
- The board and senior management should understand firm-wide risks, especially from new activities such as cryptoassets.²⁸²
- The HKMA expects the board and senior management to take full responsibility for DLT adoption and its risks.¹⁹⁵⁵
- An RI should tell the SFC and the HKMA before it starts or changes any virtual-asset (VA) activity, including the client types it serves.⁷²

Act 1: What is the plan for?

At the first working meeting, views split. Leo wants a digital-assets product plan. Mona wants a risk document. Ada notes that the circular also names agentic artificial intelligence, cloud and high-performance computing.¹⁹⁸¹

Decision 1: How wide does the plan reach?

- **A.** A bank-wide plan covering every technology the circular names, with digital assets and DLT as one chapter.
- **B.** A plan for digital assets and DLT only, owned by your team.

- **C.** A short statement of principles now, with a detailed plan after new VA laws pass.

Discussion notes

- **Trade-offs.** Option A spreads ownership across many business heads, which is slower to write. Option B is faster and deeper, but covers fewer technologies than the circular names. Option C saves effort now and leaves the detail open.
- **What the rules require.** The HKMA expects a formal plan, endorsed by the board within six months.¹²⁹ The circular frames the plan around products, revenue models, customer engagement, risk management and operations.¹²⁹ The circular also describes banks as a potential link between traditional finance and digital-asset markets.¹⁶⁹
- **What a strong answer covers.** It shows how each option maps to the five areas. It says who owns each chapter and how the board tracks progress. It explains how a principles paper would meet the word "formal".
- **Traps.** Treating endorsement as a one-off signature. Treating the plan as product approval: pre-launch discussion with the HKMA is still expected.¹²⁹ Assuming the six-month timetable waits for new laws. The circular counts six months from its own

date.¹²⁹ Separately, the Government said in June 2026 that a VA bill would go to the Legislative Council (LegCo) this year.¹⁵⁸⁶

Act 2: Which lines lead?

Ravi asks for no more than three priority lines. Tidewell offers a platform discount if the bank signs by June. You shortlist three candidates.

Decision 2: Which business line leads the plan?

- **A. Tokenised funds:** selling tokenised fund units and settling trades with tokenised deposits (bank deposits recorded as tokens).
- **B. Digital bonds:** arranging, selling and holding bonds recorded on DLT.
- **C. VA advice and discretionary management** (managing clients' VA portfolios for them), once the new SFC regimes start.

Discussion notes

- **Trade-offs.** Option A builds on existing fund sales and the deposit base. Option B earns issuer fees and suits corporate clients. Option C is closest to wealth clients but depends on laws not yet passed.
- **What official sources say (A).** The SFC expects sellers of tokenised SFC-authorized products to be

regulated firms that check each client's suitability.⁴¹⁰ In March 2026 the public in Hong Kong could buy 13 tokenised products.⁴²⁶ Their tokenised classes held about HK\$10.7 billion.⁴²⁶ EnsembleTX (the HKMA's live pilot for tokenised deposits) first targets tokenised money market fund trades.⁵⁶³

- **What official sources say (B).** The 2026 Policy Address says Hong Kong-issued digital bonds made up nearly 50% of the global market.⁵⁶⁹ That share covers the period from January 2025 to June 2026.⁵⁶⁹ The Digital Bond Grant Scheme offers up to HK\$2.5 million per eligible issue.¹⁹⁸² The SFC reminds intermediaries to check the issuer and its tokenisation vendors.¹⁸³⁶
- **What official sources say (C).** Under the December 2025 proposals, VA advisers would need an SFC licence or registration, and only banks could register.¹⁹⁸³ In May 2026, the Government and the SFC said they would still consider the start date for the advisory and management regimes.¹²³
- **What a strong answer covers.** It links each line to a named client need. It separates confirmed rules from proposals. It shows which line the bank could start under rules in force today. It tests the vendor deadline against the board timetable.

- **Traps.** Letting a vendor discount set the order of priorities. Counting grant money as recurring income. Treating consultation conclusions as law.

Act 3: How to test, and what to tell the supervisor

The board draft is nearly ready. Mona asks how the bank proves its controls work before a full launch. Ada asks what the supervisor sees, and when.

Decision 3: How does the plan move from paper to practice?

- **A.** Apply to the Supervisory Incubator and run a small live trial first.
- **B.** Hold the pre-launch discussion with the HKMA, notify the SFC, and plan a full launch.
- **C.** Endorse the plan with no launch in its first year, and review it when the VA bill passes.

Discussion notes

- **Trade-offs.** Option A adds time but tests controls on a small scale. Option B is faster to revenue and relies on controls being ready on day one. Option C keeps cost low and leaves the plan's actions thin.
- **What the rules require.** The Incubator gives banks a dedicated HKMA team for feedback and the option

of live trials.²⁴² The HKMA assesses any supervisory flexibility case by case.²⁴² Its factors include the trial's scale, scope and nature.²⁴² Tokenised deposits were a core focus when the Incubator opened.⁶¹⁶ The HKMA expects a bank to get its feedback on risk controls before launching VA products.²¹⁴ Before tokenised securities work, a registered institution should notify the SFC and the HKMA.⁵⁵⁸

- **What a strong answer covers.** It sets trial limits: client numbers, amounts and an exit plan. It names the executive who reports trial results to the board. It prepares the plan for a possible Survey Tool request. It updates technology, continuity and outsourcing policies where DLT changes them.¹⁹⁵⁵
- **Traps.** Reading Incubator entry as approval to launch. Reading case-by-case flexibility as a waiver of rules. Forgetting that the HKMA may invite the bank to submit the plan itself.¹²⁹

Exhibit B: illustrative P&L

Year-three view of each Act 2 option, in HK\$ millions. The numbers are invented to show the shape of each P&L. They are not estimates of any market or firm.

Line (HK\$ million, year 3)	A: Tokenised funds	B: Digital bonds	C: VA advice and management
Fee income	10	15	20

Line (HK\$ million, year 3)	A: Tokenised funds	B: Digital bonds	C: VA advice and management
Deposit income from settlement cash	10	0	0
Technology and vendor cost	-8	-6	-4
Compliance and control staff	-4	-3	-8
Net contribution	8	6	8

(illustrative)

What this case teaches

- The March 2026 circular asks for a board-owned plan, not a product launch.¹²⁹
- Endorsing a plan does not replace pre-launch discussion with the HKMA.¹²⁹
- A plan that separates rules in force from proposals shows the board which priorities could start under today's rules **CONCEPT**.
- Incubator trials let a bank check its risk controls on a small scale before a full launch.²¹⁸
- Commercial choices look different when deposit income, fees and control costs sit side by side **CONCEPT**.

Modules to revisit

- Module B2 Engaging the HKMA and SFC
- Module B3 Governance, risk and technology expectations
- Module C5 Tokenisation: tokenised products, deposits and bonds
- Module E1 What's coming: the pipeline
- Module F2 How regulation writes the P&L
- Business line: Tokenised funds and money market fund settlement
- Business line: Digital bonds: arranging and custody
- Project profile: Supervisory Incubator for DLT

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CASE STUDY · FICTIONAL

Case 6: Stopping a product

Fictional case. All people and firms are invented. Facts about Hong Kong rules are real and cited.

The situation

Kittiwake Bank is a fictional Hong Kong bank. It is a registered institution (RI), a bank registered with the Securities and Futures Commission (SFC) for securities business. It holds virtual assets (VA) such as ether for private-banking clients.

Two years ago Kittiwake launched a staking service. Staking means locking client tokens so a validator can help run a blockchain and earn rewards²⁰². A validator is a firm that runs the computers confirming new blocks CONCEPT. Kittiwake also lends to margin clients so they can buy virtual assets.

The staking service has lost money for four quarters. Rewards have fallen, and the bank's costs have not. The chief executive asks you to lead a review: stop, restructure or keep the service.

Cast

- **You:** head of compliance, digital assets.

- **Oona Pebblemoor:** chief executive (CEO). She wants a decision within one quarter.
- **Felix Ferrywhistle:** chief financial officer (CFO). He owns the profit and loss account (P&L), the record of income and costs.
- **Ruth Harbournlane:** chief risk officer (CRO). She owns the bank's risk appetite.
- **Sanjay Gullsby:** head of private banking. Many of his clients use the service.
- **Pebblecrest Validators:** a fictional outside firm that runs validators for Kittiwake.
- **The supervisor:** the bank's Hong Kong Monetary Authority (HKMA) case team. It acts only as the HKMA's published expectations describe.

Exhibit A: the rules that apply

- A bank offering staking should keep control of everything needed to take client assets out of staking¹⁸⁷⁰. Examples are withdrawal keys and exit messages signed in advance¹⁸⁷⁰.
- The bank should disclose fees, lock-up periods, and the unstaking process and how long it takes¹⁸⁶⁷. It should also disclose the risks and how related losses would be handled¹⁸⁶⁷.

- If the bank outsources staking, it should check the provider first and keep monitoring it ¹⁸⁶⁵.
- A firm that plans to stop or suspend staking should put clients' best interests at the centre of the decision ¹⁸⁷². It should tell all clients the material facts about the exit, in good time ¹⁸⁷². That includes the decision, the options open to clients, such as unstaking, and any material changes during the exit ¹⁹⁸⁴.
- The firm should have operating procedures for events that harm staked assets, including starting withdrawals from staking ¹⁹⁸⁵.
- Intermediaries should notify the SFC, and the HKMA where it applies, before changing their VA activities ²²¹. The list includes other material changes to the arrangements first notified ¹⁹⁸⁶.

Act 1: Stop, restructure or keep?

Felix shows the numbers in Exhibit B. Sanjay argues that staking keeps custody clients at the bank.

Pebblecrest offers a lower fee if Kittiwake signs a three-year contract.

Decision 1: What happens to the staking service?

- A. Stop: close the service to all clients and un stake every position.

- **B. Restructure:** keep the service, sign Pebblecrest's cheaper contract, raise the bank's share of rewards and support fewer tokens.
- **C. Narrow:** keep the service for institutional clients only and close it to everyone else.

Discussion notes

- **Trade-offs.** Option A ends the losses but may cost custody balances and client goodwill. Option B keeps clients and lowers costs, but ties the bank to one vendor for three years. Option C keeps the largest accounts and ends the risk acknowledgements needed from other clients.
- **What the rules require.** Any exit decision is expected to take due account of clients' best interests ¹⁸⁷². Under Option B, the bank keeps checking and monitoring Pebblecrest as an outsourced provider ¹⁸⁶⁵. A higher bank share changes what clients receive. Fees, and how returns are worked out, are part of the information the bank should give clients ¹⁹⁸⁷. Under Option C, institutional and qualified corporate professional investors do not need to sign a risk acknowledgement, but other clients do ¹⁸⁷¹.
- **What a strong answer covers.** It sets out the loss for each option over two or three years, not one quarter.

It counts custody fees at risk if clients leave. It weighs vendor lock-in against lower cost. It asks whether narrowing the client base is itself a change the regulators need to hear about first ¹⁹⁸⁸.

- **Traps.** Judging staking as a stand-alone profit line when it partly supports custody. Treating Option C as low effort: the bank still has to exit the smaller clients fairly ¹⁸⁷².

Act 2: Treating clients on the way out

The committee picks an option that closes staking to at least some clients. Ruth reminds everyone that unstaking takes time on some networks. During that wait, the assets earn nothing and cannot move.

Decision 2: How does Kittiwake take clients out of staking?

- **A. Fixed date:** unstake every affected position on one date, after written notice.
- **B. Client choice:** give clients a window to withdraw, move assets elsewhere or accept unstaking by the bank. Unstake the rest at the end.
- **C. Transfer:** offer to move staked positions to another staking provider, such as an SFC-licensed platform, for clients who agree.

Discussion notes

- **Trade-offs.** Option A is simple and quick to run, but gives clients little control over timing. Option B respects client choice but runs for longer and costs more to operate. Option C keeps clients earning rewards, but adds a new firm and a transfer process.
- **What the rules require.** The firm should tell clients the exit decision, their options and any material changes along the way ¹⁹⁸⁴. Firms should stake client assets only through an SFC-licensed platform or a bank ¹⁸⁶⁶. Before using a provider, the firm should make sure it has SFC approval or has discussed its plans with the HKMA ¹⁹⁸⁹. Staking should follow the client's standing authority or a one-off written direction ¹⁹⁹⁰.
- **What a strong answer covers.** It lists each network's unstaking period and tells clients plainly. It checks that the bank still controls the withdrawal keys and pre-signed exit messages ¹⁸⁷⁰. It plans for a slashing event (a network penalty that takes part of the staked tokens) during the exit CONCEPT. It says who bears such a loss, as the disclosure standard expects ¹⁸⁶⁷.
- **Traps.** Assuming clients can take their assets back the next day. Moving positions under Option C without fresh client direction. Forgetting the reward

payout arrangements the bank disclosed, which still apply to rewards earned before unstaking¹⁸⁶⁷.

Act 3: Telling the regulators, and the sister product

Oona wants one announcement. Felix raises a second product: VA margin financing, which also lost money this year. Some staking clients use it. He asks whether to act on both at once.

Decision 3: How does Kittiwake handle notice and the financing book?

- **A.** Notify the SFC and the HKMA about the staking change before client letters go out. Review margin financing separately next year.
- **B.** Send the regulators one pack before any client letters. It covers the staking exit and a plan to accept only securities as collateral for new VA financing.
- **C.** Announce to clients first, finish the exit, then report to the regulators once it is complete.

Discussion notes

- **Trade-offs.** Option A keeps the staking exit simple and leaves the financing losses running. Option B deals with both at once but makes one larger change

to explain. Option C is fastest for clients but puts the regulators after the event.

- **What the rules require.** The SFC and the HKMA remind intermediaries to notify them before changing VA activities ²²¹. For VA financing, a bank should consider carefully whether relying on VA collateral is prudent ¹⁹⁴². Loans backed only by virtual assets must be treated as clean (unsecured) loans for capital ⁶³³. The bank should not repledge or reuse VA collateral except to enforce it on default ⁶⁵⁹.
- **What a strong answer covers.** It sets out the order of events in each option and tests it against the notice expected before a change ²²¹. It asks whether a change to financing collateral counts as a material change to the arrangements first notified ¹⁹⁸⁶. It shows how margin calls and limits work while collateral terms change ⁶⁴⁸. It gives existing borrowers time and clear notice.
- **Traps.** Treating notice as paperwork done after the decision. Letting the financing review delay the staking exit, or the reverse. Forgetting that financing is open only to the bank's securities margin financing clients ¹⁹⁴¹.

Exhibit B: illustrative P&L

Yearly view of the staking service, in HK\$ millions. The numbers are invented to show the shape of each option. They are not estimates of any market or firm.

Line (HK\$ million a year)	Today	A: Stop (exit year)	B: Restructure
Bank's share of staking rewards	4	1	5
Custody fees linked to staking clients	3	2	3
Validator and vendor fees	-3	-1	-2
Key-control systems and monitoring	-3	-2	-3
Disclosure, compliance and client service	-2	-2	-2
One-off exit costs	0	-2	0
Net contribution	-1	-4	1

(illustrative)

What this case teaches

- Stopping a product is a regulated event, not only a business choice. Clients' interests and timely disclosure shape the exit ¹⁸⁷².
- Exits cost money. In Exhibit B, the exit year looks worse than carrying on.
- The unstaking wait is a client-treatment issue, not only an operations issue.

- Notice to the regulators comes before a change, not after it ²²¹.
- A review of one product often exposes another. Each has its own rules.

Modules to revisit

- Business line: Staking services
- Business line: Virtual-asset financing and margin
- Module C3 Custody of digital assets and key management
- Module C6 Financing, shared order books and client withdrawals
- Module B2 Engaging the HKMA and SFC
- Module F5a Running the business: strategy and P&L
- Module F5b Running the business: operations and control

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CASE STUDY · FICTIONAL

Case 7: The single admin key

Fictional case. All people and firms are invented. Facts about Hong Kong rules are real and cited.

The situation

Wrenhaven Bank is a fictional Hong Kong bank. It is a registered institution (RI), meaning a bank registered with the Securities and Futures Commission (SFC) for securities business. Moonvetch Money Limited is a fictional stablecoin issuer licensed by the Hong Kong Monetary Authority (HKMA). A stablecoin is a token meant to keep a steady value against a currency.

Moonvetch wants Wrenhaven to hold part of its reserves as deposits and to sell its coin to clients. You are head of compliance (digital assets). The chief executive (CEO) wants your sign-off within a month.

During due diligence, Wrenhaven pays an outside firm to review Moonvetch's token contract. A token contract is the program on the blockchain that creates and controls the coin. The review finds that one key can mint (create) coins, burn (destroy) them, freeze a holder's coins and pause all transfers. No timelock applies. A timelock is a built-in delay before an action takes effect.

Cast

- **You.** Head of compliance (digital assets).
- **Hesper Wrenfold, chief executive (CEO).** Wants the deal signed this quarter.
- **Otto Brambleway, chief financial officer (CFO).** Owns the profit and loss (P&L) account, the record of income and costs.
- **Linnea Stoatmere, chief risk officer (CRO).** Owns operational and third-party risk.
- **Casimir Fernhollow, head of wealth.** Plans to sell the coin to wealth clients.
- **Moonvetch Money Limited.** The fictional licensed issuer.
- **Coppergill Code Review.** A fictional firm that reviews blockchain programs. It wrote the finding.
- **The supervisor.** The bank's HKMA case team. It acts only as the HKMA's published expectations describe.

Exhibit A: the rules that apply

As of 25 Sep 2026. "Licensee" below means the licensed issuer.

- A licensee should document the design of all its coin's smart contracts, including token, proxy and multi-signature contracts, and whether they can be

upgraded ¹⁹⁹¹. A smart contract is a program that runs on a blockchain.

- It should list every lifecycle operation. The list includes deploy, mint, burn, upgrade, pause, blacklist and freeze ¹⁹⁹².
- High-risk operations should be built so no single party can carry them out alone, for example through multi-signature approval ¹⁹⁹². Multi-signature means several keys must approve one action.
- Where relevant, extra safeguards include velocity limits, minting only to whitelisted addresses, and timelocks on some operations ¹⁹⁹². A velocity limit caps how much can move in a set time.
- Duties should be split between authorised staff. No one person should have full control over role management, such as assigning roles or changing approval rules ¹⁹⁹³.
- A qualified outside firm should audit the smart contracts at least once a year. It should also audit them at each deployment, redeployment or upgrade ¹⁹⁹⁴.
- Keys used for deployment, upgrades, role management or large-scale minting and burning generally count as significant keys. They should meet higher security standards ¹⁹⁹⁵.

- Significant keys should be generated offline in an air-gapped setting, meaning one with no network link. The key ceremony should involve a minimal number of authorised staff ¹⁹⁹⁶.
- An issuer may freeze coins promptly when regulators or law enforcement ask, or a court orders it. The HKMA lists this as one possible measure ¹⁹⁹⁷. After filing a suspicious transaction report, an issuer should review the client relationship and take suitable steps. Examples include freezing or burning coins when law enforcement asks ¹⁹⁹⁸.
- An issuer should have procedures to tell the HKMA in good time when its incident response is, or is likely to be, triggered ¹⁹⁹⁹.
- Before launching virtual asset services, banks should discuss them with the HKMA and get its feedback on their controls ²¹⁴.

Act 1: The finding lands

Hesper wants to sign now and fix the contract later. Otto points out that the reserve deposits are a large new balance. Linnea asks who holds the single key today.

Decision 1: What does Wrenhaven do with the finding before signing?

- A. Sign now, and record the finding as a follow-up for Moonvetch.
- B. Share the finding with Moonvetch and make a fix a condition before signing.
- C. Sign the deposit side only, and hold back distribution until the fix is verified.

Discussion notes

- Trade-offs. Option A keeps the timetable but leaves a known gap open. Option B protects the bank but may cost the deal. Option C splits the risk, yet the deposits still depend on the same coin.
- What the rules say. The HKMA expects Moonvetch to design high-risk operations so no single party acts alone ¹⁹⁹². A strong answer asks how a single key that can mint, burn, freeze and pause fits that expectation CONCEPT.
- The bank's own duty. The HKMA expects banks to assess risks before any virtual asset activity ²⁰⁰⁰. A virtual asset service provider (VASP) is a firm offering virtual asset services, such as an issuer of virtual assets. A bank dealing with a VASP may need extra checks. These include understanding its

business and assessing its anti-money laundering controls ⁸³⁰.

- The issuer checks the bank too. Moonvetch should confirm its distributors are permitted offerors and should assess their controls ¹⁹⁶³. Due diligence runs both ways CONCEPT.
- A strong answer asks whether the design is already documented. The HKMA expects that record to exist ¹⁹⁹¹.
- A strong answer keeps the finding in writing and routes it to the board CONCEPT.
- Trap: reading a licence as proof that every control is in place CONCEPT.

Act 2: What to require

Moonvetch agrees to change its setup. Its team argues that freeze and burn powers serve lawful purposes. The HKMA's anti-money laundering (AML) guideline for issuers lists prompt freezing on law enforcement requests as one possible measure an issuer may use ¹⁹⁹⁷. After a suspicious transaction report, it gives freezing or burning coins at law enforcement request as an example step ¹⁹⁹⁸. So the discussion turns to how the powers are controlled.

Decision 2: Which controls does Wrenhaven require, and how does it verify them?

- A. Accept Moonvetch's written statement that controls now meet the guideline.
- B. Require multi-signature approval, role separation and timelocks, and verify with a new outside audit.
- C. Do option B, and also ask to observe evidence of the key ceremony and to test the pause procedure.

Discussion notes

- Trade-offs. Option A is quick but gives little assurance. Option B adds cost and time. Option C gives the most comfort but asks more of Moonvetch.
- What the rules expect. High-risk operations should need more than one party¹⁹⁹². Staff duties should be split, and no one person should have full control over role management¹⁹⁹³.
- Timelocks and limits. The HKMA lists timelocks, velocity limits and whitelisted minting addresses as safeguards where relevant¹⁹⁹². A strong answer asks which apply to which operation.
- A timelock can clash with urgency. The AML guideline for issuers speaks of freezing promptly on requests from regulators, law enforcement or courts¹⁹⁹⁷. A strong answer asks how Moonvetch balances a delay against that need CONCEPT.

- Audits. Moonvetch should use a qualified firm at least yearly and at every upgrade ¹⁹⁹⁴. Factors in judging that firm include size, expertise, track record and presence in Hong Kong ¹⁹⁹⁴.
- Keys. Upgrade and role keys generally count as significant keys ¹⁹⁹⁵. They should be generated offline in an air-gapped setting ¹⁹⁹⁶.
- A strong answer turns each control into a contract term and a yearly evidence request CONCEPT.
- Trap: checking the contract once and not after upgrades CONCEPT.

Act 3: The pause

Six months after launch, on a busy payment day, all transfers of the coin stop. Moonvetch confirms a pause was triggered. It does not yet know why. Casimir's clients are calling. Some need to pay suppliers today.

Decision 3: How does Wrenhaven respond?

- A. Tell clients it is Moonvetch's issue and wait for news.
- B. Tell clients what is known and not known, log each request, and offer redemption through Moonvetch.
- C. Do option B, and also brief the supervisor on the bank's own exposure the same day.

Discussion notes

- Trade-offs. Option A limits what the bank says but may harm trust. Option B takes staff time. Option C adds a supervisory contact while facts are still thin.
- The issuer's duties. Moonvetch should keep issuance, redemption and distribution orderly when normal operations break ²⁰⁰¹. It should have procedures to tell the HKMA in good time when its incident response is, or is likely to be, triggered ¹⁹⁹⁹.
- Redemption timing. Valid redemption requests should be processed within one business day unless the HKMA approves otherwise ¹⁸⁵⁹. Any delay beyond that should first have the HKMA's written consent ¹⁷³¹.
- Evidence. Moonvetch should preserve forensic evidence and later find the root cause ¹⁷³⁰.
- The bank's side. Banks should manage and reduce the risks they identify ²⁰⁰⁰. A strong answer checks the bank's own HKMA reporting duties rather than assuming the issuer's notice covers them CONCEPT.
- Clients. When dealing in the coin, an RI should disclose how it keeps its value and how redemption works ¹⁹⁶⁵. A strong answer checks that earlier disclosures match what clients now face CONCEPT.

- Trap: promising clients a restart time the bank cannot control CONCEPT.

Exhibit B: illustrative P&L

Figures in HK\$ million a year. All numbers are invented to show the shape, not real prices.
(illustrative)

Line	Sign now, fix later	Conditions and verification first
Net interest on reserve deposits	20	16
Distribution fees	5	4
Outside audit and technical review	-1	-3
Compliance and monitoring	-4	-5
Incident handling and client redress	-6	-2
Profit before tax	14	10

(illustrative) Round numbers only. Net interest means interest earned minus interest paid. The incident line shows the cost of one event, not a prediction.

What this case teaches

- A token contract's control design is part of partner due diligence CONCEPT.

- The HKMA expects high-risk token operations to need more than one party ¹⁹⁹².
- After a suspicious transaction report, the HKMA gives freezing or burning coins at law enforcement request as an example step ¹⁹⁹⁸. The design question is who can use such powers and how CONCEPT.
- Contract audits are expected yearly and at every upgrade ¹⁹⁹⁴.
- In an incident, the bank's duties and the issuer's duties run side by side CONCEPT.

Modules to revisit

Module D3 covers anti-money laundering (AML) and counter-financing of terrorism (CFT) rules.

- Module C4 Stablecoins
- Module C3 Custody of digital assets and key management
- Module D4 Cyber, fraud and technology risk
- Module B3 Governance, risk and technology expectations
- Module D3 AML/CFT for digital assets at a bank
- Business line: Stablecoin roles for banks

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COMPARISON · FACTS ONLY, NO RANKING

Hong Kong, Singapore and Dubai: the rules side by side

This page lets you compare, fact by fact, how three financial centres treat five digital-asset topics. It covers Hong Kong, Singapore and Dubai in the United Arab Emirates (UAE). After reading it, you can explain where the rules line up and where they differ, with the source for each point.

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How to read this page

- Each table puts one fact per cell. Every cell ends with a small source button. Tap it to see the document and the exact paragraph.
- Hong Kong facts link to official Hong Kong sources. Their buttons are solid blue.
- Singapore facts link to documents from the Monetary Authority of Singapore (MAS), Singapore's central bank and financial regulator.
- Dubai facts link to documents from the Virtual Assets Regulatory Authority (VARA), Dubai's regulator for virtual assets.

- MAS and VARA are official in their own countries, but not in Hong Kong. So their buttons have a dotted outline and start with the word *Foreign*.
- Where a source we reviewed gives no fact for a cell, the cell says *Not stated in the sources reviewed*. That does not mean no rule exists.
- Force words follow each source. *Must* or *requires* marks a binding rule. *Should* or *expects* marks guidance. *Stated target* marks a government aim.
- This page compares facts only. It does not rank the three places or say which is better.
- Hong Kong facts are as of 25 Sep 2026. MAS and VARA pages were saved on 26 Sep 2026.

Words used on this page

- **Virtual asset (VA), plural VAs:** a crypto token such as bitcoin, in the legal sense each regulator uses.
- **VA trading platform (VATP):** a Hong Kong crypto exchange holding a licence from the Securities and Futures Commission (SFC).
- **Hong Kong Monetary Authority (HKMA):** Hong Kong's banking regulator and central bank.
- **Authorized institution (AI):** a bank or deposit-taker authorized by the HKMA.

- **Registered institution (RI), plural RIs:** a bank registered with the SFC to carry on securities business.
- **Virtual asset service provider (VASP), plural VASPs:** a firm licensed by VARA for a VA activity.
- **Digital payment token (DPT):** Singapore's legal term for payment-type crypto tokens.
- **Fiat-referenced virtual asset (FRVA), plural FRVAs:** VARA's term for a stablecoin tied to a government currency.
- **Asset-referenced virtual asset (ARVA):** VARA's term for a token tied to the value of other assets.
- **Central Bank of the UAE (CBUAE):** the UAE's federal central bank.
- **UAE dirham (AED):** the UAE's currency.
- **Distributed ledger technology (DLT):** shared digital record-keeping, such as a blockchain.
- **Cold storage:** keeping the keys that move tokens on devices that are not connected to the internet.
- **Tokenisation:** recording an asset, such as a bond or a deposit, as a token on a distributed ledger.

1. Trading-platform licensing

Item	Hong Kong	Singapore (MAS)	UAE / Dubai (VARA)
Who needs a licence	From 1 June 2023, a centralised VA trading platform operating in Hong Kong has had to seek an SFC licence ²⁰⁰² .	MAS's 2025 media release says firms serving only customers outside Singapore have needed a digital token service provider (DTSP) licence since 30 June 2025 ²⁰⁰³ .	VARA's 2023 Regulations (version of 19 May 2025) bar any firm from carrying on a VA activity as a business in Dubai without a VARA licence, unless it is exempt ²⁰⁰⁴ .
Law used	The platform licence is granted under the Securities and Futures Ordinance, the anti-money-laundering ordinance (Cap. 615), or both ²⁰⁰² .	The same MAS release says firms serving customers in Singapore are regulated under the Payment Services Act 2019, the Securities and Futures Act 2001 or the Financial Advisers Act 2001 ²⁰⁰⁵ .	VARA's Virtual Assets and Related Activities Regulations 2023 require a firm to hold a licence for each VA activity it carries on in Dubai ²⁰⁰⁶ .

Item	Hong Kong	Singapore (MAS)	UAE / Dubai (VARA)
Licensing stance	Not stated in the sources reviewed.	MAS says it has set a high bar for the offshore-only DTSP licence and will generally not grant one ²⁰⁰³ .	VARA's register says a firm holding an in-principle approval (IPA), an early conditional step, may not operate or serve clients until fully licensed ²⁰⁰⁷ .
Count	The SFC list showed 13 licensed platforms at its 29 May 2026 update ³⁰³ .	The MAS directory showed 38 firms offering DPT services on 26 Sep 2026, all with Major Payment Institution licences (reported register count; covers all DPT services, not only exchanges) ²⁰⁰⁸ .	VARA's public register showed 56 fully licensed VASPs on 26 Sep 2026 (reported register count; covers all VA activities, not only exchanges) ²⁰⁰⁹ .

Item	Hong Kong	Singapore (MAS)	UAE / Dubai (VARA)
Minimum capital	A platform must hold at least HK\$5 million of paid-up share capital at all times ²⁰¹⁰ .	Not stated in the sources reviewed.	Not stated in the sources reviewed.
Retail clients	A platform should assess each investor's VA knowledge before opening an account. Institutional investors and qualified corporate professional investors are exempt ²⁰¹¹ .	MAS's 2024 guideline on DPT service providers sets retail-specific expectations, such as limits on lending and staking retail clients' assets ²⁰¹² .	VARA's 2025 Market Conduct Rulebook lets a firm serve only the investor types VARA permits: Retail, Qualified or Institutional ²⁰¹³ .

Item	Hong Kong	Singapore (MAS)	UAE / Dubai (VARA)
Trading for own account	A platform should not trade VAs for its own account. The exceptions are off-platform back-to-back deals (buying and selling at the same time to fill a client order) and cases the SFC allows ²⁰¹⁴ .	Not stated in the sources reviewed.	VARA prohibits VASPs from actively investing their own or their group's portfolio; prudent treasury management is allowed ²⁰¹⁵ .
Settlement time	Not stated in the sources reviewed.	Not stated in the sources reviewed.	VARA's 2026 Exchange Services Rulebook requires final settlement within 24 hours of a trade, subject to factors outside the exchange's control ²⁰¹⁶ .
Status and as-of date	In force; SFC list as updated 29 May 2026 ¹⁹⁰⁹ .	DTSP rule in force from 30 June 2025, per MAS's release of 6 June 2025 ²⁰⁰³ .	Regulations version dated 19 May 2025 ²⁰¹⁷ . Register captured 26 Sep 2026 ²⁰⁰⁹ .

2. Stablecoin regime

Item	Hong Kong	Singapore (MAS)	UAE / Dubai (VARA)
Legal basis and start	The Stablecoins Ordinance (Cap. 656) came into operation on 1 August 2025 ¹⁵ .	MAS announced its finalised stablecoin framework in a media release on 15 August 2023 ²⁰¹⁸ . The framework is not yet in law; the law changes to bring it in went to consultation on 1 September 2026 ²⁰¹⁹ .	VARA's 2025 Virtual Asset Issuance Rulebook makes issuing an FRVA a Category 1 activity that needs a VARA licence ²⁰²⁰ .
Law change still pending	Not stated in the sources reviewed.	On 1 September 2026 MAS consulted on proposed changes to the Payment Services Act 2019 to put the framework into law ²⁰¹⁹ .	Not stated in the sources reviewed.

Item	Hong Kong	Singapore (MAS)	UAE / Dubai (VARA)
Which coins are covered	A licence is needed to issue a specified stablecoin (the kind the Ordinance covers) in Hong Kong. It is also needed to issue one anywhere that tracks the Hong Kong dollar, even partly ²⁰²¹ .	The framework is for single-currency stablecoins issued in Singapore and tied to any G10 currency (a set of major world currencies) or the Singapore dollar ²⁰²² .	VARA does not approve stablecoins that track the AED; those stay solely with the CBUAE ²⁰²³ .
Reserve backing	The market value of reserves must always be at least the par value (face value) of coins in circulation ²⁰²⁴ .	The framework sets requirements on the make-up, valuation, custody and audit of reserve assets ²⁰²² .	An FRVA issuer must keep reserves that back its coins at least 100% at all times ²⁰²⁵ .

Item	Hong Kong	Singapore (MAS)	UAE / Dubai (VARA)
Redemption	Issuers must honour valid requests as soon as practicable, without an unreasonable fee or unduly burdensome condition. The guideline adds that valid requests should be processed within one business day, unless otherwise approved ¹⁸⁵⁹ .	Under the framework (not yet in law), issuers must pay holders the par value within five business days of a request ²⁰²² .	Issuers must complete valid par redemptions within one working day and without fees. If a major disruption affects the reserve assets, the one day counts from when the disruption ends ²⁰²⁶ .
Issuer capital	A licensee must hold at least HK\$25 million of paid-up capital ¹⁶⁰³ . A bank licensee follows the Banking Ordinance instead ¹⁶⁰⁴ .	Under the framework, issuers must hold minimum base capital and liquid assets; the release gives no amount ²⁰²² .	An FRVA issuer must keep paid-up capital of AED 1.5 million plus 2% of the value of its available coin supply ²⁰²⁷ .
Interest to holders	Licensees must not pay interest or any yield linked to holding a coin ⁴⁹⁹ .	Not stated in the sources reviewed.	Not stated in the sources reviewed.

Item	Hong Kong	Singapore (MAS)	UAE / Dubai (VARA)
Audit and disclosure	The HKMA expects an independent auditor to attest regularly that reserves fully back the coins ²⁰²⁸ .	Under the framework, issuers must disclose how value is kept stable, what rights holders have, and reserve audit results ²⁰²² .	Issuers must commission an independent audit of coins and reserves every month ²⁰²⁹ .
Marketing and labels	A licensee may engage only listed <i>permitted offerors</i> to offer its coins, and banks are on that list ⁵⁰⁰ .	Under the framework, only issuers meeting every requirement may apply for the MAS- <i>regulated stablecoin</i> label; misusing it may bring penalties ²⁰³⁰ .	Marketing must make clear that no deposit guarantee or investor protection scheme covers FRVAs ²⁰³¹ .

Item	Hong Kong	Singapore (MAS)	UAE / Dubai (VARA)
Licensed issuers	The HKMA register lists two licensed issuers, both from 10 April 2026 ⁶⁰ . On 28 April 2026 both had confirmed they had not issued any regulated stablecoin ⁵¹¹ . On 16 September 2026 a Government spokesman said the first regulated stablecoin in Hong Kong had launched in August 2026 ⁵⁰³ . The official sources reviewed do not name the issuer.	Not stated in the sources reviewed.	Not stated in the sources reviewed.

Item	Hong Kong	Singapore (MAS)	UAE / Dubai (VARA)
Status and as-of date	In force since 1 August 2025 ¹⁵ .	Framework finalised on 15 August 2023 ²⁰¹⁸ . Not yet in law; changes to the Payment Services Act 2019 under consultation from 1 September 2026 ²⁰¹⁹ .	Rulebook version dated 19 May 2025; captured 26 Sep 2026 ²⁰³² .

3. Custody rules

Item	Hong Kong	Singapore (MAS)	UAE / Dubai (VARA)
Who the rules cover	The HKMA's May 2026 custody standards apply to banks, and to subsidiaries of local banks, that hold digital assets for clients ²⁰³³ . The SFC's platform guidelines cover licensed platforms ²⁰³⁴ .	MAS's 2024 guideline covers DPT service providers, including some exempt payment service providers named in the Payment Services Act ²⁰³⁵ .	VARA's 2025 Custody Services Rulebook covers VASPs licensed for custody ²⁰³⁶ .

Item	Hong Kong	Singapore (MAS)	UAE / Dubai (VARA)
Cold storage share	The HKMA expects a bank to keep 98% of client VAs in cold storage ²⁸³ . A platform should do the same ²⁰³⁷ .	MAS expects at least 90% of customer assets held in trust to sit in cold wallets at all times ²⁰³⁸ .	VARA says a custodian should choose its mix of hot and cold wallets through a risk-based analysis ²⁰³⁹ .
Keeping client assets apart	The HKMA expects a bank to keep clients' digital assets in their own client accounts, apart from the bank's assets ⁷⁵ .	Where a provider runs the customer trust account itself, MAS expects it to keep customers' assets at different blockchain addresses from its own ²⁰⁴⁰ .	A custodian must keep each client's VAs in separate wallets that hold only that client's assets ²⁰⁴¹ .
Lending or pledging client assets	The HKMA expects a bank not to lend or pledge client digital assets, except for settlement and fees, with prior explicit written consent, or where law requires ²⁰⁴² .	MAS expects providers not to let retail customers pledge, lend or stake their assets ²⁰⁴³ .	A custodian must not allow reuse of custody assets as collateral, even with client consent ²⁰⁴⁴ .

Item	Hong Kong	Singapore (MAS)	UAE / Dubai (VARA)
Where keys or staff sit	The HKMA expects seeds and private keys to be created, stored and backed up in Hong Kong ¹⁸³³ .	MAS expects the staff and senior managers who control movements of customer assets to live in Singapore ²⁰⁴⁵ .	Not stated in the sources reviewed.
Legal structure	A platform should hold client assets on trust through its associated entity (a group company set up to hold client assets) ²⁰³⁴ .	Customers' assets sit in a trust account. A provider may run it itself or use an outside safeguarding person; MAS does not require the outside option ²⁰⁴⁶ .	A custodian must be a legal entity separate from group companies that run other VA activities ²⁰⁴⁷ .
Planned changes	The Government and SFC aim to put a VA custodian licensing bill to the Legislative Council in 2026 (stated target) ¹⁶²⁶ .	Not stated in the sources reviewed.	Not stated in the sources reviewed.
Status and as-of date	HKMA standards issued 27 May 2026 and in force ⁷⁶ .	Guideline in effect from 4 October 2024 ²⁰⁴⁸ .	Rulebook version dated 19 May 2025; captured 26 Sep 2026 ²⁰⁴⁹ .

4. Bank participation

Item	Hong Kong	Singapore (MAS)	UAE / Dubai (VARA)
Banks issuing stablecoins	A bank may apply for a stablecoin issuer licence; a bank incorporated overseas does not need a local subsidiary ¹⁸⁵⁷ .	Not stated in the sources reviewed.	Not stated in the sources reviewed.
Banks holding reserves or client money	The HKMA names licensed banks as eligible custodians for stablecoin reserve assets ¹⁵¹⁴ . A platform's client money should go into segregated accounts at an authorized financial institution in Hong Kong ²⁰⁵⁰ .	Not stated in the sources reviewed.	A VASP must keep client money only at authorised deposit-taking banks outside its own group ²⁰⁵¹ . Money of UAE clients must be held at banks in the UAE ²⁰⁵² .
Banks offering VA dealing	Banks acting as RIs may offer VA dealing only by partnering with SFC-licensed platforms ⁴⁷ . They should serve only their securities-dealing (Type 1) clients ⁷⁰⁶ .	Not stated in the sources reviewed.	Not stated in the sources reviewed.

Item	Hong Kong	Singapore (MAS)	UAE / Dubai (VARA)
Banks offering custody	A bank should discuss VA custody plans with the HKMA first and show it meets the HKMA standards ⁷⁶ . Under the custodian-regime conclusions, banks that safekeep keys for client VAs are to need a licence or registration ¹³ .	Not stated in the sources reviewed.	Not stated in the sources reviewed.
Banks as clients	Not stated in the sources reviewed.	Not stated in the sources reviewed.	VARA treats any firm regulated by a financial regulator, such as the CBUAE, as an Institutional Investor ²⁰⁵³ .

Item	Hong Kong	Singapore (MAS)	UAE / Dubai (VARA)
Bank capital	For the riskiest class of cryptoassets (Group 2b), a bank should apply a 1,250% risk weight ¹⁵⁸⁷ . The bank applies this weight to the larger of two totals: its long position (what it holds) or its short position (what it has sold without holding) ¹⁵⁸⁷ . A risk weight sets how much capital a bank holds against an exposure; a higher weight means more capital.	Not stated in the sources reviewed.	Not stated in the sources reviewed.
Banks in joint programmes	The HKMA named seven Tokenised Deposit Banks for its Project Ensemble pilot (EnsembleTX) ¹⁴⁶¹ .	MAS's Guardian programme has an Industry Group that includes commercial banks ²⁰⁵⁴ .	Not stated in the sources reviewed.

Item	Hong Kong	Singapore (MAS)	UAE / Dubai (VARA)
Status and as-of date	In force, except the custodian regime (conclusions published, not yet law) ¹⁶²⁶ .	Guardian page dated 12 November 2025; captured 26 Sep 2026 ²⁰⁵⁵ .	Rulebooks dated 19 May 2025; captured 26 Sep 2026 ²⁰⁵⁶ .

5. Tokenisation initiatives

Item	Hong Kong	Singapore (MAS)	UAE / Dubai (VARA)
Main official programme	On 13 November 2025 the HKMA launched the real-value pilot phase of Project Ensemble (EnsembleTX) ⁶¹⁵ .	MAS runs Guardian, a joint programme of policymakers and industry to trial asset tokenisation ²⁰⁵⁷ .	Not stated in the sources reviewed.
What it tests	EnsembleTX starts with tokenised deposits used in tokenised money market fund deals and in real-time liquidity and treasury management ⁵⁶³ .	Guardian supports industry trials in tokenised funds, bonds, stablecoins and bank liabilities, across several currencies ²⁰⁵⁷ .	VARA's rules make issuing an ARVA a Category 1 activity that needs a VARA licence ²⁰²⁰ .

Item	Hong Kong	Singapore (MAS)	UAE / Dubai (VARA)
Settlement money	EnsembleTX first settles between banks through the Hong Kong dollar Real Time Gross Settlement (RTGS) system, moving over time to tokenised central bank money, round the clock ¹¹¹³ .	Not stated in the sources reviewed.	Activities involving a UAE central bank digital currency stay solely under the CBUAE ²⁰⁵⁸ .
Government bonds	In November 2025 the Government priced about HK\$10 billion of digital green bonds, with an option to settle the HK dollar and renminbi parts of the issue in tokenised central bank money ²⁰⁵⁹ . The bonds cleared and settled through the Central Moneymarkets Unit (CMU) ²⁰⁶⁰ .	Not stated in the sources reviewed.	Not stated in the sources reviewed.

Item	Hong Kong	Singapore (MAS)	UAE / Dubai (VARA)
Grants	The Digital Bond Grant Scheme covers 50% of eligible issuance costs, up to HK\$1.25 million (half grant) or HK\$2.5 million (full grant) per issue ¹³⁹⁷ .	A Global-Asia Digital Bond Grant scheme supports digital bond issuance in Singapore ²⁰⁶¹ .	Not stated in the sources reviewed.
Cross-border work	The HKMA works with the central banks of mainland China, Thailand, the UAE and Saudi Arabia on Project mBridge. It studies how DLT can support real-time cross-border foreign exchange deals, and has been at <i>Minimum Viable Product</i> stage (a first working version) since June 2024 ¹¹⁴⁴ .	Guardian's Policymaker Group includes MAS, the UK Financial Conduct Authority, Japan's Financial Services Agency, the International Monetary Fund and the World Bank ²⁰⁶² .	Not stated in the sources reviewed.

Item	Hong Kong	Singapore (MAS)	UAE / Dubai (VARA)
Tokenised deposits in stablecoin rules	Not stated in the sources reviewed.	Not stated in the sources reviewed.	VARA's FRVA rules exclude tokenised bank deposits used only for settlement between banks ²⁰⁶³ .
Next steps	The HKMA plans to add settlement in central bank digital currency (CBDC) and round-the-clock operation to EnsembleTX by around end-2026 (stated target) ¹⁵⁷ . The Policy Address says CMU OmniClear Limited (OmniClear) is to set up a digital asset platform in 2026 for issuing and settling digital bonds (stated target) ⁵⁸⁸ .	Not stated in the sources reviewed.	Not stated in the sources reviewed.

Item	Hong Kong	Singapore (MAS)	UAE / Dubai (VARA)
Status and as-of date	EnsembleTX is a pilot running through 2026 ¹¹¹³ .	Guardian page dated 12 November 2025; captured 26 Sep 2026 ²⁰⁵⁵ .	Rulebook version dated 19 May 2025; captured 26 Sep 2026 ²⁰³² .

Common misunderstandings

- **Myth:** Dubai means the whole UAE. **Fact:** VARA's rules cover Dubai but exclude the Dubai International Financial Centre (DIFC) ²⁰⁶⁴.
- **Myth:** MAS's 38 DPT firms are all exchanges. **Fact:** The MAS directory count covers every firm licensed for DPT services, not only trading venues ²⁰⁰⁸.
- **Myth:** The three redemption deadlines are the same. **Fact:** Hong Kong expects one business day ¹⁸⁵⁹. Singapore's framework, not yet in law, sets five business days ²⁰²². Dubai requires one working day ²⁰⁶⁵.
- **Myth:** *Not stated* means there is no rule. **Fact:** It means only that the sources on this page do not say. The regulator may have other documents on the point.

Official documents to read first

1. SFC guidelines for licensed VA trading platforms (June 2023) ¹⁴⁵.
2. HKMA guideline for licensed stablecoin issuers (August 2025) ²⁰²⁴.
3. HKMA, custody standards annex (May 2026) ⁷⁵.
4. MAS, media release on the finalised stablecoin framework (15 August 2023) ²⁰²².
5. MAS, Guidelines on Consumer Protection Measures by DPT Service Providers (2024) ²⁰³⁸.
6. VARA, Virtual Asset Issuance Rulebook (19 May 2025) ²⁰²⁰.
7. VARA, Custody Services Rulebook (19 May 2025) ²⁰⁴¹.

Open questions

- Singapore's detailed rules for platforms serving Singapore customers were not captured. For the DTSP regime, only the June 2025 media release was reviewed.
- The CBUAE's rules for AED-linked stablecoins were not captured, so the UAE stablecoin row covers Dubai's non-AED coins only.
- No source reviewed gives the number of licensed stablecoin issuers in Singapore or Dubai.

- No source reviewed says whether Singapore or Dubai banks need a separate licence to offer VA dealing or custody.
- The Hong Kong custodian and dealing bills were not yet law on 25 Sep 2026.

Related modules

- F2 How regulation writes the P&L
- F3 Market structure: who does what
- C3 Custody of digital assets and key management
- C4 Stablecoins
- C5 Tokenisation: tokenised products, deposits and bonds
- C7 VATP counterparties and the SFC platform regime
- E2 Wholesale money, CBDC and cross-border projects
- Business lines: *Virtual-asset custody* and *Stablecoin roles for banks*

For general information only. Not legal or regulatory advice. Always check the official source.

Answers to "Check yourself"

A1 The Hong Kong digital-asset map

- 1. Which regulator is your bank's day-to-day supervisor once it registers with the SFC as an RI?**
The HKMA is the bank's day-to-day, frontline supervisor.⁴² The SFC keeps ultimate responsibility but may rely on that supervision.⁴²
- 2. What share of client virtual assets does the HKMA's 2026 custody annex expect a bank to keep in cold storage?**

The HKMA's 2026 custody annex expects banks to keep 98% of client VAs in cold storage (offline).⁶³

- 3. Is the coming VA dealing and custody licensing regime already in force?**
No. It is at the consultation-conclusions stage, not law.⁸¹ On 24 June 2026 the SFST said the bill would be introduced this year.¹⁷ As of 25 Sep 2026, no bill text appears in the documents reviewed.
- 4. What does the HKMA expect your bank to do before launching any new virtual-asset activity?**
The bank should discuss the planned activity with the HKMA before launch, and get feedback on its risk controls.⁵⁸

5. Does being on the SFC's VATP applicant list mean a platform is licensed?

No. Applicants are not licensed, even those allowed to keep operating while they apply. Only the licensed list shows licensed platforms. ⁷⁷

A2 How Hong Kong rules are made and how to read them

1. Who issues the notice that sets the Stablecoins Ordinance's start date?

The Secretary for Financial Services and the Treasury (SFST) made the notice. It was gazetted on 6 June 2025 and set 1 August 2025 as the start date. ⁹²

2. Using the stablecoin regime as the example, what are the five steps from proposal to a rule in force?

Consultation paper, Government conclusions ⁸⁹, a gazetted bill passed by LegCo ^{90,91}, a Gazette notice setting the start date ⁹², then a transition period. ⁹¹

3. Does the word should in the HKMA's AML/CFT Guideline mean a requirement is optional?

No. In that Guideline, both must and should mark a mandatory requirement. ⁹⁶

4. Which text prevails when CRP-1 and the Banking (Capital) Rules (BCR) differ?

Follow the BCR. Where CRP-1 and the BCR differ, the BCR take priority. ¹¹⁰

5. Do the dealing conclusions let existing VA firms be treated as licensed while they apply under the planned regime?

No. The conclusions offer existing providers no such arrangement. ^{81,53} They encourage early contact with the SFC or HKMA, for example pre-application. ¹¹⁵

A3 Where policy is heading

1. Which body does Policy Statement 2.0 propose as lead licensing authority for digital-asset dealing and custody?

Policy Statement 2.0 proposes the SFC as the lead authority for licensing and registering digital-asset dealers and custodians. ⁶⁷ For banks, the HKMA is named frontline regulator. ⁶⁷

2. How long does the March 2026 business-model circular give each board to endorse its strategic business plan?

The HKMA expects the board to oversee and endorse the plan within six months of the 9 March 2026 circular. ¹²⁹

3. Is the 2026 digital-asset licensing bill already law?

No. It is a stated target.¹⁵³ In June 2026 the government said it would introduce the bill this year.¹⁷ As of 25 Sep 2026, the bill is not in the documents reviewed.

4. What does the March 2026 business-model circular restate about launching a new digital-asset activity at your bank?

It restates that a bank planning new digital-asset activities is expected to discuss its plans with the HKMA before launch.¹²⁹

5. Does Policy Statement 2.0's use of the term digital assets mean the law changed the legal term too?

No. The anti-money-laundering law still uses the legal term virtual asset, under AMLO section 53ZRA.

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B1 Your bank's legal status for digital assets

1. Which regulator is the front-line, day-to-day supervisor of a bank that is a Registered Institution (RI)?

The HKMA is the RI's front-line supervisor.⁴² The SFC holds ultimate responsibility but may rely on that supervision.¹

2. How many executive officers must an RI have for each regulated activity?

At least two executive officers per regulated activity, each with the Monetary Authority's written consent.

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3. Does the May 2026 Relevant Stablecoin circular bind every authorized institution (AI)?

No. That circular is addressed to RIs only.¹⁸³ A separate HKMA letter covers all AIs that deal in, advise on or manage Relevant Stablecoins.¹⁷⁹

4. What should your RI do before starting or changing a VA dealing, advice or asset-management activity?

Tell the SFC and HKMA in advance, including for any change in the type of clients it serves.⁷²

5. Under the proposed custodian regime, would a VA custodian owned by a locally incorporated bank be regulated like the bank?

No. Under the proposal, the SFC would regulate that custodian, while the HKMA would be frontline regulator for the bank.¹⁷⁸ This is a proposal, not yet law.

B2 Engaging the HKMA and SFC

- 1. Which regulator does the HKMA expect a bank to talk to before launching any virtual-asset activity?**

The HKMA, and other regulators where relevant.

The bank should discuss the plan first and get feedback on its risk controls before launch. ²¹⁴

- 2. How long did the March 2026 circular give each bank's board to endorse its strategic business plan?**

The HKMA expects the board to endorse it within six months of 9 March 2026. ²¹⁹ That window ran to about 9 September 2026. ²¹⁹

- 3. Did admission to the HKMA's stablecoin issuer sandbox (now superseded) mean the HKMA had endorsed the firm?**

No. Admission did not mean HKMA endorsement or regulation. A licence would need a separate application. ²³⁰

- 4. What must your bank do when it acquires a new type of cryptoasset?**

Notify the HKMA, and treat the asset as Group 2b until the HKMA agrees the bank's own classification.

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5. Does Supervisory Incubator participation guarantee supervisory flexibility?

No. Incubator participants may get some supervisory flexibility, but it is decided case by case.

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B3 Governance, risk and technology expectations

1. Which HKMA guideline requires a money-laundering and terrorist-financing risk assessment before a new VA product launches?

The HKMA's AML/CFT Guideline requires this assessment before any new product, business practice or technology goes live. ²⁴⁵

2. What percentage of client virtual assets should sit in cold storage under the custody Annex?

98% of client VAs should sit in cold storage, with keys kept offline. ⁸³

3. Are the HKMA's April 2024 DLT risk considerations binding rules?

No. They are non-binding and non-exhaustive. The HKMA supervises DLT on a risk-based, technology-neutral basis. ²⁶³

4. As a general principle, to which three types of firm may your bank delegate or outsource VA custody?

First, another AI or a locally incorporated AI's subsidiary. Second, an SFC-licensed VA trading platform. Third, an HKMA-licensed stablecoin issuer, for the coins it issues and with HKMA consent. ²⁷⁰

5. Does outsourcing VA custody move ultimate responsibility away from the bank?

No. Ultimate responsibility stays with the bank, even after due diligence and outsourcing. ²⁷¹

C1 Selling, dealing and advising on virtual assets

1. Which two regulators jointly set expectations for banks on selling, dealing in and advising on VAs?

The SFC and the HKMA, through a joint circular first issued in January 2022 ²⁹¹. The current base text is dated 22 December 2023 ²⁹².

2. Since May 2026, what haircut applies to bitcoin and ether when an RI relies on them as VA financing collateral?

Bitcoin and ether get a haircut of at least 60% ³²⁶.

3. Is partnering only with SFC-licensed platforms for VA dealing just best practice for an RI?

No. The regulators require it ², and the SFC imposes the conduct rules as conditions on the bank's registration ³⁰⁰. For Relevant Stablecoins, the licensed issuer is also allowed ³²³.

4. Who should your bank tell before it starts or changes a VA activity?

The bank should tell the SFC in advance, and the HKMA where applicable, about any new VA activity or change. That includes a change in client type ⁵⁹.

5. Are all virtual-asset-related products restricted to professional investors only?

No. SFC-authorised VA funds and certain exchange-traded VA derivatives are exempt from the PI-only rule, though a knowledge test still applies ³⁵².

C2 VA funds and ETFs

1. Which circular sets the selling rules a bank follows when it sells SFC-authorised VA funds?

The joint SFC–HKMA circular sets the selling rules ^{373,347}.

2. Above what share of its net asset value (NAV) in VAs must a public fund consult the SFC first?

A fund that wants more than 10% of its net asset value (NAV) in VAs needs to consult the SFC and get its approval first ³⁶⁷.

3. Is the December 2023 VA fund circular still current, or has it been superseded?

Superseded. The April 2025 revision replaced it, and circular 26EC31 replaced that on 27 May 2026 ^{430,366}. 26EC31 is the version in force.

4. What should a bank do before first letting clients subscribe or redeem fund units with VAs?

It should give the SFC advance notice, including for in-kind flows, and tell the HKMA too where relevant ⁴¹⁶.

5. Does a fund holding licensed stablecoins count as a VA fund under circular 26EC31?

No. Circular 26EC31 excludes Relevant Stablecoins and tokenised deposits from its VA fund rules ⁴²⁹.

C3 Custody of digital assets and key management

1. Which regulator sets the custody standards for a bank that safekeeps clients' VAs?

The HKMA. It set custody standards for authorized institutions (AIs) in February 2024 and replaced them with an updated annex on 27 May 2026 ⁷⁶.

2. What share of client virtual assets does the HKMA's 2026 annex expect a bank to keep in cold storage?

98% of client VAs, with their keys kept offline ⁴³⁷.

3. Is the February 2024 custody circular still in force?

No, it is superseded. The HKMA replaced it with an updated annex on 27 May 2026 ⁷⁶.

4. What does the HKMA expect a bank to do before launching digital-asset custody services?

The bank should discuss its plans with the HKMA first, and satisfy the HKMA that it meets the standards ⁷⁶.

5. Do the old 50%/100% insurance percentages still apply to banks' custody of client VAs?

No. The 2026 annex drops them. The bank is instead liable for losses from incidents attributable to it, backed by adequate financial resources ⁸⁵. The 50%/100% figures still apply to VATPs ⁸⁴.

C4 Stablecoins

1. Which regulator licenses firms that issue fiat-referenced stablecoins in Hong Kong?

The HKMA. Issuing an FRS in Hong Kong as a business needs an HKMA licence ⁴⁹⁷. So does issuing a Hong Kong dollar FRS, in or outside Hong Kong ⁴⁹⁷.

2. What minimum paid-up capital must a licensed stablecoin issuer hold?

At least HK\$25 million, though an AI holding a licence is exempt because the Banking Ordinance sets its capital instead ⁵³¹.

3. Is the Stablecoins Ordinance binding law or only guidance?

Binding law. The Stablecoins Ordinance (Cap. 656) took effect on 1 August 2025 ¹⁵.

4. What should an RI do before offering Relevant Stablecoin dealing, advice or portfolio management?

It should notify the HKMA and SFC in advance of any Relevant Stablecoin activity or material change ²²³.

5. Can retail clients be offered any specified stablecoin, or only licensed issuers' coins?

Only licensed issuers' coins. Permitted offerors may offer other specified stablecoins only to professional investors ⁵²⁸.

C5 Tokenisation: tokenised products, deposits and bonds

1. Which regulator set expectations for banks selling tokenised products that fall outside the Securities and Futures Ordinance?

The HKMA, in a February 2024 circular for authorized institutions (AIs) ²². AIs should also meet its standards when customers place tokenised deposits ⁵⁵⁵.

2. How many Tokenised Deposit Banks does the HKMA list for the EnsembleTX pilot?

Seven ⁵⁵⁹. They are to offer tokenised deposits and settle payments between banks through the pilot ^{56, 559}.

3. Is CBDC settlement for EnsembleTX already in place, or only a stated target?

A stated target. The 2026 Policy Address targets CBDC settlement and 24/7 operation around end-2026 ¹⁵⁷.

4. What does the HKMA expect a bank to do before offering a tokenised product to customers?

The bank should discuss its plans with the HKMA in advance ⁶⁰². It should also do due diligence on the product, issuer and vendors before offering it ²⁷².

5. Are tokenised securities automatically treated as complex, professional-investor-only products?

No. The SFC looks through to the underlying security and no longer imposes a mandatory professional-investor-only restriction ⁶¹³.

C6 Financing, shared order books and client withdrawals

1. Which regulator first allowed VA brokers to offer margin financing for buying virtual assets?

The SFC. On 11 February 2026 it let VA brokers that already offer securities margin financing lend to those clients to buy VAs ⁶¹⁹. The HKMA followed for RIs on 27 May 2026 ²⁹⁵.

2. What haircut does the HKMA expect an RI to apply to bitcoin and ether relied on as VA financing collateral?

The haircut should be 60% or more. The HKMA may revise it after giving advance notice ⁶³⁴.

3. Does the HKMA expect an RI to raise a client's credit limit because VA financing exists?

No. The HKMA does not expect an RI to raise a client's credit limit just because VA financing is available ⁶⁴³.

4. Which clients can an RI that provides VA dealing offer VA financing to?

Only its own securities margin financing clients ⁶⁵⁸.

5. Does the SFC's VA broker circular of 11 February 2026 bind banks directly?

No. It is addressed to LCs ⁶²⁵. The HKMA's circular of 27 May 2026 brings in banks, as RIs ²⁹⁵.

C7 VATP counterparties and the SFC platform regime

1. Which regulator licenses virtual-asset trading platforms operating in or marketing to Hong Kong?

The SFC, under the AMLO licensing regime that started 1 June 2023 ⁶⁷⁵.

2. What share of client virtual assets do the SFC's VATP Guidelines say a licensed platform should keep in cold storage?

98%. The platform and its Associated Entity should keep 98% of client virtual assets in cold storage ⁶⁹⁸.

3. Do the VATP Guidelines bind banks directly, or only platform operators?

Only platform operators ⁴⁶. Banks use them as a due diligence benchmark, because the SFC and HKMA require bank VA dealing to run through SFC-licensed platforms ⁴⁷.

4. What should a bank do before onboarding a VA trading platform as a partner?

Re-check the platform's status on the live SFC lists before onboarding and at each review, since the lists can lag between updates ^{707,708}.

5. Does being "treated as licensed" mean the SFC has fully vetted a platform?

No. In 2023 the SFC said it had not vetted whether these platforms were fit and proper, and that they may never get a licence ⁷¹⁷.

D1 Capital and prudential treatment of cryptoassets

1. Who can override the bank's own classification of a cryptoasset?

The HKMA. If it disagrees with the bank's classification, the HKMA will override it. ⁷⁴⁰

2. What risk weight applies to Group 2b cryptoasset exposures?

Group 2b exposures take a 1,250% risk weight.⁶⁵

3. If CRP-1 guidance and the Banking (Capital) Rules (BCR) differ, which one wins?

CRP-1 is guidance. The binding classification rules sit in BCR Part 12. If the two differ, the BCR prevails.

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4. What must the bank do before it acquires a new type of cryptoasset?

It must notify the HKMA first.⁶⁴ The asset sits in Group 2b until the HKMA agrees the bank's assessment.⁶⁴

5. Do central bank digital currencies (CBDCs) count as cryptoassets under this standard?

No. CBDCs sit outside the standard and are generally treated like the central bank's ordinary currency.⁷⁵⁷

D2 Regulatory reporting and disclosure

1. Which regulator changed the seven returns that now carry cryptoasset data?

The HKMA. It gave each of the seven returns new or revised templates and completion instructions.^{760,761}

2. What is a Transition AI, and until when could it use old return templates?

An AI with no cryptoasset exposure on 1 January 2026.⁷⁶⁰ It could use old templates for four returns until 30 June 2026.⁷⁶⁰

3. If SPM CA-D-1 conflicts with the Banking (Disclosure) Rules (BDR), which one wins?

CA-D-1 is general guidance on the HKMA's approach. If it conflicts with the Disclosure Rules, the Rules prevail.⁷⁶³

4. Which part of the capital return MA(BS)3 do the instructions say every Hong Kong-incorporated AI should complete?

Part IIIIf, the new form for extra crypto risk-weighted amounts.⁷⁶¹ It includes the Group 2 exposure ratio, which all Hong Kong-incorporated AIs report.⁷⁵⁶

5. Did Transition AIs face any reporting change on 1 January 2026?

Yes. They were still expected to apply some revised MA(BS)3 instructions, covering non-crypto items.⁷⁷¹

D3 AML/CFT for digital assets at a bank

1. Which AML/CFT guideline actually binds the bank on virtual asset (VA) business?

The HKMA's AML/CFT Guideline for Authorized Institutions (AIs), not the SFC's guideline. ^{27,801}

2. At what value should the bank complete customer due diligence (CDD) before a one-off VA transfer?

HK\$8,000 or more. The bank should also watch for linked smaller transfers that together reach that amount. ⁸²²

3. Does the HKMA Guideline's use of "should" mean the requirement is optional?

No. The Guideline treats both "must" and "should" as signalling a mandatory requirement. ⁸²¹

4. What should the bank do with the HKMA before launching any VA-related product or service?

Discuss the plan with the HKMA before launch, and get its feedback on the bank's risk controls. ⁸³¹

5. Does SFC AML Guideline Chapter 12 bind the bank directly?

No. It applies to licensed corporations and SFC-licensed VASPs.⁸⁰⁵ The bank's registered institution (RI) business must take it into account.⁸⁰⁶ It must comply with it for client VA deposits or withdrawals.

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D4 Cyber, fraud and technology risk

1. Which regulator sets the bank's own technology-risk and custody expectations, versus its VATP and broker counterparties?

The HKMA sets them for the bank.^{855,435} The SFC's circulars go to SFC-licensed firms, not the bank. They show what the bank's VATP and broker counterparties are expected to have.⁸⁵⁷

2. What share of client virtual assets (VAs) should a bank custodian hold in cold storage?

98%.⁸⁷²

3. Are the HKMA's DLT risk considerations binding rules?

No. The HKMA calls them non-binding and not a complete list, and discusses detailed expectations one to one with each bank.²⁵⁵

4. What should the bank do with wallet keys and seeds under the HKMA's custody controls?

Create and store them in tamper-resistant devices, such as hardware security modules (HSMs). Create, store and back them up in Hong Kong. ⁸⁷¹

5. Does using multi-party computation (MPC) or multi-signature wallets make custody safe on its own?

No. The SFC says overseas incidents pointed to potential critical weaknesses, whatever custody solution was used. ⁴⁵³

D5 Tax and information reporting

1. Which body would run CARF registration, returns and penalties, once the bill passes?

The Inland Revenue Department (IRD), not the HKMA or SFC. ⁹³⁴

2. By when would a Hong Kong RCASP have to register under the bill?

By 31 January of the year after it first meets a Hong Kong link (nexus) test. ⁹¹³

3. Is CARF already law in Hong Kong?

No. It is in a bill before LegCo.³³ LegCo's notice set its First and Second Readings for 3 June 2026, with the Second Reading debate adjourned.⁷⁰ The documents reviewed do not show it passing as of 25 September 2026.³³

4. What first checks does this module list for the bank ahead of the CARF bill?

Map whether any group entity carries out crypto exchange transactions for customers as a business.⁹²² Test each entity against the Hong Kong link rules.⁹¹²

5. Is the registration deadline 31 December of the year the Hong Kong link is first met?

No. That was the consultation's proposal.⁹³² The bill sets 31 January of the following year.⁹²³

D6 Travel Rule, counterparty VASPs and unhosted wallets

1. Which text binds the bank on VA transfers, and which binds SFC licensees?

The HKMA AML Guideline for AIs binds the bank.²⁷ Chapter 12 binds SFC-licensed VASPs, and LCs in their VA business.⁸⁰⁵ RIs take Chapter 12 into account.⁸⁰⁶

2. Under Chapter 12, what details must the ordering institution get for a VA transfer of HK\$8,000 or more?

The originator's name and account number, and the recipient's name and account number.⁹⁵⁶ The fifth is the originator's address, customer number or ID number, or, for an individual, date and place of birth.⁹⁵⁶

3. Can an SFC-licensed platform still send Travel Rule details after the transfer under the stop-gap?

No. That stop-gap ran until 1 January 2024, when the duty to send immediately took effect.⁹⁷⁷

4. What should the bank do before an occasional VA transfer of HK\$8,000 or more?

An AI should carry out CDD first, and watch for linked smaller transfers that together reach HK\$8,000.⁸²² It should keep the records for at least five years.⁸²⁵

5. Does the sunrise issue excuse a transfer that arrives without Travel Rule details?

No. A receiving firm must seek missing details. If it cannot get them, it should consider limiting the relationship or take steps to reduce the risk.⁹⁷⁰

D7 Sanctions, wallet screening, blockchain analytics and fraud

- 1. Who can grant a licence to make funds available to a UN-designated party, and how does a bank apply?**

The Chief Executive grants the licence.¹⁰¹⁴ A bank seeking one applies in writing to the Commerce and Economic Development Bureau.¹⁰⁷⁰

- 2. When should a bank screen its customers and beneficial owners against its sanctions database?**

When the relationship starts, and again against new designations as soon as practicable.¹⁰³³ Screening applies whatever the customer's risk rating.¹⁰³⁴

- 3. How binding is 'should' in the HKMA's AML Guideline for banks?**

In that Guideline, 'should' marks a mandatory requirement, just like 'must'.⁹⁶ So the screening steps in Chapter 6 are requirements.¹⁰⁷⁷

- 4. What does SFC Chapter 12 mean for our RI business when clients move VAs in or out?**

The RI should follow Chapter 12 for client VA deposits and withdrawals.³³¹ That covers wallet screening and blockchain analytics.¹⁰⁷²

5. Does Hong Kong law make the bank follow US or EU sanctions?

The HKMA says banks do not normally have that duty under Hong Kong law. It still expects banks operating internationally to know those regimes, consider their effect and act. ¹⁰²⁸

E1 What's coming: the pipeline

1. Who will be the frontline regulator for registered banks under the coming VA dealing and custody regimes?

The HKMA will be the frontline regulator for registered banks and stored value facilities. The SFC will be the standard setter. ¹¹⁰⁶

2. When did the government say one bill covering all four VA regimes would go to LegCo?

In June 2026, the government said the bill would go to LegCo that year. ¹⁷ The documents reviewed to 25 September 2026 include no bill text.

3. Do the December 2025 VA dealing conclusions already have the force of law?

No. A bill is still to be introduced, and start dates are not set. ^{17,121}

4. What does the lack of a transition arrangement for VA dealing mean for your bank's planning?

Plan for a fixed start date with no transition. No arrangement is planned to let existing firms carry on while they apply. Dealers that have not contacted the SFC or HKMA may have to stop operating on that date. ¹¹¹⁴

5. Is the Customs OTC licence proposed in February 2024 still the plan for VA dealing?

No. The 2025 dealing proposal revised that plan. It put VA dealing under SFC licensing instead. ¹¹²¹

E2 Wholesale money, CBDC and cross-border projects

1. Who runs the AML, KYC and sanctions checks for a payment sent over the mBridge platform?

Each bank runs its own AML, KYC and sanctions checks off the platform, in its own systems. ^{1136,1137}

2. When did the mBridge platform reach minimum viable product (MVP) stage?

mBridge reached MVP stage in June 2024. ¹¹³⁰

3. Has the HKMA decided whether or when to introduce a retail e-HKD?

No. Its September 2026 CBDC page says it has not yet decided whether or when to introduce a retail e-HKD. ¹¹²⁸

4. If your bank distributes e-HKD under a two-tier design, what two tasks could it get?

The 2022 policy paper said a two-tier design could give customer-facing institutions customer due diligence and record-keeping. ¹¹⁷²

5. Can any bank on mBridge request issuance or redemption of any CBDC?

No. Only domestic banks can request issuance or redemption of their home CBDC. ¹¹⁷⁸ Foreign banks can hold and use it. ¹¹⁷³

E3 Glossary and timeline

1. Who supervises Registered Institutions (RIs) day to day, and who holds ultimate responsibility for them?

The HKMA supervises RIs day to day, as frontline supervisor. Ultimate responsibility stays with the SFC. ¹¹⁸⁶

2. What HK\$ threshold triggers customer due diligence for a one-off VA transfer under the HKMA's AML/CFT Guideline?

The Guideline sets customer due diligence for one-off VA transfers of HK\$8,000 or more. ⁹⁴³

3. Is deeming or grandfathering planned for the coming VA dealing or VA custodian regimes?

No. None is planned for the VA dealing or VA custodian regimes. ^{81,53}

4. When did the AMLO licensing regime for VATPs and the SFC's VATP Guidelines take effect?

They took effect on 1 June 2023. ^{675,145}

5. Are Project Inthanon-LionRock and mBridge two separate projects?

No. In February 2021, two new central bank partners joined, and the project became m-CBDC Bridge (mBridge). ¹²⁵⁶

F1 Where the money is

1. Which platforms must a bank use when it deals in virtual assets for clients?

Banks registered with the SFC may deal in VAs, but the SFC and HKMA require them to work only with SFC-licensed platforms. ⁴⁷

2. What was the total market value of Hong Kong's 11 VA spot ETFs at end-June 2026?

The 11 VA spot ETFs had a total market value of US\$451 million at end-June 2026. ¹⁵⁷¹

3. Is EnsembleTX, the HKMA's tokenised-deposit line, already in force or still a pilot?

It is a pilot. EnsembleTX is to run throughout 2026.

1113

4. What does the HKMA expect a bank to do before starting a new VA custody arrangement?

The HKMA expects the bank to discuss its custody plans with it first, and to show it meets HKMA custody standards. ⁷⁶

5. What do the official sources say about whether regulated stablecoins are live in Hong Kong?

On 28 April 2026 both licensed issuers said they had not yet issued regulated stablecoins. ⁵⁴¹ On 16 September 2026 a Government spokesman said the first regulated stablecoin in Hong Kong had launched in August 2026. ⁵⁰³ The official sources reviewed do not name the issuer.

F2 How regulation writes the P&L

1. Who sets the global bank capital standards that the HKMA brought into force in Hong Kong?

The Basel Committee on Banking Supervision (BCBS) writes the global standards. The HKMA brought the Basel cryptoasset standard into force in Hong Kong on 1 January 2026. ¹⁵⁷⁸

2. What risk weight applies to Group 2b cryptoassets, and what is a bank's minimum total capital ratio?

Group 2b cryptoassets carry a 1,250% risk weight. ¹⁵⁸⁷ The minimum total capital ratio is 8%. ⁶⁶

3. Must a bank notify the HKMA before acquiring a new type of cryptoasset?

Yes. A bank must notify the HKMA first, and treats the asset as Group 2b until the HKMA agrees its classification. ⁶⁴

4. How many executive officers does a registered institution (RI) need for each regulated activity it carries on?

An RI needs at least two executive officers for each regulated activity, each approved in writing by the HKMA. ²³²

5. Do banks need the 50%/100% compensation cover the SFC expects of licensed trading platforms?

No. That is the SFC's expectation for trading platforms.⁸⁴ The HKMA's 2026 guidance for banks instead expects liability for losses, backed by adequate financial resources.⁸⁵

F3 Market structure: who does what

1. Which regulator licenses virtual asset trading platforms, and which licenses stablecoin issuers?

The SFC licenses trading platforms; it listed 13 at end-June 2026.¹⁶³⁰ The HKMA licenses stablecoin issuers; its register dated 23 April 2026 lists two.⁶⁰

2. What paid-up capital must a licensed virtual asset trading platform hold?

At least HK\$5 million.¹⁵⁸⁹

3. What is the status of the planned VA custodian and dealer regimes?

Both are at the conclusions stage: the final policy is published, but the law is not yet made.^{1634,1626}

4. Which platforms can a bank partner with when offering VA dealing?

Only SFC-licensed platforms, by introducing clients to the platform or using an omnibus (pooled) account.⁴⁷

5. Why can't a bank treat every name on the SFC platform list as licensed?

The list has a separate section for applicants, and the SFC says applicants are not licensed. ¹⁶³⁶

F4 Timing and scenarios

1. Who said they would put one bill covering VA dealing, custody, advice and management to LegCo in 2026?

The Government said it and the SFC would, in June 2026. This is a stated target, not law. ¹⁵⁸⁶

2. By when did the HKMA expect each bank's board to endorse a strategic plan on digital change?

By 9 September 2026, within six months of the HKMA's 9 March 2026 letter. ¹²⁹ Whether boards endorsed their plans on time is not public.

3. Is a Policy Address date for a digital-asset project a binding legal deadline?

No. Most pipeline dates are stated targets, a Government or regulator aim. Only law or a regulator's requirement binds firms. (concept)

4. Is one of the three scenarios in this module the expected or base case?

No. All three get equal weight, and none carries a probability. They are tools for testing plans, not predictions. (concept)

5. Which capabilities does the module's analysis find in all three scenarios, and what official link does key custody have?

Secure key custody, anti-money laundering monitoring, strong client login, a board-level digital plan and date-based rule tracking. (concept) For custody, the HKMA sets expected standards for banks that hold client digital assets. ¹⁶⁸³

F5a Running the business: strategy and P&L

1. Which two regulators does a registered institution notify before starting or changing any VA activity?

The SFC and the HKMA. ⁷²

2. What stake in a company needs the Monetary Authority's written consent before a Hong Kong bank buys it?

A stake worth 5% or more of the bank's Tier 1 capital, under Rule 23 of the Banking (Exposure Limits) Rules. ¹⁶⁸⁴

3. What force does the HKMA's 9 March 2026 board-plan instruction carry?

It is an expectation, not a binding rule. The HKMA expected each board to oversee and endorse a formal strategic business plan within six months. ¹²⁹

4. What must a bank do before acquiring a new type of cryptoasset?

Notify the HKMA first, and treat the asset as Group 2b (1,250% risk weight) until the HKMA agrees another classification. ⁶⁴

5. Does joining the Supervisory Incubator or applying under a planned regime count as already being licensed?

No. The Incubator gives feedback and optional trials, not a shortcut. ²¹⁸ The Government and the SFC do not plan to treat existing VA dealers as licensed while they apply. ⁸¹

F5b Running the business: operations and control

1. Which two regulators should a registered institution tell about a material failure of systems and controls?

The SFC and the HKMA, even if the failure happened at an overseas group entity. ⁷²

2. How many executive officers does a registered institution need for each regulated activity?

At least two EOs, each with HKMA consent, with at least one available at all times. ¹¹⁹¹

3. Is 24/7 custody security monitoring an HKMA expectation or a stated legal requirement?

An expectation: the HKMA expects security monitoring 24/7, including holidays. ⁴⁶²

4. Who stays responsible if a bank outsources VA custody to a regulated provider?

The bank. Ultimate responsibility for outsourced custody stays with the bank, even though only certain regulated firms may be used. ²⁸⁵

5. Can a vendor be named as the person responsible for an outsourced function?

No. The HKMA expects a member of the RI's own management to be named as responsible, not the outside provider. ¹⁷¹⁵

F6 Your path to COO

1. Who approves each director and chief executive of a Hong Kong-incorporated bank?

The HKMA, under section 71 of the Banking Ordinance. ¹⁷⁴⁹

2. How many executive officers must a bank registered with the SFC have for each regulated activity?

At least two EOs, each needing HKMA consent. ¹⁷⁸³

3. Does the SFC require or only expect a Manager-In-Charge for each core function?

It expects one: the SFC expects each firm it licenses to name a Manager-In-Charge for each of eight core functions. ¹⁷⁵²

4. What must a bank licensed to issue stablecoins get before appointing its stablecoin manager?

HKMA consent. A bank licensee must not appoint a stablecoin manager without it. ¹⁷⁵³

5. Does a senior job title alone make someone an executive officer?

No. The HKMA also checks sufficient authority, including rank and reporting line, not just title. ¹⁷⁵⁹

Notes

Each number in the text points to one note below. A note gives the publisher, the document, its date, the exact paragraph or page, and the web address. The same source and paragraph keep the same number throughout the book.

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